A seller and a buyer signed a contract of sale for improved real property. The contract contained a financing contingency for a certain percentage of the purchase price. The buyer obtained the requisite financing from a bank.

At the closing, the buyer executed a note to the seller for a portion of the purchase price, which note was not secured by a mortgage. The buyer then executed a second note, secured by a mortgage to the bank, applying the bank loan proceeds to the purchase price of the property. The bank had actual knowledge of the prior note to the seller. The bank promptly recorded its mortgage.

The buyer is now in default on both notes.

There is no applicable statute.

Which party has priority?

A. The bank, because its loan satisfied the financing contingency in the contract of sale.
B. The bank, because its note is secured by a purchase-money mortgage.
C. The seller, because he retained a vendor's lien that was first in time.
D. The seller, because the bank had actual knowledge of the seller's note.

Explanation:

The seller received a promissory note—ie, a legal document that creates or memorializes a debt—but did not take a mortgage or other lien to secure the debt. However, when a **seller transfers title** to a buyer and any portion of the **purchase price remains unpaid** (as seen here), an **equitable vendor's lien** is implied by law.

Subsequently, the bank received a promissory note secured by a **mortgage**—ie, a lien against real property given to secure a debt. Since the mortgage was given to **secure the purchase price** of the mortgaged property, it is a **purchase-money mortgage** (PMM). PMMs have **super priority** over all other liens (whether the PMM or those liens are recorded or not). Therefore, the bank's mortgage has priority. This is true regardless of whether it knew of the seller's lien **(Choices C & D)**.

(Choice A) The fact that the bank's loan satisfied the financing contingency in the contract of sale between the seller and buyer does *not* give the bank priority. Instead, it has priority because its note is secured by a PMM.

Educational objective:

Equitable vendor's liens are implied by law when a seller transfers title to a buyer and any portion of the purchase price remains unpaid. Purchase-money mortgages are created when a mortgage is given to secure the purchase price of the mortgaged property, thereby giving them super priority over all other mortgages and liens.

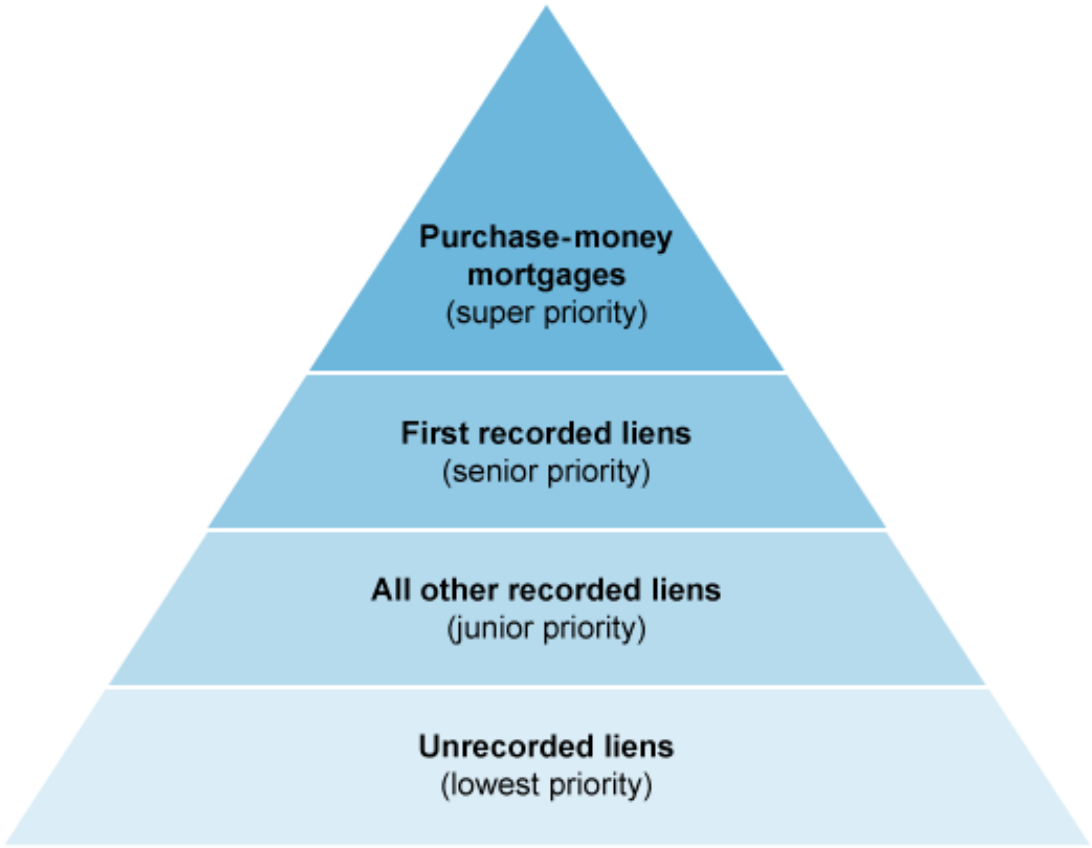
References

Restatement (Third) of Property: Mortgages § 7.2 (Am. Law Inst. 1997) (priority of purchase-money mortgages).

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Lien priority on real property



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A man owned property that he used as his residence. The man received a loan, secured by a mortgage on the property, from a bank. Later, the man defaulted on the loan. The bank then brought an appropriate action to foreclose the mortgage, was the sole bidder at the judicial sale, and received title to the property as a result of the foreclosure sale.

Shortly after the foreclosure sale, the man received a substantial inheritance. He approached the bank to repurchase the property, but the bank had decided to build a branch office on the property and declined to sell.

If the man prevails in an appropriate action to recover title to the property, what will be the most likely reason?

A. He had used the property as his residence.

B. He timely exercised an equitable right of redemption.

C. The court applied the doctrine of exoneration.

D. The jurisdiction provides a statutory right of redemption.

Explanation:

Right of redemption

(regaining title after default on loan)

	Timing	**Assertion of right**
Equitable right (always exists)	At any time prior to foreclosure sale	Pay full amount of debt due (including interest) to lender
Statutory right (if statute exists)	Statutory period after property has been sold in foreclosure	Pay foreclosure sale price to purchasing party

When a debtor defaults on mortgage payments, the creditor may initiate foreclosure proceedings to force the sale of the mortgaged property to satisfy the unpaid debt. Once the property is sold, jurisdictions with a **statutory right of redemption** allow the original debtor to **reacquire ownership** of the property by **paying the foreclosure sale price** to the purchasing party—even if that party is the creditor—within a **designated time**. Therefore, the man will successfully redeem his property from the bank if the jurisdiction provides this statutory right.

(Choice A) Unless otherwise noted, the statutory right of redemption applies to any real property—not just residential property.

(Choice B) The equitable right of redemption allows a debtor to reclaim mortgaged property *before* foreclosure by paying the full amount of the outstanding debt. Therefore, the man did not timely exercise this right by attempting to repurchase the property *after* foreclosure.

(Choice C) The doctrine of exoneration allows a will beneficiary to use the estate's general assets to pay off any encumbrances (eg, mortgages) on the devised property. But since the man did not receive devised mortgaged property (he placed the mortgage on the property himself), this doctrine does not apply.

Educational objective:

The statutory right of redemption allows a debtor to reacquire ownership of property *after* foreclosure by paying the foreclosure sale price to the purchasing party within the designated statutory period.

References

30 Am. Jur. 2d Executions and Enforcement of Judgments § 291 (2018) (statutory right of redemption).

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Under the terms of his duly probated will, a testator devised his house to his "grandchildren in fee simple" and the residue of his estate to his brother. The testator had had two children, a son and a daughter, but only the daughter survived him. At the time of the testator's death, the daughter was 30 years old and had two minor children (grandchildren of the testator) who also survived the testator.

A third grandchild of the testator, who was the child of the testator's predeceased son, had been alive when the testator executed the will, but he had predeceased the testator. Under the applicable intestate succession laws, the deceased grandchild's sole heir was his mother.

A statute of the jurisdiction provides as follows: "If a devisee, including a devisee of a class gift, who is a grandparent or a lineal descendant of a grandparent of the testator is dead at the time of execution of the will or fails to survive the testator, the issue of such deceased devisee shall take the deceased's share under the will, unless the will expressly provides that this statute shall not apply. For this purpose, words of survivorship, such as 'if he survives me,' are a sufficient expression that the statute shall not apply."

Who now owns the house?

A. The testator's brother.
B. The testator's two surviving grandchildren.
C. The testator's two surviving grandchildren and all other grandchildren who are born to the testator's daughter.
D. The testator's two surviving grandchildren and the deceased grandchild's mother.

Explanation:

A gift is a voluntary transfer of property without payment or consideration (eg, by devise). A **class gift** is created when the **gift recipients** (ie, donees) are unspecified but can be **identified in the future** (eg, upon the donor's death). Under the rule of convenience, a class closes once any member is entitled to immediate possession of the property, and anyone born after the class closes cannot claim an interest in that property.*

However, if a donee receives a gift **under a will** and **predeceases the testator**, the gift will **lapse** and become invalid unless the will or a statute provides otherwise. An **anti-lapse statute** (as seen here) will save the gift from lapsing if the donee has a **specified family relation** to the testator AND the donee is survived by his/her own children or other **lineal descendants** (ie, issue). The surviving issue will then take the gift in place of the donee.

Here, the testator devised his house to his "grandchildren in fee simple." The testator had three grandchildren, one of whom predeceased the testator. This jurisdiction's anti-lapse statute applies to a testator's lineal descendants. But it does *not* save the deceased grandchild's gift because his sole heir was his mother—ie, he has no lineal descendants. As a result, the house is now owned by the testator's two surviving grandchildren **(Choices C & D)**.

*Those born after a class closes are excluded from the class, but those already in utero upon closing are included.

(Choice A) The brother, as the recipient of the residuary estate, would have received the house had no grandchildren been eligible for the devise (eg, had they all predeceased the testator without lineal descendants).

Educational objective:

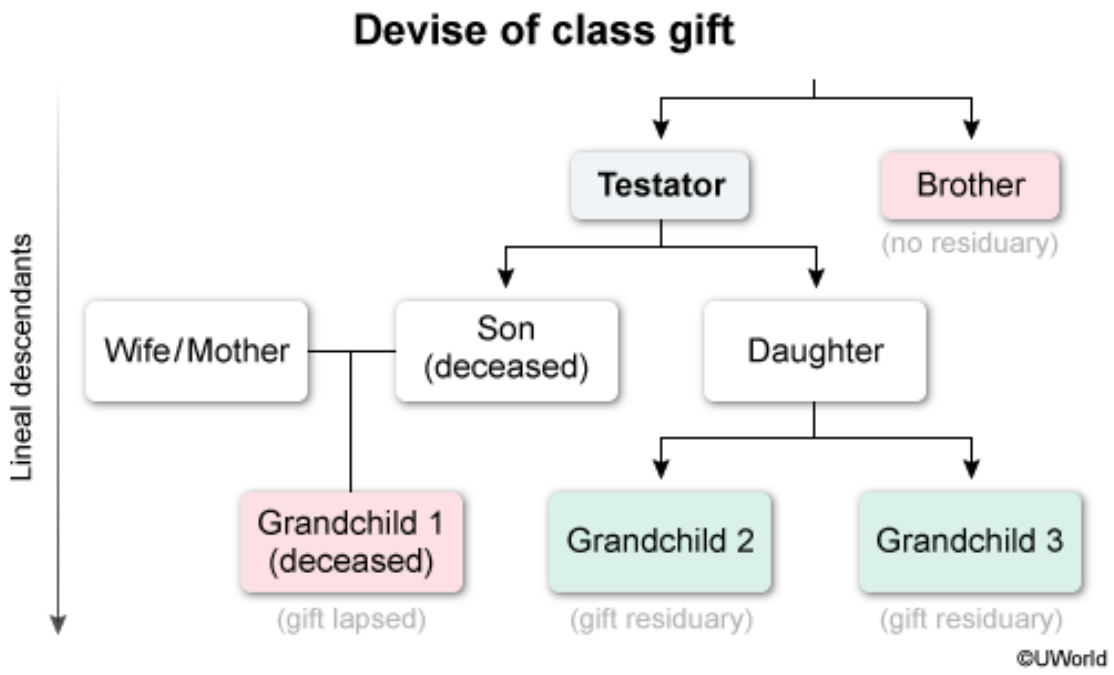
A gift conveyed under a will typically lapses if the recipient predeceases the testator. However, an anti-lapse statute will save the gift if the recipient (1) has a specified family relation to the testator and (2) is survived by his/her own children or other lineal descendants.

References

Restatement (Third) of Property: Wills and Other Donative Transfers §§ 1.2, 5.5 (Am. Law Inst. 1999) (lapse and anti-lapse statutes).

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Devise of class gift
Testator
Brother
(no residuary)
Wife/Mother
Son
(deceased)
Daughter
Grandchild 1
(deceased)
(gift lapsed)
Grandchild 2
(gift residuary)
Grandchild 3
(gift residuary)
Lineal descendants
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A woman died, devising land that she owned in another state to her daughter, who was then 17 years old.

A neighbor who owned the property immediately adjacent to the land wrongfully began to possess the land at that time. For 24 of the next 25 years, the neighbor planted and harvested crops on the land, hunted on it, and parked cars on it. However, in the sixth year after he first took possession of the land, the neighbor neither planted crops nor hunted nor parked cars on the land because he spent that entire year living in Europe. The neighbor built a small gardening shed on the land, but he never built a residence on it.

When the daughter was 28, she was declared mentally incompetent and had a conservator appointed to oversee her affairs. Since then, she has continuously resided in a care facility.

The applicable statute of limitations provides as follows: "An ejectment action shall be brought within 21 years after the cause of action accrues, but if the person entitled to bring the cause of action is under age 18 or mentally incompetent at the time the cause of action accrues, it may be brought by such person within 10 years after attaining age 18 or after the person becomes competent."

If the daughter's conservator wins an ejectment action against the neighbor, what will be the most likely explanation?

A. Because the daughter is mentally incompetent, the statute of limitations has been tolled.
B. The daughter was age 17 when the neighbor first took possession of the land.
C. The neighbor never built a residence on the land.
D. The neighbor was not in continuous possession of the land for 21 years.

Explanation:

Under the doctrine of **adverse possession**, a person who possesses land owned by another may acquire title to the land if his/her possession was:

Open and notorious – apparent to a reasonable owner

Continuous – uninterrupted for the statutory period

Exclusive – not shared with the owner

Actual – physical presence on the land

Non-permissive – hostile and adverse to the owner

Here, the statutory period for adverse possession is 21 years. Although the neighbor first possessed the land 25 years ago, he left after 5 years and spent a year in Europe. When the neighbor returned from Europe and retook possession of the land, the statutory period started anew. Therefore, the neighbor only *continuously* possessed the land for 19 years—not 21 years—and he did not acquire title by adverse possession.

(Choices A & B) The statute of limitations would have tolled (ie, paused) if the daughter had been under 18 or mentally incompetent *at the time the claim accrued*. Here, though the daughter was 17 when the neighbor first took possession of the land, she was 23 when the neighbor retook possession (and her claim accrued). And since she was declared mentally incompetent 5 years *after* her claim accrued, the statute of limitations was not tolled.

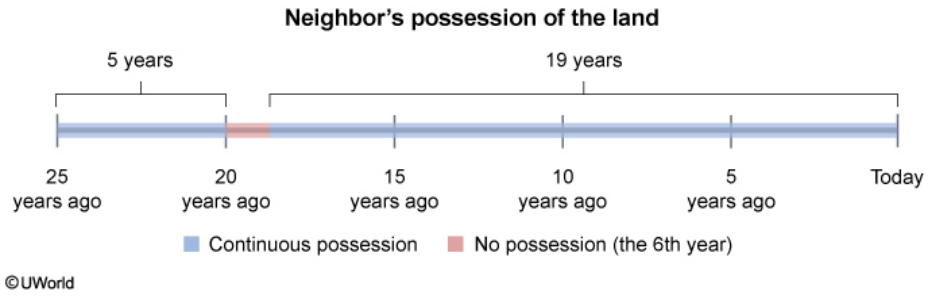
(Choice C) A person does not have to build a residence on the land to adversely possess it, so the fact that the neighbor never built a residence on the daughter's land is irrelevant.

Educational objective:

A person can only acquire title to another's land through adverse possession if his/her possession of the land is continuous—ie, uninterrupted—for the entire statutory period.

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An individual purchased a residence for $200,000. The individual paid $25,000 of the purchase price from her own funds and the remaining $175,000 with the proceeds of a loan she obtained from a bank. She signed a promissory note payable to the bank in the principal amount of $175,000 and gave the bank a mortgage on the residence. The bank promptly and properly recorded this mortgage.

Several years later, the individual borrowed $35,000 from a credit union to finance the construction of an addition to the residence. She signed a promissory note payable to the credit union in the principal amount of $35,000 and gave the credit union a mortgage on the residence. Because of a clerical oversight, the credit union failed to record this mortgage.

Subsequently, the individual defaulted on the bank note. This note contained an acceleration clause, pursuant to which the full unpaid balance of the note became immediately due. The fair market value of the residence was slightly less than the amount owed on the note, so the bank offered to accept the deed to the residence in exchange for cancellation of the note. The individual agreed, and also agreed to waive her equitable right to redeem the property. Shortly after title to the residence was transferred to the bank, the bank learned of the credit union's mortgage.

The bank has brought a foreclosure action to which the credit union was made a party. The credit union contests the bank's right to bring this action.

If the court rules in favor of the bank, what is the most likely reason?

A. The jurisdiction recognizes a statutory right of redemption.
B. The jurisdiction recognizes the principle of clogging the equity of redemption.
C. The jurisdiction does not recognize the doctrine of caveat emptor.
D. The jurisdiction does not recognize the doctrine of merger with regard to mortgages.

Explanation:

The **doctrine of merger** applies to mortgages when the **same person acquires** both:

a **mortgagee's** (lender's) **interest** in real property *and*
the **mortgagor's** (borrower's) **interest** in that same property.
When this occurs, the mortgage merges into the fee estate and is thereby extinguished.

Here, the bank held a mortgage on the residence when it acquired the individual's ownership interest in that residence. If the doctrine of merger applied, the mortgage would have been extinguished upon that transfer and the bank would have no right to bring this foreclosure action. So if the court rules in the bank's favor, it is likely because the jurisdiction does not recognize the doctrine of merger with regard to mortgages.

(Choice A) The statutory right of redemption allows a mortgagor to regain ownership of real property after it has been sold in foreclosure. This right does not apply here because the credit union is contending that the bank no longer has a mortgage on the property needed to bring this foreclosure action.

(Choice B) The principle of clogging the equity of redemption allows courts to reject a mortgagee's attempt to deny the mortgagor the ability to waive the right to redemption after the mortgage is executed—eg, by including a waiver clause in the mortgage. Here, the individual *was* able to waive her right to redeem the residence after the mortgage was executed, and that waiver is not at issue. Therefore, this principle does not apply.

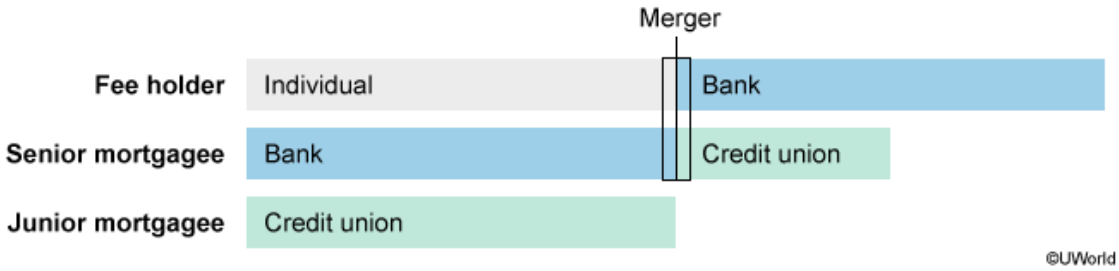
(Choice C) The common-law doctrine of caveat emptor (meaning "let the buyer beware") provides that a seller has no duty to disclose property defects to the buyer unless otherwise agreed. Since this doctrine is related to warranties, it has no effect on the bank's right to foreclose on a mortgage.

Educational objective:

Under the doctrine of merger, when the same person acquires a mortgagee's interest *and* the mortgagor's interest in the same property, the mortgage merges into the fee estate and is extinguished.

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Doctrine of merger as to mortgages



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An aspiring dancer purchased an apartment near the theater district from a local real estate broker. To complete the sale, the dancer signed a document entitled "Contract for Deed." The document provided that the dancer was to pay the broker in monthly installments over a five-year period for the apartment, but it was silent as to remedies in the event of any default.

Four years later, after never missing a payment, the dancer suffered a severe injury and was out of work for many months. When she missed a monthly payment, the broker notified her that he intended to retake possession of the apartment. The dancer refused to surrender possession unless the broker refunded some of the money that she paid him over the years.

Which of the following outcomes is the court LEAST likely to impose?

A. Require the broker to initiate judicial foreclosure proceedings on the property.

B. Require the broker to refund the dancer's payments to the extent that they exceed the broker's actual damages upon forfeiture.

C. Require the dancer to indemnify the broker for the delinquent payments in order to retain possession.

D. Require the dancer to pay the remaining contract balance to retain possession and obtain ownership.

Explanation:

Mortgage alternatives

Absolute deed	Debtor gives deed to creditor with intent to secure loan (ie, equitable mortgage)
Deed of trust	Debtor gives deed of trust to third-party trustee as collateral for debt, & creditor can instruct trustee to foreclose upon default
Installment land contract	Debtor agrees to buy land through installment payments & gets immediate possession, but seller keeps legal title until paid in full
Sale-leaseback	Seller leases property from buyer immediately after sale, & seller's rental payments function as repayments on loan
Equitable vendor's lien	Seller finances buyer's purchase with equitable vendor's lien when seller transfers title to buyer but purchase price not fully paid

A **contract for deed** (ie, installment land contract) is a type of mortgage alternative. Under this contract, the **buyer may take immediate possession** of the property, but the **seller retains title** until the buyer makes the final payment under an installment payment plan. Traditionally, a contract for deed allowed the seller to **keep all installment payments** and **retake possession** if the buyer failed to make a single payment—even if all but one payment was made. However, states now seek to assist a buyer in default by:

treating an installment land contract as a mortgage and requiring the seller to foreclose on the property to gain clear title **(Choice A)**

offering the buyer the equitable right of redemption by paying the remaining contract balance to retain possession and obtain ownership **(Choice D)** *or*

allowing the seller to retain ownership of the property but requiring some form of restitution to the buyer—eg, refunding the contract payments to the extent that they exceed the damages caused to the seller by the buyer's default **(Choice B)**.

However, a buyer cannot regain possession by merely indemnifying (ie, reimbursing) the seller for the missed payments. Therefore, the court is least likely to impose this outcome.

Educational objective:

A contract for deed allows a buyer to take immediate possession of the property while the seller retains title until the final installment payment is made. The seller could traditionally keep all installment payments and retake possession upon default. But states now assist buyers in default by requiring a foreclosure, offering the equitable right of redemption, or granting the buyer restitution.

References

Restatement (Third) of Property: Mortgages § 3.4 (Am. Law Inst. 1997) (contract for deed).

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A seller owned property in fee simple, as the land records showed, when he contracted to sell the property to a buyer. Two weeks later, the buyer paid the agreed price and received a warranty deed. A week thereafter, when neither the contract nor the deed had been recorded and while the seller remained in possession of the property, a creditor properly filed a money judgment against the seller. The creditor knew nothing of the buyer's interest.

A statute in the jurisdiction provides: "Any judgment properly filed shall, for ten years from filing, be a lien on the real property then owned or subsequently acquired by any person against whom the judgment is rendered."

The recording act of the jurisdiction provides: "No conveyance or mortgage of real property shall be good against subsequent purchasers for value and without notice unless the same be recorded according to law."

The creditor brought an appropriate action to enforce her lien against the property in the buyer's hands.

If the court decides for the buyer, what will be the most likely reason?

A. The buyer was a purchaser without notice.
B. The doctrine of equitable conversion applies.
C. The jurisdiction's recording act does not protect creditors.
D. The seller's possession gave the creditor constructive notice of the buyer's interest.

Explanation:

Payment of value

(bona fide purchaser)

Value	Release of existing debt
	Substantial amount not grossly inadequate in relation to property interest's value
No value	Security for existing debt
	Nominal payment (eg, $1)
	Recital of consideration in deed
	Gift, devise, or inheritance

Recording acts determine the priority of competing property interests. A **notice statute** (as seen here) only protects subsequent purchasers for value who lack notice of an earlier property interest. **Judgment creditors** are **not purchasers for value** since the attachment of a judgment lien to a debtor's property is merely **security for an existing debt**—not payment of valuable consideration. Therefore, judgment creditors are not protected under the notice statute, and the creditor here cannot enforce her judgment lien.

But even if the recording act did apply, the creditor could not enforce her judgment lien against the property. That is because a judgment creditor can only enforce an interest in property that is owned by the debtor. Here, the property had already been conveyed to the buyer (ie, the seller no longer owned it) when the creditor recorded her judgment lien. Therefore, the creditor never acquired an interest in the property.

(Choice A) Whether the buyer lacked notice would only matter if the buyer were trying to establish priority over an earlier property interest. Since the buyer has the earlier interest here, this information is irrelevant.

(Choice B) Under the doctrine of equitable conversion, the buyer receives *equitable* title after the parties enter a land sales contract. But this doctrine does not apply when, as here, the buyer acquired *legal* title—eg, by paying the purchase price and receiving the deed—before the judgment lien was obtained.

(Choice D) Inquiry notice (a form of constructive notice) exists when a buyer knows, or should know, of circumstances that would prompt a reasonable person to investigate—eg, visible use of the property. But here, whether the creditor had notice is irrelevant since she is not a buyer for value and the recording act does not apply.

Educational objective:

Judgment creditors are not purchasers for value since the attachment of a judgment lien to a debtor's property is merely security for an existing debt—not payment of valuable

consideration. Additionally, a judgment creditor can only enforce an interest in property that is owned by the debtor.

References

46 Am. Jur. 2d Judgments § 352 (2018) (priority of judgment liens).

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Seven years ago, a man conveyed vacant land by warranty deed to a woman, a bona fide purchaser for value. The woman did not record the warranty deed and did not enter into possession of the land.

Five years ago, the man conveyed the same land to a neighbor, also a bona fide purchaser for value, by a quitclaim deed. The neighbor immediately recorded the quitclaim deed and went into possession of the land.

Two years ago, the neighbor conveyed the land to a friend, who had notice of the prior conveyance from the man to the woman. The friend never recorded the deed, but he went into immediate possession of the land.

The jurisdiction has a notice recording statute and a grantor-grantee index system.

If the woman sues to eject the friend, will the woman be likely to succeed?

A. No, because the friend took possession of the land before the woman did.
B. No, because the neighbor's title was superior to the woman's title.
C. Yes, because the friend had notice of the conveyance from the man to the woman.
D. Yes, because the woman, unlike the friend, took title under a warranty deed.

Explanation:

Recording acts are used to evaluate the priority of competing interests in the same property. Most recording acts protect **bona fide purchasers** (BFPs)—ie, persons who:

pay value for an interest in property *and*

lack notice of a prior interest.

In a jurisdiction with a **notice recording act** (as seen here), a **BFP's property interest** is always **superior** to an earlier competing property interest. And under the **Shelter Rule**, a person who receives a **property interest from a BFP** is **protected** from prior interests by the recording act to the same extent as the BFP.

Here, the man first conveyed the vacant land to the woman (BFP) and then conveyed it to the neighbor (BFP). Since the neighbor was a BFP, the neighbor's title was superior to the woman's earlier title under the notice statute. And though the friend knew about the earlier conveyance to the woman when the neighbor conveyed the land to him (not a BFP), he is sheltered by the neighbor's BFP status **(Choice C)**. As a result, the woman will likely lose her suit to eject (ie, remove) the friend from the land.

(Choice A) The priority of competing property interests is not determined by who took possession first. Therefore, the friend's prior possession is not the reason the woman will lose. Instead, she will lose because the neighbor was a BFP and the friend is protected by the neighbor's BFP status under the Shelter Rule.

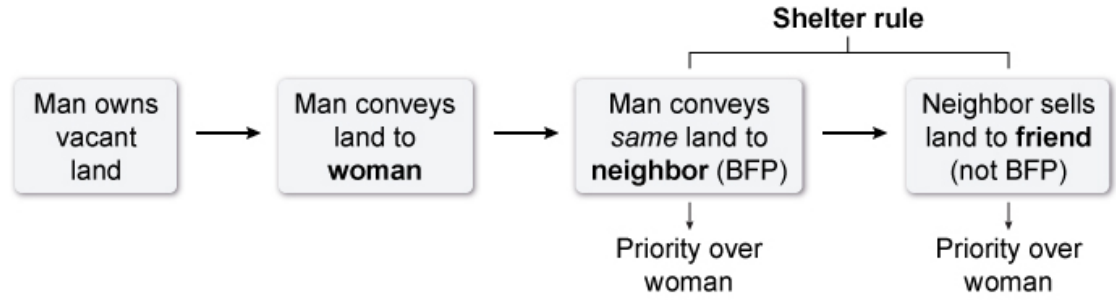
(Choice D) A warranty deed, unlike a quitclaim deed, contains assurances regarding the quality of title conveyed. But the type of deed is irrelevant in determining priority among competing property interests. Therefore, the fact that the woman took title under a warranty deed is not a basis for her to succeed in her suit to eject the friend.

Educational objective:

In a notice jurisdiction, a bona fide purchaser (BFP) without notice of an earlier competing property interest has priority over that competing interest. And under the Shelter Rule, a person who receives a property interest from a BFP is protected from prior interests to the same extent as the BFP.

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Shelter rule
Man owns vacant land
Man conveys land to **woman**
Man conveys *same* land to **neighbor** (BFP)
Neighbor sells land to **friend** (not BFP)
Priority over woman
Priority over woman

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A large corporation owned property in fee simple, as the real estate records showed. The corporation entered into a valid written contract to convey the property to a shareholder. At closing, the shareholder paid the price in full and received an instrument in the proper form of a deed, signed by duly authorized corporate officers on behalf of the corporation, purporting to convey the property to the shareholder. The shareholder did not then record the deed or take possession of the property.

Next, a creditor (who had no knowledge of the contract or the deed) obtained a substantial money judgment against the corporation. Then, the shareholder recorded the deed from the corporation. Thereafter, the creditor properly filed the judgment against the corporation.

A statute of the jurisdiction provides: "Any judgment properly filed shall, for ten years from filing, be a lien on the real property then owned or subsequently acquired by any person against whom the judgment is rendered."

Afterward, the shareholder entered into a valid written contract to convey the property to a local businessman. The businessman objected to the shareholder's title and refused to close.

The recording act of the jurisdiction provides: "Unless the same be recorded according to law, no conveyance or mortgage of real property shall be good against subsequent purchasers for value and without notice."

The shareholder brought an appropriate action to require the businessman to complete the purchase contract.

For whom should the court decide?

A. The businessman, because even though the corporation's deed to the shareholder prevented the creditor's judgment from being a lien on the property, the creditor's filed judgment poses a threat of litigation.

B. The businessman, because the creditor's judgment was obtained before the shareholder recorded the deed from the corporation.

C. The shareholder, because the shareholder received the deed from the corporation before the creditor filed his judgment.

D. The shareholder, because the shareholder recorded her deed before the creditor filed his judgment.

Explanation:

A money judgment is a court order awarding the plaintiff (ie, creditor) a sum of money that the defendant (ie, debtor) must pay. A **judgment lien** is created when:

the creditor obtains a money judgment against the debtor *and*

the **money judgment is properly filed** in the land records (majority rule).

Once a judgment lien is created, it attaches to the debtor's property and (1) prevents the owner from conveying marketable title and (2) remains with the property even if it is later conveyed to another. However, the lien can only attach to property **owned** by the debtor **at the time the lien is filed**.

Here, the creditor filed his judgment against the corporation *after* the shareholder had received the deed from the corporation—ie, when the corporation no longer owned the property. As a result, the judgment lien did not attach to the property, and the shareholder can convey marketable title. The court should therefore find in her favor and require the businessman to specifically perform the purchase contract.

(Choice A) A threat of litigation renders title unmarketable if a third party (eg, the creditor) could reasonably claim a superior interest in the buyer's property. Since the corporation's deed to the shareholder prevented the creditor's subsequent judgment from being a lien on the property, the creditor has no interest in the property. Therefore, though the creditor's filed judgment may pose a threat of litigation, the shareholder can convey marketable title.

(Choice B) The creditor's judgment would have attached to the property only if it had been *filed* before the shareholder received her deed. The fact that it was *obtained* before she recorded her deed is immaterial.

(Choice D) Recording is not required to transfer an interest in property. And since the property transferred to the shareholder when she *received* her deed (before the judgment was filed), she will prevail on that basis instead.

Educational objective:

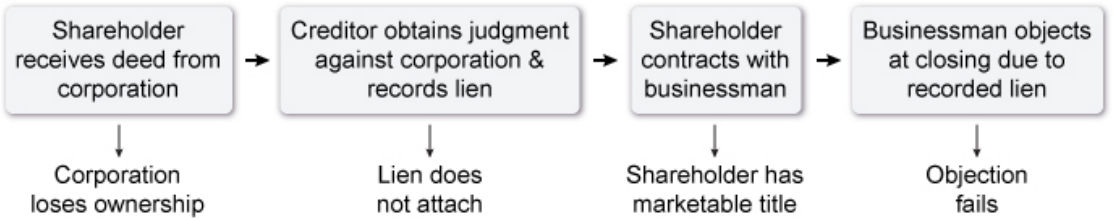
A properly filed judgment lien attaches to the debtor's property. The lien prevents the owner from conveying marketable title and remains with the property even if it is later conveyed to another. But a judgment lien can only attach to property owned by the debtor at the time the judgment lien is filed.

References

46 Am. Jur. 2d Judgments § 352 (2018) (priority of judgment liens).

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Shareholder receives deed from corporation
Creditor obtains judgment against corporation & records lien
Shareholder contracts with businessman
Businessman objects at closing due to recorded lien
Corporation loses ownership
Lien does not attach
Shareholder has marketable title
Objection fails

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A man borrowed money from a bank and executed a promissory note for the amount secured by a mortgage on an office building that he owned. Several years later, the man sold the building. As specified in the contract of sale, the deed to the buyer provided that the buyer agreed "to assume the existing mortgage debt" on the building.

Subsequently, the buyer defaulted on the mortgage loan to the bank, and appropriate foreclosure proceedings were initiated. The foreclosure sale resulted in a deficiency.

There is no applicable statute.

Is the buyer liable for the deficiency?

A. No, because even if the buyer assumed the mortgage, the man is solely responsible for any deficiency.

B. No, because the buyer did not sign a promissory note to the bank and therefore has no personal liability.

C. Yes, because the buyer assumed the mortgage and therefore became personally liable for the mortgage loan and any deficiency.

D. Yes, because the transfer of the mortgage debt to the buyer resulted in a novation of the original mortgage and loan and rendered the buyer solely responsible for any deficiency.

Explanation:

Mortgage documents are used to convey a lender (ie, mortgagee) an interest in real property to secure a debt. The debtor (ie, mortgagor) can freely **transfer mortgaged property** unless the parties agree otherwise. After the transfer, the mortgage remains attached to the property and the debtor remains personally liable for the mortgage debt. But the ***grantee's* obligations** depend on whether the grantee:

took **subject to the mortgage** – in which case, the grantee does not agree to pay and is **not personally liable** for the debt *or*

assumed the mortgage – in which case, the grantee *expressly* agrees to pay and becomes **personally liable** for the debt, while the **debtor** becomes **secondarily liable** as a surety.

When a grantee *assumes* the mortgage (as seen here) and defaults on the mortgage loan, the grantee is primarily liable for any deficiency from the foreclosure sale **(Choice B)**. Therefore, the buyer (grantee) is primarily liable for the deficiency here **(Choice A)**.

(Choice D) A novation is a separate agreement between a lender and debtor in which (1) the lender agrees to substitute a new party for the debtor and (2) the debtor is excused from liability for the debt. Therefore, merely transferring the mortgage debt to another does not create a novation.

Educational objective:

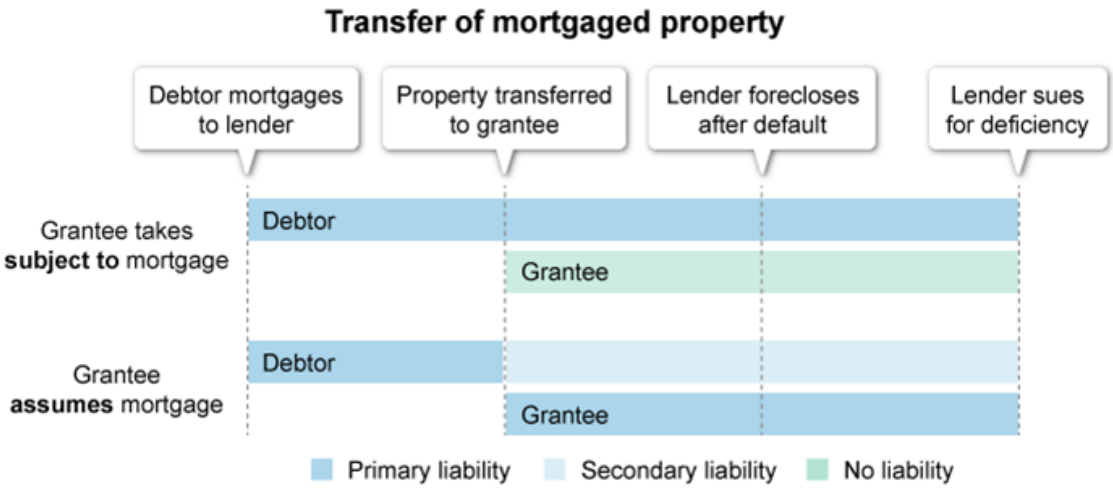
A party who assumes a mortgage expressly agrees to become personally liable for the mortgage debt. That means the party assuming the mortgage is primarily liable for paying any deficiency resulting from a foreclosure sale and the debtor is secondarily liable as a surety.

References

Restatement (Third) of Property: Mortgages § 5.1 (Am. Law Inst. 1997) (assuming a mortgage debt).

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Transfer of mortgaged property
Debtor mortgages to lender
Property transferred to grantee
Lender forecloses after default
Lender sues for deficiency
Grantee takes **subject to** mortgage
Debtor
Grantee
Grantee **assumes** mortgage
Debtor
Grantee
Primary liability
Secondary liability
No liability

Fifteen years ago, two men who were fishing buddies moved onto vacant rural land owned by a woman they didn't know and built a small fishing shack on it. Twelve years ago, the men replaced the shack with a fish processing plant and a commercial fishing boat dock. The men maintained their commercial fishery operation on the land until one of them died intestate last year, leaving a sole heir.

The period of time to acquire title by adverse possession in the jurisdiction is 10 years.

The woman has now become aware of the changes that have occurred on the land.

In an action to determine title, for whom should the court decide?

A. The man who is still alive and the deceased man's heir, because the men acquired title as tenants in common.
B. The man who is still alive, because he is the surviving adverse possessor.
C. The woman, because the use was changed by the men while they were in possession.
D. The woman, because title cannot be claimed by two adverse possessors simultaneously.

Explanation:

Types of concurrent estates

(real property owned by two or more persons)

	Creation language	**Succession of interest**
Tenancy in common*	"To A and B" "To A and B as tenants in common"	No right of survivorship
Joint tenancy	"To A and B as joint tenants with the right of survivorship"	Right of survivorship
Tenancy by the entirety	"To A and B as husband and wife" "To A and B as tenants by the entirety"	Indestructible right of survivorship

*Presumed unless creation language states otherwise

An adverse possessor can acquire title to land owned by another if his/her possession of the land is:

Open and notorious – apparent or visible to a reasonable owner

Continuous – uninterrupted for the statutory period

Exclusive – not shared with the owner

Actual – physical presence on the land

Non-permissive – hostile and adverse to the owner

When land is adversely possessed by **two or more persons**, the possessors acquire a concurrent ownership interest as **tenants in common**. Since a tenancy in common has **no right of survivorship**, a co-tenant's ownership interest will pass to his/her heirs if the co-tenant dies intestate (ie, without a will).

Here, the two men moved onto the land without the woman's permission or participation, opened a fishing operation, and continuously remained on the property for the 10-year statutory period **(Choice D)**. As a result, the men divested the woman of title through adverse possession and became co-tenants in common. Since one of the men later died intestate, his concurrent ownership interest passed to his sole heir. Therefore, the living man and the sole heir own the land as tenants in common.

(Choice B) The living man would have acquired sole ownership of the property upon the other man's death if the men had a joint tenancy—a concurrent ownership interest *with* the right of survivorship. But since the men only acquired a tenancy in common (*no* right of

survivorship) by adverse possession, the deceased man's interest passed to his sole heir—not the surviving adverse possessor.

(Choice C) To satisfy the continuous-use requirement, an adverse possessor must (1) constantly remain on the property *or* (2) consistently use the property in the same manner a usual owner would—eg, seasonal use of a hunting cabin, intermittent use for grazing cattle. Here, the men constantly remained on the property, so it does not matter that their use of the property changed.

Educational objective:

When two or more persons adversely possess the land of another, they acquire a tenancy in common—a concurrent ownership interest with *no* right of survivorship.

References

Restatement (First) of Property § 65 (Am. Law Inst. 1936) (creation of tenancy in common).

Restatement (First) of Property §§ 12–13 (Am. Law Inst. 1936) (transferring and devising a property interest).

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A man purchased a house that needed substantial repairs. The man financed the purchase of the house by borrowing funds from a bank. He signed a note to the bank and secured repayment of the loan with a mortgage. After purchasing the house, the man borrowed money from his credit union to make the repairs. The man signed a note to the credit union; this note was also secured by a mortgage on the house. Both mortgages were promptly recorded in the order granted. The man was personally liable on both loans.

The man moved into the house and made the necessary repairs. He later defaulted on the debt to the bank, and the bank initiated judicial foreclosure proceedings, naming both the man and the credit union as parties to the action. An outside party acquired the house at the foreclosure sale.

After the expenses of the sale and the balance due the bank have been paid, $5,000 remains in the sale proceeds. The outstanding balance of the credit union loan is $20,000. The man and the credit union both claim the $5,000.

There is no applicable statute.

Who is entitled to the $5,000?

A. The credit union, because the credit union has priority.
B. The credit union, because the man is personally liable on the debt.
C. The man, because of his equitable right of redemption.
D. The man, because the outside party received title to the house subject to the second mortgage.

Explanation:

Foreclosure is the process in which the creditor **forces the sale of the mortgaged property** to satisfy the debt. After the foreclosure sale, **proceeds are typically distributed** in the following **order of priority**:

Costs from the foreclosure sale (eg, attorneys fees, court costs)

Mortgage being foreclosed

Junior mortgages (or other junior liens), in the order of priority

Debtor, if any surplus remains

Here, the man mortgaged his house, first to the bank and then to the credit union. When the man defaulted on his debt to the bank, the bank foreclosed on his house. After the costs from the foreclosure sale and the bank's mortgage were paid, $5,000 remained. Since the credit union has the second (junior) mortgage and is still owed $20,000, it has priority over the man. Therefore, the credit union is entitled to the $5,000.

(Choice B) The fact that the man is personally liable on the remainder of the debt to the credit union is irrelevant to determining who is entitled to the $5,000. Instead, the credit union is entitled to the $5,000 because it is a junior lienholder with priority.

(Choice C) The equitable right of redemption allows a debtor who has defaulted on a mortgage to cure the default *before* the foreclosure sale by paying the full amount of the outstanding debt. But this right is irrelevant to determining who is entitled to the proceeds *after* the foreclosure sale.

(Choice D) Since the credit union was a party to the bank's foreclosure action, the purchaser took the house free and clear of (not subject to) the second mortgage. But had the credit union not been a party, the purchaser would have taken the house subject to that mortgage.

Educational objective:

The proceeds of a foreclosure sale are distributed in the following order of priority: (1) the costs from the foreclosure sale, (2) the mortgage being foreclosed, (3) junior liens in order of priority, and (4) the debtor.

References

55 Am. Jur. 2d Mortgages § 705 (2019) (distribution of foreclosure sale proceeds).

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Distribution of foreclosure sale proceeds



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A man owned land. He took out a loan that was secured by a mortgage on the land. The man had personal liability on the loan.

The man sold the land to a purchaser, who expressly assumed the mortgage debt. The purchaser failed to make two installment payments. To prevent default and foreclosure, the man paid the overdue installments. After making the payments, the man sued the purchaser for reimbursement.

Is the man likely to prevail?

A. No, because the man did not initiate foreclosure proceedings before seeking reimbursement.

B. No, because the man was personally liable on the loan.

C. Yes, because the law of suretyship permits the man to seek reimbursement.

D. Yes, because the man's transfer of the land discharged him from any personal liability on the loan.

Explanation:

Suretyship rights

(recourse for secondary obligor)

Specific performance	Court order requiring primarily obligor to specifically perform all or part of his/her contractual duties
Reimbursement	Repayment for secondary obligor fulfilling all or part of primary obligor's underlying contractual duties
Restitution	Repayment to secondary obligor to avoid unjust enrichment to primary obligor even when no duty exists
Subrogation	Secondary obligor given rights of primary obligor & is protected as though an assignment of rights occurred

A mortgagor (ie, borrower) is generally free to **transfer mortgaged property** to another (ie, transferee). After the sale, the mortgage remains attached to the property and the **mortgagor remains personally liable** for the mortgage debt in the absence of a release by the mortgagee (eg, bank). However, the transferee's obligations with respect to that debt depend on whether the transferee:

took **subject to** the mortgage – in which case, the **transferee** is ***not*** **personally liable** for the debt *or*
agreed to **assume the mortgage** – in which case, the **transferee** becomes **primarily liable** for the debt and the **mortgagor** becomes **secondarily liable** as a surety.
If a **transferee defaults** on an *assumed* mortgage and the **mortgagor then pays** that debt, the mortgagor can **seek reimbursement** from the transferee under the law of suretyship.

Here, the purchaser expressly *assumed* the man's mortgage debt, so the purchaser became primarily liable for the debt and the man became secondarily liable as a surety **(Choice D)**. The purchaser then defaulted by failing to make two installment payments. Since the man paid the overdue installments, the law of suretyship permits him to seek reimbursement from the purchaser. As a result, the man is likely to prevail.

(Choice A) A foreclosure proceeding can be initiated only by the mortgagee or the current holder of the mortgagee's security interest—not the mortgagor (eg, the man).

(Choice B) The right to seek reimbursement under the law of suretyship requires that the man be personally liable on the loan, which he was as a surety. Therefore, the man's personal liability provides a basis for him to *prevail*.

Educational objective:

When a mortgagor transfers mortgaged property to someone who assumes the mortgage, the transferee becomes primarily liable for the mortgage and the mortgagor becomes secondarily liable as a surety. So if the mortgagor pays the mortgage debt after the transferee defaults, the mortgagor can seek reimbursement.

References

Restatement (Third) of Property: Mortgages § 5.3 (Am. Law Inst. 1997) (assumption of a mortgage).

Restatement (Third) of Suretyship & Guaranty § 22 (Am. Law Inst. 1996) (surety's right to reimbursement).

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Twenty-five years ago, a seller conveyed a lot of land to a buyer by a warranty deed. The seller at that time also executed and delivered an instrument in the proper form of a deed, purporting to convey a second lot of land to the buyer. The seller thought she had title to the second lot but did not; therefore, no title passed by virtue of that deed. The second lot consisted of three acres of brushland adjoining the west boundary of the first lot. The buyer has occasionally hunted rabbits on the second lot, but less often than annually. No one else came on the second lot except occasional rabbit hunters.

Twenty years ago, the buyer planted a row of evergreens in the vicinity of the opposite (east) boundary of the first lot and erected a fence just beyond the evergreens to the east. In fact, both the trees and the fence were placed on a neighboring lot, owned by a neighbor, which bordered the east boundary of the first lot. The buyer was unsure of the exact boundary, and placed the trees and the fence in order to establish his rights up to the fence. The fence is located 10 feet within the neighboring lot.

Now, the buyer has had his property surveyed and the title checked and has learned the facts.

The period of time to acquire title by adverse possession in the jurisdiction is 15 years.

In an appropriate action, to which of the following would the buyer likely obtain title?

A. The second lot but not the 10-foot strip of the neighboring lot.

B. The 10-foot strip of the neighboring lot but not the second lot.

C. Both the second lot and the 10-foot strip of the neighboring lot.

D. Neither the second lot nor the 10-foot strip of the neighboring lot.

Explanation:

To acquire title to another's land by **adverse possession**, a person's possession of the land must be:

Open and notorious – apparent or visible to a reasonable owner

Continuous – uninterrupted for the statutory period

Exclusive – not shared with the owner

Actual – physical presence on the **portion of the land** to be adversely possessed

Non-permissive – hostile and adverse to the owner

Here, the buyer openly planted trees and built a fence 10 feet into a neighboring lot, which excluded the neighbor from that portion of his property. And since the trees and fence have continuously remained on the neighbor's property without his permission for over 15 years (the statutory period), the buyer likely obtained title to the 10-foot strip by adverse possession.

(Choices A & C) The buyer did not acquire title to the second lot by deed because the seller had no interest to convey. Therefore, the buyer could only acquire title by adverse possession. But since the buyer merely used the second lot to hunt rabbits *less often than annually* (no continuous use), he did not adversely possess that lot.

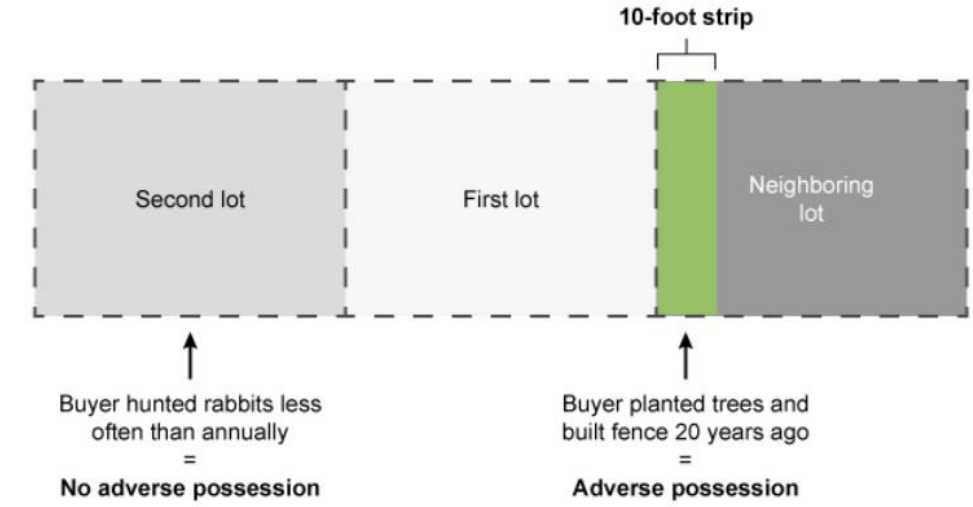
(Choice D) Although the buyer did not acquire title to the second lot, he did acquire title to the 10-foot strip of the neighboring lot by adverse possession.

Educational objective:

A person may acquire title to another's land by adverse possession if his/her possession of the land is open and notorious, continuous, exclusive, actual, and non-permissive (OCEAN). However, the adverse possessor can only acquire title to the portion of the land that he/she actually occupies.

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10-foot strip
Second lot
First lot
Neighboring lot
Buyer hunted rabbits less often than annually
=
No adverse possession
Buyer planted trees and built fence 20 years ago
=
Adverse possession

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A seller conveyed residential land to a buyer by a warranty deed that contained no exceptions and recited that the full consideration had been paid. To finance the purchase, the buyer borrowed 80% of the necessary funds from a bank. The seller agreed to finance 15% of the purchase price, and the buyer agreed to provide cash for the remaining 5%.

At the closing, the buyer signed a promissory note to the seller for 15% of the purchase price but did not execute a mortgage. The bank knew of the loan made by the seller and of the promissory note executed by the buyer to the seller. The buyer also signed a note to the bank, secured by a mortgage, for the 80% advanced by the bank.

The buyer has now defaulted on both loans. There are no applicable statutes.

Which loan has priority?

A. The bank's loan, because it was secured by a purchase-money mortgage.

B. The bank's loan, because the seller can finance a part of the purchase price only by use of an installment land contract.

C. The seller's loan, because a promissory note to a seller has priority over a bank loan for residential property.

D. The seller's loan, because the bank knew that the seller had an equitable vendor's lien.

Explanation:

The seller received a promissory note—ie, a legal document that creates or memorializes a debt—but no lien or mortgage to secure the debt. But when a **seller transfers title** to a buyer and any portion of the **purchase price remains unpaid**, an **equitable vendor's lien** may be **implied** by law. Therefore, the seller *may* have an equitable vendor's lien, but the deed recites that the full consideration was paid.

The bank received a promissory note secured by a mortgage—ie, a lien against real property given to secure a debt. Since the **mortgage** was given to **secure the purchase price** of the mortgaged property, it is a **purchase-money mortgage** (PMM). PMMs have **super priority** over all prior liens regardless of whether the PMM or those liens are recorded. Therefore, the bank's loan has priority—regardless of whether it knew of the seller's lien **(Choices C & D)**.

(Choice B) A seller can finance the purchase of land through *several* means—including a PMM, equitable vendor's lien, and installment land contract. An installment land contract is an agreement where the debtor promises to make regular installment payments until the full contract price is paid (not seen here).

Educational objective:

An equitable vendor's lien is implied by law when a seller transfers title to a buyer and any portion of the purchase price remains unpaid. In contrast, a purchase-money mortgage is created when a mortgage is given to secure the purchase price of the mortgaged property, thereby giving it super priority over all other mortgages and liens.

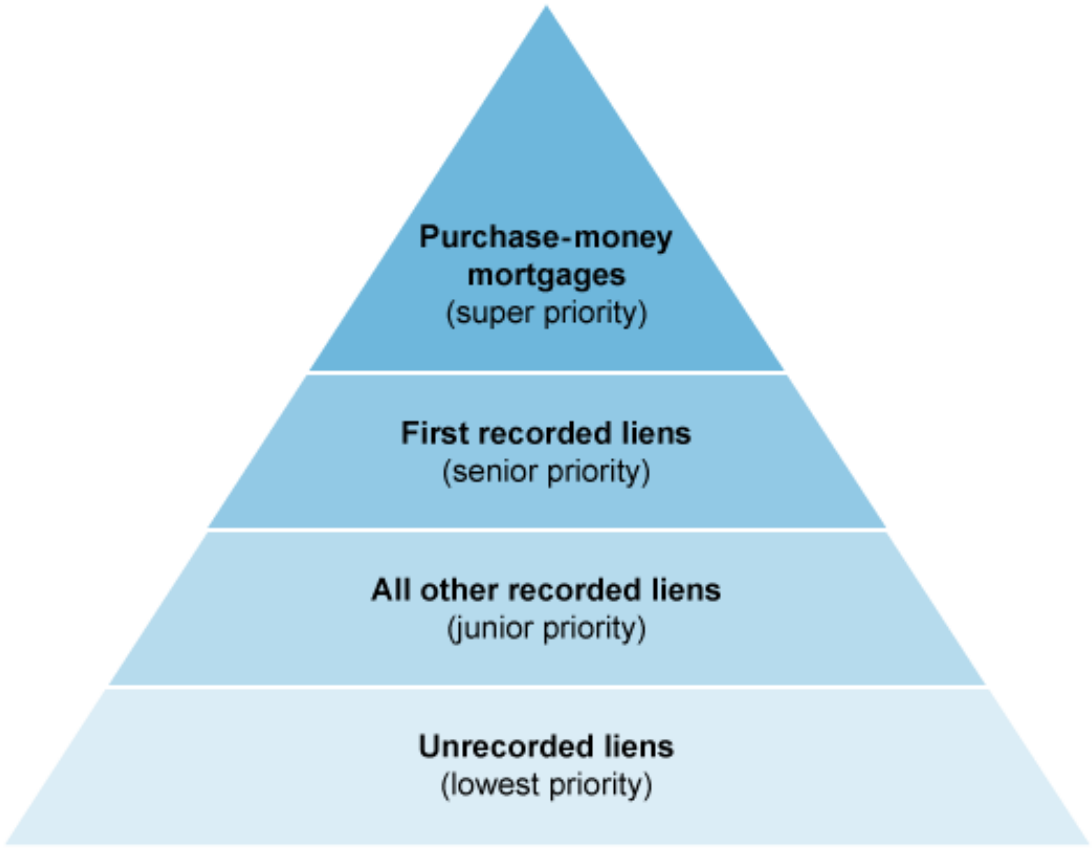
References

Restatement (Third) of Property: Mortgages § 7.2 (Am. Law Inst. 1997) (priority of purchase-money mortgages)

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Lien priority on real property



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Two friends planned to incorporate a business together and agreed that they would own all of the corporation's stock in equal proportion.

A businesswoman conveyed land by a warranty deed to "the corporation and its successors and assigns." The deed was recorded.

Thereafter, the friends had a disagreement. No papers were ever filed to incorporate the business. There is no applicable statute.

Who owns the land?

A. The businesswoman, because the deed was a warranty deed.

B. The businesswoman, because the deed was void.

C. The two friends as tenants in common, because they intended to own the corporation's stock in equal proportion.

D. The two friends as tenants in common, because they were the intended sole shareholders.

Explanation:

Deed requirements

Requirements	Valid	Invalid
Written & signed by grantor	Any written instrument signed by grantor	Oral (except permissible gift) Signed only by grantee
Identifies grantor & grantee	Separate grantor & grantee (except concurrent estates) Identifiable by name or description	Ambiguous/unidentifiable grantee(s) Nonexistent grantee
Identifies land	Identifiable by reasonable certainty—eg: Government survey Metes & bounds Street, lot, house number	Ambiguous description (but extrinsic evidence admissible) Undefined part of larger parcel
Includes words of transfer	"Convey" "Transfer" "Grant" "Sell"	"Lease" "Rent" "License"

A deed is a document that conveys an interest in real property from the owner (grantor) to another (grantee). But to be valid, a **deed must**:

be in writing and signed by the grantor
identify the grantor and the grantee
contain words of transfer (eg, "deed over," "transfer," "give") *and*
describe the property interest being transferred.
If the deed refers to a **nonexistent grantee** (eg, a corporation that has not been legally formed), the **deed is void** and the property interest remains with the grantor.

Here, two friends planned to incorporate a business together. But since that corporation was never legally formed, the warranty deed that purported to convey the businesswoman's land to that corporation (a nonexistent grantee) was void. Therefore, no title was conveyed and the businesswoman still owns the land.

(Choice A) A deed to a nonexistent grantee (as seen here) is void. Therefore, the type of deed (ie, general warranty, special warranty, quitclaim) that was used in the failed conveyance is irrelevant.

(Choices C & D) Since the corporation was never legally formed (nonexistent grantee), the deed was void and the businesswoman retained ownership of the land. But had the corporation been legally formed, the property would have been owned by the corporation—not the two friends as tenants in common. Therefore, the two friends' intent to own the corporation's stock in equal proportion and be the sole shareholders is immaterial.

Educational objective:

A deed must (1) be in writing and signed by the grantor, (2) identify the grantor and the grantee, (3) contain words of transfer, and (4) describe the property interest being transferred. Therefore, a deed to a nonexistent grantee (eg, a corporation that has not been legally formed) is void.

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A man borrowed money from a lender and mortgaged land that he owned to secure repayment of the loan. Before he had completely repaid the loan, the man conveyed the land to an investor, who expressly assumed the loan. The note and mortgage did not contain a due-on-sale clause.

After the investor had made several payments on the loan, she defaulted on two payments. The lender notified the man and the investor of its intention to accelerate the loan pursuant to the terms of the note and mortgage unless the default was cured within 60 days. When neither the man nor the investor made the required payment, the lender accelerated the loan and initiated foreclosure proceedings, naming both the man and the investor as party defendants. The foreclosure sale resulted in a deficiency. The lender has sought a deficiency judgment against only the man, because the investor has become insolvent in the meantime.

Will the court likely find the man liable for the deficiency?

A. No, because the investor's express assumption of the loan released the man from liability.

B. No, because the lender must first seek to obtain a deficiency judgment against the investor.

C. Yes, because even after the assumption, the man remains liable as a surety of the investor in the absence of a release from the lender.

D. Yes, because the note and mortgage did not contain a due-on-sale clause.

Explanation:

A mortgage is an interest in real property given to a lender (mortgagee) to secure a debt. The debtor (mortgagor) can freely **transfer mortgaged property** to a grantee unless the mortgage states otherwise. After the transfer, the mortgage remains attached to the property and the **debtor remains personally liable** for the mortgage debt. But the grantee will become liable for the debt only if the grantee *expressly* agrees to assume the mortgage.

Assumption of a mortgage makes the **grantee primarily liable** for the debt and the **debtor secondarily liable** as a surety in the absence of a release from the lender **(Choice A)**. This means a lender can sue the grantee, the debtor, or both for any deficiency resulting from a foreclosure sale **(Choice B)**. If the debtor pays any amount of the deficiency, the debtor can seek reimbursement from the grantee.

(Choice D) A due-on-sale clause allows a lender to demand full payment of the remaining mortgage debt if the debtor sells the mortgaged property without the lender's permission. However, this type of clause (or the absence thereof) does not affect the debtor's liability to the lender for a deficiency judgment after a foreclosure sale.

Educational objective:

A grantee who *assumes* a mortgage is primarily responsible for a deficiency from a foreclosure sale, and the debtor is secondarily liable as a surety in the absence of a release from the lender. The lender can sue the grantee, the debtor, or both to recover the deficiency amount, and the debtor can seek reimbursement from the grantee.

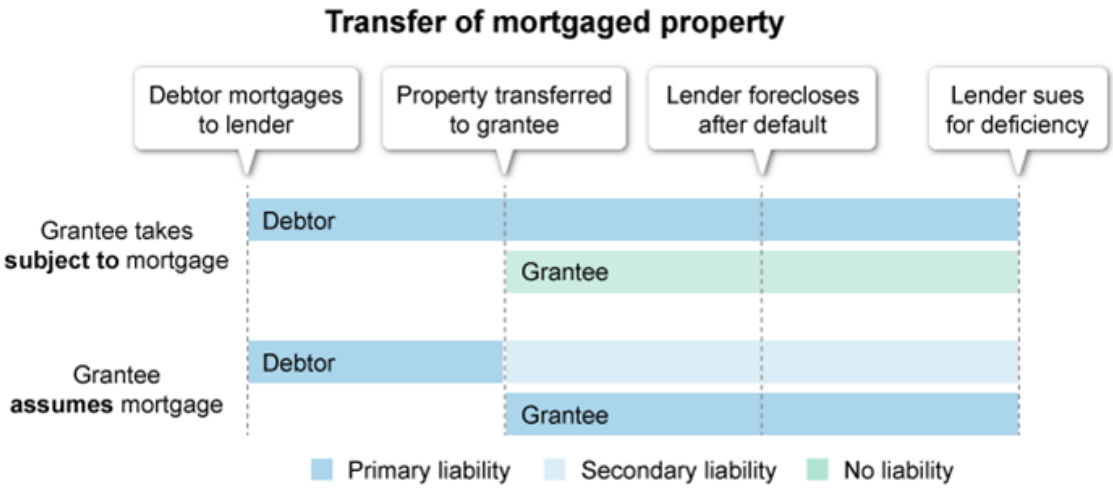
References

Restatement (Third) of Property: Mortgages § 5.1 (Am. Law Inst. 1997) (assumption of a mortgage).

55 Am. Jur. 2d Mortgages § 967 (2019) (deficiency judgments).

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Transfer of mortgaged property
Debtor mortgages to lender
Property transferred to grantee
Lender forecloses after default
Lender sues for deficiency
Grantee takes **subject to** mortgage
Debtor
Grantee
Grantee **assumes** mortgage
Debtor
Grantee
Primary liability
Secondary liability
No liability

When a homeowner became ill, he properly executed a deed sufficient to convey his home to his nephew, who was then serving overseas in the military. Two persons signed as witnesses to qualify the deed for recording under an applicable statute. The homeowner handed the deed to his nephew's friend and said to her, "I want [the nephew] to have my home. Please take this deed for him." Shortly thereafter, the nephew's friend learned that the homeowner's death was imminent. One day before the homeowner's death, the nephew's friend recorded the deed. The nephew returned home shortly after the homeowner's death, learned about the deed, and took possession of the home. The homeowner had died intestate, leaving a daughter as his sole heir. When she asserted ownership of the home, the nephew brought an appropriate action against her to determine title. The law of the jurisdiction requires only two witnesses for a will to be properly executed.

If the court rules for the nephew and against the daughter, what will be the most likely explanation?

A. The deed was delivered when the homeowner handed it to the nephew's friend.

B. The delivery of the deed was accomplished by the recording of the deed.

C. The homeowner's death consummated a valid gift causa mortis to the nephew.

D. The homeowner's properly executed deed was effective as a testamentary document.

Explanation:

A **deed** is a legal instrument that **transfers ownership** of real property from the owner (grantor) to another (grantee). But to be effective, the deed must be:

delivered by the grantor – evidenced by the grantor's present intent to convey ownership to the grantee *and*

accepted by the grantee – presumed if the transfer is beneficial to the grantee.

Delivery is presumed when the deed has been recorded or is in the grantee's possession. **Delivery** also occurs when the deed is **physically handed** to the **grantee's agent**—ie, a third party acting on behalf of the grantee.

Here, the homeowner properly executed a deed conveying his home to the nephew. Since that transfer benefited the nephew, acceptance is presumed. Therefore, if the court rules in favor of the nephew, the most likely explanation is that the deed was delivered when the homeowner handed it to the nephew's friend (agent) and told her to take it on the nephew's behalf.

(Choice B) Recording a deed (ie, filing it in official land records) creates a presumption of delivery. But here, delivery occurred when the homeowner handed the deed to the nephew's friend, which happened before the deed was recorded.

(Choice C) A gift causa mortis (ie, deathbed gift) is a gift of *personal* property made in expectation of the grantor's imminent death. Here, the homeowner gifted *real* property (his home) to the nephew. And this gift was not made in expectation of imminent death since the homeowner's death became imminent *after* he delivered the deed.

(Choice D) A deed requires the grantor's present intent to convey ownership to the grantee—ie, the grantor must intend that title transfer immediately. And since a testamentary document (eg, a will or testament) only takes effect upon the testator's death (no intent to presently transfer), a deed cannot serve as a testamentary document.

Educational objective:

To effectively transfer an interest in real property, a deed must be (1) delivered by the grantor and (2) accepted by the grantee. The grantor can deliver the deed by handing it to the grantee's agent.

References

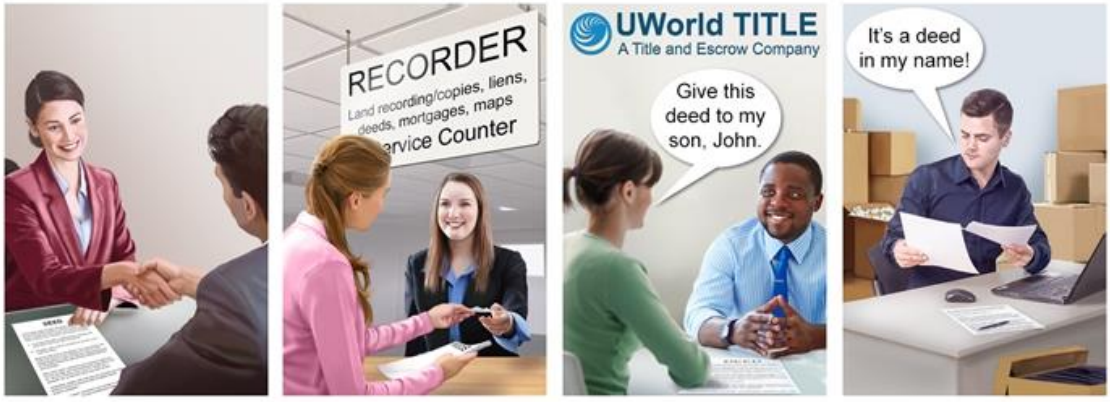
Restatement (Second) of Property: Donative Transfers § 32.3 (Am. Law Inst. 1992) (transfer relating to land).

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Presumptive delivery of a deed

Physical transfer to grantee	Recording in land records	Without conditions to a third party	Grantee obtains possession



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A landowner mortgaged her land to a nationally chartered bank as security for a loan. The mortgage provided that the bank could, at its option, declare the entire loan due and payable if all or any part of the land, or an interest therein, was sold or transferred without the bank's prior written consent.

Subsequently, the landowner wanted to sell the land to a neighbor by an installment land contract, but the bank refused to consent. The neighbor's credit was good, and all mortgage payments to the bank were fully current.

The landowner and the neighbor consulted an attorney about their proposed transaction, their desire to complete it, and the bank's refusal to consent.

What would the attorney's best advice be?

A. By making the transfer in land contract form, the landowner will prevent enforcement of the due-on-sale clause if the mortgage payments are kept current.

B. Even if the landowner transfers to the neighbor by land contract, the bank may accelerate the debt and foreclose if the full amount is not paid.

C. The due-on-sale clause is void as an illegal restraint on alienation of the fee simple, so they may proceed.

D. The only effect of the due-on-sale clause is that the proposed transfer will automatically make the neighbor personally liable on the debt, whether or not the neighbor specifically agrees to assume it.

Explanation:

Common mortgage provisions

Acceleration clause	Allows creditor to demand entire loan due & payable if debtor defaults
Due-on-sale clause	Allows creditor to demand entire loan due & payable if debtor sells mortgaged property without permission
Due-on-encumbrance clause	Allows creditor to accelerate mortgage obligation if debtor obtains second mortgage or otherwise encumbers property
Defeasance clause	Requires creditor to give debtor legal title to property & release mortgage lien once all payments are made

Mortgage documents are used to convey a lender an interest in real property to secure debt. These documents may contain a **due-on-sale clause**, which allows the lender to demand **full payment** of the remaining mortgage debt if the **debtor transfers** the mortgaged property **without the lender's consent**. If the debtor is **unable to pay**, the lender can bring a **foreclosure action** to force the sale of the property to satisfy any remaining debt.

Here, the landowner seeks to transfer the mortgaged property to the neighbor through an installment land contract *without* the bank's consent. However, the method used to transfer the mortgaged property has no effect on the enforceability of a due-on-sale clause—even if mortgage payments are kept current **(Choice A)**. The attorney should therefore advise the parties that the bank may accelerate the debt and foreclose if the full amount is not paid.

(Choice C) Due-on-sale clauses are restraints on alienation because they restrict a debtor's ability to transfer the mortgaged property. However, these restraints are considered *reasonable* and can be challenged only if the lender engaged in unconscionable conduct when exercising the clause.

(Choice D) Under the due-on-sale clause, the unauthorized transfer will make the landowner personally liable on the debt, but it would make the neighbor liable *only if* he specifically agreed to assume it.

Educational objective:

A due-on-sale clause allows a lender to demand full payment of the remaining mortgage debt if the debtor transfers the mortgaged property without permission. If the debtor is unable to pay, the lender may bring a foreclosure action to force the sale of the property to satisfy any remaining debt.

References

55 Am. Jur. 2d Mortgages § 415 (2019) (due-on-sale clauses).

Rustic Hills Shopping Plaza, Inc. v. Columbia Sav. & Loan Ass'n, 661 P.2d 254, 256–57 (Colo. 1983) (holding that the unauthorized transfer of mortgaged property by an installment land contract triggered the due-on-sale clause).

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A man who owned property in fee simple mortgaged the property to a bank to secure a loan of $100,000. The mortgage was promptly and properly recorded. The man later mortgaged the property to his mother to secure a loan of $50,000. This mortgage was also promptly and properly recorded. Subsequently, the man conveyed the property to a purchaser. About a year later, the purchaser borrowed $100,000 from an elderly widow and gave her a mortgage on the property to secure repayment of the loan. The widow did not know about the mortgage held by the mother. The understanding between the purchaser and the widow was that the purchaser would use the $100,000 to pay off the mortgage held by the bank and that the widow would therefore have a first mortgage on the property. The widow's mortgage was promptly and properly recorded. The purchaser paid the $100,000 received from the widow to the bank and obtained and recorded a release of the bank's mortgage.

The $50,000 debt secured by the mother's mortgage was not paid when it was due, and the mother brought an appropriate action to foreclose, joining the man, the purchaser, and the widow as defendants and alleging that the mother's mortgage was senior to the widow's mortgage on the property.

If the court rules that the widow's mortgage is entitled to priority over the mother's mortgage, which of the following determinations are necessary to support that ruling?

A. The bank's mortgage was originally senior to the mother's mortgage.
B. The widow is entitled to have the bank's mortgage revived for her benefit, and the widow is entitled to be subrogated to the bank's original position as senior mortgagee.
C. There are no countervailing equities in favor of the mother.
D. All of the above.

Explanation:

Lien priority is generally determined by who records first (ie, first in time, first in right). However, **subrogation** allows a **third party** who fully **pays off** a senior mortgage to take that **senior mortgage's priority** so long as the third party had **no *actual* knowledge** of **junior interests**.* This does not harm junior interests because they retain the same lien priority.

Here, the bank's mortgage was recorded first, so it had priority over the mother's mortgage. The widow's mortgage was recorded last. However, the widow's loan was used to fully pay off the bank's senior mortgage, and the widow did not know about the mother's mortgage. As a result, the widow acquired the bank's senior mortgage through subrogation. Also, there are no equities in the mother's favor because she has retained her second-in-priority status **(Choices A, B & C)**.

*In a minority of jurisdictions, record notice is also sufficient to preclude subrogation.

Educational objective:

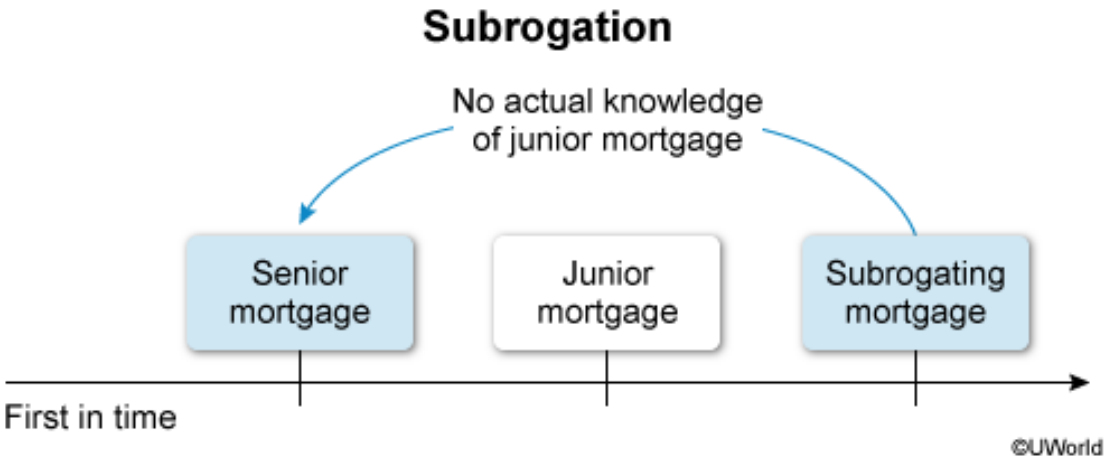
Subrogation allows a third party to take a senior mortgage's priority when the third party (1) fully pays off the senior mortgage and (2) has no *actual* knowledge of junior interests.

References

Restatement (Third) of Property: Mortgages § 7.6 (Am. Law Inst. 1997) (doctrine of subrogation).

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A mother executed a will devising vacant land to her son. The mother showed the will to her son.

Thereafter, the son purported to convey the land to a friend by a warranty deed that contained no exceptions. The friend paid value for the land and promptly recorded the deed without having first conducted any title search. The friend never took possession of the land.

The mother later died, and the will devising the land to her son was duly admitted to probate.

Thereafter, the friend conducted a title search for the land and asked the son for a new deed. The son refused, because the value of the land had doubled, but he offered to refund the purchase price to the friend.

The friend has sued to quiet title to the land.

Is the friend likely to prevail?

A. No, because the son had no interest in the land at the time of conveyance.

B. No, because the son offered to refund the purchase price.

C. Yes, because of the doctrine of estoppel by deed.

D. Yes, because the deed was recorded.

Explanation:

The doctrine of **estoppel by deed** (ie, after-acquired title) applies when a grantor **conveys property** to a grantee **by warranty deed**—not quitclaim deed—**before** the grantor has **acquired title** to that property. And once the grantor receives title, this doctrine will cause it to **automatically transfer** to the grantee. The grantee can then accept that transfer or reject it (and sue for damages).

Here, the son conveyed the land to a friend by a warranty deed *before* the son acquired title under his mother's will. But since the son received title when his mother later died, that title automatically transferred to the friend **(Choice A)**. And since the friend accepted that transfer by suing to quiet title to the land, the friend will likely prevail because of the doctrine of estoppel by deed.

(Choice B) Although the son offered to refund the purchase price, the friend was not required to accept it. Instead, the friend chose to accept title to the land by suing to quiet title—not to recover damages.

(Choice D) Although the friend recorded the deed, this would only protect the friend from *subsequent* ownership claims. And since the son acquired title to the land *before* it automatically transferred to the friend, the recording would not protect against the son's earlier ownership claim.

Educational objective:

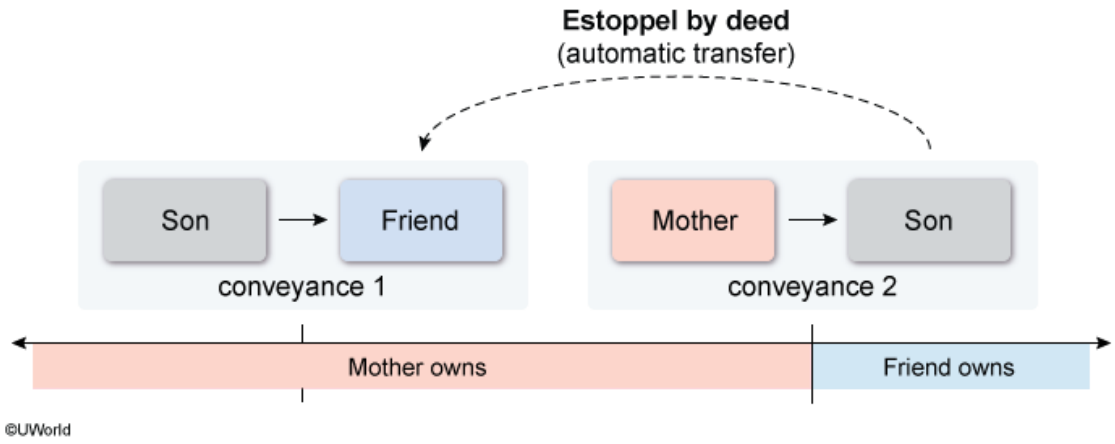
The doctrine of estoppel by deed applies when a grantor conveys property by warranty deed before acquiring title to that property. And once the grantor receives title, it will automatically transfer to the earlier grantee who can then accept or reject the transfer.

References

23 Am. Jur. 2d Deeds § 278 (2018) (estoppel by deed).

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Estoppel by deed
(automatic transfer)
Son
Friend
conveyance 1
Mother
Son
conveyance 2
Mother owns
Friend owns
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A businessman executed a promissory note for $200,000 to a bank, secured by a mortgage on commercial real estate owned by the businessman. The promissory note stated that the businessman was not personally liable for the mortgage debt.

One week later, a finance company obtained a judgment against the businessman for $50,000 and filed the judgment in the county where the real estate was located. At the time the judgment was filed, the finance company had no actual notice of the bank's mortgage.

Two weeks after that filing, the bank recorded its mortgage on the businessman's real estate.

The recording act of the jurisdiction provides: "Unless the same be recorded according to law, no conveyance or mortgage of real property shall be good against subsequent purchasers for value and without notice or against judgment creditors without notice."

The finance company sued to enforce its judgment lien against the businessman's real estate. The bank intervened in the action, contending that the judgment lien was a second lien on the real estate and that its mortgage was a first lien.

Is the bank's contention correct?

A. No, because the businessman was not personally liable for the mortgage debt, and the mortgage was therefore void.

B. No, because the judgment lien was recorded before the mortgage, and the finance company had no actual notice of the mortgage.

C. Yes, because a mortgage prior in time has priority over a subsequent judgment lien.

D. Yes, because the recording of a mortgage relates back to the date of execution of the mortgage note.

Explanation:

The **priority of mortgages** and other liens is generally determined by their **recording dates**—not by the order in which those interests were created **(Choices C & D)**. **Purchase-money mortgages** (PMMs), however, have **super priority** over all other liens—whether or not the PMM or those liens are recorded—because PMMs **secure the purchase price** of the mortgaged property.

Here, the businessman mortgaged commercial real estate he *already owned* to the bank (not a PMM). One week later, the finance company filed a judgment lien against the real estate in a jurisdiction whose recording act expressly protects judgment creditors who lack notice.* Since the judgment lien was recorded *before* the mortgage, the finance company lacked constructive (ie, record or inquiry) notice. Therefore, the judgment lien has first priority because the finance company also lacked actual notice of the bank's prior mortgage.

*Most recording acts protect only subsequent purchasers for value who lack notice of prior competing interests in the property—not judgment creditors since they do not pay value for an interest in the property.

(Choice A) A mortgage is enforceable even if no one is personally liable for payment of the mortgage debt.

Educational objective:

The priority of mortgages (and other liens) is generally determined by the order of recording unless the mortgage enjoys super priority as a purchase-money mortgage.

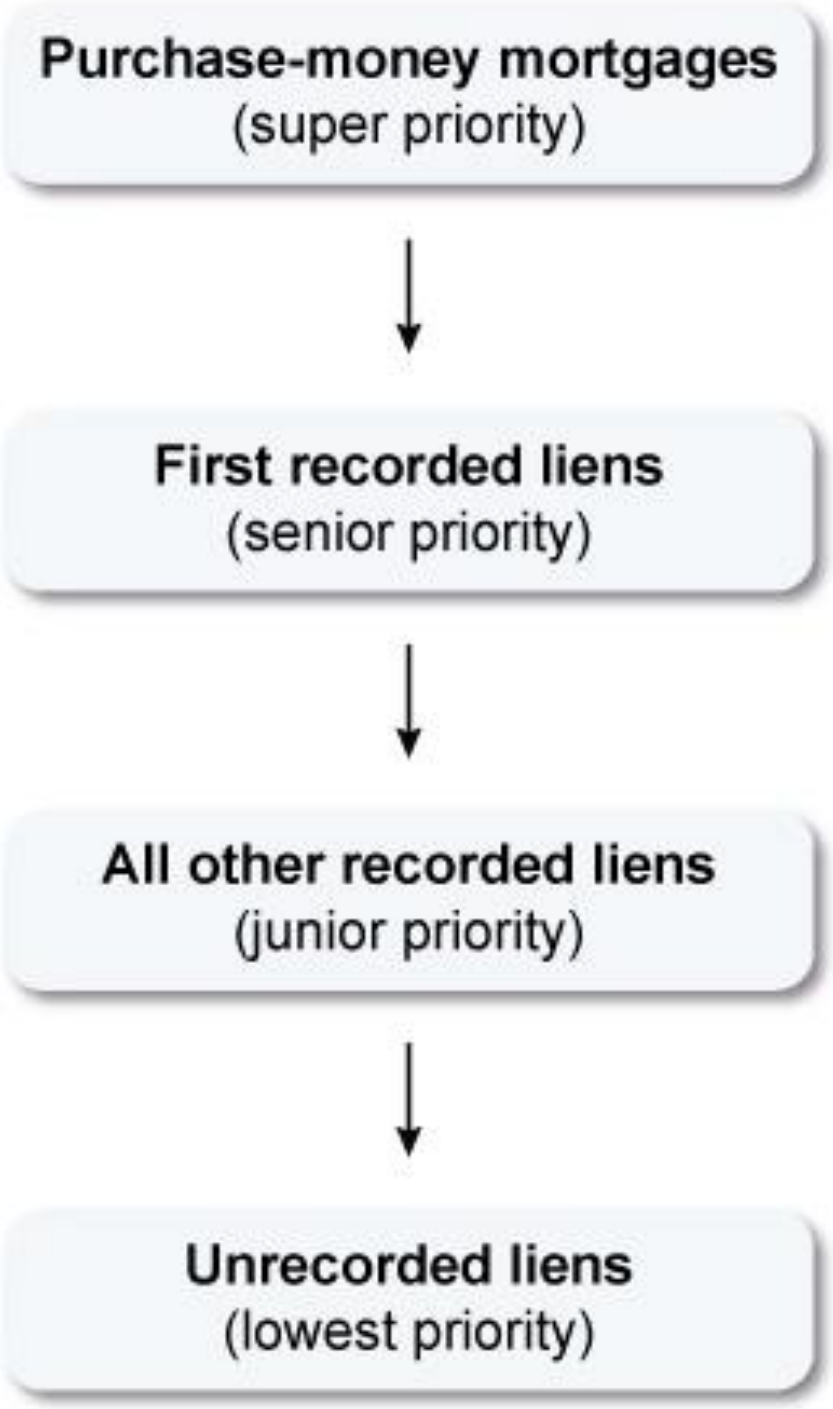
References

Restatement (Third) of Property: Mortgages § 7.1 cmt. a (Am. Law Inst. 1997) (noting that recording acts may alter the priority of mortgages differently than their chronological creation).

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Lien priority on real property



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Eight years ago, a farmer, prior to moving to a distant city, conveyed his farm to his son by a quitclaim deed. The son paid no consideration. The son, who was 19 years old, without formal education, and without experience in business, took possession of the farm and operated the farm but neglected to record his deed. Subsequently, the farmer conveyed the farm to a friend by warranty deed. The friend, a substantial land and timber promoter, paid valuable consideration for the deed to him. He was unaware of the son's possession, his quitclaim deed, or his relationship to the farmer. The friend promptly and properly recorded his deed and began removing timber from the land. Immediately upon learning of the friend's actions, the son recorded his deed and brought an appropriate action to enjoin the friend from removing the timber and to quiet title in the son.

The recording act of the jurisdiction provides: "No conveyance or mortgage of real property shall be good against subsequent purchasers for value and without notice unless the same be recorded according to law."

In this action, should the friend prevail?

A. No, because the equities favor the son.

B. No, because the son's possession charged the friend with notice.

C. Yes, because a warranty deed for valuable consideration takes priority over a quitclaim deed without consideration.

D. Yes, because the farmer's subsequent conveyance to the friend revoked the gift to the son.

Explanation:

Recording acts are used to evaluate the priority of competing property interests. In a **notice jurisdiction** (as seen here), a **bona fide purchaser's** (BFP's) property interest has priority over an earlier property interest if the BFP **lacked notice**.

Here, the farmer gifted his farm to his son. The farmer then sold the farm to his friend. The friend was unaware of the son's prior interest when he purchased the farm (no actual notice), and the son had not recorded his deed at that time (no record notice). But since the son possessed and operated the farm, the friend was charged with inquiry notice of the son's prior interest. Therefore, the son's interest has priority and the friend will not prevail in the quiet title action.

(Choice A) The equities (ie, fairness factors) may favor the son since he was only 19 years old, lacked a formal education, and had no experience in acquiring property. But this information is irrelevant in determining whether his interest or the friend's has priority.

(Choice C) In a notice jurisdiction, a warranty deed for valuable consideration (eg, the friend's deed) only has priority over an earlier quitclaim deed without consideration (eg, the son's deed) if the recipient of the warranty deed lacked notice. Here, the friend had inquiry notice of the son's interest, so the friend will not prevail.

(Choice D) A gift of land is effective once it has been delivered by the grantor and accepted by the grantee (eg, the son). The grantor's subsequent conveyance of the land to a third party (eg, the friend) does *not* revoke the prior gift. Therefore, the friend will not prevail on this basis.

Educational objective:

In a notice jurisdiction, a bona fide purchaser without notice of an earlier property interest will prevail. Inquiry notice exists if a buyer knows, or should know, of circumstances that would prompt a reasonable person to investigate (eg, visible use of the property).

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Actual notice



Record notice



Inquiry notice



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A brother and sister owned in fee simple a large piece of property as tenants in common, each owning an undivided one-half interest. The brother and sister joined in mortgaging the property to their cousin by a properly recorded mortgage that contained a general warranty clause. The brother became disenchanted with land-owning and notified the sister that he would no longer contribute to the payment of installments due to the cousin. After the mortgage was in default and the cousin made demand for payment of the entire amount of principal and interest due, the sister tendered to the cousin, and the cousin deposited, a check for one-half of the amount due to the cousin. The sister then demanded a release of her undivided one-half interest. The cousin refused to release any interest in the property. The sister promptly brought an action against the cousin to quiet title to an undivided one-half interest in the property.

In such action, should the sister win or lose?

A. Lose, because the cousin's title had been warranted by an express provision of the mortgage.

B. Lose, because there was no redemption from the mortgage.

C. Win, because the co-tenancy of the mortgagors was in common and not joint.

D. Win, because the sister is entitled to marshalling.

Explanation:

Right of redemption

(regaining title after default on loan)

	Timing	**Assertion of right**
Equitable right (always exists)	At any time prior to foreclosure sale	Pay full amount of debt due (including interest) to lender
Statutory right (if statute exists)	Statutory period after property has been sold in foreclosure	Pay foreclosure sale price to purchasing party

Tenants who **jointly mortgage co-owned property** are responsible for repaying that debt in proportion to their respective ownership interests (unless they agree otherwise). If the mortgage goes into default, any tenant can **avoid foreclosure** by exercising the **equitable right of redemption**. This right allows a tenant to cure the default by **paying the full amount** of the outstanding debt—including any amount owed by the other tenants. The paying tenant can then seek contribution (ie, reimbursement) from the other tenants for their share of the debt.

Here, the brother and sister (tenants in common) jointly mortgaged their property to the cousin. When the brother stopped paying his share of the debt, the mortgage went into default. And though the sister tried to redeem her one-half interest in the property by paying half the amount due, she could only cure the default by paying the *full* amount due. Therefore, there was no redemption from the mortgage, and the sister's quiet title action will fail.

(Choice A) A general warranty clause in a mortgage (as in a deed) promises that title is free of any encumbrances or defects. Although this guarantees that the cousin will acquire clear title upon foreclosure, it does not extinguish the sister's right to redeem the property.

(Choice C) The sister had to pay the full amount of the debt to redeem the property, regardless of whether she was a tenant in common or joint tenant.

(Choice D) Marshalling applies when (1) a senior creditor has a security interest in multiple assets and (2) a junior creditor has an interest in one of those assets. It requires the senior creditor to first foreclose on the asset against which it holds an exclusive security

interest to preserve the junior creditor's interest in the remaining asset. But since this case only involves one security interest (the mortgage), marshalling does not apply.

Educational objective:

The equitable right of redemption allows a debtor to avoid foreclosure by paying the full amount of the outstanding debt. This means that a tenant can only redeem co-owned property by paying the amount owed by *all* tenants.

References

55 Am. Jur. 2d Mortgages § 392 (2018) (common law right of redemption).

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A man died testate. The man's estate consisted of a residence as well as significant personal property. By his duly probated will, the man devised the residence to a friend, who was specifically identified in the will. The residue of the estate was given to a stated charity.

The man's friend, although alive at the time the man executed the will, had predeceased the man. The friend's wife and their child, who has a disability, both survived the man.

The value of the residence has increased significantly because of recent zoning changes. There is credible extrinsic evidence that the man wanted his friend to own the residence after the man's death so that the friend and his wife could care for their child there.

There is no applicable statute.

If both the charity and the child claim the residence, to whom should the estate distribute the residence?

A. The charity, because the devise to the friend adeemed.

B. The charity, because the devise to the friend lapsed.

C. The child, because extrinsic evidence exists that the man's intent was to benefit the child.

D. The child, because no conditions of survivorship were noted in the will.

Explanation:

Doctrines affecting conveyance by will

Lapse	Causes devise to fail if beneficiary predeceases testator
Ademption	Causes devise to fail by either: extinction – specifically devised property not owned by testator (or destroyed or fundamentally changed) at death satisfaction – beneficiary received devised property (or other asset intended to satisfy devise) during testator's life
Exoneration	Allows beneficiary of specifically devised real property to use estate's remaining assets to pay off any encumbrances on that property
Abatement	Reduces devises that cannot be satisfied by assets remaining after testator's debts are paid Residuary devises abated first, followed by general & then specific devises

The man (testator) died **testate** and left his residence to the friend (beneficiary) under a valid will. However, the **doctrine of lapse** will cause a **devise to fail** if the **beneficiary dies before the testator** (as seen here). In that case, neither the beneficiary nor his/her heirs will acquire the devised property. Instead, it will become **part of the general estate** and be distributed in accordance with the rest of the will. And if there are no other provisions in the will, the property will be distributed under intestacy laws. But since the man left the residue of his estate to the charity, the estate should distribute the residence to the charity—not the child.

(Choice A) The doctrine of ademption will cause a specific devise to fail if the testator does not own the devised property upon death. But since the man owned the residence when he died, the devise to the friend did *not* adeem.

(Choice C) Although extrinsic evidence exists that the man's intent was to benefit the child, the parol evidence rule prohibits a court from rewriting a will that lacks significant ambiguities. And since the man's will was clear and unambiguous, such evidence cannot be used to support the child's claim to the residence.

(Choice D) Had the man's will included a condition of survivorship instructing that the residence go to the child in the event that the friend predeceased the man, the child would have received the residence. But since the man's will included no such condition, the residence should be distributed to the charity.

Educational objective:

The doctrine of lapse causes a devise to fail when the beneficiary predeceases the testator. The devised property will instead be distributed in accordance with other devises in the will or, if no others exist, in accordance with intestacy laws.

References

80 Am. Jur. 2d Wills § 1409 (2018) (doctrine of lapse).

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A woman entered a hospital to undergo surgery and feared that she might not survive. She instructed her lawyer by telephone to prepare a deed conveying her property, a large tract of undeveloped land, as a gift to her nephew who lived in a distant state. Her instructions were followed, and, prior to her surgery, she executed a document in a form sufficient to constitute a deed of conveyance. The deed was recorded by the lawyer promptly and properly as she instructed him to do. The recorded deed was returned to the lawyer by the land record office. The woman, in fact, recovered from her surgery and the lawyer returned the recorded deed to her.

Before the woman or the lawyer thought to inform the nephew of the conveyance, the nephew was killed in an auto accident. The nephew's will left all of his estate to a satanic religious cult. The woman was very upset at the prospect of the cult acquiring the property.

The local taxing authority assessed the next real property tax bill on the property to the nephew's estate.

The woman brought an appropriate action against the nephew's estate and the cult to set aside the conveyance to the nephew.

If the woman loses, what will be the likely reason?

A. Delivery of the deed is presumed from the recording of the deed.

B. Disappointing the nephew's devisee would violate the religious freedom provisions of the First Amendment to the Constitution.

C. The gift of the property was inter vivos rather than causa mortis.

D. The showing of the nephew's estate as the owner of the property on the tax rolls supplied what otherwise would be a missing essential element for a valid conveyance.

Explanation:

A **deed** is a document that **transfers ownership** of real property from the owner (grantor) to another (grantee) once it has been:

delivered – **presumed** when the deed (1) has been **recorded**—ie, filed in the official land records—or (2) is in the grantee's physical possession *and*

accepted – presumed when the transfer benefits the grantee.

Once these requirements are met, the grantee owns the property and the transfer cannot be canceled—even if the land record office later returns the deed to the grantor.

Here, delivery of the deed to the nephew is presumed since the woman's lawyer (agent) recorded it as instructed. And though the nephew never learned of the deed, his acceptance is presumed since the conveyance benefited him. As a result, ownership of the property transferred to the nephew and was unaffected by the land record office's return of the recorded deed. Therefore, the woman will likely lose her action to set aside the conveyance.

(Choice B) The religious freedom provisions of the First Amendment protect persons from government action—not private individuals (as seen here). Therefore, disappointing the satanic cult by setting aside the conveyance would not violate protected religious freedoms—even if the woman had asked the court to do so because she disapproved of satanism.

(Choice C) An inter vivos gift is an irrevocable gift of land or personal property given during the grantor's life. A causa mortis gift is a revocable gift of personal property given in expectations of the grantor's imminent death. Therefore, though the woman gifted the land when she feared that she might not survive surgery, that gift could only be inter vivos. And since that inter vivos gift only became irrevocable when it was delivered and accepted, the woman will lose because the deed was delivered (and presumably accepted) when it was recorded.

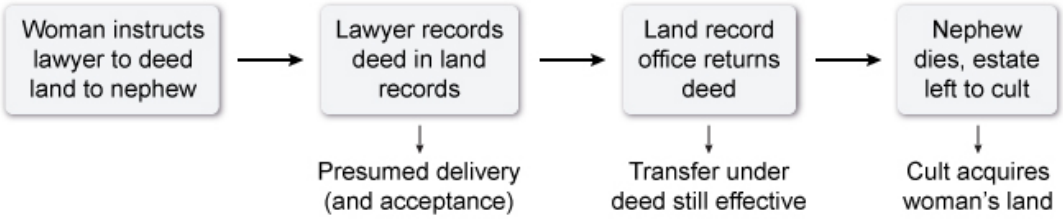
(Choice D) A conveyance by deed is valid once there is delivery and acceptance. Whether the nephew's estate appeared as the owner of the property on the tax rolls is irrelevant.

Educational objective:

A deed transfers ownership of real property once it is delivered (presumed when it has been recorded) and accepted (presumed when the transfer benefits the grantee). After this occurs, the transfer is irrevocable.

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Woman instructs lawyer to deed land to nephew
Lawyer records deed in land records
Land record office returns deed
Nephew dies, estate left to cult
Presumed delivery (and acceptance)
Transfer under deed still effective
Cult acquires woman's land

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A woman acquired title to a four-acre lot. Several years later, she executed a mortgage on the lot to a bank to secure repayment of a $100,000 loan. Subsequently, the woman executed a mortgage on the same four-acre lot to a finance company to secure repayment of a $50,000 loan. Both mortgages were promptly recorded.

The woman recently defaulted on both loans. The bank promptly initiated foreclosure proceedings and sent proper notice to all necessary parties. The current fair market value of the four-acre lot is $250,000.

The finance company has filed a timely motion in the foreclosure proceeding asking the court to require the bank to first foreclose on two of the four acres in the four-acre lot. The bank opposes this motion and insists that it has the right to subject the entire four-acre lot to the foreclosure sale.

Will the court grant the finance company's motion?

A. No, because the bank holds a purchase-money mortgage.

B. No, because the entire four-acre lot is subject to the bank's senior mortgage.

C. Yes, because a pro rata foreclosure of the lot will not prejudice the rights of the bank.

D. Yes, because of the "two funds" rule of marshalling.

Explanation:

The **priority of mortgages** and other liens in the foreclosure process is generally determined by their **recording dates**. However, a different rule applies to **purchase-money mortgages** (PMMs)—ie, mortgages granted to **secure the purchase price** of the mortgaged property. PMMs have **super-priority** over all other mortgages or liens, whether or not recorded.

Here, both the bank and the finance company have mortgages on the entire four-acre lot. The woman already owned the lot when she executed the mortgages, so neither mortgage is a PMM **(Choice A)**. Therefore, the order of recording determines priority. And since the bank received its mortgage first and promptly recorded it, the bank has the senior mortgage and is entitled to foreclose on the entire four-acre lot.

(Choice C) Mortgagees are entitled to foreclose on the *entire* property subject to the mortgage unless otherwise provided by law. Therefore, the bank has no obligation to foreclose on a smaller two-acre parcel. Additionally, such a pro rata foreclosure *could* prejudice the bank's rights since there is no guarantee that two acres would sell for an amount sufficient to satisfy the bank's interest.

(Choice D) The "two funds" rule of marshalling applies when a senior creditor has two funds available to satisfy a debt (eg, a mortgage on multiple properties), and a junior creditor also has an interest in one of those funds. It requires the senior creditor to first look for satisfaction from the fund that is not shared so as to preserve the junior creditor's interest in the shared fund. But here, both mortgages are secured by a single fund—the four-acre lot.

Educational objective:

Priority of mortgages and other liens is generally based on the order in which they were recorded. Purchase-money mortgages, however, have super-priority over all other mortgages or liens, whether or not recorded.

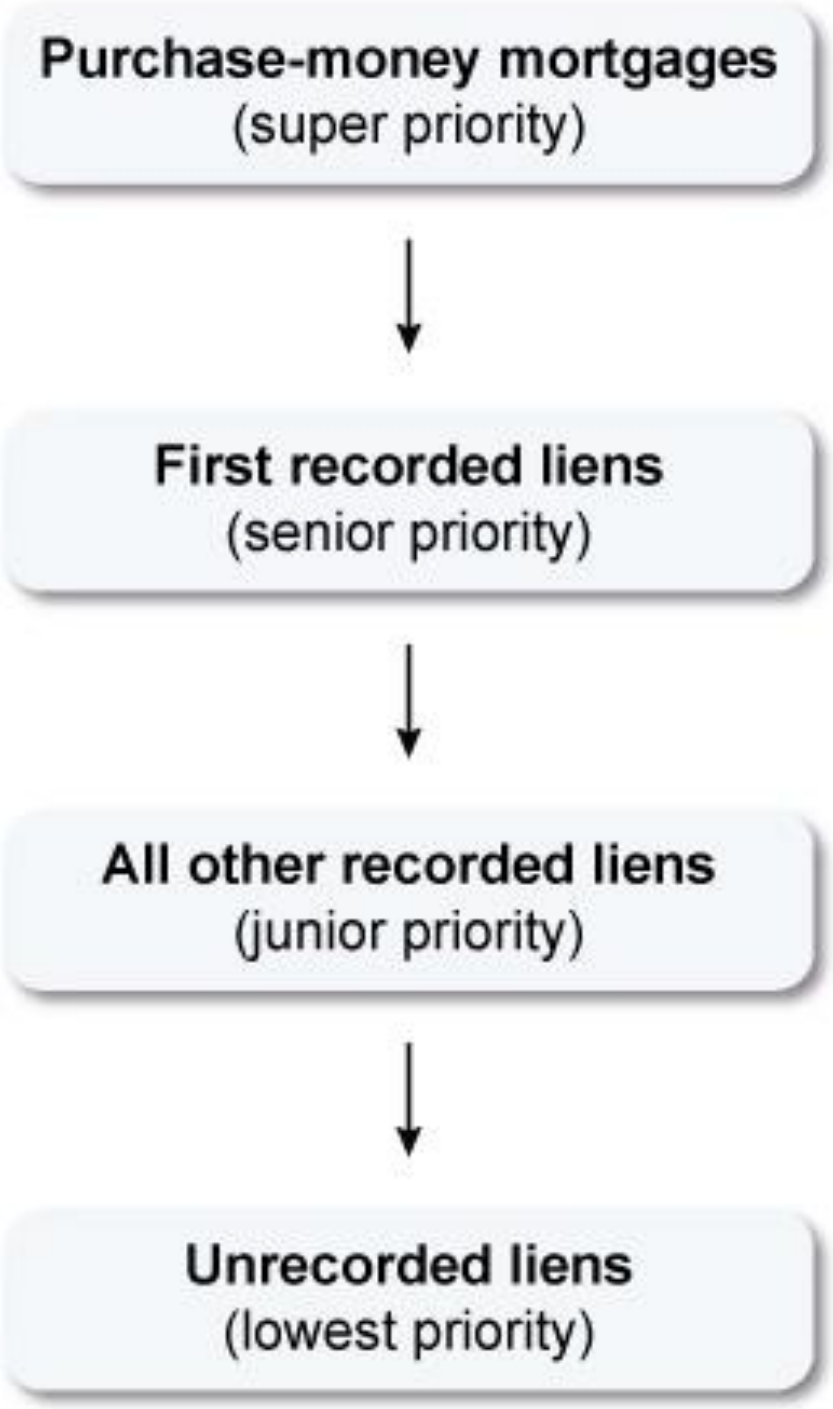
References

Restatement (Third) of Property: Mortgages § 7.2 (Am. Law Inst. 1997) (priority of purchase-money mortgages).

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Lien priority on real property



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An uncle owned a valuable tract of land. The uncle executed a document in the form of a warranty deed of land, which was regular in all respects except that the only language designating the grantees in each of the granting and habendum clauses was: "The leaders of all the Protestant churches in County A." The instrument was acknowledged as required by statute and promptly and properly recorded. The uncle told his lawyer, but no one else, that he had made the conveyance as he did because he abhorred sectarianism in the Protestant movement and because he thought that the leaders would devote the asset to lessening sectarianism.

The uncle died suddenly and unexpectedly a week later, leaving a will that bequeathed and devised his entire estate to his niece. After probate of the will became final and the administration on the uncle's estate was closed, the niece instituted an appropriate action to quiet title to the land and properly served as defendant each Protestant church situated in the county.

The only evidence introduced consisted of the chain of title under which the uncle held, the probated will, the recorded deed, the fact that no person knew about the deed except the uncle and his lawyer, and the conversation the uncle had with his lawyer described above.

In the action to quiet title, who will prevail and why?

A. The defendants, because a deed is prima facie valid until rebutted.
B. The defendants, because recording established prima facie delivery until rebutted.
C. The niece, because the state of the evidence would not support a finding of delivery of the deed.
D. The niece, because there is inadequate identification of grantees in the deed.

Explanation:

Deed requirements

Requirements	Valid	Invalid
Written & signed by grantor	Any written instrument signed by grantor	Oral (except permissible gift) Signed only by grantee
Identifies grantor & grantee	Separate grantor & grantee (except concurrent estates) Identifiable by name or description	Ambiguous/unidentifiable grantee(s) Nonexistent grantee
Identifies land	Identifiable by reasonable certainty—eg: Government survey Metes & bounds Street, lot, house number	Ambiguous description (but extrinsic evidence admissible) Undefined part of larger parcel
Includes words of transfer	"Convey" "Transfer" "Grant" "Sell"	"Lease" "Rent" "License"

A **deed** is a legal instrument that transfers ownership of real property from the grantor (old owner) to the grantee (new owner). To be **valid**, a deed must:

be in writing and signed by the grantor
unambiguously identify the grantor and grantee
unambiguously describe the land *and*
include words of transfer.

When a deed transfers ownership to a group of grantees, the identities of the group members must be **ascertainable with reasonable certainty**—eg, "the *present* members of the United States Congress." **Extrinsic evidence** can be admitted to **clarify ambiguities**. But if the extrinsic evidence is also unclear, a court will not speculate as to the grantor's intent and the deed will be deemed void (ie, of no legal effect).

Here, the uncle attempted to deed his land to "the leaders of all the Protestant churches in County A." But that description was ambiguous because there is no way to identify the specific individuals belonging to that group. And though the uncle's conversation with his lawyer (extrinsic evidence) was introduced, it did not resolve this ambiguity. Therefore, the inadequate identification of the grantees rendered the uncle's deed void. And since the deed did not convey title to the defendants, the niece will prevail in her action to quiet title.

(Choice A) A deed is not prima facie valid if it does not meet the above requirements. And since the deed here cannot satisfy all these requirements (due to the ambiguous description of the grantees), it is invalid.

(Choices B & C) A deed is *valid* if it meets the above requirements, and the transfer of the described land is *effective* when the deed is delivered and accepted. While recording is prima facie evidence that the deed was delivered to the grantee, it does not establish the deed's validity.

Educational objective:

A valid deed (1) is in writing and signed by the grantor, (2) unambiguously identifies the grantor and grantee, (3) unambiguously describes the land, and (4) includes words of transfer. The identity of the parties and the land must be ascertainable with reasonable certainty, but extrinsic evidence can be used to resolve ambiguities.

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A businessman owned a hotel, subject to a mortgage securing a debt he owed to a bank. The businessman later acquired a nearby parking garage, financing part of the purchase price with a loan from a financing company, secured by a mortgage on the parking garage. Two years thereafter, the businessman defaulted on the loan owed to the bank, which caused the full amount of that loan to become immediately due and payable. The bank decided not to foreclose the mortgage on the hotel at that time, but instead properly sued for the full amount of the defaulted loan. The bank obtained and properly filed a judgment for that amount.

A statute of the jurisdiction provides: "Any judgment properly filed shall, for 10 years from filing, be a lien on the real property then owned or subsequently acquired by any person against whom the judgment is rendered." There is no other applicable statute, except the statute providing for judicial foreclosure of mortgages, which places no restrictions on deficiency judgments.

Shortly thereafter, the bank brought an appropriate action for judicial foreclosure of its mortgage on the hotel and of its judgment lien on the parking garage. The financing company was joined as a party defendant and appropriately sued for foreclosure of its mortgage on the parking garage, which was also in default. All procedures were properly followed, and the confirmed foreclosure sales resulted in the following: The net proceeds of the sale of the hotel to a third party were $200,000 less than the bank's mortgage balance. The net proceeds of the sale of the parking garage to a fourth party were $200,000 more than the financing company's mortgage balance.

How should the $200,000 surplus arising from the sale of the parking garage be distributed?

A. It should be paid to the bank.

B. It should be paid to the businessman.

C. It should be paid to the financing company.

D. It should be split equally between the bank and the financing company.

Explanation:

Proceeds from a **foreclosure sale** are typically **distributed** in the following **order of priority**:

Expenses from the sale (eg, attorneys' fees, court costs)

Mortgage being foreclosed

Junior liens, in order of lien priority

Debtor, if any surplus remains

Here, the financing company had the senior lien on the garage since its mortgage was placed on the property first. The bank later acquired a judgment lien on all the businessman's property—including a junior lien on the garage—when the businessman defaulted on the bank's loan. And since the foreclosure sale of the garage satisfied the financing company's entire mortgage and resulted in a $200,000 surplus, the bank (as the junior lienholder) should receive the surplus to cover the balance still owed for its mortgage on the hotel **(Choices B, C & D)**.

Educational objective:

The proceeds from a foreclosure sale are distributed in the following order of priority: (1) the expenses from the foreclosure sale, (2) the mortgage being foreclosed, (3) junior liens in order of priority, and (4) the debtor.

References

55 Am. Jur. 2d Mortgages § 705 (2019) (distribution of foreclosure sale proceeds).

Restatement (Third) of Property: Mortgages § 7.4 (Am. Law Inst. 1997) (effect of priority on distribution of foreclosure surplus).

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Distribution of foreclosure sale proceeds



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A woman owned a tract of land in fee simple. By warranty deed, she conveyed the land in fee simple to her brother for a recited consideration of "$10 and other valuable consideration." The deed was promptly and properly recorded.

One week later, the woman and her brother executed a written document that stated that the conveyance of the land was for the purpose of establishing a trust for the benefit of the woman's grandson. The brother expressly accepted the trust and signed the document with the woman. This written agreement was not authenticated to be eligible for recordation and there never was an attempt to record it. The brother entered into possession of the land and distributed the net income from the land to the grandson at appropriate intervals.

Five years later, the brother conveyed the land in fee simple to an investor by warranty deed. The investor paid the fair market value of the land, had no knowledge of the written agreement between the woman and the brother, and entered into possession of the land. The grandson made demand upon the investor for distribution of income at the next usual time the brother would have distributed. The investor refused.

The grandson brought an appropriate action against the investor for a decree requiring her to perform the trust the brother had theretofore recognized.

Which party is likely to prevail?

A. The grandson, because a successor in title to the trustee takes title subject to the grantor's trust.
B. The grandson, because equitable interests are not subject to the recording act.
C. The investor, because, as a bona fide purchaser, she took free of the trust encumbering the brother's title.
D. The investor, because no trust was ever created since the woman had no title at the time of the purported creation.

Explanation:

Types of recording acts

Type	Effect	Statutory language
Race	Interest holder who records first will prevail	"First record"
Notice	Subsequent BFP without notice of earlier property interest will prevail	"Without notice," "In good faith"
Race-Notice	Subsequent BFP (1) without notice of earlier property interest (2) who records first will prevail	"Without notice, who shall first record"

BFP = Bona fide purchaser.

Many interests affecting property can be recorded, including trusts affecting land. When different persons own such interests, **recording acts** are used to evaluate priority of competing interests. Under most recording acts, a subsequent property interest has priority over an earlier interest if the subsequent interest-holder was a **bona fide purchaser** (BFP)—ie, a person who (1) **paid value** and (2) **lacked notice** of the prior interest. There are three types of notice:

Actual – when a buyer has direct knowledge of a prior interest

Constructive (ie, record) – when a document showing a prior interest was properly recorded in the land records and appears in the buyer's chain of title *and*

Inquiry – when a buyer knows, or should know, of circumstances that would prompt a reasonable person to investigate (eg, visible use of the property by someone other than the seller).

Here, the investor had no knowledge of the prior trust agreement when she purchased the land from the brother (no actual notice), and the brother's possession of the land gave her no reason to investigate further (no inquiry notice). And since the trust agreement was never recorded, the investor did not have constructive notice of the trust. Therefore, the investor was a BFP and took the land free of the trust.

(Choice A) A successor in title to a trustee does not necessarily take title subject to the trust. And here, since the investor (successor in title) had no notice of the trust when she purchased the land from the brother (trustee), she is not bound by the trust.

(Choice B) Equitable interests affecting property (eg, the grandson's trust) can be recorded and, when they are, give constructive notice to subsequent purchasers.

(Choice D) Although the woman no longer had title to the land when the trust was created, the brother did. Therefore, the trust was valid and enforceable against the brother. But it is

not enforceable against the investor—a BFP who lacked notice of the trust when she purchased the land.

Educational objective:

Most recording acts protect bona fide purchasers who lacked notice—actual (direct knowledge), constructive (prior recording in chain of title), or inquiry (circumstances warrant investigation)—of a prior competing property interest.

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A man owned land in fee simple of record on January 10. On that day, a friend loaned the man $50,000 and the man mortgaged the land to her as security for the loan. The mortgage was recorded on January 18.

The man conveyed the land to a buyer for valuable consideration on January 11. The friend did not know of this, nor did the buyer know of the mortgage to the friend, until both discovered the facts on January 23, the day on which the buyer recorded the man's deed.

The recording act of the jurisdiction provides: "No unrecorded conveyance or mortgage of real property shall be good against subsequent purchasers for value without notice, who shall first record." There is no provision for a period of grace and there is no other relevant statutory provision.

The friend sued the buyer to establish that her mortgage was good against the land.

For whom should the court decide?

A. The buyer, because he paid valuable consideration without notice before the friend recorded her mortgage.
B. The buyer, because the friend's delay in recording means that she is estopped from asserting her priority in time.
C. The friend, because after the mortgage to her, the man's deed to the buyer was necessarily subject to her mortgage.
D. The friend, because the buyer did not record his deed before her mortgage was recorded.

Explanation:

Recording acts seek to promote certainty of title by creating a framework to determine the priority of competing property interests. In a **race-notice jurisdiction** (as seen here), a **bona fide purchaser's** (BFP's) property interest will have **priority** over an earlier property interest if the BFP:

lacked notice of the earlier interest at the time the BFP acquired his/her interest *and* **recorded** his/her interest at any time **before the earlier interest** was recorded.

Here, the buyer was unaware of the friend's prior mortgage when he purchased the land. But since he did not record his deed until *after* the friend had recorded her mortgage, the court should decide for the friend.

(Choice A) Although the buyer paid valuable consideration without notice before the friend recorded her mortgage (ie, he was a BFP who lacked notice), he did not also *record* his deed before the friend recorded her mortgage.

(Choice B) The friend's delay in recording does not estop (ie, preclude) her from asserting her priority in time since there is no deadline for recording. She only needed to record her mortgage *first* (ie, before the buyer recorded his deed) to prevail in this race-notice jurisdiction. And since she did so, the court should find for the friend.

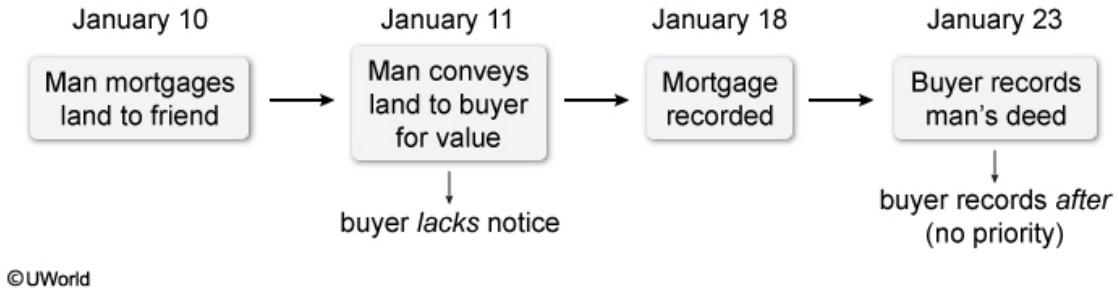
(Choice C) The man's deed to the buyer was not necessarily subject to the friend's mortgage. Instead, the friend will prevail because this jurisdiction has a race-notice statute and her mortgage was recorded first.

Educational objective:

In a race-notice jurisdiction, a bona fide purchaser's (BFP's) property interest has priority over an earlier competing property interest if the BFP (1) lacked notice of the earlier interest and (2) recorded first.

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An environmentalist conveyed his land by quitclaim deed as a gift to his daughter, who did not then record her deed. Later, the environmentalist conveyed the land by warranty deed to a buyer, who paid valuable consideration, knew nothing of the daughter's claim, and promptly and properly recorded. Next, the daughter recorded her deed. Then the buyer conveyed the land by quitclaim deed to his son as a gift. When the possible conflict with the daughter was discovered, the son recorded his deed.

The land at all relevant times has been vacant unoccupied land.

The recording act of the jurisdiction provides: "No unrecorded conveyance or mortgage of real property shall be good against subsequent purchasers for value without notice, who shall first record." No other statute is applicable.

The son has sued the daughter to establish who owns the land.

For whom will the court hold?

A. The daughter, because she recorded before the son.

B. The daughter, because the son was a subsequent donee.

C. The son, because the buyer's purchase cut off the daughter's rights.

D. The son, because the daughter was a donee.

Explanation:

The priority of competing property interests is determined by the jurisdiction's recording act. In a **race-notice jurisdiction** (as seen here), a *purchaser* has priority over another's earlier property interest if the purchaser:

is **bona fide** (ie, a BFP) because the purchaser obtained an interest in property **without notice** of the earlier interest *and*

recorded first.

Under the **Shelter Rule**, a person who **receives** a property interest **from a BFP** is entitled to the **same protection** under the recording act as the BFP—even if that person would not otherwise be protected by the recording act.

Here, the buyer's purchase cut off the daughter's rights because the buyer knew nothing of the daughter's prior interest (BFP) and recorded his deed *before* the daughter recorded hers.* And though the son received the land as a *gift* from the buyer (not a BFP) and recorded his deed *after* the daughter recorded hers, the Shelter Rule entitles him to the buyer's protection under this jurisdiction's race-notice act. As a result, the court should rule for the son.

*Had the buyer recorded his deed after the daughter recorded hers, the buyer would not have had priority under the recording act and the daughter would have prevailed.

(Choices A & B) The recording act would not ordinarily protect the son from the daughter's prior claim since he was a donee (not a BFP) and the daughter recorded before him. But since he was gifted the land by a BFP (the buyer) who recorded before the daughter, the son *is* protected from her claim under the Shelter Rule.

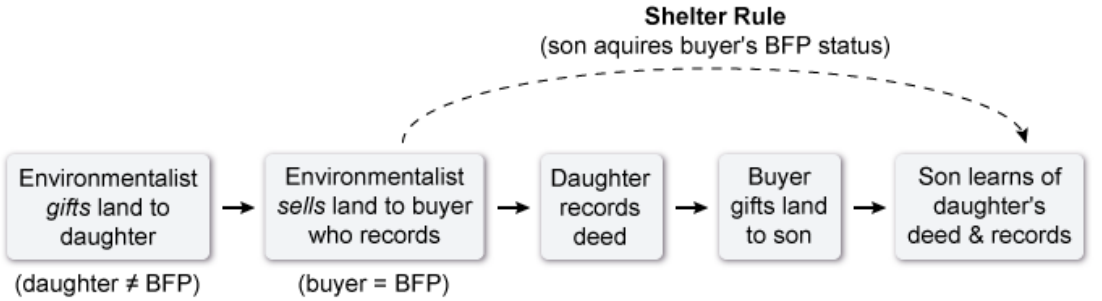
(Choice D) The daughter's status as a donee would only matter if she were seeking to establish priority over an earlier competing interest in the land. Since she has the earlier claim here, her status as a donee is irrelevant.

Educational objective:

In a race-notice jurisdiction, a purchaser who lacks notice of an earlier property interest (BFP) and records first will prevail. And under the Shelter Rule, a person who receives a property interest from a BFP is entitled to the same protection under the recording act as the BFP.

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Shelter Rule
(son aquires buyer's BFP status)
Environmentalist *gifts* land to daughter
(daughter ≠ BFP)
Environmentalist *sells* land to buyer who records
(buyer = BFP)
Daughter records deed
Buyer gifts land to son
Son learns of daughter's deed & records

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A man wanted to downsize his home after his youngest child moved out to attend college. To finance the purchase, the man secured a loan from a bank and executed a promissory note in which he agreed to repay the bank's loan over a 30-year period. The loan was secured by a mortgage on the new home. The bank promptly and properly recorded the mortgage.

A year later, the man missed several mortgage payments and abandoned the home shortly thereafter. The bank initiated judicial foreclosure proceedings once it learned of the man's abandonment.

In a jurisdiction that follows the intermediate theory of mortgages, which of the following events first entitled the bank to take possession of the mortgaged property?

A. The man executing the mortgage.

B. The man defaulting on the mortgage.

C. The man abandoning the property.

D. The bank foreclosing on the property.

Explanation:

A lender's (mortgagee's) right to take **possession of mortgaged property** depends on the mortgage theory followed in that jurisdiction:

Lien theory (majority rule) – the mortgagor (borrower) is considered the owner of the mortgaged property, so the **lender *cannot* take possession prior to foreclosure**.

Title theory – the lender is considered the owner of the mortgaged property until the mortgage has been paid in full, so the **lender may take possession** at **any time**.*

Intermediate theory – the mortgagor is considered the owner of the mortgaged property until default, so the **lender obtains legal title** (ie, the right of ownership and possession) to the property **upon default**.

Since this jurisdiction follows the intermediate theory of mortgages, the man was entitled to possession of the home until he defaulted on the mortgage **(Choice A)**. Therefore, the bank first acquired the right of ownership and possession of the home upon default.

*However, mortgage agreements typically limit this right so that the lender may take possession only upon default.

(Choice C) Under any mortgage theory, a lender may take possession of mortgaged property if it is abandoned by the mortgagor. But here, the man defaulted on the mortgage loan *before* he abandoned the property, so the bank was entitled to possession prior to his abandonment.

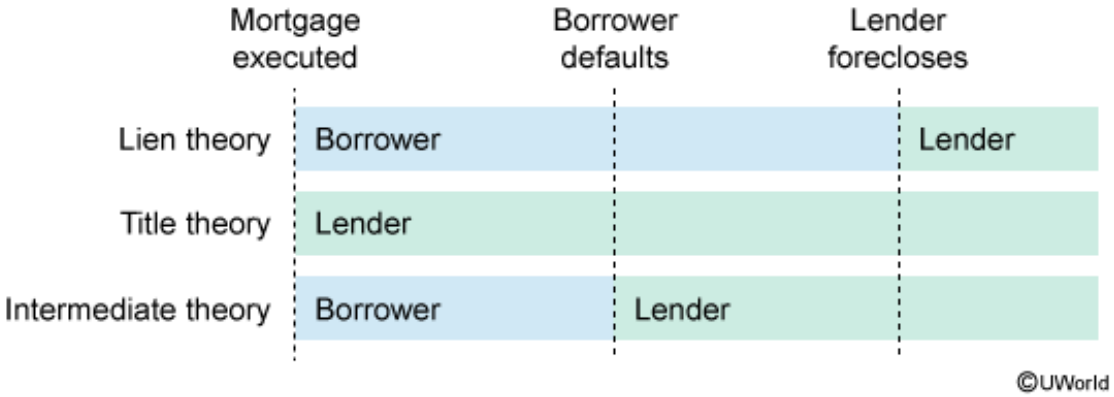
(Choice D) The bank was first entitled to take possession of the home when the man defaulted on the mortgage, which occurred prior to foreclosure.

Educational objective:

Under the intermediate theory of mortgages, a mortgagor is entitled to possession until default, at which time the lender acquires legal title (ie, the right to own and possess) to the mortgaged property.

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Right to possess mortgaged property



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A land developer executed and delivered a promissory note and a mortgage securing the note to a bank. The bank was named as payee in the note and as mortgagee in the mortgage. The note also included a statement that the indebtedness evidenced by the note was "subject to the terms of a contract between the maker and the payee of the note executed on the same day" and that the note was "secured by a mortgage of even date." The mortgage was promptly and properly recorded.

Subsequently, the bank sold the land developer's note and mortgage to an investor and delivered to the investor a written assignment of the land developer's note and mortgage. The assignment was promptly and properly recorded. The bank retained possession of both the note and the mortgage in order to act as collecting agent.

Later, being short of funds, the bank sold the note and mortgage to an asset management company at a substantial discount. The bank executed a written assignment of the note and mortgage to the asset management company and delivered to it the note, the mortgage, and the assignment. The asset management company paid value for the assignment without actual knowledge of the prior assignment to the investor and promptly and properly recorded the assignment. The principal of the note was not then due, and there had been no default in payment of either interest or principal.

If the issue of ownership of the land developer's note and mortgage is subsequently raised in an appropriate action by the investor to foreclose, for whom should the court hold?

A. The asset management company as to both the note and the mortgage.

B. The investor as to both the note and the mortgage.

C. The asset management company as to the note and the investor as to the mortgage.

D. The investor as to the note and the asset management company as to the mortgage.

Explanation:

Transfer of promissory note & mortgage

Transfer of both documents	*Both* documents are transferred unless:
Transfer of note without mortgage	expressly prohibited in note/mortgage
Transfer of mortgage without note*	forbidden by statute or public policy *or* increases mortgagor's duties, burdens, risks Transfer is void

*Jurisdictions are split as to effect of transfer.

A mortgage is a document that gives the mortgagee (eg, bank) an interest in real property as security for an obligation owed by the mortgagor (ie, borrower). The obligation is typically memorialized in a promissory note. The **mortgagee** is generally **free to transfer** the **promissory note and/or the mortgage** securing that note unless:

the mortgage or note expressly states otherwise

the transfer is forbidden by statute or public policy *or*

the transfer will increase the duties, burdens, or risks on the mortgagor.

The **recipient** of the transferred note/mortgage (ie, transferee) then **acquires the right of foreclosure**. However, the transferee **can lose** this right **to a bona fide purchaser**—ie, one who pays value for the property interest *without* notice of another's prior interest in the property.

Here, the investor acquired the right of foreclosure when it purchased the note and mortgage from the bank. The investor promptly and properly recorded the assignment (ie, transfer), providing record notice to any subsequent purchasers of that note and mortgage—including the asset management company. Since the asset management company was *not* a bona fide purchaser, it did not acquire the investor's right of foreclosure. Therefore, the court should hold for the investor as to both the note and the mortgage **(Choices A, C & D)**.

Educational objective:

The recipient of a promissory note and mortgage securing that note acquires the right of foreclosure. However, the recipient can lose this right if the note and mortgage are subsequently conveyed to a bona fide purchaser—ie, one who pays value *without* notice of another's prior interest.

References

Restatement (Third) of Property: Mortgages § 5.4 (Am. Law Inst. 1997) (transfer of mortgages).

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A landowner executed an instrument in the proper form of a deed, purporting to convey his land to a friend. The landowner handed the instrument to the friend, saying, "This is yours, but please do not record it until after I am dead. Otherwise, it will cause me no end of trouble with my relatives." Two days later, the landowner asked the friend to return the deed to him because he had decided that he should devise the land to the friend by will rather than by deed. The friend said that he would destroy the deed and a day or so later falsely told the landowner that the deed had been destroyed. Six months ago, the landowner, who had never executed a will, died intestate, survived by a daughter as his sole heir. The day after the landowner's death, the friend recorded the deed from him. As soon as the daughter discovered this recording and the friend's claim to the land, she brought an appropriate action against the friend to quiet title to the land.

For whom should the court hold?

A. The daughter, because the death of the landowner deprived the subsequent recording of any effect.

B. The daughter, because the friend was dishonest in reporting that he had destroyed the deed.

C. The friend, because the deed was delivered to him.

D. The friend, because the deed was recorded by him.

Explanation:

A **deed** is a document that **transfers ownership** of real property from the owner (grantor) to another (grantee) once it has been:

delivered – evidenced by the **grantor's intent to presently convey** ownership to the grantee *and*

accepted – presumed when the transfer benefits the grantee.

Delivery is presumed if the grantor hands the deed to the grantee. This presumption can generally be rebutted by evidence that the grantor did not intend to presently transfer ownership. But evidence that the grantor gave the deed to the grantee subject to an **oral condition** is **inadmissible**, so that condition **cannot be enforced**.

Here, delivery is presumed since the landowner handed the deed to the friend. And that presumption is not rebuttable since evidence of the landowner's oral condition ("please do not record it until after I am dead") is inadmissible. Therefore, the condition is not enforceable, and the court should hold for the friend.

(Choices A & D) Recording a deed (ie, filing it in the official land records) after the grantor's death creates a presumption of delivery. But this presumption can be rebutted by evidence that the grantor did not deliver the deed during his/her life. Here, though the deed was not recorded until after the landowner's death, it was delivered during his life (when he handed it to the friend). Therefore, the land was effectively conveyed to the friend.

(Choice B) Once a deed has been delivered and accepted, the grantee owns the property and the transfer cannot be canceled (eg, by destroying the deed). Therefore, the friend's dishonesty in reporting that he had destroyed the deed is inconsequential.

Educational objective:

A deed is delivered when the grantor intends to presently transfer ownership to the grantee (presumed when the deed is in the grantee's possession). Evidence that the grantor gave the deed to the grantee subject to an oral condition is inadmissible to rebut this presumption, and the condition is unenforceable.

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Admissibility of evidence
(transfer of deed)



Proof of delivery
=
Admissible



Written condition
=
Admissible



Oral condition
≠
Admissible

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A landowner needed money. His land was fairly worth $100,000, so the landowner tried to borrow $60,000 from a lender on the security of the land. The lender agreed, but only if the landowner would convey the land to the lender outright by warranty deed, with the lender agreeing orally to reconvey to the owner once the loan was paid according to its terms. The landowner agreed, conveyed the land to the lender by warranty deed, and received $60,000 cash from the lender. The lender promptly and properly recorded the landowner's deed.

Now, the landowner has defaulted on repayment with $55,000 still due on the loan. The landowner is still in possession.

Which of the following best states the parties' rights in the land?

A. The attempted security arrangement is null as an unknown creature to the law, so the lender has only a personal right to $55,000 from the landowner.

B. The landowner, having defaulted, has no further rights in the land, so the lender may obtain summary eviction.

C. The lender may bring whatever foreclosure proceeding is appropriate under the laws of the jurisdiction.

D. The lender's oral agreement to reconvey is invalid under the statute of frauds, so the lender owns the land outright.

Explanation:

Mortgage alternatives

Absolute deed	Debtor gives deed to creditor with intent to secure loan (ie, equitable mortgage)
Deed of trust	Debtor gives deed of trust to third-party trustee as collateral for debt, & creditor can instruct trustee to foreclose upon default
Installment land contract	Debtor agrees to buy land through installment payments & gets immediate possession, but seller keeps legal title until paid in full
Sale-leaseback	Seller leases property from buyer immediately after sale, & seller's rental payments function as repayments on loan
Equitable vendor's lien	Seller finances buyer's purchase with equitable vendor's lien when seller transfers title to buyer but purchase price not fully paid

A **mortgage** is a lien against real property that is given to secure a debt and is often memorialized in two documents:

Mortgage deed – a writing that conveys an interest in the real property to secure the debt

Promissory note – a formal "IOU" in which the borrower promises to repay the debt according to the listed terms (eg, interest rate, payment schedule, acceleration clause)

But an **equitable mortgage** can be established by an **absolute deed** (or other alternative means) that was **intended to secure a debt**. As a result, the deed recipient (like any other lender) may bring a **foreclosure action** if the debtor defaults on repaying the loan.

Here, the landowner conveyed his land to the lender *outright* by warranty deed. And since the lender agreed to reconvey the land once the loan was paid, the deed was intended to secure the landowner's debt. As a result, the deed will be treated as an equitable mortgage (ie, an absolute deed) **(Choice A)**. This means that the lender can bring an appropriate foreclosure proceeding to recover the $55,000 still due on the loan.

(Choice B) A summary eviction is a legal procedure that allows a landlord to quickly remove a tenant from leased property without the formalities of a full trial. But it does not allow a lender (mortgagee) to remove a borrower (mortgagor) from mortgaged land.

(Choice D) A mortgage is subject to the statute of frauds, so it must be in writing, signed by the parties against whom it is to be enforced, and contain all essential terms. Therefore, the lender's *oral* agreement to reconvey the land is invalid under this statute. But the *written* warranty deed is valid under the statute, and extrinsic evidence (eg, the oral agreement) can be used to show the parties' intent to create a mortgage.

Educational objective:

A mortgage is typically evidenced by a mortgage deed and a promissory note. But an equitable mortgage can also be created when an absolute deed is made with the intent that it secure a debt.

References

Restatement (Third) of Prop.: Mortgages § 3.2 (Am. Law Inst. 1997) (absolute deed as mortgage).

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A man conveyed land by quitclaim deed as a gift to his cousin, who did not then record the deed or take possession of the land. Six months later, when the man was still in possession, he conveyed the land by quitclaim deed as a gift to a friend, who knew nothing of the deed to the cousin. The friend did not record his deed. The man then vacated the land, and the friend took possession.

The recording act of the jurisdiction provides as follows: "No unrecorded conveyance or mortgage of real property shall be good against subsequent purchasers for value without notice, who shall first record."

Recently, the cousin learned about the friend's deed and possession, immediately recorded her deed, and sued the friend for possession and to quiet title. The friend then recorded his deed and raised all available defenses.

For whom is the court likely to decide?

A. For the cousin, because she was first in time and the friend was not a purchaser.

B. For the cousin, because the friend failed to first record.

C. For the friend, because a subsequent good-faith donee has priority over a prior donee who fails to record.

D. For the friend, because he was first in possession.

Explanation:

Priority of subsequent property interests

Recording act	Race	Interest holder who records first will prevail
	Notice	Subsequent bona fide purchaser (BFP) without notice of earlier interest will prevail
	Race-notice	Subsequent BFP who lacks notice of earlier interest & records first will prevail
Common law	First in time	Earlier interest holder will prevail over subsequent interest holders

A jurisdiction's **recording act** is typically used to determine priority among competing interests in the same property. But if the recording act **does not apply**, priority will be determined under the **common law "first-in-time" rule**, which gives **earlier property interests priority** over subsequent property interests.

This jurisdiction's recording act (a race-notice statute) only protects subsequent purchasers for value who lack notice of a competing claim and record first. Since the man *gifted* his land to the cousin and then to the friend (ie, they were not purchasers), the recording act does not apply. Instead, the dispute will be resolved under the "first-in-time" rule. And the court will likely find for the cousin because she received her property interest before the friend received his.

(Choice B) Had the friend been a purchaser for value, he would have needed to record his property interest first to protect it under the jurisdiction's race-notice act. But since the friend was a gift recipient, the recording act does not apply and the friend will not lose on this basis.

(Choice C) An earlier donee's property interest always has priority over a subsequent donee's interest in a race-notice jurisdiction. The fact that the subsequent donee was a good-faith donee (ie, had no notice of the prior donee's interest) is immaterial.

(Choice D) The common law "first-in-time" rule gives priority to whoever *acquires* the property interest first—not whoever takes *possession* first. So, the cousin (not the friend) will prevail because she was gifted the land first.

Educational objective:

Priority among competing interests in the same property is generally evaluated under the jurisdiction's recording act. But if the recording act does not apply, priority will be assessed under the common law "first-in-time" rule, which prioritizes earlier property interests over subsequent ones.

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Ten years ago, a seller sold land to a buyer, who financed the purchase price with a loan from a bank that was secured by a mortgage on the land. The buyer purchased a title insurance policy running to both the buyer and the bank, showing no liens on the property other than the buyer's mortgage to the bank. Eight years ago, the buyer paid the mortgage in full.

Seven years ago, the buyer sold the land to an investor by a full covenant and warranty deed without exceptions.

Six years ago, the investor gave the land to a donee by a quitclaim deed.

Last year, the donee discovered an outstanding mortgage on the land that predated all of these conveyances. As a result of a title examiner's negligence, this mortgage was not disclosed in the title insurance policy issued to the buyer and the bank.

Following this discovery, the donee successfully sued the buyer to recover the amount of the outstanding mortgage.

If the buyer sues the title insurance company to recover the amount he paid to the donee, is he likely to prevail?

A. No, because the buyer conveyed the land to an investor.
B. No, because the title insurance policy lapsed when the buyer paid off the bank's mortgage.
C. Yes, because the buyer is protected by the title insurance policy even though he no longer owns the land.
D. Yes, because the buyer was successfully sued by a donee and not by a bona fide purchaser for value.

Explanation:

A **title insurance policy** is a contract where the insurer agrees to **indemnify** (ie, compensate) the insureds within policy limits for any harm caused by title defects (eg, outstanding mortgages) not disclosed in the policy. There are two types of title insurance policies:

Owner's policy – issued to property owners and protects them from any **reduction in the full market value** of the property so long as it is (1) **owned** by the insureds and their heirs *or* (2) conveyed by **warranty deed**

Lender's policy – issued to lenders and protects them from any reduction in the value or priority of their mortgage until the mortgage is paid in full or otherwise discharged

Here, the buyer purchased a title insurance policy that was issued to the buyer (owner) and the bank (lender). The bank's policy lapsed once the buyer paid off the mortgage, but the *buyer's* policy remained in effect even after he conveyed the property by warranty deed **(Choices A & B)**. The buyer's right to the full market value of the property was then reduced by the donee's successful suit for the cost of the undisclosed outstanding mortgage. And since the buyer's policy protects against such losses, he can likely recover that cost from the title insurance company.

(Choice D) Since the buyer was protected by the title insurance policy, he could recover costs from a *successful* lawsuit. It is irrelevant that the buyer had been sued by a donee (ie, gift recipient) instead of a bona fide purchaser (ie, purchaser for value who lacks notice of a prior competing interest).

Educational objective:

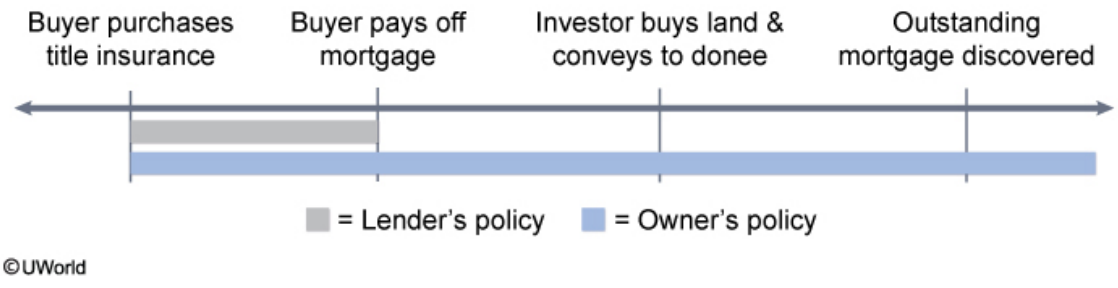
There are two types of title insurance policies: (1) owner's policy, which remains in effect as long as the property is owned by the insured *or* conveyed by warranty deed and (2) lender's policy, which ends once the mortgage is discharged.

References

43 Am. Jur. 2d Insurance § 518 (2018) (title insurance policies).

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A farmer borrowed $100,000 from a bank and gave the bank a promissory note secured by a mortgage on the farm that she owned. The bank promptly recorded the mortgage, which contained an acceleration clause and a due-on-sale provision.

A few years later, the farmer borrowed $5,000 from a second bank and gave that bank a promissory note secured by a mortgage on her farm. The bank promptly recorded the mortgage.

Subsequently, the farmer defaulted on her obligation to the first bank, which then validly accelerated the debt and instituted nonjudicial foreclosure proceedings as permitted by the jurisdiction. The second bank received notice of the foreclosure sale but did not send a representative to the sale. At the foreclosure sale, a buyer who was not acting in collusion with the farmer outbid all other bidders and received a deed to the farm.

Several months later, the original farmer repurchased her farm from the buyer, who executed a warranty deed transferring the farm to her. After the farmer promptly recorded that deed, the second bank commenced foreclosure proceedings on the farm. The farmer denied the validity of the second bank's mortgage.

Does the second bank continue to have a valid mortgage on the farm?

A. No, because of the due-on-sale provision in the farmer's mortgage to the first bank.

B. No, because the purchase at the foreclosure sale by the buyer under these facts eliminated the second bank's junior mortgage lien.

C. Yes, because of the doctrine of estoppel by deed.

D. Yes, because the original owner reacquired title to the farm.

Explanation:

Foreclosure methods

Judicial sale (all states)	Judicially supervised public sale of mortgaged property
Nonjudicial sale (half of all states)	Privately conducted public sale of mortgaged property (permitted only if mortgage contains power-of-sale clause)
Strict foreclosure (few states)	Foreclosure without sale of mortgaged property

About half of all states permit **nonjudicial foreclosure proceedings**—ie, a privately conducted public sale of the mortgaged property (as in this case). The foreclosure sale generally **destroys all interests** that are **junior to the mortgage being foreclosed**. As a result, **junior interest holders** are necessary parties who **must be given notice** of the foreclosure so that they can participate (or send a representative). Failure to notify a junior interest holder results in the preservation of that party's interest despite the foreclosure sale.

Here, the first bank instituted nonjudicial foreclosure proceedings after the farmer defaulted on her mortgage. The second bank (junior interest holder) received notice of the foreclosure sale but did not participate in or send a representative to the sale. This means that when the buyer purchased the farm in the foreclosure sale, the second bank's junior mortgage lien was eliminated. Accordingly, the second bank does not have a valid mortgage on the farm.

(Choice A) A due-on-sale provision allows the mortgagee to declare the entire loan balance due and payable if the mortgagor sells the property without the mortgagee's permission. This provision is not implicated here because the farmer never sold the farm.

(Choice C) The doctrine of estoppel by deed (ie, after-acquired title) applies when a person conveys *unowned* property to another by warranty deed. If that person later acquires title to the property, it automatically passes to the grantee. But this doctrine is clearly inapplicable here since the farmer *owned* the farm when she executed both mortgages.

(Choice D) The fact that the farmer reacquired title to the farm would matter only if the buyer and the farmer had been acting in collusion. In that case, the second bank could claim that the foreclosure sale was a fraud intended to eliminate its interest in the farm.

Educational objective:

A foreclosure sale destroys all interests that are junior to the foreclosing mortgage, so the junior interest holders are necessary parties who must be given notice of the foreclosure. Otherwise, their interests are preserved post-sale.

References

55 Am. Jur. 2d Mortgages § 592 (2019) (requirement to notify junior lienholders of foreclosure action).

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A landowner in fee simple mortgaged the land to an investor to secure repayment of the loan she made to him. The loan was due at the end of the growing season of the year in which it was made. The landowner maintained and operated an orchard on the land, which was his sole source of income. Halfway through the growing season, the landowner experienced severe health and personal problems and, as a result, left the state; his whereabouts were unknown. The investor learned that no one was responsible for the cultivation and care of the orchard on the land. She undertook to provide, through employees, the care of the orchard and the harvest for the remainder of the growing season. The net profits were applied to the debt secured by the mortgage on the land.

During the course of the harvest, the landowner's friend, a business invitee, was injured by reason of a fault in the equipment used. Under applicable tort case law, the owner of the premises would be liable for the friend's injuries. The friend brought an appropriate action against the investor to recover damages for the injuries suffered, relying on this aspect of tort law.

In such lawsuit, for whom should the court render judgment?

A. The friend, because the investor was a mortgagee in possession.

B. The friend, but only if the state is a title theory state, because in other jurisdictions a mortgagee has no title interest but only a lien.

C. The investor, because she acted as agent of the landowner only to preserve her security interest.

D. The investor, but only if the mortgage expressly provided for her taking possession in the event of danger to her security interest.

Explanation:

Mortgage theories

Lien theory (majority rule)	Lender receives security interest in property. Mortgagor retains title & possession unless lender forecloses.
Title theory	Lender receives legal title & mortgagor retains right of possession. Title reverts to mortgagor once debt is paid.
Intermediate theory	Mortgagor retains title & possession until default, then full title passes to lender without foreclosure.

A **mortgage** is a lien against real property given to secure a debt. Under the lien theory of mortgages (adhered to by a majority of jurisdictions), a mortgage creates a security interest only and confers no right to possession of the mortgaged property. Regardless of the applicable mortgage theory, however, the **mortgagee is entitled** to **take possession if** the **mortgagor abandons** the mortgaged property **(Choice B)**. A mortgagee who does so incurs liability as if he/she were the owner (eg, tort liability to anyone injured on the property).

Here, the landowner mortgaged land to the investor. When the landowner abandoned the property due to severe health and personal problems, the investor rightfully took possession—regardless of whether the mortgage expressly permitted her to do so **(Choice D)**. And since the facts stipulate that the owner of the premises would be liable for the friend's injuries, the investor is liable. The court should therefore render judgment for the friend.

(Choice C) In lieu of taking possession, most mortgagees attempt to preserve their security interest by getting a court-appointed receiver (ie, agent) to manage the property. This shields the mortgagee from the liability risks of being a mortgagee in possession. But no receivership was created on these facts.

Educational objective:

The mortgagee can take possession of the mortgaged property if the mortgagor abandons it. Once in possession, the mortgagee incurs liability as if he/she were the owner.

References

55 Am. Jur. 2d Mortgages § 153 (2019) (specifying rights and liabilities of mortgagee in possession).

Essex Cleaning Contractors, Inc. v. Amato, 317 A.2d 411, 412 (N.J. Super. 1974) (discussing tort liability of mortgagees in possession).

Restatement (Third) of Property: Mortgages § 4.1(c) (Am. Law Inst. 1997) (identifying mortgagee rights to take possession).

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A baker borrowed funds from an investor to purchase a plot of land on which the baker planned to build a new bakery. In order to secure repayment of the loan, the baker signed a nonnegotiable promissory note and executed a mortgage to the investor.

Five years later, the investor sold her promissory note to a credit union by endorsing the note and promptly delivering it to the credit union. Due to a downturn in business, the baker was unable to make payments on the mortgage. The credit union now seeks to foreclose on the baker's plot of land.

If the court denies the credit union's foreclosure, what is the most likely reason?

A. The mortgage required a separate written assignment in order for the transferee-credit union to enforce the mortgage.

B. The nonnegotiable promissory note required a separate document for assignment to the credit union, so neither the note nor the mortgage transferred.

C. The transfer of the nonnegotiable promissory note modified the terms of the loan, resulting in a release of the baker's personal liability.

D. The transfer of the nonnegotiable promissory note without the mortgage was void.

Explanation:

Transfer of promissory note & mortgage

Transfer of both documents	*Both* documents are transferred unless:
Transfer of note without mortgage	expressly prohibited in note/mortgage
Transfer of mortgage without note*	forbidden by statute or public policy *or* increases mortgagor's duties, burdens, risks Transfer is void

*Jurisdictions are split as to effect of transfer.

To **finance the purchase** of real property, a borrower typically executes two documents that serve as **evidence of the debt**:

Promissory note – a formal "IOU" that sets forth the terms of the loan. It is the primary evidence of the debt and is not recorded in the deed records.

Mortgage (or deed of trust) – a lien that secures the loan by attaching the debt to a real property interest and providing a means of enforcement (eg, foreclosure). It is recorded in the deed records to provide notice of an outstanding debt attached to the real property.

A promissory note can be **assigned** to another (an assignee) **independent** of the mortgage **(Choice D)**. The mortgage automatically transfers with the note once the note has been properly assigned (unless the parties agree otherwise) **(Choice A)**. A negotiable promissory note can be assigned by simply **endorsing and delivering** the note to the assignee. However, a nonnegotiable promissory note requires a **separate assignment** document to transfer ownership.

Here, the investor sought to assign her *nonnegotiable* promissory note by endorsing and delivering it to the credit union. However, this type of promissory note requires that a separate document be executed to assign this interest. The investor failed to execute such a document, so the note (and therefore the accompanying mortgage) did not transfer to the credit union. And since the credit union has no security interest in the land, it cannot initiate foreclosure proceedings against the baker.

(Choice C) A transfer of the mortgagee's interest in the promissory note changes the party who receives payment on the note, but it does not change the terms of the mortgagor's obligation. Therefore, the transfer of the note did *not* modify the terms of the loan or release the baker's personal liability.

Educational objective:

Although a negotiable promissory note can be transferred by endorsing and delivering the note to another, a nonnegotiable promissory note requires that a separate document of assignment be executed to transfer ownership.

References

Restatement (Third) of Property: Mortgages § 5.4 (Am. Law Inst. 1997) (transfer of mortgages).

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A man decided to give a cabin he owned to his daughter at his death. To accomplish this goal, he delivered to his attorney a deed that fully complied with the applicable statute of frauds and told his attorney to record the deed when he died unless he later gave the attorney instructions to the contrary.

Three weeks after dropping off the deed, the man properly drafted and executed his own will, which left all of his real property to his son.

One year later, the man died, and the attorney immediately recorded the deed. At the time of the man's death, the cabin was titled in his name and he owned no other real property. The daughter and the son now disagree as to who is entitled to ownership of the cabin.

Other than the jurisdiction's statute of frauds and statute of wills, there are no applicable statutes.

Who is entitled to ownership of the cabin?

A. The daughter, because the attorney was, for gift-law purposes, a trustee for the daughter.

B. The daughter, because the deed fully complied with the statute of frauds.

C. The son, because the deed was not delivered to the daughter during the man's lifetime.

D. The son, because the proper execution of the will revoked the earlier gift to the daughter.

Explanation:

Presumed delivery of deed

Physical delivery (eg, by hand or mail)

Recording

Unconditional delivery to agent

Grantee obtains possession of deed

A **deed** is a document that **transfers ownership** of real property from the owner (grantor) to another (grantee) once it has been:

delivered – evidenced by the **grantor's intent to presently convey** ownership to the grantee (ie, the grantor must **not retain a right to recover the deed**) *and*

accepted – presumed when the transfer benefits the grantee.

Delivery is presumed if the deed is recorded (ie, filed in official land records). But this presumption can be rebutted by evidence that the grantor did not intend to presently transfer ownership. And if the deed is **not delivered during the grantor's lifetime**, it is **void** and conveys no interest.

Here, the attorney recorded the deed (presumed delivery). But the man retained the right to recover the deed by instructing the attorney to record it upon the man's death *unless* he gave instructions to the contrary (presumption rebutted). Therefore, the deed was not delivered to the daughter during his lifetime. And since the deed is void, the son (as the beneficiary under the man's will) is entitled to ownership of the cabin.

(Choice A) Since the man retained a right to recover the deed (no present intent to transfer), the son owns the property. But had the man relinquished that right when he gave the deed to the attorney (intending to presently transfer ownership), the attorney would have been the daughter's trustee—ie, her fiduciary who would have been legally required to hold the deed for her benefit until the man's death.

(Choice B) A deed must comply with the statute of frauds—ie, be in writing and signed by the party to be bound. But to effectively transfer ownership of property, the deed must also be delivered during the grantor's lifetime (and accepted by the grantee).

(Choice D) A properly executed will *does not* revoke an earlier gift that has been both delivered and accepted. That is because the testator (person who made the will) no longer owns the gifted property at death. Therefore, the son is not entitled to ownership of the cabin on this basis.

Educational objective:

To effectively transfer ownership of real property, a deed must be delivered during the grantor's lifetime (and then accepted by the grantee). There is no delivery if the grantor retains a right to recover the deed.

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A woman who owned a house executed a deed purporting to convey the house to her son and his wife. The language of the deed was sufficient to create a common law joint tenancy with right of survivorship, which is unmodified by statute in the jurisdiction. The woman mailed the deed to the son with a letter saying: "Because I intend you and your wife to have my house after my death, I am enclosing a deed to the house. However, I intend to live in the house for the rest of my life, so don't record the deed until I die. The deed will be effective at my death."

The son put the deed in his desk. The wife discovered the deed and recorded it without the son's knowledge. Subsequently, the son and the wife separated, and the wife, without telling anyone, conveyed her interest in the house to a friend who immediately reconveyed it to the wife.

The woman learned that the son and the wife had separated and also learned what had happened to the deed to the house. The woman then brought an appropriate action against the son and the wife to obtain a declaration that the woman was still the owner of the house and an order canceling of record the woman's deed and the subsequent deeds.

If the court determines that the woman owns the house in fee simple, what will be the likely explanation?

A. The deed was not delivered.

B. The wife's conduct entitles the woman to equitable relief.

C. The woman expressly reserved a life estate.

D. The woman received no consideration for her deed.

Explanation:

Presumed delivery of deed

Physical delivery (eg, by hand or mail)

Recording

Unconditional delivery to agent

Grantee obtains possession of deed

A **deed** is a legal instrument that **transfers an interest** in real property from the owner (grantor) to another (grantee) once it has been:

delivered – evidenced by the **grantor's intent to presently transfer an interest** to the grantee, even if the interest itself is a future interest (ie, the possessory rights transfer later) *and*

accepted – presumed if the transfer benefits the grantee.

Recording a deed (ie, depositing it in official land records) creates a **presumption of delivery**. But this presumption can be **rebutted** by evidence that the grantor did not intend to presently transfer an interest to the grantee—eg, if the **transfer was contingent upon a future event**.

Here, delivery is presumed since the wife recorded the deed. But that presumption can be rebutted since the woman mailed the deed with a letter explaining that she only wanted the son and wife to have her house *after* her death (transfer contingent upon future event). Therefore, the court will likely determine that the woman owns the house in fee simple because the deed was not delivered.

(Choice B) A court may grant an injured party equitable relief (eg, rescinding or reforming a deed) to prevent unjust enrichment of a wrongdoer when other remedies are insufficient. Here, the wife was likely a wrongdoer since she recorded and conveyed the deed without the son's knowledge. But the court can hold that the woman owns the property since the deed was not delivered (sufficient remedy), so equitable relief is not needed.

(Choice C) A life estate is a possessory interest in land that is limited in duration by a life (eg, "to A for life"). Here, the woman attempted to reserve a life estate in her letter—not in the deed. But had she reserved a life estate in the deed, she would not own the home in fee simple since her ownership interest would terminate upon her death.

(Choice D) Consideration (eg, monetary payment) is not needed to create a valid deed or to effectively transfer a property interest to another.

Educational objective:

To transfer an interest in real property, a deed must be delivered (and accepted). Delivery occurs when the grantor intends to presently transfer an interest to the grantee. Therefore, delivery is ineffective if the transfer is contingent upon a future event.

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A man decided to give his farm to his nephew. The man took a deed to his attorney and told the attorney to deliver the deed to the nephew upon the man's death. The man also told the attorney to return the deed to him if he asked. None of these instructions to the attorney were in writing, and the deed was not recorded. The man then e-mailed the nephew informing him of the arrangement.

Shortly thereafter, the nephew died testate. In his will, he devised the farm to his daughter. Several years later, the man died intestate, survived by two sons. The nephew's daughter immediately claimed ownership of the farm and demanded that the attorney deliver the deed to her.

Must the attorney deliver the deed to the nephew's daughter?

A. No, because a gratuitous death escrow is void unless supported by a written contract.

B. No, because the man never placed the deed beyond his control.

C. Yes, because the death of the nephew rendered the gratuitous death escrow irrevocable by the man.

D. Yes, because the deed to the nephew was legally delivered when the man took it to his attorney.

Explanation:

A **deed** effectively transfers ownership of a landowner's (grantor's) real property to another (grantee) when it is delivered to, and accepted by, the grantee. To **deliver** a deed through a valid **death escrow**, the grantor must:

give the deed to an escrow agent (eg, attorney) with **instructions** to **transfer it to the grantee** upon the **grantor's death** *and*

relinquish the **right to take back** the deed (ie, by placing the deed beyond his/her control).

Here, the man attempted to deliver a deed to the farm through a death escrow. Though he gave his attorney the deed with instructions to deliver it to the nephew upon the man's death, the man explicitly retained the right to have the deed returned to him if he asked. Since the man never placed the deed beyond his control, the death escrow was invalid (no delivery). As a result, the nephew never acquired ownership of the farm and could not devise it to his daughter. And since she has no interest in the farm, the attorney need not deliver the deed to her.

(Choice A) Since most death escrows are gratuitous, a contract (written or oral) is not required. Instead, the death escrow was void because the man retained the right to take back the deed.

(Choice C) A gratuitous death escrow becomes irrevocable once the grantor delivers the deed—not when the grantee dies.

(Choice D) Delivery is presumed when a deed is given to the grantee directly. But when the deed is given to an escrow agent, there is no delivery unless the grantor relinquishes his/her right to recover it. And since the man retained the right to have the deed returned, giving it to his attorney (escrow agent) did not constitute delivery.

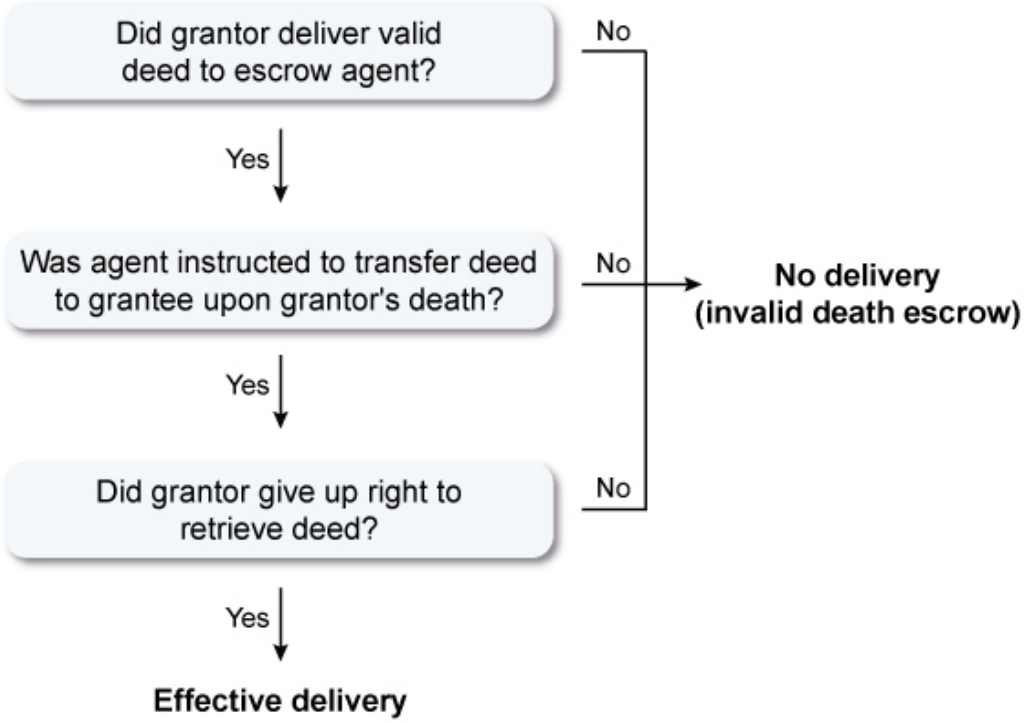
Educational objective:

A deed is delivered through a valid death escrow when (1) the deed is given to an escrow agent with instructions to transfer it to the grantee upon the grantor's death, and (2) the grantor relinquishes the right to take back the deed.

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Deed delivered through death escrow



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A man defaulted on a loan that was secured by a mortgage on his home. The lender brought an appropriate action to foreclose the mortgage and, at the judicial foreclosure sale, the home was sold to a buyer. Shortly thereafter, the man inherited sufficient funds to enable him to reacquire the home from the buyer, but the buyer declined to sell.

Which of the following would provide the man with legal justification for pursuing an action for specific performance to compel the buyer to transfer ownership of the home to the man?

A. The jurisdiction adheres to the doctrine of equitable redemption.

B. The jurisdiction does not follow the doctrine of merger.

C. The jurisdiction has enacted a statute that permits redemption.

D. The jurisdiction recognizes the lien theory of mortgages.

Explanation:

Right of redemption

(regaining title after default on loan)

	Timing	**Assertion of right**
Equitable right (always exists)	At any time prior to foreclosure sale	Pay full amount of debt due (including interest) to lender
Statutory right (if statute exists)	Statutory period after property has been sold in foreclosure	Pay foreclosure sale price to purchasing party

When a debtor (here, the man) defaults on mortgage payments, the creditor can initiate foreclosure proceedings to force the sale of the mortgaged property to satisfy the unpaid debt. Once the property has been sold, jurisdictions with a **statutory right of redemption** allow the debtor to **reclaim the property** by **paying the foreclosure sale price** to the purchaser within a **fixed period of time** (typically between three months and two years).

Therefore, if the jurisdiction has enacted a statute that provides this right, the man would have legal justification to pursue an action for specific performance to compel the buyer to transfer ownership of the home to the man.

(Choice A) The doctrine of equitable redemption allows a debtor to reclaim mortgaged property at any time *before* a foreclosure sale by paying the full amount of the outstanding debt, plus any accrued interest. But a debtor can only reclaim mortgaged property *after* a foreclosure sale if the jurisdiction has enacted a statute providing this right.

(Choice B) The doctrine of merger applies in the mortgage context when the same person acquires ownership of both the mortgage and the mortgaged property. When this occurs, the mortgage merges into fee simple ownership of the property. But the fact that the jurisdiction does not follow this doctrine would not affect the outcome of this dispute.

(Choice D) Regardless of which mortgage theory the jurisdiction recognizes, the man will have the right to redeem his home from the buyer only if the jurisdiction has a statutory right of redemption.

Educational objective:

In jurisdictions with a statutory right of redemption, a debtor can reclaim property *after* a foreclosure sale by paying the foreclosure sale price to the purchaser within a fixed period of time.

References

30 Am. Jur. 2d Executions and Enforcement of Judgments § 291 (2020) (statutory right of redemption).

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A builder sold a new house to a buyer for use as the buyer's residence. The buyer paid 10% of the purchase price and financed the rest by executing a promissory note and purchase-money mortgage to the builder.

A year later, the buyer missed several mortgage payments to the builder and became unable to make payments. During that year, property values in the neighborhood declined substantially. The builder suggested that the buyer deed the house back to the builder to settle all claims and avoid the costs and other disadvantages of foreclosure. The buyer deeded the house back to the builder.

Does the builder now own fee simple title to the house?

A. No, because the deed back to the builder constitutes a disguised mortgage.

B. No, because the owner of a personal residence cannot waive the right to foreclosure.

C. Yes, because of the doctrine of equitable redemption.

D. Yes, because the transaction was reasonable and fair under the circumstances.

Explanation:

Ways to avoid foreclosure

Equitable redemption*	Mortgagor pays full amount of outstanding debt (as increased by acceleration clause) plus any accrued interest
Deed in lieu of foreclosure	Mortgagor conveys all interest in mortgaged property to mortgagee
Renegotiating debt	Parties renegotiate terms of promissory note & mortgage

*Many states also recognize a statutory right of redemption that permits a mortgagor to reclaim the property *after* a foreclosure sale.

In lieu of foreclosure, the mortgagor may convey title to the mortgaged property to the mortgagee ("**deed in lieu of foreclosure**"). This allows the **grantee-mortgagee** to take **immediate possession of the property** without the formalities of a foreclosure sale. Deed-in-lieu transactions are generally valid so long as they are fair to the grantor-mortgagor. However, they run the risk of being labeled as an **equitable or "disguised" mortgage** (as opposed to a title conveyance) if it appears that the **deed was intended only as security** for the original mortgage.

Here, the buyer deeded the house back to the builder to avoid foreclosure. That transaction was reasonable and fair under the circumstances—particularly since property values had declined so much that any foreclosure sale might have resulted in a deficiency that the buyer would have been obligated to pay out of personal assets. And since there is no indication that the deed was intended only as security for the original mortgage (eg, had the buyer remained indebted to the builder or retained possession of the house), the builder owns the house in fee simple **(Choice A)**.

(Choice B) The right to foreclose is held by the mortgagee (eg, builder)—not the mortgagor (eg, buyer)—and the mortgagee can waive this right by accepting a deed in lieu of foreclosure.

(Choice C) The doctrine of equitable redemption allows a mortgagor to prevent foreclosure by paying the full amount of the outstanding debt (as increased by an acceleration clause) plus interest. Had this doctrine been invoked, however, the buyer (not the builder) would own the home.

Educational objective:

A mortgagor can avoid foreclosure by conveying title to the mortgaged property to the mortgagee ("deed in lieu of foreclosure"). Deed-in-lieu transactions are generally valid so

long as they are fair to the grantor-mortgagor and not simply a means of continuing the original mortgage (ie, equitable or "disguised" mortgage).

References

Restatement (Third) of Property: Mortgages & 8.5 cmt. b (Am. Law Inst. 1997) (discussing deeds in lieu of foreclosure).

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A landowner borrowed $100,000 from a lender and executed a valid mortgage on a commercial tract of land to secure the debt. The lender promptly recorded the mortgage.

A year later, the landowner conveyed the same tract to a developer by a deed that expressly stated that the conveyance was subject to the mortgage to the lender and that the grantee expressly assumed and agreed to pay the mortgage obligation as part of the consideration for the purchase. The mortgage was properly described in the deed, and the deed was properly executed by the landowner; however, because there was no provision or place in the deed for the developer to sign, he did not do so. The developer promptly recorded the deed.

The developer made the monthly mortgage payments of principal and interest for six payments but then stopped payments and defaulted on the mortgage obligation. The lender properly instituted foreclosure procedures in accordance with the governing law. After the foreclosure sale, there was a $10,000 deficiency due to the lender. Both the landowner and the developer had sufficient assets to pay the deficiency.

There is no applicable statute in the jurisdiction other than the statute relating to foreclosure proceedings.

At the appropriate stage of the foreclosure action, which party will the court decide is responsible for payment of the deficiency?

A. The developer, because he accepted delivery of the deed from the landowner and in so doing accepted the terms and conditions of the deed.
B. The developer, because he is estopped by his having made six monthly payments to the lender.
C. The landowner, because he was the maker of the note and the mortgage, and at most the developer is liable only as a guarantor of the landowner's obligation.
D. The landowner, because the developer was not a signatory to the deed.

Explanation:

Transfer of mortgaged property

	Effect on buyer/transferee	**Effecton seller**
Subject to mortgage	Does not agree to pay loan & is not liable for debt	Remains solely liable for debt
Assumption of mortgage	Agrees to pay loan & is primarily liable for debt	Becomes secondarily liable as surety

A **mortgage** is an interest in real property given to secure a debt. The debtor may freely transfer mortgaged property (unless otherwise agreed), but the mortgage will remain attached to that property even after it is transferred to another. The grantee's (eg, buyer's) obligations with respect to that mortgage depend on whether he/she either:

took **subject to** the mortgage – did **not agree to pay** and is **not personally liable** for the debt *or*

assumed the mortgage – expressly **agreed to pay** and becomes **primarily liable** for the debt, while the **original debtor** becomes **secondarily liable** as a surety.

Here, the landowner's deed to the developer stated that the developer expressly *assumed* and *agreed* to pay the mortgage. And though the developer did not sign the deed, he assumed the mortgage by accepting delivery of that deed **(Choice D)**. Therefore, the developer is primarily liable for the lender's $10,000 deficiency. And since the developer has sufficient assets to pay the deficiency judgment, the landowner need not pay anything.

(Choice B) Because the developer assumed the mortgage once he accepted the landowner's transfer of the deed, he is liable for the deficiency judgment regardless of whether, or for how long, he had paid the mortgage.

(Choice C) Although the landowner was the maker of the note and mortgage, the landowner (not the developer) became secondarily liable as a guarantor (ie, surety) when the developer assumed primary liability for that mortgage.

Educational objective:

A grantee assumes a mortgage when he/she expressly agrees to pay the debt. The grantee then becomes primarily liable for that debt, while the original debtor becomes secondarily liable as a surety.

References

Restatement (Third) of Prop.: Mortgages § 5.1 (assumption of mortgage).

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A woman duly executed a will under which she devised her farm to her nephew and bequeathed the residue of her estate to her niece.

For 12 years after executing her will, the woman lived on her farm. Then she sold it and used the sale proceeds to purchase a home in the city, in which she lived until she died, never having changed her will.

Following the admission of the will to probate, both the nephew and the niece claimed ownership of the home. There is no applicable statute.

Who is the owner of the home?

A. The nephew, because of the doctrine of ademption.

B. The nephew, because of the doctrine of equitable estoppel.

C. The niece, because of the doctrine of lapse.

D. The niece, because she is the residuary legatee.

Explanation:

Classification of devises

(conveyance by will)

Type	Definition	Examples
Specific	Devise of specifically identified asset	"my farm to my nephew"
General	Devise (often of money) payable from general assets of estate	"$2,000 to my daughter" "one-half of my estate to my son"
Demonstrative	Devise primarily payable from designated source, but secondarily payable from general assets	"$2,000 to my daughter out of my bank account"
Residuary	Devise of all property not disposed of by specific, general, or demonstrative devise	"all of the remainder of my estate to my niece"

The woman (testator) specifically devised her farm to the nephew (devisee). She later sold that farm and used the proceeds to purchase a home. But the nephew is *not* entitled to that home because of the **doctrine of ademption**, which causes a **devise to fail** in two circumstances:

Ademption by extinction – when the *specifically* devised asset is not owned by the testator (or is destroyed or fundamentally changed) at the time of death (as seen here)

Ademption by satisfaction – when the devisee received the devised asset (or some other asset intended to satisfy the devise) during the testator's life (not applicable here)

As a result, the **devisee takes nothing** unless the will expressly states otherwise. So, when a specifically devised asset (eg, the farm) is sold during the testator's lifetime, the sale proceeds—and any assets later acquired with those proceeds (eg, the home)—become **part of the general estate**. The general estate is then distributed in accordance with the remainder of the will. And since the woman's will bequeathed the residue of her estate to the niece, the niece owns the home as the residuary legatee **(Choice A)**.

(Choice B) The doctrine of equitable estoppel bars a party from asserting a material fact that is inconsistent with a prior representation upon which another party detrimentally relied. But this doctrine does not apply here since no party has asserted contradictory facts.

(Choice C) The doctrine of lapse causes any type of devise to fail when the devisee *dies* before the testator. But since the nephew and niece (devisees) *survived* the woman (testator), neither devise will fail under this doctrine.

Educational objective:

Specific devises are adeemed by extinction when the devised asset is not owned by the testator (or is destroyed or fundamentally changed) upon death. And any type of devise is adeemed by satisfaction when the devised asset or a substituted asset is given during the testator's life. The devised asset will then join the general estate.

References

80 Am. Jur. 2d Wills § 1444 (2018) (doctrine of ademption).

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A woman borrowed $100,000 from a bank and executed a promissory note to the bank in that amount. As security for repayment of the loan, the woman's brother gave the bank a mortgage on a tract of land solely owned by him. The brother did not sign the promissory note.

The woman subsequently defaulted on the loan, and after acceleration, the bank instituted foreclosure proceedings on the brother's land. The brother filed a timely objection to the foreclosure.

Will the bank succeed in foreclosing on the tract of land?

A. No, because a mortgage from the brother is invalid without a mortgage debt owed by him.

B. No, because the bank has an equitable mortgage rather than a legal mortgage.

C. Yes, because the bank has a valid mortgage.

D. Yes, because the bank is a surety for the brother's mortgage.

Explanation:

Mortgage documents

Mortgage deed	A writing that conveys an interest in collateral to secure a debt
Promissory note	A formal "IOU" in which the borrower promises to repay the debt according to the listed terms

A **mortgage** is a lien against real property given to secure repayment of a debt. If the **debt** (evidenced by a promissory note) **belongs** to **someone other than the mortgagor**, then the mortgagor is not personally liable for repaying that debt.* However, the **mortgagee can foreclose** on the mortgaged property if the debtor defaults.

Here, the woman received a $100,000 loan from the bank, which was evidenced by a promissory note. The brother did not sign the promissory note, so he is not personally liable for the debt. But since he used his tract of land to secure repayment of the woman's debt, the bank has a valid mortgage on that land. Therefore, the bank will succeed in foreclosing on the brother's land after the woman defaulted on the loan.

*The mortgagor would be personally liable for the debt if the mortgage itself contained language to that effect.

(Choice A) The fact that the mortgage debt is owed by someone else does not render the mortgage from the brother invalid. It merely means that the brother is not personally liable for repaying the mortgage debt.

(Choice B) An equitable mortgage is a mortgage alternative that arises when a party takes possession of the original deed to property with the intent that the property serve as security for a debt (not seen here).

(Choice D) A surety is a party who guarantees to pay another's debt in the event that person fails to do so. Here, the bank has not agreed to pay the debt for the woman if she defaults, so the bank is not a surety.

Educational objective:

A mortgage can be given to secure repayment of a debt owed by someone other than the mortgagor, and the mortgagee can foreclose on the mortgaged property if the debtor defaults.

References

Restatement (Third) of Property: Mortgages § 1.3 (Am. Law Inst. 1997) (mortgages securing obligations of nonmortgagors).

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A woman owned several vacant lots in a subdivision. She obtained a $500,000 loan from a bank and executed and delivered to the bank a promissory note and mortgage describing Lots 1, 2, 3, 4, and 5. The mortgage was promptly and properly recorded.

Upon payment of $100,000, the woman obtained a release of Lot 2 duly executed by the bank. She altered the instrument of release to include Lot 5 as well as Lot 2 and recorded it. The woman thereafter sold Lot 5 to a man, an innocent purchaser, for value.

The bank discovered that the instrument of release had been altered and brought an appropriate action against the woman and the man to set aside the release as it applied to Lot 5. The woman did not defend against the action, but the man did.

The recording act of the jurisdiction provides: "No unrecorded conveyance or mortgage of real property shall be good against subsequent purchasers for value without notice, who shall first record."

Who should the court rule for?

A. The bank, because the alteration of the release was ineffective.

B. The bank, because the man could have discovered the alteration by reasonable inquiry.

C. The man, because he was entitled to rely on the recorded release.

D. The man, because the bank was negligent in failing to check the recordation of the release.

Explanation:

Void v. Voidable contracts

Void	Forgery
(invalid upon creation)	Illegality
	Fraud in the factum (assent by trick)
	Duress by physical compulsion
Voidable	Lack of capacity
(valid unless set aside)	Mistake
	Misrepresentation
	Duress by threat
	Undue influence
	Fraud in the inducement

Recording acts determine the priority of competing interests in the same land. In a **race-notice jurisdiction** (as seen here), a **bona fide purchaser's** (BFP's) subsequent property interest has priority over an earlier property interest if the BFP (1) **lacked notice** and (2) **recorded first**. But a BFP cannot rely on a **forged or altered document** to establish priority under the recording act since that document is **void**.

Here, the woman sold Lot 5 to the man, an innocent purchaser for value (BFP), after altering the mortgage release for Lot 2 to include Lot 5. But since the alteration of the release was ineffective (ie, void), the man cannot rely on the release to establish his priority under the recording act **(Choice C)**. Therefore, the court should rule for the bank and set aside the altered release.

(Choice B) The man would not have been a BFP if he could have discovered the alteration of the release by reasonable inquiry—eg, had a different recorded instrument explained that Lot 5 was not released. But since there is no evidence that he could have reasonably discovered the alteration, he *was* a BFP. Nevertheless, the bank will prevail because the altered release was ineffective.

(Choice D) The man cannot rely on the altered release to establish his priority because the recording act does not protect BFPs from forged or altered documents. As a result, the bank's negligence (ie, failure to use reasonable care) in failing to check the recordation of the release is immaterial.

Educational objective:

In a race-notice jurisdiction, a bona fide purchaser who (1) lacks notice and (2) records first will prevail. But a BFP cannot rely on a forged or altered document to establish priority since that document is void.

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A woman borrowed money from her local credit union to purchase an undeveloped lot on which to build her dream home. She executed a promissory note agreeing to repay the loan over a 10-year period. The loan was secured by a deed of trust that contained a power-of-sale clause. The deed of trust was promptly recorded.

After the woman missed five loan payments, the credit union accelerated the debt and instructed the trustee to initiate nonjudicial foreclosure proceedings as permitted by the jurisdiction. The trustee followed the jurisdiction's notice requirements and procedures. At the foreclosure sale, the credit union was the sole bidder. The winning bid was equal to the remaining obligation on the note, amounting to only 60% of the fair market value of the property.

The woman immediately filed an action against the credit union to set aside the foreclosure sale.

Is the woman likely to prevail?

A. No, because a court cannot overturn a nonjudicial foreclosure on a deed of trust.
B. No, because there is no indication that the procedure or price would shock the conscience of the court.
C. Yes, because a deed of trust can be foreclosed upon only by judicial foreclosure.
D. Yes, because a lender may not purchase the mortgaged property at a nonjudicial foreclosure.

Explanation:

Foreclosure methods

Judicial sale (all states)	Judicially supervised public sale of mortgaged property
Nonjudicial sale (half of all states)	Privately conducted public sale of mortgaged property (permitted only if mortgage contains power-of-sale clause)
Strict foreclosure (few states)	Foreclosure without sale of mortgaged property

A debtor may give his/her interest in real property to a lender to secure a debt—usually through a mortgage or a deed of trust. A **deed of trust** is created when the debtor conveys the property interest to an impartial third party, as trustee, who holds title to the property for the lender's benefit. If the debtor pays the debt in full, then the trustee must reconvey the property to the debtor. But if the **debtor defaults** on loan payments, the **trustee can initiate foreclosure proceedings** (see table above).

The trustee can initiate **nonjudicial foreclosure** in about half of all states if the mortgage or deed of trust contains a power-of-sale clause—as seen here **(Choice C)**. This allows the trustee to sell the property at a public auction without requesting permission from the court. However, the debtor can ask a court to **overturn** the foreclosure if the auction or sales process **violated due process** *or* the **purchase price was grossly inadequate* (Choice A)**.

Courts have consistently been unwilling to impose a "fair market value" standard on the purchase price, so the lender can credit bid up to the amount of the outstanding debt without paying additional cash **(Choice D)**. Therefore, the winning bid is often below fair market value.

Here, there was no due process violation because the jurisdiction's notice requirements and procedures were followed. And though the credit union's winning bid was only 60% of the property's fair market value, it was equal to the remaining obligation on the note. Therefore, this credit bid was not grossly inadequate. Because neither the procedure nor the price would shock the conscience of the court, the woman is *not* likely to prevail in her action to set aside the foreclosure sale.

*Purchase prices have been deemed grossly inadequate if they are below 20% of the fair market value.

Educational objective:

Nonjudicial foreclosures are allowed in most states if the mortgage or deed of trust contains a power-of-sale clause. However, the court can overturn the foreclosure if the auction or sales process violated due process or the purchase price was grossly inadequate.

References

Restatement (Third) of Property: Mortgages §8.3 (Am. Law Inst. 1997) (adequacy of foreclosure sale price).

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A developer entered into a valid written contract to purchase a large tract of land from a contractor for its fair market value of $500,000. The contract was assignable by the developer. The developer duly notified the contractor to convey title to her and her business partner whom the developer had not seen for many years.

When the developer learned that the business partner would have to sign certain documents in connection with the closing, she prevailed upon her brother to attend the closing and pretend to be the business partner. The developer and the brother attended the closing, and the contractor executed an instrument in the proper form of a deed purporting to convey the land to the developer and the business partner as tenants in common. The brother pretended that he was the business partner, and he signed the business partner's name to all the required documents. The developer provided the entire $500,000 consideration for the transaction. The deed was promptly and properly recorded.

Unknown to the developer or her brother, the business partner had died several months before the closing. The business partner's will, which was duly probated, devised "All my real estate to my nephew" and the residue of his estate to the developer.

The developer and nephew have been unable to agree as to the status or disposition of the land. The nephew brought an appropriate action against the contractor and the developer to quiet legal title to an undivided one-half interest in the land.

In whom should the court hold that legal title to the land has vested?

A. All in the contractor.

B. All in the developer.

C. One-half in the developer and one-half in the contractor.

D. One-half in the developer and one-half in the nephew.

Explanation:

Deed requirements

Requirements	Valid	Invalid
Written & signed by grantor	Any written instrument signed by grantor	Oral (except permissible gift) Signed only by grantee
Identifies grantor & grantee	Separate grantor & grantee (except concurrent estates) Identifiable by name or description	Ambiguous/unidentifiable grantee(s) Nonexistent grantee
Identifies land	Identifiable by reasonable certainty—eg: Government survey Metes & bounds Street, lot, house number	Ambiguous description (but extrinsic evidence admissible) Undefined part of larger parcel
Includes words of transfer	"Convey" "Transfer" "Grant" "Sell"	"Lease" "Rent" "License"

A **tenancy in common** is a concurrent ownership interest in land where each co-tenant has a separate share of the property but an equal right to possess the whole property (ie, separate but undivided interests). Co-tenants can receive this interest under a deed, but that **deed is only valid if** it:

is in writing and signed by the grantor
unambiguously identifies the grantor and **grantee**
unambiguously describes the land *and*
includes words of transfer.

A deed that names a **nonexistent co-tenant is void** as to that co-tenant. Therefore, the **grantor** retains the nonexistent co-tenant's interest and **becomes tenants in common** with the **other co-tenant(s)** named in the deed.

Here, the contractor attempted to deed land to the business partner and developer as tenants in common. But since the business partner had died several months earlier (and was therefore a nonexistent co-tenant), the portion of the deed naming him as grantee is void. Therefore, the court should hold that the contractor (the grantor) and the developer (other co-tenant) each have one-half interests in the land as tenants in common **(Choices A & B)**.

(Choice D) Although the business partner devised his property to the nephew, the business partner had already died when the contractor attempted to deed him the land. Therefore, the deed did not convey the business partner an interest in the land that could pass to the nephew.

Educational objective:

When a tenancy in common is deeded to a nonexistent (eg, deceased) co-tenant, the deed is void as to that co-tenant and the grantor retains the co-tenant's interest. As a result, a tenancy in common forms between the grantor and the other co-tenant(s) named in the deed.

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A franchisee owned a hotel, subject to a mortgage securing a debt that the franchisee owed to a bank. The franchisee later acquired a nearby parking garage, financing a part of the purchase price by a loan from a credit union, secured by a mortgage on the parking garage. Two years thereafter, the franchisee defaulted on the loan owed to the bank, which caused the full amount of that loan to become immediately due and payable. The bank decided not to foreclose the mortgage on the franchisee's hotel at that time but instead brought an action, appropriate under the laws of the jurisdiction and authorized by the mortgage loan documents, for the full amount of the defaulted loan. The bank obtained and properly filed a judgment for that amount.

A statute of the jurisdiction provides: "Any judgment properly filed shall, for ten years from filing, be a lien on the real property then owned or subsequently acquired by any person against whom the judgment is rendered." There is no other applicable statute, except the statute providing for judicial foreclosure of mortgages, which places no restriction on deficiency judgments.

The bank later brought an appropriate action for judicial foreclosure of its first mortgage on the hotel and of its judgment lien on the parking garage. The credit union was joined as a party defendant, and appropriately counterclaimed for foreclosure of its mortgage on the parking garage, which was also in default. All procedures were properly followed, and the confirmed foreclosure sales resulted as follows:

The bank purchased the hotel for $100,000 less than its mortgage balance.

The bank purchased the parking garage for an amount that is $200,000 in excess of the credit union's mortgage balance.

How should the $200,000 surplus arising from the bid paid by the bank for the parking garage be paid?

A. $100,000 to the bank and $100,000 to the credit union.

B. $100,000 to the bank and $100,000 to the franchisee.

C. $100,000 to the credit union and $100,000 to the franchisee.

D. $200,000 to the franchisee.

Explanation:

Proceeds from a **foreclosure sale** are typically **distributed** in the following **order of priority**:

Expenses from the sale (eg, attorneys' fees, court costs)

Mortgage being foreclosed

Junior liens, in order of lien priority

Debtor, if any surplus remains

Here, the credit union had the senior lien on the parking garage since its mortgage was placed on the property first. The bank later acquired a judgment lien on all the franchisee's property—including a junior lien on the garage—when the franchisee defaulted on the bank's loan. And since the foreclosure sale of the garage satisfied the credit union's entire mortgage and created a $200,000 surplus, the bank (as the junior lienholder) should receive $100,000 to cover the balance still owed under its mortgage on the hotel. The remaining surplus ($100,000) should then be distributed to the franchisee **(Choices A, C & D)**.

Educational objective:

Proceeds from a foreclosure sale are typically distributed in the following order: expenses, foreclosed mortgage, junior liens, then the debtor.

References

55 Am. Jur. 2d Mortgages § 705 (2019) (distribution of foreclosure sale proceeds).

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Distribution of foreclosure sale proceeds



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A woman borrowed money from a bank in order to build a new barn on her 20-acre farm. The loan was secured by a 10-year mortgage on the farm. The mortgage contained an acceleration clause. After three years, the woman defaulted on the loan. The bank sent a certified letter to the woman notifying her of its intention to accelerate the loan unless she cured the default within 75 days.

The woman was unable to make the required payment by the 75-day deadline to cure the default. As a result, the bank accelerated the loan and initiated foreclosure proceedings against the woman. The day after being served with a summons and complaint, the woman informed the bank that she was able to make the two outstanding mortgage payments, including late fees and interest. The woman then filed a motion to dismiss the foreclosure proceedings.

Should the motion to dismiss be granted?

A. No, because the bank initiated the foreclosure, which terminated the woman's right to redemption.

B. No, because the woman does not have enough money to force the bank to accept her payment.

C. Yes, because the bank is clogging the equity of redemption by failing to accept her payment.

D. Yes, because the woman has properly exercised the statutory right of redemption.

Explanation:

Common mortgage provisions

Acceleration clause	Allows creditor to demand entire loan due & payable if debtor defaults
Due-on-sale clause	Allows creditor to demand entire loan due & payable if debtor sells mortgaged property without permission
Due-on-encumbrance clause	Allows creditor to accelerate mortgage obligation if debtor obtains second mortgage or otherwise encumbers property
Defeasance clause	Requires creditor to give debtor legal title to property & release mortgage lien once all payments are made

Mortgage documents often contain an **acceleration clause**, which allows the lender to demand **full payment** of the **remaining mortgage debt** plus any **accrued interest** if the debtor (mortgagor) defaults on the mortgage loan. If the debtor is unable to pay, then the lender can move forward with foreclosure proceedings to recover any remaining debt.

However, the **doctrine of equitable redemption** gives the debtor an opportunity to retain the property and **avoid foreclosure** by paying the amount of the **loan obligation** currently owed at any time ***prior to* the foreclosure sale**. If the mortgage documents contain an acceleration clause, then the debtor must pay the full amount of the unpaid loan plus interest to redeem the property.

Here, the woman was unable to cure her default by the bank's 75-day deadline, so the bank initiated foreclosure proceedings. Although the woman was able to make the two outstanding mortgage payments plus late fees and interest, the acceleration clause required that she pay the *full amount* of the unpaid loan plus interest to redeem the property. Since the woman does not have enough money to do so, her motion to dismiss the foreclosure proceedings should be denied.

(Choice A) The foreclosure sale—not the initiation of the foreclosure proceedings—terminated the equitable right of redemption.

(Choice C) The principle of clogging the equity of redemption refers to a lender's attempt to deny the debtor the right to redemption after the mortgage is executed—eg, by including a waiver clause in the mortgage. Since no waiver occurred here, this principle does not apply.

(Choice D) Many states recognize a statutory right of redemption that allows a debtor to reclaim the property *after* a foreclosure sale—not *before* the sale, as the woman seeks to do here.

Educational objective:

An acceleration clause allows the lender to demand full payment of the remaining mortgage debt plus any accrued interest if the debtor defaults on the mortgage loan. If the debtor is unable to pay, then the lender can move forward with foreclosure proceedings.

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A seller owned a tract of land in fee simple. The seller executed an instrument in the proper form of a deed, purporting to convey the land to a buyer in fee simple. The instrument recited that the conveyance was in consideration of "$5 cash in hand paid and for other good and valuable consideration." The seller handed the instrument to the buyer and the buyer promptly and properly recorded it.

Two months later, the seller brought an appropriate action against the buyer to cancel the instrument and to quiet title. In support, the seller proved that no money in fact had been paid by the buyer, notwithstanding the recitation, and that no other consideration of any kind had been supplied by the buyer.

In such action, should the seller prevail?

A. No, because any remedy the seller might have had was lost when the instrument was recorded.

B. No, because the validity of conveyance of land does not depend upon consideration being paid, whether recited or not.

C. Yes, because recordation does not make a void instrument effective.

D. Yes, because the recitation of consideration paid may be contradicted by parol evidence.

Explanation:

Transfer by deed

Essential deed components	Writing signed by grantor Identity of grantor & grantee Description of land Words of transfer
Delivery	Grantor's present intent to transfer title Presumed upon: physical delivery of deed recording unconditional delivery to agent grantee's possession of property/deed
Acceptance	Presumed when transfer benefits grantee

A plaintiff can bring a **quiet title action** to **establish his/her title to land** above all others (eg, by disputing the validity of a deed). A **deed** is an instrument used to convey an interest in real property from the owner (grantor) to another (grantee). The conveyance is **effective** once the deed is:

delivered by the grantor – presumed when the deed has been recorded or is in the grantee's possession *and*

accepted by the grantee – presumed when the conveyance is beneficial to the grantee.

The validity of the conveyance does **not depend upon consideration** (eg, payment for the property)—even if the deed states that consideration has been paid. However, the grantee may be liable for nonpayment.

Here, the seller properly executed a deed purporting to convey a tract of land to the buyer. The seller handed the deed to the buyer (delivery), who accepted and recorded it. And though the buyer never paid the "$5 cash in hand" or other consideration recited in the deed, the validity of the conveyance did *not* depend upon consideration being paid. Therefore, the transfer to the buyer was effective, and the seller should not prevail in his quiet title action.

(Choice A) Recording a deed (ie, depositing it into the official land records) does not cure any defects in the conveyance. Therefore, no remedy the seller might have had was lost when the deed was recorded.

(Choice C) Recording a void deed—a legally invalid deed that cannot prove title (eg, a forged deed)—does not make the deed effective. But here, the deed was *not* void since it was properly executed, delivered, and accepted.

(Choice D) Parol evidence—extrinsic evidence offered to contradict or modify a document—is admissible to show that the consideration recited in a deed has not been paid. But while that evidence is relevant to the grantee's liability for nonpayment, it does not affect the validity of the conveyance since consideration is not required. Therefore, the seller will not prevail by contradicting the consideration recited in the deed.

Educational objective:

A deed effectively transfers an interest in real property when the deed is (1) delivered by the grantor and (2) accepted by the grantee. Consideration is not required, even when the deed states that consideration has been paid.

References

Restatement (Third) of Prop.: Wills & Other Donative Transfers § 6.3 (Am. Law Inst. 2003) (gifts of land).

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A homebuyer financed the purchase of a new home by executing a promissory note and purchase-money mortgage to his credit union. The mortgage was promptly recorded. The next year, the home developed foundation problems. The homebuyer was forced to take out a second mortgage with a bank to finance the repairs. The mortgage was properly recorded, and file-stamped copies were sent to the homebuyer and the credit union.

After making consistent payments for five years, the homebuyer defaulted on both mortgages. The homebuyer agreed to execute a deed in lieu of foreclosure to the credit union in satisfaction of the debt. The deed was signed, delivered, and properly recorded. The credit union then initiated foreclosure proceedings on its first mortgage in order to eliminate the second mortgage held by the bank.

Is the credit union likely to prevail?

A. No, because the credit union had actual knowledge of the second mortgage when it accepted the deed in lieu of foreclosure.

B. No, because the deed in lieu of foreclosure automatically eliminated the second mortgage under the doctrine of merger.

C. Yes, because the credit union impliedly retained the right to foreclose on the mortgage to eliminate junior liens.

D. Yes, because the doctrine of merger does not apply to mortgages and the lender retains the right to foreclose.

Explanation:

The homebuyer (mortgagor) executed a **deed in lieu of foreclosure**, under which he conveyed all interest in the mortgaged property to the credit union (mortgagee) to avoid foreclosure. This gave the credit union the right to take immediate possession of the property without the formalities of a foreclosure sale. However, by accepting the deed, the credit union may have lost the right to foreclose on its mortgage to eliminate the bank's junior mortgage, depending on the jurisdiction.

A minority of jurisdictions apply the doctrine of merger when the same person (here, the credit union) acquires the mortgagee's interest in real property and the mortgagor's interest in that same property **(Choice D)**. When this occurs, the mortgage merges into the fee estate and is thereby extinguished. As a result, the mortgagee has no lien on which to foreclose and any junior liens are promoted in status.

However, **most jurisdictions** have adopted the Restatement's position that the **merger doctrine does not apply** to mortgages (default rule on the MBE). Instead, a mortgagee that receives a deed in lieu of foreclosure is treated as having **impliedly retained** the **right to foreclose** on its mortgage—**unless** it had **actual knowledge of a junior lien**. If so, then the mortgagee ***cannot* foreclose** on its mortgage to eliminate that junior lien **(Choices C & D)**.

Here, the credit union received a file-stamped copy of the bank's mortgage, so the credit union had actual knowledge of this junior lien when it received the homebuyer's deed in lieu of foreclosure. As a result, the credit union is *not* likely to prevail in foreclosure proceedings on its first mortgage to eliminate the bank's junior mortgage.

(Choice B) Had the minority rule regarding merger applied, the deed in lieu of foreclosure would have automatically eliminated the credit union's first mortgage—not the bank's second mortgage.

Educational objective:

A mortgagee that receives a deed in lieu of foreclosure generally retains the right to foreclose on its mortgage. But if the mortgagee had actual knowledge of a junior lien, then it cannot foreclose on its mortgage to eliminate that lien.

References

Restatement (Third) of Property: Mortgages § 8.5 cmt. b (Am. Law Inst. 1997) (discussing deeds in lieu of foreclosure).

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Lien theory v. Title theory

Majority rule
(merger doctrine does not apply)

		Deed in lieu of foreclosure
Fee holder	Homebuyer	Credit union
Senior mortgagee	Credit union	*
Junior mortgagee	Bank	

Minority rule
(merger doctrine applies)

		Deed in lieu of foreclosure
Fee holder	Homebuyer	Credit union
Senior mortgagee	Credit union	Bank
Junior mortgagee	Bank	

*Cannot foreclose to eliminate junior liens of which it had actual knowledge

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A carpenter decided to start a business with his friend. In order to fund the business, the carpenter took out a loan from a local bank. The carpenter signed a 30-year promissory note to the bank and secured the note with a mortgage on his cabin, which served as his primary residence. The mortgage included a due-on-sale clause and was promptly recorded by the bank.

After running a successful business together for 10 years, the carpenter wanted to reward his friend for all of his hard work. As a result, the carpenter conveyed the cabin by quitclaim deed as a gift to the friend. When the bank received notice that the cabin had been transferred to the friend, the bank demanded full payment of the remaining mortgage debt. When neither the carpenter nor the friend made the required payment, the bank initiated foreclosure proceedings.

Will the bank likely prevail?

A. No, because a due-on-sale clause can only be enforced when the mortgaged property is sold to another.

B. No, because a due-on-sale clause cannot be enforced against a mortgage on a primary residence.

C. Yes, because the due-on-sale clause made the friend personally liable for the mortgage debt.

D. Yes, because the transfer of the mortgaged property triggered the due-on-sale clause.

Explanation:

Common mortgage provisions

Acceleration clause	Allows creditor to demand entire loan due & payable if debtor defaults
Due-on-sale clause	Allows creditor to demand entire loan due & payable if debtor sells mortgaged property without permission
Due-on-encumbrance clause	Allows creditor to accelerate mortgage obligation if debtor obtains second mortgage or otherwise encumbers property
Defeasance clause	Requires creditor to give debtor legal title to property & release mortgage lien once all payments are made

Mortgage documents are used to convey a lender (mortgagee) an interest in real property to secure repayment of a debt. These documents may contain a **due-on-sale clause**, which allows the lender to demand **full payment** of the remaining mortgage debt if the **debtor** (mortgagor) **transfers** the mortgaged property **without the lender's consent** (absent limited exceptions). If the debtor is unable to pay, then the lender can initiate foreclosure proceedings to recover any remaining debt.

Here, the carpenter gave the bank a mortgage on his residence, the cabin, to secure a loan. The mortgage contained a due-on-sale clause, which was triggered when the carpenter transferred the cabin to the friend by quitclaim deed and allowed the bank to demand full payment of the remaining loan balance. The fact that the cabin was gifted (not sold) has no impact on the bank's ability to enforce this clause **(Choice A)**. And since the carpenter did not make the required payment, the bank will prevail in its foreclosure proceedings.

(Choice B) A due-on-sale clause *can* be enforced on a primary residence or any other real property used to secure repayment of a debt.

(Choice C) The due-on-sale clause made the *carpenter* (mortgagor) personally liable on the debt if the mortgaged property was conveyed without the bank's consent. The *friend* would be personally liable only if he agreed to assume the mortgage debt (not seen here).

Educational objective:

A due-on-sale clause allows a lender to demand full payment of the remaining mortgage debt if the debtor transfers the mortgaged property without the lender's permission. Although labeled a "due on sale" clause, the clause is triggered by most transfers—including gifts.

References

55 Am. Jur. 2d Mortgages § 415 (2019) (due-on-sale clauses).

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A man who owned a farm in fee simple conveyed it to a friend by warranty deed. An adjoining neighbor asserted title to the farm and brought an appropriate action against the friend to quiet title to the farm. The friend demanded that the man defend her title under the deed's covenant of warranty, but the man refused. The friend then successfully defended at her own expense.

The friend brought an appropriate action against the man to recover her expenses incurred in defending against the adjoining neighbor's action to quiet title to the farm.

In this action, will the friend prevail?

A. No, because the adjoining neighbor could have elected to sue either the man or the friend.

B. No, because the title the man conveyed was not defective.

C. Yes, because in effect it was the man's title that was challenged.

D. Yes, because the man's deed to her included the covenant of warranty.

Explanation:

Covenants of title

(warranty & special warranty deeds)

Present covenants	Seisin	Grantor owns interest being conveyed
(breached at time of conveyance)	Right to convey	Grantor has legal right to convey interest
	Against encumbrances	No encumbrances (eg, easements, mortgages) against interest conveyed
Future covenants	Warranty	Grantor will defend & compensate grantee for lawful claims made against grantee's title
(breached upon interference with possession)	Quiet enjoyment	Grantee's possession & enjoyment will not be disturbed by another's lawful claim of title
	Further assurances	Grantor will take any actions reasonably necessary to perfect grantee's title

A **warranty deed** conveys a grantor's real property to a grantee with assurances that there are no defects in title—ie, no one else owns the land and it is free from encumbrances. The **covenant of warranty** is an assurance that the grantor will **defend and compensate** the grantee for **lawful claims** made **against the grantee's title**—eg, when a third party prevails against the grantee in a quiet title action.

Here, the man conveyed his farm to a friend by warranty deed. The friend demanded that the man defend her under the covenant of warranty after an adjoining neighbor asserted title to the farm through a quiet title action **(Choice D)**. But the man was not required to do so because the neighbor did not have a lawful claim (as evidenced by the friend's successful defense). Therefore, the friend will not recover the expenses she incurred in defending that claim.

(Choice A) In a quiet title action, the plaintiff can sue all persons claiming an interest in the property to establish superior title. Here, the neighbor could *not* have elected to sue the man since he no longer claimed an interest in the farm (he had conveyed his interest to the friend). But had the neighbor prevailed against the friend (lawful claim), the friend could recover her expenses from the man under the covenant of warranty.

(Choice C) The neighbor's action against the friend was, in effect, challenging the man's title since the neighbor would only prevail if the man had conveyed defective title to the

friend. But the man was not required to defend that suit under the covenant of warranty (or compensate the friend) since he had not conveyed defective title.

Educational objective:

Under the covenant of warranty, the grantor of a warranty deed must defend and compensate the grantee for any lawful claims made against the grantee's title—eg, when the grantee is defeated in a third party's quiet title action.

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A woman owned a lot, which was improved with a dwelling. Her neighbor owned an adjoining unimproved lot suitable for constructing a dwelling. The neighbor executed and delivered a deed granting to the woman an easement over the westerly 15 feet of her lot for convenient ingress and egress to a public street, since the woman's lot only abutted a dirt road. The woman did not then record the neighbor's deed. After the woman constructed and started using a driveway within the described 15-foot strip in a clearly visible manner, the neighbor borrowed $100,000 cash from the bank and gave the bank a mortgage on her lot. The mortgage was promptly and properly recorded. The woman then recorded the neighbor's deed granting the easement. The neighbor subsequently defaulted on her loan payments to the bank.

The recording act of the jurisdiction provides: "No conveyance or mortgage of real property shall be good against subsequent purchasers for value and without notice unless the same be recorded according to law."

In an appropriate foreclosure action as to the neighbor's lot, brought against the woman and the neighbor, the bank seeks, among other things, to have the woman's easement declared subordinate to the bank's mortgage, so that the easement will be terminated by completion of the foreclosure.

If the woman's easement is NOT terminated, what will be the reason?

A. The easement provides access from the woman's lot to a public street.
B. The recording of the deed granting the easement prior to the foreclosure action protects the woman's rights.
C. The woman's easement is appurtenant to her lot and thus cannot be separated from her lot.
D. Visible use of the easement by the woman put the bank on notice of the easement.

Explanation:

Recording acts are used to determine priority among competing property interests. In a **notice jurisdiction** (as seen here), a bona fide purchaser (BFP) has **priority** over an earlier property interest if the BFP took **without notice** of that interest. There are three types of notice:

Actual – a buyer has direct knowledge of a prior interest in land

Record – a document showing a prior interest is properly recorded in the land records and appears in the buyer's chain of title

Inquiry – a buyer knows, **or should know**, of circumstances that would prompt a reasonable person to investigate (eg, visible use of the property, reference to unrecorded transaction in recorded instrument)

Here, the foreclosure would only terminate the woman's prior easement over the neighbor's lot if the bank had no notice of the easement when it obtained a mortgage from the neighbor. The bank had no direct knowledge of the easement (no actual notice), and it was recorded *after* the mortgage was conveyed (no record notice). But if visible use of the easement put the bank on *inquiry* notice, the easement would not be terminated by the foreclosure.

(Choice A) An easement by necessity allows an owner of a landlocked parcel to cross another's land to access a public road and only terminates when the necessity ends. Although the woman's easement allowed her to access a public street, her lot was not landlocked since it abutted another street (no necessity).

(Choice B) Recording the deed granting the easement *prior* to the mortgage (not the foreclosure action) would have protected the woman's rights. But since she recorded the deed *after* the mortgage was conveyed, the recording did not protect her (ie, no record notice).

(Choice C) An easement appurtenant—an easement that benefits the easement holder's land by granting limited use or control of another's land—cannot be separated (ie, conveyed separately) from the easement holder's land. But it is only binding on subsequent purchasers (eg, the bank) who take with notice of the easement.

Educational objective:

In a notice jurisdiction, a bona fide purchaser who acquires a property interest without notice (actual, record, or inquiry) of an earlier property interest will prevail. A buyer has inquiry notice when he/she knows, or should know, of circumstances that would prompt a reasonable person to investigate (eg, visible use of the property).

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Actual notice



Record notice



Inquiry notice



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A man decided to purchase an apartment building. To finance this purchase, the man borrowed funds from a bank. The man executed a negotiable promissory note and a mortgage to the bank in order to secure repayment of the loan.

Two years later, the bank sold its promissory note to a mortgage company by endorsing and promptly delivering the note to the mortgage company. Shortly thereafter, the man stopped making payments on the mortgage, and the mortgage company initiated judicial foreclosure proceedings against him. The man has moved to dismiss the suit.

Should the motion to dismiss be granted?

A. No, because the mortgage was not assigned and is unenforceable by anyone except the bank.

B. No, because the mortgage will be deemed to have been transferred with the promissory note.

C. Yes, because the promissory note could not be assigned independent of the mortgage.

D. Yes, because the promissory note required a separate document for assignment to the mortgage company.

Explanation:

Transfer of promissory note & mortgage

Transfer of both documents	*Both* documents are transferred unless:
Transfer of note without mortgage	expressly prohibited in note/mortgage
Transfer of mortgage without note*	forbidden by statute or public policy *or* increases mortgagor's duties, burdens, risks Transfer is void

*Jurisdictions are split as to effect of transfer.

To **finance the purchase of real property**, a borrower typically executes two documents that serve as evidence of the debt:

Promissory note – a formal "IOU" that sets forth the terms of the loan. It is the primary evidence of the debt and is not recorded in the deed records.

Mortgage (or deed of trust) – a lien that secures the loan by attaching the debt to a real property interest and providing a means of enforcement (eg, foreclosure). It is recorded in the deed records to provide notice of an outstanding debt attached to the real property.

If a lender decides to sell its security interest, the lender can assign the promissory note independent of the mortgage to an assignee **(Choice C)**. A ***nonnegotiable* promissory note** requires a **separate assignment** document to transfer ownership **(Choice D)**. However, a ***negotiable* promissory note** can be transferred by merely **endorsing and delivering** the note to the assignee. Once the promissory note is properly transferred, the mortgage automatically transfers with the note (unless the parties agreed otherwise) **(Choice A)**.

Here, the *negotiable* promissory note was properly transferred to the mortgage company upon its endorsement and delivery. The mortgage will be deemed to have automatically transferred to the mortgage company, so the mortgage company can enforce the mortgage through foreclosure. Therefore, the man's motion to dismiss this foreclosure proceeding should be denied.

Educational objective:

A nonnegotiable promissory note must be transferred by a separate document, while a negotiable promissory note can be transferred by endorsing and delivering the note. Either note can be transferred independent of the mortgage, and the mortgage will automatically transfer with the note (unless otherwise agreed).

References

Restatement (Third) of Property: Mortgages § 5.4 (Am. Law Inst. 1997) (transfer of mortgages).

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A newly married couple, anxious to start a life together, decided to build a new home. They financed the home by executing a 15-year promissory note and purchase-money mortgage to the bank. The mortgage, which contained a power-of-sale clause, was promptly recorded.

Seven years later, the couple legally separated. Neither could afford the mortgage payments on their individual salary, so they abandoned the home and stopped making mortgage payments. After the couple missed two payments, the bank decided to initiate a foreclosure proceeding.

The jurisdiction follows the title theory of mortgages and allows for nonjudicial foreclosures.

Which of the following actions poses the most financial risk to the bank?

A. Accepting a deed in lieu of foreclosure.
B. Entering the property to make repairs prior to foreclosure.
C. Foreclosing on the mortgage through a privately conducted public sale.
D. Leasing the home to a tenant.

Explanation:

This jurisdiction follows the title theory of mortgages, so a **lender** is considered the **owner** of the mortgaged property **until** the **mortgage debt is fully satisfied**. This gives the lender the right to take possession of the property at any time (unless the mortgage states otherwise). If the lender takes possession, then it assumes the **duty to take reasonable care** of the property **until foreclosure proceedings end**.

The duty of reasonable care includes the **duty not to commit waste** that would impair the value of the property. As a result, the lender is **liable to the borrower** if the **value of the property is reduced** because of the lender's actions during foreclosure proceedings.

Here, if the bank chooses to lease the home, it runs the risk that the tenant will damage the property. Damage to the property reduces any equity that the borrower (here, the couple) may have in the home. Such damage would amount to waste, for which the bank would have to account to the couple during the foreclosure proceedings. Therefore, leasing the home to a tenant poses the most financial risk to the bank.

(Choice A) A borrower may deed all interest in the property to the lender in lieu of foreclosure. This poses minimal financial risk to the lender because it allows the lender to take immediate possession of the property without any further legal formalities and to generally reserve the right to pursue a deficiency against the debtor.

(Choice B) The bank may enter the property to make repairs prior to foreclosure because this would likely *increase* the value of the property—not impair it.

(Choice C) In jurisdictions that permit nonjudicial foreclosure, a lender may foreclose on a mortgage through a privately conducted public sale when the mortgage contains a power-of-sale clause (as seen here). This allows the bank to foreclose without court intervention.

Educational objective:

A lender has the right to take possession of mortgaged property but is liable to the borrower for any waste that the lender commits during foreclosure proceedings.

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At the time of his death last week, a man owned a small farm. By his duly probated will, drawn five years ago, the man did the following:

1. He devised the farm "to my farmhand for the life of my wife, then to my cousin."

2. He gave "all the rest, residue and remainder of my estate, both real and personal, to my friend."

At his death, the man was survived by a son (his sole heir), the farmhand, the cousin, and the friend. The wife had died a week before the man.

Who has title to the farm?

A. The cousin, in fee simple.

B. The farmhand for life, remainder to the cousin.

C. The friend, in fee simple.

D. The son, in fee simple.

Explanation:

Doctrines affecting conveyance by will

Lapse	Causes devise to fail if beneficiary predeceases testator
Ademption	Causes devise to fail by either:
	extinction – specifically devised property not owned by testator (or destroyed or fundamentally changed) at death
	satisfaction – beneficiary received devised property (or other asset intended to satisfy devise) during testator's life
Exoneration	Allows beneficiary of specifically devised real property to use estate's remaining assets to pay off any encumbrances on that property
Abatement	Reduces devises that cannot be satisfied by assets remaining after testator's debts are paid
	Residuary devises abated first, followed by general & then specific devises

Lapse (ie, the failure of a gift of property under a will) normally occurs when the beneficiary dies before the testator dies. But when a will gives a **life estate pur autre vie**—ie, a life estate measured by the life of someone other than the life tenant—lapse occurs when either the life tenant *or* the **measuring life predeceases** the **testator**. The life tenant's (or other measuring life's) predecease affects only the life tenant's interest, however, so any **remainder interest** is **not defeated**.

Here, the man's will devised a life estate pur autre vie in the farm to the farmhand (measured by the wife's life) and a remainder to the cousin. Because the wife died *before* the man, the doctrine of lapse caused the devise to the farmhand to fail. But since the cousin's remainder interest was not defeated by the wife's death, the cousin has title to the farm in fee simple **(Choices B, C & D)**.

Educational objective:

When a will gives a life estate pur autre vie, the devise will lapse (ie, fail) if the life tenant or the measuring life dies before the testator. But the remainder interest, if any, will survive.

References

80 Am. Jur. 2d Wills § 1415 (2019) (death of life tenant before death of testator).

Restatement (Second) of Property: Donative Transfers § 34.6 (Am. Law Inst. 1992) (donee dies before donor).

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A man borrowed $500,000 from a bank, securing the loan with a mortgage on a commercial building he owned.

The mortgage provided as follows: "No prepayment may be made on this loan during the first two years after the date of this mortgage. Thereafter, prepayment may be made in any amount at any time but only if accompanied by a prepayment fee of 5% of the amount prepaid."

One year later, the man received an unexpected cash gift of $1 million and wished to pay off the $495,000 principal balance still owed on the loan. Concerned that the bank might refuse prepayment—despite a rise in market interest rates in the year since the loan was made—or at least insist on the 5% prepayment fee, the man consulted an attorney concerning the enforceability of the above-quoted clause.

There is no applicable statute.

What is the attorney likely to say?

A. The entire clause is unenforceable, because it violates a public policy favoring the prompt and early repayment of debt.

B. The entire clause is unenforceable, because the rise in interest rates will allow the bank to reloan the funds without loss.

C. The two-year prepayment prohibition and the prepayment fee provision are both valid and enforceable.

D. The two-year prepayment prohibition is unenforceable, but the prepayment fee provision is enforceable.

Explanation:

Right to prepay mortgage

Common law Prepayment *barred* unless mortgage documents provide otherwise

Majority rule Prepayment *allowed* unless mortgage documents provide otherwise

Under the common law "perfect tender in time" rule, a mortgagor (debtor) has no right to prepay a mortgage debt unless the mortgage documents provide otherwise. However, the prevailing **modern trend** reverses this presumption and **allows prepayment *unless*** the **mortgage documents provide otherwise**.

Prepayment prohibitions or penalties contained in a mortgage are generally **valid and enforceable**.* They do not violate public policy because they serve the beneficial purpose of:

allowing the mortgagee to maintain the financial yield intended under the mortgage agreement *and*
compensating the mortgagee for any losses suffered because of a prepayment **(Choice A)**.
As a result, the two-year prepayment prohibition and prepayment fee provision in the man's mortgage are valid and enforceable, even if the bank could reloan the funds to another without loss **(Choices B & D)**.

*Roughly half of all states prohibit or restrict prepayment penalties on mortgaged residential property (eg, by limiting the penalty rate or time in which the penalty can be imposed).

Educational objective:

A debtor has the right to prepay a mortgage debt unless the mortgage provides otherwise. Prepayment prohibitions or penalties in a mortgage are generally valid and enforceable.

References

Restatement (Third) of Property: Mortgages §§ 6.1–6.2 (Am. Law Inst. 1997) (right to prepay mortgage).

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A creditor received a valid judgment against a debtor and promptly filed the judgment in the county land records. Two years later, the debtor purchased land in the county and promptly recorded the warranty deed to the land. Subsequently, the debtor borrowed $30,000 from his aunt, signed a promissory note for that amount, and secured the note with a mortgage on the land. The mortgage was promptly recorded. The aunt failed to make a title search before making the loan. The debtor made no payment to the creditor and defaulted on the mortgage loan from his aunt. A valid judicial foreclosure proceeding was held, in which the creditor, the aunt, and the debtor were named parties. A dispute arose as to which lien had priority. A statute of the jurisdiction provides: "Any judgment properly filed shall, for 10 years from filing, be a lien on the real property then owned or subsequently acquired by any person against whom the judgment is rendered." A second statute of the jurisdiction provides: "No unrecorded conveyance or mortgage of real property shall be good against subsequent purchasers for value without notice, who shall first record."

Who has the prior lien?

A. The aunt, because a judgment lien is subordinate to a mortgage lien.

B. The aunt, because she is a mortgagee under a purchase-money mortgage.

C. The creditor, because its judgment was filed first.

D. The creditor, because the aunt had a duty to make a title search of the property.

Explanation:

Notice of competing property interests

Actual notice	Buyer has direct knowledge of prior interest in land
Record notice	Document showing prior interest in land is properly recorded & appears in buyer's chain of title
Inquiry notice	Buyer knows, or should know, of circumstances that would prompt reasonable person to investigate (eg, visible use of property, reference to unrecorded transaction in recorded instrument)

The priority of competing property interests is evaluated under the jurisdiction's **recording act**. Under a **race-notice statute** (as seen here), a **bona fide purchaser's** (BFP's) subsequent property interest has **priority** over an earlier competing property interest if the BFP:

lacked notice of the earlier interest at the time the BFP acquired his/her interest *and* **recorded** his/her interest at any time **before the earlier interest** was recorded.

And a purchaser had **constructive notice** (ie, record notice) of an earlier property interest if a document showing that interest was **properly recorded** (ie, filed in the official land records) and appeared in the purchaser's **chain of title**.

Here, the creditor has the prior lien because it filed its judgment against the debtor in the county land records first. As a result, she had *constructive* notice of the creditor's prior interest when she acquired a mortgage lien on that property. Therefore, the aunt is not a BFP and the creditor has priority.

(Choices A & B) A judgment lien is not necessarily subordinate (inferior) to a mortgage. However, a judgment lien *is* subordinate to a purchase-money mortgage (PMM)—a mortgage that allows the buyer to purchase or improve the property. Here, the aunt's mortgage was not used by the debtor to purchase or improve the land (not a PMM). And since the creditor filed its judgment before the aunt recorded her mortgage, the creditor has the prior lien.

(Choice D) A purchaser (eg, the aunt) has no duty to conduct a title search before he/she acquires a property interest. But a purchaser who fails to do so cannot claim that he/she lacked notice of an earlier property interest that was properly recorded and in the purchaser's chain of title.

Educational objective:

In a race-notice jurisdiction, a bona fide purchaser's (BFP's) property interest has priority over an earlier interest if the BFP (1) lacked notice of that interest and (2) recorded first. But a BFP has constructive notice of the earlier interest if a document showing that interest was properly recorded and appeared in the purchaser's chain of title.

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An uncle was the record title holder of a vacant tract of land. He often told friends that he would leave the land to his nephew in his will. The nephew knew of these conversations. Prior to the uncle's death, the nephew conveyed the land by warranty deed to a woman for $100,000. She did not conduct a title search of the land before she accepted the deed from the nephew. She promptly and properly recorded her deed. Last month, the uncle died, leaving the land to the nephew in his duly probated will. Both the nephew and the woman now claim ownership of the land. The nephew has offered to return the $100,000 to the woman.

Who has title to the land?

A. The nephew, because at the time of the deed to the woman, the uncle was the owner of record.
B. The nephew, because the woman did not conduct a title search.
C. The woman, because of the doctrine of estoppel by deed.
D. The woman, because she recorded her deed prior to the uncle's death.

Explanation:

In general, a grantor can only convey title to property that he/she owns. But when unowned property is conveyed by warranty deed, that conveyance will become effective if the grantor later acquires title due to the **doctrine of estoppel by deed** (ie, after-acquired title). This doctrine causes the grantor's **after-acquired title** to **automatically transfer** to the grantee. The grantee can then choose to accept that transfer or reject it (and sue for damages).

Here, the nephew conveyed the land to the woman for $100,000 by warranty deed. Since the uncle (not the nephew) owned the land at that time, the conveyance was ineffective. But it became effective—and title automatically transferred to the woman—when the nephew later acquired title under the uncle's will **(Choice A)**. And since the woman accepted that transfer by claiming ownership, she has title to the land.

(Choice B) A grantee has no obligation to conduct a title search before accepting a deed or claiming ownership of property. Therefore, the woman's failure to search the land records is immaterial.

(Choice D) Recording protects property owners from *subsequent* ownership claims. Here, the woman recorded the deed before the uncle's death and before the nephew acquired title to the land under the uncle's will. But since she acquired title after the nephew, the recording would not protect her from his *earlier* ownership claim.

Educational objective:

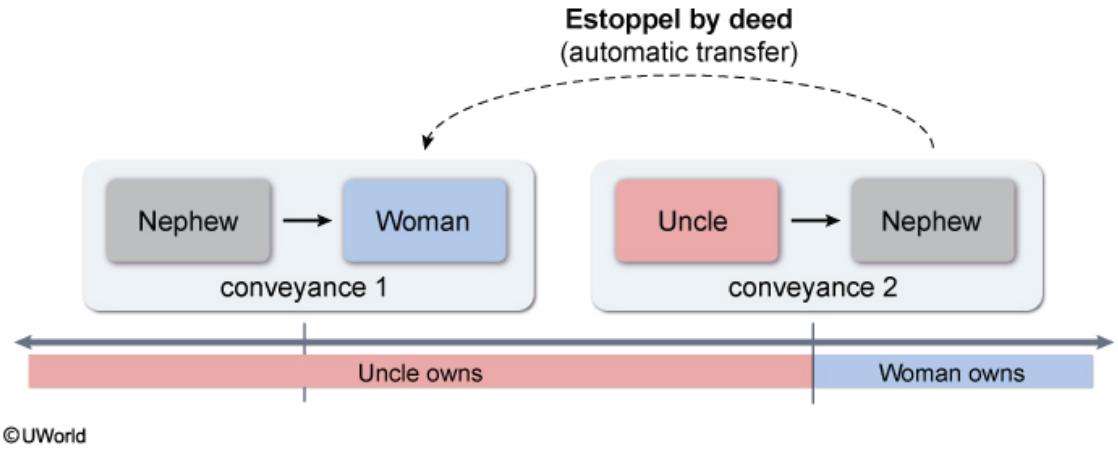
The doctrine of estoppel by deed (ie, after-acquired title) effectuates a conveyance of unowned property by warranty deed when the grantor later acquires ownership of that property. The grantor's ownership interest automatically transfers to the grantee, who can then accept or reject the transfer.

References

23 Am. Jur. 2d Deeds § 278 (2018) (estoppel by deed).

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Estoppel by deed
(automatic transfer)
Nephew
Woman
conveyance 1
Uncle
Nephew
conveyance 2
Uncle owns
Woman owns

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Twenty years ago, a man who owned a 20-acre ranch agreed to sell all of his mineral rights to his neighbor. The man executed a warranty deed conveying the mineral estate to the neighbor, who failed to record the deed.

The following year, a woman moved her mobile home onto an undeveloped five-acre portion of the man's ranch. After the woman had lived on the property for 10 years, a local drilling company began operations on a nearby tract to drill a natural gas well. Believing that the woman owned the property, the drilling company approached the woman about leasing the mineral rights on her property and requested that the woman sign a lease of her mineral rights. The woman signed the lease as requested, and it was promptly and properly recorded. The drilling operations were successful, and the drilling company prepared to distribute profits from royalties. However, a dispute arose between the neighbor and the woman, as both parties claim ownership of the minerals.

The period of time to acquire title by adverse possession in the jurisdiction is 10 years.

In an action to determine title, is the court likely to award title to the mineral estate to the woman?

A. No, because the woman actually possessed only the surface estate that had previously been severed from the mineral estate.

B. No, because the woman did not actually possess the mineral estate until she signed the lease of the mineral rights.

C. Yes, because the neighbor failed to record the warranty deed conveying the mineral estate.

D. Yes, because the woman adversely possessed both the surface estate and the mineral estate for the statutory period.

Explanation:

An adverse possessor can acquire title to land owned by another if his/her possession of the land is:

Open and notorious – apparent or visible to a reasonable owner

Continuous – uninterrupted for the statutory period

Exclusive – not shared with the owner

Actual – physical presence on the land *and*

Nonpermissive – hostile and adverse to the owner.

If the **surface and mineral estates** are **owned by the *same* party**, then the adverse possessor will **acquire title** to **both estates**—even if only one estate is actually possessed. But if the mineral estate has been **severed** from the surface estate (ie, the surface and mineral estates are **owned by *different* parties**), then the adverse possessor will **only acquire title** to the **estate that is actually possessed**. The mineral estate is actually possessed when the adverse possessor mines or drills wells on the land.

Here, the neighbor purchased the mineral estate from the man, thereby severing the mineral estate from the surface estate. And since the woman merely lived on the property for the 10-year statutory period—she did not attempt to mine or drill a well on the mineral estate—she actually possessed only the surface estate during that time **(Choice D)**. This means that the woman did not adversely possess the mineral estate, and the court is *not* likely to award her title to that estate.

(Choice B) Adverse possession of a mineral estate requires the commencement of drilling or mining operations. Merely signing a lease of the mineral rights is not enough.

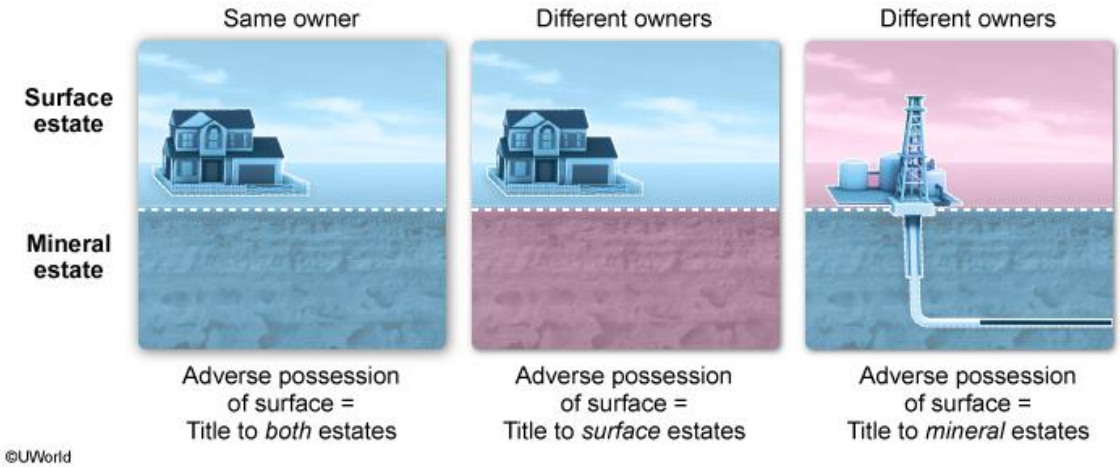
(Choice C) A deed need not be recorded to be valid, so the neighbor's failure to record has no impact on whether the woman adversely possessed the mineral estate.

Educational objective:

If a mineral estate has previously been severed from the surface estate (ie, surface and minerals owned by different persons), then an adverse possessor can only acquire title to the mineral estate by actually possessing the minerals (eg, by mining or drilling wells).

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Adverse possession of a mineral estate



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A man owned a tract of undeveloped land. The man's land abuts a tract of land owned by the state's governmental energy agency. The agency has operated a waste-to-electricity recycling facility on its land for 12 years. Both the man's land and the agency's land are in a remote area, and the agency's land is the only developed parcel of real estate within a 10-mile radius. The boundary line between the man's land and the agency's land had never been surveyed or marked on the face of the earth.

During the past 12 years, some of the trucks bringing waste to the agency facility have dumped their loads so that the piles of waste extend onto a portion of the man's land. However, prior to the four-week period during each calendar year when the agency facility is closed for inspection and repairs, the waste piles are reduced to minimal levels so that during each of the four-week closures no waste was, in fact, piled on the man's land. Neither the man nor any representative of the agency knew the facts about the relation of the boundary line to the waste piles.

The time for acquiring title by adverse possession in the jurisdiction is 10 years.

Last year, the man died, and his son succeeded him as the owner of the man's land. The son became aware of the facts, demanded that the agency stop using the man's land for the piling of waste, and, when the agency refused his demand, brought an appropriate action to enjoin any such use of the man's land in the future.

If the agency prevails in that action, what is the most likely reason?

A. The facts constitute adverse possession, and title to the portion of the man's land concerned has vested in the agency.

B. The interest of the public in the conversion of waste to energy overrides the son's entitlement to equitable remedies.

C. The man's failure to keep himself informed as to the agency's use of his land and his failure to object constituted implied consent to the continuation of that use.

D. The power of eminent domain of the state makes the son's claim moot.

Explanation:

A person may acquire title to another's land by **adverse possession** if his/her possession of the land is:

Open and notorious – apparent or visible to a reasonable owner

Continuous – without substantial interruption for the statutory period (daily/weekly use is not required)

Exclusive – not shared with the owner

Actual – physical **presence** on the **portion of the land** to be adversely possessed

Nonpermissive – hostile and adverse to the owner

Here, the agency openly and continuously dumped waste on a portion of the man's land for more than 10 years (the statutory period) without his participation or permission. The four-week period each year during which waste was not being dumped did not invalidate the agency's continuous use of the land. Therefore, title to that portion of the man's land has likely vested in the agency by adverse possession.

(Choice B) Although converting waste to energy has social value, the agency could have reasonably achieved that interest without infringing on the son's ownership rights (eg, by dumping waste on other land in the remote area). As a result, the utility of the agency's activity likely does not override the son's entitlement to equitable remedies.

(Choice C) The man's failure to notice or object to the agency's use of his land did not constitute implied consent to the continuation of that use. Instead, his failure to notice or object within the 10-year statutory period allowed the agency to acquire title to a portion of his land through adverse possession.

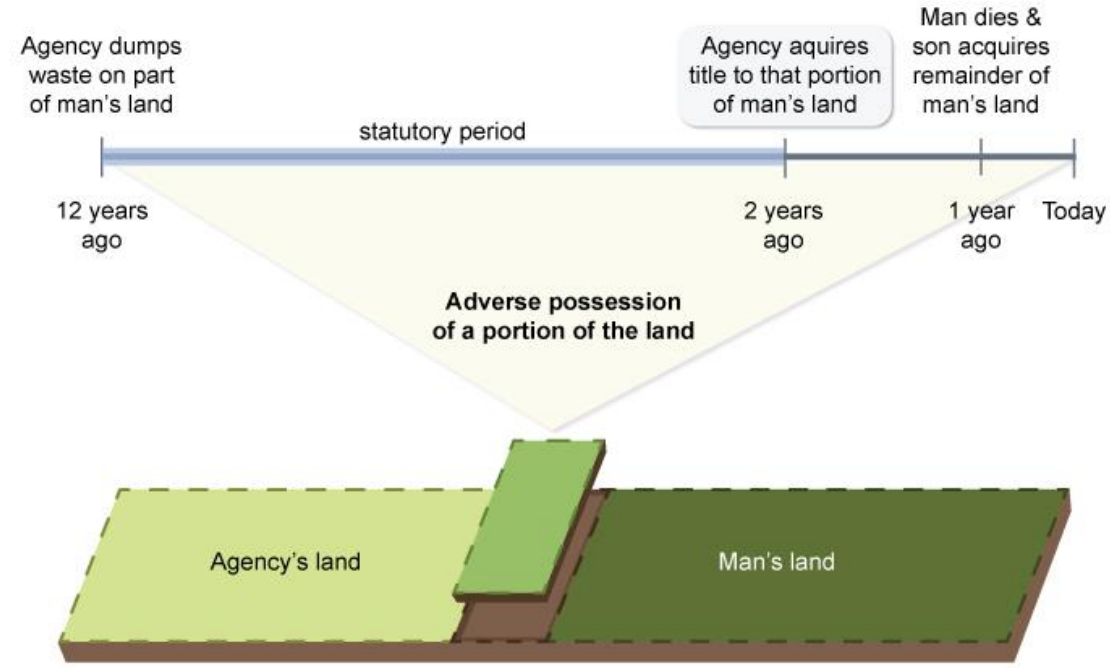
(Choice D) Eminent domain prohibits the government from taking private property for public use *without just compensation*. Since there is no evidence that the governmental agency compensated the man or his son for its use of the land, there is a live controversy (ie, the son's claim is not moot).

Educational objective:

Adverse possession allows one to acquire title to any portion of another's land that he/she possesses in an open and notorious, continuous, exclusive, actual, and non-permissive manner (OCEAN).

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Agency dumps waste on part of man's land
Agency aquires title to that portion of man's land
Man dies & son acquires remainder of man's land
statutory period
12 years ago
2 years ago
1 year ago
Today
Adverse possession of a portion of the land
Agency's land
Man's land

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A man conveyed a large tract of land to a buyer by a warranty deed. The buyer recorded the deed four days later. After the conveyance but prior to the buyer's recording of the deed, a creditor properly filed a judgment against the man.

A statute in the jurisdiction provides: "Any judgment properly filed shall, for ten years from filing, be a lien on the real property then owned or subsequently acquired by any person against whom the judgment is rendered."

The recording act of the jurisdiction provides: "No conveyance or mortgage of real property shall be good against subsequent purchasers for value and without notice unless the same be recorded according to law."

The recording act has no provision for a grace period.

The creditor joined both the man and the buyer in an appropriate action to foreclose her judgment lien against the land.

If the creditor is unsuccessful, what will be the reason?

A. Any deed is superior to a judgment lien.

B. Four days is not an unreasonable delay in recording a deed.

C. The creditor is not a purchaser for value.

D. The man's warranty of title to the buyer defeats the creditor's claim.

Explanation:

Payment of value

(bona fide purchaser)

Value	Release of existing debt
	Substantial amount not grossly inadequate in relation to property interest's value
No value	Security for existing debt
	Nominal payment (eg, $1)
	Recital of consideration in deed
	Gift, devise, or inheritance

Recording acts are used to evaluate the priority of competing property interests. A **notice act** (as seen here) protects only subsequent purchasers for value who lack notice of prior interests in land. **Judgment creditors** are **not purchasers for value** since the attachment of a judgment lien to a debtor's property is merely **security for a *preexisting debt*** (ie, no new value has been paid). Therefore, judgment creditors are not protected under the notice act,* and the creditor here will be unsuccessful in her foreclosure action.

*However, some recording acts now expressly protect judgment creditors by their terms.

(Choice A) It is untrue that any deed is superior to a judgment lien. Had the creditor's judgment lien been filed before the man conveyed the land to the buyer, it would have been superior to the buyer's deed.

(Choice B) When, as here, a recording act does not have a grace period, a purchaser must record immediately to prevent a subsequent purchaser from obtaining a superior interest in the property. Whether a delay in recording is reasonable is not taken into consideration.

(Choice D) A warranty deed does not defeat a competing interest in land, such as that held by a judgment creditor. Instead, a warranty deed merely allows a grantee to sue the grantor in the event that the competing interest results in a grantor's breach of a warranty under the deed.

Educational objective:

Judgment creditors are not purchasers for value since the attachment of a judgment lien to a debtor's property is merely security for a preexisting debt—not payment of value.

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An aunt owned a large parcel of vacant land in fee simple and executed a deed purporting to convey the land to her nephew. She told her nephew, who was then 19, about the deed and said that she would give it to him when he reached 21 and had received his undergraduate college degree. Shortly afterward the nephew searched his aunt's desk, found and removed the deed, and recorded it.

A month later, the nephew executed an instrument in the proper form of a warranty deed purporting to convey the land to his fiancée. He delivered the deed to his fiancée, pointing out that the deed recited that it was given in exchange for "$1 and other good and valuable consideration," and that to make it valid his fiancée must pay him $1. The fiancée, impressed and grateful, did so. Together, they went to the recording office and recorded the deed. The fiancée assumed that the nephew had owned the land and knew nothing about the nephew's dealing with his aunt. Neither the aunt's deed to the nephew nor the nephew's deed to the fiancée said anything about any conditions.

The recording act of the jurisdiction provides: "No conveyance or mortgage of real property shall be good against subsequent purchasers for value and without notice unless the same be recorded according to law."

Two years passed. The nephew turned 21, then graduated from college. At the graduation party, the aunt was chatting with the fiancée and for the first time learned the foregoing facts.

The age of majority in the jurisdiction is 18 years.

If the aunt brings an appropriate action against the fiancée to quiet title to the land, who will prevail?

A. The aunt, because her deed to the nephew was not delivered.

B. The aunt, because her nephew's deed to his fiancée before the nephew satisfied the aunt's conditions was void, as the fiancée had paid only nominal consideration.

C. The fiancée, because the deed to her was recorded.

D. The fiancée, because the nephew has satisfied the aunt's oral conditions.

Explanation:

A **deed** is a legal instrument that **transfers ownership** of real property from the grantor (old owner) to a grantee (new owner) once it has been:

delivered – evidenced by the **grantor's intent to presently convey** ownership to the grantee (ie, **conditional deliveries are ineffective**) *and*

accepted – presumed when the transfer is beneficial to the grantee.

Delivery is presumed if the deed is **recorded** (ie, filed in official land records). But this **presumption can be rebutted** by evidence that the grantor did not intend to presently transfer ownership. And if a deed is not delivered (and accepted), it is void and conveys no interest—not even to a bona fide purchaser.

Here, the nephew and fiancée recorded the deed (presumed delivery). But that presumption is rebuttable since the aunt had placed the deed in a drawer and told the nephew it would be his when he reached 21 and graduated (conditional delivery). Since she did not intend to *presently* transfer ownership to the nephew, the deed was not delivered and conveyed no interest to the nephew. Therefore, his subsequent conveyance to the fiancée was ineffective (even though she was a bona fide purchaser), and the aunt will prevail.

(Choice B) The deed is void because it was never delivered. But had the aunt delivered the deed, the nephew could have conveyed his interest in the property before it became possessory—ie, before he satisfied the aunt's conditions. And the fiancée's payment of only nominal consideration ($1) would have been inconsequential since consideration is not required to convey property through a deed.

(Choice C) Although the deed from the nephew to the fiancée was recorded, he had no property interest to convey to her since the aunt's prior deed had not been delivered to him. Therefore, ownership never transferred to the nephew or the fiancée.

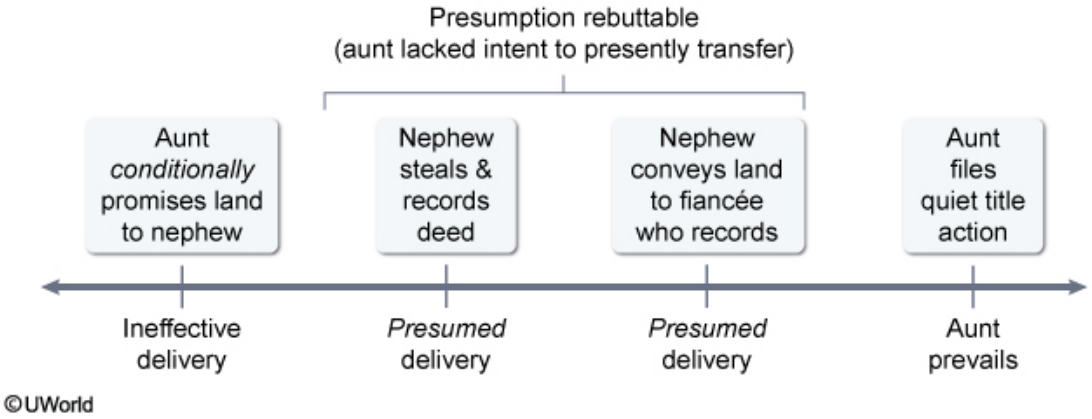
(Choice D) Although the nephew met the aunt's oral conditions (he turned 21 and graduated from college), the deed was never delivered. Therefore, the nephew had no property interest to give the fiancée.

Educational objective:

A deed transfers ownership of real property once it is delivered (when the grantor has an intent to presently convey ownership) and accepted (presumed when the transfer is beneficial to the grantee). An undelivered or unaccepted deed is void and conveys no property interest to the grantee.

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Presumption rebuttable
(aunt lacked intent to presently transfer)
Aunt *conditionally* promises land to nephew
Nephew steals & records deed
Nephew conveys land to fiancée who records
Aunt files quiet title action
Ineffective delivery
Presumed delivery
Presumed delivery
Aunt prevails
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A woman borrowed $500,000 from a bank. She signed a note to the bank and secured repayment of the loan with a mortgage on a commercial tract that she owned. The note and mortgage did not contain a due-on-sale clause. Several months later, the woman conveyed the commercial tract to her business partner "subject to a mortgage to the bank, which the grantee assumes and agrees to pay." The business partner then conveyed the tract to a buyer "subject to an existing mortgage to the bank." Each grantee received a copy of the note and the mortgage.

After the buyer made several timely payments, no further payments were made by any party. The bank initiated a foreclosure action, naming the woman, the business partner, and the buyer as defendants. The foreclosure sale resulted in a deficiency.

There are no applicable statutes.

Against whom is the bank entitled to collect a deficiency judgment?

A. The business partner and the buyer.

B. The woman.

C. The woman and the business partner.

D. The woman, the business partner, and the buyer.

Explanation:

A debtor is free to **sell mortgaged property** unless the mortgage agreement states otherwise. After the sale, the mortgage remains attached to the property and the debtor remains personally liable for the debt secured by the mortgage. But the **buyer's obligations** with respect to the mortgage depend on whether he/she:

took the property **subject to the mortgage** – in which case the buyer does *not* agree to pay, and is **not personally liable** for, the debt (even if the buyer makes payments on the loan) *or*

assumed the mortgage – in which case the buyer *expressly* agrees to pay and becomes **primarily liable** for the debt, while the **debtor** becomes **secondarily liable** as a surety.

Therefore, if a creditor forecloses on mortgaged property and the sale results in a **deficiency**—ie, the proceeds are insufficient to satisfy the debt—the creditor can obtain a deficiency judgment against the *original debtor* and/or any party who has *assumed* the mortgage.

Here, the woman mortgaged the commercial tract to a bank and then conveyed the tract to her business partner, who *assumed* the mortgage. The business partner then conveyed the tract to the buyer, who took it *subject to* the mortgage. Although the buyer made payments on the loan, this did not constitute an assumption of liability for the debt. As a result, the bank is entitled to collect a deficiency judgment only against the woman and the business partner **(Choices A, B & D)**.

Educational objective:

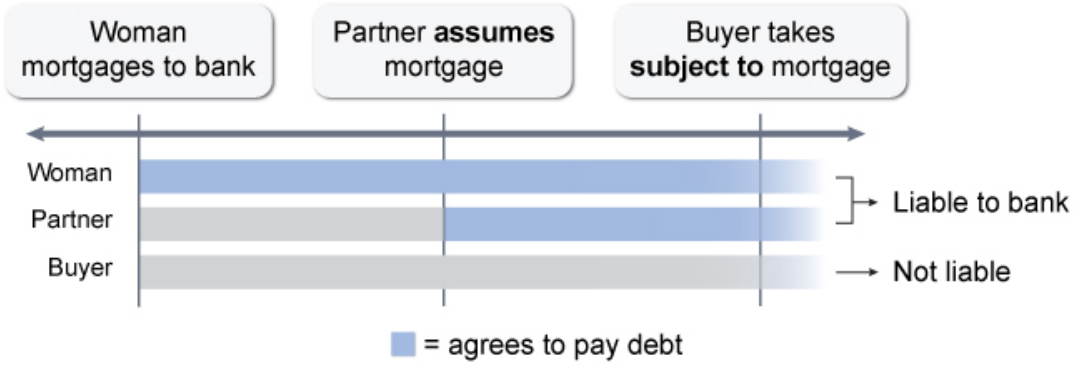
When a foreclosure sale results in a deficiency, the creditor can obtain a deficiency judgment against (1) the original debtor and/or (2) any party who has assumed the mortgage.

References

55 Am. Jur. 2d Mortgages § 967 (2019) (deficiency judgments).

Restatement (Third) of Property: Mortgages § 5.1 (Am. Law Inst. 1997) (assuming a mortgage debt).

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Woman mortgages to bank
Partner **assumes** mortgage
Buyer takes **subject to** mortgage
Woman
Partner
Buyer
Liable to bank
Not liable
= agrees to pay debt

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A man obtained a bank loan secured by a mortgage on an office building that he owned. After several years, the man conveyed the office building to a woman, who took title subject to the mortgage. The deed to the woman was not recorded. The woman took immediate possession of the building and made the mortgage payments for several years.

Subsequently, the woman stopped making payments on the mortgage loan, and the bank eventually commenced foreclosure proceedings in which the man and the woman were both named parties. At the foreclosure sale, a third party purchased the building for less than the outstanding balance on the mortgage loan. The bank then sought to collect the deficiency from the woman.

Is the bank entitled to collect the deficiency from the woman?

A. No, because the woman did not record the deed from the man.

B. No, because the woman is not personally liable on the loan.

C. Yes, because the woman took immediate possession of the building when she bought it from the man.

D. Yes, because the woman was a party to the foreclosure proceeding.

Explanation:

A **mortgage** is an interest in real property given to a lender (ie, mortgagee) to secure a debt. The debtor (ie, mortgagor) can freely **transfer the mortgaged property** to a grantee unless the mortgage states otherwise. After the conveyance, the mortgage remains attached to the property and the **debtor remains personally liable** for the debt secured by the mortgage. But the **grantee's obligations** depend on whether the grantee:

took **subject to the mortgage** – in which case, the grantee does not agree to pay and is **not personally liable** for the debt *or*

assumed the mortgage – in which case, the grantee agrees to pay and becomes **primarily** liable for the debt, and the debtor becomes secondarily liable as a surety.

Therefore, if a lender forecloses and the sale results in a **deficiency**—ie, the proceeds are insufficient to satisfy the debt—the lender **cannot collect** that deficiency from a grantee who took the property **subject to the mortgage**.

Here, the man (debtor) mortgaged his office building to a bank (lender). He then conveyed the office building to a woman, who took title *subject to* the man's mortgage. As a result, the woman did not assume personal liability for the man's mortgage debt. This means that the bank cannot collect the deficiency from the foreclosure sale from the woman—regardless of whether she took possession of the property or was a party to the foreclosure proceeding **(Choices C & D)**.

(Choice A) Recording a deed in the land records puts others on record notice of a person's interest in the land. But it has no impact on a lender's right to foreclosure or ability to collect a deficiency.

Educational objective:

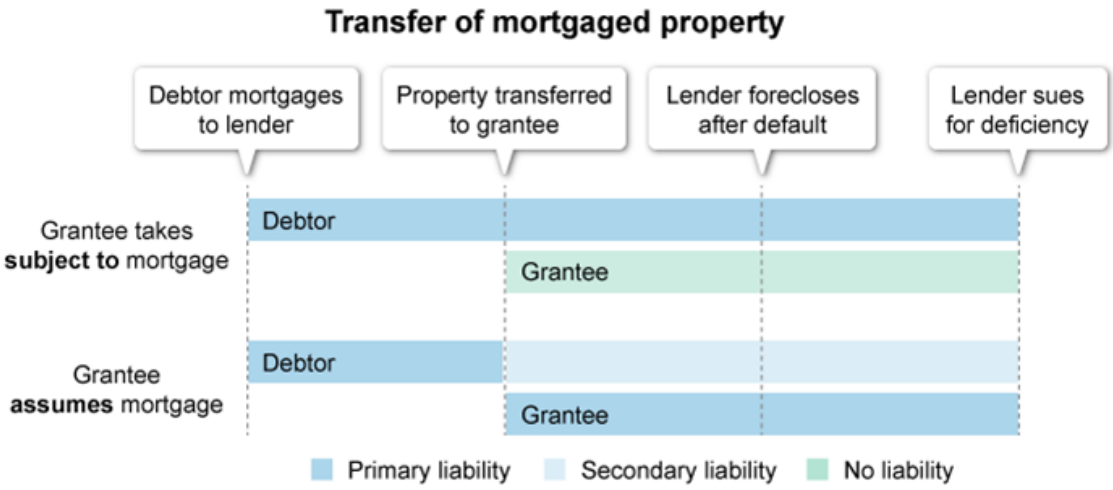
A grantee who acquires property *subject to* a mortgage is not personally liable for the mortgage debt and therefore is not liable for any deficiency following a foreclosure sale.

References

Restatement (Third) of Property: Mortgages § 5.2 (Am. Law Inst. 1997) (receipt of property subject to mortgage).

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Transfer of mortgaged property
Debtor mortgages to lender
Property transferred to grantee
Lender forecloses after default
Lender sues for deficiency
Grantee takes **subject to** mortgage
Debtor
Grantee
Grantee **assumes** mortgage
Debtor
Grantee
Primary liability
Secondary liability
No liability

A man borrowed $150,000 from a bank to remodel his home and executed a promissory note agreeing to repay the loan over a 10-year period. The loan was secured by a mortgage on the home. The bank promptly recorded the mortgage, which was the only lien on the home at that time. Several months later, the man borrowed $40,000 from his mother in order to purchase a new truck and gave his mother a mortgage on the home to secure repayment of the debt. The mother promptly recorded the mortgage.

The man later lost his job and was struggling to make loan payments to both the bank and his mother. To accommodate the man's financial situation, the bank extended the amortization period of its loan to substantially reduce the amount of each monthly payment. The bank did not alter the interest rate or increase the principal amount of the loan. At the time of the modification of the bank loan, the man was not in default in his payments to his mother. Neither the bank nor the man informed the mother of the modification of the bank loan.

After the man later missed five payments to his mother, she commenced a foreclosure action. While the action was pending, the mother learned of the bank's loan modification. The mother asserted that her mortgage had become a first lien on the home and that the bank's mortgage had become a second lien.

Is the mother's assertion correct?

A. No, because the bank's loan modification was not detrimental to the rights of the mother.

B. No, because the man was not in default in his payments to his mother at the time of the bank's loan modification.

C. Yes, because the bank's loan modification was made without the mother's prior consent.

D. Yes, because the bank's loan modification was material.

Explanation:

When a **senior mortgage** (ie, first in time) is **modified** by the parties, it will **retain its priority** against junior interests so long as the modification **does not materially prejudice** the holders of the junior interests. There is a strong presumption that a time extension on repayment is not materially prejudicial because the debtor is less likely to default on the senior mortgage and force a foreclosure.

Here, the bank's mortgage was recorded first, so it is senior to the mother's mortgage. The bank later modified the mortgage by extending the amortization period of its loan. But since it is presumed that this time extension did not materially prejudice the mother's junior interest, the bank's mortgage retained its senior priority **(Choice D)**. As a result, the mother's assertion that her mortgage had become a first lien on the home is incorrect.

(Choice B) Whether the man was in default on the mother's loan at the time of the modification is irrelevant. The default would merely give the mother the right to foreclose on her junior mortgage, but the foreclosure would not extinguish the bank's senior mortgage.

(Choice C) A junior interest holder's consent is not needed to modify a senior mortgage.

Educational objective:

A modified senior mortgage will retain its priority against junior interests so long as the modification does not materially prejudice the junior interest holders. It is strongly presumed that a time extension is not materially prejudicial.

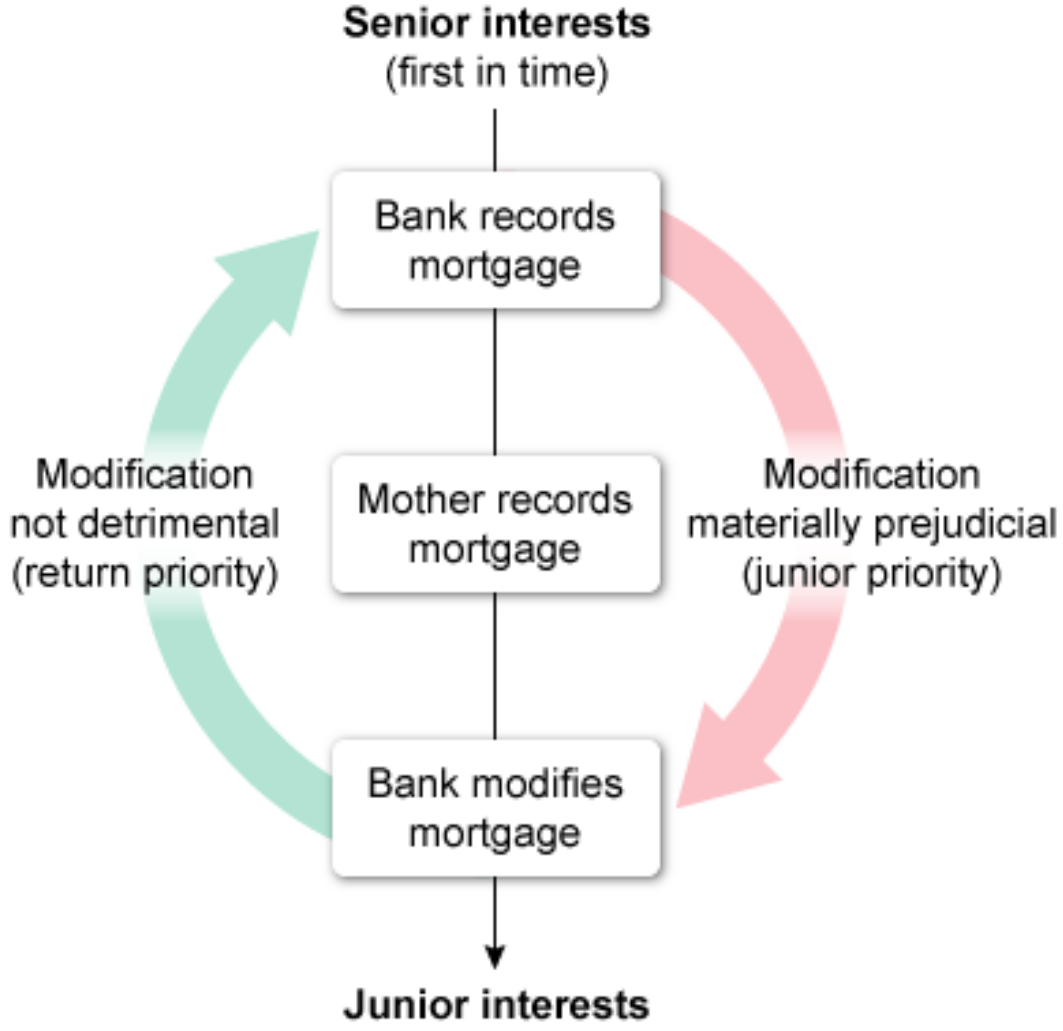
References

Restatement (Third) of Property: Mortgages § 7.3(b) (Am. Law Inst. 1997) (effect of modifying senior mortgages on junior interests).

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Effect of modifying senior mortgage



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Fifteen years ago, a father and daughter lived on a large 15-acre tract of land owned by the father. The land consists of three five-acre sections that are generally known as the home, the barn, and the hunting cabin. Due to the father's deteriorating health, he decided to move into an assisted living facility. The daughter soon realized that she could not perform all of the duties required to maintain the 15-acre tract. When she asked the father for permission to sell the land, he refused. Against the father's will, she proceeded to list the 15-acre tract for sale in the local newspaper. A couple who was new to the area contacted the daughter with a cash offer to buy the tract. The daughter prepared a warranty deed conveying the tract to the couple and forged her father's signature on the deed.

For the last 14 years, the couple has lived in the home and maintained the surrounding five acres. During each hunting season, the couple occasionally spends time at the hunting cabin and hunts on that five-acre portion of the property. However, the couple has never used the five acres surrounding the barn.

Recently, the couple learned that the signature on the deed was a forgery and filed suit to quiet title based on adverse possession. The period of time to acquire title by adverse possession in the jurisdiction is 10 years.

In an action to determine title, what portion of the 15-acre tract will the court likely award the couple?

A. None, because the couple's possession of the farm was not hostile to the father.
B. The five acres surrounding the home, because that was the only portion of the land continuously used by the couple.
C. The 10 acres surrounding the home and the cabin, because those were the only portions of the land actually possessed by the couple.
D. All 15 acres, because the deed described the entire 15-acre tract.

Explanation:

The deed conveying the 15-acre tract to the couple was invalid because the father's signature was forged. However, the couple may still have acquired title to the tract through adverse possession during the 10-year statutory period. An **adverse possessor** may **acquire title** to the **portion of the land** that was **actually and continuously possessed**. To satisfy the continuous-use requirement, an adverse possessor must either:

constantly remain on the property *or*

consistently use the property in the same manner that a usual owner would.

Here, the couple actually and continuously possessed the five acres surrounding the home because they lived in the home and maintained that land for the past 14 years. And they actually and continuously possessed the five acres surrounding the hunting cabin by consistently using it on a seasonal basis to hunt—just as a usual owner would **(Choice B)**. However, the couple never used the barn.

Nevertheless, the couple acquired **title to the *entire* property** through **constructive adverse possession (Choice C)**. This arises when an adverse possessor (1) **enters the property under color of title**—eg, a facially valid deed that describes the entire property—and (2) **actually possesses** a **reasonable portion** of the property for the statutory period.

Here, the couple entered the property under color of title because they had a facially valid deed that described the entire 15 acres of the tract. And since they actually possessed two-thirds of the property (reasonable portion) for the 10-year statutory period, they acquired title through constructive adverse possession. Therefore, the court will likely award the couple title to all 15 acres.

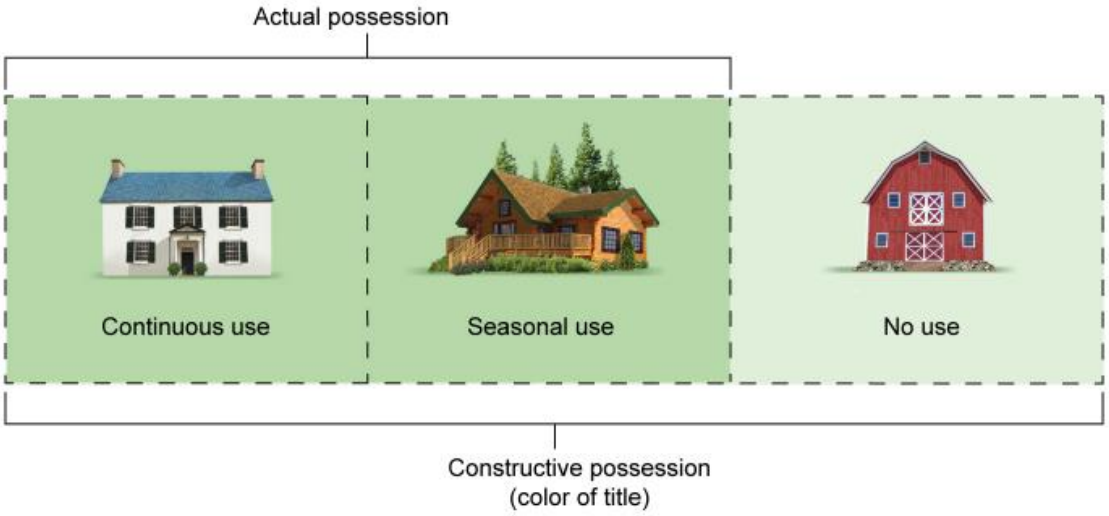
(Choice A) Since the couple possessed the tract without the father's permission, their possession was hostile (ie, nonpermissive). Additionally, in a majority of jurisdictions, the possessor need not purposefully seek to defeat the owner's title for the possession to be "hostile."

Educational objective:

If a person enters property under color of title and actually possesses a reasonable portion of the property for the statutory period, then constructive adverse possession gives the person title to the entire property.

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Actual possession v. Constructive possession



A woman owned her home. Her daughter lived with her and always referred to the home as "my property." Two years ago, the daughter, for a valuable consideration, executed and delivered to her ex-husband an instrument in the proper form of a warranty deed purporting to convey the home to him in fee simple, reserving to herself an estate for two years in the home. The ex-husband promptly and properly recorded his deed.

One year ago, the woman died and by will, duly admitted to probate, left her entire estate to her daughter. One month ago, the daughter, for a valuable consideration, executed and delivered to her only son an instrument in the proper form of a warranty deed purporting to convey the home to the son, who promptly and properly recorded the deed. The daughter was then in possession of the home and her son had no actual knowledge of the deed to the ex-husband. Immediately thereafter, the daughter gave possession to her son.

The recording act of the jurisdiction provides: "No conveyance or mortgage of real property shall be good against subsequent purchasers for value and without notice unless the same be recorded according to law."

Last week, the daughter fled the jurisdiction. Upon learning the facts, the son brought an appropriate action against the ex-husband to quiet title to the home.

If the son wins, what will be the reason?

A. The daughter had nothing to convey to the ex-husband two years ago.

B. The daughter's deed to the ex-husband was not in the son's chain of title.

C. The daughter's deed to the ex-husband was not to take effect until after the daughter's deed to the son.

D. The son was first in possession.

Explanation:

Recording acts determine the priority of competing property interests. In a **notice jurisdiction** (as seen here), a **bona fide purchaser's** (BFP's) property interest has priority over an earlier property interest of which the BFP **lacked notice**. There are three types of notice:

Actual – a buyer has direct knowledge of another's prior interest in land

Record – a document showing a prior interest is **properly recorded** and **appears in the buyer's chain of title**

Inquiry – a buyer knows, or should know, of circumstances that would prompt a reasonable person to investigate (eg, visible use of the property)

In most jurisdictions, a **prematurely recorded deed**—a deed recorded by a buyer before the seller owns the property—falls **outside a later buyer's chain of title** and therefore does **not provide record notice**. That is because a buyer is only required to search the recording index for the seller's name as far back as the date on which the seller acquired the property.

Here, the son knew nothing of the ex-husband's prior claim when the son bought the home from the daughter (no actual notice), and the daughter was then in possession of the home (no inquiry notice). And since the ex-husband had recorded his deed from the daughter *before* she owned the home, that prematurely recorded deed likely fell outside the son's chain of title (no record notice). For that reason, the son (BFP) will likely win his quiet title action.

(Choice A) When a grantor (eg, the daughter) conveys title that he/she does not have but later acquires, the doctrine of after-acquired title applies and title automatically vests in the grantee (eg, the ex-husband). But here, the son's subsequent interest has priority since the ex-husband's deed fell outside the son's chain of title.

(Choices C & D) Although the ex-husband's deed did not give him an immediate right to possess the home (and the son took possession first), the deed still gave the ex-husband an ownership interest in the home that took effect before the son's. But since the ex-husband's prior deed was not in the son's chain of title, the son likely has priority.

Educational objective:

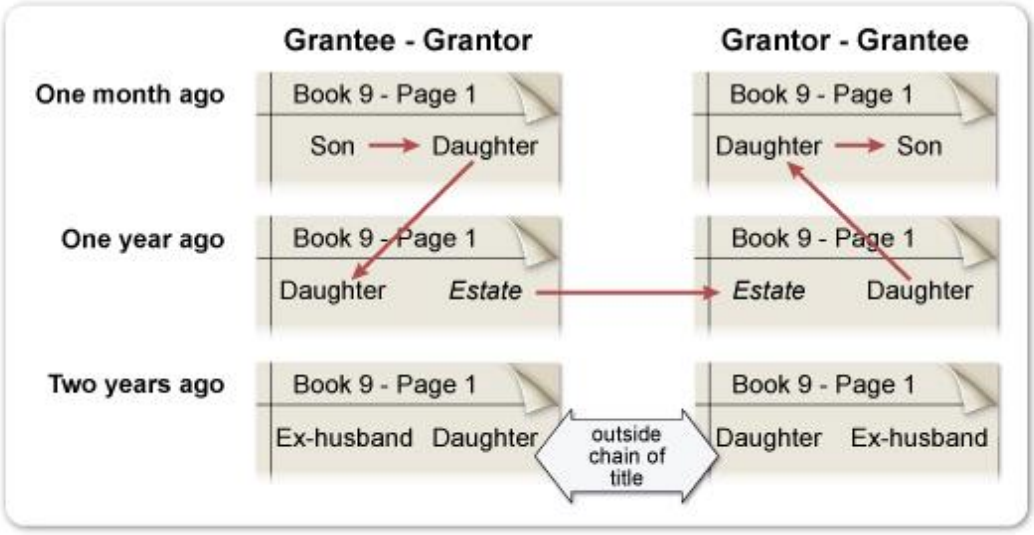
In most jurisdictions, a prematurely recorded deed—a deed recorded by a buyer before the seller owns the property—falls outside a later buyer's chain of title and fails to provide record notice.

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Prematurely recorded deed

Deed recorded falls *outside* son's chain of title



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An investor purchased a tract of commercial land, financing a large part of the purchase price with a loan from a business partner that was secured by a mortgage. The investor made the installment payments on the mortgage regularly for several years. Then the investor persuaded a neighbor to buy the land, subject to the mortgage to his partner. They expressly agreed that the neighbor would not assume and agree to pay the investor's debt to the partner. The investor's mortgage to the partner contained a due-on-sale clause stating, "If Mortgagor transfers his or her interest without the written consent of Mortgagee first obtained, then at Mortgagee's option the entire principal balance of the debt secured by this Mortgage shall become immediately due and payable." However, without seeking his partner's consent, the investor conveyed the land to the neighbor, the deed stating that it was "subject to a mortgage to [the partner]" and giving details and recording data related to the mortgage. The neighbor took possession of the land and made several mortgage payments, which the partner accepted. Now, however, neither the neighbor nor the investor has made the last three mortgage payments. The partner has sued the neighbor for the amount of the delinquent payments.

In this action, for whom should the court render judgment?

A. The neighbor, because she did not assume and agree to pay the investor's mortgage debt.

B. The neighbor, because she is not in privity of estate with the partner.

C. The partner, because the investor's deed to the neighbor violated the due-on-sale clause.

D. The partner, because the neighbor is in privity of estate with the partner.

Explanation:

Transfer of mortgaged property

	Effect on buyer/transferee	**Effecton seller**
Subject to mortgage	Does not agree to pay loan & is not liable for debt	Remains solely liable for debt
Assumption of mortgage	Agrees to pay loan & is primarily liable for debt	Becomes secondarily liable as surety

A mortgagor (typically a landowner) is generally free to **transfer mortgaged property** to another (eg, a buyer). However, the mortgage will remain attached to the property and the **mortgagor** will remain **solely liable** for the debt **unless** the **buyer *expressly* agrees to assume** the mortgage. If that occurs, the buyer becomes primarily liable for the debt and the mortgagor becomes secondarily liable as a surety.

Here, the investor's mortgage to the partner contained a due-on-sale clause that was breached when the investor sold the mortgaged land to the neighbor without the partner's consent. But since the neighbor did *not* agree to assume the investor's mortgage, the neighbor is *not* liable for the investor's delinquent mortgage payments **(Choice C)**. Therefore, in the partner's action against the neighbor, the court should render judgment for the neighbor.

(Choices B & D) Privity of estate is a *shared* interest in property (eg, co-tenants or landlord/tenant). Here, the partner and the neighbor lack privity of estate because the neighbor's ownership interest is *distinct* from the partner's lien on the property. But the existence or lack of such privity has no bearing on the success of the partner's action.

Educational objective:

If a mortgagor transfers mortgaged property to another, the mortgage will remain attached to the property and the mortgagor will remain solely liable for the debt unless the buyer *expressly* agrees to assume the mortgage.

References

Restatement (Third) of Property: Mortgages § 5.2 (Am. Law Inst. 1997) (assumption of a mortgage).

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Two years ago, a developer conveyed title to a lot to a woman by warranty deed. The woman purchased an owner's policy of title insurance before the closing. Because of an error by the title insurance company, the title commitment and title policy failed to list a county tax lien encumbering the lot as an exception to coverage.

Last year, the woman conveyed the lot for a bargain price by quitclaim deed to a friend, who paid cash, did not conduct a title search, and did not purchase title insurance.

Subsequently, the county began proceedings to foreclose the tax lien, and the friend filed a claim with the woman's title insurance company, demanding that the company reimburse her for the tax lien amount.

Is the title insurance company obligated to pay the friend's claim?

A. No, because the friend is not a named insured on the title insurance policy.
B. No, because the title insurance policy did not expire when the woman conveyed the lot to the friend.
C. Yes, because the tax lien was not listed as an exception on the title insurance policy.
D. Yes, because the woman is liable to the friend for breach of the covenant against encumbrances, and the title policy should cover the friend's potential loss.

Explanation:

Title insurance policies

(protect against undisclosed title defects)

	Losses covered	**Duration of coverage**
Owner's policy	Reduction in full market value of property	While insured owns property AND after insured conveys by warranty deed
Lender's policy	Reduction in value or priority of mortgage	Ends once mortgage is paid in full or otherwise discharged

Both owner's and lender's **title insurance policies** protect insureds—named persons covered by the policy—from undisclosed title defects by requiring the insurer to indemnify (ie, compensate) the insureds for any resulting losses. This means that an insurer is only **responsible for title defects** that:

are **not disclosed** in the insurance policy (the county tax lien) *and*

affect the ***named*** **insureds** (the woman).

Therefore, the insurance company is not obligated to pay the friend's claim since she was not named in the insurance policy **(Choice C)**.

(Choice B) An owner's title insurance policy remains in effect so long as the named insured (or his/her heirs) owns the property or conveys it by warranty deed. As a result, the woman's policy *did* expire when she conveyed the property by quitclaim deed.

(Choice D) A covenant against encumbrances promises that there are no outstanding claims on, or interests in, the property (eg, mortgages, tax liens) other than those disclosed in the deed. But since this covenant only appears in warranty deeds, it did not appear in the quitclaim deed that the woman gave the friend. Therefore, the woman cannot be held liable under this covenant.

Educational objective:

Title insurance policies only protect *named* insureds who are affected by an undisclosed title defect. Therefore, insurance companies are not required to indemnify persons whose names do not appear on the policy.

References

43 Am. Jur. 2d Insurance § 518 (2018) (title insurance).

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A credit card company obtained and properly filed a judgment against a man after he failed to pay a $10,000 debt. A statute in the jurisdiction provides as follows: "Any judgment properly filed shall, for 10 years from filing, be a lien on the real property then owned or subsequently acquired by any person against whom the judgment is rendered."

Two years later, the man purchased land for $200,000. He made a down payment of $20,000 and borrowed the remaining $180,000 from a bank. The bank loan was secured by a mortgage on the land. Immediately after the closing, the deed to the man was recorded first, and the bank's mortgage was recorded second.

Five months later, the man defaulted on the mortgage loan and the bank initiated judicial foreclosure proceedings. After receiving notice of the proceedings, the credit card company filed a motion to have its judgment lien declared to be the first lien on the land.

Is the credit card company's motion likely to be granted?

A. No, because the bank's mortgage secured a loan used to purchase the land.
B. No, because the man's down payment exceeded the amount of his debt to the credit card company.
C. Yes, because the bank had constructive notice of the judgment lien.
D. Yes, because the bank is a third-party lender and not the seller of the land.

Explanation:

In foreclosure proceedings, lien priority is generally determined by the date a lien is recorded (ie, first in time, first in right). But **purchase-money mortgages** (PMMs) are an exception to this rule. These mortgages have **super priority** over all other liens—regardless of whether the PMM or those liens are recorded—because PMMs are granted to **secure the purchase price** of the mortgaged property.

Here, the credit card company acquired a judgment lien to secure repayment of the man's $10,000 debt. Two years later, the bank acquired a PMM because it received a mortgage to secure the $180,000 loan used to purchase the land. Since that PMM has super priority over all other liens—including a judgment lien that was first in time—the court will likely *deny* the credit card company's motion to have its lien declared first on the land.

(Choice B) Whether the man could have paid off the judgment lien with the money that he used for the down payment is irrelevant to the bank's priority over the lien.

(Choice C) The bank likely had constructive (ie, record or inquiry) notice of the credit card company's judgment lien because that lien was properly filed. But this has no effect on the super priority of the bank's PMM.

(Choice D) PMMs can be given to third-party lenders (ie, third-party PMMs) and sellers of the land (ie, vendor PMMs). But any PMM executed at the same time as the purchase of the mortgaged real property has priority over any other claim, including the credit card company's previously filed judgment lien.

Educational objective:

A purchase-money mortgage (PMM) has super priority over all other liens because it is granted to secure the purchase price of mortgaged property. As a result, PMMs trump the "first in time, first in right" rule that sets priority based on the date a lien is recorded.

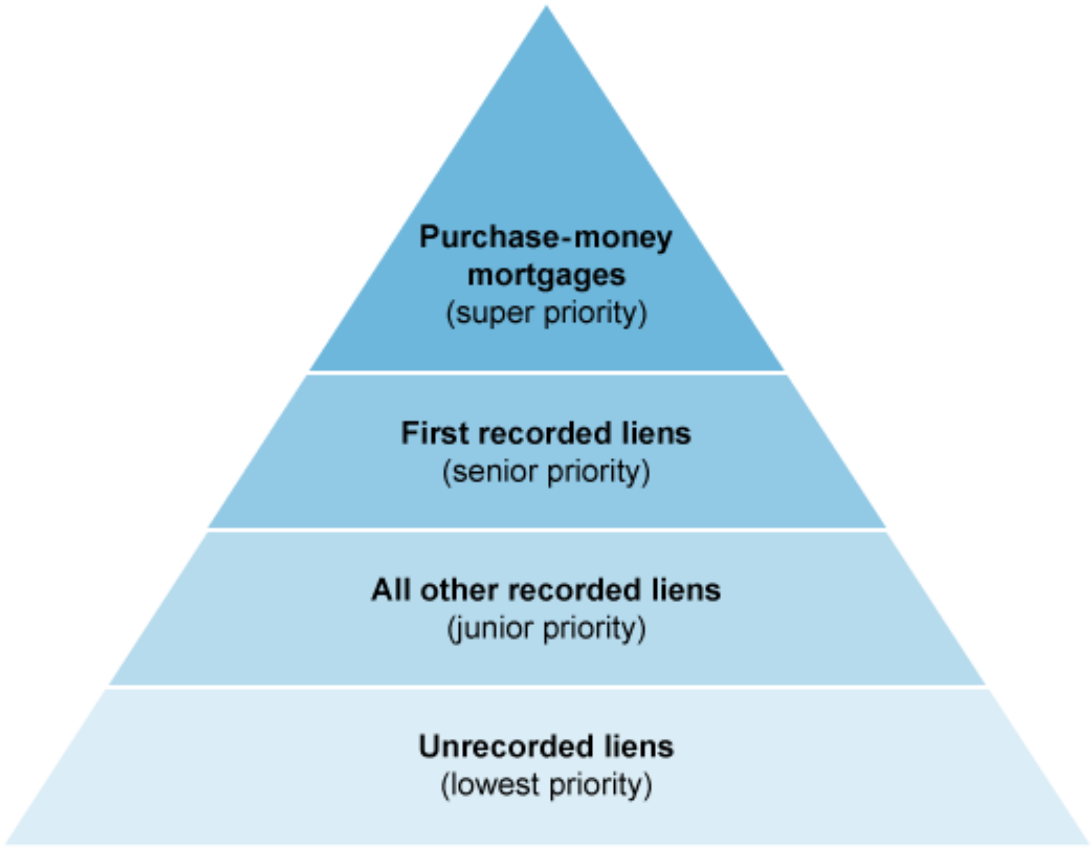
References

Restatement (Third) of Property: Mortgages § 7.2 (Am. Law Inst. 1997) (purchase-money mortgages).

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Lien priority on real property



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The owner of a residence entered into a contract of sale with a couple. After a down payment, the remaining purchase price of the residence was $500,000. The couple was only able to secure a mortgage loan from a bank for $400,000, so the owner-seller agreed to advance the couple the difference in exchange for a mortgage on the residence. At closing, the couple paid the owner-seller $400,000 from the proceeds of their bank loan. The couple also signed notes that obligated them to pay $400,000 to the bank and $100,000 to the owner-seller, and to give the bank and the owner-seller mortgages on the residence to secure those notes. The owner-seller, agreeing to the bank's demand, subordinated her mortgage to the bank's mortgage. The bank recorded its mortgage one day after the owner-seller recorded her mortgage.

Several years later, the couple stopped paying on both notes at a time when the principal balances of their obligations were $350,000 to the bank and $85,000 to the owner-seller. The owner-seller has filed a complaint for foreclosure on her mortgage.

The recording act of the applicable jurisdiction reads, "No conveyance or mortgage of real property shall be good against subsequent purchasers for value and without notice who shall first record."

Is the owner-seller required to make the bank a party to this action?

A. No, because the owner-seller subordinated her mortgage to the bank's mortgage.
B. No, because the remaining principal amount of the couple's obligation to the bank exceeds that of the owner-seller.
C. Yes, because the owner-seller recorded her mortgage before the bank recorded its mortgage.
D. Yes, because the owner-seller's purchase-money mortgage has priority over the bank's mortgage.

Explanation:

The owner-seller has filed a complaint for foreclosure on her mortgage, thereby seeking a **foreclosure** conducted by a **judicially supervised sale**. Under this method of foreclosure, the foreclosing mortgagee (ie, lender):

***must* give notice** to the holders of any **junior interests** in the property so that they can participate or send a representative—otherwise, the junior-interest holder's interest will remain after the sale

may, but need not, **join others** who have an **interest in the property** (eg, senior-mortgage holder) or who are **liable on the debt** (eg, guarantor) as proper, but not necessary, parties*

In foreclosure proceedings, lien priority is determined by the "first in time, first in right" rule unless the jurisdiction has a recording act—eg, a race-notice act (as seen here). Additionally, mortgages given to secure the purchase price of the mortgaged property (ie, purchase-money mortgages) have super priority over all other liens. However, a senior-mortgage holder can always agree to subordinate his/her interest to that of a junior-mortgage holder, in which case the junior mortgage receives priority.

Here, the owner-seller and the bank acquired purchase-money mortgages because their loan proceeds were used to purchase the residence. Although the facts do not indicate which mortgage was created first, a seller's purchase-money mortgage generally has priority over a lender's purchase-money mortgage—regardless of who recorded first. But since the owner-seller agreed to subordinate her mortgage, the bank has the senior mortgage **(Choices C & D)**. Therefore, the bank need not be made a party to this foreclosure action.

*That is because a valid foreclosure only terminates interests in the foreclosed property that are junior to the interest being foreclosed. It has no effect on any other interests.

(Choice B) The size of the obligation secured by a mortgage does not determine its priority with regard to other mortgages on the same property.

Educational objective:

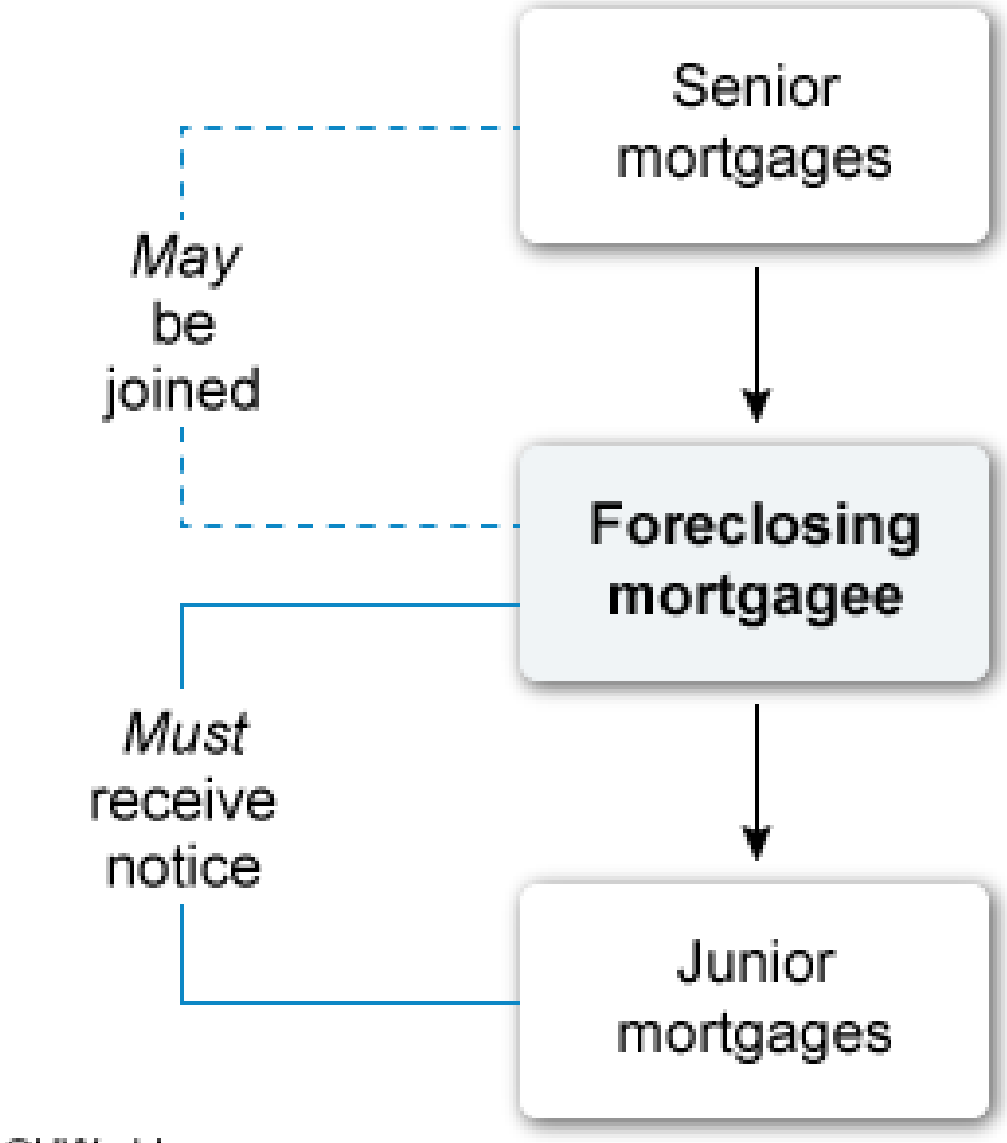
For a judicially supervised foreclosure sale, the foreclosing mortgagee *must* give notice to the holders of any junior interests in the property. Any others who have an interest in the property (eg, senior-mortgage holder) or who are liable on the debt (eg, guarantor) *may* be joined as proper but unnecessary parties.

References

55 Am. Jur. 2d Mortgages § 592 (2019) (discussing the requirement to notify junior lienholders of the foreclosure action).

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Notice of judicially supervised foreclosure sale



An owner owned a single-family residence. Fifteen years ago, the owner conveyed a life estate in the house to a landlord. Fourteen years ago, the landlord, who had taken possession of the house, leased the house to a tenant for a term of 15 years at the monthly rental of $500. Eleven years ago, the landlord died intestate leaving her son as her sole heir. The tenant regularly paid rent to the landlord and, after the landlord's death, to her son until last month.

The period in which to acquire title by adverse possession in the jurisdiction is 10 years.

In an appropriate action, the tenant, the owner, and the landlord's son each asserted ownership of the house.

Who now owns the house?

A. The landlord's son, because the landlord asserted a claim adverse to the owner when she executed a lease to the tenant.
B. The landlord's son, because the tenant's occupation was attributable to the son and the landlord died 11 years ago.
C. The owner, because the owner held a reversion and the landlord has died.
D. The tenant, because of his physical occupancy and because his term ended with the landlord's death.

Explanation:

A person may acquire title to another's land by **adverse possession** if his/her possession of the land is:

Open and notorious – apparent to a reasonable owner

Continuous – uninterrupted for the statutory period

Exclusive – not shared with the owner

Actual – physical **presence** by the **adverse possessor** *or* **another** whose possession is **attributable** to the adverse possessor (as seen here)

Non-permissive – hostile and adverse

Here, the owner conveyed a life estate in the house to the landlord, who leased it to the tenant. Ownership of the house reverted to the owner when the landlord died. But since the tenant remained in the house and paid rent to the landlord's son, the tenant's possession was *attributable to the son*. And because the house was visibly and exclusively occupied by the tenant for the 10-year statutory period without the owner's permission, the son acquired title to the house by adverse possession.

(Choice A) Life estates are *alienable*, which means that the life tenant can freely convey all or part of his/her interest to another (eg, by conveying a right of possession through a lease). Therefore, since the landlord (life tenant) was entitled to lease the house to the tenant during her life tenancy, she did not assert a claim adverse to the owner by doing so.

(Choice C) A reversion is a future interest retained by the grantor. Although the owner had a reversionary interest in the house (which became possessory when the landlord died), the owner lost that interest due to the son's adverse possession.

(Choice D) Although the tenant continued to occupy the house after the landlord's death for 11 years, he paid rent to the landlord's son. As a result, the tenant's possession was attributable to the son—not himself.

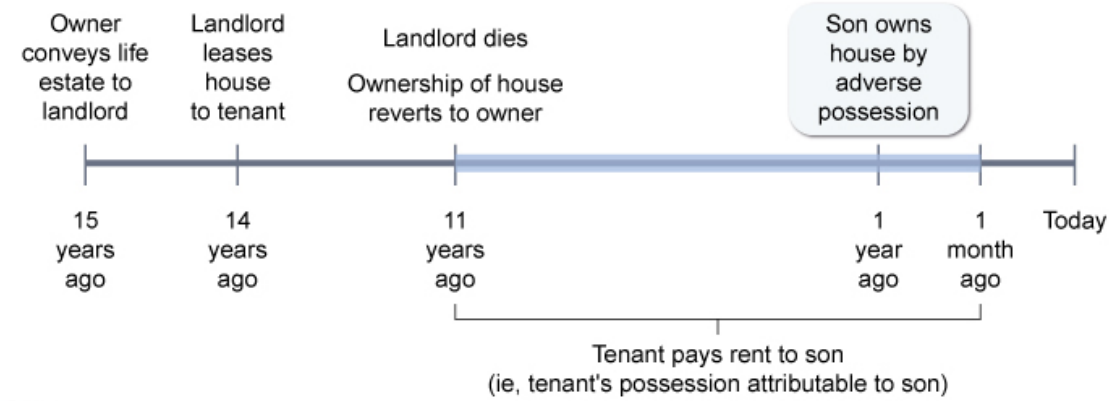
Educational objective:

To acquire title by adverse possession, a person's possession of another's land must be open and notorious, continuous for the statutory period, exclusive, actual, and non-permissive (OCEAN). Actual presence can occur through another so long as their presence on the land is attributable to the adverse possessor.

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Ownership and possession of the house



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Five years ago, an investor who owned a vacant lot in a residential area borrowed $25,000 from a friend and gave the friend a note for $25,000 due in five years, secured by a mortgage on the lot. The friend neglected to record the mortgage. The fair market value of the lot was then $25,000.

Three years ago, the investor discovered that the friend had not recorded his mortgage and in consideration of $50,000 conveyed the lot to a buyer. The fair market value of the lot was then $50,000. The buyer knew nothing of the friend's mortgage. One month thereafter, the friend discovered the sale to the buyer, recorded his $25,000 mortgage, and notified the buyer that he held a $25,000 mortgage on the lot.

Two years ago, the buyer needed funds. Although she told her bank about the mortgage claimed by the investor's friend, the bank loaned her $15,000, and she gave the bank a note for $15,000 due in two years secured by a mortgage on the lot. The bank promptly recorded the mortgage. At that time, the fair market value of the lot was $75,000.

The recording act of the jurisdiction provides: "No conveyance or mortgage of real property shall be good against subsequent purchasers for value and without notice unless the same be recorded according to law."

Both notes are now due, and both the investor and the buyer have refused to pay. The lot is now worth only $50,000.

What are the rights of the investor's friend and the bank in the lot?

A. Both mortgages are enforceable liens, and the friend's has priority because it was first recorded.
B. Both mortgages are enforceable liens, but the bank's has priority because the buyer was an innocent purchaser for value.
C. Only the bank's mortgage is an enforceable lien, because the buyer was an innocent purchaser for value.
D. Only the friend's mortgage is an enforceable lien, because the bank had actual and constructive notice of the investor's fraud.

Explanation:

Recording acts determine the priority of competing interests in the same property. Most recording acts protect **bona fide purchasers** (BFPs or innocent purchasers for value)—ie, persons or entities who:

pay value for an interest in property *and*

lack notice of a prior interest in the property.

In a jurisdiction with a **notice recording act** (as seen here), a **BFP's property interest** is always **superior** to an earlier competing property interest of which the BFP lacked notice. And under the **Shelter Rule**, a person who receives a property interest from a BFP is entitled to the **same protection** under the recording act as the BFP. This ultimately protects the BFP by ensuring that the BFP receives the full benefit of the purchase and is able to convey an interest in the property.

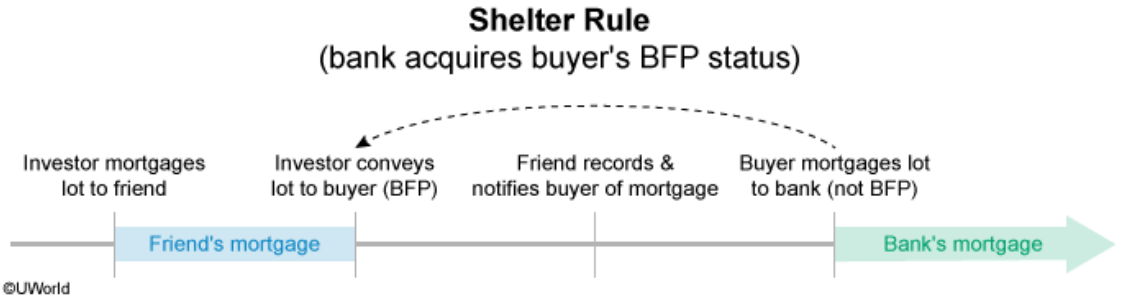
Here, the buyer was a BFP because she knew nothing of the friend's prior unrecorded mortgage when the investor sold her the vacant lot. The buyer therefore had priority under the jurisdiction's notice act and took the lot free of the friend's mortgage. The buyer then mortgaged the lot to the bank. And although the buyer told the bank about the friend's prior mortgage (ie, the bank was not a BFP), the Shelter Rule entitles the bank to the buyer's protection under the recording act. As a result, only the bank has an enforceable mortgage on the lot **(Choices A, B & D)**.

Educational objective:

Under the Shelter Rule, a person who receives a property interest from a bona fide purchaser (BFP) is entitled to the same protection under the jurisdiction's recording act as the BFP.

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A brother and sister acquired title in fee simple to property, as equal tenants in common, by inheritance from their aunt. During the last 15 years of her lifetime, the aunt allowed the brother to occupy an apartment in the house on the property, to rent the other apartment in the house to various tenants, and to retain the rent. The brother made no payments to the aunt, and since the aunt's death 7 years ago he has made no payments to the sister. For those 22 years, the brother has paid the real estate taxes on the property, kept the building on the property insured, and maintained the building. At all times, the sister has lived in a distant city and has never had anything to do with the aunt, the brother, or the property.

Recently, the sister needed money for the operation of her business and demanded that the brother join her in selling the property. The brother refused.

The period of time to acquire title by adverse possession in the jurisdiction is 10 years. There is no other applicable statute.

The sister brought an appropriate action against the brother for partition. The brother asserted all available defenses and counterclaims.

How should the court rule on the sister's action for partition?

A. Deny the partition and find that title has vested in the brother by adverse possession.

B. Deny the partition, confirm the tenancy in common, but require an accounting to determine if either the brother or sister is indebted to the other on account of the rental payment, taxes, insurance premiums, and maintenance costs.

C. Grant the partition and require, as an adjustment, an accounting to determine if either the brother or sister is indebted to the other on account of the rental payments, taxes, insurance premiums, and maintenance costs.

D. Grant the partition to the brother and sister as equal owners, but without an accounting.

Explanation:

Rights & duties of cotenants

Rights	Possess & enjoy entire property
	Receive proportionate shares of net profits from removal of natural resources
	Receive pro rata shares of rent from third parties
Duties	Pay proportionate shares of expenses that may give rise to lien (eg, mortgage, property tax)
	Contribute to repair or improvement costs, but only upon agreement

Tenancy in common is a type of concurrent estate in which each co-tenant has the right to possess and enjoy the entire property (ie, separate but undivided interests). A court *must* grant a co-tenant's request to **partition** (ie, divide) the co-tenancy **(Choice B)** and *may* require an **accounting** if one co-tenant appears to be indebted to the other. Indebtedness may occur if the co-tenants fail to **proportionally share** their **rights** (eg, receiving rental income) and **duties** (eg, paying property taxes, mortgage, agreed improvement costs).

Here, the brother and sister inherited a tenancy in common 7 years ago, when their aunt died. Since that time, the brother has kept the rental income from the property and paid all the property taxes, insurance costs, and maintenance fees. Because the income and expenses were never shared, one co-tenant is likely indebted to the other. Therefore, the court should require an accounting upon granting the sister's request for partition **(Choice D)**.

(Choice A) To acquire title by adverse possession, a person must have exclusive possession of the property. Exclusive possession of a tenancy in common is only achieved when one co-tenant commits ouster by preventing other co-tenants from accessing the property (eg, changing the locks). Here, though the sister never lived on the property, there is no evidence that the brother ever prevented her from accessing it. Therefore, he did not commit adverse possession.

Educational objective:

Co-tenants in common must proportionately share their rights (eg, receiving rent) and duties (eg, paying property taxes, mortgage, agreed improvement costs). A court must grant a co-tenant's request to partition (ie, divide) the co-tenancy and may require an accounting when one co-tenant seems to be indebted to the other.

References

Restatement (First) of Property § 65 (Am. Law Inst. 1936) (creation of tenancy in common).

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A borrower, who is a citizen of State A, defaults on a loan secured by a mortgage on undeveloped land located in State B. The borrower executed the loan in State B and regularly transacts business there. The lender, who is a citizen of State B, sues the borrower in a state court in State A for the outstanding loan obligation before seeking to foreclose on the property. Under the laws of State A, a lender may sue the borrower directly on the debt before foreclosing on mortgaged property. Under the laws of State B, a lender must foreclose on the property before suing the borrower.

The court in State A determines that the conflict-of-laws rules of its own state should apply and that, under those rules, State B has the most significant relationship to the loan, the lender, and the borrower.

Should the court apply State A law or State B law regarding the lender's right to sue the borrower directly on the outstanding debt?

A. State A law, because the borrower is a citizen of State A.

B. State A law, because the court is located in State A.

C. State B law, because State B has the most significant relationship to this matter.

D. State B law, because the loan was originated in State B.

Explanation:

Conflict-of-laws rule for real property issues

General rule	In cases involving real property, law applied by forum court should be determined by conflict-of-laws rule that would be applied by state where property is located
Exceptions	Document specifies application of specific jurisdiction's laws Issues regarding effect of marriage on interest in land Collateral issues (eg, whether transferor perpetrated fraud) Issues regarding mortgage note (eg, validity of note) Foreclosure-related issues that do not affect interest in land (eg, mortgagee's right to sue mortgagor for underlying debt before foreclosure)

Conflict-of-laws issues arise when significant aspects of a legal action are divided between two or more states, creating a conflict as to which state's law applies (as seen here). If the conflict involves real property, the **general rule** is that the **law applied** by the forum court should be **determined by** the conflict-of-laws rule that would be applied by the courts of the situs state—ie, the **state where the property is located**. Usually, the conflict-of-laws rule of the situs state calls for the application of its own local law on that issue (ie, the law of the situs).

However, this general rule **does not apply** to issues that are related to foreclosure but **do not affect** an **interest in land**—eg, a lender's right to sue a borrower on the outstanding debt before foreclosure (as seen here). Instead, such issues are **determined by** the law that governs the debt for which the mortgage was given, which is the **law of the state** that has the **most significant relationship to** the **transaction and the parties** (here, State B).

(Choice A) The borrower is a citizen of State A, so the State A court has personal jurisdiction over the borrower. But this does not mean that the State A court should apply State A law regarding the lender's right to sue the borrower before foreclosing on the mortgaged property.

(Choices B & D) Although the court is located in State A and the loan was originated in State B, the dispositive factor is which state has the most significant relationship to the issue at hand.

Educational objective:

Issues that relate to foreclosure but do not affect an interest in land—eg, a lender's right to sue the borrower before foreclosing on the mortgaged property—are determined by the law of the state with the most significant relationship to the transaction and the parties.

References

Restatement (Second) of Conflict of Laws § 223, cmt. i (Am. Law Inst. 1971) (validity and effect of conveyance of interest in land).

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An individual entered into an oral agreement with the owner of a residence to rent the residence for one year. They agreed that the individual was to pay a total of $12,000 in rent, payable in monthly installments of $1,000. The individual occupied the residence for one year but failed to pay the final $1,000 installment. At the end of the one-year period, the individual moved out of the residence without giving the owner any notice of his intent to do so.

Has the individual's tenancy been terminated?

A. No, because the individual failed to give the owner notice of his intent to vacate the residence.
B. No, because the individual failed to make the final $1,000 installment payment.
C. Yes, because the agreement was oral.
D. Yes, because the individual vacated the premises.

Explanation:

Types of tenancies

(leases on land)

Type	Creation	Duration	Termination
Term of years	Agreement (ie, lease)	Fixed period (eg, one month, three years)	End of term (automatic) Breach of certain covenants (eg, rent, habitability)
Periodic tenancy	Agreement Presumed when lease has no specified termination date Operation of law (eg, holdover tenant)	Periodically renews until terminated	End of period (proper notice) Breach of certain covenants
Tenancy at will	Agreement Implied when person allowed to possess premises without paying rent	Indefinite period	At any time (reasonable notice)
Tenancy at sufferance	Implied when tenant keeps possession after lease expires (ie, holdover tenancy)	Continues until terminated	Landlord evicts Tenant vacates Landlord accepts rent (forms periodic tenancy)

A **tenancy for years** is an estate measured by a **fixed and ascertainable amount of time**. This type of tenancy is created by an agreement between the landlord and the tenant and may be for any length of time (eg, one week, six months, five years). **Termination occurs *automatically*** upon the **expiration of the term**, with **no notice required from either party**. As a result, a tenant who remains on the premises after the term expires becomes a tenant at sufferance (ie, holdover tenant).

Here, the individual and the owner entered into a lease that created a tenancy for years with a one-year term. This tenancy terminated automatically at the end of the one-year term **(Choice A)**. And since the individual vacated the premises, no tenancy at sufferance was created. Therefore, the individual's tenancy has been terminated.

(Choice B) The individual's failure to make the final $1,000 installment payment is not a reason for the tenancy to continue. Instead, it was a breach of the lease agreement that gave the owner the right to take legal action to terminate the tenancy early. But the owner did not do so, and the tenancy terminated automatically at the end of the one-year period. However, the owner can still sue the individual to recover the unpaid rent.

(Choice C) The statute of frauds applies to a tenancy for years that is *longer than one year* (not seen here) and requires the lease agreement to be in writing. However, a lease subject to the statute of frauds that does not comply with it may be enforceable as a periodic tenancy when, as here, the tenant occupies the premises with the landlord's permission and the landlord accepts rent from the tenant.*

*If the tenant also makes substantial improvements to the premises and thereby indicates that the parties contemplated a lease for more than a year, then the noncomplying lease is given full effect.

Educational objective:

A tenancy for years (ie, an estate for a fixed and ascertainable term) terminates automatically upon the expiration of the term without notice from either party.

References

Restatement (Second) of Prop.: Landlord & Tenant § 1.4 cmt. e (Am. Law Inst. 1977) (termination of tenancy for years).

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An elderly woman owned a large manor in fee simple. Because of her advanced age, she no longer wished to deal with maintenance and other obligations associated with homeownership. She therefore conveyed the manor to her eldest son for life, remainder to her youngest son.

The youngest son took ill and died three years later, leaving his entire estate to a friend under the terms of his duly executed will. The youngest son was survived by his daughter, his sole heir. The eldest son died six months later, survived by the elderly woman, the friend, and the daughter.

The jurisdiction in which the manor is situated recognizes traditional common-law rules regarding the destructibility of contingent remainders.

In an appropriate action between the elderly woman, the friend, and the daughter to determine title to the manor, who will prevail?

A. The daughter, because she is the youngest son's heir.
B. The elderly woman, because she had a reversion that entitled her to possession of the manor immediately upon the eldest son's death.
C. The elderly woman, because the youngest son's contingent remainder was destroyed when he predeceased the eldest son.
D. The friend, because the youngest son's vested remainder was transferred by his will.

Explanation:

A life estate is a present possessory interest in real property that terminates on the death of an individual. The **future interest** that follows a life estate is either a reversion (if held by the grantor) or a **remainder** (if **created in a grantee**—as seen here). Remainders are either:

vested – not subject to any condition precedent AND held by an identifiable living person (eg, "remainder to my youngest son") *or*

contingent – subject to a condition precedent OR held by an unknown or unborn person (eg, "remainder to my youngest son, but only if…").

Both types of remainders are **fully transferable** during the grantee's lifetime,* **devisable by will**, and **inheritable through intestate succession**.

Here, the elderly woman conveyed the manor to her eldest son for life, remainder to her youngest son. Since the manor would go to the youngest son *unconditionally* when the eldest son died, the youngest son had a vested remainder. That remainder was devisable, so it transferred to his friend under the terms of his duly executed will. And since the eldest son has since died, the friend has title to the manor in fee simple.

*At common law and in a minority of jurisdictions, contingent remainders are not transferable during the grantee's lifetime.

(Choice A) The daughter has no interest in the manor because the youngest son devised his vested remainder to the friend.

(Choice B) The elderly woman (grantor) did *not* have a reversion that entitled her to possession immediately upon the eldest son's death. Instead, the friend was entitled to possession of the manor at that time because he had the youngest son's remainder interest.

(Choice C) At common law and in this jurisdiction, *contingent* remainders are destroyed if they have not vested by the time the prior estate terminates. But this rule does not affect the youngest son's *vested* remainder.

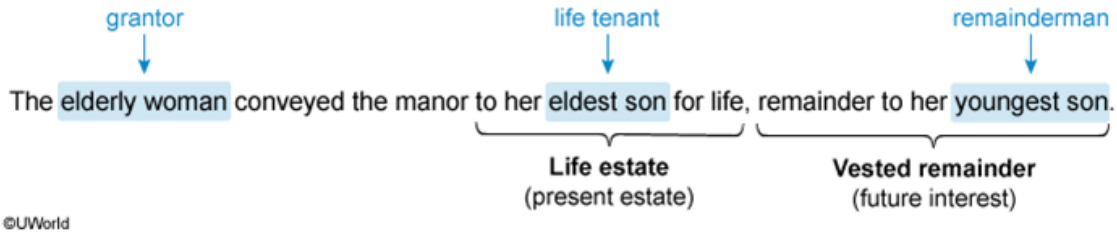
Educational objective:

Remainders—whether they are vested or contingent—are fully transferable during the grantee's lifetime, devisable by will, and inheritable through intestate succession.

References

Moore v. McKinley, 69 N.W.2d 73, 80 (Iowa 1955) (describing the difference between vested and contingent remainders).

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grantor
life tenant
remainderman
The elderly woman conveyed the manor to her eldest son for life, remainder to her youngest son.
Life estate
(present estate)
Vested remainder
(future interest)

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The owner of a tract of land executed a deed purporting to convey the land "to my brother for life, then to my nephew in fee simple." The brother began to manage the land, which is valuable income-producing real estate. The brother collected all rents and paid all expenses, including real estate taxes. The nephew did not object, and this state of affairs continued until the brother executed a deed purporting to convey the land to his girlfriend five years later. The nephew asserted his right to ownership of the land. The girlfriend also asserted her ownership and said that if the nephew had any rights, he was obligated to pay real estate taxes even though the brother had paid them in the past. Income from the land is ample to cover expenses, including real estate taxes.

In an appropriate action to determine the rights of the parties, what should the court decide?

A. The brother's purported deed forfeited his life estate, so the nephew owns the land in fee simple.

B. The girlfriend owns an estate for her life, is entitled to all income, and must pay real estate taxes; the nephew owns the remainder interest.

C. The girlfriend owns an estate for the life of the brother and is entitled to all income; the nephew owns the remainder interest and must pay real estate taxes.

D. The girlfriend owns an estate for the life of the brother, is entitled to all income, and must pay real estate taxes; the nephew owns the remainder interest.

Explanation:

A life estate is a **present possessory interest** that terminates on the death of an individual. A life estate is **freely transferable** but becomes a **life estate pur autre vie** since it is measured by the life of someone other than the current life tenant. The **future interest** that follows a life estate is either a **reversion** (if held by the grantor) or a **remainder** (if created in a grantee). It will become a possessory interest when the life estate terminates.

Here, the owner conveyed a life estate to the brother ("to my brother for life") and the nephew received a remainder in fee simple ("then to my nephew") **(Choice A)**. The brother then conveyed his present possessory interest to the girlfriend, who received a life estate pur autre vie measured by the brother's life **(Choice B)**.

As the current life tenant, the girlfriend has a **right to all income** received from the property. But she also has a duty to **pay current charges** that become due during the tenancy—including real estate taxes. As a result, the court should decide the rights of the parties accordingly **(Choice C)**.

Educational objective:

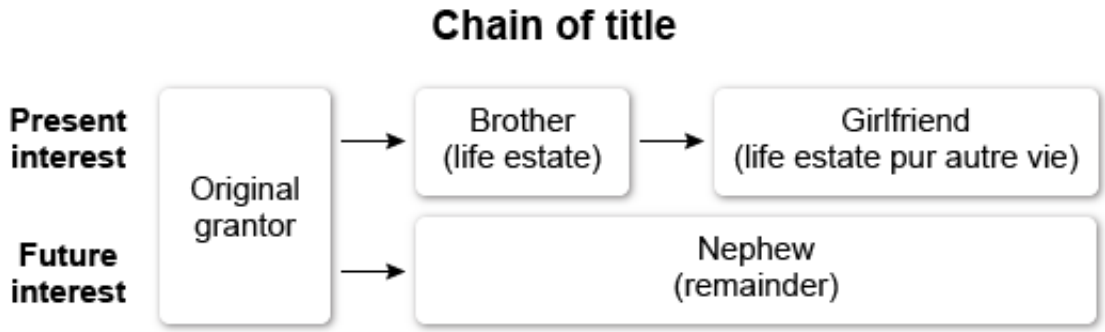
A life estate is a freely transferable present interest in land that terminates on the death of an individual and is followed by a reversionary or remainder interest. The life tenant is entitled to all income received from the land but must pay current charges on the land (eg, real estate taxes).

References

Restatement of Property §§ 129–130 (Am. Law Inst. 1936) (duty to pay current charges).

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A woman conveyed a vacant rural lot by a warranty deed that stated: "to my daughter for life, and upon her death, to my heirs." The next year, the woman executed a quitclaim deed for the same lot to the daughter with the expressed intent "to make absolute" the interest granted to her.

Four years later, the daughter and her newborn child were involved in a car accident and sustained serious injuries. To pay for their medical expenses, the daughter sold the lot to a real estate developer. The daughter died several months later, leaving the child as her sole heir.

The child's legal representative has asked a lawyer for advice regarding ownership of the lot. There is no applicable statute.

Who should the lawyer say is the owner of the lot?

A. The child, because the child is the woman's sole heir.

B. The child, because the child received a remainder following the daughter's life estate.

C. The developer, because the daughter acquired fee simple title upon the execution of the quitclaim deed.

D. The developer, because the warranty deed conveyed fee simple title to the daughter.

Explanation:

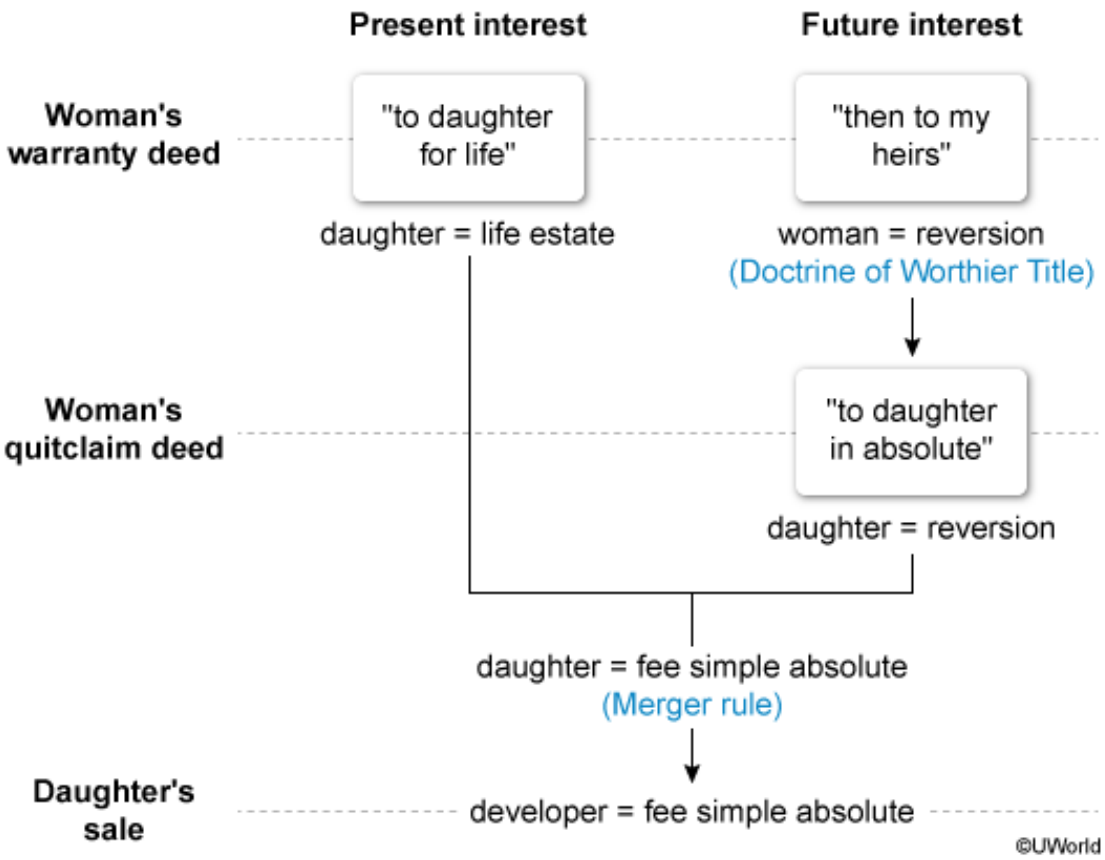
The **doctrine of worthier title** is triggered when a grantor **conveys property inter vivos** to another and, in the **same instrument**, conveys a **future interest to the grantor's heirs**. When this occurs, the **future interest** is **rendered void** and the grantor is deemed to hold a reversion. Most states have abolished this doctrine by statute, but there is no applicable statute in this jurisdiction. Therefore, the woman's warranty deed conveyed a life estate to the daughter and a *reversion* to the woman—not a *remainder* to her heirs **(Choices B & D)**.

The woman then conveyed her reversion to the daughter via quitclaim deed—leaving no other interest in the lot for the woman's heirs **(Choice A)**. This means that the daughter held both a present interest (life estate) and future interest (the woman's reversion) in the lot with no intervening interest. As a result, the daughter's two interests merged into a fee simple absolute under the doctrine of merger. And since the daughter subsequently conveyed that interest to the developer, the lawyer should say that the developer owns the lot.

Educational objective:

The doctrine of worthier title applies when a grantor makes an inter vivos conveyance to another with a future interest to the grantor's heirs. The future interest is then deemed to create a reversion in the grantor—not a remainder in the grantor's heirs.

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Present interest
Future interest
Woman's warranty deed
"to daughter for life"
"then to my heirs"
daughter = life estate
woman = reversion
(Doctrine of Worthier Title)
Woman's quitclaim deed
"to daughter in absolute"
daughter = reversion
daughter = fee simple absolute
(Merger rule)
Daughter's sale
developer = fee simple absolute
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A man's estate plan included a revocable trust established 35 years ago with a bank as trustee. The principal asset of the trust has always been a very profitable, debt-free office building. The trust instrument instructs the trustee to pay the net income to the man for life; and, after the death of the man, to pay the net income to his wife for life; and, after her death, "to distribute the net trust estate as she may appoint by will, or in default of her exercise of this power of appointment, to my son (her stepson)."

The man died 30 years ago, survived by his wife and son. The man had not revoked or amended the trust agreement. A few years after the man's death, his wife remarried. She then had a daughter, was widowed a second time, and died last year. Her will contained only one dispositive provision: "I give my entire estate to my daughter, and I intentionally make no provision for my stepson." The daughter is now 22 years old.

The common-law Rule Against Perpetuities is unmodified by statute in the jurisdiction. There are no other applicable statutes.

The son brought an appropriate action against the daughter to determine who was entitled to the net trust estate and thus to the office building.

If the court rules for the daughter, what will be the reason?

A. The jurisdiction deems "entire estate" to be a reference to the office building or to the wife's power of appointment.
B. The Rule Against Perpetuities does not apply to powers of appointment.
C. The wife intended that the son should not benefit by reason of her death.
D. The wife's life estate and power of appointment merge into complete ownership in the wife.

Explanation:

The man's trust instrument conveys the net income of the trust estate to the man for life, then to the wife for life with a **power of appointment** subject to the son's future interest. The powerholder has the **right to designate** the **recipients** of a **beneficial property interest** (eg, trust). This power can be either:

general – if there are ***no*** **limitations** on the disposition of the property *or*

non-general – if there *are* **limitations on the disposition** of the property (eg, restrictions on the recipients, time, or manner of the disposition)

Here, the wife received a non-general power of appointment since she may dispose of the net trust estate only "by will" (ie, devise). If she **fails to do so**, then the property will **go to the designated remainderman** (here, the son). But since the wife devised her entire estate to her daughter, the reason for the daughter prevailing would be that this jurisdiction considers "entire estate" to be a reference to the office building or the wife's power of appointment.

(Choice B) The Rule Against Perpetuities (RAP) *does* apply to powers of appointment, so the exercise of this power is valid only if a trust would vest or fail to vest by the end of the life in being plus 21 years. Here, the appointment would have vested or failed immediately upon the wife's death, so RAP was not violated.

(Choice C) To exercise the power of appointment, the wife had to designate the recipient of the net trust estate. The fact that the wife identified the stepson as a nonrecipient is irrelevant.

(Choice D) A life estate and power of appointment do not merge into complete ownership (ie, a fee estate). However, the designated recipient will receive complete ownership of the property.

Educational objective:

The power of appointment gives a life tenant the right to designate recipients of a beneficial property interest. If the life tenant does not exercise this power, then the property will go to the designated remainderman.

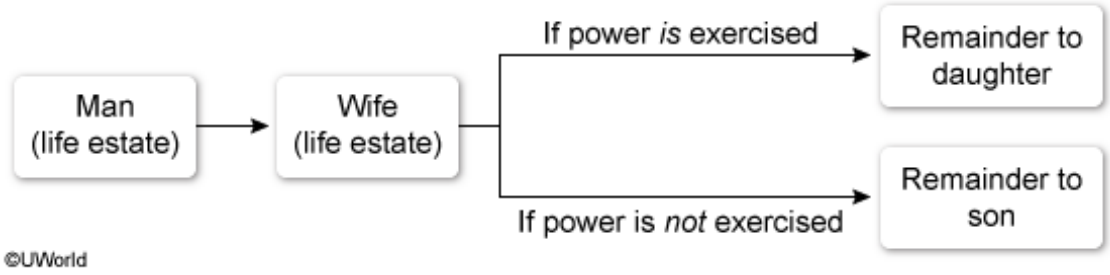
References

Restatement (Second) of Property: Donative Transfers § 12.1 (Am. Law Inst. 1986) (power of appointment).

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Power of appointment



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A landlord owns a building that contains six living units. The landlord lives in one of the units and rents out the other five. When a tenant with a two-year-old child moved out of one of the units, the landlord decided that he would not rent to a tenant with a child under the age of 10. However, when he advertised that the unit was available for rent, he did not include this limitation in the ad and instead indicated that all families were welcome. A couple with a six-year-old child contacted the landlord about renting the unit, and he informed them of his policy regarding children. The couple claimed that the landlord's policy violated the federal Fair Housing Act. Rather than dispute this with the couple, the landlord decided to take the unit off the market and allow it to remain empty for the foreseeable future.

Has the landlord violated the federal Fair Housing Act?

A. No, because he lived in one of the units in the building.

B. No, because he took the unit off the market and has not rented it to anyone.

C. Yes, because he discriminated against the couple based on familial status.

D. Yes, because his advertisement falsely represented his policy regarding children.

Explanation:

Fair Housing Act

Applicability Prohibits discriminatory actions in sale/renting of dwelling based on race, color, religion, sex, handicap, national origin, or familial status—including:

- refusing bona fide offer
- discriminating in terms, conditions, privileges, or services of purchase/rental
- advertising preference for or discrimination against buyer/renter
- falsely representing dwelling's availability for inspection, sale, or rental
- inducing sale/renting with discriminatory representations about neighborhood
- denying reasonable modifications to accommodate handicap at occupant's expense

Exceptions Act does not apply to:

- religious organizations
- private clubs that incidentally provide lodging to members
- familial status for senior housing
- owner of ≤ 3 single-family dwellings*
- owner-occupied dwellings with ≤ 4 units*
- sale/rental of single-family home by private owner

*These exceptions do not apply to discriminatory advertisements or when owner is assisted by a real estate agent, broker, or salesman.

The **Fair Housing Act** (FHA) **prohibits discrimination** in the **sale or rental** of **housing** on the basis of race, color, religion, national origin, sex, disability, or **familial status**. Protected familial status includes having **children under the age of 18** and being pregnant. Prohibited discrimination can take various forms (see above table), such as refusing to rent or sell housing or making housing unavailable.

Here, the landlord attempted to circumvent the FHA by taking the unit off the market and not renting it to anyone. But since the landlord made the unit unavailable to avoid renting to the couple with the six-year-old child, he discriminated against the couple on the basis of familial status in violation of the FHA **(Choice B)**.

(Choice A) Owner-occupied buildings with no more than *four* living units (including the owner's unit) are generally exempted from the FHA. Since the landlord's building contains *six* living units, his occupation of one of the units does not qualify him for this exemption.

(Choice D) *Advertising* a preference or limitation based on protected characteristics is a violation of the FHA. However, the landlord's *failure* to advertise that he would not rent to a tenant with a child under the age of 10 is not a violation.

Educational objective:

The Fair Housing Act prohibits discrimination in the sale or rental of housing (eg, making housing unavailable) on the basis of race, color, religion, national origin, sex, disability, or familial status. Protected familial status includes having children under the age of 18 and being pregnant.

References

Fair Housing Act, 42 U.S.C. §§ 3601 et seq.

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An entrepreneur owned a ranch. He entered into a written three-year lease of the ranch with a rancher. Among other provisions, the lease prohibited the rancher from "assigning this lease, in whole or in part, and from subletting the ranch, in whole or in part." In addition to a house, a barn, and a one-car garage, the ranch's 30 acres included several fields where first the entrepreneur, and now the rancher, grazed sheep.

During the following months, by a written agreement, the rancher allowed his neighbor, a car enthusiast, exclusive use of the garage for storage, under lock and key, of his antique automobile for two years, charging him $240. The rancher told his other neighbor, a golfer, that she could use the fields to practice golf as long as she did not disturb his sheep.

Which, if any, of the rancher's actions constituted a violation of the lease?

A. Only allowing the car enthusiast exclusive use of the garage for storage.

B. Only allowing the golfer to use the fields to practice her golf.

C. Both actions.

D. Neither action.

Explanation:

Unless the lease expressly provides otherwise, a **tenant is free to transfer** his/her interest under the lease **to a third party** through either:

assignment – a transfer of all, or part of, the tenant's interest under the lease to a third party for the **remainder** of the tenant's lease term *or*

subletting – a transfer of all, or part of, the tenant's interest under the lease to a third party for **less than the remainder** of the tenant's lease term.

Here, the entrepreneur leased his ranch to the rancher for three years. The lease expressly prohibited the rancher from assigning or subletting the ranch, in whole or in part. The rancher then entered into a written agreement that gave the car enthusiast exclusive possession of the ranch's garage (part of the rancher's lease interest) for two years (less than the remainder of the rancher's lease term) in exchange for $240. Therefore, this written agreement was a sublease and violated the entrepreneur and rancher's lease **(Choices B & D)**.

A tenant also is generally **free to grant a license**—a **non-possessory** (and usually non-exclusive) **right to enter and use the property** for a particular purpose—to a third party **unless the lease states otherwise**. Here, the lease only prohibited assigning and subletting. Therefore, the rancher's license to the golfer—granting her a non-exclusive right to enter and use the property to practice golf—did not violate the lease **(Choices B & C)**.

Educational objective:

A tenant generally has the right to (1) transfer his/her interest under a lease for the remainder (assignment) or part (sublease) of the lease term or (2) grant a non-possessory right to use the property for a particular purpose to another (license). However, these rights can be restricted by an express lease provision.

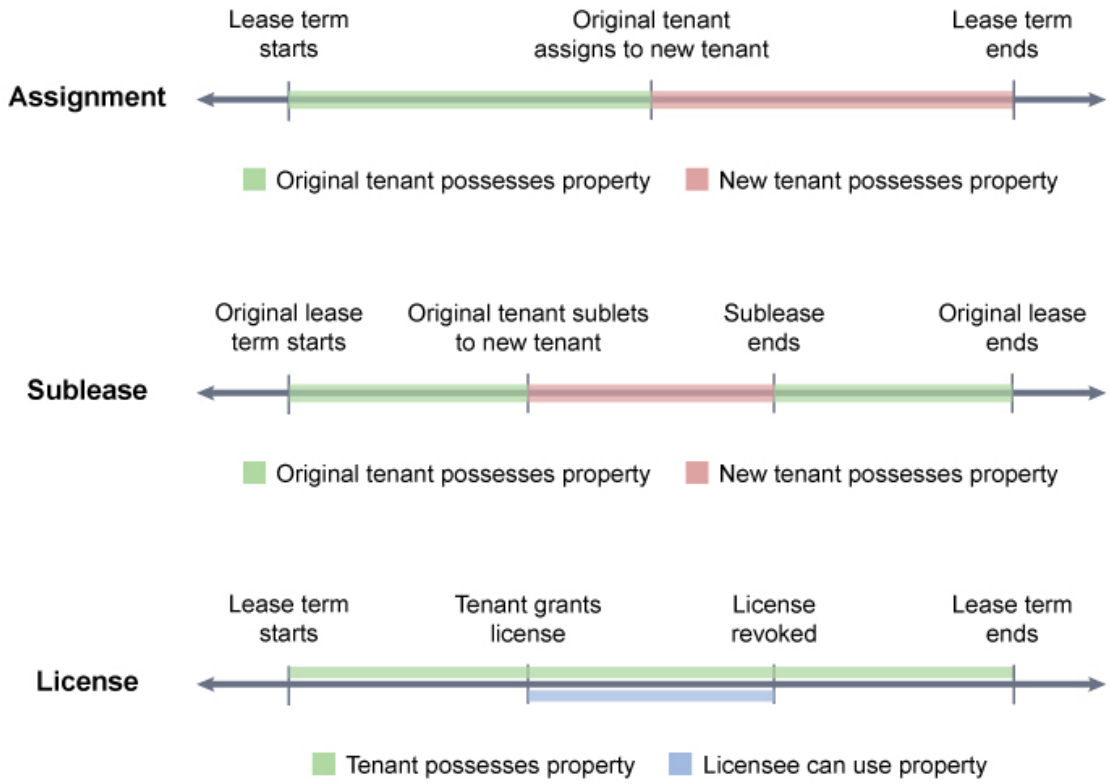
References

Restatement (Second) of Prop.: Landlord & Tenant §§ 15.1–15.2 (Am. Law Inst. 1977) (assignments and subleases).

Restatement of Prop. § 512 (Am. Law Inst. 1944) (licenses).

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Lease term starts
Original tenant assigns to new tenant
Lease term ends
Assignment
Original tenant possesses property
New tenant possesses property
Original lease term starts
Original tenant sublets to new tenant
Sublease ends
Original lease ends
Sublease
Original tenant possesses property
New tenant possesses property
Lease term starts
Tenant grants license
License revoked
Lease term ends
License
Tenant possesses property
Licensee can use property

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A woman owned a four-unit apartment building and lived in one of the units. When one of her tenants vacated his apartment, the woman placed an advertisement in the local paper that read as follows: "Large two-bedroom apartment available for rent. White male preferred." The woman's preference was motivated by the fact that she liked to have a mix of tenants of both genders and from various racial and ethnic backgrounds in her building, and of the remaining rented units, one was rented to an African American man and the other to a Pacific Islander woman.

Based upon these facts, which of the following statements is true?

A. The federal Fair Housing Act makes it illegal for the woman to refuse to rent her units to prospective tenants because of their race or gender.
B. The woman's motive absolves her from any liability under the federal Fair Housing Act.
C. There are no violations of any federal laws under these facts.
D. Under the federal Fair Housing Act, the woman was not permitted to state a racial or gender preference in the advertisement.

Explanation:

Fair Housing Act

Applicability Prohibits discriminatory actions in sale/renting of dwelling based on race, color, religion, sex, handicap, national origin, or familial status—including:

- refusing bona fide offer
- discriminating in terms, conditions, privileges, or services of purchase/rental
- advertising preference for or discrimination against buyer/renter
- falsely representing dwelling's availability for inspection, sale, or rental
- inducing sale/renting with discriminatory representations about neighborhood
- denying reasonable modifications to accommodate handicap at occupant's expense

Exceptions Act does not apply to:

- religious organizations
- private clubs that incidentally provide lodging to members
- familial status for senior housing
- owner of ≤ 3 single-family dwellings*
- owner-occupied dwellings with ≤ 4 units*
- sale/rental of single-family home by private owner

*These exceptions do not apply to discriminatory advertisements or when owner is assisted by a real estate agent, broker, or salesman.

The federal **Fair Housing Act** (FHA) was enacted to **prohibit discrimination** in the **sale or rental** of a **dwelling** on the basis of race, color, religion, sex/gender, handicap, national origin, or familial status. Under this act, the following discriminatory actions are prohibited:

refusing to sell or rent a dwelling after receipt of a bona fide offer

discriminating in the terms, conditions, privileges, or services of sale or rental of a dwelling

advertising preference or discrimination with respect to buyers or renters

falsely representing that a dwelling is unavailable for inspection, sale, or rental

inducing, for profit, the sale or rental of a dwelling with discriminatory representations about the neighborhood

refusing to permit, at the occupant's expense, reasonable modifications to accommodate a handicap

Although owner-occupied dwellings with up to four units (as seen here) are generally excepted from the FHA, this exception does *not* apply to advertisements stating a

preference for a protected class. The woman's advertised preference for a "white male" renter constitutes race-based and gender-based discrimination. Therefore, the advertisement is not permitted under the FHA **(Choice C)**.

(Choice A) The FHA makes it generally illegal to refuse to rent to a prospective tenant based on race, sex/gender, or other protected class. But since the woman is renting an owner-occupied dwelling with four units, she need not comply with this provision.

(Choice B) The FHA applies when a person's actions have a discriminatory intent *or* discriminatory effect. Therefore, the woman's positive motive does not absolve her of liability under the FHA because her actions have a discriminatory effect.

Educational objective:

The Fair Housing Act prohibits discrimination in the sale or renting of a dwelling on the basis of race, color, religion, sex, handicap, national origin, or familial status. This includes advertisements that indicate any preference or discrimination with respect to buyers or renters.

References

Fair Housing Act, 42 U.S.C. §§ 3601 et seq.

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A man devised land "to my brother and his heirs until my daughter reaches the age of 25, and then to my daughter and her heirs." The daughter was three years old at the time of her father's death.

The applicable jurisdiction continues to adhere to the common law Rule Against Perpetuities.

Which of the following is the most accurate statement of the daughter's interest in the land?

A. She has a possibility of reverter.

B. She has a remainder interest subject to complete divestment.

C. She has a shifting executory interest.

D. She has no interest in the land because of the Rule Against Perpetuities.

Explanation:

Fee simple estates

Type		**Language**	**Future interest**
Indefeasible	**Fee simple absolute**	"To A" "To A and his heirs"	None
Defeasible	**Fee simple determinable**	Durational "so long as" "during" "until"	*Grantor's* possibility of reverter *Third party's* executory interest (**fee simple subject to executory limitation**)
	Fee simple subject to condition subsequent	Conditional "but if" "provided that" "unless"	*Grantor's* right of entry

A **defeasible fee** has the potential to last forever but can be cut short if a specified event or condition occurs. One type of defeasible fee is a **fee simple determinable** (FSD), which is created with **durational language** (eg, "to my brother and his heirs *until* my daughter reaches the age of 25"). The **future interest** that follows an FSD is either:

a **possibility of reverter** – in which case, the estate automatically **reverts back to the grantor** when the specified event occurs (presumed if not expressly stated) *or*

an **executory interest** – in which case, the estate automatically **passes to a third party** when the stated event occurs (eg, "then to my daughter and her heirs").*

Therefore, pursuant to the man's devise, the daughter has an executory interest **(Choice A)**. There are two types of executory interests:

Shifting – cuts short (or divests) an estate held by a grantee, such that the estate ***shifts* from the grantee** to the executory-interest holder

Springing – cuts short an estate held by a grantor, such that the estate ***springs* from the grantor** to the executory-interest holder

Since the daughter's interest will cut short the brother's (grantee's) interest in the land, she has a shifting executory interest.

*An FSD followed by an executory limitation is sometimes referred to as a fee simple determinable subject to an executory limitation.

(Choice B) A remainder is a future interest created in a grantee that is capable of becoming a present estate upon the natural expiration of a *life estate*, *fee tail*, or *term of years* (not seen here). The remainder is subject to complete divestment if the occurrence of a condition will eliminate the interest (eg, "then to A, but if A has no children then to B").

(Choice D) Under the Rule Against Perpetuities (RAP), certain future interests are void if they could vest more than 21 years after the death of some relevant person alive when the interest was created. But here, the daughter's executory interest does *not* violate RAP because she will turn 25 (or not) within her own lifetime.

Educational objective:

A third-party grantee's executory interest is *shifting* if it divests another *grantee's* estate and *springing* if it divests the *grantor's* estate.

References

Restatement (First) of Property § 44 (Am. Law Inst. 1936) (fee simple determinable).

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A retiree owned a condo, subject to a mortgage securing a debt that he owed to a lender. The retiree conveyed the condo to "my son for life, remainder to my granddaughter, subject to the lender's mortgage thereon." At the time of the conveyance, there was an unpaid balance on the mortgage of $25,000. The mortgage required monthly payments covering the interest to date and a portion of the principal.

For the past six months, the son has been living alone in the condo and paying the full monthly payment due to the lender. The son has since asked his lawyer for advice regarding the parties' obligations with respect to the monthly payment.

What should the lawyer tell him?

A. The granddaughter and the son must pay based on the present value of their respective interests.

B. The granddaughter must pay the full monthly payment.

C. The son must pay the full monthly payment.

D. The son must pay the principal, but the granddaughter must pay the interest to the lender.

Explanation:

Payment of preexisting mortgage obligation

Periodic payment of interest only	Life tenant is responsible for interest payments Future-interest holder is responsible for principal payments due at later date
Periodic payment of interest & principal	Life tenant & future-interest holder are responsible for payments equal to present value of each interest in property

A life estate is a present possessory interest in real property that terminates on the death of an individual and is followed by a reversion or a remainder. **Payments due on** an obligation secured by a **mortgage** of the property that was **incurred *before*** the creation of the **life estate** are **subject to allocation** between the holder of the life estate (ie, life tenant) and the future-interest holder (ie, reversioner or remainderman). The allocation can vary depending on the type of obligation:

If the obligation requires the **periodic payment of interest** until the principal amount is due, then the **life tenant** is responsible for **interest payments** and the **future-interest holder** is responsible for **principal payments** due at a later date.

If the obligation requires the **periodic payment** of both **interest *and*the principal amount** (in whole or in part), then the obligation is **allocated** between the **life tenant and** the **future-interest holder** based on the **present value of each interest**.

Here, the retiree conveyed a life estate in the condo to his son and a remainder to his granddaughter, subject to the lender's mortgage on the condo. The mortgage required monthly payments covering the interest to date *and* a portion of the principal. Therefore, the lawyer should tell the son that both he (life tenant) and the granddaughter (remainderman) are obligated to pay the monthly mortgage payments based on the present values of their respective interests **(Choices B, C & D)**.

Educational objective:

If a preexisting mortgage obligation requires the periodic payment of interest only, then the life tenant pays the interest and the future-interest holder pays the later-due principal. But if periodic payment of interest *and* principal is required, then both payments must be allocated between the parties based on the present value of each interest.

References

Restatement of Property § 132 (Am. Law Inst. 1936) (discussing life tenant's obligation to contribute to a preexisting mortgage obligation when the principal amount has become due).

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A woman convinced her younger friend to purchase undeveloped land with her. The friend contributed 30 percent of the purchase price, and the woman contributed 70 percent. They took title to the property based on the percentage of their contributions. Subsequently, the friend, purporting to own the property outright, obtained a loan and gave a mortgage on the property to the lender. When the friend defaulted on the loan, the bank initiated a foreclosure action on the property.

The jurisdiction follows the lien theory of mortgages.

To what interest, if any, would the purchaser of the property at the foreclosure sale be entitled?

A. The entire property, because the friend, as a co-owner, is deemed to be the woman's agent.

B. A 30 percent interest, because that is the friend's ownership interest in the property.

C. A 30 percent interest, because the applicable jurisdiction follows the lien theory of mortgages.

D. No interest, because a co-owner of property needs the consent of the other co-owners to mortgage it.

Explanation:

Consent between cotenants in common

(common examples)

Consent required	Convey entire co-owned property
	Obtain exclusive possession over part of property
	Bind other cotenants' interests in contract with third party
No consent required	Sell, lease, or devise personal ownership interest
	Possess entire co-owned property
	Extract minerals from co-owned property (unless committing waste)

Tenancy in common is a type of concurrent estate (ie, cotenancy) where each cotenant has a possibly unequal ownership interest in the property, an equal right to possess the whole property, but no right of survivorship. A tenant in common is **free to bind his/her individual interest** in the property (eg, by mortgaging it) without the other cotenant(s)' consent. However, a tenant in common has **no right to bind other cotenant(s)' interests** in the property. Any **attempt to do so** will **not affect** the other cotenant(s)' interests.*

Here, the woman and the friend shared the property as tenants in common, as evidenced by their unequal interests in the property. Although the friend was free to bind her 30 percent interest in the property, she had no right to bind the woman's interest in the property. As a result, the friend's attempt to give the lender a mortgage on the *entire* property was ineffective as to the woman's interest. This means that the purchaser at the foreclosure sale would only be entitled to the friend's 30 percent interest in the property.

*This is true unless the other cotenant(s) authorize or later ratify the transaction (not seen here).

(Choice A) The mere existence of a cotenancy does not create an agency relationship between the cotenants, so the friend is not deemed to be the woman's agent simply because the friend co-owns the property.

(Choice C) The friend was free to mortgage her 30 percent interest in the property regardless of which mortgage theory the jurisdiction follows.

(Choice D) In a tenancy by the entirety, neither spouse can mortgage the property without the other spouse's consent. But here, the woman and her friend were not spouses who shared the property as tenants by the entirety. Instead, they shared the property as tenants in common, and each was free to mortgage her interest in the property without the other's consent.

Educational objective:

A tenant in common can bind his/her own interest in the co-owned property without the other cotenants(s)' consent but has no right to bind the other cotenant(s)' interests in the property.

References

20 Am. Jur. 2d Cotenancy and Joint Ownership § 93 (2020) (ability to bind other cotenants).

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A landowner conveyed his land by quitclaim deed to his daughter and son "as joint tenants in fee simple." The language of the deed was sufficient to create a common law joint tenancy with right of survivorship, which is unmodified by statute.

The daughter then duly executed a will devising her interest in the land to a friend. Then the son duly executed a will devising his interest in the land to a cousin.

The son died, and later the daughter died. Neither had ever married. The daughter's friend and the cousin survived.

After both wills have been duly probated, who owns what interest in the land?

A. The cousin owns the fee simple.
B. The daughter's friend and the cousin own equal shares as joint tenants with right of survivorship.
C. The daughter's friend and the cousin own equal shares as tenants in common.
D. The daughter's friend owns the fee simple.

Explanation:

A **joint tenancy** is a type of concurrent estate in which each co-tenant has an undivided and equal interest in the property with the **right of survivorship**. The right of survivorship means that a joint tenant's **interest disappears upon his/her death** and the **remaining joint tenants' interests** automatically expand to **absorb it**. Therefore, a joint tenant has no interest to devise upon death.

Here, the daughter and the son were joint tenants in fee simple. Although they executed wills attempting to devise their joint tenancy interests to others, they could not do so because of their right of survivorship. But the joint tenancy disappeared when the son died, and the daughter automatically acquired the entire property in fee simple. As a result, her fee simple interest passed to the friend under her will when she died.

(Choice A) Since the son was a joint tenant and died first, his property interest was acquired by the daughter. As a result, the son had no interest to devise to his cousin under a will.

(Choice B) Under the common law and in most jurisdictions, a joint tenancy with right of survivorship entails four unities. This includes unity of title, which requires joint tenants to receive their interests in the same instrument of conveyance. Since the friend and the cousin received their purported interests in *separate* wills, they could not acquire joint tenancy interests.

(Choice C) A lifetime transfer of a joint tenant's interest severs that interest from the joint tenancy, and it becomes a tenancy-in-common ownership interest. Therefore, the friend and cousin would have owned equal shares of the property as tenants in common had the daughter and son conveyed their interests when they were alive instead of attempting to devise them at death.

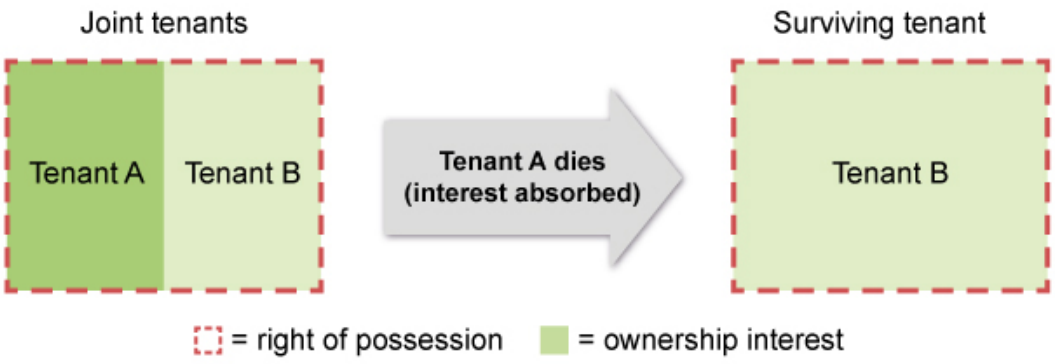
Educational objective:

A joint tenant's interest disappears upon his/her death and the remaining joint tenants' interests automatically expand to absorb it (ie, right of survivorship). Therefore, a joint tenancy interest cannot be devised.

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Joint tenancy with right of survivorship



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A landlord leased a building to a tenant for a 10-year term. Two years after the term began, the tenant subleased the building to a sublessee for a 5-year term. Under the terms of the sublease, the sublessee agreed to make monthly rent payments to the tenant.

Although the sublessee made timely rent payments to the tenant, the tenant did not forward four of those payments to the landlord. The tenant has left the jurisdiction and cannot be found. The landlord has sued the sublessee for the unpaid rent.

There is no applicable statute.

If the court rules that the sublessee is not liable to the landlord for the unpaid rent, what will be the most likely reason?

A. A sublessee is responsible to the landlord only as a surety for unpaid rent owed by the tenant.

B. The sublease constitutes a novation of the original lease.

C. The sublessee is not in privity of estate or contract with the landlord.

D. The sublessee's rent payments to the tenant fully discharged the sublessee's obligation to pay rent to the landlord.

Explanation:

A **landlord and tenant** have a legal relationship based on both:

privity of contract – their shared interest in the lease agreement *and*

privity of estate – their successive right to possess the property (ie, the tenant's current possessory right immediately precedes the landlord's future possessory right).

Either party can freely transfer his/her interest unless the lease prohibits it. For example, a tenant can sublease part of his/her interest to a third party (sublessee) for less than the remainder of the tenant's lease term. Despite that transfer, a **sublessee is not liable** to the landlord for a **breach of the lease** (eg, unpaid rent) because:

no lease agreement exists between the landlord and the sublessee (no privity of contract) *and*
the tenant will regain possession of the property before the landlord does (no privity of estate).
Instead, the **tenant remains liable** to the landlord for any such breach.

(Choice A) A surety is a person who assumes direct liability for another's obligation (eg, debt). Here, the sublessee is not a surety because there is no indication that the sublessee agreed to assume the tenant's contractual liability under the lease. Therefore, the sublessee is not liable for the tenant's failure to pay rent.

(Choice B) A novation is a separate agreement based on an existing contract that (1) substitutes a new party for an original contracting party and (2) excuses the original party from further performance under the original contract. But since a sublease does neither, it is not a novation.

(Choice D) A sublessee has no obligation to pay rent to a landlord.

Educational objective:

Since a sublessee and landlord lack privity of contract and privity of estate, the sublessee is not liable to the landlord for a breach of the tenant's lease (eg, unpaid rent). Instead, the tenant remains liable to the landlord for any such breach.

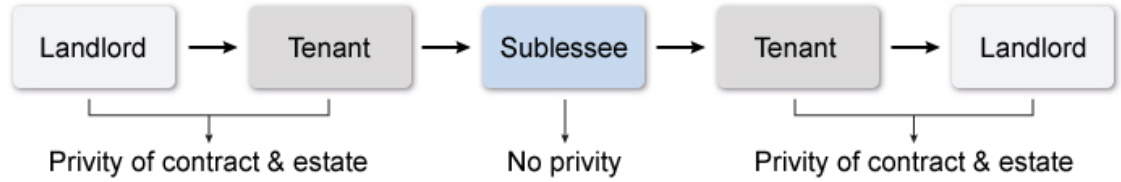
References

49 Am. Jur. 2d Landlord and Tenant § 970 (2018).

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Privity with landlord



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A landlord leased an apartment to a tenant on a month-to-month basis beginning on the first of the month, with rent payable monthly. Five months into the lease, the tenant failed to pay rent. The landlord then sued the tenant for possession for nonpayment of rent. The tenant successfully defended this suit on the ground that the apartment was uninhabitable and that, accordingly, no rent was properly payable.

On May 7, immediately following the court order in the tenant's favor, the landlord served the tenant with a written but not notarized notice to terminate the tenancy and to vacate the apartment on or before June 30.

On July 1, the tenant was still in possession, nothing had changed, and the landlord brought an appropriate action for possession. The tenant prevailed.

What is the most likely reason for the court's decision?

A. A six-month notice was required to terminate this periodic tenancy.

B. The landlord did not give the tenant a notarized notice of termination.

C. The landlord's notice to terminate was improper, because it was given to the tenant more than one month before the required termination date.

D. The landlord was attempting to terminate the tenancy as a reaction to the tenant's defense in the previous lawsuit.

Explanation:

Prohibited landlord conduct

Retaliation	Increasing rent or terminating lease because tenant exercised legal right—eg: reporting housing code violation organizing tenants' association
Discrimination (Fair Housing Act)	Refusing to rent or negotiate lease based on tenant's race, ethnicity, religion, national origin, gender, familial status, or disability

A periodic tenancy automatically continues for successive periods of time (eg, month to month) until either the landlord or tenant gives notice to terminate the tenancy. However, most jurisdictions **prohibit a landlord** from **terminating a residential lease** when:

the landlord is in the **business of renting** residential property

the tenant has **complied** with his/her **lease obligations** *and*

the landlord is **retaliating against the tenant** (eg, increasing rent, terminating a lease) for **exercising a legal right** in good faith and with reasonable cause.

Here, the landlord leased an apartment to the tenant (business of renting residential property) and later sued the tenant for unpaid rent. The tenant successfully defended that suit by challenging the apartment's habitability (exercise of a legal right). As a result, no rent was owed (compliance with lease obligations). The landlord then attempted to terminate the tenant's lease (retaliation). Therefore, the tenant likely prevailed in the landlord's action for possession because the termination was a retaliatory reaction to the tenant's defense in the previous lawsuit.

(Choice A) Six months' notice is required to terminate a year-to-year periodic tenancy. But a periodic tenancy with successive periods of *less than* one year (as seen here) can be terminated at the end of a period if notice is given before the period starts—eg, terminating a month-to-month periodic tenancy on June 30 requires notice by May 31.

(Choice B) Notice to terminate a periodic tenancy generally must be in writing but does not need to be notarized.

(Choice C) A month-to-month periodic tenancy can be terminated at the end of a month through notice given *any time* before the start of that month. Therefore, notice given on May 7 to vacate the premises by June 30 would have been proper had the termination not been retaliatory.

Educational objective:

Most jurisdictions prohibit a landlord from terminating a residential lease when (1) the landlord is in the business of renting residential property, (2) the tenant has complied with his/her lease obligations, and (3) the landlord is retaliating against the tenant for exercising a legal right in good faith and with reasonable cause.

References

Restatement (Second) of Prop.: Landlord & Tenant §§ 14.8–14.9 (Am. Law Inst. 1977) (listing remedies for retaliatory action by landlord).

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A woman owned land in fee simple absolute. The woman conveyed the land to a friend "for life," and when the friend died the land was to go to the woman's neighbor "and her heirs."

The neighbor died and in her duly probated will devised her entire estate to a local charity. If she had died intestate, her daughter would have been her only heir.

One year after the neighbor died, her daughter executed a quitclaim deed conveying any interest she might have in the land to the woman's friend.

The common law Rule Against Perpetuities is unmodified in the jurisdiction. There are no other applicable statutes.

Who has what interest in the land?

A. The friend has a fee simple absolute, because his life estate merged with the remainder conveyed to him by the daughter.
B. The friend has a life estate and the charity has a vested remainder, because the neighbor's interest was devisable.
C. The friend has a life estate and the daughter has a vested remainder, because the deed from the woman created an interest in the neighbor's heirs.
D. The friend has a life estate and the woman has a reversion, because the neighbor's remainder was void under the Rule Against Perpetuities.

Explanation:

A life estate is a present possessory interest in real property that terminates upon the death of an individual. The future-interest holder acquires possession of the estate when that death occurs. If the future interest is held by someone other than the grantor, it is called a **remainder**. Remainders are fully **transferable** inter vivos, **devisable** by will, and **descendible** by inheritance. This is true in most jurisdictions* **regardless of whether** the remainder is:

vested – **not subject to** any **condition precedent** AND held by an **identifiable living person** (eg, "then to my neighbor and her heirs") *or*

contingent – subject to some condition precedent (other than the natural termination of the prior estate) OR held by an unknown or unborn person (eg, "then to my neighbor, but only if…").

Here, the woman conveyed a life estate in the land to her friend, which would go to her neighbor *unconditionally* when the friend died. The neighbor's vested remainder was devisable, so it passed to the charity under the terms of her duly probated will. Therefore, the friend (who is still living) has a life estate, and the charity has a vested remainder that will become possessory when the friend dies.

*At common law and in a minority of jurisdictions, contingent remainders cannot be transferred inter vivos.

(Choices A & C) The woman's deed conveyed a remainder interest to the neighbor "and her heirs." These words of limitation indicate that the neighbor's remainder interest is a fee simple absolute (FSA). But they do not create an ownership interest in the neighbor's heirs. Therefore, the daughter (neighbor's only heir) did not have any interest in the land to convey to the friend, and he never acquired an FSA.

(Choice D) The Rule Against Perpetuities applies only to future interests that may vest more than 21 years after the death of some relevant person alive when the interest was created—not to this vested remainder.

Educational objective:

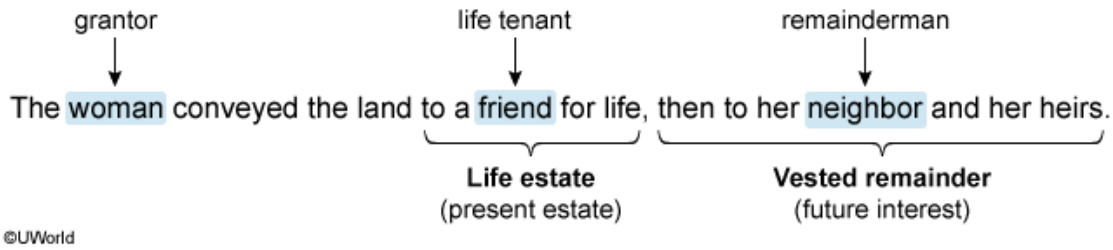
Remainders are either vested (ie, not subject to conditions precedent and held by an identifiable living person) OR contingent (ie, subject to conditions precedent or held by an unknown or unborn person). Both are transferrable, devisable, and descendible.

References

Restatement (Third) of Property: Wills & Other Donative Transfers § 25.2 cmt. f (Am. Law Inst. 2011) (alienability, divisability, and inheritability of future interests).

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An organic farm was conveyed to a married couple by a deed that created a cotenancy in equal shares with the right of survivorship.

The husband later informed the wife that he intended to convey his "undivided one-half interest in the farm" to his sister. The wife objected to the conveyance, but the husband nevertheless conveyed his interest in the farm to the sister by deed. The husband has since died.

In an action between the sister and the wife to determine title to the farm, who will prevail?

A. The sister, because the husband and the wife had a tenancy in common.

B. The sister, because the wife knew of the conveyance prior to the husband's death.

C. The wife, because she is the sole owner of the farm.

D. The wife, but only if the jurisdiction recognizes tenancies by the entirety.

Explanation:

There are three types of concurrent estates (ie, cotenancies):

Tenancy in common – a tenancy in which each cotenant has a separate and possibly unequal interest in the property with **no** right of survivorship

Joint tenancy – a tenancy in which each cotenant has an undivided and equal interest in the property with the **right of survivorship**

Tenancy by the entirety – a **joint tenancy** between **married persons**

Here, the conveyance to the husband and the wife created a cotenancy in equal shares *with* the right of survivorship. Therefore, they received either a joint tenancy or a tenancy by the entirety—not a tenancy in common **(Choice A)**.

Joint tenancies and tenancies by the entirety are **not devisable** (by will) **or inheritable** (by intestate succession). And only a **joint tenancy** interest can be **conveyed during a tenant's lifetime** without the other tenant's consent. As a result, the outcome of this dispute depends on which tenancy the husband and the wife received:

joint tenancy – in which case the husband's lifetime conveyance to the sister would have severed the joint tenancy and created a *tenancy in common* between the sister and the wife *or*

tenancy by the entirety* – in which case the conveyance to the sister would have failed, and the wife would have acquired *complete ownership* of the farm upon the husband's death

This means that the wife would be the sole owner of the farm, and therefore prevail, only *if* the husband and the wife had a tenancy by the entirety **(Choice C)**. Otherwise, the sister will prevail.

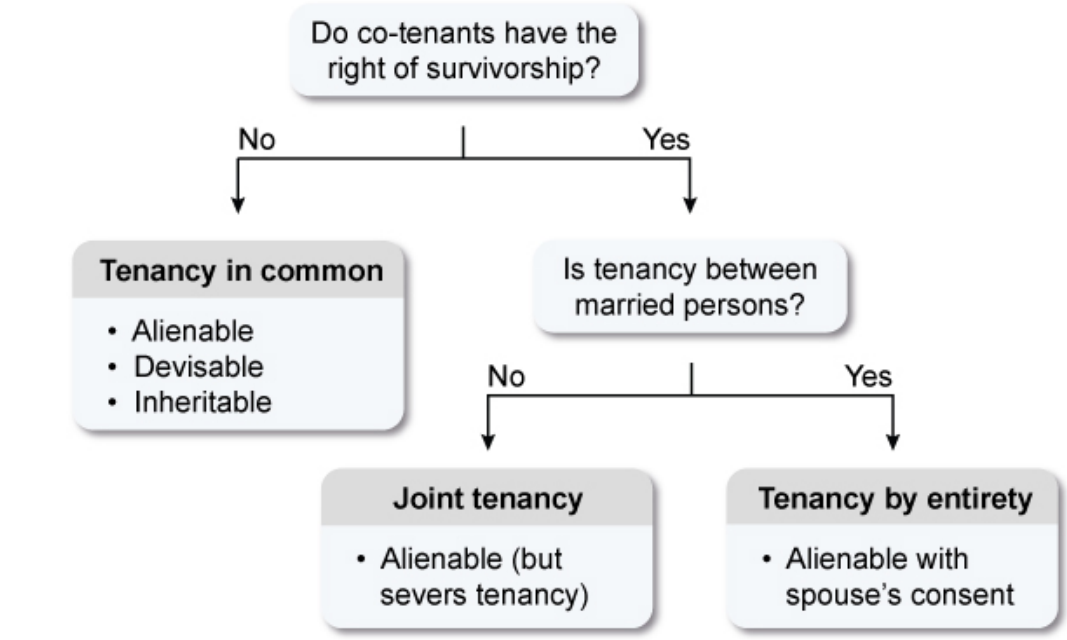
*A tenancy by the entirety is recognized in about half of the jurisdictions.

(Choice B) The wife's *knowledge* has no effect on the validity of the husband's conveyance. But the wife's *consent* would matter if the husband and wife had received a tenancy by the entirety, since neither tenant could convey the property without the other's consent.

Educational objective:

Both joint tenancies and tenancies by the entirety have survivorship rights, so they are not devisable or inheritable. But joint tenancies—unlike tenancies by the entirety—are transferrable during a tenant's lifetime without the other tenant's consent.

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Do co-tenants have the right of survivorship?
No
Yes
Tenancy in common
• Alienable
• Devisable
• Inheritable
Is tenancy between married persons?
No
Yes
Joint tenancy
• Alienable (but severs tenancy)
Tenancy by entirety
• Alienable with spouse's consent

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A dairy farmer and his cousin owned a large farm in fee simple as tenants in common, each owning an undivided one-half interest. For five years, the farmer occupied the farm and conducted farming operations. The farmer never accounted to his cousin for any income but did pay all real estate taxes when they were due and kept the buildings on the farm insured against loss from fire, storm, and flood. The cousin lived in a distant city and was interested only in realizing a profit from the sale of the land when market conditions produced the price he wanted.

The farmer died intestate survived by his daughter, who was his sole heir. Thereafter, the daughter occupied the farm but was inexperienced in farming operations. The result was a financial disaster. The daughter failed to pay real estate taxes for two years. The appropriate governmental authority held a tax sale to recover the taxes due. At the sale, the cousin was the only bidder and obtained a conveyance from the appropriate governmental authority upon payment of an amount sufficient to discharge the amounts due for taxes, plus interest and penalties, and the costs of holding the tax sale. The amount paid was one-third of the reasonable market value of the farm.

Thereafter, the cousin instituted an appropriate action against the daughter to quiet title in and recover possession of the farm. The daughter asserted all defenses available to her.

Except for the statutes related to real estate taxes and tax sales, there is no applicable statute.

In this lawsuit, is the cousin entitled to a decree quieting title so that he is the sole owner in fee simple of the farm?

A. No, if the daughter pays the cousin one-half of the amount he paid for the tax deed.

B. No, if the daughter pays the cousin one-half of the reasonable market value of the farm.

C. Yes, because the cousin survived the farmer.

D. Yes, because the daughter defaulted in the obligations undertaken by the farmer.

Explanation:

A tenant who **buys back** co-owned property at a **tax sale or foreclosure sale** takes the property **subject to the other co-tenants' interests**. The nonpaying co-tenants then have a **reasonable time to contribute** their share of the purchase price (as determined by their proportionate ownership interests). A co-tenant who fails to do so **forfeits his/her interest** in the property to the purchasing co-tenant.

Here, the dairy farmer and his cousin each owned a one-half interest in the farm as tenants in common. When the farmer died, his daughter acquired his one-half interest in the farm. She failed to pay real estate taxes for two years, and a tax sale was held. At that sale, the cousin bought back the farm. But he will only be the *sole* owner of the farm if the daughter fails to contribute her one-half share of the purchase price.

(Choice B) The daughter need only pay the cousin half of the amount he paid at the tax sale to retain her one-half interest in the farm. The farm's reasonable market value is irrelevant.

(Choice C) The fact that the cousin survived the farmer would have entitled him to sole ownership of the farm had they been joint tenants. That is because a joint tenant's interest disappears upon death and the remaining tenants' interests automatically expand to absorb it (ie, right of survivorship). But tenants in common have no such right.

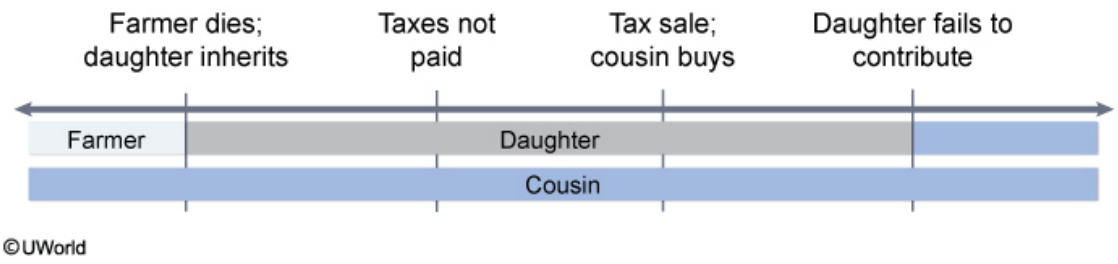
(Choice D) The daughter's default on tax obligations did not terminate her interest in the farm. Instead, her interest in the farm (or forfeiture thereof) depends on whether she pays the cousin her due contribution—half of the purchase price.

Educational objective:

A tenant who buys back co-owned property at a tax or foreclosure sale takes the property subject to the other co-tenants' interests. But the other co-tenants must contribute their proportionate share of the purchase price within a reasonable time to avoid forfeiting their interests to the purchasing co-tenant.

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Six years ago, the owner of an estate in fee simple executed and delivered to his nephew an instrument in the proper form of a warranty deed, purporting to convey his estate to "my nephew and his heirs." At that time, the nephew was a widower who had one child, a daughter.

Three years ago, the nephew executed and delivered to his neighbor an instrument in the proper form of a warranty deed, purporting to convey the estate to "my neighbor." The nephew's daughter did not join in the deed. The neighbor was, and still is, unmarried and childless.

The only possibly applicable statute in the jurisdiction states that any deed will be construed to convey the grantor's entire estate, unless expressly limited.

Last month, the nephew died, never having remarried. His daughter is his only heir.

Who is the owner of the estate?

A. The daughter and neighbor as joint tenants, because both survived the nephew.
B. The daughter and neighbor as tenants in common of equal shares.
C. The daughter, because the nephew's death ended the neighbor's life estate pur autre vie.
D. The neighbor in fee simple pursuant to the nephew's deed.

Explanation:

Ownership in real property is transferred from a grantor (current owner) to a grantee (new owner) through a conveying instrument like a will or deed. A conveying instrument usually contains both:

words of purchase – identifying the new owner (eg, "to my nephew") *and*
words of limitation – identifying the type of estate being conveyed (eg, "and his heirs").

"**And his/her heirs**" are **words of limitation** traditionally used to transfer a **fee simple absolute** (FSA or fee simple)—the most common and broadest form of property ownership. However, these words of limitation are not required since an FSA is presumed by law when no such words are used. And since an FSA conveys title without any conditions, limitations, or accompanying future interests, **no ownership interest** is created **in the grantee's heirs**.

Here, the owner of an FSA conveyed his interest to his nephew by warranty deed. Since the deed used the words of limitation "and his heirs," it conveyed an FSA to the nephew (but created no ownership interest in the daughter/heir). The nephew then conveyed his interest to his neighbor by a warranty deed that lacked words of limitation. Therefore, the neighbor received an FSA and owns the estate without any conditions or limitations.

(Choices A & B) Joint tenancy and tenancy in common are two types of concurrent estates. Concurrent estates are created only when a conveying instrument identifies two or more persons as grantees (not seen here).

(Choice C) A life estate pur autre vie is an ownership interest that lasts for the duration of the life of someone other than the grantee. It is transferred when a conveying instrument states "to A" (words of purchase) "for the life of B" (words of limitation). Since the nephew's warranty deed to the neighbor contained no such language, the neighbor did not receive a life estate pur autre vie.

Educational objective:

A fee simple absolute is the broadest form of property ownership and is transferred when the conveying instrument's words of limitation state "and his/her heirs" OR when no words of limitation are used.

References

Restatement (First) of Property § 14 (Am. Law Inst. 1979) (types of fee simple estates).

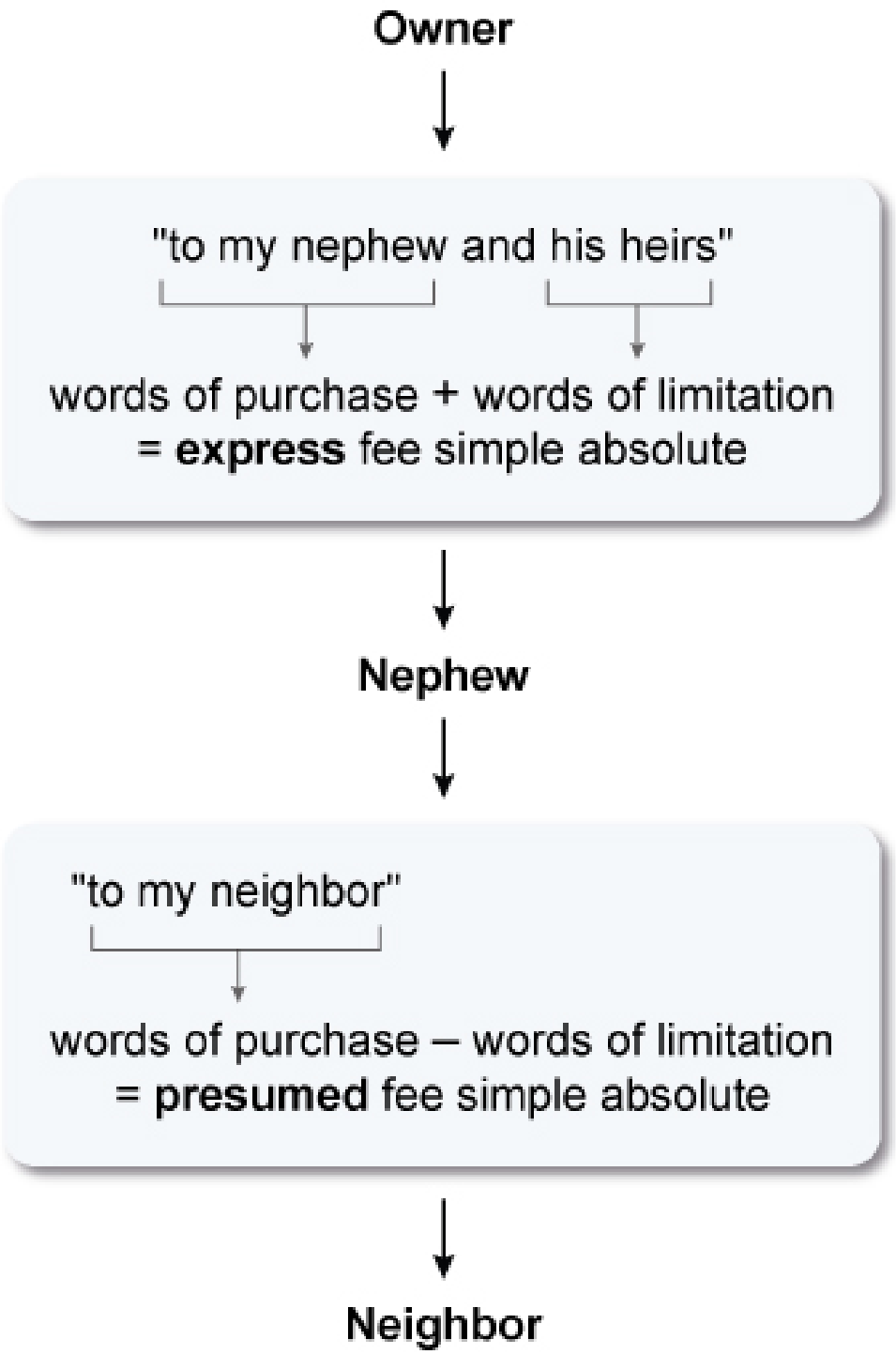
Restatement (First) of Property § 15 (Am. Law Inst. 1979) (estate in fee simple absolute).

Restatement (First) of Property § 39 (Am. Law Inst. 1979) (presumption of fee simple absolute).

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Conveying fee simple absolute



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A man owned a tract of land in fee simple. Five years ago, he executed and delivered to his sister an instrument in the proper form of a warranty deed that conveyed the land to the sister "for and during the term of her natural life." No other estate or interest or person taking an interest was mentioned. The sister took possession of the land and has remained in possession.

Fifteen months ago, the man died, leaving a will that has been duly admitted to probate. The will, inter alia, had the following provision: "I devise the land to my wife for her natural life and from and after my wife's death to my son, his heirs and assigns, forever."

Administration of the man's estate has been completed. The man's wife claims the immediate right to possession of the land. His son also asserts a right to immediate possession.

In an appropriate lawsuit to which the sister, the wife, and the son are parties, who should be adjudged to have the right to immediate possession?

A. The sister, because no subsequent act of the man would affect her life estate.
B. The son, because the sister's estate terminated with the man's death and all that the man had was the right to transfer his reversion in fee simple.
C. The wife, because the man's will was the final and definitive expression of his intent.
D. The wife, because the sister's estate terminated with the death of the man.

Explanation:

Types of life estates

	Words of purchase	Words of limitation	Defining characteristic
Life estate	"To A"	"for life"	Ownership for duration of life of grantee
Life estate	"To A"	"for the life of B"	Ownership for duration of life of person other than grantee
pur autre vie			

A **life estate** is a present possessory estate that terminates on the death of an individual. The **future interest** that follows a life estate is either a remainder (if created in a grantee) or a **reversion** (if **retained by the grantor**). If a grantor conveys a life estate without specifying who holds the future interest, then it is **presumed** that the grantor retains a reversion. This interest is fully transferable during the grantor's lifetime, devisable by will, and inheritable through intestate succession.

Here, the man conveyed a life estate in the land to his sister that would terminate when she died. The conveyance mentioned no other person or interest, so it is presumed that the man retained a reversion entitling him to possession of the land once the sister died. Until that time, however, the most the man could convey was his reversionary interest. Therefore, the man could do nothing that would affect the sister's life estate, and she should be adjudged to have the right to immediate possession of the land **(Choices B, C & D)**.

Educational objective:

If a grantor conveys a life estate without specifying who holds the future interest, the grantor presumptively retains a reversion.

References

Restatement of Property § 107 (Am. Law Inst. 1936) (discussing life estates).

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A landlord and a tenant orally agreed to a commercial tenancy for a term of six months beginning on July 1. Rent was to be paid by the first day of each month, and the tenant paid the first month's rent at the time of the agreement.

When the tenant arrived at the leased premises on July 1, he learned that the previous tenant had not vacated the premises at the end of her lease term on May 31 and did not intend to vacate. The tenant then successfully sued the previous tenant for possession. The tenant did not inform the landlord of the eviction action until after the tenant received possession.

The tenant then sued the landlord, claiming damages for that portion of the lease period during which the tenant was not in possession.

If the court finds for the landlord, what will be the most likely explanation?

A. By suing the previous tenant for possession, the tenant elected that remedy in lieu of a suit against the landlord.
B. The landlord had delivered the legal right of possession to the tenant.
C. The tenant failed to timely vacate as required to sue for constructive eviction.
D. The tenant had not notified the landlord before bringing the eviction action.

Explanation:

Landlord's duty to deliver possession

	Requirements	**Remedies for breach**
English rule (majority)	Deliver *actual* possession to tenant—ie, remove third party who wrongfully possesses property	Withhold rent to acquire possession Seek damages for period not in possession
American rule (minority)	Deliver *legal* possession to tenant—ie, ensure that no third party has right to possess property	Terminate lease

A **landlord** must generally **deliver *actual* possession** of leased premises to the tenant at the start of the lease term—ie, by **removing any third party** who wrongfully possesses the property (eg, a holdover tenant). If the landlord fails to do so, the tenant can recover damages from the landlord for the time when the tenant was not in possession. However, a **minority of jurisdictions** only require a landlord to **deliver *legal* possession**—ie, by ensuring that **no third party** has a **right to possess** the property when the lease term begins.

Here, the landlord leased property to the tenant for six months beginning on July 1. When the tenant arrived at the leased premises on July 1, he learned that the previous tenant had not vacated the premises (ie, the landlord failed to deliver *actual* possession). And since the previous tenant's lease ended on May 31, she was a holdover tenant who had no right to possess the property on July 1. Therefore, the most likely reason for a finding in the landlord's favor is that this court follows the minority rule and the landlord had delivered *legal* possession to the tenant.

(Choices A & D) A tenant does not waive any claim against the landlord by (1) suing a third party (eg, the previous tenant) for possession of the premises or (2) failing to notify the landlord before evicting the third party. As a result, the court will not find for the landlord on either basis.

(Choice C) To sue a landlord for constructive eviction—a landlord's substantial interference with a tenant's permissible use and enjoyment of the property—the tenant must notify the landlord and then vacate the premises within a reasonable time. But a failure to vacate does not prevent a tenant from suing based on the landlord's failure to deliver possession, so the court likely would not find in the landlord's favor on this basis.

Educational objective:

Although a landlord must generally deliver *actual* possession of the leased premises to the tenant at the beginning of the lease term, a minority of jurisdictions only require the landlord to deliver *legal* possession.

References

Restatement (Second) of Prop.: Landlord & Tenant § 6.2 (Am. Law Inst. 1977) (landlord's duty to deliver possession).

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A husband and wife acquired land as common law joint tenants with right of survivorship. One year later, without his wife's knowledge, the husband executed a will devising his interest in the land to his best friend. The husband subsequently died.

Is the wife now the sole owner of the land?

A. No, because a joint tenant has the unilateral right to end a joint tenancy without the consent of the other joint tenant.

B. No, because the wife's interest in the husband's undivided 50% ownership in the land adeemed.

C. Yes, because of the doctrine of after-acquired title, or estoppel by deed.

D. Yes, because the devise to the friend did not sever the joint tenancy.

Explanation:

A **joint tenancy** is a type of concurrent estate in which each co-tenant has an undivided and equal interest in the property with the **right of survivorship**. The right of survivorship means that a joint tenant's **interest disappears upon his/her death** and the **remaining joint tenants' interests** automatically expand to **absorb it**. As a result, although a joint tenant can sever the joint tenancy by conveying his/her interest to another during life (thereby creating a tenancy in common), a joint tenant **cannot devise** his/her interest at death.

Here, the husband and wife were joint tenants with the right of survivorship. Therefore, the husband could not sever the joint tenancy by devising his interest to his best friend. And since the husband and wife's joint tenancy remained intact, the wife absorbed his interest and became the sole owner of the land upon his death.

(Choice A) A tenant can unilaterally end a joint tenancy without the other tenant's consent. But this only occurs when a joint tenancy interest is conveyed during a tenant's lifetime, since a joint tenancy interest cannot be devised upon death.

(Choice B) Ademption is the failure of a gift under a will, often because the testator no longer owns that gift when he/she dies. Here, the best friend's interest in the land (not the wife's) adeemed because the husband's joint tenancy interest disappeared upon his death. Therefore, the husband had no interest to devise to his friend.

(Choice C) The doctrine of after-acquired title (ie, estoppel by deed) applies when a testator acquires title to devised property *after* executing a will. In that case, the property passes under the will so long as the testator still owns the property when he/she dies. This doctrine does not apply here since the husband (testator) owned the land *before* he attempted to devise it to the best friend.

Educational objective:

A joint tenancy includes the right of survivorship, so a joint tenant's interest disappears upon his/her death and the remaining joint tenants' interests automatically expand to absorb it. As a result, a joint tenancy interest cannot be devised.

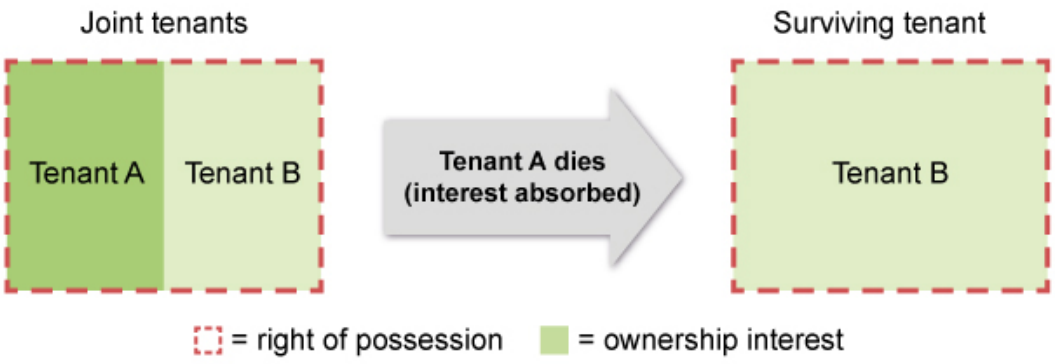
References

20 Am. Jur. 2d Cotenancy and Joint Ownership § 22 (2018) (severance of joint tenancy).

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Joint tenancy with right of survivorship



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A brother and sister owned a large tract of land in fee simple as joint tenants with rights of survivorship. While the sister was on an extended safari in Kenya, the brother learned that there were very valuable coal deposits within the land, but he made no attempt to inform the sister. Thereupon, the brother conveyed his interest in the land to his wife, who immediately reconveyed that interest back to him. The common law joint tenancy is unmodified by statute.

Shortly thereafter, the brother was killed in an automobile accident. His will, which was duly probated, specifically devised his one-half interest in the land to his wife.

The sister then returned from Kenya and learned what had happened.

The sister brought an appropriate action against the wife, who claimed a one-half interest in the land, seeking a declaratory judgment that she, the sister, was the sole owner of the land.

In this action, who should prevail?

A. The sister, because the brother breached his fiduciary duty as joint tenant.
B. The sister, because the joint tenancy was reestablished by the wife's reconveyance to the brother.
C. The wife, because the brother and sister were tenants in common at the time of the brother's death.
D. The wife, because the brother's will severed the joint tenancy.

Explanation:

A **joint tenancy** is a type of concurrent estate in which each co-tenant has an undivided and equal interest in the property with the **right of survivorship**. Under the **common law** (and in most jurisdictions), the creation and continuation of a joint tenancy relies on the coexistence of **four unities** (PITT):

Possession – co-tenants share an equal right to possess or use the property

Interest – co-tenants each have an equal interest in the property

Time – property interests simultaneously vest in all co-tenants

Title – property interests received in same instrument of conveyance

If **any of these unities is lost**, then the noncomplying interest is **severed from the joint tenancy** and **becomes a tenancy in common**.

Here, a brother and sister owned land as joint tenants. When the brother conveyed his interest to his wife, the joint tenancy lost the unities of time (interests vested at different times) and title (interests received in different instruments). Therefore, the conveyed interest was severed from the joint tenancy and converted into a tenancy in common **(Choice D)**. The wife's immediate reconveyance to the brother did not reestablish the joint tenancy since the unities of time and title were still lost **(Choice B)**. Instead, the brother became tenants in common with his sister. And since the brother's interest was devised to his wife upon his death, the wife should prevail.

(Choice A) A fiduciary duty is a legal obligation to act in another's best interest. Joint tenants owe no such duty to each other.

Educational objective:

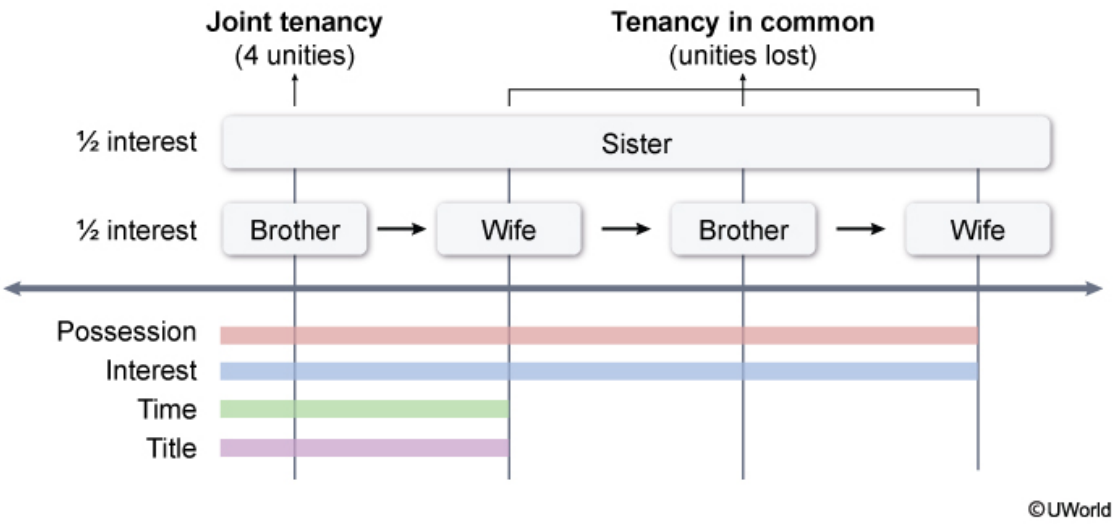
Under the common law, a joint tenancy must satisfy four unities: possession, interest, time, and title (PITT). If any of these unities is broken (eg, when a joint tenant conveys his/her interest), then the noncomplying interest is severed from the joint tenancy and converted to a tenancy in common.

References

20 Am. Jur. 2d Cotenancy and Joint Ownership § 5 (2020) (four unities of a joint tenancy).

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Joint tenancy
(4 unities)
Tenancy in common
(unities lost)
½ interest
Sister
½ interest
Brother
Wife
Brother
Wife
Possession
Interest
Time
Title
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A brother and sister owned property as joint tenants. A two-family house was situated on the property. The brother lived in one of the two apartments and rented the other apartment to a friend. The brother got in a fight with the friend and injured him. The friend obtained and properly filed a judgment for $10,000 against the brother.

The statute in the jurisdiction reads: "Any judgment properly filed shall, for ten years from filing, be a lien on the real property then owned or subsequently acquired by any person against whom the judgment is rendered."

The sister, who lived in a distant city, knew nothing of the friend's judgment. Before the friend took any further action, the brother died. The common law joint tenancy is unmodified by statute. The sister then learned the facts and brought an appropriate action against the friend to quiet title to the property.

Does the friend have an enforceable judgment lien on the property?

A. No, because the brother's death terminated the interest to which the friend's lien attached.

B. No, because the sister had no actual notice of the friend's judgment until after the brother's death.

C. Yes, because the friend was a tenant of both the brother and sister at the time of the judgment.

D. Yes, but only against the brother's undivided one-half interest in the property, because the friend's judgment was filed prior to the brother's death.

Explanation:

A **joint tenancy** is a type of concurrent estate in which each tenant has an equal and undivided interest in the property with the **right of survivorship**. Under the common law (and in most jurisdictions), the creation and continuation of a joint tenancy depends on the **coexistence of four unities** (PITT):

Possession – tenants share an equal right to possess or use the property

Interest – tenants each have an equal interest in the property

Time – property interests simultaneously vest in all tenants

Title – property interests received in the same instrument of conveyance

A **judgment lien** on a joint tenant's interest **does not disrupt** the four unities because it merely secures payment of a money judgment (ie, the tenancy remains intact). But a **forced sale** of the encumbered property (eg, foreclosure) **does sever** the tenancy—and creates a tenancy in common—since the sale disrupts the unities of time and title. However, a joint tenant's property interest disappears upon his/her death and is absorbed by the surviving tenants due to the right of survivorship. Therefore, a judgment lien on the **deceased tenant's property** interest also **disappears** (as seen here).

(Choice B) The sister's notice of the friend's judgment has no bearing on the enforceability of his judgment lien on the brother's property interest.

(Choice C) Although the friend rented the apartment from the brother, he was a tenant of both siblings. But his judgment lien only encumbered the *brother's* property interest and disappeared upon the brother's death.

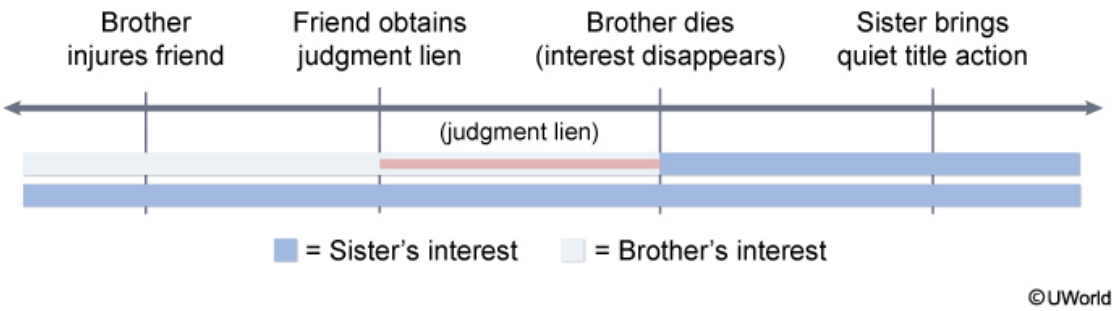
(Choice D) To create an enforceable judgment lien on a debtor's property, the judgment must be filed while the debtor owns that property. Therefore, the friend obtained an enforceable lien on the brother's one-half interest by filing the judgment before the brother's death. But the lien disappeared when the brother died.

Educational objective:

Under a joint tenancy, a deceased tenant's property interest disappears and is absorbed by the surviving tenants due to the right of survivorship. As a result, a judgment lien on the deceased tenant's interest also disappears.

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Brother injures friend
Friend obtains judgment lien
Brother dies (interest disappears)
Sister brings quiet title action
(judgment lien)
= Sister's interest
= Brother's interest

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A man owned adjoining lots (Lot 1 and Lot 2) in fee simple. He built a house in which he took up residence on Lot 1. Thereafter, he built a house on Lot 2, which he sold, house and lot, to his brother. Consistent with the contract of sale and purchase, a valid deed conveying Lot 2 from the man to the brother contained the following clause:

"In the event my brother, his heirs or assigns, decide to sell the property hereby conveyed and obtain a purchaser ready, willing, and able to purchase Lot 2 and the improvements thereon on terms and conditions acceptable to my brother, said Lot 2 and improvements shall be offered to me, my heirs or assigns, on the same terms and conditions. I, my heirs or assigns, as the case may be, shall have ten days from said offer to accept said offer and thereby to exercise said option."

Three years after delivery and recording of the deed and payment of the purchase price, the brother became ill and moved to a climate more compatible with his health. The brother's daughter orally offered to purchase the premises from him at its then fair market value. The brother declined his daughter's offer but instead deeded Lot 2 to his daughter as a gift.

Immediately thereafter, the daughter sold Lot 2 to her friend at the then fair market value of Lot 2. The sale was completed by the delivery of deed and payment of the purchase price. At no time did the brother or his daughter offer to sell Lot 2 to the man.

The man learned of the conveyance to the daughter and the sale to the friend one week after the conveyance of Lot 2 from the daughter to the friend. The man promptly brought an appropriate action against the friend to enforce rights created in him by the deed of the man to the brother. The man tendered the amount paid by the friend into the court for whatever disposition the court deemed proper.

The common-law Rule Against Perpetuities is unmodified by statute.

Which of the following will determine whether the man will prevail?

A. The parol evidence rule only.
B. The parol evidence rule and the Rule Against Perpetuities.
C. The Rule Against Perpetuities only.
D. The statute of frauds and the type of recording statute of the jurisdiction in question.

Explanation:

The **Rule Against Perpetuities** (RAP) applies only to **contingent future interests**—ie, future interests that are held by unknown/unborn persons or subject to a condition precedent. A **right of first refusal** is a contractual right to purchase property before any other person *if* the owner later decides to sell, so it must comply with RAP.

Under the common-law RAP, a contingent future interest is **void *ab initio*** (ie, from the beginning) if there is any possibility that it could **vest more than 21 years after** some relevant **life in being** at the creation of the interest. Therefore, a right of first refusal almost always violates RAP if the conveying instrument **does not provide** a **termination date*** that falls **within the perpetuities period**.

Here, there is no termination date for the man's right of first refusal. As a result, it is possible that the right of first refusal may not vest until *after* the perpetuities period—ie, more than 21 years after the man and brother have died. Since this RAP violation renders the man's right of first refusal invalid, RAP determines whether he will prevail in this action.

*A termination date can be set by a temporal limitation (eg, calendar date) or by reference to a life in being (eg, within 21 years of grantee's death).

(Choices A & B) The parol evidence rule generally bars evidence of a prior agreement to modify or contradict the terms of a final written agreement. But here, the man is seeking to enforce not a prior agreement but the purchase option specified in the deed.

(Choice D) The statute of frauds renders certain contracts, including contracts for the sale of land, unenforceable unless they are in writing and signed by the party against whom enforcement is sought. Additionally, recording statutes protect earlier-recorded property interests against subsequent purchasers. But neither will protect the man's contingent future interest from being invalidated by RAP.

Educational objective:

The Rule Against Perpetuities applies to contingent future interests, including a right of first refusal. This contractual right violates RAP if it is not set to terminate within 21 years after some relevant life in being at the creation of the interest.

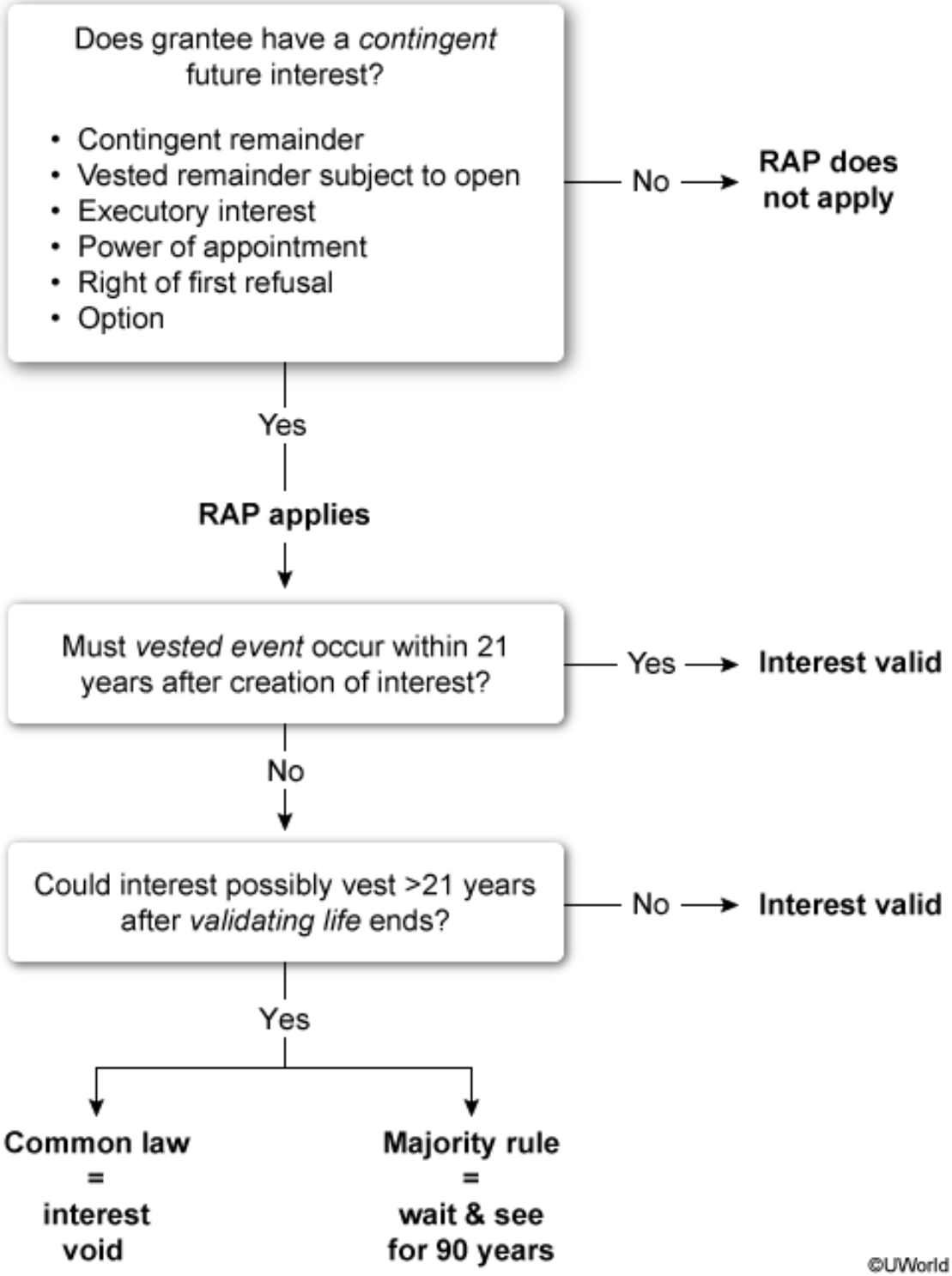
References

61 Am. Jur. 2d Perpetuities and Restraints on Alienation § 5 (2020) (Rule Against Perpetuities).

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Rule against perpetuities (RAP)



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By warranty deed, a woman conveyed her property to her two closest friends "as joint tenants with right of survivorship." The two friends are not related. The first friend conveyed all her interest to her son by warranty deed and subsequently died intestate. Thereafter, the second friend conveyed all her interest to her husband by warranty deed. There is no applicable statute, and the jurisdiction recognizes the common law joint tenancy.

Who owns title to the property?

A. The husband.

B. The husband and the heirs of the first friend.

C. The husband and the son.

D. The woman.

Explanation:

Concurrent estates

(property shared by two or more persons)

Type	Attributes	Transferability
Tenancy in common	Separate & possibly unequal shares of property Equal right to possess entire property No right of survivorship	Alienable during life Devisable Inheritable
Joint tenancy	Undivided & equal shares of property* Equal right to possess entire property Right of survivorship	Alienable during life (but severs tenancy)
Tenancy by entirety	Joint tenancy between married persons	Alienable with spouse's consent

*Some jurisdictions permit joint tenants to own unequal interests.

A **joint tenancy** is a type of concurrent estate in which each co-tenant has an undivided and equal interest in the property with the **right of survivorship**. A lifetime transfer of a joint tenant's interest severs that interest from the joint tenancy relationship, and it becomes a tenancy-in-common ownership interest.

Here, the two friends owned the property as joint tenants with the right of survivorship. The first friend conveyed her property interest to her son during her lifetime. This converted the joint tenancy into a tenancy in common between the son and the second friend. The second friend then conveyed her property interest (tenancy in common) to her husband. Therefore, the husband and the son own title as tenants in common **(Choices A & D)**.

(Choice B) Since the first friend conveyed her property interest to her son, her heirs had no property interest to inherit upon her death. But even if that conveyance had not been made (ie, had the joint tenancy continued), the first friend's property interest would have gone to the second friend—the surviving co-tenant. And the second friend's subsequent conveyance to her husband would have given him exclusive ownership of the property.

Educational objective:

A lifetime transfer of a joint tenant's interest severs that interest from the joint tenancy relationship, and it becomes a tenancy-in-common ownership interest.

References

20 Am. Jur. 2d Cotenancy and Joint Ownership § 22 (2018) (severance of joint tenancy).

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An organic farm was conveyed to a married couple, a chef and a restaurant manager, by a deed that created a co-tenancy in equal shares with the right of survivorship.

The chef later informed the restaurant manager that he intended to convey his "undivided one-half interest in the farm" to his sister. The restaurant manager objected to the conveyance but the chef nevertheless conveyed his interest in the farm to the sister by deed. The chef has since died.

In an action between the sister and the restaurant manager to determine title to the farm, who will prevail?

A. The restaurant manager, because she is the sole owner of the farm.
B. The restaurant manager, but only if the jurisdiction recognizes tenancies by the entirety.
C. The sister, because the chef and the restaurant manager had a tenancy in common.
D. The sister, because the restaurant manager knew of the conveyance prior to the chef's death.

Explanation:

There are three types of concurrent estates (ie, cotenancies):

Tenancy in common – a tenancy in which each co-tenant has a separate and possibly unequal interest in the property with **no** right of survivorship

Joint tenancy – a tenancy in which each co-tenant has an undivided and equal interest in the property with the **right of survivorship**

Tenancy by the entirety – a **joint tenancy** between **married persons**

Here, the conveyance to the chef and restaurant manager created a co-tenancy in equal shares *with* the right of survivorship. Therefore, they received either a joint tenancy or a tenancy by the entirety—not a tenancy in common **(Choice C)**.

Joint tenancies and tenancies by the entirety are **not devisable** (by will) **or inheritable** (by intestate succession). And only a **joint tenancy** interest can be **conveyed during a tenant's lifetime** without the other tenant's consent. As a result, the outcome of this dispute depends on which tenancy the chef and restaurant manager received:

joint tenancy – in which case the chef's lifetime conveyance to the sister would have severed the joint tenancy and created a *tenancy in common* between the sister and restaurant manager *or*

tenancy by the entirety* – in which case the conveyance to the sister would have failed, and the restaurant manager would have acquired *complete ownership* of the farm upon the chef's death

This means that the restaurant manager would be the sole owner of the farm, and therefore prevail, only *if* the chef and restaurant manager had a tenancy by the entirety **(Choice A)**.

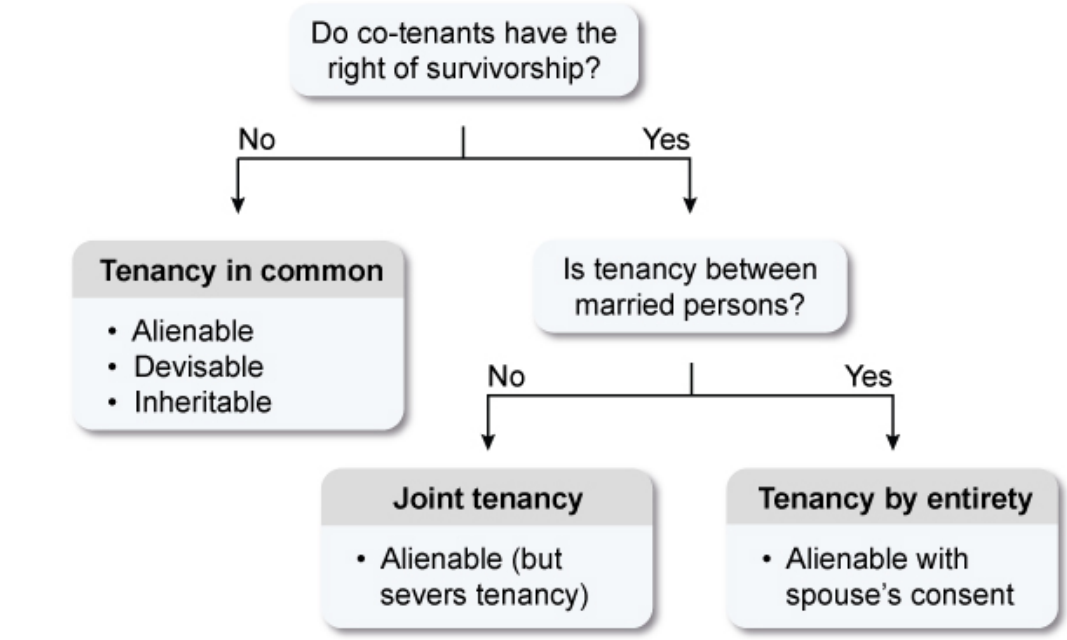
*A tenancy by the entirety is recognized in about half of the jurisdictions.

(Choice D) The restaurant manager's *knowledge* has no effect on the validity of the chef's conveyance. But the restaurant manager's *consent* would matter if the chef and restaurant manager had received a tenancy by the entirety, since neither tenant could convey the property without the other's consent.

Educational objective:

Both joint tenancies and tenancies by the entirety have survivorship rights, so they are not devisable or inheritable. But joint tenancies—unlike tenancies by the entirety—are transferrable during a tenant's lifetime without the other tenant's consent.

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Do co-tenants have the right of survivorship?
No
Yes
Tenancy in common
• Alienable
• Devisable
• Inheritable
Is tenancy between married persons?
No
Yes
Joint tenancy
• Alienable (but severs tenancy)
Tenancy by entirety
• Alienable with spouse's consent

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A landlord leased an apartment to a tenant by written lease for two years ending on the last day of a recent month. The lease provided for $700 in monthly rent. The tenant occupied the apartment and paid the rent for the first 15 months of the lease term, until he moved to another city to take a new job. Without consulting the landlord, the tenant moved a friend into the apartment and signed an informal writing transferring to the friend his "lease rights" for the remaining nine months of the lease. The friend made the next four monthly $700 rent payments to the landlord. For the final five months of the lease term, no rent was paid by anyone, and the friend moved out with three months left of the lease term. The landlord was on an extended trip abroad, and did not learn of the default and the vacancy until the end of the lease term.

The landlord has sued the tenant and the friend, jointly and severally, for $3,500 for the last five months' rent.

What is the likely outcome of the lawsuit?

A. Both the tenant and the friend are liable for the full $3,500, because the tenant is liable based on privity of contract and the friend is liable based on privity of estate as an assignee.

B. The friend is liable for $1,400 based on privity of estate, which lasted only until he vacated, and the tenant is liable for $2,100 based on privity of contract and estate for the period after the friend vacated.

C. The tenant is liable for $3,500 based on privity of contract, and the friend is not liable, because a sublessee does not have personal liability to the original landlord.

D. The friend is liable for $3,500 based on privity of estate, and the tenant is not liable, because the landlord's failure to object to the friend's payment of rent relieved the tenant of liability.

Explanation:

A landlord and tenant have a legal relationship based on both:

privity of contract – their shared interest in the lease agreement *and*

privity of estate – their successive right to possess the property (ie, the tenant's current right of possession is immediately followed by the landlord's future right of possession).

Unless the lease states otherwise, either party can freely transfer his/her interest under the lease. **Assignment** is a **complete transfer** of a tenant's interest to a third party (assignee) **for the remainder** of the tenant's lease term (as seen here), so:

the original **tenant retains privity of contract** due to the lease *and*

the **assignee gains privity of estate** since the landlord's right of possession now follows the assignee's.

Because of this privity, the original tenant and the assignee are **jointly and severally liable** for the landlord's **entire harm** arising from a breach of the lease (eg, failure to pay rent). Therefore, the tenant *and* the friend are liable for the landlord's entire harm ($3,500).

(Choice B) The friend's privity of estate did not terminate when he vacated the property—it lasted until the end of the lease term since that was the friend's assigned interest. And though the tenant lacked privity of estate, he retained privity of contract with the landlord—even after the friend vacated. Therefore, both are liable for the full $3,500.

(Choice C) A sublease is a partial transfer of a tenant's interest to a third party (sublessee) for less than the remainder of the lease term. A sublessee is not personally liable to the landlord since (1) no lease agreement exists between them (no privity of contract) and (2) the tenant will regain possession before the landlord (no privity of estate). But since the friend was an assignee, he *is* jointly and severally liable to the landlord.

(Choice D) A tenant is relieved of liability following assignment when the landlord *expressly* releases the tenant from the lease (eg, letter stating that tenant has no lease obligations). An *implied* release (eg, the landlord's failure to object to the friend's payment of rent) is insufficient.

Educational objective:

Assignment is a transfer of a tenant's entire interest to a third party (assignee) for the remainder of the lease term. The tenant (through privity of contract) and the assignee (through privity of estate) are jointly and severally liable for the landlord's entire harm arising from a breach of the lease.

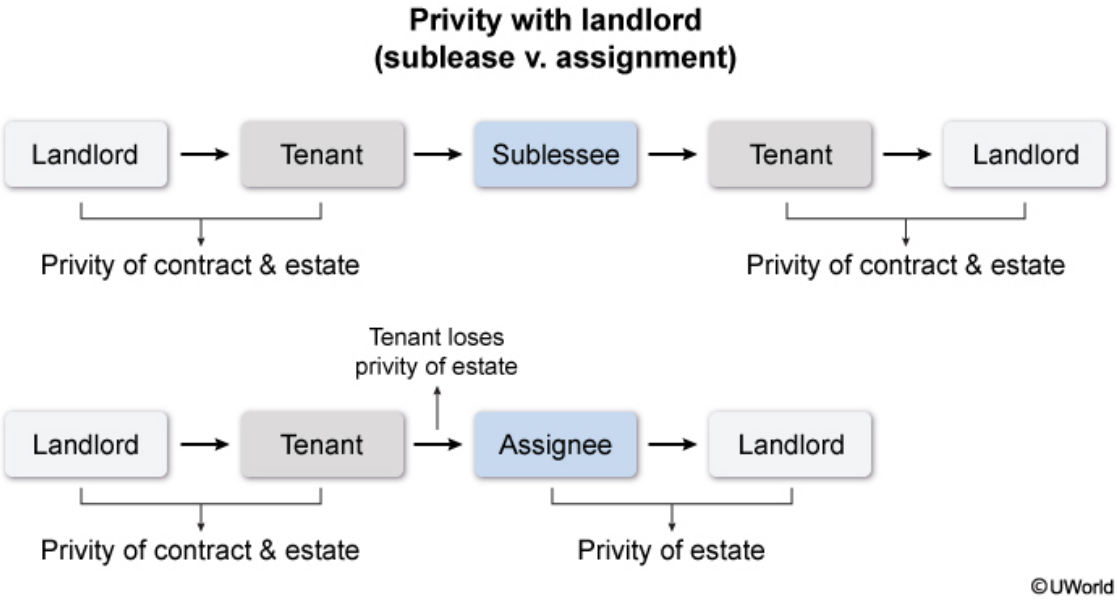
References

Restatement (Second) of Property: Landlord & Tenant § 15.1 (Am. Law Inst. 1977) (right to transfer lease interest).

Restatement (Second) of Property: Landlord & Tenant § 16.1 (Am. Law Inst. 1977) (joint and several liability based on privity of contract and privity of estate).

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A man owned a tract of land in fee simple. By warranty deed he conveyed the land to his brother for life "and from and after the death of my brother to my sister, her heirs and assigns."

Subsequently the sister died, devising all of her estate to a friend. The sister was survived by a daughter, her sole heir-at-law.

Shortly thereafter the brother died, survived by the man, the friend, and the daughter.

Title to the land now is in whom?

A. Either the man or the daughter, depending upon whether the destructibility of contingent remainders is recognized in the applicable jurisdiction.
B. The daughter, because she is the sister's heir.
C. The friend, because the vested remainder in the sister was transmitted by her will.
D. The man, because the contingent remainder never vested and the man's reversion was entitled to possession immediately upon the brother's death.

Explanation:

A life estate is a present possessory estate that terminates upon the death of an individual. This estate is **followed by** either a reversion (if retained by the grantor) or a **remainder** (if created in a grantee). Remainders are fully transferable inter vivos, devisable by will, and descendible by inheritance. This is true in most jurisdictions* regardless of whether the remainder is:

vested – ***not*** **subject to** any **conditions precedent** AND held by an **identifiable living person** (eg, "then to my sister, her heirs and assigns") *or*

contingent – ***is*** **subject to** an express **condition precedent** (other than the natural termination of the prior estate) OR held by an **unknown or unborn person** (eg, "then to my neighbor, but only if…").

Here, the man conveyed his fee simple estate to his brother for life, which then passed to his sister *unconditionally* when the brother died. The sister's *vested* remainder was devisable, so it passed to the friend after the sister died—leaving no interest in the property for the daughter to inherit **(Choice B)**. Therefore, title to the land is now in the friend.

*At common law and in a minority of jurisdictions, contingent remainders cannot be transferred inter vivos.

(Choice A) The doctrine of destructibility of contingent remainders provides that a remainder will be destroyed if it has not vested at the time the preceding interest ends. Here, the sister's remainder was vested, so this doctrine does not apply.

(Choice D) Had the sister received a *contingent* remainder that had not vested by the time the preceding estate (brother's life estate) had terminated, the grantor's (man's) reversion would have become immediately possessory upon the brother's death.

Educational objective:

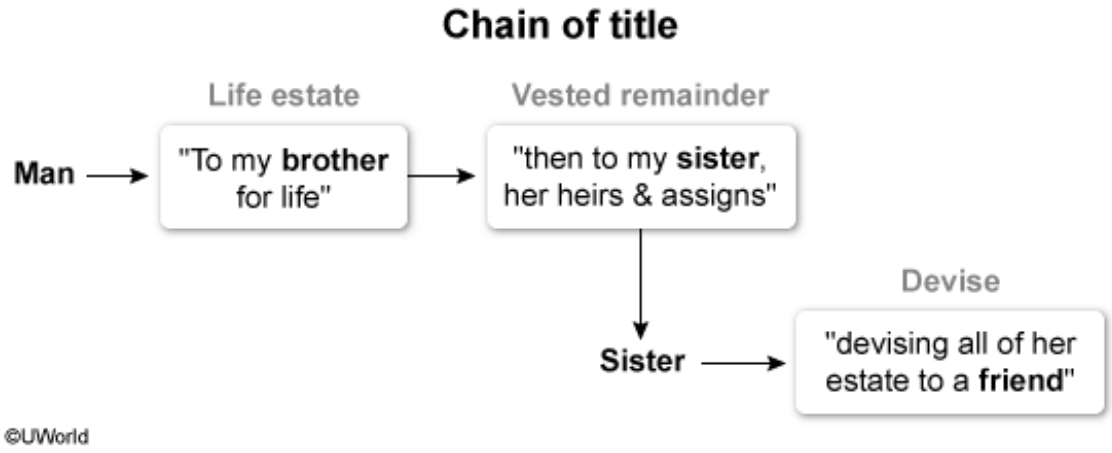
Remainders are either vested (ie, not subject to conditions precedent and held by an identifiable living person) OR contingent (ie, subject to conditions precedent or held by an unknown or unborn person). Both are transferrable, devisable, and descendible.

References

Restatement of Property §§ 162, 164–65 (Am. Law Inst. 1936) (transferability of remainders).

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Chain of title
Life estate
Vested remainder
Man
"To my brother for life"
"then to my sister, her heirs & assigns"
Devise
Sister
"devising all of her estate to a friend"
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In the most recent deed in the chain of title to a tract of land, a man conveyed the land as follows: "To my niece and her heirs and assigns in fee simple until my niece's daughter marries, and then to my niece's daughter and her heirs and assigns in fee simple."

There is no applicable statute, and the common law Rule Against Perpetuities has not been modified in the jurisdiction.

Which of the following is the most accurate statement concerning the title to the land?

A. The niece has a defeasible fee simple determinable and the daughter has an executory interest.
B. The niece has a fee simple and the daughter has no interest, because after the grant of a fee simple there can be no gift over.
C. The niece has a fee simple and the daughter has no interest, because she might not marry within 21 years after the date of the deed.
D. The niece has a life estate and the daughter has a contingent remainder.

Explanation:

Fee simple estates

Type		**Language**	**Future interest**
Indefeasible	**Fee simple absolute**	"To A" "To A and his heirs"	None
Defeasible	**Fee simple determinable**	Durational "so long as" "during" "until"	*Grantor's* possibility of reverter *Third party's* executory interest (**fee simple subject to executory limitation**)
	Fee simple subject to condition subsequent	Conditional "but if" "provided that" "unless"	*Grantor's* right of entry

Defeasible fees are fee simple estates that may be terminated by the occurrence of a stated event. One type of defeasible fee is a **fee simple determinable** (FSD), which is created with **durational language** (eg, "to my niece *until* my niece's daughter marries"). The **future interest** that follows an FSD is either:

a **possibility of reverter** – in which case, the estate automatically reverts back to the **grantor** when the stated event occurs (presumed if not expressly stated) *or*

an **executory interest** – in which case, the estate automatically passes to a **third party** (grantee) when the stated event occurs (eg, "then to my niece's daughter").

Therefore, pursuant to the man's conveyance, the niece has a defeasible fee simple determinable and the daughter holds an executory interest **(Choices B & D)**.

(Choice C) The Rule Against Perpetuities (RAP) renders a future interest void if there is any possibility that it could vest more than 21 years after the death of some relevant person alive when the interest was created. But here, the daughter's executory interest does *not* violate RAP because she will marry (or not) within her own lifetime.

Educational objective:

A fee simple determinable (FSD) is a type of defeasible fee that is created with durational language. FSDs can be followed by a *grantor's* possibility of reverter OR a *third party's* executory interest.

References

Restatement of Property §§ 44, 47 (Am. Law Inst. 1936) (discussing the fee simple determinable and fee simple determinable subject to executory limitation).

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A landlord and a tenant entered into a valid written agreement to lease a single-family residence for a period of one year at $1,200 per month. Among the provisions in the agreement was a waiver of the implied warranty of habitability. Two months into the lease, the electricity stopped working through no fault of the tenant. The tenant notified the landlord, but after one week, the landlord had done nothing to remedy the problem. When the next month's rent came due, the tenant refused to pay it because the landlord had still not fixed the electricity. The landlord has filed an action for breach of contract against the tenant for failure to pay rent.

Who is likely to prevail?

A. The landlord, because the tenant waived the implied warranty of habitability in the lease.

B. The landlord, because there is no duty to repair under a residential lease.

C. The tenant, because the landlord's failure to repair the electricity violated the implied covenant of quiet enjoyment.

D. The tenant, because the tenant notified the landlord of the problem and gave him a reasonable opportunity to correct it.

Explanation:

Landlord's duty to repair leased premises

Type of lease	Common law	Majority rule
Residential	No duty to repair unless statute or contract requires	Duty to repair substantial defects under implied warranty of habitability
Commercial	No duty to make ordinary repairs unless statute or contract requires	

In most jurisdictions, **landlords** of leased **residential properties** have a **duty to repair substantial defects** that are not caused by the tenant. Failure to make such repairs **violates** the **implied warranty of habitability**, which ensures that residential properties satisfy basic safety and living conditions. If the warranty is violated, the **tenant may**:

refuse to pay rent until the necessary repairs are made
remedy the defect and offset those costs against the rent *or*
defend against eviction (eg, by asserting constructive eviction).
However, the tenant must **notify the landlord** of the problem AND give the landlord a **reasonable opportunity to correct it** before exercising these remedies.

Here, the electricity in the leased residence stopped working two months into the lease through no fault of the tenant. The tenant notified the landlord of this defect and gave him one week, a reasonable opportunity, to correct the problem. The landlord did nothing. Therefore, the tenant was entitled to withhold rent and is likely to prevail in this breach-of-contract action.

(Choice A) The implied warranty of habitability cannot be waived by a tenant, either by express language in the lease or by taking possession of the property with knowledge of the conditions.

(Choice B) At common law, a landlord had no implied duty to make repairs under a residential lease. However, landlords *do* have an implied duty to repair in most jurisdictions today.

(Choice C) The implied covenant of quiet enjoyment is a promise by the landlord not to interfere with the tenant's possession of the leased premises. Here, the landlord did not violate this covenant since the failure to repair the electricity did not interfere with the tenant's right to possess the leased residence.

Educational objective:

In most jurisdictions, a residential landlord must repair substantial defects not caused by the tenant. Breach of this duty violates the implied warranty of habitability and allows the

tenant to withhold rent, remedy the defect and offset the costs, or defend against eviction—if the landlord had a reasonable opportunity to correct the defect after notice.

References

Restatement (Second) of Property: Landlord & Tenant § 5.5 (Am. Law Inst. 1977) (landlord's duty to repair).

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A man owned in fee simple Lots 1 and 2 in an urban subdivision. The lots were vacant and unproductive. They were held as a speculation that their value would increase. The man died and, by his duly probated will, devised the residue of his estate (of which Lots 1 and 2 were part) to his wife for life with remainder in fee simple to his sister. The man's executor distributed the estate under appropriate court order and notified the wife that future real estate taxes on Lots 1 and 2 were her responsibility to pay.

Except for the statutes relating to probate and those relating to real estate taxes, there is no applicable statute.

The wife left the lots vacant and did not pay the real estate taxes due for Lots 1 and 2. To prevent a tax sale of the fee simple, the sister paid the taxes and demanded that the wife reimburse her for same. When the wife refused, the sister brought an appropriate action against the wife to recover the amount paid.

In such action, what should the sister recover?

A. Nothing, because the wife never received any income from the lots.
B. Nothing, because the wife's sole possession gave the right to decide whether or not taxes should be paid.
C. The amount paid, because a life tenant has the duty to pay current charges.
D. The present value of the interest that the amount paid would earn during the wife's lifetime.

Explanation:

Life tenant's duties

Duty to pay current charges	Life tenant must pay all current charges due during life tenancy (eg, property taxes, mortgage interest) up to financial benefit received from property
Duty to prevent waste	Life tenant must prevent affirmative waste (ie, voluntary waste), permissive waste & ameliorative waste
Duty to make ordinary repairs	Life tenant must make reasonable repairs to preserve property

The **holder of a life estate** (ie, the life tenant) has a **duty to pay current charges** on the land that become due during the life tenancy (eg, property taxes, mortgage interest). But this duty is **limited to the financial benefit** that the life tenant receives from the property. Therefore, there is **no duty** to pay these charges if the life tenant is ***not*** **in possession** of the property and **does *not* receive rent** or other income from the property.

Here, the man's wife received a life estate ("to his wife for life") and the remainder was owned by his sister ("remainder in fee simple to his sister"). Although a life tenant generally has the duty to pay real estate taxes, the lots were left vacant and unproductive. As a result, the wife received no financial benefit from the lots and had no duty to pay the real estate taxes. The sister should therefore recover nothing.

(Choice B) The wife's duty to pay taxes depends on the financial benefit she received from the land, not merely her possession of it.

(Choices C & D) Had the wife been obligated to pay the real estate taxes, the sister could have recovered the amount paid and possibly the interest that accrued during the repayment period (but not during the wife's lifetime).

Educational objective:

A life tenant's duty to pay current charges on the land is limited to the financial benefit that the life tenant receives from the property. Therefore, this duty is not owed if the life tenant is not in possession of and receives no income from the property.

References

Restatement (First) of Property §§ 129–130 (Am. Law Inst. 1936) (duty to pay current charges).

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A worker took a temporary job of unknown duration in a distant state. The worker entered into a written agreement to rent a room in that state on a weekly basis, with the weekly period to start on Sunday and a weekly rent of $350, reflecting a per-day rental rate of $50, to be paid at the end of the week on Saturday. The worker occupied the room and paid the rent for several months before learning on a Tuesday that his job would be finished the following day. That same Tuesday evening, the worker gave an oral notice of termination to the landlord.

There is no applicable statute.

Assuming that the landlord is unable to find someone else to rent the room, how much rent is the worker obligated to pay?

A. $150, because the worker's notice would terminate the lease immediately.

B. $350, because the worker's notice would terminate the lease at the end of the current period, on Saturday.

C. $500, because the worker's notice would terminate the lease seven days after notice was provided, on the following Tuesday.

D. $700, because the worker's notice would terminate the lease at the end of the next full period, on the following Saturday.

Explanation:

Types of tenancies

(leases on land)

Type	Creation	Duration	Termination
Term of years	Agreement (ie, lease)	Fixed period (eg, one month, three years)	End of term (automatic) Breach of certain covenants (eg, rent, habitability)
Periodic tenancy	Agreement Presumed when lease has no specified termination date Operation of law (eg, holdover tenant)	Periodically renews until terminated	End of period (proper notice) Breach of certain covenants
Tenancy at will	Agreement Implied when person allowed to possess premises without paying rent	Indefinite period	At any time (reasonable notice)
Tenancy at sufferance	Implied when tenant keeps possession after lease expires (ie, holdover tenancy)	Continues until terminated	Landlord evicts Tenant vacates Landlord accepts rent (forms periodic tenancy)

A **periodic tenancy** lasts for a set period of time and then automatically renews at the end of each period (eg, on a weekly basis). Either party can **terminate** this tenancy at the end of a full period by giving the other party notice before that period begins. This means that **notice given during the current period** is **effective to terminate** the tenancy on the **last day of the following period**.

Here, the worker rented the room on a weekly basis (periodic tenancy), with the weekly period to start on Sunday. The worker gave an oral notice of termination to the landlord on a Tuesday evening, which was effective to terminate the worker's tenancy at the end of the next full period—the Saturday of the *following* week.* As a result, the worker is obligated to pay rent for the current week and the following week ($350 + $350), or a total of $700.

*An oral notice of termination is sufficient under the common law to terminate a periodic tenancy. However, most jurisdictions have enacted statutes that require some form of written notice (not seen here).

(Choice A) $150 represents the amount of rent that the worker would have been obligated to pay if his termination notice had ended the tenancy *immediately*. That is because the worker had occupied the room for the first three days of the week (Sunday through Tuesday), and the per-day portion of the weekly rent is $50.

(Choice B) $350 represents the amount of rent the worker would have been obligated to pay if his termination notice had been effective at the *end of the current term*.

(Choice C) $500 represents the amount of rent that the worker would have owed if his termination notice had ended the tenancy after the *length of a period*. This amount includes the $150 ($50 × 3) for Sunday through Tuesday and $350 for the seven days after notice was given.

Educational objective:

Either party can terminate a periodic (eg, week-to-week) tenancy at the end of a full period by giving the other party notice before the period begins. This means that notice given during the current period is effective to terminate the tenancy on the last day of the following period.

References

Restatement (Second) of Property: Landlord & Tenant § 1.5 (Am. Law Inst. 1977) (periodic tenancy).

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A widow created a testamentary trust to which she devised real property that was rented under a long-term lease. The trust was to pay the income from the trust to the widow's son for life and then accumulate the income from the trust until the son's first-born child reached 30 years of age, at which time the trust property was to be distributed to that child. Neither the will nor the trust contained any specific provision for distribution of the trust property if the son's first-born child were to die before reaching the age of 30. At the time of the widow's death, the widow's son had no children. Subsequently, the son had a child.

The son has recently died. His only child is now five years old. The trustee has sought a judicial ruling as to what to do with the trust property.

The applicable jurisdiction continues to follow the common law Rule Against Perpetuities but modifies it in accord with the *cy pres* doctrine.

If the court determines that the trust violates the Rule Against Perpetuities, what should the court order the trustee to do?

A. Maintain the trust under its existing terms, because the *cy pres* doctrine allows the trust to continue under its existing terms despite violating the Rule Against Perpetuities.

B. Maintain the trust until the child either lives for another 21 years or dies, because the *cy pres* doctrine allows the trust to be reformed as close as possible to the grantor's intent.

C. Terminate the trust, because the child's interest in the trust violates the Rule Against Perpetuities and cannot be saved under the *cy pres* doctrine.

D. Terminate the trust, because the child's interest in the trust violates the Rule Against Perpetuities and the *cy pres* doctrine applies only to charitable gifts.

Explanation:

Rule Against Perpetuities (RAP)

Traditional common law rule	Renders contingent future interests void if they *could* vest more than 21 years after some life in being when interest was created: Contingent remainders Executory interests Vested remainders subject to open Powers of appointment Rights of first refusal Options
Reforms	"Wait & see" stance (most jurisdictions) – otherwise invalid interest is valid if it vests within 90 years of its creation *Cy pres* doctrine (few jurisdictions) – otherwise invalid interest will be reformed to come "as close as possible" to grantor's intent without violating RAP

The **Rule Against Perpetuities** (RAP) applies to **contingent future interests in grantees**, where the grantee is unascertained or there is a condition precedent to the interest becoming vested. RAP renders these interests **void if** they **could vest** more than 21 years after the end of **some life in being** when the interest was created. Here, the child's future interest in the trust is subject to RAP because it is contingent upon the child's reaching 30 years of age. And it violates RAP because the 5-year-old child cannot turn 30 within 21 years of the son's death.

However, this jurisdiction applies the ***cy pres* doctrine** to interests that violate RAP. This doctrine allows a court to make changes to a conveyance to come "**as close as possible**" to the **grantor's actual intent** without violating RAP **(Choice C)**. Here, the widow did not provide for an alternative taker in the event that the child's interest failed, so her intent was to save the child's interest in the trust if possible. Therefore, the court should change the age contingency and order the trustee to maintain the trust until the child lives for another 21 years (or dies).

(Choice A) The *cy pres* doctrine allows courts to reform a conveyance to prevent it from violating RAP, but it does not allow a trust that violated RAP to continue under its existing terms.

(Choice D) While the *cy pres* doctrine was created by courts to save charitable gifts, it can also be applied when RAP would void a contingent future interest in a noncharitable grantee (as seen here).

Educational objective:

In a few jurisdictions, the *cy pres* doctrine allows a court to reform a conveyance to come as close as possible to the grantor's intent while staying within the bounds of the Rule Against Perpetuities—eg, by reducing the time limit for a future interest to vest to 21 years after the end of the last life in being when the interest was created.

References

Restatement (Second) of Property: Donative Transfers § 1.5 (Am. Law Inst. 1983) (applying cy pres principles to reform interests that would otherwise fail under the Rule Against Perpetuities).

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A woman died testate. In her will, she devised a farm she owned to her husband for life, remainder to her niece. Her will did not specify the duties of the husband and the niece with regard to maintenance and expenses related to the farm. The husband took sole possession of the farm, did not farm the land, and did not rent the land to a third person, although the fair rental value was substantial.

For two years in a row after the woman died, the county assessor sent the tax bills to the niece. However, the niece did not pay the bills, because she and the husband could not agree on who should pay them. Finally, the niece paid the taxes to avoid a tax foreclosure sale.

The niece then sued the husband for reimbursement for the two years' worth of property taxes.

There is no applicable statute.

Is the niece likely to prevail?

A. No, because remaindermen are solely responsible for the payment of property taxes.

B. No, because the county assessor sent the bills to the niece.

C. No, because the woman's will was silent on responsibility for payment of property taxes.

D. Yes, because the niece paid an obligation that was the sole responsibility of the husband.

Explanation:

Life tenant's duties

Duty to pay current charges	Life tenant must pay all current charges due during life tenancy (eg, property taxes, mortgage interest) up to financial benefit received from property
Duty to prevent waste	Life tenant must prevent affirmative waste (ie, voluntary waste), permissive waste & ameliorative waste
Duty to make ordinary repairs	Life tenant must make reasonable repairs to preserve property

The holder of a life estate (ie, the **life tenant**) has a **duty to pay current charges**—eg, property taxes and mortgage interest—unless the document creating the life estate provides otherwise. This duty is limited to the amount of income that can be generated from the land. If the holder of the remainder (ie, the **remainderman**) pays the current property charges instead, then the remainderman is **entitled to reimbursement** from the life tenant.

Here, the woman's will granted the husband a life estate but was silent regarding the duty to pay current charges. Therefore, the husband (life tenant) had a duty to pay those charges—including the property taxes—up to the amount of income the farm could generate. Because the farm's fair rental value was substantial, the husband was obligated to pay all the property taxes. But since the niece (remainderman) ultimately paid those taxes, she is entitled to reimbursement from the husband.

(Choices A & C) Life tenants—not remaindermen—are solely responsible for all current charges unless the document creating the life estate provides otherwise. Here, the woman's will was silent on the matter, so the property taxes were the husband's sole responsibility.

(Choice B) The fact that the county assessor sent the tax bills to the niece has no effect on the husband's obligation to pay or reimburse the property taxes.

Educational objective:

Unless the document creating the life estate provides otherwise, a life tenant has the duty to pay all current charges (eg, property taxes, mortgage interest) up to the amount of income that can be generated from the land.

References

Restatement (First) of Property §§ 129–130 (Am. Law Inst. 1936) (life tenant's duty to pay current charges).

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Three years ago, a man conveyed a tract of land to a friend for $50,000 by a deed that provided: "By accepting this deed, [the friend] covenants for herself, her heirs and assigns, that the premises herein conveyed shall be used solely for residential purposes and, if the premises are used for nonresidential purposes, [the man], his heirs and assigns, shall have the right to repurchase the premises for the sum of one thousand dollars ($1,000)." In order to pay the $50,000 purchase price for land, the friend obtained a $35,000 mortgage loan from the bank. The man had full knowledge of the mortgage transaction. The deed and mortgage were promptly and properly recorded in proper sequence. The mortgage, however, made no reference to the quoted language in the deed.

Two years ago, the friend converted her use of the land from residential to commercial without the knowledge or consent of the man or of the bank. The friend's commercial venture failed, and she defaulted on her mortgage payments to the bank. The land now has a fair market value of $25,000.

The bank began appropriate foreclosure proceedings against the friend. The man properly intervened, tendered $1,000, and sought judgment that the friend and the bank be ordered to convey the land to the man, free and clear of the mortgage.

The common-law Rule Against Perpetuities is unmodified by statute.

If the court rules against the man, what will be the reason?

A. The bank had no actual knowledge of, and did not consent to, the violation of the covenant.
B. The consideration of $1,000 was inadequate.
C. The provision quoted from the deed violates the Rule Against Perpetuities.
D. The rights reserved by the man were subordinated, by necessary implication, to the rights of the bank as the lender of the purchase money.

Explanation:

The **Rule Against Perpetuities** (RAP) applies only to ***contingent* future interests**—ie, future interests that are held by **unknown/unborn** persons or subject to a **condition precedent**. Here, the deed conveyed the friend a present possessory interest in the tract, and the man received an option to purchase the premises contingent upon the friend's use of the premises for nonresidential purposes. Therefore, the man's future interest is subject to RAP.

Under the common law, RAP renders a contingent future interest **void *ab initio*** if it could **vest more than 21 years after** some relevant **life in being** at the creation of the interest. Therefore, an option to purchase is almost always void if it is **not set to terminate** within the perpetuities period. Here, the option to purchase will vest if the friend, her heirs, and assigns *ever* use the premises for nonresidential purposes. This means that the man's option to purchase violates RAP because it is possible that it could vest well after the perpetuities period.

(Choices A & D) Since a deed is recorded before a purchase-money mortgage, the mortgagee's (bank's) rights are subject to whatever rights the mortgagor (friend) holds in the land. Therefore, the bank's *mortgage* is subordinate to the man's purchase option in the deed—regardless of whether the bank had actual knowledge of or consented to its existence.

(Choice B) Adequate consideration exists so long as there is a bargained-for exchange of promises or performance. Since the man gave $1,000 in exchange for the friend's promise to give the man a purchase option, his consideration was adequate.

Educational objective:

The Rule Against Perpetuities applies only to *contingent* future interests (eg, purchase options) and voids any such interest that may not vest for more than 21 years after some relevant life in being at the creation of the interest.

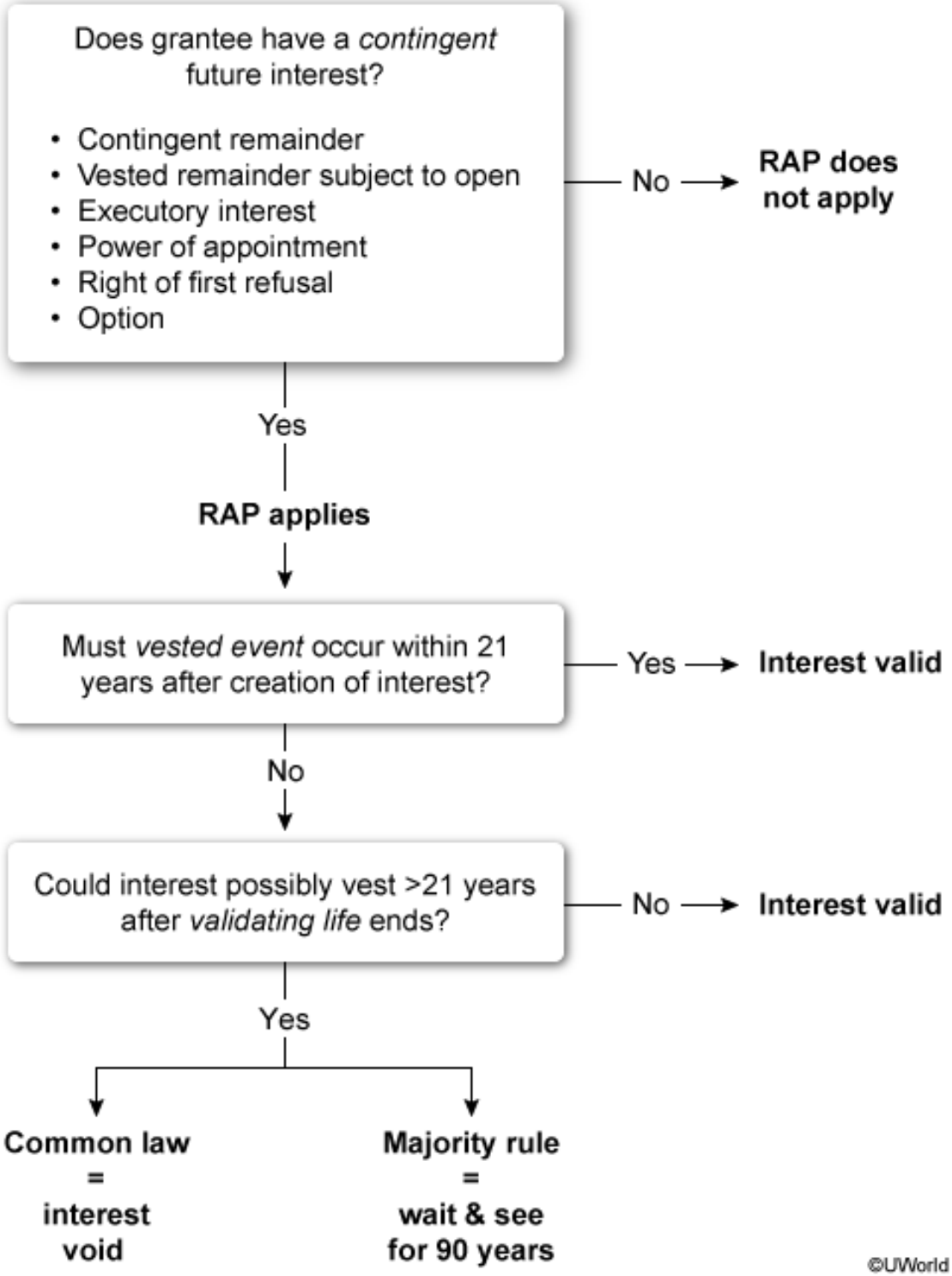
References

61 Am. Jur. 2d Perpetuities and Restraints on Alienation § 5 (2020) (Rule Against Perpetuities).

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Rule against perpetuities (RAP)



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In September, a college student signed a one-year written agreement to lease a fully furnished apartment from a landlord. The student paid rent on a timely basis for four months. In December, the student discovered a crack in the kitchen floor after cutting his foot on the broken tile. Although the student notified the landlord of the crack, the landlord failed to repair the floor. Fed up with the landlord, and after being offered a scholarship to study abroad for the spring semester, the student moved to Europe in January and ceased paying rent on the apartment. Upon discovering that the student had abandoned the apartment, the landlord took possession of the apartment and re-rented it to a visiting professor.

Based upon these facts, which of the following statements is true?

A. The lease has been terminated, because the apartment was re-rented to a visiting professor.
B. The lease has been terminated, because the student justifiably abandoned the lease.
C. The lease has not been terminated, and the student is liable for any future rents.
D. The lease has not been terminated, because the student was not constructively evicted.

Explanation:

A tenant may *justifiably* abandon leased property if the landlord's action or inaction results in a constructive eviction. A constructive eviction occurs when the landlord breaches a duty to the tenant (eg, by failing to make a repair) that substantially interferes with the tenant's use and enjoyment of the leased premises.

In contrast, a **tenant *unjustifiably* abandons** leased property by leaving the property with the intent to terminate the lease without legal justification. Intent is generally evidenced by the tenant's refusal to pay rent. An unjustifiable abandonment is treated as an **offer to surrender rights** under the lease. If the **landlord accepts the offer**, the lease is **terminated** and the tenant is **not liable for any future rent**. The offer can be accepted by:

express agreement (not seen here) *or*

retaking possession of the property coupled with (1) the **landlord's own use** of the premises or (2) **re-renting the property** to a third party.

Here, the student's abandonment was *not* justified because, unlike a broken heating system or a lack of running water, a cracked tile does *not* amount to a substantial interference for constructive eviction **(Choice B)**. The student's unjustifiable abandonment of the premises should be treated as an offer to surrender his rights under the lease. The landlord accepted this offer by retaking possession of the apartment and re-renting it to a visiting professor. As a result, the lease has been terminated, and the student is *not* liable for future rent **(Choices C & D)**.

Educational objective:

Unjustifiable abandonment of leased property is treated as an offer to surrender rights under the lease. The landlord can accept the offer by (1) express agreement or (2) retaking possession plus either using the property for the landlord's own use or re-renting it. Acceptance terminates the lease, and the tenant is not liable for future rent.

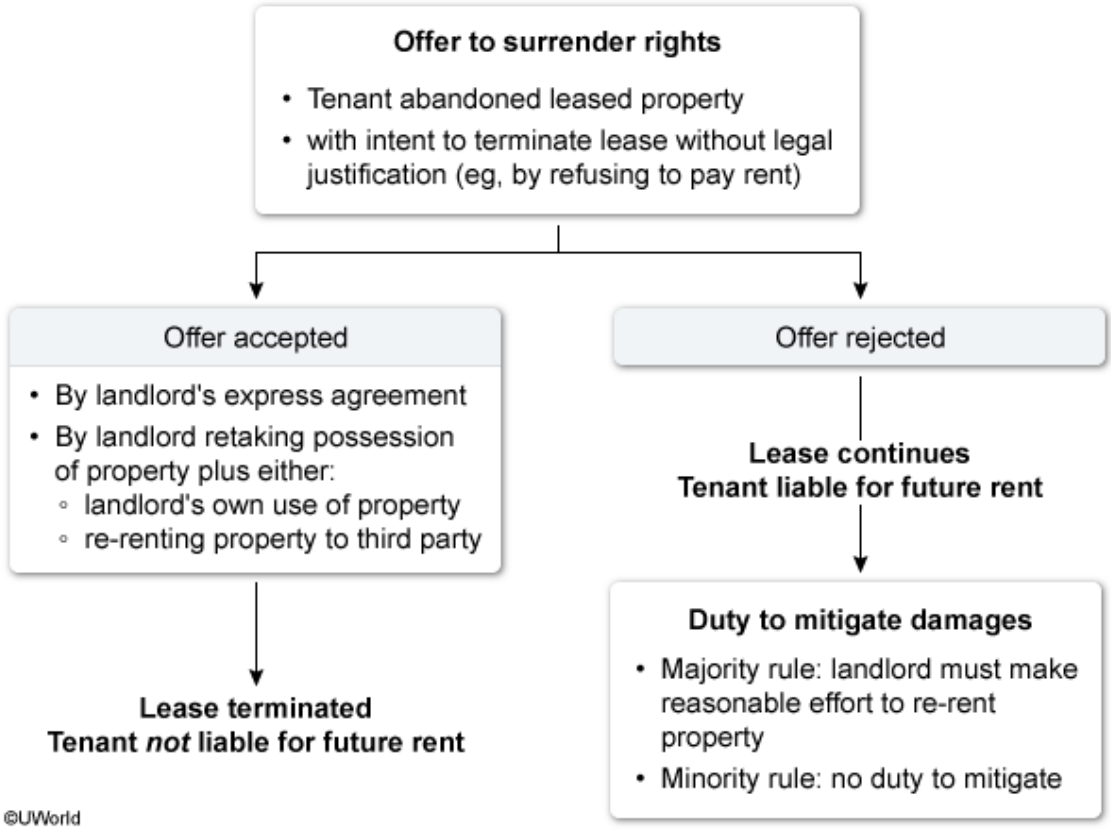
References

Restatement (Second) of Property: Landlord & Tenant § 12.1(3) (Am. Law Inst. 1977) (discussing the effect of the tenant's abandonment on the obligation to pay rent).

49 Am. Jur. 2d Landlord & Tenant § 606 (2020) (explaining the effect of a landlord's acceptance of a tenant's abandonment).

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Unjustifiable abandonment of leased property



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A son loaned his father a large sum of money. The father signed a 10-year promissory note and secured the note with a mortgage on his farm. The mortgage was promptly recorded.

The next year, the father died intestate. The father's heirs were the son and his two sisters. The sisters first learned of the mortgage just after their father died.

The sisters now assert that the son, their brother, holds the mortgage for their benefit as well as for himself because as a tenant in common with his sisters, he has a fiduciary duty toward them.

There are no applicable statutes.

Are the sisters correct?

A. No, because the mortgage was granted before the tenancy in common was created.

B. No, because the three siblings took the farm as tenants in common rather than as joint tenants with right of survivorship.

C. Yes, because a fiduciary relationship exists among tenants in common.

D. Yes, because their three interests are equal.

Explanation:

Cotenants generally do not share a **fiduciary relationship** unless they became cotenants at the same time (eg, by the same deed or will, by inheritance from a common ancestor). Additionally, this fiduciary relationship **exists only** with respect to **transactions** involving co-owned property that take place **during the tenancy (Choice C)**.

Here, the son's mortgage on the farm was granted *before* the siblings inherited the farm from their father as tenants in common. As a result, the son does *not* have a fiduciary duty toward his sisters with respect to the mortgage, and the sisters are incorrect that he holds the mortgage for their benefit as well as for himself.

(Choice B) The son would hold the mortgage solely for his own benefit even if the siblings had taken the farm as joint tenants with right of survivorship.

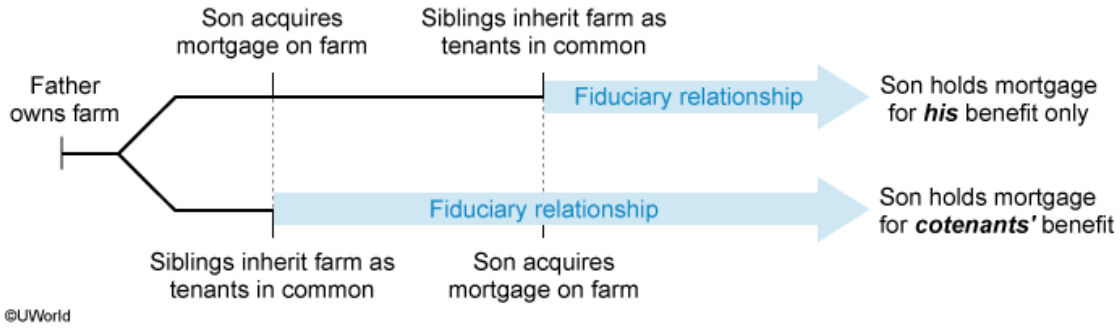
(Choice D) The three siblings have equal interests in the farm because this is presumed when cotenants inherit property by intestate succession. However, this fact has no effect on the outcome of their dispute.

Educational objective:

Cotenants share a fiduciary relationship if they become cotenants at the same time. But this fiduciary relationship exists only with respect to transactions that occur during the tenancy.

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A man owned a parcel of land in fee simple. Five years ago, he conveyed the parcel by deed "to my daughter until she graduates from college, and then to my son in fee simple if he turns 21." The daughter has just graduated from college. The son is only 18 years old.

Who is entitled to possession of the land?

A. The daughter, because she is entitled to possession until her interest is divested by the son's shifting executory interest.

B. The man, because his fee simple interest has not yet been divested by the son's shifting executory interest.

C. The man, because his fee simple interest has not yet been divested by the son's springing executory interest.

D. The son, because his remainder vested when the daughter graduated from college.

Explanation:

Fee simple estates

Type		**Language**	**Future interest**
Indefeasible	**Fee simple absolute**	"To A" "To A and his heirs"	None
Defeasible	**Fee simple determinable**	Durational "so long as" "during" "until"	*Grantor's* possibility of reverter *Third party's* executory interest (**fee simple subject to executory limitation**)
	Fee simple subject to condition subsequent	Conditional "but if" "provided that" "unless"	*Grantor's* right of entry

A **defeasible fee simple estate** is an ownership interest that may last for an indeterminate duration but is limited by specific durational or conditional language (see table above). There are three types of defeasible fees:

Fee simple determinable (FSD) – terminates automatically upon the happening of the stated event, then ownership **returns to the grantor**

Fee simple subject to a condition subsequent (FSSCS) – upon the occurrence of a specific condition, the **grantor** has the **right to terminate** the estate

Fee simple subject to an executory limitation (FSSEL) – upon the occurrence of the stated event or condition, title **passes to a third party** (ie, someone other than the grantor or the holder of the present fee)

Here, the man conveyed the parcel to his daughter *until* she graduated from college. This durational language ("until") means that the daughter received an FSD or FSSEL. The deed then states that, upon her college graduation, the parcel will go to the son if he turns 21. Since title will pass to the son (third party), the daughter received an FSSEL and the son holds an executory interest.

There are two types of **executory interests**:

Shifting – divests the grantee's estate, such that the estate ***shifts*** **from the grantee** to the executory-interest holder

Springing – divests the grantor's estate, such that the estate ***springs* from the grantor** to the executory-interest holder

Here, the daughter's interest was divested when she graduated from college **(Choice A)**. But since the son is not yet 21, the estate reverted back to the man (grantor).* This means that the man currently holds an FSD in the parcel—and is therefore entitled to possession—until the son meets the condition of turning 21. Once he turns 21, the parcel will spring from the man to the son, who holds a springing executory interest **(Choices B & D)**.

*Had the son been at least 21 when the daughter graduated from college, the estate would have shifted (not sprung) to the son upon her graduation.

Educational objective:

A *shifting* executory interest arises when title shifts from the *grantee* to a third party, while a *springing* executory interest arises when title springs from the *grantor* to a third party.

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An aunt owned a commercial property consisting of a one-story building rented to various retail stores and a large parking lot. Two years ago, the aunt died and left the property to her nephew for life, with remainder to her godson, his heirs and assigns. The devise of the property was made subject to any mortgage on the property in effect at the time of the aunt's death.

A year before her death, the aunt mortgaged the property to secure a loan of $150,000. The entire principal of the mortgage remained outstanding when she died. As a result, the net annual income from the property was reduced not only by real estate taxes and regular maintenance costs, but also by the substantial mortgage interest payments due each month.

A commercial real estate developer recently proposed to purchase the property and pay off the mortgage in order to demolish the existing building and construct a 30-story office building. The nephew was willing to accept the developer's offer. However, the godson refused the offer even though he, as the remainderman, paid the principal portion of each monthly mortgage payment. The godson wanted to convert the property into a public park when he became entitled to possession.

When the developer realized that the godson would not change his mind, it modified its proposal to a purchase of the nephew's life estate. When the godson learned that the nephew had agreed to the developer's modified proposal, the godson brought an appropriate action against them to enjoin their carrying it out.

What is the godson's best argument?

A. Continued existence of the one-story building is more in harmony with the ultimate use as a park than the proposed change in use.

B. The developer cannot purchase the nephew's life estate, because life estates are not assignable.

C. The godson's payment of the mortgage principal has subrogated him to the nephew's rights as a life tenant and bars the nephew's assignment of the life estate without the godson's consent.

D. The proposed demolition of the building constitutes waste.

Explanation:

Life tenant's duties

Duty to pay current charges	Life tenant must pay all current charges due during life tenancy (eg, property taxes, mortgage interest) up to financial benefit received from property
Duty to prevent waste	Life tenant must prevent affirmative waste (ie, voluntary waste), permissive waste & ameliorative waste
Duty to make ordinary repairs	Life tenant must make reasonable repairs to preserve property

A **life estate** is a present possessory interest that terminates on the death of an individual. This interest is freely transferable **(Choice B)**. But since it is followed by a future interest that will become possessory once the life estate terminates, the life tenant has a **duty to prevent waste**. There are **three types** of waste:

Affirmative waste – changes that *decrease* the property's value

Permissive waste – deterioration caused by neglect or the failure to reasonably protect the property

Ameliorative waste – changes that **increase the property's value** but are **not necessary** to make reasonable use of the property amid substantial and permanent changes in the local area

The future interest holder (the godson) may inspect the land for waste and may seek damages or an injunction to prevent waste. This ensures that the life tenant (the nephew) **delivers the property** to the future interest holder in essentially the **same condition** it was in when the life tenant took possession.

Here, the demolition of the building would change the condition of the property. Although the construction of a 30-story office building would likely increase the property value, there is no indication that this change is necessary. Therefore, the godson's best argument is that the proposed demolition constitutes waste.

(Choice A) A life tenant can use the property in any manner that does not constitute waste—even if that use affects the future interest holder's plans. Therefore, the godson's plan to use the property as a park is irrelevant.

(Choice C) The future interest holder is responsible for the mortgage principal, but this does not bar the life tenant from assigning the life estate or allow the future interest holder to subrogate the life tenant's rights. Instead, subrogation allows a third party who fully

pays off a senior mortgage with no knowledge of junior interests to take that senior mortgage's priority.

Educational objective:

A life tenant has a duty to prevent waste so that the property can be delivered in essentially the same condition it was in when the life tenant took possession.

References

Restatement (First) of Property § 140 (Am. Law Inst. 1936) (life tenant's duty to prevent waste).

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A testator owned a tract of land in fee simple. The testator wrote and executed, with the required formalities, a will that devised the land to "my daughter for life with remainder to my descendants per stirpes." At the time of writing the will, the testator had a husband and no descendants living other than her two children, the daughter named in the will and a son.

The testator died and the will was duly admitted to probate. The testator's husband predeceased her, but she was survived by her daughter, her son, four grandchildren, and one great-grandchild. The testator's children were her sole heirs at law.

The testator's children brought an appropriate action for declaratory judgment as to title of the land. Guardians ad litem were appointed and all other steps were taken so that the judgment would bind all persons interested.

In that action, the court ruled that the daughter has a life estate in the whole of the land and that the remainder is contingent.

The court must have chosen a construction that did which of the following?

A. Implied a condition that remaindermen survive the daughter.

B. Implied a gift of a life estate to the son.

C. Related all vesting to the death of the testator.

D. Related all vesting to the time of writing of the will.

Explanation:

Vested remainders v. Contingent remainders

	Definition	**Examples**
Vested	Remainder *not* subject to condition precedent & held by identifiable living person	"... remainder to A"
Contingent	Remainder subject to condition precedent or held by unknown / unborn person	"... remainder to A, but only if A outlives B" "... remainder to my heirs"

A **remainder** is a future interest in real property that is capable of becoming possessory upon the expiration of a life estate or term of years. Remainders are either:

vested – not subject to any **condition precedent** AND held by an **identifiable living person** *or*

contingent – subject to some **condition precedent** (other than the natural termination of the prior estate) OR held by an **unknown or unborn person**.

Here, the testator wrote a will that devised a life estate to her daughter and a remainder to her descendants. After the testator's death, the court ruled that that the remainder was contingent—not vested. This means that the court cannot have chosen a construction (ie, interpretation) of the testator's will that related all vesting to:

the time of the writing of the will – in which case, the testator's descendants who were alive and identifiable when she wrote the will (her two children) would have had *vested* remainders **(Choice D)** *or*

the death of the testator – in which case, the testator's descendants who were alive and identifiable when she died (her children, grandchildren, and great-grandchild) would have had *vested* remainders **(Choice C)**.

Instead, the court must have chosen a construction of the testator's will that implied a condition that remaindermen survive the daughter. In that case, the remainder would be *contingent* because the testator's descendants who will survive the daughter and eventually take possession of the land are still unknown.

(Choice B) There is no indication that the court implied a life estate to the son. And even if it did, this would not create a contingent remainder.

Educational objective:

A *vested* remainder is not subject to any condition precedent and is held by an identifiable living person, whereas a *contingent* remainder is either subject to a condition precedent or held by an unknown or unborn person.

References

Restatement of Property § 157 (Am. Law Inst. 1936) (discussing the types of remainders).

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A landowner died, validly devising his land to his wife "for life or until remarriage, then to" their daughter. Shortly after the landowner's death, his daughter executed an instrument in the proper form of a deed, purporting to convey the land to her friend. A year later, the daughter died intestate, with her mother, the original landowner's wife, as her sole heir. The following month, the wife remarried. The wife then executed an instrument in the proper form of a deed, purporting to convey the land to her new husband as a wedding gift.

Who now owns what interest in the land?

A. The daughter's friend owns the fee simple.

B. The wife owns the fee simple.

C. The wife's new husband has a life estate in the land for the wife's life, with the remainder in the daughter's friend.

D. The wife's new husband owns the fee simple.

Explanation:

A **defeasible life estate** is a present interest that **terminates** upon the **death** of an individual OR the happening of a **stated event**. The future-interest holder (ie, remainderman) acquires possession of the estate when the death or event occurs. **Future interests** are **alienable**—ie, the remainderman can **freely convey** that interest.

Here, the landowner devised a defeasible life estate in the land to his wife, which would pass to their daughter upon the wife's death or remarriage. Therefore, the daughter had a future interest that she properly conveyed to a friend, making the friend the new remainderman. When the wife remarried (and terminated her life estate), the land automatically transferred to the remainderman—the friend—in fee simple.

(Choices B & D) The wife had a defeasible life estate—not a fee simple—that ended when she remarried. As a result, the wife could only acquire a fee simple (or convey it to her new husband) if she inherited the daughter's future interest. Since the daughter did not hold the future interest when she died (she had already conveyed it to her friend), that interest never passed to the wife. Therefore, neither the wife nor the new husband owns the fee simple.

(Choice C) Since the wife's life estate terminated as soon as she remarried, she did not have a property interest to deed to the new husband. As a result, the new husband does not have an interest in the land.

Educational objective:

A future interest that follows a defeasible life estate becomes possessory upon the death of an individual or the happening of a stated event. Future interests are alienable, meaning that the future-interest holder (ie, remainderman) can freely convey his/her interest.

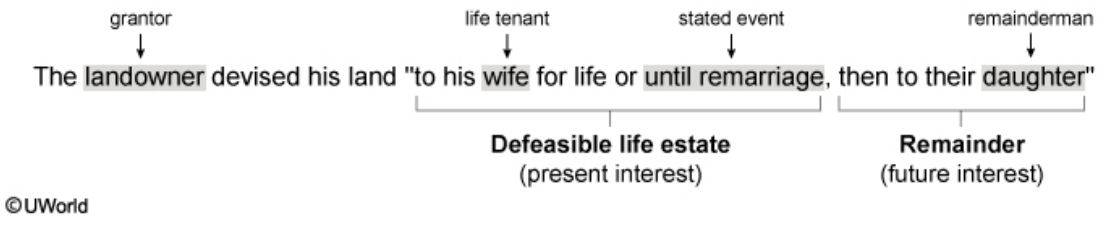
References

Restatement (Third) of Property: Wills & Other Donative Transfers § 24.5 (Am. Law Inst. 2011) (life estates).

Restatement (Third) of Property: Wills & Other Donative Transfers § 25.2 (Am. Law Inst. 2011) (reversions and remainders).

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An elderly woman had two children, a son and daughter. In the months before the woman's death, the son had lived in the woman's home and cared for her. Although the daughter had provided no assistance to the woman, both children inherited the woman's home upon her death and became tenants in common.

The son continued to live in the woman's home and paid all taxes, insurance, and other carrying charges on the property. The daughter never visited the property and did not seek rent or other compensation from the son until they got into a heated dispute 15 years later.

The son has filed an action to quiet title and claims that he owns the property in fee simple. The period of time to acquire title by adverse possession in the jurisdiction is 10 years.

Who is likely to prevail?

A. The daughter, because one co-tenant cannot acquire title by adverse possession against another.
B. The daughter, because there is no evidence that the son has ousted the daughter.
C. The son, because he has acquired title in fee simple by adverse possession.
D. The son, because the parties' acts indicate the daughter's intention to renounce her inheritance.

Explanation:

Adverse possession allows a person to acquire title to another's property when his/her possession of the land is:

Open and notorious – apparent or visible to a reasonable owner

Continuous – uninterrupted for the statutory period

Exclusive – not shared with the owner

Actual – physical presence on the land

Nonpermissive – hostile and adverse to the owner

But for a **co-tenant** to acquire sole ownership of co-owned property through adverse possession, he/she must also **oust** the other co-tenants. This is done by **preventing** them from **using or accessing the property** (eg, changing the locks, constructing a fence, physical removal) **(Choice A)**.

Here, the son (co-tenant) lived alone on the property and paid all taxes, insurance, and other carrying charges for more than the 10-year statutory period. But since he took no action to prevent the daughter (other co-tenant) from using the property, he did not oust her. Therefore, he never acquired sole ownership by adverse possession, and the daughter will likely prevail **(Choice C)**.

(Choice D) An inheritance can only be renounced if the recipient *unequivocally* rejects the inheritance within a reasonable time after learning of it. Actions that merely indicate an intent to renounce are not sufficient. Therefore, the parties' actions—absent an explicit rejection—did not eliminate the daughter's right to the inherited property.

Educational objective:

A co-tenant can acquire sole ownership of co-owned property through adverse possession if he/she ousts the other co-tenants by preventing them from using or accessing the property (and meets all other requirements for adverse possession).

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Ways of ousting a co-tenant



Changing locks | Constructing fence | Physical removal

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A real estate developer owned a 100-acre tract of land. Six years ago, the real estate developer leased a one-acre lot located in the northeasterly corner of the tract for a term of 30 years to a fast-food company. The fast-food company intended to, and did, construct a fast-food restaurant on the one-acre lot.

The lease provided that:

The fast-food company was to maintain the lot and improvements thereon, to maintain full insurance coverage on the lot, and to pay all taxes assessed against the lot.

The real estate developer was to maintain the access roads and the parking lot areas platted on those portions of the tract that adjoined the lot and to permit the company's customers to use them in common with the customers of the other commercial users of the remainder of the tract.

The fast-food company was to pay its share of the expenses for the off-site improvements according to a stated formula.

Five years ago, the real estate developer sold the one-acre lot to an investor; the conveyance was made subject to the lease to the fast-food company. However, the investor did not assume the obligations of the lease and the real estate developer retained the remainder of the 100-acre tract of land. Since that conveyance five years ago, the fast-food company has paid rent to the investor. However, the fast-food company refused to pay its formula share of the off-site improvement costs as provided in the lease.

The real estate developer brought an appropriate action against the fast-food company to recover such costs.

Is the real estate developer likely to prevail?

A. No, because the conveyance of the one-acre lot to the investor terminated the privity of estate between the real estate developer and the fast-food company.

B. No, because the investor, as the fast-food company's landlord, has the obligation to pay the maintenance costs by necessary implication.

C. Yes, because the conveyance of the one-acre lot to the investor did not terminate the real estate developer's right to enforce the covenant to contribute.

D. Yes, because the use of the improvements by the customers of the fast-food company imposes an implied obligation on the fast-food company.

Explanation:

A landlord may generally transfer his/her property interest to a **third party** (ie, assignee-landlord) without the tenant's consent. However, the assignee-landlord only has the **right to enforce a covenant** (ie, promise) in the lease if it **runs with the land**. Otherwise, the original landlord retains the right to enforce it. A covenant runs with the land when:

the original parties **intended to bind successors** in interest (eg, assignee-landlord)

the covenant **touches and concerns** (ie, affects the use or value of) the land *and*

the transfer brings the assignee-landlord into **privity of estate** (ie, a mutual or successive relationship in the same property interest) with the tenant.

Here, a lease covenant required that the fast-food company contribute to costs associated with off-site improvements on the real estate developer's adjoining property. This covenant did not touch and concern the one-acre lot because it only affected the adjoining property. Therefore, the covenant does not run with the land, and the conveyance to the investor did not terminate the developer's right to enforce that covenant.

(Choice A) Privity of estate between the real estate developer (landlord) and the fast-food company (tenant) terminated when the one-acre lot was sold to the investor. But the developer retains the right to enforce the covenant to contribute because the covenant does not run with the land.

(Choice B) The implied warranty of habitability obligates landlords to pay maintenance costs to keep property fit for *residential* purposes. But this obligation does not apply to *commercial* leases (as seen here). Even if it did, this would not affect the real estate developer's recovery of off-site improvement costs.

(Choice D) An implied obligation to contribute to *repair and maintenance* costs arises under an easement. But the use of the off-site improvements by the fast-food company's customers (easement) did not obligate the company to contribute to *improvement* costs.

Educational objective:

A lease covenant can only be enforced by an assignee-landlord if it runs with the land. This occurs when (1) the original parties intended to bind their successors, (2) the covenant touches and concerns the land, and (3) there is privity of estate.

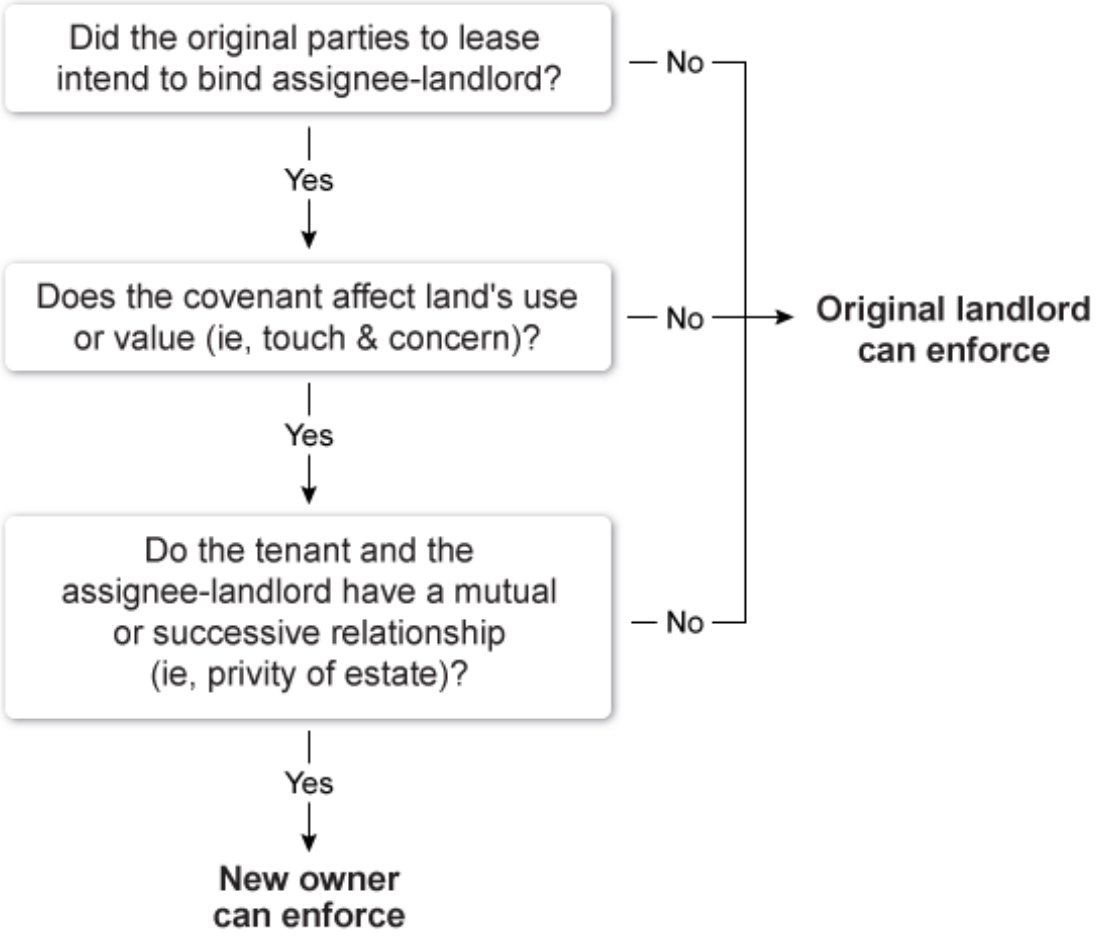
References

Restatement (Second) of Prop.: Landlord & Tenant § 16.2 (Am. Law Inst. 1977) (landlord's right to enforce lease provision against former tenant after transfer of ownership).

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Assignee-landlord's right to enforce lease covenant that runs with land



A mother owned a two-family apartment house on a small city lot not suitable for partition-in-kind. Upon the mother's death, her will devised the apartment house to "my two sons, in equal shares."

A week ago, a creditor obtained a money judgment against the youngest son and properly filed the judgment in the county where the apartment house is located. A statute in the jurisdiction provides: "Any judgment properly filed shall, for ten years from filing, be a lien on the real property then owned or subsequently acquired by any person against whom the judgment is rendered."

The youngest son needed cash, but the oldest son did not wish to sell the apartment house. Nevertheless, the youngest son commenced a partition action against the oldest son and the creditor. The court properly ordered a partition by judicial sale.

After the sale, the creditor's judgment will be a lien on what interest?

A. All of the apartment house.

B. All of the proceeds of sale of the apartment house.

C. Only a one-half interest in the apartment house.

D. Only the portion of the proceeds of sale due to the youngest son.

Explanation:

Co-tenants can **freely encumber** their **separate interests** in the property without consent of the other tenants (except in a tenancy by the entirety). This means that a tenant can use his/her share of the property to secure repayment of a debt, and creditors will only have a **lien on that tenant's property interest**. And if any tenant later seeks to divide the property through a partition by sale, that lien will either:

remain on the tenant-debtor's **property interest** if the **creditor is *not* a party** to the partition action *or*

attach to the tenant-debtor's **share of proceeds** from the sale if the **creditor *is* a party** to the partition action.

Here, the two sons became co-tenants when the mother devised them a duplex in equal shares. A creditor later obtained and filed a money judgment against the youngest son, creating a judgment lien on his one-half interest in the duplex. The youngest son then commenced an action for partition by sale against the oldest son *and* the creditor—which the court granted. Since the creditor was a party to the partition action, the judgment lien will attach to the youngest son's portion of the *proceeds* from the judicial sale **(Choices A, B & C)**.

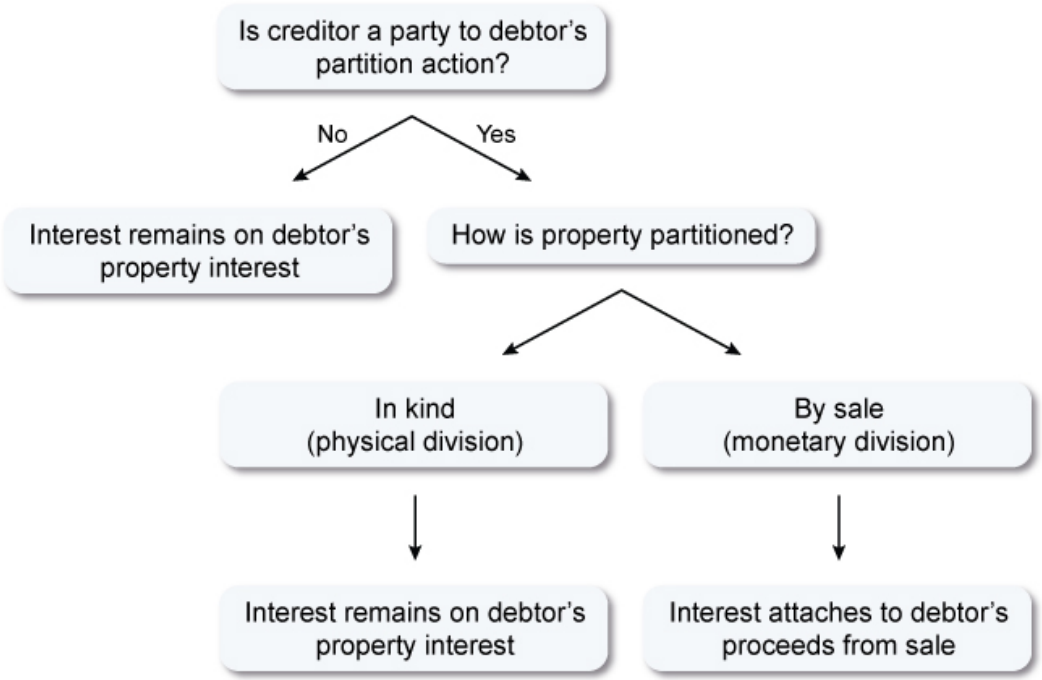
Educational objective:

When a co-tenancy is divided in an action for partition by sale, any lien on a tenant's property interest will stay attached to that interest if the creditor is *not* a party to the action. But if the creditor *is* a party, then the lien will attach to the sale proceeds attributable to that interest.

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Attachment of lien after partition



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A landlord leased a commercial building to a tenant for five years. Rent was payable on the first day of each month, and the landlord retained the right to terminate the lease if the tenant defaulted. The lease term ended 18 months ago. However, the tenant has stayed in possession of the building and has continued to pay the rent on time. The landlord has continued to accept the rent.

The fair rental value of the building is now substantially more than what the tenant has been paying, and the landlord recently found a third party who will pay the higher rent. When the tenant paid the rent two months ago, the landlord accepted the rent. At the end of the month, the landlord told the tenant in writing that she had to vacate at the end of the following month. The tenant, who is still in possession of the building, has informed the landlord that she does not want to move and is willing to pay the current fair rental value.

The landlord has asked his lawyer for advice regarding the right to possession.

Who should the lawyer say is entitled to possession?

A. The landlord, because he gave proper notice to terminate the tenancy.
B. The landlord, because he retained the right to reenter.
C. The tenant, because she has stated that she is willing to pay the current fair rental value.
D. The tenant, because the landlord has not shown good cause to terminate the tenancy.

Explanation:

Types of tenancies

(leases on land)

Type	Creation	Duration	Termination
Term of years	Agreement (ie, lease)	Fixed period (eg, one month, three years)	End of term (automatic) Breach of certain covenants (eg, rent, habitability)
Periodic tenancy	Agreement Presumed when lease has no specified termination date Operation of law (eg, holdover tenant)	Periodically renews until terminated	End of period (proper notice) Breach of certain covenants
Tenancy at will	Agreement Implied when person allowed to possess premises without paying rent	Indefinite period	At any time (reasonable notice)
Tenancy at sufferance	Implied when tenant keeps possession after lease expires (ie, holdover tenancy)	Continues until terminated	Landlord evicts Tenant vacates Landlord accepts rent (forms periodic tenancy)

A **tenant** has the right to possess the premises during the term of the lease. A tenant who **remains in possession** after the **lease term expires** is a **holdover tenant** (ie, tenant at sufferance). The landlord can then:

file a lawsuit to remove the tenant from the property (ie, an unlawful detainer action) *or*

accept rent and hold the tenant to a **periodic tenancy**—ie, a tenancy that automatically renews for successive periods of time depending on how rent was computed under the original lease (eg, monthly).

Either party (ie, landlord or tenant) can terminate a periodic tenancy **at the end of a period** by giving proper notice. **Notice is proper** if it is given **before the final period**

starts—eg, to terminate a month-to-month periodic tenancy on June 30, notice must be given by May 31.

Here, the tenant remained in possession of the building after her five-year lease term expired (holdover tenant). Since rent was computed monthly under the original lease, the landlord held her to a month-to-month periodic tenancy by accepting rent. And since the landlord gave her notice to vacate at the end of the following month *before* the start of that final month, notice was proper. Therefore, the landlord is entitled to possession.

(Choice B) Unless the lease expressly states otherwise, a landlord does not retain a right of reentry—ie, a right to reenter and retake possession of the premises if the tenant breaches the lease. Here, the landlord only retained the right to terminate the lease if the tenant defaulted on rent—not the right to reenter.

(Choice C) Although the tenant was willing to pay the current fair rental value for the property, the landlord was not obligated to lease the property to her.

(Choice D) A periodic tenancy can generally be terminated without cause. However, some courts have held that landlords must show good cause to terminate a periodic tenancy of federally subsidized *residential* housing. But since the landlord's property was a *commercial* building, he does not need to show good cause to gain possession.

Educational objective:

A holdover tenant—ie, one who remains in possession of the premises after his/her lease term expires—can be held to a periodic tenancy if the landlord accepts additional payments of rent. Either party can terminate the periodic tenancy at the end of a period if notice is given before that period starts.

References

Restatement (Second) of Property: Landlord & Tenant § 1.5 (Am. Law Inst. 1977) (periodic tenancy).

Restatement (Second) of Property: Landlord & Tenant § 14.4 (Am. Law Inst. 1977) (holdover tenant).

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By a writing, a homeowner leased his home to a law student for a term of three years, ending December 31 of last year, at the rent of $1,000 per month. The lease provided that the law student could sublet and assign.

The law student lived in the home for one year and paid the rent promptly. After one year, he leased the home to a graduate student for one year at a rent of $1,000 per month.

The graduate student took possession of the home and lived there for six months but, because of her unemployment, paid no rent. After six months, on June 30, the graduate student abandoned the home, which remained vacant for the balance of that year. The law student again took possession of the home at the beginning of the third and final year of the term but paid the homeowner no rent.

At the end of the lease term, the homeowner brought an appropriate action against both the law student and the graduate student to recover $24,000, the unpaid rent.

In such action, the homeowner is entitled to a judgment against whom?

A. The law student individually for $12,000, and against the law student and graduate student jointly and severally for $12,000.
B. The law student individually for $18,000, and against the law student and graduate student jointly and severally for $6,000.
C. The law student individually for $18,000, and against the graduate student individually for $6,000.
D. The law student individually for $24,000, and no judgment against the graduate student.

Explanation:

A landlord and tenant have a legal relationship based on both:

privity of contract – their shared interest in the lease agreement *and*
privity of estate – the landlord's successive right to possess the property (ie, the tenant's current right of possession is immediately followed by the landlord's future right of possession).

Unless the lease states otherwise, either party can freely transfer his/her interest under the lease. **Subletting** is a **partial transfer of a tenant's interest** to a third party (sublessee) for **less than the remainder** of the tenant's lease term. Despite that transfer, a **sublessee is not liable** to the landlord for a **breach of the lease** because:

no lease agreement exists between the landlord and the sublessee (no privity of contract) and
the original tenant will regain possession of the property before the landlord does (no privity of estate).

Therefore, the **original tenant is individually liable** for the landlord's **entire harm** arising from a breach of the lease by the sublessee.

Here, the homeowner leased his home to the law student for three years at $1,000 per month. After one year, the law student sublet the home to a graduate student for one year (less than the remainder of the lease). Since the graduate student was a sublessee (no privity with homeowner), she is not liable to the homeowner. However, the law student—the original tenant—is individually liable for the homeowner's entire harm arising from a breach of the lease **(Choices A, B & C)**. And since no rent was paid for the final two years of the lease (breach), the homeowner is entitled to a judgment against the law student for the full amount ($24,000).

Educational objective:

A tenant who sublets—ie, transfers his/her interest to a third party (sublessee) for less than the remainder of the lease term—is individually liable for the landlord's entire harm arising from a breach of the lease by the sublessee. However, the sublessee has no liability to the landlord.

References

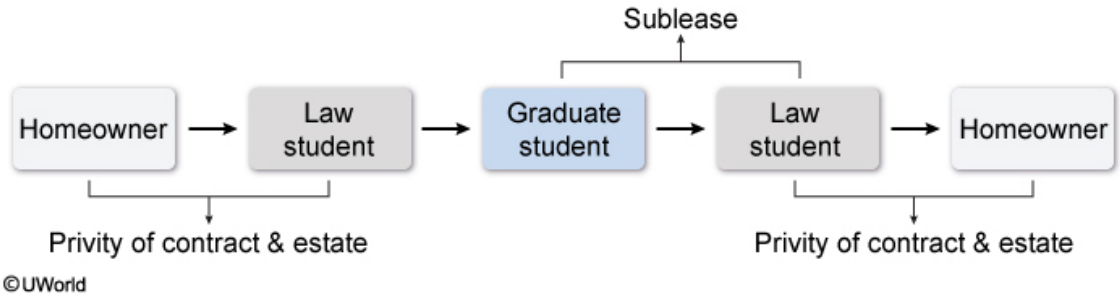
Restatement (Second) of Property: Landlord & Tenant § 15.1 (Am. Law Inst. 1977) (right to transfer lease interest).

Restatement (Second) of Property: Landlord & Tenant § 16.1 (Am. Law Inst. 1977) (tenant remains liable after sublet based on privity of contract and privity of estate).

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Privity with landlord



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A husband owned a farm of 300 acres in fee simple. He died and by will duly admitted to probate devised the farm to his surviving widow for life with remainder in fee simple to his three children (twin sons and a daughter). All three children survived the husband.

At the time of the husband's death, there existed a mortgage on the farm that the husband had given 10 years before to secure a loan for the purchase of the farm. At his death, there remained unpaid $40,000 in principal, payable in installments of $4,000 per year for the next 10 years. In addition, there was due interest at the rate of 10% per annum, payable annually with the installment of principal. The widow took possession and out of a gross income of $50,000 per year realized $25,000 net after paying all expenses and charges except the installment of principal and interest due on the mortgage.

The twin sons wanted the three children, including the daughter, to each contribute one-third of the amounts needed to pay the mortgage installments. The daughter objected, contending that the widow should pay all of these amounts out of the profits she had made in operation of the farm. When foreclosure of the mortgage seemed imminent, the daughter sought legal advice.

If the daughter obtained sound advice relating to her rights, what was she told?

A. Her only protection would lie in instituting an action for partition to compel the sale of the life estate of the widow and to obtain the value of the daughter's one-third interest in remainder.

B. She could be compelled personally to pay her share of the amounts due because discharge of the mortgage enhances the principal.

C. She could not be held personally liable for any amount but her share in remainder could be lost if the mortgage installments are not paid.

D. She could obtain appropriate relief to compel the widow personally to pay the sums due because the income is more than adequate to cover these amounts.

Explanation:

Payment of preexisting mortgage on life estate

Allocation of mortgage obligation	Periodic payment of interest only – life tenant is responsible for interest payments; future-interest holder is responsible for principal payment due at later date Periodic payment of interest & principal – life tenant & future-interest holder are responsible for payments in proportion with their respective interests
Liability for nonpayment	No liability absent assumption of mortgage Failure to pay allocation may result in loss of property interest

A **mortgage obligation** that was **incurred *before*** the creation of a **life estate** in the mortgaged property is **subject to allocation** between the life tenant and the future-interest holder (eg, remainderman). The allocation can vary depending on the type of obligation:

If the obligation requires the periodic payment of interest until the principal amount is due, then the life tenant is responsible for interest payments and the future-interest holder is responsible for principal payments due at a later date.

If the obligation requires the periodic payment of both interest *and* the principal amount (in whole or in part), then the obligation is allocated between the life tenant and the future-interest holder based on the present value of each interest.

Here, both interest and principal payments were due on the preexisting mortgage. As a result, the widow (life tenant) and the three children, including the daughter (remaindermen), are responsible for payment of the farm's mortgage based on the present value of their respective interests. However, they are **not personally liable** for the mortgage obligation because they **did not assume the mortgage (Choices B & D)**. Instead, their **failure to pay their share** of the debt may result in the **loss of their property interest** (eg, the daughter's share in remainder).

(Choice A) Partition is a remedy available to owners of concurrent interests in property (eg, tenants in common)—not owners of successive interests in property (eg, life tenants and remaindermen).

Educational objective:

A mortgage obligation incurred before the creation of a life estate in the mortgaged property is subject to allocation between the life tenant and the future-interest holder. The parties are not personally liable for the mortgage obligation unless they assumed the mortgage, but failure to pay may result in the loss of their property interest.

References

Restatement of Property § 132 (Am. Law Inst. 1936) (discussing life tenant's obligation to contribute to a preexisting mortgage obligation when the principal amount has become due).

139 A.L.R. 711 (1942) (personal liability of heir or devisee of real property for debt secured by mortgage thereon).

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A man and a woman owned property as joint tenants with the right of survivorship. Without the woman's knowledge or consent, the man signed a 10-year promissory note to a bank and secured the note with a mortgage on the property. The mortgage was promptly recorded.

Two years later, the man died intestate, leaving his son as his sole heir. The woman first learned of the mortgage after the man died. The woman and the son did not make any payments on the mortgage. As a result, the bank initiated judicial foreclosure proceedings, naming both the son and the woman as parties to the action. The woman and the son have consulted an attorney about the enforceability of the mortgage.

The jurisdiction follows the lien theory of mortgages.

What is the attorney likely to say regarding the mortgage?

A. The mortgage is enforceable against the son and the woman, because the mortgage encumbered the entire property.

B. The mortgage is enforceable against the son only, because he is the man's sole heir.

C. The mortgage is enforceable against the woman only, because she is the surviving joint tenant.

D. The mortgage is not enforceable against the son or the woman, because the mortgage expired upon the man's death.

Explanation:

The man and the woman owned the property as **joint tenants with the right of survivorship**. A joint tenant may only grant a mortgage on his/her *own* joint-tenancy interest without the other joint tenant's consent. Therefore, a **mortgage** executed by one joint tenant will only attach to that tenant's property interest. But **whether the joint tenancy remains intact** depends on the jurisdiction:

Lien theory (majority rule) – a mortgage is merely a **lien on the property**, which means that granting a mortgage **does *not* sever** the joint tenancy, but a severance will occur upon a foreclosure sale following a default

Title theory (minority rule) – a mortgage constitutes a **transfer of title**, which means that granting a mortgage ***does* sever** the joint tenancy and the mortgagor-tenant becomes **tenants in common** with the other joint tenants

Here, the man mortgaged the property without the woman's consent, so the mortgage only encumbered the man's joint-tenancy interest—not the entire property **(Choice A)**. And since this jurisdiction follows the *lien* theory of mortgages, the joint tenancy between the man and the woman was not severed when the man mortgaged his joint-tenancy interest. Instead, the joint tenancy remained intact until the man's death.

When a joint tenant dies, that tenant's interest disappears and the remaining joint tenant's interest automatically expands to absorb it due to the right of survivorship. This means that any mortgage attached to a joint tenant's interest also disappears when that tenant dies and cannot be enforced against the deceased tenant's heirs or the surviving tenant (the son and the woman, respectively) **(Choices B & C)**. Therefore, the mortgage on the man's tenancy expired upon his death, leaving the bank with no interest in the property on which to foreclose.

Educational objective:

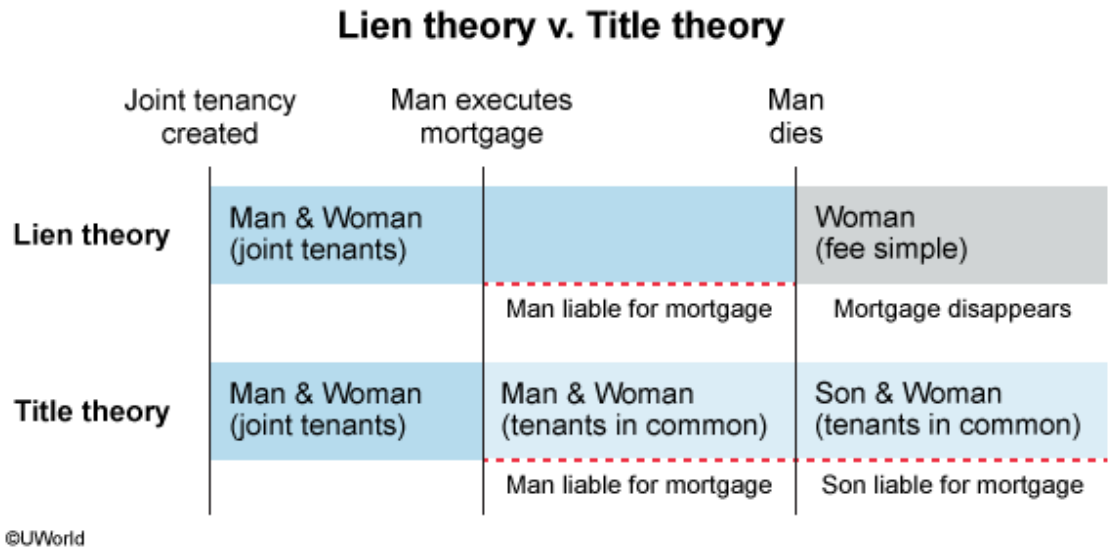
A joint tenant may only grant a mortgage on his/her joint-tenancy interest without the other joint tenant's consent. In a lien-theory jurisdiction (majority rule), granting a mortgage does *not* sever the joint tenancy. But in a title-theory jurisdiction (minority rule), granting a mortgage *does* sever the joint tenancy.

References

Restatement (Third) of Property: Mortgages § 4.1 (Am. Law Inst. 1997) (explaining the lien theory of mortgages).

20 Am. Jur. 2d Cotenancy and Joint Ownership § 93 (2018) (discussing a joint tenant's ability to bind other tenants).

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A rectangular parcel of undeveloped land contained three acres and had 150 feet of frontage on a public street. The applicable zoning ordinance required that a buildable lot contain at least two acres and have frontage of not less than 100 feet on a public street.

A brother and sister owned the land as tenants in common, the brother owning a one-third interest and the sister owning a two-thirds interest. Neither of them owned any other real property.

The sister brought an appropriate action to partition the land and proposed that a two-acre rectangular lot with 100 feet of frontage be set off to her and that a one-acre rectangular lot with 50 feet of frontage be set off to the brother. The brother's defense included a demand that the land be sold and its proceeds be divided one-third to the brother and two-thirds to the sister.

Who will prevail?

A. The brother, because partition by sale is the preferred remedy, unless a fair price is not the likely result of a sale.

B. The brother, because the zoning ordinance makes it impossible to divide the land fairly.

C. The sister, because partition by sale is not appropriate if the subject property can be physically divided.

D. The sister, because the ratio of the two lots that would result from her proposal conforms exactly to the ownership ratio.

Explanation:

Tenancy in common is shared ownership of property where each co-tenant has a separate share of the property, but the right to possess and enjoy the entire property (ie, separate but undivided interests). A co-tenant may bring an **action to partition** (ie, divide) the property and, absent an agreement to the contrary, a court *must* grant that request. There are two types of partition:

In kind – **physical division** of the property into distinct lots that are proportionate to each co-tenant's ownership interest

By sale – **forced sale** of the property where the proceeds are divided in accordance with each co-tenant's ownership interest

Partition in kind is the preferred method of partition. But when **physical division** of the land is impossible, impracticable, or **inequitable**, a court will grant a **partition by sale (Choices A & C)**.

Here, the brother and sister are tenants in common on three acres of undeveloped land with 150 feet of street frontage. The sister proposed a partition in kind where the brother would receive his one-third interest (one acre with 50 feet of frontage). But the ordinance makes it impossible to divide the land fairly since it would prohibit the brother from building on his lot. Therefore, the brother will prevail in his demand for a partition by sale.

(Choice D) Although the sister's proposal divides the land in conformity with the ownership ratio, a partition in kind would be inequitable since the brother would not be able to build on his lot. Therefore, the land will be partitioned by sale and the proceeds will be divided proportionately—ie, one-third to the brother and two-thirds to the sister.

Educational objective:

In a tenancy in common, a co-tenant may bring an action for partition in kind or by sale. If a partition in kind (ie, physical division of the land) is impossible, impracticable, or inequitable, a court will grant a partition by sale.

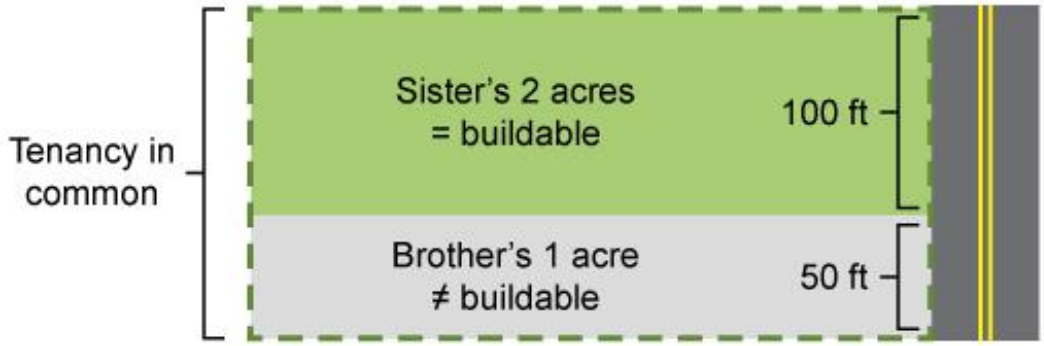
References

Restatement (First) of Property § 72 (Am. Law Inst. 1936) (right to partition).

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Inequitable partition in kind



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A man died, leaving a will that devised his land to "my wife for life, remainder to my son and the heirs of his body. But if my son dies without children, then the land shall go to my nephew." Subsequently the wife died, devising all of her estate to the son. The son then sold the land to a neighbor. The son died shortly thereafter, survived only by a daughter. The daughter has now brought an appropriate action to quiet title against the neighbor and the nephew.

The common law Rule Against Perpetuities is unmodified in the jurisdiction, and the fee tail has been abolished by statute.

In this action, who will likely prevail?

A. The daughter, because the son's conveyance to the neighbor extinguished the nephew's interest.

B. The neighbor, because the son held the land in fee simple absolute.

C. The nephew, because he held the remainder following the son's interest.

D. The nephew, because the language in the man's will did not create an interest in the son.

Explanation:

There are three types of freehold estates, all of which can be held as a present interest or future interest:

Fee simple – lasts for an indefinite and potentially infinite duration (eg, "to A and his heirs")

Fee tail – lasts until the **original grantee's lineage dies out** (eg, "to A and the **heirs of his body**")

Life estate – terminates upon the death of an individual serving as the governing life (eg, "to A for life")

Fee tails were once commonly used to pass land from generation to generation through a series of life estates in the original grantee's heirs. Today, the fee tail has been **abolished by statute** in nearly every jurisdiction—including this one.* As a result, these jurisdictions typically **interpret the fee tail** as giving the first grantee a **fee simple absolute**, which has no corresponding future interest due to its indefinite duration.

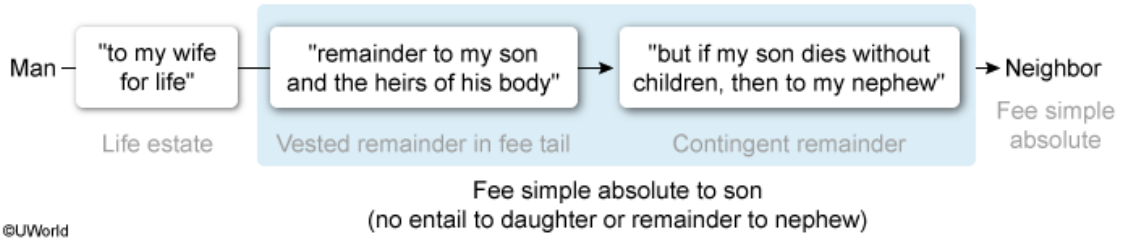
Here, the man devised the son a fee tail that became possessory when the mother's life estate terminated upon her death **(Choice D)**. Since this jurisdiction likely interprets the fee tail as a fee simple absolute, neither the daughter nor the nephew held a future interest in the estate **(Choices A & C)**. And when the son sold the land to the neighbor, the neighbor acquired the son's fee simple absolute. Therefore, the neighbor will likely prevail in this quiet title action.

*In jurisdictions that still recognize the fee tail, the fee-tail holder can eliminate the fee tail (ie, disentail) by conveying that interest in fee simple absolute to a third party, who then acquires the property in fee simple absolute.

Educational objective:

Nearly every jurisdiction has abolished the fee tail, and a conveyance of this estate is commonly interpreted as giving the first grantee a fee simple absolute.

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An individual owned land in fee simple. She executed a will, which devised the land "to my husband for life, and then to my daughter, but if my grandson graduates from college, to my grandson." At the time of the individual's death, her husband, daughter, and grandson are alive, and her grandson is in high school.

What interest in the land does the individual's grandson have?

A. Contingent remainder.

B. Power of termination.

C. Shifting executory interest.

D. Springing executory interest.

Explanation:

An **executory interest** is a **future interest in a grantee** that generally cuts short, or divests, a prior estate upon the happening of a specified condition. There are two types of executory interests:

Shifting – divests an estate held by another grantee, such that the estate ***shifts*** **from one grantee** to another (the executory-interest holder)

Springing – divests an estate held by a grantor, such that the estate ***springs*** **from the grantor** to the executory-interest holder

Here, the grandson (grantee) has a future interest in the land because he is not entitled to immediate possession. Since his interest will cut short the daughter's (other grantee's) interest in the land if and when he graduates from college, the grandson has a *shifting* executory interest **(Choice D)**.

(Choice A) A remainder is a future interest created in a grantee that is capable of becoming a present possessory estate upon the natural expiration of a life estate or term of years.* Here, the daughter (not the grandson) has a remainder interest that will become possessory as soon as the husband dies and his life estate naturally ends.

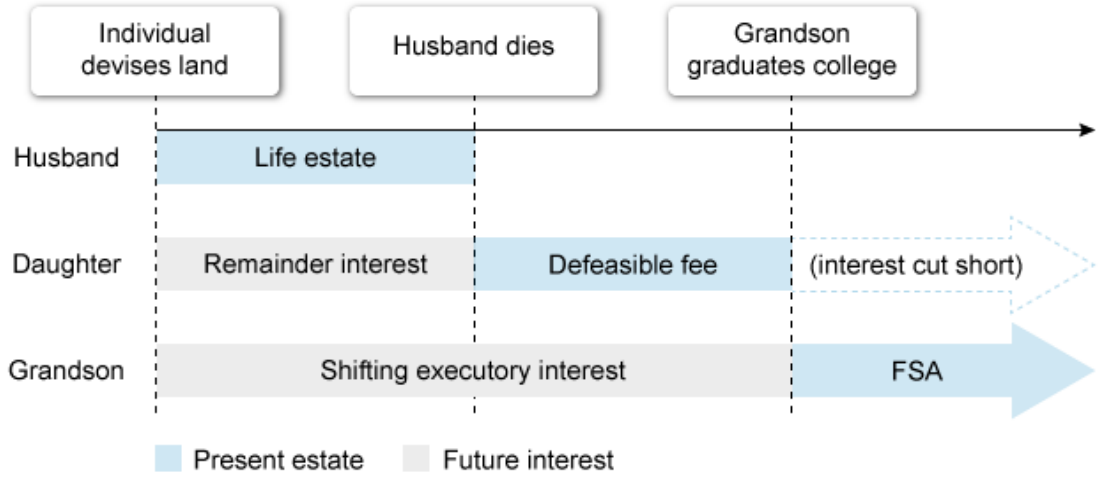
*A remainder can also follow a fee tail, but this estate has been eliminated in most states.

(Choice B) A power of termination (ie, right of entry) is a future interest created in a *grantor*. It follows a fee simple subject to a condition subsequent and allows the grantor or his/her successor in interest to terminate the estate upon the happening of a specified condition. Here, the future interest in question belongs to the grandson—not the individual (grantor)—so it cannot be a power of termination.

Educational objective:

A *shifting* executory interest divests an estate held by another *grantee*, such that the estate shifts from one grantee to another (the executory-interest holder). In contrast, a *springing* executory interest divests an estate held by a *grantor*, such that the estate springs from the grantor to the executory-interest holder.

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FSA = Fee simple absolute.

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An owner of land devised the land to a specific university "for the purpose of conducting field research for the improvement of agricultural products and for no other purpose." The owner devised all of her other real property interests to her granddaughter. The owner's only heir was her son. Later, the university decided to build a science classroom on the land even though using the land for the enumerated purpose was still practicable. The owner's granddaughter, asserting ownership of the land, sought to evict the university from the land.

There is no applicable statute, and the common law Rule Against Perpetuities is unmodified in the jurisdiction.

If the court rules in favor of the university, what is the most likely reason?

A. The *cy pres* doctrine applies to the university's current use of the land.
B. The granddaughter's executory interest in the land is void under the Rule Against Perpetuities.
C. The owner's son, not the granddaughter, is the proper plaintiff to seek eviction.
D. The university owns the land in fee simple absolute because the devise did not include conditional or durational language.

Explanation:

Fee simple estates

Type		**Language**	**Future interest**
Indefeasible	**Fee simple absolute**	"To A" "To A and his heirs"	None
Defeasible	**Fee simple determinable**	Durational "so long as" "during" "until"	*Grantor's* possibility of reverter *Third party's* executory interest (**fee simple subject to executory limitation**)
	Fee simple subject to condition subsequent	Conditional "but if" "provided that" "unless"	*Grantor's* right of entry

Like a fee simple absolute (FSA), a **defeasible fee** is ownership of potentially infinite duration. But unlike an FSA, a defeasible fee can be terminated by the occurrence of a stated event. Defeasible fees are **limited by** specific **durational or conditional language** (eg, "so long as," "but if"). However, language that **limits only** the **purpose of the transfer** (eg, "for the purpose of") creates an **FSA**.

Here, the owner's devise did not include conditional or durational language. Instead, the owner devised the land to the university "for *the purpose* of conducting field research for the improvement of agricultural products and for no other purpose." This conveyance created an FSA—not a defeasible fee—so the university is free to do with the land as it sees fit (eg, build a science classroom thereon). For that reason, the court will most likely rule in favor of the university.

(Choice A) The *cy pres* doctrine allows courts to reform the conveyance of a *future* interest—not the university's *present* interest—to come as close as possible to the transferor's intent while preventing it from violating the Rule Against Perpetuities.* Additionally, this doctrine only applies to a charitable gift or trust when the charitable objective is or later becomes impossible or impracticable to fulfill (not seen here).

(Choices B & C) The owner's conveyance created an FSA, which has no associated executory interest or other future interest. As a result, neither the son nor the granddaughter has an interest in the land. But had the owner conveyed a defeasible fee and retained the associated future interest, the granddaughter (not the son) would hold that

future interest. That is because the owner left all of her other real property interests to the granddaughter.

*The Rule Against Perpetuities (RAP) does not apply to future interests held by the grantor. Therefore, had the granddaughter succeeded to a future interest held by the owner (eg, possibility of reverter), it would not be subject to RAP.

Educational objective:

Defeasible fees are limited by specific durational or conditional language (eg, "so long as," "but if"). Language that limits only the purpose of the transfer creates a fee simple absolute.

References

Restatement of Property § 44 cmt. m (Am. Law Inst. 1936) (discussing designated purpose of conveyance).

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A manicurist entered into a one-year agreement to lease a nail salon from a landlord. During the first six months of the lease, the plumbing in the building functioned properly. During the seventh month, a pipe under the bathroom sink began leaking over a three-day weekend, causing flooding throughout the nail salon. The manicurist took reasonable steps to mitigate damages, including turning off the water to the bathroom sink and cleaning up the excess water to prevent water damage to the floors. The manicurist was still able to operate the nail salon despite the leaking pipe but not at full capacity. She notified the landlord about the leaking pipe, but the landlord refused to repair the faulty plumbing. The manicurist refused to pay the following month's rent, and the landlord has filed a breach-of-contract action against her.

For whom is the court likely to decide?

A. For the landlord, because he did not have a duty to repair the plumbing.

B. For the landlord, because the implied covenant of quiet enjoyment does not apply to commercial leases.

C. For the manicurist, because she took reasonable steps to mitigate damages.

D. For the manicurist, because the leaking pipe resulted in a constructive eviction.

Explanation:

Landlord's duty to repair leased premises

Type of lease	Common law	Majority rule
Residential	No duty to repair unless statute or contract requires	Duty to repair substantial defects under implied warranty of habitability
Commercial	No duty to make ordinary repairs unless statute or contract requires	

At common law and in most jurisdictions, courts are **reluctant to impose** the **implied warranty of habitability** on **commercial leases**. Therefore, absent some statutory or contractual obligation, a commercial **landlord** has **no duty to make repairs** *unless*:

the **repair is so substantial** that it would not ordinarily fall within the tenant's common-law duty to repair *or*

the repair would **primarily benefit** the **value** of the **landlord's property**.

This duty to repair most commonly arises in cases of **major structural damage** (eg, repairing a roof or damaged exterior wall).

Here, there is no indication that a statute or the commercial lease agreement required the landlord to make repairs to the nail salon. Additionally, the leaking pipe required an *ordinary* repair that primarily benefited the manicurist's use of the property (as opposed to the landlord's property's value). Therefore, the landlord did *not* have a duty to repair the plumbing, and the court will likely decide in his favor.

(Choice B) Every commercial and residential lease contains an implied covenant of quiet enjoyment, which promises that the landlord will not interfere with the tenant's *possession* of the leased premises. Since the landlord did not interfere with the manicurist's possession of the nail salon, this covenant does not apply.

(Choice C) The fact that the manicurist took reasonable steps to mitigate damages is irrelevant. The landlord had no duty to repair the plumbing, and even if he did, the manicurist would have a duty to mitigate only if she were statutorily or contractually obligated to do so.

(Choice D) When a landlord breaches a duty to a tenant that substantially interferes with the tenant's use and enjoyment of the leasehold (eg, fails to provide heat or water), this constructive eviction excuses the tenant's obligation to pay rent. Here, no constrictive eviction occurred because the landlord did not breach a duty to the manicurist and the leak did not *substantially* interfere with the manicurist's ability to operate the nail salon.

Educational objective:

Absent a statutory or contractual duty, a commercial landlord has no duty to make repairs unless the repair (1) is so substantial that it falls outside the tenant's common-law duty to repair or (2) would primarily benefit the value of the landlord's property.

References

49 Am. Jur. 2d Landlord & Tenant § 443 (2020) (stating that the implied warranty of habitability does not apply to commercial leases).

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An elderly man leased a barn to his neighbor for a term of three years. The neighbor took possession of the barn and used it for his farming purposes. The lease made the elderly man responsible for structural repairs to the barn, unless they were made necessary by actions of the neighbor.

One year later, the elderly man conveyed the barn and its associated land to his granddaughter "subject to the lease to my neighbor." The neighbor paid the next month's rent to the granddaughter. The next day a portion of an exterior wall of the barn collapsed because of rot in the interior structure of the wall. The wall had appeared to be sound, but a competent engineer, on inspection, would have discovered its condition. Neither the granddaughter nor the neighbor had the barn inspected by an engineer. The neighbor was injured as a result of the collapse of the wall.

The elderly man had known that the wall was dangerously weakened by rot and needed immediate repairs when the neighbor took possession but had not told the neighbor or his granddaughter. There is no applicable statute.

The neighbor brought an appropriate action against the elderly man to recover damages for the injuries he sustained. The granddaughter was not a party.

Which of the following is the most appropriate comment concerning the outcome of this action?

A. The neighbor should lose, because he failed to inspect the barn.
B. The neighbor should lose, because the granddaughter assumed all of the elderly man's obligations by reason of the neighbor's attornment to her.
C. The neighbor should recover, because the elderly man knew of the danger but did not warn the neighbor.
D. The neighbor should recover, because there is privity between lessor and lessee and it cannot be broken unilaterally.

Explanation:

Dangerous conditions on land

(landlord's duties)

Warn tenant of known latent (hidden) defects on land
Safely perform repairs
Ensure common areas are in safe condition
Maintain areas necessary for safe use of land (eg, walls, roof)
Keep land in good repair (lease provision required)
Protect entrants from dangerous condition on land leased for public purpose
Landlords have **no duty to warn** tenants about **dangerous conditions** on the premises **unless** those conditions are latent. Dangerous **latent defects** are conditions that:

the landlord **knows, or should know**, pose an unreasonable risk of physical harm
exist when the **tenant takes possession** *and*
could not be discovered by the tenant's reasonable inspection.
A landlord who breaches this duty is **liable** for **physical harm caused by the condition**—even after the landlord conveys the leased property to another.

Here, the elderly man knew that the barn wall was dangerously weakened by rot when the neighbor took possession. Since the neighbor's inspection of the barn would not have revealed the rot (only an engineer would have found it), the man had a duty to warn the neighbor about the wall. The man failed to do so and is therefore liable for the neighbor's injuries—even after conveying the barn to his granddaughter.

(Choice A) The neighbor's failure to inspect the barn is of no consequence because he could not have discovered the defect upon inspection.

(Choice B) Attornment occurs when a tenant accepts a new landlord in place of an old one. However, the new landlord does not become liable for dangerous latent defects until he/she has had a reasonable opportunity to discover and take effective precautions against them. Here, just one day had passed since the barn was conveyed to the granddaughter, so she had no reasonable opportunity to discover the defect.

(Choice D) There is privity of contract (shared interest under the lease) and privity of estate (successive rights to possess the property) between a lessor and lessee. Privity of estate can be broken unilaterally when either party conveys his/her entire interest under the lease, but privity of contract cannot. And though privity may create a duty, the neighbor cannot recover unless he also shows that duty was breached.

Educational objective:

A landlord must warn a tenant about dangerous latent conditions that (1) the landlord knows, or should know, pose an unreasonable risk of physical harm, (2) exist when the tenant takes possession, and (3) could not be discovered by reasonable inspection.

References

Restatement (Second) of Property § 17.1, cmt. l (Am. Law Inst. 1977) (landlord's liability for latent defects following a transfer of the landlord's interest).

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Twenty years ago, the owner of a one-acre tract of land duly delivered a deed of the land "to the school district so long as it is used for school purposes." The deed was promptly and properly recorded. Five years ago, the owner died, leaving a son as his only heir; however, by his duly probated will, he left "all my estate to my friend."

Last month, the school district closed its school on the land and for valid consideration duly executed and delivered a quitclaim deed of the land to a developer, who planned to use the land for commercial development. The developer has now brought an appropriate action to quiet title against the son, the friend, and the school district.

The only applicable statute is a provision in the jurisdiction's probate code which provides that any property interest that is descendible is devisable.

In such action, the court should find that title is now in whom?

A. The developer.

B. The friend.

C. The school district.

D. The son.

Explanation:

Fee simple estates

Type		**Language**	**Future interest**
Indefeasible	**Fee simple absolute**	"To A" "To A and his heirs"	None
Defeasible	**Fee simple determinable**	Durational "so long as" "during" "until"	*Grantor's* possibility of reverter *Third party's* executory interest (**fee simple subject to executory limitation**)
	Fee simple subject to condition subsequent	Conditional "but if" "provided that" "unless"	*Grantor's* right of entry

A **fee simple determinable** (FSD) is created with durational language (eg, "until") and automatically terminates upon the happening of a specified event or condition (eg, when land is no longer used for school purposes). An FSD is followed by either:

a **possibility of reverter** – when the estate automatically **reverts back to the grantor** upon the happening of the specified event (presumed if not expressly stated) *or*

an **executory interest** – when the estate automatically **passes to a third party** upon the happening of the specified event (must be expressly stated).

Both these future interests are **freely transferable** during life, **devisable** by will, and **descendible** by inheritance.

Here, the deed conveyed created an FSD in the school district and a possibility of reverter in the owner. The owner devised all of his estate—including the possibility of reverter—to the friend, leaving no interest for the son to inherit upon the owner's death **(Choice D)**. And since the school district's estate automatically terminated when it closed the school, it had nothing to convey to the developer in the quitclaim deed **(Choices A & C)**. Instead, title to the land automatically transferred to the friend, the reversionary interest holder.

Educational objective:

A fee simple determinable is followed by either a possibility of reverter (if it reverts to the grantor) or an executory interest (if it passes to a third party). Both future interests are freely transferable during life, devisable by will, and descendible by inheritance.

References

Restatement of Property §§ 159, 164–65 (Am. Law Inst. 1936) (transferability of reversionary interests).

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An elderly man and a landlord entered into a one-year agreement to lease a one-bedroom apartment. Six months into the lease, the man accidentally fell down a flight of stairs and broke his hip. As a result, he was no longer able to care for himself, and his family moved him into a nursing home. The man ceased paying rent for the next two months. When the landlord finally reached the man at the nursing home, the man informed the landlord that he had left the apartment two months earlier and did not intend to return. The landlord notified the man that he did not accept the man's abandonment of the lease, and for the remaining four months of the lease, the landlord did not take any steps to re-rent the abandoned apartment despite receiving multiple inquiries about the apartment.

The landlord has sued the man for breach of contract to recover damages for unpaid rent.

What amount of damages will the court likely hold the man liable for?

A. Two months' rent, because the man is not liable for future rent after he provided notice of abandonment to the landlord.

B. Four months' rent, because the landlord affirmatively rejected the man's abandonment of the lease.

C. Six months' rent, because the landlord did not have a duty to mitigate damages upon the man's unjustifiable abandonment.

D. None, because the man's abandonment of the lease was justifiable due to necessity.

Explanation:

A **tenant's unjustifiable abandonment** of leased property is treated as an **offer to surrender** rights under the lease. The landlord can then accept or reject the tenant's offer. If the **offer is rejected**, the lease continues and the tenant must continue paying rent. However, in a majority of jurisdictions, the landlord has a **duty to mitigate damages** by making a **reasonable effort to re-rent** the property.* If the landlord fails to do so, then the landlord's damages will be reduced by what the landlord could have reasonably received by re-renting the property.

Here, the man stopped paying rent for two months before informing the landlord that he had abandoned the leased apartment. Although the man abandoned the lease because of his medical needs, a tenant's personal circumstances rarely justify abandonment **(Choice D)**. Therefore, the man is liable for those two months of unpaid rent.

The landlord then rejected the man's offer to surrender his rights under the lease, so the man remained obligated to pay rent for the four months left under the lease. But since the landlord failed to take any steps to re-rent the apartment pursuant to his duty to mitigate damages—even after receiving multiple inquiries about the apartment—the court will likely find that the man is *not* liable for the remaining four months of rent **(Choices B & C)**.

*A landlord who re-rents the premises for less than the price in the lease may hold the tenant liable for any deficiency.

Educational objective:

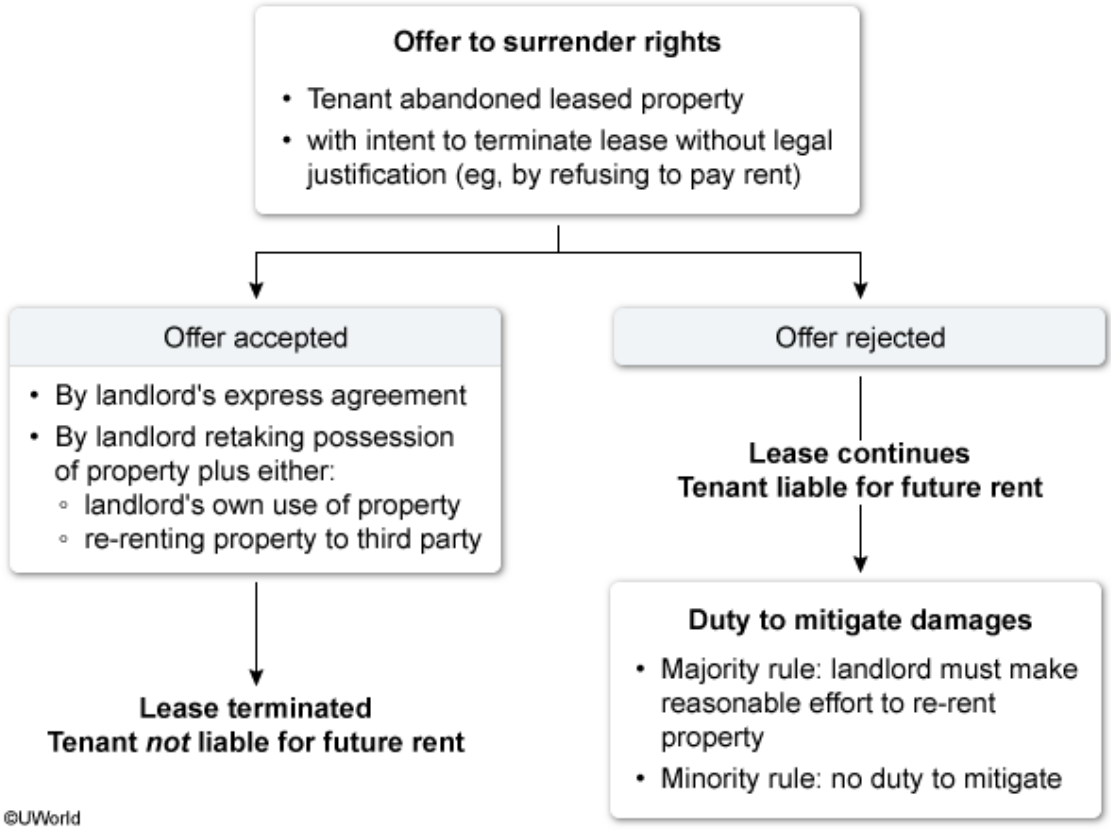
If a landlord rejects a tenant's offer of abandonment, the tenant is obligated to pay rent for the remainder of the lease. However, in most jurisdictions, a landlord has a duty to mitigate damages by making a reasonable effort to re-rent the property and the tenant's liability for rent will be reduced accordingly.

References

49 Am. Jur. 2d Landlord & Tenant § 609 (2020) (discussing a landlord's duty to mitigate damages).

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Unjustifiable abandonment of leased property



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A brother and sister were jointly in possession of land in fee simple as tenants in common. They joined in a mortgage of the land to a bank. The brother erected a fence along what he considered to be the true boundary between the land and the adjoining property, owned by the neighbor. Shortly thereafter, the brother had an argument with the sister and gave up his possession of the land. The debt secured by the mortgage had not been paid.

The neighbor surveyed his land and found that the fence erected a year earlier by the brother did not follow the true boundary. Part of the fence was within the brother and sister's land. Part of the fence encroached on the neighbor's land. The neighbor and the sister executed an agreement fixing the boundary line in accordance with the fence constructed by the brother. The agreement, which met all the formalities required in the jurisdiction, was promptly and properly recorded.

A year after the agreement was recorded, the brother temporarily reconciled his differences with the sister and resumed joint possession of the land. Thereafter, the brother repudiated the boundary-line agreement and brought an appropriate action against the neighbor and the sister to quiet title along the original true boundary.

In such action, will the brother prevail?

A. No, because the agreement, as a matter of law, was mutually beneficial to the brother and sister.

B. No, because the sister was in sole possession of the land at the time the agreement was signed.

C. Yes, because one tenant in common cannot bind another tenant in common to a boundary-line agreement.

D. Yes, because the bank was not a party to the agreement.

Explanation:

Consent between cotenants in common

(common examples)

Consent required	Convey entire co-owned property
	Obtain exclusive possession over part of property
	Bind other cotenants' interests in contract with third party
No consent required	Sell, lease, or devise personal ownership interest
	Possess entire co-owned property
	Extract minerals from co-owned property (unless committing waste)

Tenancy in common is concurrent ownership of land where each co-tenant has a share of the property but an equal right to possess the whole property (ie, separate but undivided interests). A co-tenant **may transfer his/her own interest** without the other co-tenants' consent. However, a co-tenant **cannot transfer other co-tenants' interests** or **bind them under a contract** affecting the property (eg, a boundary-line agreement).

Here, the brother and sister share the land in fee simple as tenants in common. The sister and the neighbor executed a contract fixing the boundary line in accordance with a fence erected by the brother. Although the brother was not in possession of the land at the time the agreement was signed, he was still a co-tenant **(Choice B)**. Therefore, the sister could not bind him to that agreement, and he will likely prevail.

(Choice A) When a contract is mutually beneficial to all co-tenants, it is presumed that they have all ratified (ie, confirmed or accepted) the contract. And though ratification renders an otherwise invalid contract valid, a presumed ratification is rebutted when a co-tenant repudiates the agreement (as seen here).

(Choice D) Under the lien theory of mortgages (majority rule), a lender has a security interest—but not title—in the mortgaged property. Therefore, the fact that the bank was not a party to the boundary-line agreement does not render it unenforceable against the brother. Instead, the brother is not bound because *he* was not a party.

Educational objective:

Although a tenant in common may freely transfer his/her interest to a third party, that tenant cannot transfer another co-tenant's interest or bind another co-tenant to a contract affecting the shared property.

References

20 Am. Jur. 2d Cotenancy and Joint Ownership § 93 (2018) (ability to bind other co-tenants).

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A married couple purchased a residence. They took title to the property as tenants by the entirety. Subsequently, they separated, with the husband moving out and the wife remaining in the residence with their minor child. The husband has filed an action to partition the residence, which the wife opposes.

How should the court rule on the husband's partition action?

A. For the husband, because the couple is no longer living together in the residence.

B. For the husband, because the court can order the sale of the residence rather than its physical division.

C. For the wife, because she is living in the residence with their minor child.

D. For the wife, because the couple is married.

Explanation:

A **tenancy by the entirety** (TBE) is a type of cotenancy that is available only to **married couples**. As a result, the TBE terminates upon divorce and becomes a tenancy in common. While tenants in common can unilaterally request a partition (which the court must grant), a TBE can only be **partitioned if both spouses consent**. That is because tenants by the entirety are viewed as a single marital unit.

Here, the married couple took title to the residence as tenants by the entirety. Although the couple separated and no longer live together in the residence, they are still married **(Choice A)**. This means that the TBE remains intact, and the husband cannot partition the residence without the wife's consent. Therefore, the court should rule for the wife.

(Choice B) Although courts prefer a partition in kind (ie, physical division of property), a court may order a partition by sale if physically dividing the property is not feasible or fair. But here, the court should not partition the residence by either method because the couple is still married and the wife opposes the partition action.

(Choice C) In many states, after a divorce, a former spouse residing in the family residence with a minor child may have the right to remain there for a statutory period. This would be relevant in a divorce action, but not this partition action.

Educational objective:

A tenancy by the entirety is only available to married couples and can only be partitioned if both spouses consent.

References

41 Am. Jur. 2d Husband and Wife § 32 (2020) (no right to partition tenancy by the entirety without consent).

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Cotenants' right to partition

Type of tenancy	Voluntary partition (by agreement of all cotenants)	Involuntary partition (by request of one cotenant)
Tenancy in common	✓	✓
Joint tenancy	✓	✓
Tenancy by the entirety	✓	

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Thirty years ago, a landowner conveyed land by warranty deed to a church (a charity) "so long as the land herein conveyed is used as the site for the principal religious edifice maintained by said church."

Twenty years ago, the landowner died intestate, survived by a single heir.

One year ago, the church dissolved and its church building situated on the land was demolished.

There is no applicable statute. The common law Rule Against Perpetuities is unmodified in the jurisdiction.

In an appropriate action, the landowner's heir and the attorney general, who is the appropriate official to assert public interests in charitable trusts, contest the right to the land.

In this action, who will prevail?

A. The attorney general, because cy pres should be applied to devote the land to religious purposes to carry out the charitable intent of the landowner.
B. The attorney general, because the landowner's attempt to restrict the church's fee simple violated the common law Rule Against Perpetuities.
C. The landowner's heir, as successor to the landowner's possibility of reverter.
D. The landowner's heir, because a charity cannot convey assets donated to it.

Explanation:

Fee simple estates

Type		**Language**	**Future interest**
Indefeasible	**Fee simple absolute**	"To A" "To A and his heirs"	None
Defeasible	**Fee simple determinable**	Durational "so long as" "during" "until"	*Grantor's* possibility of reverter *Third party's* executory interest (**fee simple subject to executory limitation**)
	Fee simple subject to condition subsequent	Conditional "but if" "provided that" "unless"	*Grantor's* right of entry

Defeasible fees are fee simple estates that automatically terminate if a specified event or condition occurs. One type of defeasible fee is a **fee simple determinable** (FSD), which is created with **durational language** (eg, "so long as"). An FSD is followed by either:

a **possibility of reverter** – when the estate automatically **reverts back to the grantor** upon the happening of the specified event (presumed if not expressly stated) *or*

an **executory interest** – when the estate automatically **passes to a third party** upon the happening of the specified event (must be expressly stated).

Here, the landowner conveyed the church an FSD followed by the landowner's possibility of reverter. When the landowner died, his possibility of reverter was inherited by his sole heir. So when the church dissolved and its principal religious edifice (ie, the church building) was demolished, title automatically reverted to the landowner's heir. Therefore, the heir will prevail.

(Choice A) When a charitable trust no longer serves the purpose for which it was created, courts can use the cy pres doctrine to redirect the trust to a similar charity or purpose. However, this doctrine does not apply when the conveyance includes a possibility of reverter (as seen here) or otherwise dictates what should happen when the assets for the trust are no longer used.

(Choice B) Under the Rule Against Perpetuities, specific future interests are void if there is any possibility that the interest will not vest within 21 years after the end of all lives in

being at the creation of the interest. But this rule does *not* apply to future interests held by the grantor (eg, a possibility of reverter) OR charitable trusts.

(Choice D) A charity *can* convey assets donated to it.

Educational objective:

A fee simple determinable is a defeasible fee created with durational language. Unless otherwise stated, it is presumed that the estate will automatically revert back to the grantor if the terminating event or condition occurs.

References

Restatement of Property § 44 (Am. Law Inst. 1936) (fee simple determinable).

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A man owned a tract of land in fee simple. By will duly admitted to probate after his death, the man devised the land to "any wife who survives me for life with remainder to such of my children as are living at her death."

The man was survived by his wife and by two daughters and a son. Thereafter, the son died and by will duly admitted to probate devised his entire estate to a friend. The son's sole heirs at law were the two daughters.

Later, the wife died. In an appropriate lawsuit to which the two daughters and the friend are parties, title to the land is at issue.

In such lawsuit, judgment should be that title to the land is in which party?

A. The two daughters and the friend, because the earliest vesting of remainders is favored and reference to the wife's death should be construed as relating to time of taking possession.

B. The two daughters and the friend, because the provision requiring survival of children violates the Rule Against Perpetuities since the surviving wife might have been a person unborn at the time of writing of the will.

C. The two daughters, because the remainders were contingent upon surviving the life tenant.

D. The two daughters, because the son's remainder must descend by intestacy and is not devisable.

Explanation:

Vested remainders v. Contingent remainders

	Definition	Examples
Vested	Remainder *not* subject to condition precedent & held by identifiable living person	"... remainder to A"
Contingent	Remainder subject to condition precedent or held by unknown / unborn person	"... remainder to A, but only if A outlives B" "... remainder to my heirs"

A life estate is a present possessory interest in real property that expires upon the death of an individual. The future interest that follows a life estate is either a reversion (if it is held by the grantor) or a **remainder** (if it is **created in a grantee**—as seen here). A remainder is **contingent** if it is held by an **unknown or unborn person** OR subject to a **condition precedent**.

Here, the man devised a life estate in the land to his wife and a remainder to his children—but only if they survived the wife. Because the children's remainders were contingent upon surviving the wife, no child's interest can vest before the wife's death. This is true regardless of whether there is a policy favoring early vesting **(Choice A)**. And since the son died *before* the wife, the son never acquired an interest in the land to devise to his friend. Therefore, the two daughters—both of whom were alive when the wife died—have title to the land.

(Choice B) A future interest that violates the Rule Against Perpetuities (RAP) is void. Therefore, had the children's remainders violated RAP, the daughters would *not* take title to the land.

(Choice D) Remainders (whether they are vested or contingent) are transferable inter vivos, devisable by will, and inheritable by intestate succession.

Educational objective:

Future interests following a life estate are called remainders if they are created in a grantee. And remainders are contingent if they are (1) held by an unknown or unborn person or (2) subject to a condition precedent.

References

Restatement of Property § 157 cmt. u (Am. Law Inst. 1936) (contingent remainders).

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A grantor owned two tracts of land, one of 15 acres and another of 5 acres. The two tracts were a mile apart.

Fifteen years ago, the grantor conveyed the smaller tract to a grantee. The grantor retained the larger tract. The deed to the grantee contained, in addition to proper legal descriptions of both properties and identifications of the parties, the following language: "I, the grantor, bind myself and my heirs and assigns that in the event that the larger tract that I now retain is ever offered for sale, I will notify the grantee and his heirs and assigns in writing, and the grantee and his heirs and assigns shall have the right to purchase the larger tract for its fair market value as determined by a board consisting of three qualified expert independent real estate appraisers."

With appropriate references to the other property and the parties, there followed a reciprocal provision that conferred upon the grantor and her heirs and assigns a similar right to purchase the smaller tract, purportedly binding the grantee and his heirs and assigns.

Ten years ago, a corporation acquired the larger tract from the grantor. At that time, the grantee had no interest in acquiring the larger tract and by an appropriate written document released any interest he or his heirs or assigns might have had in the larger tract.

Last year, the grantee died. The smaller tract passed by the grantee's will to his daughter. She has decided to sell the smaller tract. However, because she believes that the corporation has been a very poor steward of the larger tract, she refuses to sell the smaller tract to the corporation even though she has offered it for sale in the local real estate market.

The corporation has brought an appropriate action for specific performance of the right of first refusal after taking all the necessary preliminary steps in its effort to exercise its right to purchase the smaller tract. The daughter has asserted all possible defenses.

The common law Rule Against Perpetuities is unmodified in the jurisdiction, and there are no applicable statutes.

If the court rules for the daughter, what will be the likely reason?

A. Noncompliance with a right to purchase gives rise to a claim for money damages, but not for specific performance.

B. The grantee's release 10 years ago operates as a waiver regarding any right to purchase that the corporation might have.

C. The provision setting out the right to purchase violates the Rule Against Perpetuities.

D. The two tracts of land were not adjacent parcels of real estate, so the right to purchase is in gross and therefore unenforceable.

Explanation:

A **right of first refusal** is a contractual right to purchase property before any other person *if* the owner later decides to sell. As a result, it is a contingent future interest that is subject to the **Rule Against Perpetuities** (RAP).

RAP renders such interests **void if** there is any possibility that they ***could* vest** more than **21 years after** some relevant **life in being** at the creation of the interest. Therefore, rights of first refusal almost always **violate RAP** if they are **not set to terminate**—either temporally (eg, calendar date) or by referencing a life in being (eg, within 21 years of the grantee's death)—within the perpetuities period.

Here, the corporation seeks to enforce its right of first refusal over the daughter's smaller tract. Since the deed creating this interest references the parties' heirs and assigns without any mention of a termination date, this right of first refusal could be exercised *after* the perpetuities period. Therefore, the right of first refusal is invalid under RAP, and the court will likely rule for the daughter on this basis.*

*Since this jurisdiction follows the common-law RAP, this right of first refusal is struck ab initio (ie, from the beginning). But had this jurisdiction adopted the majority "wait and see" stance, the right would have been valid since it vested within 90 years of its creation.

(Choice A) Specific performance is available when money damages are inadequate. Since land is considered unique and money damages cannot compensate for the loss of unique property, this remedy is generally available to those with a right to purchase.

(Choice B) The grantee's waiver of his own right of first refusal as to the *larger* parcel does not waive the corporation's right to purchase the *smaller* parcel at issue here.

(Choice D) The adjacency of the tracts is irrelevant. Had the right of first refusal been valid, it would have ripened into a right to purchase in gross (ie, in full) when the seller received an offer from a third-party purchaser. And a right to purchase in gross *is* enforceable if it complies with RAP.

Educational objective:

To comply with the Rule Against Perpetuities, a right of first refusal must be set to vest or fail within the perpetuities period—ie, within 21 years after some relevant life in being at the creation of the interest.

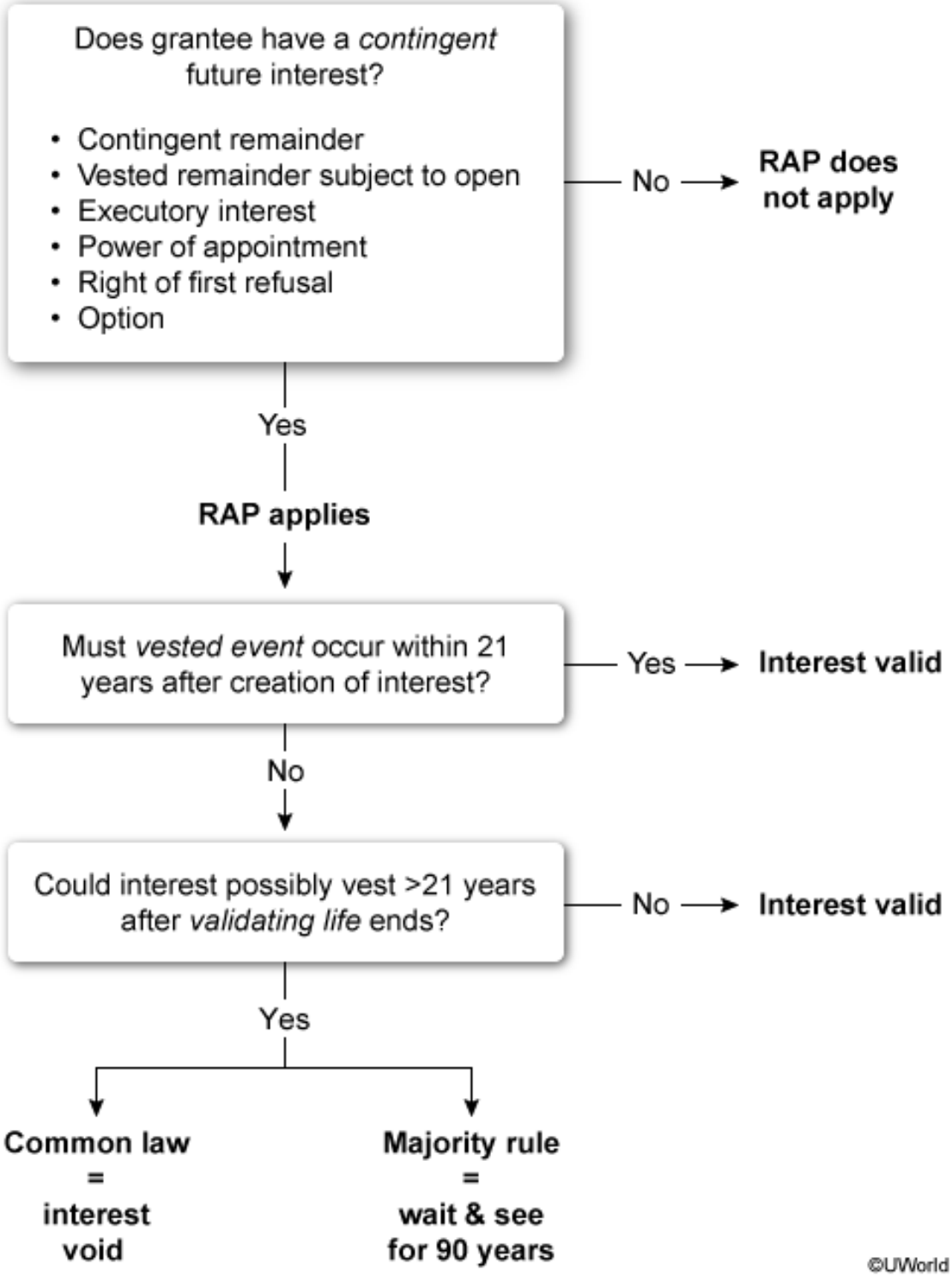
References

61 Am. Jur. 2d Perpetuities and Restraints on Alienation § 5 (2020) (Rule Against Perpetuities).

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Rule against perpetuities (RAP)



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Seven years ago, a man, his sister, and his cousin became equal owners, as tenants in common, of a house. Until a year ago, the man lived in the house alone. The sister and the cousin are longtime residents of another state.

One year ago, the man moved to an apartment and rented the house to a tenant for three years under a lease that the man and the tenant both signed. The tenant has since paid the rent each month to the man.

Recently, the sister and the cousin learned about the rental. They brought an appropriate action against the tenant to have the lease declared void and to have the tenant evicted. The tenant raised all available defenses.

What will the court likely decide?

A. The lease is valid, and the tenant is not evicted but must share possession with the sister and the cousin.
B. The lease is valid, and the tenant retains exclusive occupancy rights for the balance of the term.
C. The lease is valid, but the tenant is evicted because one-third of the lease term has expired and the man had only a one-third interest to transfer.
D. The lease is void, and the tenant is evicted.

Explanation:

Consent between cotenants in common

(common examples)

Consent required	Convey entire co-owned property
	Obtain exclusive possession over part of property
	Bind other cotenants' interests in contract with third party
No consent required	Sell, lease, or devise personal ownership interest
	Possess entire co-owned property
	Extract minerals from co-owned property (unless committing waste)

Tenancy in common is concurrent ownership of property where each co-tenant has a separate share of the property but the right to possess and enjoy the entire property (ie, separate but undivided interests). A tenant in common may **lease** or otherwise transfer his/her property interest to a third party **without the other co-tenants' consent**. But the other **co-tenants are entitled** to:

possess and use the entire property with the third party *and*
share expenses and income (eg, rent) generated by the property in proportion to their property interests.

Here, the man, sister, and cousin share the house as tenants in common. The man leased the house to a tenant, who then paid rent to the man. And though the sister and cousin only recently learned of this lease, it is valid (not void) because the man did not need their consent to lease his property interest. As a result, the court will likely decide that the tenant is not evicted but must share possession with the sister and cousin **(Choices B & D)**.

(Choice C) Although the man (an equal owner) had only a one-third interest in the house, he was entitled to lease his right to possess and enjoy the *entire* house to the tenant. And since two-thirds of the lease term still remain, the tenant should not be evicted.

Educational objective

A tenant in common has the right to lease (or otherwise transfer) his/her separate, undivided property interest to a third party without the other co-tenants' consent. But the other co-tenants have the right to share possession of the property with the third party and receive a share of the rental income in proportion to their property interests.

References

20 Am. Jur. 2d Cotenancy and Joint Ownership § 31 (2018) (defining tenancy in common).

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A pastor owned a vacant one-acre tract of land. Five years ago, he executed a deed conveying the land to "my church for the purpose of erecting a church building thereon." Three years ago, the pastor died, leaving his son as his sole heir at law. His duly probated will left "all my Estate, both real and personal, to my friend."

The church never constructed a church building on the land, and last month the church, for a valid consideration, conveyed the land to a real estate developer.

The real estate developer brought an appropriate action to quiet title against the son, the friend, and the church, and joined the appropriate state official. Such official asserted that a charitable trust was created that has not terminated.

In such action, who should the court find for?

A. The friend.

B. The real estate developer.

C. The son.

D. The state official.

Explanation:

Fee simple estates

Type		**Language**	**Future interest**
Indefeasible	**Fee simple absolute**	"To A" "To A and his heirs"	None
Defeasible	**Fee simple determinable**	Durational "so long as" "during" "until"	*Grantor's* possibility of reverter *Third party's* executory interest (**fee simple subject to executory limitation**)
	Fee simple subject to condition subsequent	Conditional "but if" "provided that" "unless"	*Grantor's* right of entry

Like fee simple absolutes (FSAs) and other freehold estates,* **defeasible fees** are ownership interests in land that last for an indeterminate duration. But unlike FSAs, defeasible fees may be terminated by the happening of a stated event. Defeasible fees are **limited by** specific **durational or conditional language** (eg, "so long as," "but if"). However, language that **limits only** the **purpose of the transfer** (eg, "for the purpose of") creates an **FSA**.

Here, the pastor conveyed the land "to my church *for the purpose of* erecting a church building thereon." This conveyance created an FSA—not a defeasible fee—so the fact that the church never constructed a church building on the land did not terminate its ownership interest in the land. Therefore, the church effectively conveyed the land to the real estate developer, and the real estate developer should win the action.

*To be categorized as a freehold (eg, life estates, estates in fee), an estate must be immobile (eg, land, fixtures) AND last for an indeterminate duration (eg, for the life of X). In contrast, a leasehold is an immobile estate that lasts for a limited duration (eg, 15 years).

(Choices A & C) Had the church's ownership interest in the land terminated and reverted back to the pastor, the friend—not the son—would own the land because the pastor's will left his entire estate to the friend.

(Choice D) A trust is an arrangement in which a trustee holds property at the request of another (settlor) for the benefit of a third party (beneficiary). A charitable trust is one created for a charitable purpose, and it is enforceable by the appropriate state official (ie,

the attorney general). But here, no trust was created since the church is the beneficiary *and* the holder of the property (no trustee).

Educational objective:

Defeasible fees are limited by specific durational or conditional language. Language that limits only the purpose of the transfer instead creates a fee simple absolute.

References

Restatement of Property § 44 cmt. m (Am. Law Inst. 1936) (discussing designated purpose of conveyance).

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A woman died and in her duly probated will devised a tract of land to her son "for life" and then to "the heirs of his body in fee simple absolute." The son used the tract to secure a loan from a bank. When the son defaulted on the debt, the bank initiated foreclosure proceedings. A buyer acquired the tract at the foreclosure sale and promptly sold the tract to a friend. Both the buyer's deed and the friend's deed referenced the woman's will for the description of the parcel, and both deeds were promptly recorded.

Twenty years later, the son died intestate, leaving two children as his only heirs. The children have sued the friend, claiming ownership of the land under a 30-year marketable title act.

If common law rules have not been modified in the jurisdiction, who will likely prevail?

A. The children, because the friend acquired the son's life estate, which terminated when the son died.

B. The children, because the friend's deed referenced the woman's will, which served as a notice of claim under the marketable title act.

C. The friend, because the children failed to record a notice of claim.

D. The friend, because the friend acquired the son's interest in fee simple absolute.

Explanation:

Under the **common law**, the **Rule in Shelley's Case** applies when an instrument grants:

a freehold estate (eg, life estate) to a person *and*
a **remainder** to the **same person's heirs** or the heirs of that person's body.
When this occurs, that **person** is considered to hold **the freehold estate AND the remainder**, so the person's heirs take nothing under the granting instrument. And under the **doctrine of merger**, if there is no intervening interest, the freehold estate and the remainder merge so that the person takes in **fee simple absolute** (FSA).

Here, the woman's will devised a life estate to the son and the remainder to the heirs of his body. The son is therefore considered to hold the life estate *and* the remainder. Since there is no intervening interest (eg, had another life estate followed the son's life estate), the son's interests merged into an FSA that the buyer acquired at the foreclosure sale and subsequently conveyed to the friend. Therefore, the friend will likely prevail.

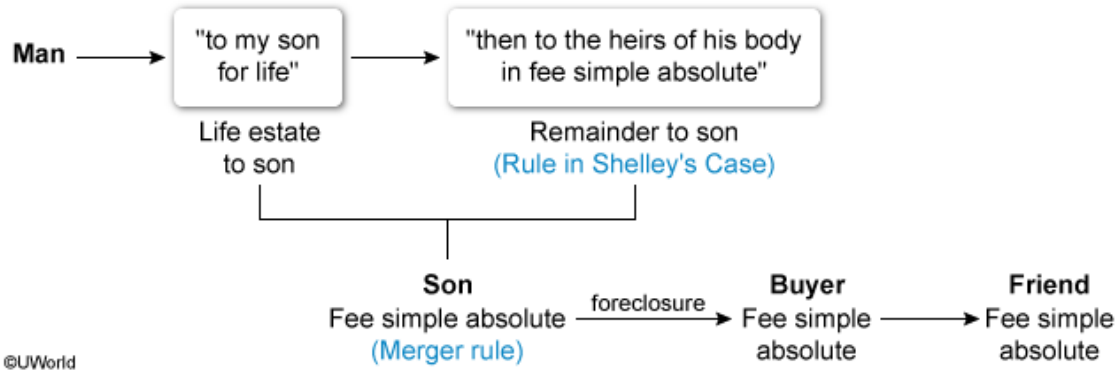
Had this jurisdiction abolished the Rule in Shelley's Case (as most others have done), the parties would have taken the freehold estate and remainder in accordance with the language in the deed. This means that the son would have received a life estate—subsequently acquired by the buyer and then the friend—that would have terminated upon the son's death. And the children would have received the remainder and therefore prevailed **(Choice A)**.

(Choices B & C) Marketable title acts extinguish any title defects that have not been recorded within the statutory period (here, 30 years). Since the buyer's and friend's *recorded* deeds referenced the granting language from the woman's will, this likely satisfied the act's recording requirement. However, the children still have no claim to enforce.

Educational objective:

Under the Rule in Shelley's Case, an instrument that grants a freehold estate to a person and a remainder to that same person's heirs gives that person both interests. If there is no intervening interest, then the merger rule consolidates those interests into a fee simple absolute.

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Man
"to my son for life"
"then to the heirs of his body in fee simple absolute"
Life estate to son
Remainder to son
(Rule in Shelley's Case)
Son
Fee simple absolute
(Merger rule)
foreclosure
Buyer
Fee simple absolute
Friend
Fee simple absolute
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A father owned property in fee simple. The small house on the property was occupied, with the father's oral permission, rent-free by his son and the son's college classmate. The son was then 21 years old.

The father, by properly executed instrument, conveyed the property to "my beloved son, his heirs and assigns, upon the condition precedent that he earn a college degree by the time he reaches the age of 30. If, for any reason, he does not meet this condition, then the property shall become the sole property of my beloved daughter, her heirs and assigns." At the time of the conveyance, the son and his classmate attended a college located several blocks from the property. Neither had earned a college degree.

One week after the delivery of the deed to the son, he recorded the deed and immediately told the classmate that he was going to begin charging the classmate rent since "I am now your landlord." There is no applicable statute.

The son and the classmate did not reach agreement, and the son served the appropriate notice to terminate whatever tenancy the classmate had. The son then sought, in an appropriate action, to oust the classmate.

Who should prevail?

A. The classmate, because he is a tenant of the father, not of the son.

B. The classmate, because the father's permission to occupy preceded the father's conveyance to the son.

C. The son, because the conveyance created a fee simple subject to divestment in the son.

D. The son, because the father's conveyance terminated the classmate's tenancy.

Explanation:

A **tenancy at will**—a tenancy with no fixed term that can be created by express agreement or by implication if the tenant occupies the premises rent-free—generally continues until terminated by either the landlord or the tenant. A tenancy at will **terminates automatically** when the landlord **conveys a present interest** in the property to a third party. But when the landlord **conveys a future interest**, the tenancy **continues**. In that case, the **future interest holder** has **no right to terminate the tenancy**.

Here, the son and the classmate lived in the father's house rent-free (tenancy at will). The father then conveyed a property interest in the home to the son that could become possessory if he earned a college degree before age 30 (future interest). Therefore, that conveyance did not automatically terminate the classmate's tenancy, so the classmate was still the father's tenant **(Choice D)**. And since the son (future interest holder) had no right to terminate that tenancy, the classmate should prevail in the son's action to oust the classmate.

(Choice B) Although the father's permission to occupy the house preceded the conveyance, the son would prevail in his ouster action if the father had conveyed a *present* interest to the son (since that would have terminated the classmate's tenancy automatically). Therefore, the classmate should not prevail on this basis.

(Choice C) After the conveyance, the *father* had a fee simple subject to divestment—a present possessory interest that could be cut short upon the happening of a stated condition (ie, if the son graduated college before age 30). The son only had a future interest that could become possessory if that condition occurred.

Educational objective:

A tenancy at will can be terminated (1) by the landlord or the tenant or (2) automatically when the landlord conveys a *present* interest in the property to a third party. But when the landlord conveys a *future* interest, the tenancy continues, and the future interest holder has no right to terminate that tenancy.

References

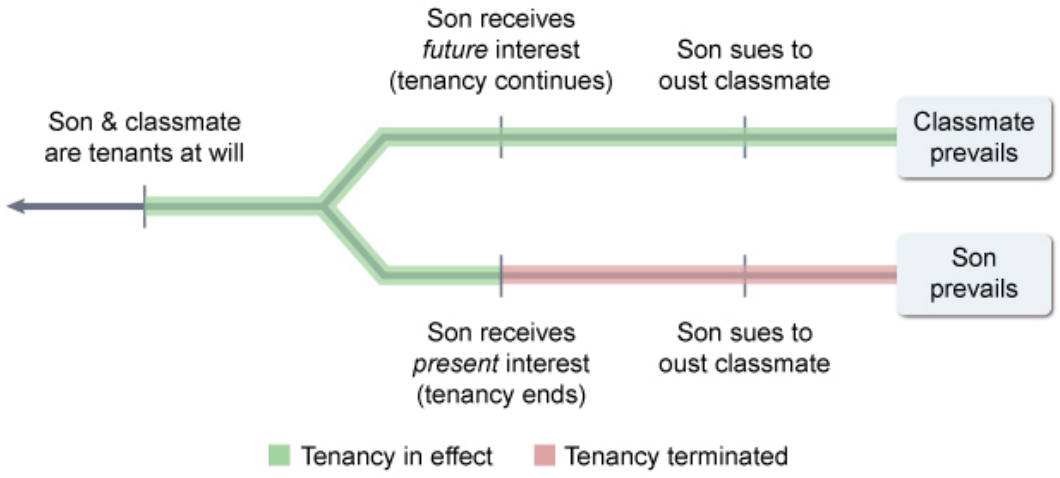
Restatement (Second) of Prop.: Landlord & Tenant § 1.6 (Am. Law Inst. 1977) (tenancy at will).

Restatement (Second) of Prop.: Landlord & Tenant § 15.1 (Am. Law Inst. 1977) (termination of tenancy at will upon landlord's conveyance).

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Effect of landlord's conveyance on tenancy at will



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By deed, a landowner conveyed land to a charity "on the condition that the land be used as a wildlife refuge, and if not, the landowner and his heirs may enter and terminate the estate hereby created." The following year the landowner died. His sister was his sole heir. By will, the landowner devised "all of my real property interests to my friend." One year after the landowner's death, the sister, by quitclaim deed, conveyed any interest she had in the land to a developer. Two years after the landowner's death, the landowner's sister died. Her sole heir was her husband. Recently, three years after the landowner's death, the charity ceased to use the land as a wildlife refuge.

Who may properly bring an action against the charity to recover fee simple ownership of the land?

A. The developer.

B. The landowner's friend.

C. The sister's husband.

D. No one.

Explanation:

A **fee simple subject to a condition subsequent** (FSSCS) is created through specific conditional language, such as "but if" or "on the condition that." Upon the **occurrence of the condition**, the **grantor** (or his/her successor in interest) has the right to **enter and terminate the estate if** the grantor **explicitly retained this right of entry*** in the conveyance. In most jurisdictions, the right of entry is freely alienable during life and fully transferable upon death—ie, **devisable** by will, or if not devised, **descendible** through intestate succession.

Here, the landowner conveyed an FSSCS to the charity and retained a right of entry that could be exercised if the land was no longer used as a wildlife refuge. The landowner then devised all of his real property interests—including the right of entry—to his friend. And since the charity recently ceased to use the land as a wildlife refuge, the friend can exercise the right of entry and bring an action to recover ownership of the land **(Choice D)**.

*This right is also known as the "power of termination" or the "right of reentry."

(Choices A & C) The landowner devised all of his real property interests to the friend, leaving no interest in the land for the sister to inherit upon his death. Because the sister had no interest in the land to convey to the developer by quitclaim deed or for her husband to inherit upon her death, neither of them may bring an action to recover ownership of the land from the charity.

Educational objective:

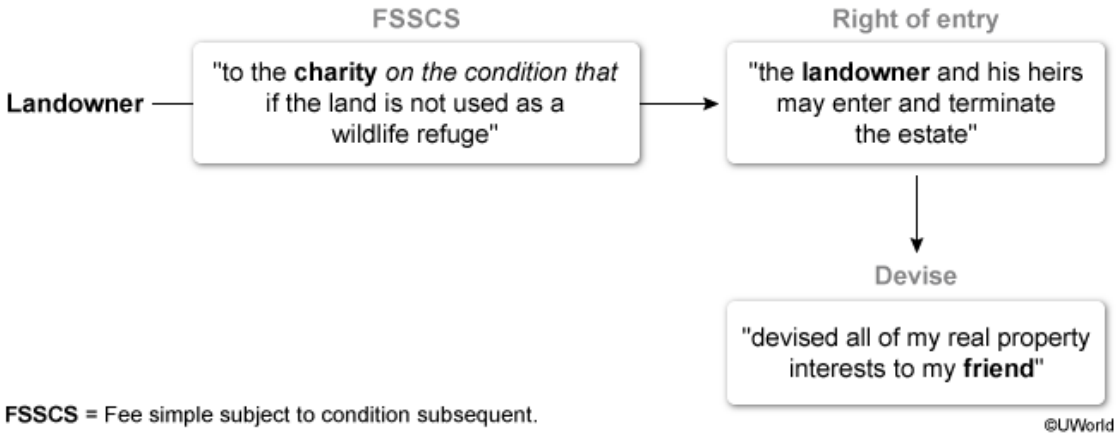
The grantor of a fee simple subject to a condition subsequent can explicitly retain a right of entry, which allows the grantor (or his/her successor in interest) to enter and terminate the estate if the stated condition occurs. This right is freely alienable during life, and it is devisable by will or descendible through intestate succession upon death.

References

Restatement (First) of Property § 45 (Am. Law Inst. 1936) (fee simple subject to a condition subsequent).

Restatement (First) of Property § 155 (Am. Law Inst. 1936) (power of termination or right of entry).

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FSSCS = Fee simple subject to condition subsequent.

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An individual who was domiciled in State A throughout her life deeded land in State A to a charity organized under the laws of State B but retained a right of entry if the land was not used for a charitable purpose. Later in her life, the individual transferred the right of entry to a creditor. The individual then devised her entire estate to her son shortly before she died. Recently, the charity ceased to use the land for a charitable purpose. The son and the creditor are domiciled in State B.

The law of State A, adhering to the common law, does not permit an inter vivos transfer of a right of entry. The law of State B permits a right of entry to be transferred during the owner's life.

The son has initiated a lawsuit in a state court in State B seeking a declaratory judgment that he is the owner of the land and naming the charity and the creditor as parties in this action.

Is the court likely to rule in the son's favor?

A. No, because the court in State B must apply the law of State B.

B. No, because the parties to this action are domiciled in State B.

C. Yes, because the individual was domiciled in State A throughout her life.

D. Yes, because the law of State A likely governs this matter.

Explanation:

Conflict-of-laws rule for real property issues

General rule	In cases involving real property, law applied by forum court should be determined by conflict-of-laws rule that would be applied by state where property is located
Exceptions	Document specifies application of specific jurisdiction's laws Issues regarding effect of marriage on interest in land Collateral issues (eg, whether transferor perpetrated fraud) Issues regarding mortgage note (eg, validity of note) Foreclosure-related issues that do not affect interest in land (eg, mortgagee's right to sue mortgagor for underlying debt before foreclosure)

A **conflict-of-laws issue** arises when significant aspects of a legal action are divided between two or more states and there is a conflict as to which state's law applies (as seen here). If such a conflict arises in a case **involving real property**, the general conflict-of-laws rule is as follows:

The **law applied** by the forum court should be **determined by** the **conflict-of-laws rule** that would be applied by the courts of the **situs state**—ie, the state where the property is located.

The conflict-of-laws rule of the situs state typically directs the **application of its own local law** on that issue (ie, the law of the situs) in resolving the matter.

Here, the land is located in State A, so the law of State A (law of the situs) likely governs this matter. Since the law of State A does *not* permit an inter vivos transfer of a right of entry, the individual could not transfer her right of entry to the creditor during her lifetime. Instead, it passed to her son under her will. Therefore, the State B court will likely rule in the son's favor **(Choice A)**.

(Choice B) The fact that the parties to this action are domiciled in State B shows that the State B court has personal jurisdiction over them. But this does not determine which state's law governs the matter.

(Choice C) Although the individual was domiciled in State A throughout her life, the situs of the property (not the domicile of the transferor) determines the law to be applied in this matter.

Educational objective:

When there is a conflict-of-laws issue in a case involving real property, the general rule is that the applicable law should be determined by the conflict-of-laws rule of the state where

the property is located (ie, situs state). This usually results in the application of the situs state's local law on that issue.

References

Restatement (Second) of Conflict of Laws § 223 (Am. Law Inst. 1971) (validity and effect of conveyance of interest in land).

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Sixty years ago by a properly executed and recorded deed, a man conveyed a tract of land: "To my grandson for life, then to my grandson's widow for her life, then to my grandson's child or children in equal shares." At that time, the grandson was six years old.

Shortly thereafter, the man died testate. The grandson was the man's only heir at law. The man's will left his entire estate to his church.

Twenty-five years ago, when he was 41, the grandson married a woman who was then 20 years old; they had one child, a son. The grandson's wife and son were killed in an automobile accident three years ago when the son was 21. The son died testate, leaving his entire estate to a charity. His father, the grandson, was his sole heir at law.

Two years ago, the grandson married another woman. They had no children. This year, the grandson died testate, survived by his widow, to whom he left his entire estate.

The common law Rule Against Perpetuities is unchanged by statute in the jurisdiction.

In an appropriate action to determine ownership of the land, the court should find that title is vested in whom?

A. The charity, because the son had a vested remainder interest (as the only child of the grandson) that it inherited, the life estate to the grandson's widow being of no force and effect.
B. The church, because the grandson's widow was unborn at the time of conveyance and, hence, the remainder violated the Rule Against Perpetuities.
C. The grandson's widow, because her life estate and her inheritance from the grandson (who was the man's sole heir at law and who was the son's sole heir at law) merged the entire title in her.
D. The grandson's widow for life under the terms of the man's deed, with the remainder to the charity as the successor in interest to the son, the grandson's only child.

Explanation:

A life estate is a present possessory interest in land that terminates on the death of an individual. The future-interest holder becomes entitled to possession once that death occurs. The **future interest** is either a reversion (if retained by the grantor) or a **remainder** (if created in **someone other than the grantor**). Both are fully transferable inter vivos,* **devisable by will**, and descendible by inheritance.

Here, the man conveyed a life estate to his grandson, which would pass first to the grandson's widow for life (remainder in life estate) and then to the grandson's child or children (remainder in fee simple absolute). The grandson had just one child, a son. Since the son died testate (ie, with a will), he effectively left his remainder interest in the land to the charity. Therefore, after the grandson's death, the widow had a life estate and the charity had the son's remainder interest **(Choices A & C)**.

*At common law and in a minority of jurisdictions, contingent remainders cannot be transferred inter vivos.

(Choice B) The Rule Against Perpetuities (RAP) renders a future interest void if there is any possibility that it could vest more than 21 years after the death of some relevant person alive when the interest was created. But here, the widow's remainder interest did *not* violate RAP because it necessarily vested at the death of the grandson.

Educational objective:

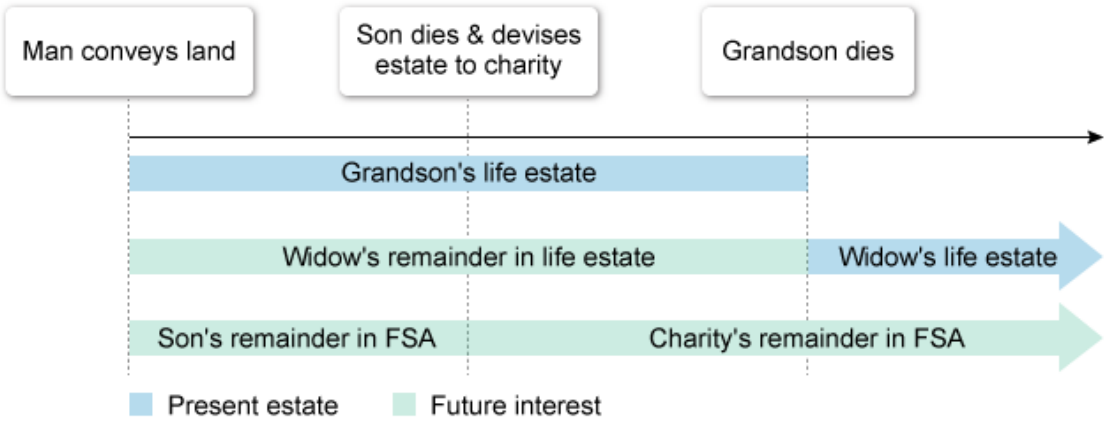
The future interest that follows a life estate is either a reversion (if held by the grantor) or a remainder (if created in someone other than the grantor). Both are transferable, devisable, and descendible.

References

Restatement of Property § 157 (Am. Law Inst. 1936) (discussing the classification of remainders).

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FSA = Fee Simple Absolute.

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A tenant entered into a one-year agreement to lease a two-bedroom home from a landlord for $1,000 per month, with rent due at the beginning of each month. The lease further provided that either party could properly terminate the lease by giving at least 30-days' notice. For eight months, the tenant paid rent on a timely basis. At the beginning of the following month, the tenant failed to pay rent. The landlord immediately contacted the tenant and demanded payment, but the tenant refused to pay. Pursuant to the terms of the lease, the tenant gave 30 days' notice of his intent to vacate the premises. The landlord subsequently sued the tenant for damages. In the meantime, the landlord re-rented the home for the remaining three months of the lease to another tenant for $800 per month.

Under the majority rule, what is the most that the landlord could potentially collect from the tenant?

A. Nothing, because the landlord did not give the tenant the opportunity to cure before re-renting.

B. $1,000, because the lease was properly terminated and the tenant is not obligated to pay future rents.

C. $1,600, because the tenant is liable for any deficiency resulting from his early termination of the lease.

D. $2,000, because the tenant is liable for the current month and rent that accrues during his 30-day notice period.

Explanation:

Landlord's remedies for tenant's failure to pay rent

Sue for rent	Can sue for rent as it comes due, several accrued rents, or entire amount at end of lease term
	Majority rule – cannot recover future rents unless lease contains acceleration clause
	Minority rule – can recover future rents minus (1) reasonable rental value of premises for remainder of lease *or* (2) actual rent collected on re-rental
Terminate & evict	Majority rule – must give tenant notice & opportunity to cure before terminating lease or evicting tenant
	Minority (common law) rule – cannot evict tenant for failure to pay rent

A tenant's primary duty is to pay rent. If the tenant breaches this duty by failing to pay rent as it comes due, then the landlord can sue the tenant for damages. In determining the landlord's damages, the majority rule is that the **doctrine of anticipatory repudiation does not apply to leases**. This means that the landlord is **not entitled to damages** for ***future* rents** that would have been due under the lease.*

Therefore, under the majority rule, the most the landlord could potentially collect from the tenant in this scenario is the one month's rent that the tenant failed to pay—ie, $1,000.

*Some leases contain rent-acceleration clauses, which allow the landlord to declare all future rents immediately due and payable if the tenant fails to pay rent. But there is no indication that this lease contains such a clause.

(Choice A) Notice and an opportunity to cure are only required when a *landlord* attempts to evict a tenant. But here, the *tenant* sought termination of the lease.

(Choices C & D) In the minority of states that apply the doctrine of anticipatory repudiation to leases, a landlord is generally entitled to the difference between future rents that would have been due for the remainder of the lease and either:

the reasonable rental value of the premises for that period *or*

the actual rent collected on a re-renting of the premises for that period.

Here, the reasonable rental value of the premises is not stated. However, the tenant would have owed $4,000 for the remaining four months of the lease ($1,000 per month × 4), and the actual rent collected during that time is expected to be $2,400 ($800 per month × 3). So had this jurisdiction followed this doctrine, the landlord could have recovered a total of $1,600 ($4,000 - $2,400) in past and future rents.

Educational objective:

A landlord can sue a tenant for damages if the tenant fails to pay rent as it comes due. But since the doctrine of anticipatory repudiation does not apply to leases (majority rule), the landlord is not entitled to damages for any *future* rents that would have been due under the lease.

References

49 Am. Jur. 2d Landlord and Tenant § 615 (2020) (time to sue in actions for recovery of rent).

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Six months ago, a man told his cousin that he would give her his farm as a gift on her next birthday. The cousin then entered into a valid written contract to sell the farm to an investor with the closing to take place "one week after [the cousin's] next birthday."

The man failed to convey the farm to the cousin on her birthday. One week after the cousin's birthday, on the intended closing date, the investor first learned of the cousin's inability to convey the farm because the man had breached his promise. The investor considered suing the cousin but realized that the cousin could not be compelled to convey the farm because it was still owned by the man.

Two weeks after the cousin's birthday, the man died. Under his valid will, the man devised the farm to the cousin. Within a week, the executor of the man's estate gave the cousin an executor's deed to the farm in compliance with state law. The investor promptly learned of this transfer and demanded that the cousin convey the farm to her. The cousin refused.

The investor sued the cousin for specific performance.

Who will likely prevail?

A. The cousin, because she received title by devise rather than by conveyance.

B. The cousin, because the contract to convey was not signed by the legal owner of the farm as of the date of the contract and was therefore void.

C. The investor, because the contract to convey merged into the executor's deed to the cousin.

D. The investor, because the contract to convey remained enforceable by her within a reasonable period of time after the proposed closing date.

Explanation:

The sale of real property typically comprises three parts:

Execution of the sales contract – the buyer promises to pay the purchase price in exchange for the seller's promise to deliver title

Executory period – the buyer can inspect the property, secure a loan, and review title documents; the seller can repair the property or correct imperfections in the title

Closing – the **seller formally transfers title** by delivering the deed to the buyer; the buyer pays the purchase price

A closing date is not an essential term of a land-sale contract, so the **seller's performance** is due **at or within a reasonable** time after the **closing date** unless time is of the essence. Time is of the essence when the contract or circumstances strongly suggest that the parties intended that the closing date be strictly enforced—not the case here. Therefore, the contract between the cousin and the investor was still enforceable when the cousin acquired title to the farm shortly after the proposed closing date, and the investor will likely prevail.

(Choice A) Since the cousin acquired title within a reasonable time after the proposed closing date, she was contractually obligated to transfer title to the investor. The method through which she received title (by devise or conveyance) is irrelevant.

(Choice B) The seller need not have title at the time the land-sale contract is executed since performance is not due until closing. As a result, the cousin could sign the contract with the investor even though she was not the legal owner of the farm at that time.

(Choice C) Under the merger rule, a land-sale contract merges into the deed of conveyance at the time of closing, so only the guarantees reflected in the deed remain. This means that the contract will merge into the cousin's deed (not the executor's deed) once the deed is conveyed.

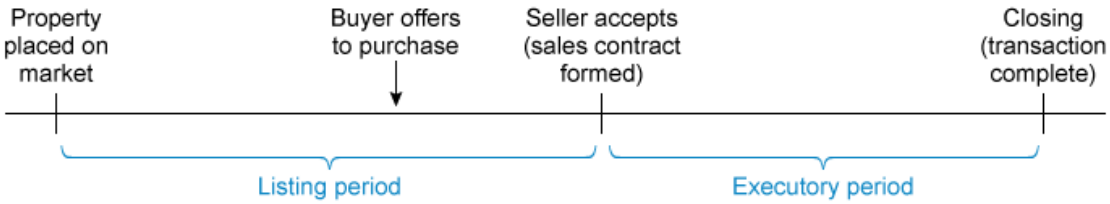
Educational objective:

A seller need not transfer title until closing or a reasonable time thereafter unless time is of the essence—ie, if the contract or circumstances strongly suggest that the parties intended the closing date to be strictly enforced.

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Timeline for sale of real estate



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A man and his neighbor owned homes on adjacent lots in a subdivision. The subdivision's recorded restrictions did not prohibit detached storage sheds, and several homeowners in the subdivision had placed such sheds in their backyards. Because the man and the neighbor thought the sheds were unsightly, they both agreed in writing not to place detached storage sheds in their respective yards. Their agreement was drafted in recordable form and stated that it was enforceable by and against all assignees, heirs, and successors. The agreement was promptly recorded.

Three years later, the neighbor gave his home to his daughter. Shortly after moving into the home, the daughter learned of the restriction. She informed the man that she planned to put a detached storage shed in her backyard, claiming that the restriction was not enforceable against her.

Does the man have the right to enjoin the neighbor's daughter from placing a detached storage shed in her yard?

A. No, because several homeowners in the subdivision have storage sheds in their yards.

B. No, because there was no horizontal privity between the man and the neighbor.

C. Yes, because the neighbor conveyed the home to the daughter by gift rather than by sale.

D. Yes, because the restriction is binding on the daughter as a successor.

Explanation:

Elements of real covenants & equitable servitudes

Real covenants		**Equitable servitudes**	
(enforceable by money damages)		(enforceable by equitable relief)	
For *burden* to run	**For *benefit* to run**	**Express**	**Implied**
Writing	Writing	Writing	Intent to create common scheme
Intent to run	Intent to run	Intent to run	Restrictive servitude
Touch & concern	Touch & concern	Touch & concern	Notice
Horizontal & vertical privity	Limited vertical privity	Notice	
Notice	No notice required		

An **equitable servitude** is a covenant to do (ie, affirmative covenant) or not do (ie, negative or restrictive covenant) something on land that is **enforceable in equity** against the promising parties and their successors in interest. An **express equitable servitude** requires the following elements:

Writing – the covenant is expressed in a writing that satisfies the statute of frauds (eg, the agreement between the man and the neighbor)

Intent to run – the promising parties intended for the promise to run to (ie, bind) their successors in interest (eg, the agreement says "enforceable by and against all assignees, heirs, and successors")

Touch and concern – the covenant relates to the use, enjoyment, or occupation of both the dominant and servient estates (eg, prohibits placing detached storage sheds in both yards)

Notice – the owner of the servient (ie, burdened) estate has actual, record, or inquiry notice of the covenant (eg, the daughter has record notice because the agreement was recorded)

Therefore, the agreement between the man and the neighbor constitutes a valid equitable servitude, and the man is entitled to enjoin the daughter (neighbor's successor in interest) from placing a detached storage shed in her yard.

(Choice A) The other homeowners—unlike the daughter—are free to place storage sheds in their yards because they are not successors in interest bound by the servitude created by the man and the neighbor.

(Choice B) Privity is required to create a real covenant that is enforceable by money damages, but it is not required to create an equitable servitude that is enforceable by equitable relief (eg, injunction—as seen here).

(Choice C) The fact that the neighbor conveyed the home to the daughter by gift rather than by sale has no effect on the outcome of this dispute.

Educational objective:

There are four elements that must be present to create an express equitable servitude: (1) the covenant must be in writing, (2) the promising parties must intend for the covenant to run to successors in interest, (3) it must touch and concern the land, and (4) the servient-estate owner must have notice of the covenant.

References

Restatement (Third) of Property: Servitudes § 5.1 (Am. Law Inst. 2000) (automatic passage of the burden and benefit with appurtenant land).

Restatement of Property § 539 (Am. Law Inst. 1944) (elements of equitable servitudes).

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When a buyer and a seller executed a valid contract for the sale of a house, the buyer gave the seller $1,000 as earnest money. The contract noted that the earnest money tendered would be applied to the purchase price at the time of sale but was silent as to remedies in the event of any default.

Just before the closing, the buyer lost her job. The buyer told the seller that she could no longer purchase the house and asked him to return the earnest money. The seller accurately told the buyer that the seller's actual losses exceeded the amount of the earnest money; that if the seller sued the buyer for damages, he would receive a minimum of $5,000; and that it would be difficult for him to sell the house in the current market.

Should the buyer get the earnest money back?

A. No, because the contract was silent regarding remedies.

B. No, because the seller's actual losses exceeded the amount of the earnest money.

C. Yes, because the buyer is no longer ready, willing, and able to purchase the house.

D. Yes, because the reason for the buyer's default was not anticipated.

Explanation:

Seller's remedies

Rescission & restitution	Rescind (ie, cancel) agreement & recover possession of property Rental value & physical damages are recoverable Buyer not liable for purchase price
Specific performance	Seek an injunction ordering buyer to pay agreed purchase price May be unavailable if money damages provide adequate compensation & property is not unique eg, condominium identical to other units in complex
Damages	Loss of bargain = contract price – market value at time of breach Liquidated damages = amount designated in the sales contract as compensation for breach Retain buyer's deposit (up to amount of seller's actual damages) Incidental & consequential damages that were contemplated during sales contract or reasonably foreseeable

Earnest money is a deposit paid by a buyer to show a good-faith intent to complete the transaction. Once accepted, the seller cannot recover other damages for breach. That is because earnest money typically **constitutes liquidated damages**—ie, an amount **agreed upon** during **good-faith** negotiations **to reasonably compensate** the injured party. These damages are **recoverable unless** they constitute a **penalty** (eg, when liquidated damages far exceed actual damages). In such a case, the seller can only recover actual damages.

Here, the buyer gave the seller $1,000 as earnest money. The contract was silent as to remedies, so the $1,000 constitutes liquidated damages **(Choice A)**. The buyer breached the contract when she reported that she could no longer purchase the house, causing the seller to sustain losses. Since those actual losses *exceed* the amount of the earnest money, the liquidated damages provision is likely enforceable. As a result, the seller should receive the full $1,000 and the buyer should not receive any earnest money back.

(Choice C) The seller is entitled to the $1,000 because the buyer is no longer ready, willing, and able to purchase the house. This fact would not allow the buyer to get the earnest money back.

(Choice D) Unless otherwise stated, liquidated damages will be paid to the injured party as compensation for any breach, regardless of whether the breach was anticipated.

Educational objective:

Earnest money typically constitutes liquidated damages, which are generally recoverable upon the buyer's breach. But if liquidated damages are deemed a penalty (eg, when they far exceed actual damages), then the seller may recover only actual damages.

References

22 Am. Jur. 2d Damages § 540 (2020) (earnest deposit considered liquidated damages).

77 Am. Jur. 2d Vendor and Purchaser § 478 (2020) (seller's recovery of liquidated damages).

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A woman owned a house on a lot abutting a public street. Six months ago, the city validly revised its zoning ordinances and placed the woman's lot and the surrounding lots abutting the public street from the north in a zone limited to residential use; the lots abutting the public street on the south side were zoned for both residential and light business use.

The woman asked the city's zoning appeals board to approve her proposal to operate a court-reporting service from her house. This type of use would be permitted on the south side of the public street and, in fact, one such business has existed there for several years.

The board approved the woman's proposal. Why?

A. A variance was granted.

B. The doctrine of amortization applied.

C. The doctrine of change of circumstances applied.

D. The woman's use of her house was a nonconforming use.

Explanation:

A **variance** is created when a local government (often a zoning board) gives a landowner **permission to deviate** from a **zoning requirement**. There are **two types** of variances:

use variances – allow land to be ***used*differently** than the currently zoned use (eg, commercial use in residential area) *and*

area variances – allow structures on the land to ***look*different** than structures on the rest of the zoned area (eg, height, lot size, building placement).

Variances are often **granted if** the landowner can show that (1) enforcement of a zoning requirement would cause the landowner **unnecessary hardship*** regarding the use of the land and (2) the variance would ***not*** be **contrary to public interest** (eg, public safety, comprehensive planning).

Here, the revised ordinance placed the woman's house in a zone limited to residential use. The enforcement of this ordinance would cause hardship to the woman's use of the land by preventing the operation of a court-reporting service from her house. This hardship would be unnecessary, and a variance would have little impact on public interest, because light business use is permitted across the street. As a result, the board likely approved the woman's proposal by granting a variance.

*Courts often reject landowners' claims of unnecessary hardship when the hardship is self-imposed or the landowner can still make use of the property without a variance.

(Choices B & D) The doctrine of amortization applies to a nonconforming use—ie, one that lawfully existed before but is now prohibited by a zoning law. Since the woman's court-reporting service does not yet exist, this doctrine does not apply. But even if it did, it would allow the government to *terminate* (not approve) a nonconforming use after a reasonable time that allows a landowner to gradually phase out or recoup an investment in that use.

(Choice C) The doctrine of changed circumstances (ie, changed conditions) terminates or prevents the enforcement of a real covenant or equitable servitude that no longer provides its intended benefit—but it does not apply to zoning ordinances.

Educational objective:

Variances are often granted if (1) enforcement of a zoning requirement would cause the landowner unnecessary hardship regarding the use of the land and (2) a variance would not be contrary to a public interest.

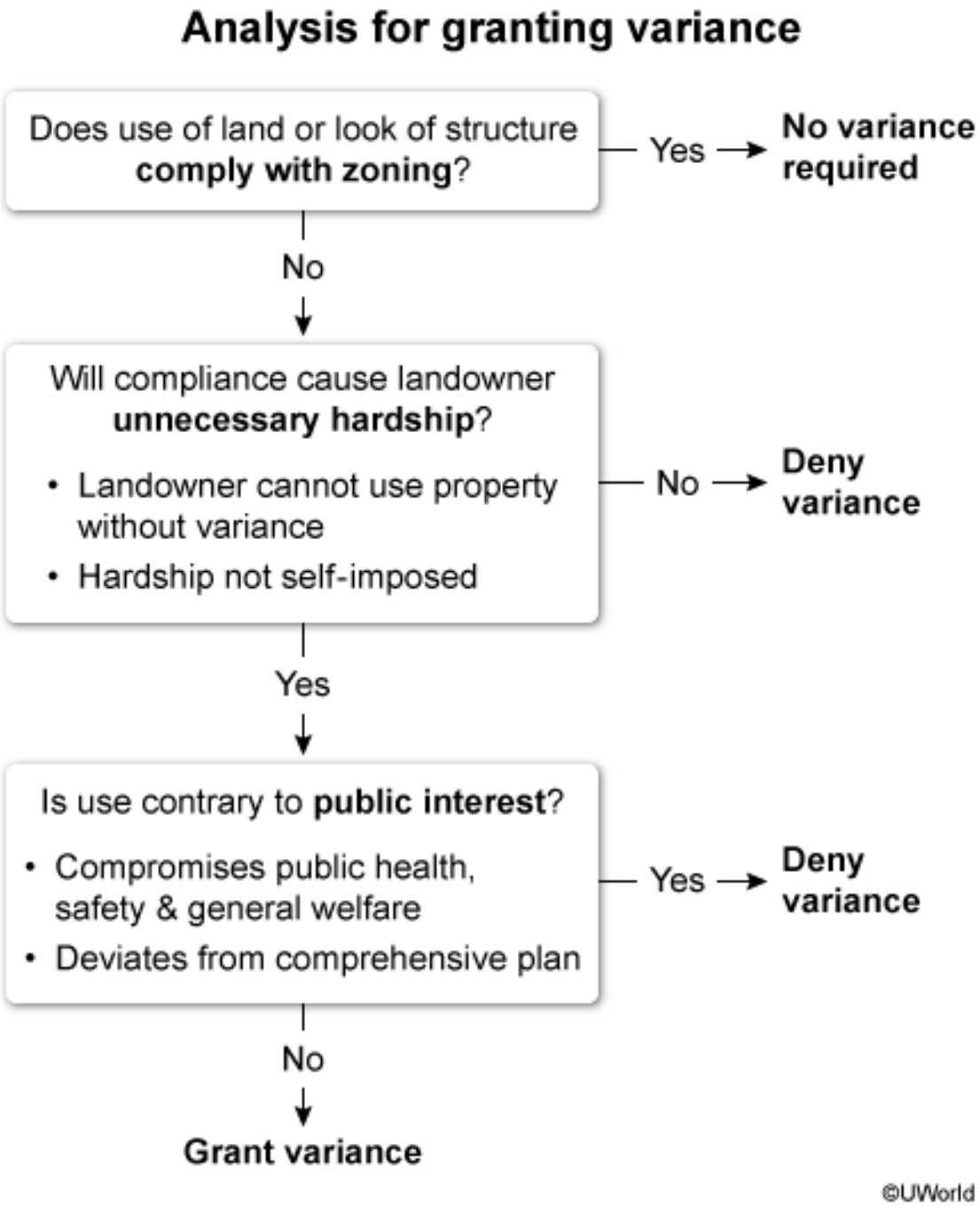
References

83 Am. Jur. 2d Zoning & Planning §§ 706–93 (2019) (providing an overview on variances).

E & F Assocs., LLC v. Zoning Bd. of Appeals, 127 A.3d 986, 990 (Conn. 2015) (defining variance and identifying considerations in granting a variance).

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Ten years ago, a couple bought a building and moved into its second-floor apartment with their teenage daughter. The couple operated a shoe store on the first floor of the building for many years. When the couple purchased the building, the area was predominantly rural and was zoned for nonresidential use. The municipality's zoning is cumulative.

Five years ago, the municipality rezoned the area to single-family residential use. The daughter was not aware of this change because she was away at college.

Recently, the daughter inherited the building from her parents. The daughter immediately moved into the apartment and took over the operation of the shoe store on the first floor. The daughter has learned that a developer is planning to build a large residential community in the area surrounding her building.

The daughter has asked her lawyer for advice regarding her ability to continue operating the shoe store.

Should the lawyer advise the daughter that she can continue to operate her shoe store?

A. No, because the nonconforming use of the building terminated when the daughter's parents died.

B. No, but the municipality must pay her reasonable compensation for her loss resulting from the change in zoning.

C. Yes, because the shoe store is a nonconforming use.

D. Yes, because the zoning is cumulative and the building is also used for single-family residential purposes.

Explanation:

A **nonconforming use** arises when property was used in a **lawful manner *before*** a **zoning law** was enacted or amended and that use continues even though it is **now prohibited** by the zoning law. When this occurs, the owner of the nonconforming use has a "grandfathered right" to **continue** that use until (1) it is enlarged, changed, or abandoned or (2) if provided in the zoning law, the amortization period has passed or the nonconforming use has not been registered.

Here, the building was in an area zoned for nonresidential use when the couple began to lawfully operate a shoe store. When the area was rezoned to single-family residential use, the shoe store became a nonconforming use. And since the shoe store was *continuously* operated by the couple and then their daughter—and there is no indication that the zoning law has an amortization period or registration requirement—the daughter should be advised that she can continue to operate her shoe store **(Choice A)**.

(Choice B) Under the Fifth Amendment takings clause, the municipality would have been required to pay the daughter reasonable compensation had the zoning law taken her private property for public use (eg, by depriving her property of its economic value). But since the law does not affect the daughter's operation of the shoe store, no compensation is required.

(Choice D) Zoning is cumulative when it allows a *higher* use to exist in a *lower* use zone, as illustrated above. Here, the area was rezoned to the highest use (residential), so the shoe store's lower use (commercial) cannot exist in that zone. This is true even though the building also has a residential use since that other use does not change the commercial character of the store.

Educational objective:

A nonconforming use may continue until (1) the owner enlarges, changes, or abandons that use or (2) if provided in the zoning law, an amortization period has passed or the use has not been registered.

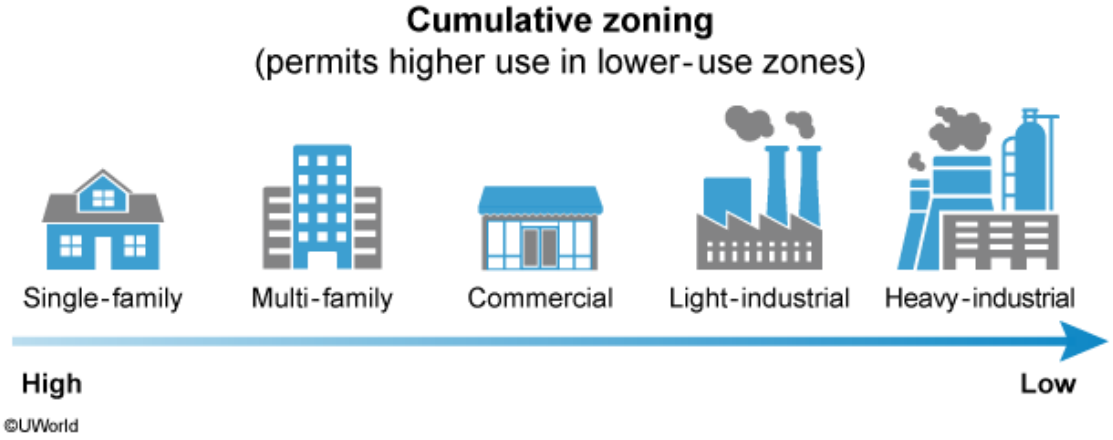
References

Pa. Nw. Distribs., Inc. v. Zoning Hearing Bd., 584 A.2d 1372, 1375–76 (Pa. 1991) (describing the right to and termination of a nonconforming use).

83 Am. Jur. 2d Zoning & Planning §§ 524–93 (2019).

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Cumulative zoning
(permits higher use in lower-use zones)
Single-family
Multi-family
Commercial
Light-industrial
Heavy-industrial
High
Low
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An unmarried couple had been living together in an apartment for several years when they decided to purchase a starter home as tenants in common. In lieu of drafting wills, the couple verbally agreed that if either of them died, the other should own the entire home.

The couple was later involved in a serious plane crash. The man died instantly, and the woman died one day later. Each was survived by a single heir.

Common law marriage is not recognized in the jurisdiction in which the home is situated. The only applicable statute is the statute of frauds.

In an appropriate action between the couple's heirs to determine ownership of the home, how will the court likely rule?

A. Each heir owns an undivided one-half interest in the home because the couple died in the same plane crash.
B. Each heir owns an undivided one-half interest in the home because the statute of frauds applies.
C. The woman's heir owns the entire home because the couple reasonably relied upon their verbal agreement and never made wills.
D. The woman's heir owns the entire home because the deed will be reformed to reflect the subsequent verbal agreement.

Explanation:

A **tenancy in common** is a concurrent estate in which each co-tenant holds a separate share of the property and the right to possess the entire property with **no right of survivorship**. But a right of survivorship can be **created by an agreement** that satisfies the statute of frauds—ie, the agreement must:

be **in writing**

be **signed by the parties** against whom it is to be enforced *and*

contain all **essential terms**.

A right of survivorship causes a co-tenant's property interest to disappear upon his/her death and allows the remaining co-tenants' interests to expand proportionately.

Here, the couple (tenants in common) agreed that whoever survived the other would own the entire home (right of survivorship). But since their agreement was *verbal*, it is unenforceable under the statute of frauds. Therefore, when the man died, his one-half interest transferred to his sole heir—not the woman. And when the woman died one day later, her one-half interest transferred to her sole heir.

(Choice A) Under the Uniform Simultaneous Death Act, when two or more persons die without a will and within 120 hours of each other, each is considered to have predeceased the others. This act does not apply here since the only applicable statute is the statute of frauds.

(Choice C) The doctrine of promissory estoppel allows a party to enforce an otherwise unenforceable promise upon which it reasonably and detrimentally relied. But reliance on a conditional promise (eg, a promise of property conditioned upon survivorship) is unreasonable. Therefore, the couple's reliance upon the right-of-survivorship agreement does not make it enforceable.

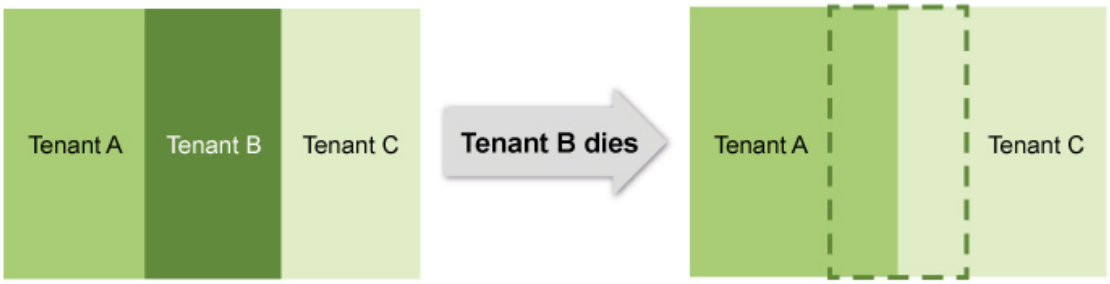
(Choice D) Reformation is an equitable remedy that is used to correct *mistakes* in a deed. Since the deed here accurately reflects the couple's apparent agreement to create a tenancy in common, the court will not reform it to reflect the later verbal agreement.

Educational objective:

A right of survivorship can be created by an agreement that satisfies the statute of frauds—ie, (1) is in writing, (2) is signed by the parties against whom it will be enforced, and (3) contains all essential terms.

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Right of survivorship



separate & undivided interests

interests expand proportionately

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A couple owned a tract of land called Lot 1. An old road ran through Lot 1 from the abutting public highway, which the couple used to haul wood from Lot 1. Without the couple's permission and with no initial right, their neighbor—the owner of Lot 2, which adjoined Lot 1—traveled over the old road for a period of 15 years to obtain access to Lot 2, although Lot 2 abutted another public road. Occasionally, the neighbor made repairs to the old road.

The period of time to acquire rights by prescription in the jurisdiction is 10 years.

After the expiration of 15 years, the couple conveyed a portion of Lot 1 to a friend. The deed included the following clause: "together with the right to pass and repass at all times and for all purposes over the old road." The friend built a house fronting on the old road.

The road was severely damaged by a spring flood, and the friend made substantial repairs to the road. The friend asked the neighbor and the couple to contribute one-third each to the cost of repairing the flood damage. They both refused, and the friend brought an appropriate action to compel contribution from the couple and the neighbor.

What is the likely outcome of this action?

A. The friend will lose as to both defendants.

B. The friend will win as to both defendants.

C. The friend will win as to the couple, but lose as to the neighbor.

D. The friend will win as to the neighbor, but lose as to the couple.

Explanation:

Repairing & maintaining easement

Duty to repair & maintain	Easement holder must repair & maintain easement to extent necessary to: prevent unreasonable interference with enjoyment of servient estate protect servient-estate owner from liability to third parties
Duty to contribute	Other easement holders and/or servient-estate owner who share easement must contribute to reasonable costs of repairs & maintenance

The **duty to repair and maintain** an easement falls on the **easement holder***—not the servient-estate owner (unless the parties agree otherwise). However, the servient-estate owner has a **duty to contribute** to the reasonable costs of repairs and maintenance **if** he/she **also uses the easement**. The same applies to other easement holders who share the use of the easement.

Here, the couple (servient-estate owner) conveyed an easement to the friend that allowed the friend to use the old road on their land. But the couple also used the road to haul wood. And the neighbor obtained a prescriptive easement to use the road by openly and continuously using the road for 15 years without the couple's permission. As a result, the couple and the neighbor were obligated to contribute to the costs incurred by the friend in repairing the road. Therefore, the friend will likely win against *both* in his action to compel contribution **(Choices A, C & D)**.

*This obligation also extends to repair and maintenance of portions of the servient estate and improvements used to enjoy the easement, so long as they are within the easement holder's control.

Educational objective:

An easement holder has a duty to repair and maintain the easement. If the easement is shared by other easement holders or the servient-estate owner, those parties are obligated to contribute to the reasonable costs of repairs and maintenance.

References

Restatement (Third) of Property: Servitudes § 4.13 (Am. Law Inst. 2000) (duty to repair and maintain easement).

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A seller and a buyer signed a contract for the sale of vacant land. The contract was silent concerning the quality of title, but the seller agreed in the contract to convey the land to the buyer by a warranty deed without any exceptions.

When the buyer conducted a title search for the land, she learned that the applicable zoning did not allow for her planned commercial use. She also discovered that there was a recorded restrictive covenant limiting the use of the land to residential use.

The buyer no longer wants to purchase the land. Must the buyer purchase the land?

A. No, because the restrictive covenant renders the title unmarketable.

B. No, because the zoning places a cloud on the title.

C. Yes, because the buyer would receive a warranty deed without any exceptions.

D. Yes, because the contract was silent regarding the quality of the title.

Explanation:

"Red flags" for marketable title

Covenants
Easements
Leases
Liens
Gaps in chain of title
Boundary disputes
Existing zoning violations
Adverse possession

All **land-sale contracts**, unless otherwise provided, **imply** that the seller will convey the buyer **marketable title** on the date of closing. Title need not be perfect to be marketable. But it must be **reasonably free from doubt** and under **no threat of litigation** such that a **reasonable person would accept** and pay for it.

A restrictive covenant is a promise to restrict the use of one's land. Here, the covenant limits the use of the land to residential use. This allows a third party to enforce the covenant, thereby posing a threat of litigation. As a result, the restrictive covenant renders title unmarketable and the buyer need not purchase the land.

(Choice B) An existing zoning *violation* may render title unmarketable, but the mere existence of a zoning code does not.

(Choice C) A buyer is not required to accept a warranty deed if the seller cannot deliver marketable title upon closing. The reason is that the doctrine of merger will cause the deed, once accepted, to subsume the land-sale contract. Any title issues will then be based on the deed instead of the guarantees in the contract.

(Choice D) When, as here, a contract is silent regarding the quality of title, it is implied that the seller will convey marketable title.

Educational objective:

It is generally implied that the seller will convey marketable title upon closing. Title is marketable if it is reasonably free from doubt and under no threat of litigation such that a reasonable person would accept and pay for it. Therefore, a restrictive covenant renders title unmarketable.

References

77 Am. Jur. 2d Vendor and Purchaser § 93 (2020) (marketable title).

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A landlord owned a house in fee simple. He leased the house to a tenant for a term of 10 years by properly executed written instrument. The lease was promptly and properly recorded. It contained an option for the tenant to purchase the house by tendering $250,000 as purchase price any time "during the term of this lease." One year later, the tenant, by a properly executed written instrument, purported to assign the option to her daughter, expressly retaining all of the remaining term of the lease. The instrument of assignment was promptly and properly recorded. Two years later, the landlord contracted to sell the house to a broker and to convey marketable title "subject to the rights of [the tenant] under her lease." The broker refused to close because of the outstanding option assigned to the daughter.

The landlord brought an appropriate action against the broker for specific performance. If judgment is rendered in favor of the landlord, it will be because the relevant jurisdiction has adopted a rule on a key issue as to which various state courts have split.

Which of the following identifies the determinative rule or doctrine upon which the split occurs, and states the position favorable to the landlord?

A. In a contract to buy, any form of "subject to a lease" clause that fails to mention expressly an existing option means that the seller is agreeing to sell free and clear of any option originally included in the lease.
B. Marketable title can be conveyed so long as any outstanding option not mentioned in the purchase contract has not yet been exercised.
C. Options to purchase by lessees are subject to the Rule Against Perpetuities.
D. Options to purchase contained in a lease cannot be assigned separately from the lease.

Explanation:

Types of option contracts

Option to purchase	Gives exclusive right to purchase property at specified price, usually within specified time
Right of first refusal	Gives first opportunity to purchase property if it ever goes up for sale

A contract for the sale of land impliedly warrants that the seller will convey marketable title to the buyer at the time of closing. If the seller cannot do so, then the buyer can rescind (ie, cancel) the contract and refuse to close. Here, the broker has refused to close because of the outstanding option to purchase assigned to the daughter.

The holder of an **option to purchase** has the exclusive right to purchase the property during a specified time (eg, "during the term of this lease"). Jurisdictions are split as to whether an option **contained in a lease agreement** can be assigned separately from the lease:

Minority rule – an option is an independent provision that *can* be assigned separately from the lease

Majority rule – an **option** is an **integral part** of the lease agreement that ***cannot* be separately assigned**

Since the majority rule would render the assignment of the option to the *daughter* invalid, this rule supports the landlord's action against the broker. However, title may remain unmarketable because the option to purchase is still held by the *tenant*. This is true regardless of whether the option is mentioned in the purchase contract **(Choice B)**.

(Choice A) A contract with a "subject to a lease" clause means that the land is being sold *subject to* an option to purchase included in the lease, even if the contract does not expressly mention an existing option.

(Choice C) An option to purchase is subject to the Rule Against Perpetuities, which voids an option if there is any possibility that it could vest more than 21 years after some relevant life in being at the creation of the interest. The option here will vest (or not vest) by the end of the tenant's 10-year lease, so it satisfies this rule.

Educational objective:

An option to purchase gives the option-holder the exclusive right to purchase the property during a specified time. If the option is contained within a lease, it cannot be assigned separately from that lease in most jurisdictions.

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A tenant leased a commercial property from a landlord for a 12-year term. The property included a large store and a parking lot. At the start of the lease period, the tenant took possession and with the landlord's oral consent installed counters, display cases, removable shelving, and special lighting. Both parties complied with all lease terms.

The lease is set to expire next month. Two weeks ago, when the landlord contacted the tenant about a possible lease renewal, she learned that the tenant had decided not to renew the lease and planned to remove all of the above-listed items on or before the lease termination date. The landlord claimed that all the items had become part of the real estate and had to remain on the premises. The tenant asserted his right and intention to remove all the items.

Both the lease and the statutes of the jurisdiction are silent on the matter in dispute. At the time the landlord consented and the tenant installed the items, nothing was said about the tenant's right to retain or remove the items.

The landlord has sued the tenant to enjoin his removal of the items. How is the court likely to rule?

A. For the landlord as to items bolted or otherwise attached to the premises, and for the tenant as to items not attached to the premises other than by weight.

B. For the landlord, because the items have become part of the landlord's real estate.

C. For the tenant, because all of the items may be removed as trade fixtures without any obligation to restore the premises.

D. For the tenant, provided that the tenant reasonably restores the premises to the prior condition or pays for the cost of restoration.

Explanation:

A tenant **cannot remove fixtures**—ie, items so connected with (or attached to) real property that they are considered a part of that property—without the landlord's consent. However, a tenant **can remove trade fixtures**—ie, items attached to real property by the tenant for **use in his/her trade or business**—without the landlord's consent if:

the items are removed **before**, or within a reasonable time after, **the lease terminates** *and* the removal will **not substantially harm** the property (eg, will not degrade the building's structural integrity).
But after the removal, the tenant must **reasonably restore** the property to its prior condition or **pay restoration costs**.

Here, the counters, display cases, removable shelving, and special lighting are *trade fixtures* since the tenant installed them for use in the store and parking lot that he leased from the landlord. Since there is no evidence that removing these items will substantially harm the property and the lease will not expire until next month, the tenant can remove them. However, he must reasonably restore the premises to its prior condition or pay restoration costs **(Choice C)**.

(Choice A) Although some of the tenant's trade fixtures may be bolted or otherwise attached to the premises, there is no evidence that removing them will substantially harm the property. Therefore, the court will likely allow the tenant to remove all of these items regardless of how they were attached.

(Choice B) Fixtures are considered part of the landlord's property (ie, real estate), but trade fixtures are not. Instead, the tenant retains ownership of the trade fixtures and can remove them from the landlord's property if the above conditions are met.

Educational Objective:

Trade fixtures—ie, items attached to real property by a tenant for use in his/her trade or business—can be removed without the landlord's consent if the removal (1) occurs before, or within a reasonable time after, the lease ends and (2) will not substantially harm the property. However, the tenant must reasonably restore the property to its prior condition or pay restoration costs.

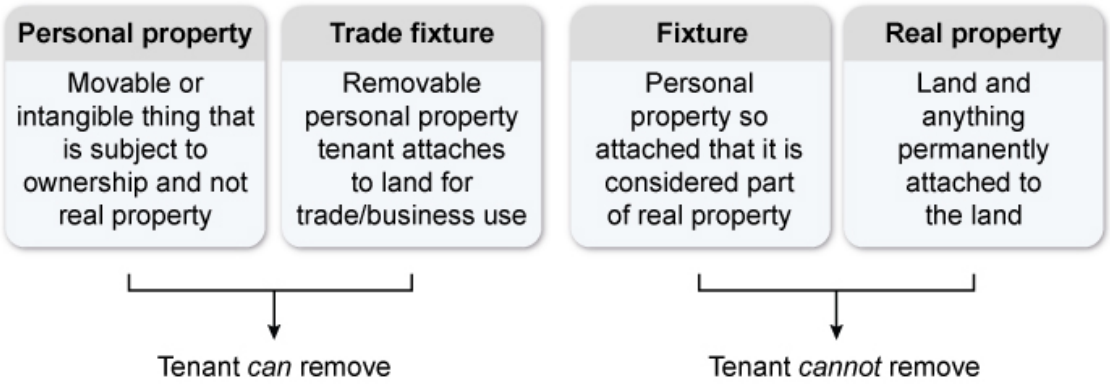
References

Restatement (Second) of Prop.: Landlord & Tenant §§ 12.2–12.3 (Am. Law Inst. 1997) (restoration after removal of trade fixtures).

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When tenant can remove item without landlord's consent



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A man owned a tract of land in fee simple. He and the owner of a neighboring tract entered into a written agreement under which the neighbor agreed to buy the man's tract for $100,000, its fair market value. The agreement contained all the essential terms of a real estate contract to sell and buy, including a date for closing. The neighbor made the required $50,000 down payment that, pursuant to the contract, the man could retain as liquidated damages in the event of the neighbor's breach.

Before the date set for the closing in the contract, the neighbor died. After the closing date, the neighbor's daughter was duly qualified as administrator of the estate and immediately made demand for return of the $50,000 deposit. The man responded by stating that he took such demand to be a declaration that the daughter did not intend to complete the contract and that he considered the contract at an end. The man further asserted that he was entitled to retain, as liquidated damages, the $50,000. The reasonable market value of the disputed tract had increased to $110,000 by this time.

The daughter brought an appropriate action against the man to recover the $50,000. In his answer, the man made no affirmative claim but asserted that he was entitled to retain the $50,000 as liquidated damages as provided in the contract.

Who is likely to prevail?

A. The daughter, because the neighbor's death terminated the contract as a matter of law.

B. The daughter, because the provision relied upon by the man is unenforceable.

C. The man, because the court should enforce the express agreement of the contracting parties.

D. The man, because the doctrine of equitable conversion prevents termination of the contract upon the death of a party.

Explanation:

The **doctrine of equitable conversion** applies during the period between contract formation and closing. During this **executory period**, the seller acquires the equitable right to the purchase price and the **buyer acquires equitable title** to the property. Since equitable title is treated as an interest in real property, it **can be transferred** like any other property interest—subject to the seller's equitable lien for the purchase price. So when the neighbor died, equitable title passed to the beneficiary of his estate and the contract remained in effect **(Choices A & D)**.

The daughter, as the administrator of the neighbor's estate, then breached the land-sale contract when she demanded return of the $50,000 deposit in lieu of completing the contract. The deposit constitutes **liquidated damages** since the contract allows the seller to retain this money in the event of the neighbor's breach. Liquidated damages are recoverable only if they reasonably compensate the injured party. As a result, they are ***not* recoverable if** they constitute a **penalty**—eg, when the liquidated amount **exceeds 15%** of the **purchase price**.

Here, the neighbor's $50,000 down payment is equivalent to 50% of the purchase price. This means that the court will likely hold that the liquidated damages constitute a penalty and that this express contractual provision is unenforceable **(Choice C)**. As a result, the daughter is likely to prevail.

Educational objective:

Equitable conversion allows a buyer's equitable title to be transferred upon his/her death, thereby keeping the land-sale contract in effect. Liquidated damages under the contract are recoverable only if they reasonably compensate the injured party—eg, if the liquidated amount is less than 15% of the purchase price.

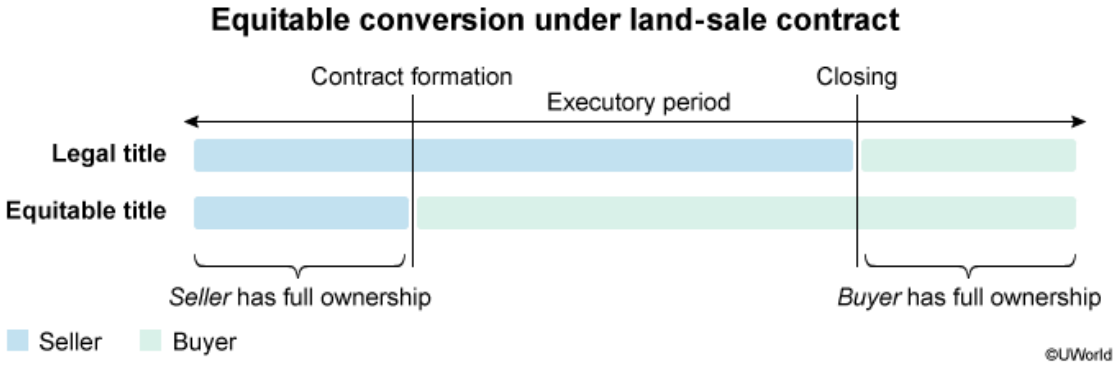
References

77 Am. Jur. 2d Vendor and Purchaser § 478 (2020) (seller's recovery of liquidated damages).

27A Am. Jur. 2d Equitable Conversion § 13 (2020) (equitable conversion under land-sale contracts).

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Equitable conversion under land-sale contract
Contract formation
Closing
Executory period
Legal title
Equitable title
Seller has full ownership
Buyer has full ownership
Seller
Buyer
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A landowner's driveway separated her property from that of her neighbor. Although the neighbor could access his property from the other side, he also wanted the ability to enter his property on the side that ran parallel to the driveway. He asked the landowner for permission to do so, and the landowner granted the neighbor an easement to use her driveway in order to access his property for a period of 20 years. Two years later, the landowner decided to build a fence at the entrance to the driveway. After it was built, the landowner locked the fence and did not give a key to the neighbor despite his requests for one. Twelve years later, the landowner took the fence down. The neighbor attempted to use the driveway, but the landowner prevented him from doing so, claiming that he no longer had the right to use it.

The period of time to acquire rights by prescription in the jurisdiction is 10 years.

Does the neighbor still have the right to use the landowner's driveway?

A. No, because the easement was terminated by estoppel.
B. No, because the landowner prevented the neighbor from using the easement for the prescriptive period.
C. Yes, because the neighbor did not act in an affirmative way to show a clear intent to relinquish his easement right.
D. Yes, because the neighbor was granted an easement for a term of years, which has not expired.

Explanation:

Ways to terminate easements

Destruction – servient estate condemned or destroyed by natural forces
Abandonment - dominant estate abandons easement
Merger - dominant & servient estates united in common ownership
Prescription - servient owner prevents use for prescriptive period
Estoppel - dominant owner estopped from asserting easement
Release - express release in writing satisfying statute of frauds
Mnemonic: **DAMPER**

An **easement** is a nonpossessory right to make specific, limited use of another's land (servient estate). Just as an easement can be created by prescription, an easement can be **terminated by prescription**. This requires the servient-estate owner to act in a manner inconsistent with the continued existence of the easement. The prescriptive activity must be **hostile and adverse** to the easement holder (nonpermissive), **open and notorious** (visible), and **continued without interruption** for the statutory period.

Here, the landowner (servient-estate owner) granted the neighbor an easement to use her driveway. Without the neighbor's permission, the landowner later built a fence at the entrance to the driveway, locked the fence, and refused to give the neighbor a key. And since the landowner continuously maintained the fence for longer than the 10-year statutory period, the neighbor's easement was terminated by prescription. Therefore, the neighbor does *not* still have a right to use the driveway.

(Choice A) An easement may be terminated by estoppel if the servient-estate owner changes position to his/her detriment in reliance on the easement holder's statements or conduct indicating that the easement has been abandoned (not seen here).

(Choice C) An easement may be terminated by abandonment if the easement holder acts in a manner that shows a clear intent to relinquish his easement right. Here, the neighbor did nothing to abandon the easement, but it was still terminated by prescription.

(Choice D) An easement granted for a term of years (here, 20 years) can be terminated prior to its expiration in the same manner as any other easement. So had the neighbor's easement not been terminated by prescription, it would have continued until the end of the 20-year term.

Educational objective:

Terminating an easement by prescription requires the servient-estate owner to act in a manner inconsistent with the continued existence of the easement. That prescriptive

activity must be hostile and adverse, open and notorious, and continued without interruption for the statutory period.

References

Restatement (Third) of Property: Servitudes § 7.7 (Am. Law Inst. 2000) (termination of an easement by prescription).

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A landowner orally gave his neighbor permission to share the use of a private road on the landowner's land so that the neighbor could have more convenient access to the neighbor's land. Only the landowner maintained the road. After the neighbor had used the road on a daily basis for three years, the landowner conveyed his land to a grantee, who immediately notified the neighbor that the neighbor was not to use the road. The neighbor sued the grantee, seeking a declaration that the neighbor had a right to continue to use the road.

Who is likely to prevail?

A. The grantee, because an oral license is invalid.

B. The grantee, because the neighbor had a license that the grantee could terminate at any time.

C. The neighbor, because the grantee is estopped from terminating the neighbor's use of the road.

D. The neighbor, because the neighbor's use of the road was open and notorious when the grantee purchased the land.

Explanation:

Licenses, easements & profits

License	Revocable privilege to enter & use another's land for specific purpose
Easement	Nonpossessory interest in land that gives easement holder right to: use another's land for specific purpose (ie, affirmative easement) *or* prohibit other owner from doing something on land that owner would otherwise be allowed to do (ie, negative easement)
Profit	Nonpossessory interest in land that gives profit holder right to enter another's land to remove products of soil (eg, timber, minerals, oil)

A **license** is a grant of permission to enter and use another's land for a specific purpose. Unlike easements, licenses do *not* create an interest in the land. As a result, they are not subject to the statute of frauds and can be created orally or by another act demonstrating the licensor's intent to let the licensee enter the property **(Choice A)**. Licenses can generally be **revoked at any time** and **terminate automatically** upon (1) the death of either party or (2) **conveyance of the licensed property**.

Here, the landowner orally gave his neighbor permission to use a private road on his land. This created a license, which terminated automatically when the landowner conveyed his land to the grantee. Additionally, the grantee's immediately notifying the neighbor to stop using the road demonstrates that the grantee did not intend to revive the license. As a result, the neighbor has no right to continue to use the road, and the grantee is likely to prevail.

(Choice C) A license may become irrevocable, and the licensor may be estopped (ie, precluded) from revoking it, if the licensee expends substantial money, labor, or other resources in reliance on the license. But estoppel does not apply here since the landowner alone maintained the road and there is nothing to suggest that the neighbor expended any resources to use it.

(Choice D) Open and notorious use goes to determining whether a prescriptive easement was acquired. But the neighbor's use of the road was with the landowner's *permission*, which negates the *nonpermissive* use required for such an easement.

Educational objective:

A license is a grant of permission to enter and use another's land for a specific purpose. It can be revoked at any time and terminates automatically upon (1) the death of either party or (2) conveyance of the licensed property.

References

Restatement of Property §§ 515, 519 (Am. Law Inst. 1944) (creation and revocation of licenses).

Rau v. Collins, 891 A.2d 1175, 1184 (Md. App. 2006) (stating that a license terminates automatically upon sale of the licensed land).

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A man's home was mortgaged to a bank by a duly recorded purchase-money mortgage. Last year, the man replaced all of the home's old windows with new windows.

Each new window consists of a window frame with three inserts: regular windows, storm windows, and screens. The windows are designed so that each insert can be easily inserted or removed from the window frame without tools to adjust to seasonal change and to facilitate the cleaning of the inserts.

The new windows were expensive. The man purchased them on credit, signed a financing statement, and granted a security interest in the windows to the supplier of the windows. The supplier promptly and properly filed and recorded the financing statement before the windows were installed. The man stored the old windows in the basement of the home.

This year, the man has suffered severe financial reverses and has defaulted on his mortgage obligation to the bank and on his obligation to the supplier.

The bank brought an appropriate action to enjoin the supplier from its proposed repossession of the window inserts.

In the action, for whom should the court rule?

A. The bank, because its mortgage was recorded first.

B. The bank, because windows and screens, no matter their characteristics, are an integral part of a house.

C. The supplier, because the availability of the old windows enables the bank to return the home to its original condition.

D. The supplier, because the inserts are removable.

Explanation:

A **mortgage** is a lien against real property that is used to secure repayment of a debt. This gives the recipient of the mortgage (ie, the mortgagee) a **legal interest in** the **mortgaged property** and any **fixtures** later added to that property. A fixture is an object (ie, personal property) that is:

attached to real property with the intent that it remain attached *and*

used for some **larger component** (eg, lighting, water drainage) or **function** (eg, plumbing, septic) of the real property.

In other words, a fixture is an object that is so attached to real property that it is essentially a part of that property.

Here, the new window inserts were integral as a larger component of the man's house. But they are *not* fixtures because they are easily removable and therefore not attached to the house. As a result, the window inserts are not part of the bank's purchase-money mortgage. This means that the bank has no standing to enjoin (ie, stop) the supplier from repossessing them **(Choice B)**.

(Choice A) A first recorded lien generally has priority over subsequent liens on the *same* property, and a purchase-money mortgage (recorded or not) generally has priority over all other liens on the property. But here, priority is irrelevant since the bank and the supplier have mortgages over *different* property—the home and new windows, respectively.

(Choice C) Since the window inserts are easily removable, they would *not* be fixtures even if the old windows were unavailable and the bank could not return the home to its original condition.

Educational objective:

A mortgage includes the property and any fixtures added to that property before or after the mortgage was created. A fixture is an item that is (1) attached to property with the intent that it remain attached and (2) used for a larger component or function of the property.

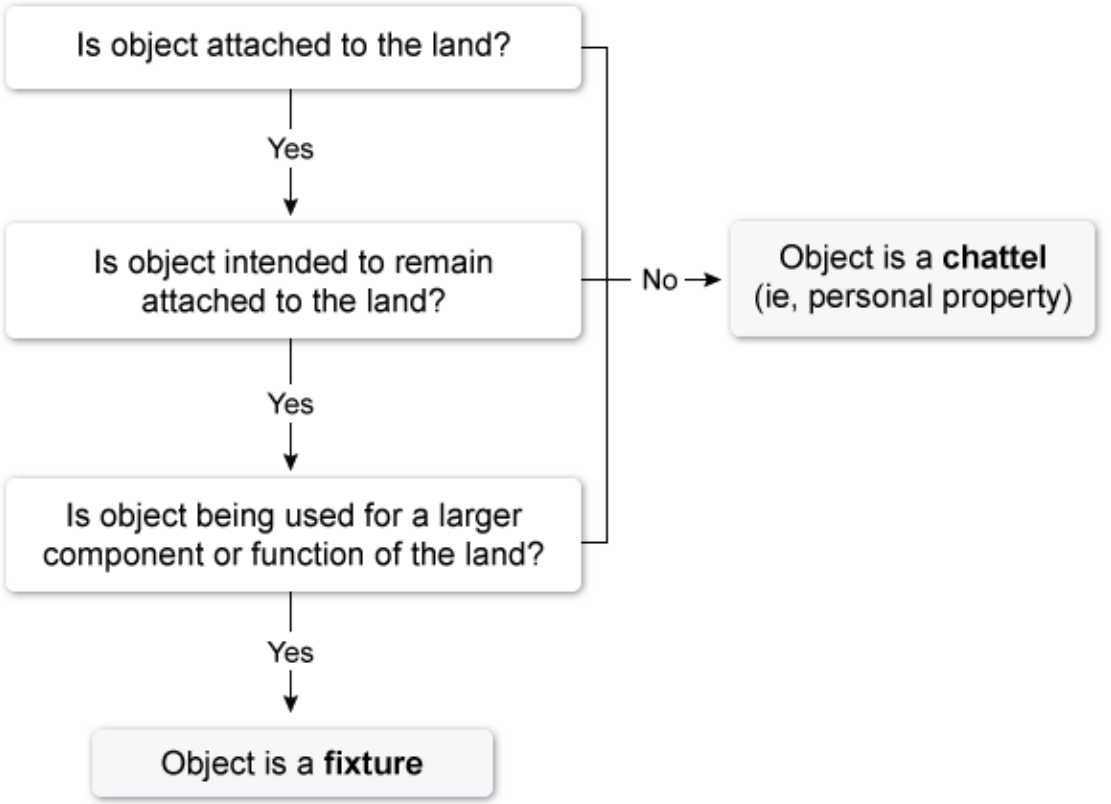
References

35A Am. Jur. 2d Fixtures § 1 (2019) (defining fixture).

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Fixture v. Chattel



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A buyer and a seller entered into a written contract for the sale of land. The contract satisfied the requirements of the statute of frauds. Because the buyer needed time to obtain financing, the buyer and the seller did not agree upon a closing date, and the written contract did not contain a stated closing date. Ten days after signing the contract, the buyer and the seller orally agreed to rescind the contract. The next day, the seller sold the land to a third party.

Two days after that sale, the original buyer told the seller that she had changed her mind and wanted to complete their contract. When the seller told her that he had sold the land to a third party, she sued him for breach of the written contract.

For whom will the court find?

A. For the buyer, because she informed the seller within a reasonable time that she desired to close the transaction.

B. For the buyer, because the agreement to rescind the contract was not in a writing signed by the buyer and the seller.

C. For the seller, because the contract failed to contain a stated closing date.

D. For the seller, because the oral rescission was valid.

Explanation:

Statute of frauds requirements for real estate contracts

Writing	Physical or electronic document(s) containing reasonable basis to believe contract was formed eg, receipt, check, emails
Signature	Handwritten signature from, or other mark identifying, party to be charged eg, letterhead, electronic signature, initials
Essential terms	Typically includes: identity of parties words of intent to buy or sell property description sales price

The **statute of frauds** requires a **writing to *create* or *modify*** an enforceable contract for the sale of land, but a writing is **not required to *rescind*** (ie, cancel) the contract. Therefore, the buyer and the seller's oral agreement to rescind the contract was valid **(Choice B)**.

(Choice A) The contract had already been rescinded when the buyer told the seller that she desired to close the transaction. As a result, the seller was no longer required to close the transaction.

(Choice C) A writing memorializing a land-sale contract must contain all essential terms to be enforceable under the statute of frauds. However, a closing date is not an essential term.

Educational objective:

Under the statute of frauds, a writing is needed to *create* or *modify* an enforceable contract for the sale of land but is not needed to *rescind* the contract.

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A fan had a season ticket for the local team's hockey games at an arena (Section B, Row 12, Seat 16). During the intermission between the first and second periods of a game between the local team and the visiting team, the fan solicited signatures for a petition urging that the coach of the local team be fired.

The arena and the local team are owned by a privately owned entity. As evidenced by many prominently displayed signs, the entity prohibits all solicitations anywhere within the arena at any time and in any manner. The entity notified the fan to cease her solicitation of signatures.

The fan continued to seek signatures on her petition during the local team's next three home games at the arena. Each time, the entity notified the fan to cease such solicitation. The fan announced her intention to seek signatures on her petition again during the local team's next home game at the arena. The entity wrote a letter informing the fan that her season ticket was canceled and tendering a refund for the unused portion. The fan refused the tender and brought an appropriate action to establish the right to attend all home games.

In this action, for whom will the court decide?

A. The entity, because it has a right and obligation to control activities on realty it owns and has invited the public to visit.

B. The entity, because the fan's ticket to hockey games created only a license.

C. The fan, because, having paid value for the ticket, her right to be present cannot be revoked.

D. The fan, because she was not committing a nuisance by her activities.

Explanation:

Licenses

Definition	Revocable privilege to enter & use another's land for specific purpose
Creation	Orally, in writing, or by another act demonstrating licensor's intent to create license
Termination	At *any time* upon revocation by licensor *Automatically* upon (1) death of licensor or licensee or (2) conveyance of licensed property

A ticket to an event is a **license** that creates a limited right for the ticketholder (licensee) to enter and use the venue for a specific purpose. The license is **revocable at any time** and for **any lawful reason**, including failure to comply with any conditions that the owner of the venue (licensor) has placed on the ticketholder (as seen here). This is true even though the ticketholder **paid value** for the ticket. However, the owner may be required to pay **damages for revoking** the license (eg, refunding the unused portion of the ticket) **(Choice C)**.

(Choice A) Even if the entity has a duty to control activities on property it owns and has invited the public to visit, that duty would arise out of a need to protect the health and safety of the public. Prohibiting solicitations does not fall within protection of health and safety, so this rationale would not justify the entity's revocation of the ticket.

(Choice D) A nuisance arises from a person's activities on his/her *own* land, so the fan could not commit a nuisance on the *entity's* property. But the entity need not prove that the fan was committing a nuisance to revoke her license to attend hockey games.

Educational objective:

A license (eg, ticket to an event) is revocable at any time and for any lawful reason. But if the licensee paid value for the license, the licensor may be required to pay damages for revoking it.

References

Yarde Metals, Inc. v. New England Patriots Ltd. P'ship, 834 N.E.2d 1233, 1236 (Mass. App. 2005) (upholding revocation of season tickets based on licensee's misconduct).

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A woman inherited a house from a distant relative. The woman had never visited the house, which was located in another state, and did not want to own it. Upon learning this, a man who lived next door to the house called the woman and asked to buy the house. The woman agreed, provided that the house was sold "as is." The man agreed, and the woman conveyed the house to the man by a warranty deed.

The man had purchased the house for investment purposes, intending to rent it out while continuing to live next door. After the sale, the man started to renovate the house and discovered serious termite damage. The man sued the woman for breach of contract.

How should the court rule?

A. For the man, because he received a warranty deed.

B. For the man, because of the doctrine of caveat emptor.

C. For the woman, because she sold the house "as is."

D. For the woman, because the man planned to change the use of the house for investment purposes.

Explanation:

Seller's duty to disclose

Common law (minority) rule	**Caveat emptor**	No duty to disclose property defects unless otherwise provided
Modern (majority) rule	**Commercial property**	
	Residential property	Must disclose known material defects that buyer could not reasonably discover Exception: "as is" clause or specific disclaimers without seller's fraud

Under the common-law rule of caveat emptor, sellers had no duty to disclose property defects to the buyer. This rule still largely applies to commercial sales. But for **residential sales**, the majority of jurisdictions now require sellers to **disclose material defects** that are ***known*** to the seller and **cannot be reasonably discovered** by the buyer **(Choice B)**. Here, the woman never visited the house so she likely did not know about the termite damage.

Even if she did know, a **seller can disclaim** the **duty to disclose** if (1) the disclaimer is clearly and specifically stated in the sales contract and (2) the seller has not fraudulently misrepresented or concealed the condition of the property. Here, the contract plainly stated that the house was being sold "as is," and the woman made no misrepresentations regarding its condition. Therefore, the court should rule for the woman.

(Choice A) A warranty deed promises that *title* is free from defects, but it makes no promises regarding the physical quality of the property (eg, termite damage).

(Choice D) The man's plans to change the use of the house have no impact on the woman's ability to prevail because (1) the contract contained an "as is" clause that relieved her of any liability for property defects and (2) the woman had no knowledge of his plans.

Educational objective:

Sellers of residential property have a duty to disclose *known* material defects that the buyer cannot reasonably discover. However, the seller can disclaim this duty (eg, with an "as is" clause) so long as the seller has not fraudulently misrepresented or concealed the condition of the property.

References

77 Am. Jur. 2d Vendor and Purchaser § 265 (2020) (discussing "as is" sales clauses).

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By a valid written contract, a seller agreed to sell land to a buyer for $100,000. The contract was silent as to quality of title. Shortly after entering into the contract, the buyer discovered that the record owner of the land was not the seller, but another individual. The buyer also learned that the seller had been in adverse possession of the land for 12 years. The period of time to acquire title by adverse possession in the jurisdiction is 10 years.

The buyer no longer wants to purchase the land.

Must the buyer purchase the land?

A. No, because the seller's failure to disclose her lack of record title constituted fraud.

B. No, because the title is not free from an unreasonable risk of litigation.

C. Yes, because the contract is silent regarding the quality of title.

D. Yes, because the seller acquired good and marketable title by adverse possession.

Explanation:

"Red flags" for marketable title

Covenants
Easements
Leases
Liens
Gaps in chain of title
Boundary disputes
Existing zoning violations
Adverse possession

Absent contrary language, every **land-sales contract implies** that the seller will give **marketable title** to the buyer at closing. To meet this standard, the title must be **reasonably free from doubt** and under **no threat of litigation**, such that a **reasonable person would accept** and pay for it.

Here, the seller acquired title to the land by adverse possession. Title obtained by adverse possession is generally unmarketable unless it has been quieted—ie, supported by a judicial decree (not seen here). That is because of the risk that the record owner or someone claiming entitlement to the land through the record owner could challenge the seller's ownership of the land. Therefore, the buyer need not purchase the land **(Choice D)**.

(Choice A) Fraud occurs if (1) one party to a contract knowingly or recklessly misrepresented a material fact with the intent to mislead the other party, (2) the misrepresentation induced assent to the contract, and (3) the adversely affected party justifiably relied on the misrepresentation. Here, there is no such evidence of fraud.

(Choice C) When, as here, a contract is silent regarding the quality of title, it is implied that the seller will convey marketable title.

Educational objective:

It is generally implied that a seller will convey marketable title to a buyer—ie, title that is reasonably free from doubt and under no threat of litigation, such that a reasonable person would accept and pay for it. Title obtained through adverse possession is unmarketable unless it has been quieted (ie, supported by judicial decree).

References

77 Am. Jur. 2d Vendor and Purchaser § 93 (2020) (marketable title).

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An individual who enjoyed paragliding lived next to a large parcel of undeveloped land. The individual secured oral permission from the owner of the undeveloped land to access a bluff on the land from which the individual could launch his paraglider. For 12 years, the individual crossed the owner's land with his paraglider to launch himself off the bluff, until a workplace injury permanently prevented him from doing so.

A year after his injury, the individual sold his residence. Although the individual told the purchaser about the right to access the bluff, neither the contract nor the deed made mention of it. Prior to this sale, the owner of the undeveloped land had sold it to a developer. The developer has since told the purchaser of the residence that she can no longer access the bluff.

The applicable jurisdiction requires that a use of a servient estate extend for at least 10 years before the user has a right to the use by prescription.

Can the developer legally prevent the purchaser of the residence from accessing the bluff?

A. No, because the individual accessed the bluff for more than 10 years before the land was sold to the developer.

B. No, because the individual had an easement appurtenant that passed automatically to the purchaser of the residence.

C. Yes, because neither the contract of sale nor the deed for the residence mentioned a right of access.

D. Yes, because the individual's access to the bluff was with the oral permission of the owner of the land.

Explanation:

Licenses, easements & profits

License	Revocable privilege to enter & use another's land for specific purpose
Easement	Nonpossessory interest in land that gives easement holder right to: use another's land for specific purpose (ie, affirmative easement) *or* prohibit other owner from doing something on land that owner would otherwise be allowed to do (ie, negative easement)
Profit	Nonpossessory interest in land that gives profit holder right to enter another's land to remove products of soil (eg, timber, minerals, oil)

A **license** is a grant of permission to enter and make **specific, limited use** of **another's land** (the servient estate). Unlike easements, licenses are *not* interests in the land subject to the statute of frauds. As a result, they can be created orally or by another act demonstrating the licensor's intent to let the licensee enter the property. Licenses can generally be revoked at any time and **terminate automatically** upon either:

the death of either party *or*
conveyance of the servient estate.

Here, the owner (licensor) orally gave the individual (licensee) permission to access the bluff on the owner's land for paragliding. This created a license, which terminated automatically when the owner sold the land (servient estate) to the developer. Therefore, the developer can legally prevent the purchaser of the individual's residence from accessing the bluff.

(Choices A & B) An easement appurtenant is tied to the land and passes automatically to subsequent owners of the dominant (benefited) estate. Although easements are presumed to be appurtenant, there must first be an easement. Here, there was no writing to satisfy the statute of frauds, so no express easement was created. And though the individual accessed the bluff for more than 10 years (statutory period), he did not acquire an easement by prescription since he had the owner's *permission* to access the bluff.

(Choice C) Had there been an easement, the failure to mention the easement in either the contract of sale or the deed for the residence would not have prevented the easement from being transferred to the purchaser.

Educational objective:

A license is a grant of permission to enter and use another's land for a specific purpose. Licenses can be revoked at any time and terminate automatically upon the death of either party *or* conveyance of the servient estate.

References

Restatement of Property §§ 515, 519 (Am. Law Inst. 1944) (creation and revocation of licenses).

25 Am. Jur. 2d Easements and Licenses in Real Property § 109 (2020) (effect of conveyance of licensed property).

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The owner of an undeveloped city lot and a developer executed a written document in which the owner agreed to sell the lot to the developer and the developer agreed to buy the lot for $100,000. The document did not provide for an earnest money down payment. The owner recorded the document, as authorized by statute. The owner orally gave the developer permission to park his car on the lot without charge prior to the closing. Thereafter, the developer frequently parked his car there.

Another property came on the market that the developer wanted more than the owner's lot. The developer decided to try to escape any obligation to the owner. The developer had been told that contracts for the purchase and sale of real property require consideration and concluded that because he had made no earnest money down payment, he could refuse to close and not be liable. The developer notified the owner of his intention not to close and, in fact, did refuse to close on the date set for the closing.

The owner brought an appropriate action to compel specific performance by the developer.

If the owner wins, what will be the likely reason?

A. General contract rules regarding consideration apply to real estate contracts.

B. The developer's use of the lot constitutes part performance.

C. The doctrine of equitable conversion applies.

D. The document was recorded.

Explanation:

A **land-sale contract**, like any other contract, is **legally enforceable** only if it is **supported by valuable consideration**. Valuable consideration is evidenced by a **bargained-for exchange** of legal positions between the parties. This requires that each party:

perform, or promise to perform, some act that is not legally required *or*

refrain, or promise to refrain, from performing some legally permissible act.

Land-sale contracts are supported by valuable consideration because the **seller promises to convey title** to the buyer, and in exchange the **buyer promises to pay** the seller the purchase price. A buyer can make an earnest money down payment to show a good faith intent to complete the purchase, but this is not needed to form a valid contract. Therefore, the reason the owner will win is that the contract meets the general contract rules regarding consideration.

(Choice B) Part performance allows a buyer to enforce an *oral* agreement if the buyer has taken possession of the property, made substantial improvements to it, and/or paid some or all of the purchase price. However, this exception to the statute of frauds does not apply here because the parties executed a *written* contract.

(Choice C) The doctrine of equitable conversion governs the ownership of property and risk of loss during the period between contract formation and closing. However, it has no relevance to whether a land-sale contract is valid and enforceable upon closing.

(Choice D) Recording acts protect buyers from subsequent purchasers claiming superior title to the property, but they have no bearing on whether the owner can compel specific performance by the developer under this land-sale contract.

Educational objective:

Land-sale contracts are supported by valuable consideration because the seller promises to convey title to the buyer; in exchange, the buyer promises to pay the seller the purchase price.

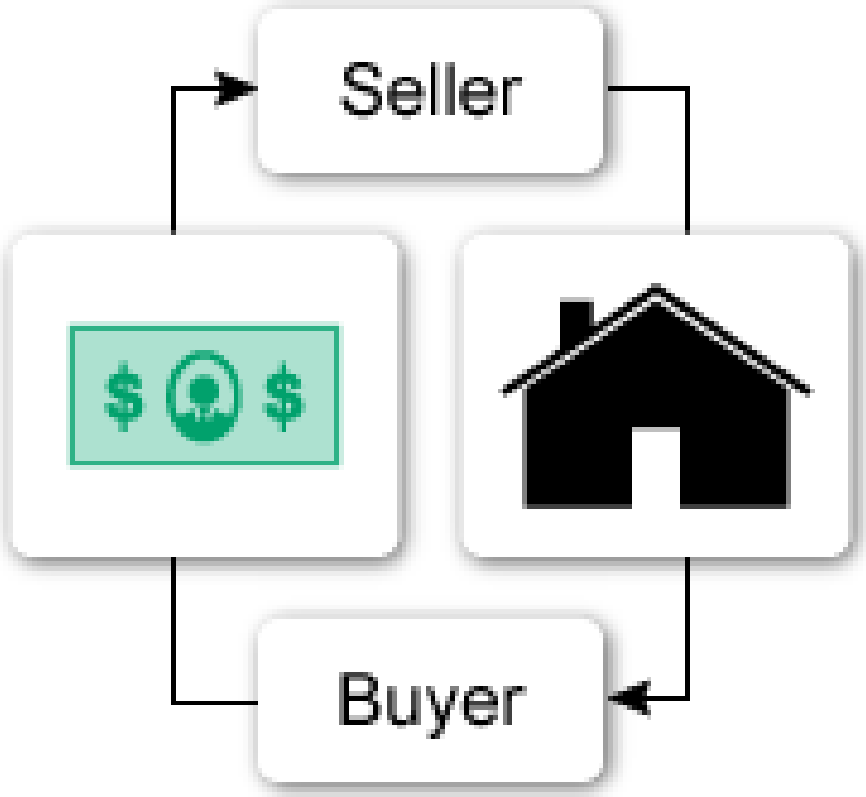
References

77 Am. Jur. 2d Vendor and Purchaser § 24 (2020) (consideration).

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Bargained-for exchange



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A woman acquired land by a deed that contained the following language in the grantee section: "to [the woman], her heirs and assigns, provided, however, that said grantee may not transfer any interest in the land for 10 years from the date of this instrument."

Two years later, the woman contracted to sell the land to an investor for a price based on a recent appraisal. When the investor's title search revealed the above language in the grantee section of the deed to the woman, the investor refused to close the transaction. The contract was silent as to the woman's title obligation.

The woman has sued the investor for specific performance.

Who is likely to prevail?

A. The investor, because the woman cannot sell the land during the 10-year period specified in the deed.

B. The investor, because the woman's heirs did not join in the contract.

C. The woman, because the contract did not obligate her to provide marketable title.

D. The woman, because the deed's restraint on transfer is void as a matter of law.

Explanation:

Restraints on alienation

(restrictions on transferability of real property)

	Validity	**Examples**
Direct (disfavored)	Only valid if reasonable Balance utility of restraint against harm resulting from enforcement	Prohibiting some or all types of transfers Prohibiting transfer without consent Prohibiting transfer to particular persons
Indirect	Valid unless lacking rational justification	Imposing transfer fees Limiting property's use/reducing its value

A **restraint on alienation** is a provision that restricts the transferability of real property. **Direct restraints** on alienation (eg, a restriction that prohibits some or all types of transfers—as seen here) are disfavored and are **valid only if** they are deemed **reasonable**. To determine reasonableness, courts weigh the utility of the restraint against the harm resulting from its enforcement. A **total restraint** on the alienability of a fee simple estate is **always unreasonable** because freedom of alienation is a defining attribute of this type of estate.

Here, the woman's deed states that she may not transfer *any* interest in the land for 10 years, which constitutes a direct and total restraint on alienation. But the woman has a fee simple estate in the land—as evidenced by the words of limitation "and her heirs" traditionally used to convey this type of estate. Therefore, the deed's restraint on transfer is a void restraint on alienation of a fee simple estate, and the woman can sell the land to the investor **(Choice A)**. As a result, she is likely to prevail in her suit against the investor for specific performance.

(Choice B) The words "and her heirs" are used to convey a fee simple estate, but they do not create an ownership interest in the grantee's heirs or make them the only persons to whom the grantee can transfer the estate. Therefore, the woman's heirs need not join the contract for it to be enforceable.

(Choice C) In contracts for the sale of land, the seller has an *implied* obligation to the buyer to deliver marketable title—ie, title that is reasonably free from doubt and not under threat of litigation. Therefore, it does not matter that the contract here did not *expressly* obligate the woman to provide marketable title.

Educational objective:

Direct restraints on alienation (eg, prohibitions on some or all types of transfers) are valid only if they are deemed reasonable. Total restraints on the alienability of fee simple estates are always unreasonable.

References

Restatement (Third) of Property: Servitudes § 3.4 (Am. Law Inst. 2000) (direct restraints on alienation).

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A man owned a large tract of land. During his lifetime, the man conveyed the easterly half to his son and the westerly half to his daughter. Both of the conveyances, which were promptly and properly recorded, contained the following language: "The parties agree for themselves and their heirs and assigns that the premises herein conveyed shall be used only for residential purposes; that each lot created within the premises herein conveyed shall contain not less than five acres; and that each lot shall have not more than one single-family dwelling. This agreement shall bind all successor owners of all or any portion of the premises and any owner of any part of the premises may enforce this covenant."

After the man's death, the son decided to build houses on half-acre lots in the easterly tract as authorized by current applicable zoning and building codes. The area surrounding this tract was developed as a residential community with homes built on half-acre lots. The westerly tract is in a residential area covered by a different zoning code, which allows residential development only on five-acre tracts of land.

The daughter has filed an appropriate action to enjoin the son's proposed construction on half-acre lots, claiming that the proposal violates the restrictions set forth in the man's conveyance.

Is the court likely to find the restrictions in the conveyance valid?

A. No, because of the change of circumstance in the neighborhood.

B. No, because the restriction conflicts with the applicable zoning code.

C. Yes, because the original grantees still own their respective tracts.

D. Yes, because the provision imposed an equitable servitude.

Explanation:

Elements of real covenants & equitable servitudes

Real covenants		**Equitable servitudes**	
(enforceable by money damages)		(enforceable by equitable relief)	
For *burden* to run	**For *benefit* to run**	**Express**	**Implied**
Writing	Writing	Writing	Intent to create common scheme
Intent to run	Intent to run	Intent to run	Restrictive servitude
Touch & concern	Touch & concern	Touch & concern	Notice
Horizontal & vertical privity	Limited vertical privity	Notice	
Notice	No notice required		

Equitable servitudes are express or implied covenants (ie, promises) regarding land that are enforceable in equity (usually by injunction) against the promising parties and their successors in interest. **Express** equitable servitudes have four elements:

Writing – the covenant is expressed in a writing that satisfies the statute of frauds (eg, the deeds from the man to his son and daughter, respectively)

Intent to run – the promising parties intend for the covenant to run to (ie, bind) their successors in interest (eg, the deed says "heirs and assigns" and "all successor owners")

Touch and concern – the covenant relates to the use, enjoyment, or occupation of both the dominant and servient estates (eg, restricts use to residential purposes and requires lots to contain five acres)

Notice – the owner of the servient (ie, burdened) estate has actual, record, or inquiry notice of the covenant (eg, the son and daughter have actual notice of the restrictions in their respective deeds)

Therefore, the court will likely find that the restrictions in the man's conveyance imposed a valid equitable servitude.

(Choice A) The Changed Conditions Doctrine allows a court to modify or terminate a servitude if the surrounding area or circumstances have changed *so much* that the servitude can no longer fulfill its purpose and it would be unfair to continue to enforce it—eg, the servitude requires residential use in an area that has become commercial.

(Choice B) The restrictions at issue here (which require five-acre lots) do *not* conflict with, and therefore will not be overridden by, the applicable zoning code (which authorizes half-acre lots).

(Choice C) The restrictions imposed a valid equitable servitude that runs with the land, so it can be enforced even if the original grantees no longer own their tracts (so long as the notice requirement is met).

Educational objective:

To create an express equitable servitude, (1) the covenant must be in writing, (2) the promising parties must intend for it to run to their successors in interest, (3) it must touch and concern the land, and (4) the servient-estate owner must have notice.

References

Restatement of Property § 539 (Am. Law Inst. 1944) (equitable servitudes).

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The owner of a five-acre parcel of land constructed a house on the land. The following year, the owner installed an underground drainage system on the land in order to prevent future flooding of his house.

Several years later, the owner gave one acre of the land in fee simple to his niece. The deed contained a provision in which the niece promised that she and her heirs and assigns would maintain the portion of the drainage system on her one acre. This deed was not recorded.

Five years later, the niece sold her one acre, in fee simple, at its fair market value to a buyer. Although the niece informed the buyer of her promise with regard to the drainage system, the deed by which the niece conveyed her property to the buyer did not mention this promise. The buyer promptly recorded this deed. Ten months later, there was a severe rainstorm. Because of the buyer's failure to maintain the drainage system, the owner's house flooded. The owner has sued the buyer for damages resulting from this failure.

A statute in the applicable jurisdiction provides, "No conveyance of an interest in real property shall be good against subsequent purchasers for value unless the same be first recorded according to law."

Should the court enforce the niece's promise against the buyer?

A. No, because the deed by which the owner conveyed the one acre to his niece was not recorded.

B. No, because the doctrine of estoppel by deed does not apply here.

C. Yes, because both horizontal and vertical privity exist.

D. Yes, because the buyer learned of the promise from the niece herself.

Explanation:

A **real covenant** is an express promise to do (affirmative) or not do (negative/restrictive) something on land that is enforceable by an action for damages.* Although the promising parties are bound to the covenant under contract law, the covenant will only **bind** their **successors in interest** if it **runs with the land**. This requires proof of the following elements:

Writing – covenant is in a writing that satisfies the statute of frauds (eg, deed from owner to niece)

Intent to run – promising parties intended for the covenant to run to their successors in interest (eg, deed says "heirs and assigns")

Touch and concern – covenant relates to the use, enjoyment, or occupation of the benefited and burdened lands (eg, maintaining drainage system on one parcel to benefit the other)

Horizontal privity – promising parties simultaneously transferred the land and created the covenant (eg, covenant created when one-acre parcel was deeded to niece)

Vertical privity – successor of the *burdened* estate (buyer) has a promising party's entire estate or ownership interest (eg, niece's entire fee simple interest) OR successor of the *benefited* estate (not seen here) has a possessory interest **(Choice C)**

Notice – person to be bound had notice of the covenant (eg, buyer learned about covenant from niece) **(Choice D)**

Therefore, the covenant here did run with the land and could have been imposed on the buyer. However, the buyer is not subject to the covenant in this pure race jurisdiction. This recording act prevents a real property interest from being enforced against a **subsequent purchaser** of a conflicting interest who **recorded first**. Since the buyer's deed (which did not mention the covenant) was recorded first and the deed from the owner to the niece (which created the covenant) was not recorded, the niece's promise should not be enforced.

*In contrast, when an injunction is sought to enforce a covenant, it is called an equitable servitude.

(Choice B) Estoppel by deed prevents a grantor who conveys an interest in land by warranty deed before actually owning it from later denying the effectiveness of the deed.

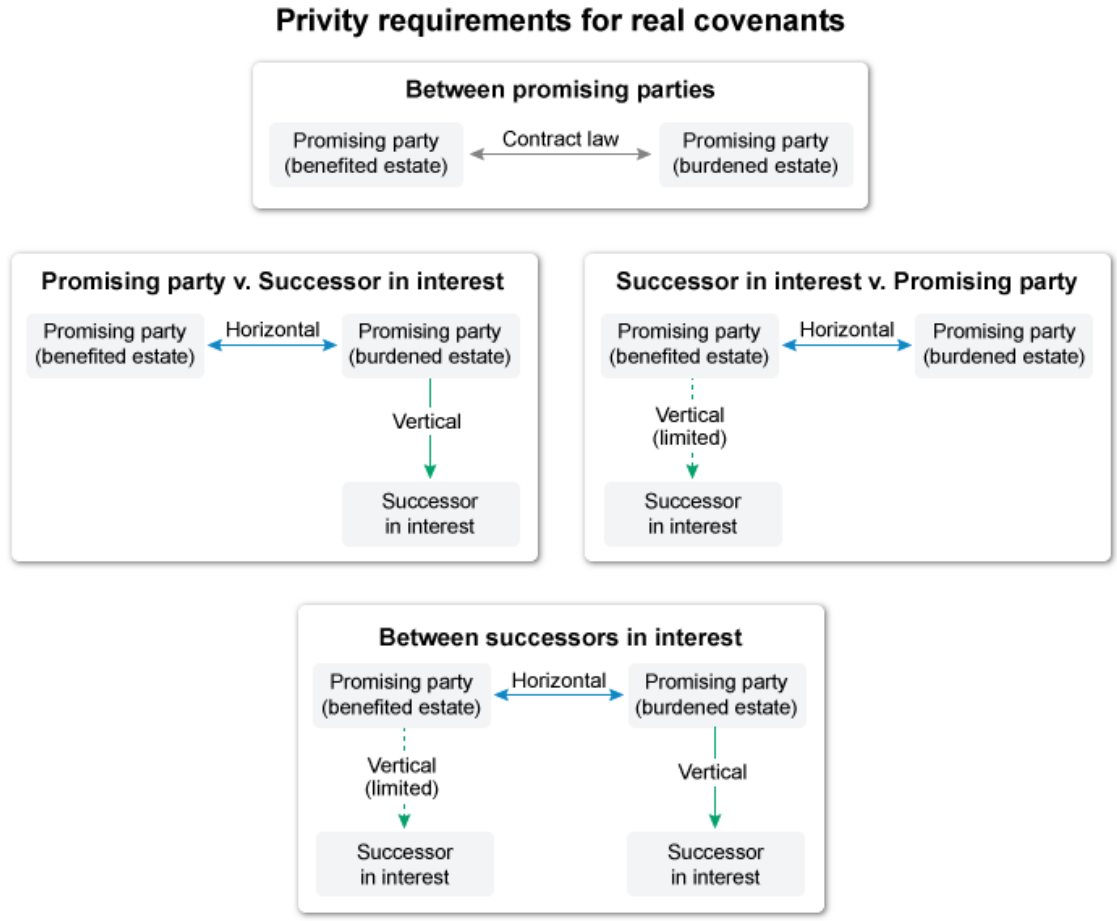
Educational objective:

Under a race recording act, a real property interest (eg, real covenant) cannot be enforced against a subsequent purchaser of a conflicting real property interest (eg, land burdened by the covenant) who records first.

References

Restatement of Property §§ 530–38 (Am. Law Inst. 1944) (elements of real covenants).

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A son entered into a valid written contract to sell a large tract of land to a friend. At that time, the tract was owned by the son's father. The son had no title to the tract and was not the agent of the father.

After the contract was executed and before the scheduled closing date, the father died intestate, leaving the son as his sole heir. Shortly thereafter, the son received an offer of purchase that was substantially higher than the purchase price in the contract with the friend. The son refused to close with the friend although she was ready, willing, and able to close pursuant to the contract.

The friend brought an appropriate action for specific performance against the son.

In that action, what should the friend be awarded?

A. Judgment for specific performance, because the son acquired title before the scheduled closing.

B. Judgment for specific performance, to prevent unjust enrichment of the son.

C. Nothing, because the doctrine of after-acquired title does not apply to executory contracts.

D. Nothing, because the son had no authority to enter into the contract with the friend.

Explanation:

The **sale of real property** typically comprises three parts:

Execution of the sales contract – the buyer **promises to pay the purchase price** in exchange for the seller's **promise to deliver title**

Executory period – the buyer can inspect the property, secure a loan, and review title documents, AND the seller can repair the property or correct imperfections in the title

Closing – the seller formally transfers title by delivering the deed to the buyer and the buyer pays the purchase price

Once a sales contract is executed, the exchanged promises become binding. Therefore, if the seller acquires marketable title at closing but is **unwilling to perform**, the buyer can **sue for breach** of the contract or seek specific performance.

Here, the son did not have title to the tract when he entered the sales contract with the friend. However, he inherited title before the scheduled closing. As a result, the seller has marketable title and must perform his promise to transfer it to the friend. Since he is unwilling to do so, the friend should be awarded judgment for specific performance.

(Choice B) Specific performance is typically used when a monetary remedy cannot make the plaintiff whole. The goal is to adequately compensate the plaintiff—not to prevent unjust enrichment of the defendant.

(Choice C) The doctrine of after-acquired title (ie, estoppel by deed) *would* apply to executory contracts (eg, sales contracts for real estate) if a seller formally transferred title by warranty deed at closing and *later* acquired title to that property. Title would then automatically transfer to the buyer once the seller received it.

(Choice D) The son had the authority to enter into the contract with the friend but lacked the ability to perform until he inherited the tract. Once that occurred, he was obligated to sell the property to the friend.

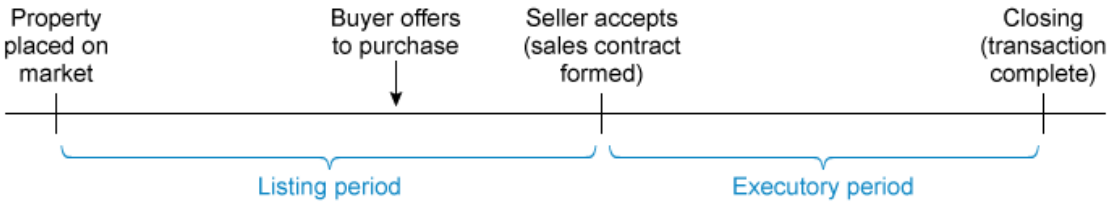
Educational objective:

Once a buyer and seller execute a sales contract, their exchanged promises become binding. Therefore, if the seller is able to transfer title upon closing but refuses to do so, the buyer can sue for breach of contract or seek specific performance.

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Timeline for sale of real estate



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A man conveyed a valid easement appurtenant across his ranch to a woman who owned the adjoining property, on which she operated a commercial farm. The easement was not recorded. Shortly before his death, the man devised his ranch to his son. The will made no mention of the woman's easement. The son, who lived out-of-state, never came to visit the ranch. The woman decided to expand the size of her crops and openly used the man's ranch to do so. She paid the taxes on the property and used the land exclusively for 20 years. However, she never used the easement during that time.

After facing some financial hardship, the son decided to sell the ranch. To prevent the sale, the woman filed and won a quiet-title suit confirming that she had acquired ownership of the ranch through adverse possession. The son felt guilty about losing his father's ranch, so he worked out a deal with the woman to repurchase the ranch.

After the sale, the woman resumed her use of the easement across the ranch that had been granted to her by the man. The son, already angry over having to repurchase the ranch, immediately objected to the woman entering his property. The woman has filed suit to enforce the easement.

The jurisdiction has a notice recording act.

Will the woman likely prevail?

A. No, because she acquired title to the ranch through adverse possession.

B. No, because the son was not provided proper notice of the easement.

C. Yes, because an easement appurtenant automatically runs with the land.

D. Yes, because failure to use an easement does not extinguish it.

Explanation:

The man granted the woman an **easement appurtenant*** across his ranch. An easement appurtenant is a nonpossessory right to use another's land (servient estate) that benefits the easement holder's land (dominant estate). This type of easement runs with the land, so it automatically transfers with the conveyance of the dominant or servient estate. But since easements are a real property interest, they are subject to the jurisdiction's recording act.

Under a notice recording act (as seen here), real property interests cannot be enforced against subsequent purchasers of a conflicting real property interest who lack notice of the prior interest. But since the son is not a purchaser for value (he was devised the ranch), he is not protected by the recording act. Therefore, the fact that he was not provided proper notice of the easement is of no consequence **(Choice B)**.

However, the woman's adverse possession of the ranch *is* of consequence. That is because, under the **merger doctrine**, an **easement** will **terminate** when the **dominant estate** (the farm) and the **servient estate** (the ranch) *merge* into the hands of a **single owner**. That is because a landowner cannot own an easement across his/her own land. Therefore, the easement was extinguished once the woman acquired title to both the farm and the ranch **(Choice C)**.

Once terminated, an easement cannot be revived by merely resevering the dominant and servient estates—a new easement must be created. Therefore, the woman's easement over the ranch was not revived when she sold the ranch to the son. And since no new easement was created, the woman likely will *not* prevail in her suit to enforce the easement.

*Easements are presumed to be appurtenant unless otherwise stated.

(Choice D) An easement can be terminated by abandonment if the easement holder acts in an affirmative way that shows a clear intent to relinquish the easement—mere nonuse of the easement is not enough. However, the woman will not prevail because the easement was terminated by merger.

Educational objective:

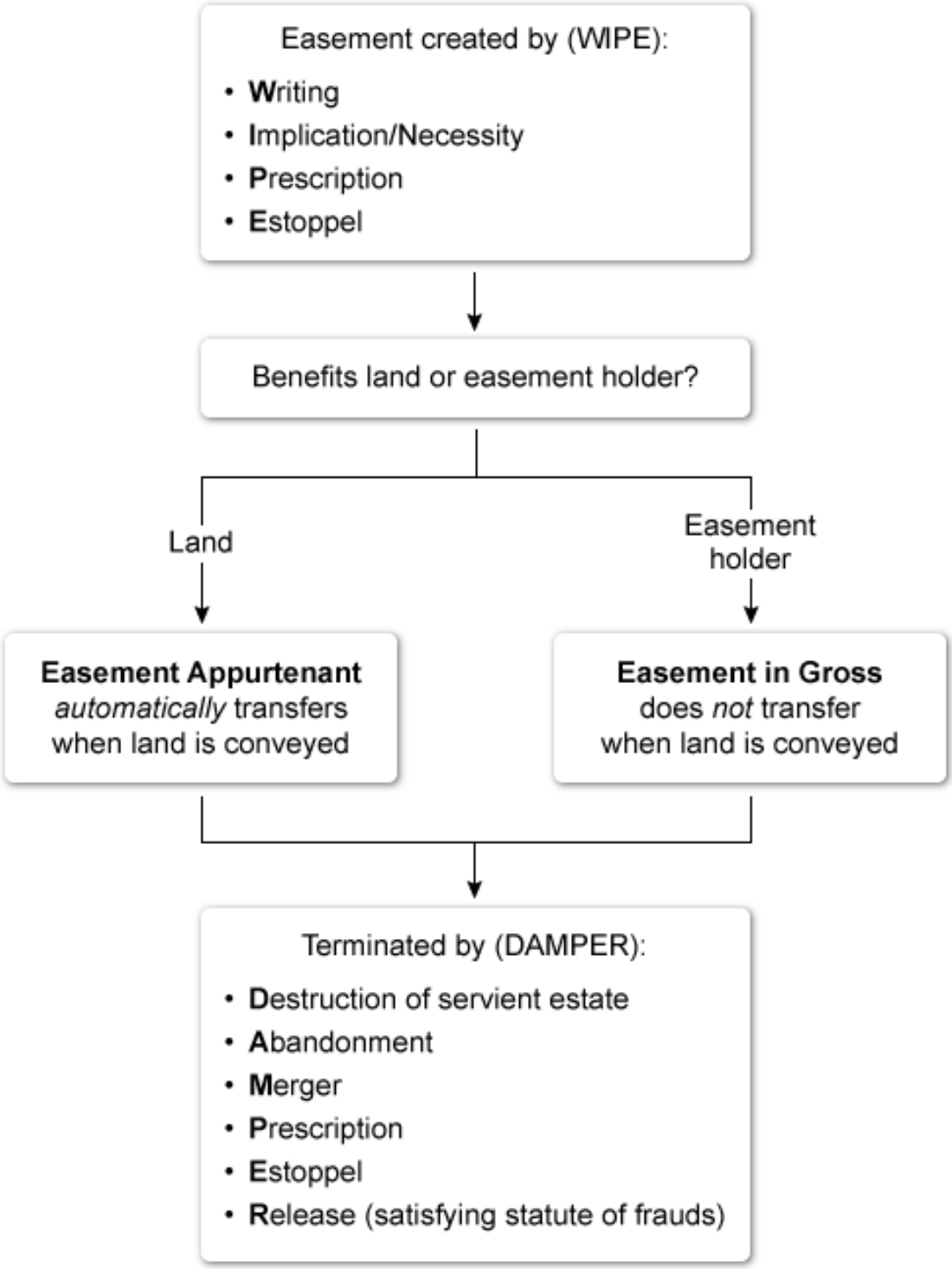
Under the merger doctrine, an easement terminates once the dominant and servient estates merge into the hands of a single owner.

References

Restatement (Third) of Property: Servitudes § 7.5 (Am. Law Inst. 2000) (termination of easement by merger).

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Easement analysis



A man owned a lakefront home in a gated community with a pier where he docked his boat. His neighbor, whose home did not have a pier, told him that she was interested in purchasing a boat but that she had nowhere to dock it except for the community clubhouse. The clubhouse was located at the other end of the gated community far from the neighbor's home. However, the man told the neighbor that she could use his pier to dock her boat, and as a result, the neighbor purchased a boat knowing that she could dock it close to home. For the next 11 years, the neighbor used the man's pier to dock her boat. During this time, the neighbor also paid for the pier to be rebuilt due to corrosion. Thereafter, the man told the neighbor that she could only use the pier if she paid a monthly fee of $600. When the neighbor refused to pay the fee, the man built a fence around the pier and refused to give the neighbor a key to unlock the fence.

The statutory period for acquiring rights by prescription in the jurisdiction is 10 years.

Does the neighbor have the right to use the man's pier to dock her boat?

A. No, because the easement was not in a writing that satisfied the statute of frauds.

B. No, because the neighbor could have docked her boat at the community clubhouse.

C. Yes, because the neighbor detrimentally relied on the man's permission to use the pier.

D. Yes, because the neighbor's use of the pier was continuous, actual, and open.

Explanation:

Distinctions between easements

Type	Appurtenant	Benefits easement holder's land Benefit & burden automatically transfer when land is conveyed
	In gross	Benefits easement holder personally Burden (not benefit) automatically transfers when land is conveyed
Purpose	Affirmative	Allows easement holder to do something on servient estate
	Negative	Restricts servient-estate owner's lawful use of servient estate
Creation	Express	Created by parties in writing that satisfies statute of frauds
	Irrevocable license	License becomes irrevocable due to estoppel or coupling with another servitude
	Implied	Implied by law due to necessity (easement by necessity) Implied by fact due to prior use (easement by implication)
	By prescription	Adversely acquired through **OCAN**—**o**pen/notorious, **a**ctual, **c**ontinuous & **n**onpermissive use

An **easement** is a right held by one person to make specific, limited use of land owned by another. The land that is subject to the easement is the servient estate, while the land that benefits from the easement is the dominant estate.

Most easements are expressly created in a writing that satisfies the statute of frauds, but they also can be created by other methods—including **estoppel**. An easement by estoppel arises from **good-faith, reasonable, detrimental reliance** on the servient-estate owner's **permission** to make a limited use of his/her land.*

Here, the man (servient-estate owner) gave the neighbor (dominant-estate owner) permission to use his pier to dock her boat. The neighbor reasonably relied on that permission to her detriment by purchasing a boat, having no reason to believe that the permission would be revoked. She even paid for the man's pier to be rebuilt due to corrosion. Therefore, the neighbor obtained an easement by estoppel, giving her the right to use the man's pier.

*An easement by estoppel can also be characterized as an irrevocable license.

(Choice A) While a valid easement can be expressly created by a writing that satisfies the statute of frauds, it can also be created by other means (here, by estoppel).

(Choice B) The neighbor's ability to dock her boat at the community clubhouse has no bearing on her right to use the man's pier. Although she would be inconvenienced if she had to use the community clubhouse, this does not create an easement by necessity on the man's pier. Such an easement can be implied only when property is rendered virtually useless (typically from being landlocked) without an easement across the neighboring property.

(Choices D) Although the neighbor openly and continuously used the pier for more than the 10-year statutory period, that use was with the man's permission. This negates the hostile (nonpermissive) use required to establish an easement by prescription.

Educational objective:

An easement by estoppel is created through good-faith, reasonable, detrimental reliance on the servient-estate owner's permission to make a limited use of his/her land.

References

Restatement (Third) of Property: Servitudes § 2.10 (Am. Law Inst. 2000) (servitudes created by estoppel).

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A little more than five years ago, a builder completed construction of a single-family home located on a lot that the builder owned. Five years ago, the builder and a barista entered into a valid five-year written lease of the home that included the following language: "This house is rented as is, without certain necessary or useful items. The parties agree that the barista may acquire and install such items as she wishes at her expense, and that she may remove them if she wishes at the termination of this lease."

The barista decided that the house needed, and she paid cash to have installed, standard-sized combination screen/storm windows, a freestanding refrigerator to fit a kitchen alcove built for that purpose, a built-in electric stove and oven to fit a kitchen counter opening left for that purpose, and carpeting to cover the plywood living room floor.

Last month, by legal description of the land, the builder conveyed the home to a salesman for $100,000 subject to the barista's lease. The salesman knew of the barista's soon-expiring tenancy but did not examine the written lease. As the lease expiration date approached, the salesman learned that the barista planned to vacate on schedule and learned for the first time that the barista claimed and planned to remove all of the above-listed items that she had installed. The salesman promptly brought an appropriate action to enjoin the barista from removing those items.

Which items should the court allow the barista to remove?

A. None of the items.

B. Only the refrigerator.

C. All items except the carpet.

D. All of the items.

Explanation:

When a tenant **attaches** tangible personal property (ie, a **chattel**) to the leased premises, the tenant **can remove** the chattel before, or within a reasonable time after, the lease expires if the chattel is not a fixture—ie, if:

the attachment of the chattel was **not intended to be permanent** *or*

the chattel is not being used for some larger component (eg, lighting, water drainage) or function (eg, plumbing, septic) of the land.

And when a landlord conveys leased premises subject to an existing lease, the terms of the lease govern the new landlord-tenant relationship.

Here, the lease agreement between the builder and the barista expressly allowed the barista to install certain items in the home and remove them at the end of her tenancy (no intent to permanently attach chattel). And since the builder conveyed the leased premises to the salesman subject to the barista's lease, the terms of the lease govern. Therefore, the court should allow the barista to remove *all* of the items she installed.

(Choices A & B) An easily movable appliance like a freestanding refrigerator is usually not a fixture and can be removed by a tenant. But here, the barista could remove all of the items based on the lease agreement. As a result, none of the items are fixtures and the court should allow her to remove them.

(Choice C) Carpet may be a fixture if it is particularly adapted to the premises (eg, cut to fit a specific room) since that shows intent to permanently attach it. But since the lease permits removal, the court should allow the barista to remove the carpet—even if it would otherwise be an irremovable fixture.

Educational objective:

A tenant can generally remove a chattel attached to the leased premises if (1) the attachment was not intended to be permanent or (2) the chattel is not being used for some larger component or function of the land. And when a landlord conveys land subject to an existing lease, the lease terms govern the new landlord-tenant relationship.

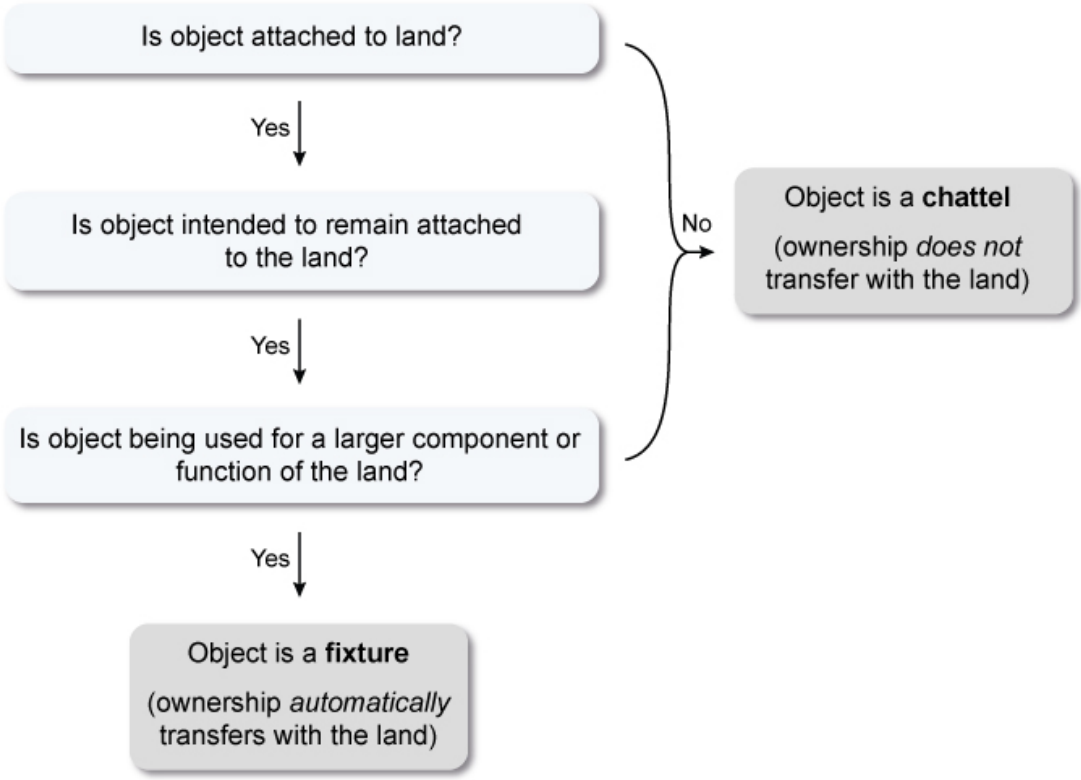
References

Restatement (Second) of Prop.: Landlord & Tenant § 12.2 (Am. Law Inst. 1997) (tenant's rights and obligations as to changes in the physical condition of the leased property).

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Fixture v. Chattel



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Twenty-five years ago, a man who owned a 45-acre tract of land conveyed 40 of the 45 acres to a developer by warranty deed. The man retained the rear five-acre portion of the land and continues to live there in a large farmhouse.

The deed to the 40-acre tract was promptly recorded. It contained the following language: "It is a term and condition of this deed, which shall be a covenant running with the land and binding on all owners, their heirs and assigns, that no use shall be made of the 40-acre tract of land except for residential purposes."

Subsequently, the developer fully developed the 40-acre tract into a residential subdivision consisting of 40 lots with a single-family residence on each lot.

Although there have been multiple transfers of ownership of each of the 40 lots within the subdivision, none of them included a reference to the quoted provision in the deed from the man to the developer, nor did any deed to a subdivision lot create any new covenants restricting use.

Last year, a major new medical center was constructed adjacent to the subdivision. A doctor who owns a house in the subdivision wishes to relocate her medical office to her house. For the first time, the doctor learned of the restrictive covenant in the deed from the man to the developer. The applicable zoning ordinance permits the doctor's intended use. The man, as owner of the five-acre tract, however, objects to the doctor's proposed use of her property.

There are no governing statutes other than the zoning code. The common law Rule Against Perpetuities is unmodified in the jurisdiction.

May the doctor convert her house in the subdivision into a medical office?

A. No, because the man owns property benefitted by the original restrictive covenant and has a right to enforce it.

B. No, because the owners of lots in the subdivision own property benefitted by the original residential covenant and have the sole right to enforce it.

C. Yes, because the original restrictive covenant violates the Rule Against Perpetuities.

D. Yes, because the zoning ordinance allows the doctor's proposed use and preempts the restrictive covenant.

Explanation:

A **real covenant** is an express promise to do (affirmative) or not do (negative/restrictive) something on land that is enforceable by an action for money damages. The promising parties are bound to the covenant under contract law. But **successors in interest** are bound only if the covenant runs with the land. This occurs when the following elements are met:

Writing – covenant is in a writing that satisfies the statute of frauds (eg, deed to 40-acre tract)

Intent to run – promising parties intended for the covenant to run to their successors in interest (eg, deed says "running with the land," "binding to heirs and assigns")

Touch and concern – covenant relates to the use, enjoyment, or occupation of the benefited and burdened lands (eg, limiting use of 40-acre tract to benefit five-acre tract)

Horizontal privity – promising parties simultaneously transferred the land and created the covenant (eg, covenant created when 40-acre tract was deeded to developer)

Vertical privity – successor of the *benefited* estate has a possessory interest (not applicable here since the man is a promising party) and successor of the *burdened* estate has a promising party's entire estate or ownership interest (eg, doctor has same ownership interest that developer had)

Notice – person to be bound had notice of the covenant (eg, doctor had record notice of promptly recorded deed containing the covenant)

Therefore, the man has a right to enforce the restrictive covenant and stop the doctor from converting her house into a medical office.

(Choice B) The lot owners are successors in interest to the developer's 40-acre estate. As lot owners, they have a possessory interest in that estate that creates vertical privity. They—along with the man—can therefore enforce the covenant.

(Choice C) The Rule Against Perpetuities only applies to future interests that have a possibility of vesting (eg, contingent remainders)—not to real covenants or other nonpossessory property interests.

(Choice D) A zoning ordinance overrides a restrictive covenant only when the two are in direct conflict (eg, a covenant restricting use to commercial purposes in an area zoned only for residential use).

Educational objective:

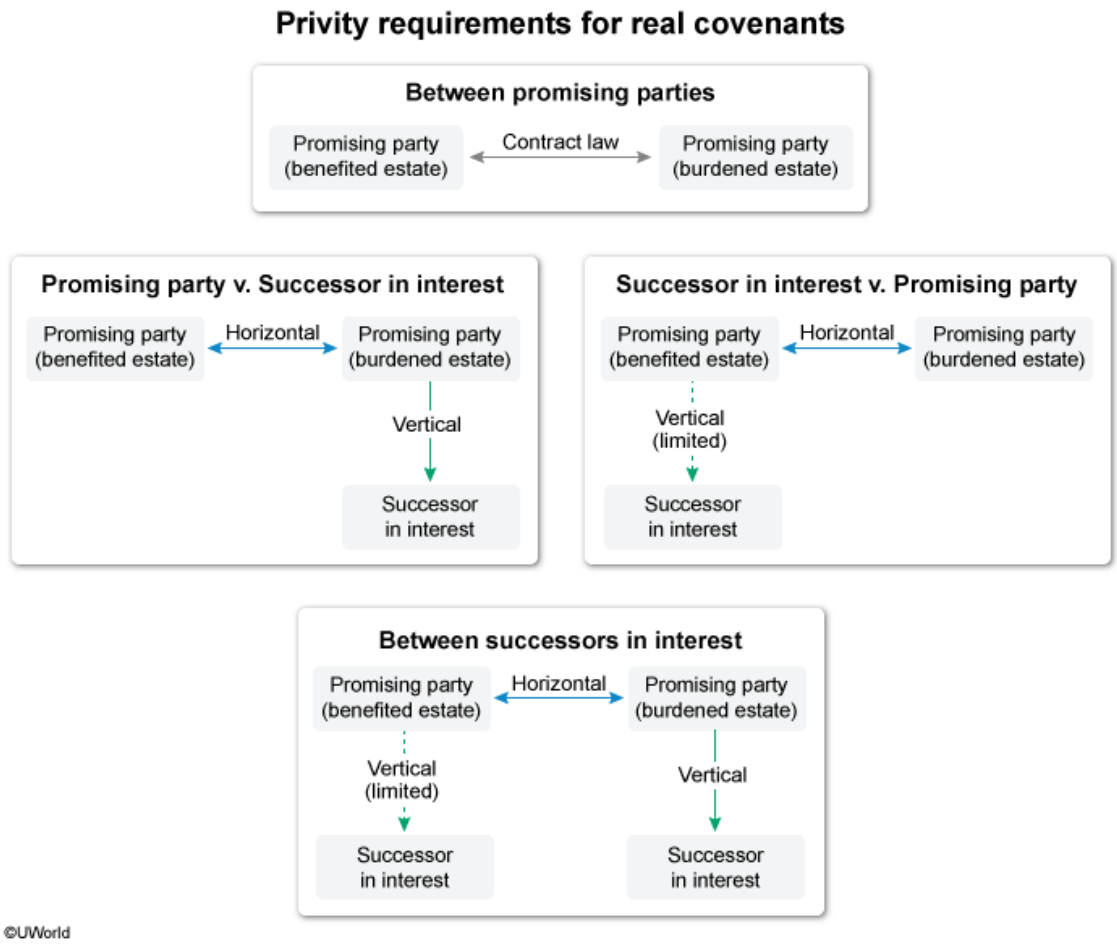
A real covenant will run to successors in interest if the following elements are met: (1) writing, (2) intent to run, (3) touch and concern, (4) horizontal privity, (5) vertical privity, and (6) notice.

References

Restatement of Property §§ 530–38 (Am. Law Inst. 1944) (setting out the elements for a real covenant).

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The owner of a tract of land mortgaged the tract to a bank to secure his preexisting obligation to the bank. The mortgage was promptly and properly recorded. The owner and a buyer then entered into a valid written contract for the purchase and sale of the tract, which provided for the transfer of "a marketable title, free of encumbrances." The contract did not expressly refer to the mortgage.

Shortly after entering into the contract, the buyer found another property that much better suited her needs and decided to try to avoid her contract with the owner. When the buyer discovered the existence of the mortgage, she asserted that the title was encumbered and that she would not close. The owner responded by offering to provide for payment and discharge of the mortgage at the closing from the proceeds of the closing. The buyer refused to go forward, and the owner brought an appropriate action against her for specific performance.

If the court holds for the owner in this action, what would be the likely reason?

A. The doctrine of equitable conversion supports the result.
B. The existence of the mortgage was not the buyer's real reason for refusing to close.
C. The mortgage is not entitled to priority because it was granted for preexisting obligations.
D. The owner's arrangements for the payment of the mortgage fully satisfied his obligation to deliver marketable title.

Explanation:

"Red flags" for marketable title

Covenants
Easements
Leases
Liens
Gaps in chain of title
Boundary disputes
Existing zoning violations
Adverse possession

All contracts for the sale of land have an **implied warranty** that the seller will convey **marketable title** to the buyer **upon closing** unless otherwise stated. Title need not be perfect to be marketable. However, it must be reasonably free from doubt and under no threat of litigation such that a reasonable person would accept and pay for it. If the seller cannot convey marketable title by the time of closing, the buyer can rescind (ie, cancel) the contract.

Title can be **rendered unmarketable** by **encumbrances** (eg, easements, mortgages, other liens). Although a mortgage is an encumbrance, the seller has the right to **satisfy the mortgage** up to the **time of closing** and will often use the sale proceeds to do so—as the owner has made arrangements to do here. As a result, the court will hold for the owner because the closing itself will likely render title marketable.

(Choice A) The doctrine of equitable conversion relates to the ownership of the property and the risk of loss in the period between contract formation and closing. It does not affect the parties' performance under the land-sale contract.

(Choice B) The buyer could have refused to close if she had an *actual* basis for doing so—even if that was not the buyer's actual reason for the refusal.

(Choice C) Priority refers to the order in which creditors receive sale proceeds from a foreclosure; whether a mortgage was granted for preexisting obligations does not affect its priority. Regardless, this will not affect the owner's success because (1) there is no indication that there are other encumbrances on the property, and (2) the mortgage will likely be satisfied and thereby extinguished upon closing.

Educational objective:

A mortgage is an encumbrance that can render title unmarketable. However, the seller has the right to satisfy the mortgage up to the time of closing and will often use the sale proceeds to do so.

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A businesswoman owned two adjoining tracts of land, one that was improved with a commercial rental building and another that was vacant and abutted a river.

Twenty years ago, the businesswoman conveyed the vacant tract to a grantee by a warranty deed that the businesswoman signed but the grantee did not. The deed contained a covenant by the grantee as owner of the vacant tract that neither he nor his heirs or assigns would "erect any building" on the vacant tract, in order to preserve the view of the river from the commercial building on the improved tract. The grantee intended to use the vacant tract as a nature preserve. The grantee promptly and properly recorded the deed.

Last year, the businesswoman conveyed the improved tract to a businessman. A month later, the grantee died, devising all of his property, including the vacant land, to his cousin.

Six weeks ago, the cousin began construction of a building on the vacant tract. The businessman objected and sued to enjoin construction of the building.

Who is likely to prevail?

A. The businessman, because the commercial building was constructed before the cousin began his construction project.

B. The businessman, because the cousin is bound by the covenant made by the grantee.

C. The cousin, because an equitable servitude does not survive the death of the promisor.

D. The cousin, because the grantee did not sign the deed.

Explanation:

Elements of real covenants & equitable servitudes

Real covenants		**Equitable servitudes**	
(enforceable by money damages)		(enforceable by equitable relief)	
For *burden* to run	**For *benefit* to run**	**Express**	**Implied**
Writing	Writing	Writing	Intent to create common scheme
Intent to run	Intent to run	Intent to run	Restrictive servitude
Touch & concern	Touch & concern	Touch & concern	Notice
Horizontal & vertical privity	Limited vertical privity	Notice	
Notice	No notice required		

An **equitable servitude** is a covenant (ie, promise) to do or not do something on land, enforceable by an action for equitable relief against the parties who made the promise and their successors in interest. An **express** equitable servitude requires:

Writing – the covenant is expressed in a writing that satisfies the statute of frauds (eg, the deed from the businesswoman to the grantee)

Intent to run – the promising parties intended for the covenant to run to (ie, bind) their successors in interest (eg, the deed says "heirs or assigns")

Touch and concern – the covenant relates to the use, enjoyment, or occupation of both the dominant and servient estates (eg, prohibits building on one tract to preserve the view on the other) *and*

Notice – the owner of the servient (ie, burdened) estate has actual, record, or inquiry notice of the covenant (eg, the cousin has record notice because the grantee's deed was properly recorded).

Therefore, the cousin is bound by the covenant made by the grantee, and the businessman will prevail in his action to enjoin construction of the building on the vacant tract.

(Choice A) The fact that the commercial building was constructed before the cousin began his construction project has no effect on the outcome of this case.

(Choice C) An equitable servitude *does* survive the death of the promisor because the parties intend to bind their successors in interest.

(Choice D) A valid deed need only be signed by the *grantor* (here, the businesswoman), so it does not matter that the *grantee* did not sign the deed.

Educational objective:

To create an express equitable servitude, (1) the covenant must be in writing, (2) the promising parties must intend for it to run with the land, (3) it must touch and concern the land, and (4) the owner of the servient estate must have had notice of the covenant.

References

Restatement of Property § 539 (Am. Law Inst. 1944) (equitable servitudes).

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A woman owned land that abutted a public highway to the south. A neighbor owned the land immediately to the north. The neighbor's predecessor had received an easement from the woman's predecessor in title to cross the woman's land for access to the public highway. This access was desired even though the neighbor and his predecessor had other access to public roads. The easement was in writing and properly recorded.

Recently, the woman erected a large solar collector on a portion of her land subject to the easement, even though the woman has other power resources. The location was essential to acquire the maximum sunlight. However, by erecting the collector there, the woman effectively cut off the neighbor's ability to use the easement. The local zoning code permits the use of solar collectors.

The neighbor immediately sued to compel the woman to remove the solar collector.

Must the solar collector be removed?

A. No, because the neighbor has other means of access.

B. No, because the zoning code permits the use of solar collectors.

C. Yes, because the easement remains valid.

D. Yes, because the woman has other power resources.

Explanation:

Distinctions between easements

Type	Appurtenant	Benefits easement holder's land Benefit & burden automatically transfer when land is conveyed
	In gross	Benefits easement holder personally Burden (not benefit) automatically transfers when land is conveyed
Purpose	Affirmative	Allows easement holder to do something on servient estate
	Negative	Restricts servient-estate owner's lawful use of servient estate
Creation	Express	Created by parties in writing that satisfies statute of frauds
	Irrevocable license	License becomes irrevocable due to estoppel or coupling with another servitude
	Implied	Implied by law due to necessity (easement by necessity) Implied by fact due to prior use (easement by implication)
	By prescription	Adversely acquired through **OCAN**—**o**pen/notorious, **a**ctual, **c**ontinuous & **n**onpermissive use

Easements are either **appurtenant** (ie, **tied to the land**) OR in gross (ie, personal to the easement holder).* An easement is appurtenant if it enhances the use and enjoyment of the dominant estate by allowing the easement holder to use the servient estate in a limited way (eg, a right-of-way across the servient estate—as seen here). Since this type of easement is tied to the land, the **benefit and burden** of the easement **rest with the current owners** of the dominant and servient estates, respectively.

Here, the neighbor's predecessor received an easement appurtenant from the woman's predecessor in title to cross her land for access to the public highway. That easement is tied to the land, so both the neighbor (current dominant-estate owner) and the woman (current servient-estate owner) are bound by it. And though the woman is free to use the valid easement in any way that does *not* unreasonably interfere with the neighbor's use, her solar collector effectively cut off his ability to use the easement. Therefore, the solar collector must be removed.

*Easements are presumed to be appurtenant unless there are clear facts to the contrary (eg, if the easement is set to last for only a limited time).

(Choice A) The neighbor's ability to access his land from other public roads would defeat an *implied* easement by necessity. But it does not prevent him from enforcing the *express* easement granted to his predecessor.

(Choice B) Because the zoning ordinance permits solar collectors, the woman can lawfully use them on her land. But she cannot do so in a way that unreasonably interferes with the neighbor's use of the easement.

(Choice D) The fact that the woman has other power sources does not compel her to remove the solar collector. Instead, she must remove the solar collector because it violates the neighbor's ability to use the easement.

Educational objective:

An easement appurtenant is tied to the land, meaning that the benefit and burden of the easement rest with the current owners of the dominant and servient estates, respectively. And though the servient-estate owner is free to use the easement, he/she may not unreasonably interfere with the dominant-estate owner's use.

References

Restatement (Third) of Property: Servitudes § 4.5 (Am. Law Inst. 2000) (distinguishing easements appurtenant from easements in gross).

Restatement (Third) of Property: Servitudes § 4.9 (Am. Law Inst. 2000) (discussing limitations on servient-estate owner's use of easement).

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Six years ago, a landlord and a tenant entered into a 10-year commercial lease of land. The written lease provided that if a public entity under the power of eminent domain condemned any part of the land but not all of it, the lease would terminate and the landlord would receive the entire condemnation award. Thereafter, the city condemned approximately two-thirds of the land.

The tenant notified the city and the landlord that an independent appraisal of the value of the tenant's possessory interest established that it substantially exceeded the tenant's obligation under the lease and that the tenant was entitled to share the award. The appraisal was accurate.

In an appropriate action among the landlord, the tenant, and the city as to the right of the tenant to a portion of the condemnation award, for whom will the court likely find?

A. The landlord, because the condemnation superseded and canceled the lease.
B. The landlord, because the parties specifically agreed as to the consequences of a partial condemnation.
C. The tenant, because otherwise the landlord would be unjustly enriched.
D. The tenant, because the landlord breached the landlord's implied warranty of quiet enjoyment.

Explanation:

A **taking** of all or part of a leasehold under the power of **eminent domain** generally entitles the tenant to a share of the **condemnation award**. The **tenant's share** of the award is equal to the **fair market value** of the condemned leasehold **plus** any amount necessary to **compensate the tenant** for any continued obligation to pay rent that may be required under the lease.

However, the parties **can expressly agree to alternative provisions** in the lease, and courts will typically enforce those agreed-upon provisions. Here, the parties specifically agreed that a partial condemnation would terminate the lease and that the landlord would receive the *entire* condemnation award. Since the lease controls, the tenant is not entitled to any portion of the condemnation award.

(Choice A) The condemnation would have canceled the lease had the city condemned *all* the land for the entire lease term. Since the city condemned only two-thirds of the land, the lease was terminated in accordance with the landlord and tenant's lease agreement.

(Choice C) Although the landlord may be enriched by the condemnation award, it is not unjust because the parties agreed to the lease provision.

(Choice D) A landlord's implied warranty of quiet enjoyment provides that the tenant's possession and enjoyment of the leased premises will not be disturbed by the landlord or someone with superior title. The taking of leased land under the power of eminent domain does not breach this warranty because the condemnation occurred through no fault of the landlord.

Educational objective:

Unless otherwise provided under a lease, a taking of all or part of a leasehold under the power of eminent domain entitles the tenant to a share of the condemnation award. The tenant's share is equal to the fair market value of the condemned leasehold plus compensation for any continued obligation to pay rent.

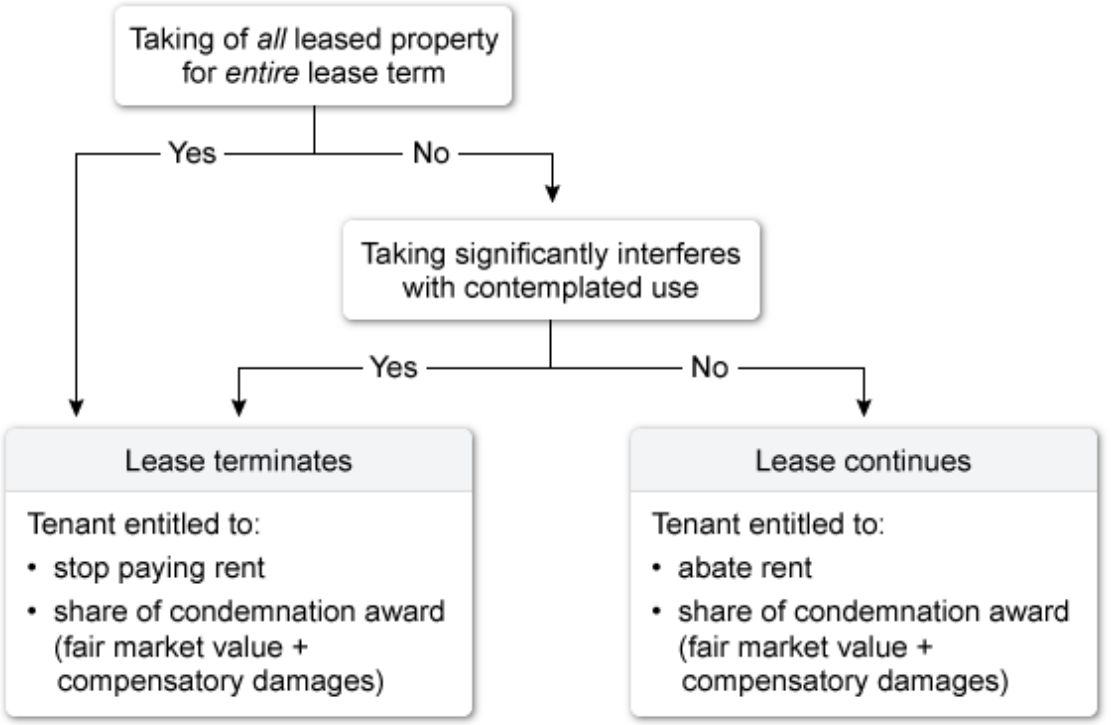
References

Restatement (Second) of Property: Landlord and Tenant §§ 8.1–8.2 (Am. Law Inst. 1977).

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Taking of leased property by eminent domain



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A seller owned a single-family house. A buyer gave the seller a signed, handwritten offer to purchase the house. The offer was unconditional and sufficient to satisfy the statute of frauds, and when the seller signed an acceptance, an enforceable contract resulted.

The house had been the seller's home, but he had moved to an apartment, so the house was vacant at all times relevant to the proposed transaction. Two weeks after the parties had entered into their contract, one week after the buyer had obtained a written mortgage lending commitment from a lender, and one week before the agreed-upon closing date, the house was struck by lightning and burned to the ground. The loss was not insured, because three years earlier the seller had let his homeowner's insurance policy lapse after he had paid his mortgage debt in full.

The handwritten contract was wholly silent as to matters of financing, risk of loss, and insurance. The buyer declared the contract voided by the fire, but the seller asserted a right to enforce the contract despite the loss.

There is no applicable statute.

If a court finds for the seller, what will be the likely reason?

A. The contract was construed against the buyer, who drafted it.

B. The lender's written commitment to make a mortgage loan to the buyer made the contract of sale fully binding on the buyer.

C. The risk of loss falls on the party in possession, and constructive possession passed to the buyer on the contract date.

D. The risk of loss passed to the buyer on the contract date under the doctrine of equitable conversion.

Explanation:

When, as here, a real estate **contract is silent** as to the **risk of loss**, the doctrine of **equitable conversion** places that **risk on** the **party with equitable title** to the property. Equitable title is transferred to the **buyer** once the contract is formed and can be specifically enforced. A contract can be specifically enforced if no conditions exist (as seen here) or all contract conditions have been performed. Therefore, the court likely found in favor of the seller because the risk of loss had already passed to the buyer when the house was destroyed.

However, had this jurisdiction followed the Uniform Vendor and Purchaser Act (a minority rule), the risk of loss would have remained with the seller until the buyer took *actual* possession of or received title to the property **(Choice C)**.

(Choice A) A contract is generally interpreted according to its plain meaning; however, ambiguities within the contract may be construed against the drafter. But the rules of contract interpretation are irrelevant here because the contract is silent as to the risk of loss and the doctrine of equitable conversion controls.

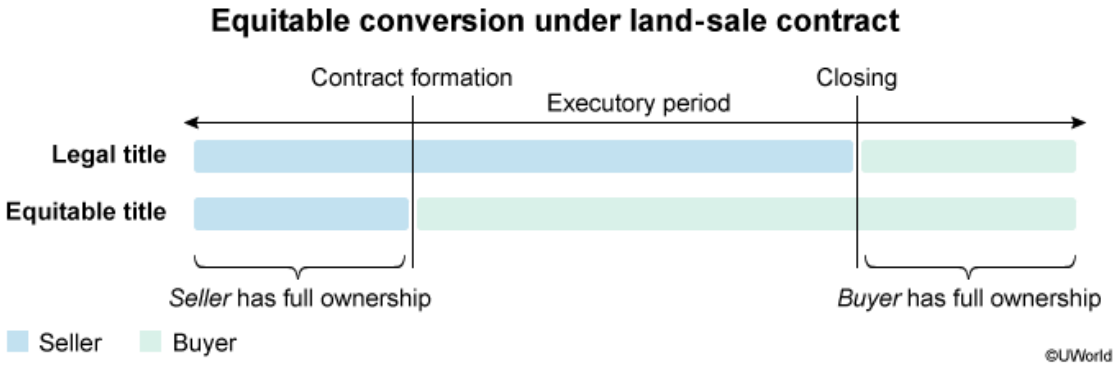
(Choice B) There were no conditions in the contract of sale (e.g., that the buyer secure financing before closing), so the contract became binding once the seller signed the acceptance. Therefore, the buyer would have been obligated to purchase the property even if the buyer had not received a loan commitment.

Educational objective:

Unless otherwise provided, the doctrine of equitable conversion places the risk of loss on the party with equitable title to the property. The buyer acquires equitable title once a real estate contract is formed and can be specifically enforced.

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Pursuant to a city ordinance, a particular area was zoned for single-family residences. The ordinance allowed a licensed professional, upon acquiring a permit, to maintain an office within one of the residences for use in meeting with clients and other parties in connection with the pursuit of the individual's profession. A licensed psychiatrist purchased a residence within the area zoned for single-family residences. The psychiatrist properly applied for a permit from the zoning commission and established that she met the conditions for granting the permit, but she cannot prove that the denial of the permit would result in an unnecessary hardship to her.

Can the zoning commission properly deny the psychiatrist a permit?

A. No, because she has a vested right in maintaining a home office in her residence.

B. No, because she properly applied for and established her entitlement to the permit.

C. Yes, because she cannot establish that the denial of the permit would result in an unnecessary hardship to her.

D. Yes, because the granting of a permit is a matter within the discretion of the zoning commission.

Explanation:

A **zoning ordinance** is a governmental regulation regarding land use that, for example, limits the use of a particular area to single-family residences. The ordinance may include a **special exception** permitting a **particular future use** of property if a special-use permit is obtained. If a **property owner complies** with the procedures for obtaining a special-use permit and **establishes entitlement** to that permit (as the psychiatrist did here), the responsible government agency ***must* issue the permit**. Therefore, the zoning commission cannot properly deny the psychiatrist a permit.*

If the property owner is denied a permit, procedural due process typically gives the owner the right to appeal the denial to a reviewing entity (eg, a board of zoning appeals).

(Choice A) A vested right regarding a nonconforming use of property exists when, at the time a zoning ordinance takes effect, the property owner is using the property in a manner that violates the ordinance. Here, the psychiatrist did not have a home office when the ordinance was enacted, so she has no vested right in this use.

(Choice C) Proof of unnecessary hardship is not needed to obtain a special-use permit. However, such proof is required to obtain a variance. Under a variance, a local government (often a zoning board) gives a landowner permission to use his/her property in a manner that is not permitted under the zoning ordinance—eg, the use falls outside of a special exception.

(Choice D) The granting of a special-use permit is not subject to the discretion of the zoning commission when, as here, the property owner has established that the conditions for granting the permit have been met.

Educational objective:

A property owner must be granted a special-use permit if the property owner has complied with the procedures for obtaining the permit and has established entitlement to the permit.

References

83 Am. Jur. 2d Zoning and Planning § 814 (2020) (discussing special exceptions or uses).

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Two adjacent, two-story, commercial buildings were owned by a landlord. The first floors of both buildings were occupied by various retail establishments. The second floors were rented to various other tenants. Access to the second floor of each building was reached by a common stairway located entirely in Building 1. While the buildings were being used in this manner, the landlord sold Building 1 to a man by warranty deed that made no mention of any rights concerning the stairway. About two years later, the landlord sold Building 2 to a woman. The stairway continued to be used by the occupants of both buildings. The stairway became unsafe as a consequence of regular wear and tear. The woman entered the man's building and began the work of repairing the stairway. The man demanded that the woman discontinue the repair work and vacate the man's building. When the woman refused, the man brought an action to enjoin the woman from continuing the work.

For which party should judgment be entered?

A. The man, because the woman has no rights in the stairway.

B. The man, because the woman's rights in the stairway do not extend beyond the normal life of the existing structure.

C. The woman, because she has a right to take whatever action is necessary to protect herself from possible tort liability to persons using the stairway.

D. The woman, because she has an easement in the stairway and an implied right to keep the stairway in repair.

Explanation:

Implied easements

Type	**Elements**
Necessity	Severance of common ownership
	S*trict* necessity for use & enjoyment of land
Existing prior use	Severance of common ownership
	Prior existing use
	Apparent & continuous
	Reasonable necessity for use & enjoyment of land

An **easement** can be implied by an **existing prior use** when the following elements are met:

Severance of common ownership – the dominant and servient estates were a single tract of land, and the owner retained part of the tract and conveyed the rest to another

Prior existing use – the owner used the servient estate to benefit the dominant estate (ie, a "quasi-easement")

Apparent and continuous – the prior use was discoverable by reasonable inspection and continued until the tract was severed

Reasonable necessity – continuance of the prior use is *reasonably* necessary to use the land

Here, the landlord owned both buildings before selling Building 1 to the man and later selling Building 2 to the woman (severance). The stairway in Building 1 had been used to access the second floor of Building 2 before the buildings were sold (prior existing use) and continued to be used by occupants of both buildings after those sales (apparent and continuous). And since the continued use of the stairway is reasonably necessary to use the second floor of Building 2 (reasonable necessity), the woman has an implied easement in the stairway **(Choice A)**.

As the **easement holder**, the woman has the **sole duty to maintain*** the easement. Repairs must be made to avoid harm to the servient estate and to protect the servient owner (not the easement holder) from liability for harm to third parties **(Choice C)**. As a result, the easement holder has the implied right to enter the servient estate to make necessary repairs—as the woman did here. Judgment should therefore be entered for her.

*However, if the easement is used by the easement holder and the servient owner, then repair costs will be apportioned between the parties based on their relative use.

(Choice B) An easement over a structure (eg, building) continues until that structure is destroyed by natural causes. And since Building 2 still exists, the woman's easement over the stairway remains in effect.

Educational objective:

An easement will be implied by prior use if (1) common ownership was severed, (2) the prior existing use was apparent and continued after severance, and (3) continuation of that use is reasonably necessary to use the land.

References

Restatement (Third) of Property: Servitudes § 2.12 (Am. Law Inst. 2000) (easement by prior use)

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A farmer executed a document granting to a local gun club and its assignees the exclusive right to hunt geese to the extent permitted by law on a portion of his farm. The club recorded the document. Two years later the club disbanded, but before doing so, the club assigned its hunting rights on the farm to its 10 members, individually.

The farmer denied the former members access to his farm to hunt geese. The former members filed a court action to compel the farmer to permit them access.

If a court rules in favor of the former members, which of the following is it likely to apply in dividing this profit?

A. The *cy pres* doctrine.

B. The shelter rule.

C. The one-stock rule.

D. The rule of convenience.

Explanation:

Profit

(right to enter another's land & remove natural resources)

	Characteristics	Transferability	Apportionability
Exclusive	Unlimited & exclusive right	Can be transferred unless profit is personal or contrary to parties' intent	If transferable, can be divided unless contrary to parties' intent or burden on servient estate unreasonably increased
Nonexclusive	Right limited by quantity, use, or time OR shared with another		

The gun club's right to hunt geese on the farm was a **profit** since it gave the club the right to enter another's land to remove natural resources. When a profit is **apportioned or divided up** among multiple transferees, the **"one stock" rule** applies.

Under this rule, the transferees are limited to the **amount of material taken by the transferor** (ie, the transferor's "stock"), and this quantity is divided up by the transferees taking the profit. This ensures that the burden on the servient (burdened) estate is not unreasonably increased. Therefore, the court is likely to apply the "one stock" rule in dividing the former members' right to hunt geese on the farm.

(Choice A) The *cy pres* doctrine permits a court to alter a legal instrument to come "as close as possible" to the creator's intent when the stated purpose cannot be accomplished due to impracticability or illegality. It is typically applied in the context of a charitable gift in a will or trust when the named beneficiary has ceased to exist and the donor has died. Here, the farmer is alive and challenging the former members' right to hunt on his farm.

(Choice B) Under the shelter rule, grantors who are protected by a recording act protect (or "shelter") their grantees who would otherwise be unprotected from subsequent purchasers. Since profits are not subject to recording acts, the shelter rule does not apply here.

(Choice D) The rule of convenience applies to a class gift and closes the class when any member of the class becomes eligible to take immediate possession of the property. This rule can prevent a future interest from violating the Rule Against Perpetuities. Here, the club transferred the profit to its members individually—not as a class—so this rule is inapplicable.

Educational objective:

The "one stock" rule applies to the division of a profit. Under this rule, the transferees are limited to the amount of material taken by the transferor (ie, his/her "stock"), and this quantity is divided up by the transferees taking the profit.

References

Miller v. Lutheran Conference & Camp Ass'n, 200 A. 646, 651–52 (Pa. Super. Ct. 1938) (explaining that the one-stock rule applies to the division of profits or easements in gross).

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A landlord orally leased a commercial building to a tenant for a 10-year term, which ended one year ago. At the beginning of the lease term, the tenant installed numerous appliances in the building as well as a large air-conditioning system. The tenant alone paid for these items; they were installed with the landlord's permission and were used for the tenant's commercial enterprise.

At the end of the lease term, the tenant failed to vacate the premises in a timely manner and continued to pay rent while remaining in possession for another four months. Before vacating the building at the end of the fourth month, the tenant removed the appliances and the air-conditioning system that he had installed, causing no damage to the building.

Was the removal by the tenant proper?

A. No, because he was a holdover tenant.

B. No, because the lease was oral.

C. Yes, because they were accessions.

D. Yes, because they were trade fixtures.

Explanation:

A tenant can remove **trade fixtures**—items the tenant attached to real property for **use in his/her trade or business**—without the landlord's consent if:

the removal will **not substantially harm** the property (eg, will not degrade the building's structural integrity) *and*

the items are removed **before**, or within a reasonable time after, the **lease terminates**.

Since a **periodic tenancy** has no defined end date, it **continues until** either the landlord or tenant gives **express notice to terminate** it. This tenancy can be created by agreement (eg, a written lease) or by implication (eg, when the tenant continues to pay, and the landlord continues to accept, rent after a prior lease has ended).

Here, the appliances and air-conditioning system are trade fixtures since the tenant installed them for use in his commercial enterprise. And though the tenant's oral 10-year lease ended one year ago, he then initiated a periodic tenancy by continuing to use the premises and pay rent for another four months. And since the tenant removed the trade fixtures before the end of the fourth month (before the tenancy terminated) and caused no damage to the building, the removal was proper.

(Choice A) Although he was a holdover tenant—a tenant who entered a valid lease and then stayed past the end of the lease term—he became a periodic tenant when he kept possession of the premises and continued to pay rent. Therefore, he had the right to remove the trade fixtures before the periodic tenancy ended.

(Choice B) Since the 10-year lease was oral and could not be performed within a year, it was unenforceable under the statute of frauds. But the landlord and tenant then formed a periodic tenancy that (1) was not subject to the statute of frauds and (2) was still in effect when the tenant removed the trade fixtures. Therefore, the removal was proper (regardless of the prior oral lease).

(Choice C) Accessions are items that are so attached to other property that they cannot be removed without causing substantial damage. Here, the appliances and air-conditioning system were not accessions since they were removed without damaging the building. But had they been accessions, removal would have been improper.

Educational objective:

Trade fixtures—items attached to real property by a tenant for use in his/her trade or business—can be removed without the landlord's consent if (1) the removal occurs before, or within a reasonable time after, the lease ends and (2) the removal will not substantially harm the property.

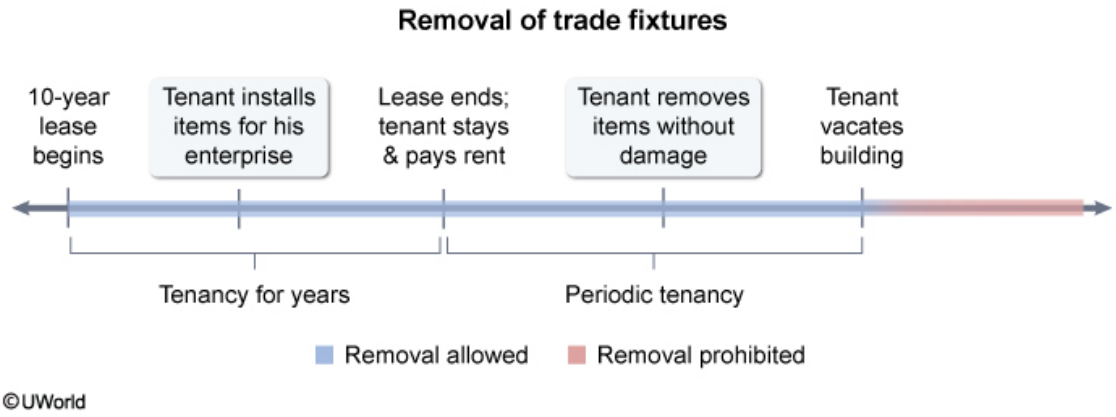
References

Restatement (Second) of Prop.: Landlord & Tenant § 1.5 (Am. Law Inst. 1997) (periodic tenancy).

Restatement (Second) of Prop.: Landlord & Tenant §§ 12.2–12.3 (Am. Law Inst. 1997) (restoration after removal of trade fixtures).

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In a written and signed agreement, a woman, for a fee, granted her neighbor the right to access his property by way of a driveway he was to construct across her property. The neighbor, who could access his property via other reasonable means, had sought the access right because it was more convenient. The neighbor did not record the agreement. Due to financial concerns, the neighbor did not construct the driveway, but he intended to do so in the future.

Six months later, the woman sold her property to a buyer. The buyer did not record her deed from the woman. The buyer had no knowledge of the neighbor's right of access across the property she had purchased.

Yesterday, a year after the sale, the neighbor informed the buyer that he plans to construct the driveway next week.

The jurisdiction has a notice recording act.

If the buyer sues to prevent the neighbor from constructing the driveway, will the buyer be successful?

A. No, because the buyer failed to record her deed from the woman.

B. No, because the neighbor's agreement with the woman created an express easement, which cannot be terminated by mere nonuse.

C. Yes, because the buyer lacked notice of the neighbor's right to construct a driveway on her property.

D. Yes, because the neighbor failed to construct the driveway on the property before the woman sold the property.

Explanation:

Types of recording acts

Type	Effect	Statutory language
Race	Interest holder who records first will prevail	"First record"
Notice	Subsequent BFP without notice of earlier property interest will prevail	"Without notice," "In good faith"
Race-Notice	Subsequent BFP (1) without notice of earlier property interest (2) who records first will prevail	"Without notice, who shall first record"

BFP = Bona fide purchaser.

An **easement** is a nonpossessory interest in real property that gives the easement holder the right to use another's land for a specific, limited purpose—eg, the neighbor's right to construct a driveway across the woman's property. As real property interests, easements are subject to the jurisdiction's recording act. Under a **notice recording act** (as seen here), a real property interest **cannot be enforced against** a **subsequent purchaser** of a conflicting real property interest **who lacks notice** (actual, record, or inquiry) of the prior interest.

Here, the buyer had no knowledge of the neighbor's easement when she purchased the property (no actual notice). Additionally, the neighbor had neither recorded the agreement in which the woman granted him the easement (no record notice) nor constructed the driveway (no inquiry notice) at that time. Therefore, the neighbor cannot enforce his easement against the buyer, and she can prevent him from constructing a driveway across her property.

(Choice A) A purchaser who is protected by a recording act (eg, the buyer) does not have to record his/her property interest to enjoy the act's protection from a person who had previously acquired a conflicting interest in the same property (eg, the neighbor).

(Choice B) An easement is terminated by abandonment if the easement holder acts in an affirmative way that shows a clear intent to relinquish the easement right—mere nonuse is insufficient. Therefore, the neighbor's express easement was not terminated by his mere failure to construct the driveway. But that easement is unenforceable because the buyer is protected by the notice recording act.

(Choice D) The neighbor's failure to construct a driveway on the property before the woman sold it helps show that the buyer lacked inquiry notice of the neighbor's easement. But the buyer will only be successful because she also lacked actual and record notice.

Educational objective:

Under a notice recording act, a real property interest (eg, easement) cannot be enforced against a subsequent purchaser of a conflicting real property interest (eg, the land subject to the easement) who lacks notice of the prior interest.

References

Restatement (Third) of Property § 7.14 (Am. Law Inst. 2000) (extinguishment of servitude benefits under recording act).

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A seller entered into a written contract with a purchaser to sell a farm. The contract was dated June 19 and called for a closing date on August 19. There was no other provision in the contract concerning the closing date. The contract contained the following clause: "subject to the purchaser obtaining a satisfactory mortgage at the current rate." On the date provided for closing, the buyer advised the seller that he was unable to close because his mortgage application was still being processed by a bank. The seller desired to declare the contract at an end and consulted his attorney in regard to his legal position.

Which of the following are relevant in advising the seller of his legal position?

A. Specific performance.

B. Statute of frauds.

C. Time is of the essence.

D. All of the above.

Explanation:

Under the **statute of frauds**, real estate contracts are enforceable only if they are in writing, are signed by the party to be charged, and contain all essential terms. As a result, this statute is relevant in advising the seller of his ability to enforce this contract for the sale and purchase of the farm **(Choice B)**.

Real estate contracts need not include a closing date. However, a closing date will be strictly enforced when the contract includes **express language** that makes **time of the essence** *or* the circumstances strongly suggest that the **parties intended** it to be. Therefore, the buyer would have materially breached the contract by failing to obtain a mortgage loan from the bank by August 19 if this closing date is found to be a strict deadline **(Choice C)**.

When a buyer has breached a contract, one of the seller's remedies includes **specific performance**. This allows the seller to seek an **injunction** ordering the **buyer to pay** the agreed purchase price in lieu of monetary damages. Since it is important to inform a client of all available remedies, specific performance is also relevant in advising the seller of his legal position **(Choice A)**.

Educational objective:

Real estate contracts must comply with the statute of frauds—ie, be in writing, be signed by the party to be charged, and contain all essential terms. A closing date is not an essential term, but it will be strictly enforced if the contract makes time of the essence or the circumstances strongly suggest that the parties intended it to be.

References

73 Am. Jur. 2d Statute of Frauds §§ 289, 305, 325, 329 (2020).

77 Am. Jur. 2d Vendor and Purchaser § 445 (2020) (seller's remedies).

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A woman owned two adjacent parcels, Lot 1 and Lot 2. Lot 1 fronts on a poor unpaved public road, while Lot 2 fronts a paved major highway. Fifteen years ago, the woman conveyed Lot 1 to her son "together with a right-of-way 25 feet wide over the east side of Lot 2 to [the major highway]." At that time, Lot 1 was improved with a 10-unit motel.

Ten years ago, the woman died. Her will devised Lot 2 "to my son for life, remainder to my daughter." Five years ago, the son executed an instrument in the proper form of a deed, purporting to convey Lot 1 and Lot 2 to his friend in fee simple. The friend then enlarged the motel to 12 units. Six months ago, the son died and the daughter took possession of Lot 2. She brought an appropriate action to enjoin the friend from using the right-of-way.

In this action, who should prevail?

A. The daughter, because merger extinguished the easement.

B. The daughter, because the friend has overburdened the easement.

C. The friend, because he has an easement by necessity.

D. The friend, because he has the easement granted by the woman to the son.

Explanation:

An easement is generally terminated by merger when the dominant and servient estates are united in common ownership. But **merger does not occur**—and the **easement does not terminate—if** there are any **future interests** (or other outstanding interests) in either estate. If there is a future interest, use of the easement is **suspended until** the future-interest holder becomes **entitled to possession**.

Here, the woman conveyed Lot 1 (dominant estate) to her son, together with an easement to cross Lot 2 (servient estate) to access the highway. When the woman died, her will devised Lot 2 to her son for life, remainder to her daughter. Because the daughter had a future interest entitling her to possession of Lot 2 once the son dies, the easement was suspended during the son's lifetime—not terminated **(Choice A)**.

The son then purported to convey Lots 1 and 2 to the friend in fee simple. But since the son had only a life estate in Lot 2, that is all he could convey to the friend. So when the son died, the daughter's future interest vested and she became entitled to possession of Lot 2. At that time, the easement over Lot 2 became active. And since the friend owns Lot 1 in fee simple, he now holds the easement.

(Choice B) Normal development of the dominant estate—including a change in the intensity or frequency of use—does not overburden the servient estate. Therefore, the friend did not overburden the easement by increasing the motel from 10 to 12 units.

(Choice C) An easement by necessity only arises when the easement is *strictly* necessary for the use and enjoyment of property—eg, when property cannot be accessed by a public road (not seen here).

Educational objective:

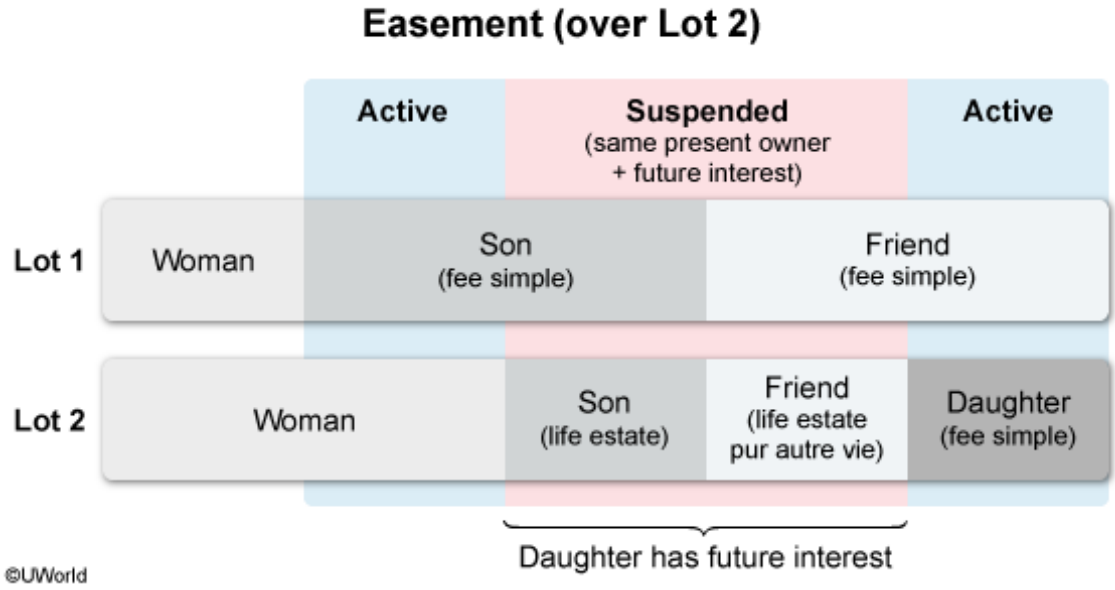
An easement cannot be terminated by merger if there are any future interests (or other outstanding interests) in the dominant or servient estate. Where there is a future interest, use of the easement is suspended until the future-interest holder becomes entitled to possession.

References

Restatement (Third) of Property: Servitudes § 7.5 (Am. Law Inst. 2000) (termination by merger).

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Easement (over Lot 2)
Active
Suspended
(same present owner
+ future interest)
Active
Lot 1
Woman
Son
(fee simple)
Friend
(fee simple)
Lot 2
Woman
Son
(life estate)
Friend
(life estate
pur autre vie)
Daughter
(fee simple)
Daughter has future interest
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A builder purchased 10 acres of undeveloped land. He intended to construct five homes, and each home was to be constructed on a two-acre lot, which was the minimum size permitted under the zoning regulations. The builder employed an architect to design the basic plan for each home, but the builder was forced to shelve those plans due to a sudden downturn in the economy.

Six years later, the builder engaged a surveyor to subdivide the land into two-acre lots. He then discovered that the local zoning board had validly rezoned the area in which the 10 acres were located a year ago, increasing the minimum lot size to two and one-half acres for new residences. The zoning ordinance does not provide for special exceptions, and the builder cannot profitably construct only four of the five homes designed by the architect.

Can the builder proceed with his plans to build five homes on two-acre lots?

A. No, because the ordinance does not provide for special exceptions.

B. No, because the two and one-half acre restriction properly applies to the builder's land.

C. Yes, because he cannot profitably construct only four homes on the 10 acres.

D. Yes, because his rights with regard to the land vested when he purchased the land.

Explanation:

Nonconforming use

Existing nonconformance	Property owner's *existing* use of property that conflicts with new or modified zoning law can continue until: use is enlarged, changed, or abandoned *or* if provided by zoning law, amortization period passes or use not registered
Planned nonconformance	Property owner's *planned* nonconforming use of property can proceed if right to use has vested Vested right exists if, at time zoning law or modification takes effect, property owner has: secured any necessary permits in good faith *and* made substantial progress toward achieving use

When a **zoning law** is enacted or modified, certain properties within that zone may not conform to the new requirements. Any **existing nonconforming uses** are "**grandfathered in**," meaning that they are allowed to continue in spite of the conflict. However, a property owner who has **merely prepared** for a nonconforming use when a zoning change occurs is **not allowed to proceed** with that use unless he/she has a **vested right** in the use.

A vested right will generally be found if, **at the time** the **zoning change takes effect**, the property owner has:

secured any **necessary permit** from the proper local authority in good faith (eg, building permit) *and*

made **substantial progress** toward achieving the nonconforming use (note that in a few states, securing a permit by itself is sufficient).

Here, the builder does *not* have a vested right in building five homes on two-acre lots because the above requirements had not been met at the time the two and one-half acre restriction took effect. Therefore, the restriction properly applies to the builder's land, and he cannot proceed with his plans **(Choice D)**.

(Choice A) A zoning law may recognize that certain *conforming* uses require a special-exception or special-use permit—eg, a gas station may require such a permit even in a commercially zoned area. But this has no bearing on whether the builder has a vested right to proceed with his *nonconforming* use.

(Choice C) The fact that the builder cannot profitably construct four homes on the 10 acres does not entitle him to build five homes on two-acre lots. However, had the zoning change

eliminated *any* economically viable use of the land, he may have been entitled to reasonable compensation under the Fifth Amendment takings clause.

Educational objective:

A property owner may proceed with plans for nonconforming use after a zoning change if he/she has a vested right in that use. A vested right exists if, at the time a zoning change takes effect, the property owner has (1) secured any necessary permits in good faith and (2) made substantial progress toward achieving the use.

References

83 Am. Jur. 2d Zoning & Planning §§ 537–44 (2019) (nature and extent of nonconforming use).

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A man owned a tract of land. His friend wanted to buy the tract and offered $20,000 for it. The man knew that the friend was insolvent but replied, "As a favor to you as an old friend, I will sell my tract to you for $20,000, even though it is worth much more, if you can raise the money within one month." The friend wrote the following words, and no more, on a piece of paper: "I agree to sell my tract to [the friend] for $20,000." The man then signed the piece of paper and gave it to the friend.

Three days later, the man received an offer of $40,000 for the tract. He asked the friend if he had raised the $20,000. When the friend answered, "Not yet," the man told him that their deal was off and that he was going to accept the $40,000 offer.

The next week, the friend secured a bank commitment to enable him to purchase the tract. The friend immediately brought an appropriate action against the man to compel the man to convey the tract to the friend.

Who will likely prevail?

A. The friend, because he has equitable title.

B. The friend, because the parties' antecedent agreement is enforceable.

C. The man, because the man's performance was excused by the friend's anticipatory breach.

D. The man, because the terms of the parties' fully integrated written agreement control.

Explanation:

Statute of frauds requirements for real estate contracts

Writing	Physical or electronic document(s) containing reasonable basis to believe contract was formed eg, receipt, check, emails
Signature	Handwritten signature from, or other mark identifying, party to be charged eg, letterhead, electronic signature, initials
Essential terms	Typically includes: identity of parties words of intent to buy or sell property description sales price

Contracts for the sale of land are enforceable only if they comply with the **statute of frauds**. This statute requires that land-sale contracts be **in writing**, be **signed by the party** against whom **enforcement is sought**, and contain all **essential terms**. Essential terms often include:

the identity of the **parties** (eg, "I," "the friend," and the man's signature)
words of **intent** to buy or sell (eg, "I agree to sell")
a **description** of the property (eg, "my tract") *and*
the sales **price** (eg, $20,000).

Therefore, the antecedent agreement—ie, the piece of paper on which the friend wrote "I agree to sell my tract to [the friend] for $20,000" and that the man signed—is enforceable against the man under the statute of frauds. Therefore, the friend will likely prevail.

(Choice A) The doctrine of equitable conversion relates to the ownership of property and the risk of loss in the period between contract formation and closing. However, it does not impact the validity of, or the ability to enforce, a land-sale contract.

(Choice C) Anticipatory repudiation arises when a party to a contract clearly and unequivocally expresses an *unwillingness* to perform. The other party may then treat that repudiation as a breach. But here, the friend's statement that he had "not yet" raised the $20,000 expressed his *willingness* to perform, so no anticipatory repudiation occurred.

(Choice D) The parol evidence rule generally bars the use of extrinsic evidence of a prior or contemporaneous agreement that contradicts the written terms of a fully integrated

contract. As a result, the terms of a final written agreement will control. But since the friend is able to perform under that contract, this will not help the man prevail.

Educational objective:

Under the statute of frauds, a contract for the sale of land is enforceable only if it is in writing, is signed by the party against whom enforcement is sought, and contains all essential terms—ie, identifies the parties, contains words of intent to buy or sell, describes the property, and lists the sales price.

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The builder of a new house sold the house to a buyer, conveying it to the buyer by warranty deed. One year later, the buyer sold the house to a woman for $50,000 more than the buyer had paid, conveying it to the woman by a quitclaim deed.

Four months after moving in, the woman discovered a number of latent defects in the foundation that caused the house's basement to take on water during heavy rains. The woman contacted the builder about the problem. Toward the end of their heated conversation, the builder yelled at her, "So get it fixed!"

After the woman had the foundation repaired by a cement contractor at a cost of $25,000, she successfully sued the builder to recover that amount from him.

What is the most likely reason that the woman was successful?

A. The court found an implied warranty of habitability from the builder to the buyer that was enforceable by a subsequent buyer.
B. The court found that by paying the buyer $50,000 more for the house than the buyer had paid the builder, the woman did not get the benefit of her bargain.
C. The court found that by yelling at the woman to "get it fixed," the builder had committed himself to paying for the repair.
D. The court found that the defects in the foundation were a breach of the covenant of further assurances in the warranty deed from the builder to the buyer.

Explanation:

Implied warranty of habitability

(ie, implied warranty of fitness or suitability, quality, workmanlike construction)

Implied promise by builder, developer, or other commercial seller of *new* house that house was built in reasonably workmanlike manner & is suitable for living

Builder, developer, or other commercial seller liable for defects that interfere with buyer's ability to live in home

Buyer's damages based on cost of repairs to bring house into compliance with warranty

Under the **implied warranty of habitability** (ie, implied warranty of fitness or suitability), the **builder of a new home** impliedly guarantees that the home is **habitable** and **fit for its intended purposes** when sold. This allows buyers to recover damages for losses caused by the builder's **defective construction or poor workmanship**. And in most jurisdictions, this warranty extends to **subsequent purchasers** as to **latent construction defects**.

Here, the buyer purchased a new home from the builder and later sold it to the woman. After moving in, the woman discovered latent defects in the foundation that caused the house's basement to take on water during heavy rains (habitability concerns). Therefore, the most likely reason that the woman was successful against the builder is that the court found an implied warranty of habitability that was enforceable by her (a subsequent buyer).

(Choice B) Damages for breach of the implied warranty of habitability are based on the cost of repairs to bring the home into compliance with the warranty. Therefore, the additional $50,000 the woman paid to the buyer for the home does not affect her ability to recover $25,000 in repair costs from the builder for breach of this warranty.

(Choice C) The builder did not commit to paying for the repair by telling the woman to "get it fixed." Instead, he must pay for the repair because he is liable for latent construction defects under the implied warranty of habitability.

(Choice D) A warranty deed contains certain covenants of title, including the covenant of further assurances—ie, the grantor's promise to take any actions reasonably necessary to cure defects in title. But since defects in the foundation affect the physical condition (not title) of the property, this covenant does not apply.

Educational objective:

The implied warranty of habitability guarantees that a new home is habitable and fit for its intended purposes. This allows buyers to recover for losses caused by poor workmanship and, in most jurisdictions, allows subsequent purchasers to recover for losses caused by latent construction defects.

References

13 Am. Jur. 2d Building and Construction Contracts § 10 (2018) (duties implied by law).

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Thirty years ago, a brother owned Lot 1, a lot contiguous to Lot 2, in fee simple. He executed and delivered to his sister an instrument in writing which was denominated "Deed of Conveyance." In pertinent part it read, "[Brother] does grant to [sister] and her heirs and assigns a right-of-way for egress and ingress to Lot 2." If the quoted provision was sufficient to create an interest in land, the instrument met all other requirements for a valid grant. The deed was recorded. The sister held record title in fee simple to Lot 2, which adjoined Lot 1.

Twelve years ago, a cousin succeeded to the brother's title in fee simple in Lot 1. Seven years ago, a friend succeeded to the sister's title in fee simple in Lot 2 by a deed that made no mention of a right-of-way or driveway. At the time the friend took title, there existed a driveway across Lot 1 which showed evidence that it had been used regularly to travel between a public highway and Lot 2. Lot 2 did have frontage on a public side road, but this means of access was seldom used because it was not as convenient to the dwelling situated on Lot 2 as was the highway. The driveway originally was established by the sister.

The friend has regularly used the driveway since acquiring title. The period of time required to acquire rights by prescription in the jurisdiction is 10 years.

Six months ago, the cousin notified the friend that he planned to develop a portion of Lot 1 as a residential subdivision and that the friend should cease any use of the driveway. After some negotiations, the cousin offered to permit the friend to construct another driveway to connect with the streets of the proposed subdivision. She declined this offer on the ground that travel from Lot 2 to the highway would be more circuitous.

The friend brought an appropriate action against the cousin to obtain a definitive adjudication of their respective rights. In such lawsuit, the cousin relied upon the defense that the location of the easement created by the grant from the brother to the sister was governed by reasonableness and that the cousin's proposed solution was reasonable.

Should the cousin prevail?

A. No, because the location had been established by the acts of the brother and the sister.

B. No, because the location of the easement had been fixed by prescription.

C. Yes, because the reasonableness of the cousin's proposal was established by the friend's refusal to suggest any alternative location.

D. Yes, because the servient owner is entitled to select the location of a right-of-way if the grant fails to identify its location.

Explanation:

Location & relocation of easements

Location Initial location set by:

express easement's terms
circumstances surrounding easement's creation
servient owner, provided location is set within reasonable time & reasonably suited to easement's purpose (if neither of above provisions applies)

Relocation Servient owner may relocate (at own expense) to permit normal use/development of servient estate if relocation is reasonable & does not:

violate express easement's terms
significantly lessen easement's utility
increase burden on dominant owner's use or enjoyment of easement
frustrate easement's purpose

The **location** of an **express easement** is **set by its terms**. But when those terms are **unclear** (eg, "a right-of-way for egress and ingress to Lot 2"), courts will look to the parties' **intent** to determine the easement's location. Intent is often evidenced by the **parties' conduct** (eg, the sister using a driveway across Lot 1 without objection from the brother).

Once the location of the easement has been established, the **servient-estateowner** may **relocate the easement** at his/her **own expense** to permit normal use or development of the servient estate. But the new location must be reasonable and **may not**:

violate the easement's terms
significantly lessen the easement's **utility**
increase the burden on the dominant-estate owner's use or enjoyment of the easement *or*
frustrate the easement's purpose.

Here, the cousin became the servient-estate owner when he succeeded to the brother's title in Lot 1. He later sought to relocate the easement to develop a portion of Lot 1 as a residential subdivision. But the cousin asked the *friend*, who had succeeded to the sister's title in Lot 2, to bear the expense of building the new driveway. Additionally, the proposed location would significantly lessen the easement's utility by making travel from Lot 2 to the highway more circuitous. Therefore, the cousin should not prevail.

(Choice B) The easement's location was *not* fixed adversely by prescription (ie, OCAN) since the brother did not object to the sister establishing or using the driveway.

(Choice C) The cousin's proposal did not satisfy the requirements for relocating the easement, and the friend was not required to suggest an alternative location.

(Choice D) The servient-estate owner is only entitled to select the initial location of an easement if it has not been set by the easement's terms *or* the circumstances surrounding its creation (eg, the parties' conduct—as seen here).

Educational objective:

The servient-estate owner may relocate the easement at his/her own expense to permit normal use or development of the servient estate. But this right has limitations—eg, relocation cannot significantly lessen the easement's utility.

References

Restatement (Third) of Property: Servitudes § 4.8 (Am. Law Inst. 2000) (location and relocation of easements).

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A franchisor who owned two adjoining parcels conveyed the eastern parcel to an entrepreneur. The franchisor covenanted in the deed to the entrepreneur that when she, the franchisor, sold the western parcel, she would impose restrictive covenants to prohibit uses that would compete with the filling station that the entrepreneur intended to construct and operate on the eastern parcel. The deed was not recorded.

The entrepreneur constructed and operated a filling station on the eastern parcel and then conveyed the eastern parcel to his station manager, who continued the filling station use. The deed did not refer to the restrictive covenant and was promptly and properly recorded.

The franchisor then conveyed the western parcel to her friend, who knew about the franchisor's covenant with the entrepreneur to impose a covenant prohibiting the filling station use but nonetheless completed the transaction when he noted that no such covenant was contained in the franchisor's deed to him. The friend began to construct a filling station on the western parcel.

The station manager brought an appropriate action to enjoin the friend from using the western parcel for filling station purposes.

If the station manager prevails, what will be the most likely reason?

A. Business-related restrictive covenants are favored in the law.
B. The friend had actual knowledge of the covenant to impose restrictions.
C. The friend has constructive notice of the possibility of the covenant.
D. The friend is bound by the covenant because of the doctrine of negative reciprocal covenants.

Explanation:

Elements of real covenants & equitable servitudes

Real covenants		**Equitable servitudes**	
(enforceable by money damages)		(enforceable by equitable relief)	
For *burden* to run	**For *benefit* to run**	**Express**	**Implied**
Writing	Writing	Writing	Intent to create common scheme
Intent to run	Intent to run	Intent to run	Restrictive servitude
Touch & concern	Touch & concern	Touch & concern	Notice
Horizontal & vertical privity	Limited vertical privity	Notice	
Notice	No notice required		

Real covenants and equitable servitudes are promises to do or not do something on the land and can be enforced against the parties who made the promise and their successors in interest. The distinction turns on the type of remedy sought. **Money damages** are available for breach of a **real covenant**, while **equitable relief** (eg, injunction—as seen here) is available for **equitable servitudes**. Therefore, the station manager will prevail if he can satisfy the following requirements for an express equitable servitude:

Writing – covenant is expressed in a writing that satisfies the statute of frauds (eg, deed from franchisor to entrepreneur)

Intent to run – promising parties intended that the covenant run to (ie, bind) their successors in interest (eg, agreeing to impose restrictive covenants on future buyers)

Touch and concern – covenant relates to the use, enjoyment, or occupation of the land (eg, prohibits uses that would compete with the filling station)

Notice – servient (ie, burdened) estate owner has actual, record, or inquiry notice of the covenant (eg, friend had actual knowledge of the covenant between franchisor and entrepreneur)

Therefore, if the station manager prevails, it will likely be because the friend had *actual* knowledge of this covenant.

(Choice A) Restrictive covenants—including those that are business-related—are generally *disfavored* in the law because they interfere with the free use and alienability of land.

(Choice C) The friend did not have constructive (ie, inquiry or record) notice of the covenant because (1) there were no facts suggesting that there would be a restriction

prohibiting use of the land for a filling station and (2) the deed containing the covenant was not recorded.

(Choice D) Negative reciprocal covenants* can be implied from a common scheme (eg, residential subdivision) when there is no express covenant between the parties—not seen here.

*Also called implied equitable servitudes or implied reciprocal negative easements.

Educational objective:

To enforce an express equitable servitude, (1) the covenant must be in writing, (2) the promising parties must intend for it to run to their successors in interest, (3) it must touch and concern the land, and (4) the servient-estate owner must have notice.

References

Restatement (Third) of Property: Servitudes § 5.2 (Am. Law Inst. 2000) (persons to whom an appurtenant benefit or burden runs).

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Three months ago, a buyer agreed in writing to buy a seller's single-family residence for $110,000. The buyer paid the seller a $5,000 deposit to be applied to the purchase price. The contract stated that the seller had the right at his option to retain the deposit as liquidated damages in the event of the buyer's default. The closing was to have taken place last week.

Six weeks ago, the buyer was notified by his employer that he was to be transferred to another job 1,000 miles away. The buyer immediately notified the seller that he could not close, and therefore he demanded the return of his $5,000 deposit. The seller refused and waited until after the contract closing date to sell the residence to a real estate broker for $108,000. The broker paid the full purchase price and immediately recorded his deed. The broker knew of the prior contract with the buyer.

In an appropriate action, the buyer seeks to recover the $5,000 deposit from the seller.

What is the most probable result?

A. The seller may keep the $5,000 deposit, because the buyer breached the contract.
B. The seller must return $3,000 to the buyer, because the seller's damages were only $2,000.
C. The seller must return the $5,000 to the buyer, because the buyer was legally justified in not completing the contract.
D. The seller must return the $5,000 to the buyer, because the seller can no longer carry out his contract with the buyer.

Explanation:

Seller's remedies

Rescission & restitution	Rescind (ie, cancel) agreement & recover possession of property Rental value & physical damages are recoverable Buyer not liable for purchase price
Specific performance	Seek an injunction ordering buyer to pay agreed purchase price May be unavailable if money damages provide adequate compensation & property is not unique eg, condominium identical to other units in complex
Damages	Loss of bargain = contract price – market value at time of breach Liquidated damages = amount designated in the sales contract as compensation for breach Retain buyer's deposit (up to amount of seller's actual damages) Incidental & consequential damages that were contemplated during sales contract or reasonably foreseeable

Land-sale contracts can include a **liquidated damages provision**, which allows a seller to recover a certain sum in the event of the buyer's breach. These provisions are **enforceable** if the liquidated amount bears a **reasonable relation** to **anticipated damages**. Courts have consistently held that an amount **less than 15%** of the **purchase price** is reasonable. However, an amount that exceeds this percentage may constitute an unenforceable penalty.

Here, the buyer breached the contract when he notified the seller that he could not close. The land-sale contract allows the seller to recover the $5,000 deposit as liquidated damages in the event of the buyer's breach. Since this amount is around 5% of the $110,000 purchase price, the liquidated-damages provision is reasonable and will likely be enforced. Therefore, the most probable result is that the seller will be permitted to keep the $5,000 deposit.

(Choice B) Had the liquidated-damages provision been unenforceable, the seller would have been required to return the deposit and could only recover his actual damages, which amounted to $2,000.

(Choice C) Changed circumstances may provide legal justification for not completing a contract if those circumstances make performance impossible or impracticable. However, the buyer's job transfer does not make it impossible or impracticable to purchase the residence since he can later sell the home.

(Choice D) The seller could have carried out the contract with the buyer at the time of *closing* since he still had title to the residence at that time. The fact that he cannot carry out his contract with the buyer at this time is irrelevant.

Educational objective:

A liquidated damages provision is enforceable if the amount bears a reasonable relation to anticipated damages. An amount less than 15% of the purchase price is likely reasonable.

References

77 Am. Jur. 2d Vendor and Purchaser § 478 (2020) (seller's recovery of liquidated damages).

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A large tract of land is owned by a religious order. The order erected a large residential building on the land where its members reside. The order's land is surrounded by rural residential properties and its only access to a public way is afforded by an easement over a strip of land 30 feet wide. The easement was granted to the order by deed from a woman who owned one of the adjacent residential properties. The order built a driveway on the strip, and the easement was used for 20 years without incident or objection.

Last year, as permitted by the applicable zoning ordinance, the order constructed a 200-bed nursing home and a parking lot on its land, using all of the land that was available for such development. The nursing home was very successful, and on Sundays visitors to the nursing home overflowed the parking facilities on the land and parked all along the driveway from early in the morning through the evening hours. After two Sundays of the resulting congestion and inconvenience, the woman erected a barrier across the driveway on Sundays preventing any use of the driveway by anyone seeking access to the order's land. The order objected.

The woman brought an appropriate action to terminate the easement.

In this action, for whom will the court likely hold?

A. The order, because expanded use of the easement does not terminate the easement.

B. The order, because the woman's use of self-help denies her the right to equitable relief.

C. The woman, because the order excessively expanded the use of the dominant tenement.

D. The woman, because the parking on the driveway exceeded the scope of the easement.

Explanation:

Permissible use of easement

Type	Easement holder's use	Servient owner's use
Express easement	Uses intended by parties OR reasonably necessary to use/enjoy easement if intent is unknown Expansion of use permitted	Use consistent with easement's terms AND does not unreasonably interfere with its use/enjoyment
Easement by prior use	Limited to scope of prior use No expansion of use	
Easement by necessity	Normal uses needed for dominant estate (eg, ingress/egress, utility lines) Expansion of use permitted	
Prescriptive easement	Limited to scope of adverse use during prescriptive period No expansion of use	

An **easement** is generally a nonpossessory right to use another's land (ie, servient estate) for a **specific purpose**. Unless limited by the express terms of the easement, the easement holder has the right to use the servient estate in any manner that is reasonably necessary to use and enjoy the easement—eg, building a driveway on the easement and using the driveway for parking **(Choice D)**.

An easement also anticipates reasonable and natural development of the easement holder's land (ie, dominant estate). Therefore, the **easement holder may increase** the manner, frequency, and intensity of the **easement's use**—so long as that increase does ***not* unreasonably damage or interfere** with the use or enjoyment of the **servient estate**.

Here, the order reasonably developed its land as permitted by the zoning ordinance by constructing a 200-bed nursing home and parking lot on it. This caused an increase in the intensity and frequency of the easement's use. But that use was not excessive because there is no evidence that it *unreasonably* damaged or interfered with the woman's servient estate **(Choice C)**. Even if it did, available remedies would include self-help abatement (eg, blocking off the easement), damages, or an injunction—not termination or forfeiture of the easement **(Choice B)**.

Educational objective:

An easement holder may increase the manner, frequency, or intensity of an easement's use so long as that increase does not unreasonably damage or interfere with the use or enjoyment of the servient estate.

References

Restatement (Third) of Property: Servitudes § 4.10 (Am. Law Inst. 2000) (easement holder's right to use easement).

Restatement (Third) of Property: Servitudes § 4.9 (Am. Law Inst. 2000) (servient owner's right to use servient estate).

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A man contacted his lawyer regarding his right to use a path that was on his neighbor's vacant land.

Fifteen years ago, after part of a path located on his land and connecting his cabin to the public highway washed out, the man cleared a small part of his neighbor's land and rerouted a section of the path through the neighbor's land.

Twelve years ago, the neighbor leased her land to some hunters. For the next 12 years, the hunters and the man who had rerouted the path used the path for access to the highway.

A month ago, the neighbor discovered that part of the path was on her land. The neighbor told the man that she had not given him permission to cross her land and that she would be closing the rerouted path after 90 days.

The man's land and the neighbor's land have never been in common ownership.

The period of time necessary to acquire rights by prescription in the jurisdiction is 10 years. The period of time necessary to acquire title by adverse possession in the jurisdiction is 10 years.

What should the lawyer tell the man concerning his right to use the rerouted path on the neighbor's land?

A. The man has an easement by necessity to use the path.

B. The man has an easement by prescription to use the path.

C. The man has fee title by adverse possession of the land included in the path.

D. The man has no right to use the path.

Explanation:

An easement is a nonpossessory interest in land that gives the easement holder the right to use another's land for a limited purpose (eg, to use the path). One type of easement is an **easement by prescription**, which is acquired through use that is:

Open and notorious – apparent or visible to a reasonable owner

Continuous – uninterrupted for the statutory period

Actual – use of the land

Nonpermissive – hostile and adverse to the owner (ie, without the owner's permission)

Unlike with adverse possession, the use **need not be exclusive** of the owner or other users—including the owner's tenants (eg, the hunters).

Here, the man cleared a small portion of his neighbor's land and created a path through the land. For 12 years—which exceeds the 10-year statutory period—the man openly and continuously used the path to access the highway. And since he did so without the neighbor's permission, the man acquired an easement by prescription to use the path **(Choice D)**.

(Choice A) An easement by necessity arises when two parcels of land are separated from *common* ownership (not seen here), making it absolutely necessary for the owner of one parcel to cross the other parcel to access the land.

(Choice C) To acquire title by adverse possession, a person must have exclusive possession of the land—mere use is not enough.

Educational objective:

To acquire an easement by prescription, a person must use another's land in a way that is (1) open and notorious, (2) continuous, (3) actual, and (4) nonpermissive.

References

Restatement (Third) of Property: Servitudes §§ 2.16–2.17 (Am. Law Inst. 2000) (easement by prescription).

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Adverse possession v. Easement by prescription

	Open and notorious	Continuous	Exclusive	Actual	Non-permissive
Adverse possession	✓	✓	✓	Possession	✓
Easement by prescription	✓	✓		Use	✓

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A building with 40 residential units is owned by a corporation and operated as a cooperative. Each resident is a shareholder in the corporation as well as its tenant pursuant to a lease that is subject to the mortgage on the building. Each tenant is assessed an annual fee to cover part of the corporation's taxes, maintenance expenses, and mortgage obligation. Through poor management by the corporation's board of directors, the corporation failed to raise sufficient funds to pay the mortgage obligation. The bank that holds the mortgage on the building has begun foreclosure proceedings. A resident of the building who paid the annual assessment fee and is not a member of the board of directors has sought a declaratory judgment that a buyer at the foreclosure sale takes the building subject to her lease.

The applicable jurisdiction has not adopted a statute that addresses this situation.

How should the court rule?

A. Against the resident, because she is personally liable for the mortgage obligation as a shareholder of the corporation.

B. Against the resident, because the lease is subject to the mortgage on the building.

C. For the resident, because she is not a member of the corporation's board of directors.

D. For the resident, because she paid her annual assessment fee.

Explanation:

Main types of common-interest communities

Property owners' association	Property owners must, as consequence of property ownership, belong to association & pay dues to it *or* Property owners in real-estate development must pay for use/maintenance of property held in common by individual owners, but association membership is optional
Condominium	Created by state statutes by filing declaration (or master deed) & plat with recording office in condominium's locality Declaration & bylaws set out rights & obligations of unit owners & fix shares for allocating expenses, taxes, voting rights Each owner is responsible for his/her own mortgage
Cooperative	Typically consists of land & one or more buildings owned by corporation that leases individual residential units to shareholders Resident is tenant who also owns one or more shares of stock in corporation & is prohibited from transferring interest separately from lease Cooperative has blanket mortgage

A **cooperative** is a common-interest community that typically consists of land and one or more buildings owned by a corporation that leases individual residential units to its shareholders. Unlike a condominium, in which each unit owner is responsible for his/her own mortgage, a cooperative has a **blanket mortgage** that generally has **priority over occupancy leases**.

Since the leases are subject to the mortgage on the cooperative, a **default on the blanket mortgage** can result in **foreclosure proceedings** on the property, which in turn can **terminate all leases**. Therefore, the buyer at a foreclosure sale will *not* take the building subject to a resident's lease.

(Choice A) A shareholder in a cooperative is *not* personally liable for the cooperative's debts.

(Choice C) Members of a corporation's board of directors may incur liability for the board's poor management of the corporation.* However, this does not prevent the resident from suffering the consequences of the corporation's default on its mortgage obligation.

*However, many courts apply the business-judgment rule to insulate a director or an officer from liability for an honest but mistaken business decision.

(Choice D) Although the resident has paid her annual assessment fee, which includes her share of the mortgage obligation on the building, she can nevertheless lose her right to occupy her residential unit if the bank forecloses on that mortgage.

Educational objective:

Unlike a condominium, in which each unit owner is responsible for his/her own mortgage, a cooperative has a blanket mortgage that generally has priority over occupancy leases. A default on that mortgage can therefore result in foreclosure proceedings on the property, which in turn can terminate all leases.

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A rancher whose land borders a stream used it to water his livestock. The owner of a small waterpark, in existence before the ranch, was located upstream of the rancher's land. The water park required a significant amount of water in order to function properly, so the owner diverted almost all of the stream water into the water park. No longer able to adequately water his livestock from the stream, the rancher filed an action against the owner.

In a jurisdiction that recognizes the riparian doctrine with regard to water usage, who will prevail?

A. The owner, because he made reasonable use of the water.

B. The owner, because his use of water has priority as he was on the land first.

C. The rancher, because he made beneficial use of the water.

D. The rancher, because the owner's commercial use of the water unreasonably interfered with the rancher's domestic use.

Explanation:

Water rights doctrines

Riparian doctrine	Water belongs to owners of adjoining land
(eastern states)	Reasonable use that does not unreasonably interfere with downstream use permitted (reasonable-use doctrine)
	Domestic use trumps commercial use
	Water rights *cannot* be sold or transferred separate from adjoining land
Prior-appropriation doctrine	Water rights determined by priority of beneficial use ("first in time, first in right")
(western states)	Water rights are unconnected to adjoining land & *can* be sold or transferred separately

Water rights have evolved differently in eastern states (where water is plentiful) and western states (where water is scarce). **Eastern states** favor the **riparian doctrine**, where water rights belong to riparians—ie, those who own the land that borders the watercourse. A riparian is generally free to make **any reasonable use** of the water that does **not unreasonably interfere with downstream use**.* However, **domestic** ("natural") use **trumps commercial** ("artificial") use and can be unlimited.

Here, the rancher used the stream to water his livestock (domestic use), while the owner used it to run his water park (commercial use). The owner's use of the water was likely *unreasonable* since he diverted so much of it into the water park that the rancher was no longer able to adequately water his livestock **(Choice A)**. And since domestic use of water trumps commercial use in this riparian jurisdiction, the rancher is likely to prevail.

*This is known as the reasonable-use doctrine.

(Choices B & C) Western states follow the prior-appropriation doctrine (not applicable here), under which water rights are determined by the "first in time, first in right" rule. This gives the first person who uses or diverts water for a beneficial purpose (ie, agricultural, industrial, household) priority to use the water.

Educational objective:

Under the riparian doctrine (favored in eastern states), water rights belong to the owners of the land that borders the watercourse (ie, riparians). A riparian may make any reasonable use of water that does not unreasonably interfere with downstream use, and domestic ("natural") use of water trumps the commercial ("artificial") use of it.

References

78 Am. Jur. 2d Waters §§ 35, 37 (2020) (riparian rights generally and requirement for reasonable use).

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A man owned a large tract of land that had frontage on a public highway. The land had no access to any other road.

Fifteen years ago, the man conveyed the rear half of the land to a woman and at the same time conveyed an express easement to the woman that provided access from her land across his retained land to the public highway.

The woman used the easement until she reconveyed the land back to the man 10 years ago. The deed to the man made no reference to the easement.

Five years ago, the man again conveyed the rear half of the land, this time to an investor in a deed that made no reference to any easement to the public highway.

Recently, the man told the investor that he could no longer cross the man's land for access to the public highway. A neighbor has told the investor that he can use her land for access to another public road "for a price."

The investor has sued the man for the right to cross the man's land to the public highway.

For whom will the court likely decide?

A. The investor, because an easement will be implied.
B. The investor, because the man is estopped by his grant of an easement to the woman.
C. The man, because the express easement was terminated by the reconveyance.
D. The man, because the investor can reasonably acquire another means of access to a public road.

Explanation:

The man conveyed an easement to the woman that allowed her to cross his land to access a public highway. That easement terminated when the **dominant estate** (woman's tract) and **servient estate** (man's tract) **merged** into the hands of **one owner** after the woman conveyed her tract back to the man **(Choices B & C)**. And though the man subsequently conveyed the rear half of his lot to the investor, a terminated easement is not re-created merely by re-severing the land into two parcels.

Additionally, the investor did not receive an easement by express grant because his deed made no reference to any easement to the public highway. But an **easement by necessity** will be implied if two elements are met:

Severance of common ownership – the dominant and servient estates were a single tract of land, and the owner retained part of the tract and conveyed the rest to another

Strict necessity – the easement is *absolutely* necessary for the use and enjoyment of the land (eg, the dominant tract is landlocked and has no access to a public road)

Here, the man owned both tracts (unity of estates) before he conveyed the back half to the investor (severance). And since the rear tract has no access to a public highway or any other road, an easement over the man's tract is absolutely necessary for the investor to use and enjoy his tract. Therefore, an easement will be implied and the court will likely decide for the investor.

(Choice D) The ability to create alternative access to a landlocked parcel by purchase of an easement over a neighbor's land does not defeat the creation of an easement by necessity.

Educational objective:

An easement by necessity is implied if (1) there was a unity of estates, (2) common ownership was severed, and (3) an easement is *absolutely* necessary to use and enjoy the land.

References

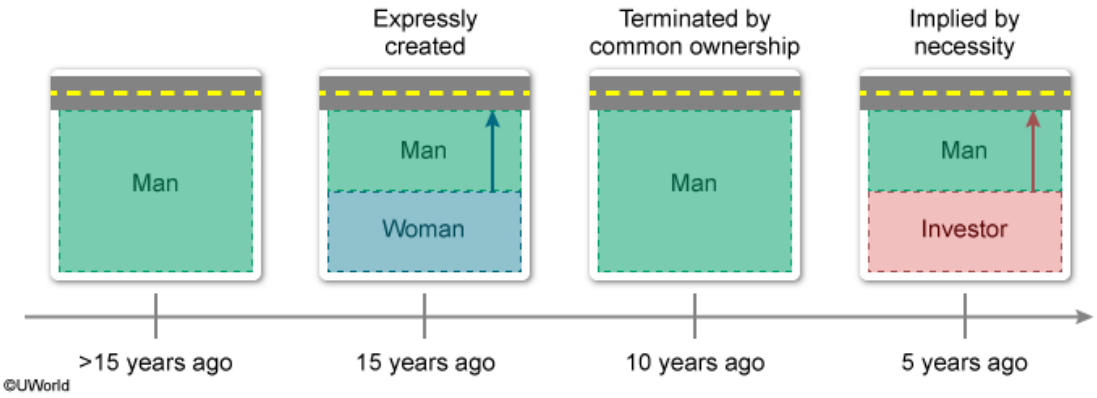
Restatement (Third) of Property: Servitudes § 2.15 (Am. Law Inst. 2000) (easement by necessity).

Restatement (Third) of Property: Servitudes § 7.5 (Am. Law Inst. 2000) (termination of easement by merger).

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Easement creation and termination



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Last year, a buyer and a seller entered into a valid contract for the sale of a parcel of real property. The contract contained no contingencies. The seller was killed in a car accident before the parcel was conveyed, but the closing eventually took place with the conveyance by a deed from the personal representative of the seller's estate.

The personal representative of the seller's estate wants to distribute the proceeds of the real property sale. The seller's will was executed many years ago and was duly admitted to probate. Paragraph 5 of his will leaves all of the seller's real property to his son, and Paragraph 6 leaves the residue of the estate to the seller's daughter. No other provisions of the will are pertinent to the question regarding to whom the proceeds of the sale should be distributed.

What will determine who receives the proceeds?

A. Whether Paragraph 5 refers specifically to the parcel of real property that was sold or simply to "all of my real property."
B. Whether the closing date originally specified in the contract was a date before or after the seller's death.
C. Whether the jurisdiction has adopted the doctrine of equitable conversion.
D. Whether the sale was completed in accordance with a court order.

Explanation:

The **doctrine of equitable conversion** controls the ownership and risk of loss of real property during the **executory period**. Under this doctrine, the buyer receives equitable title to the property once the parties enter a specifically enforceable land-sales contract (eg, one with no contingencies). In contrast, the **seller** retains legal title to the property and **acquires** the **equitable right to** receive the **purchase price** upon closing.

The buyer's equitable title is treated as a *real* property interest that is freely alienable, subject to the seller's equitable right to the purchase price. In contrast, the seller's right to the sale proceeds is treated as a ***personal* property** interest. Therefore, when the seller in this case died before closing, the doctrine of equitable conversion gave the right to the sale proceeds to his daughter, the beneficiary of his residuary estate.

(Choice A) Whether Paragraph 5 refers specifically to the parcel sold or simply to "all of my real property" is of no consequence since the seller's interest in the sale proceeds is a personal property (not real property) interest. The son had only a legal interest in the parcel that transferred to the buyer upon closing.

(Choice B) The sale proceeds would have passed to the daughter regardless of whether the closing date was scheduled before or after the seller's death.

(Choice D) The right to the sale proceeds depends on who had equitable title to the proceeds—not on the manner in which the sale was completed.

Educational objective:

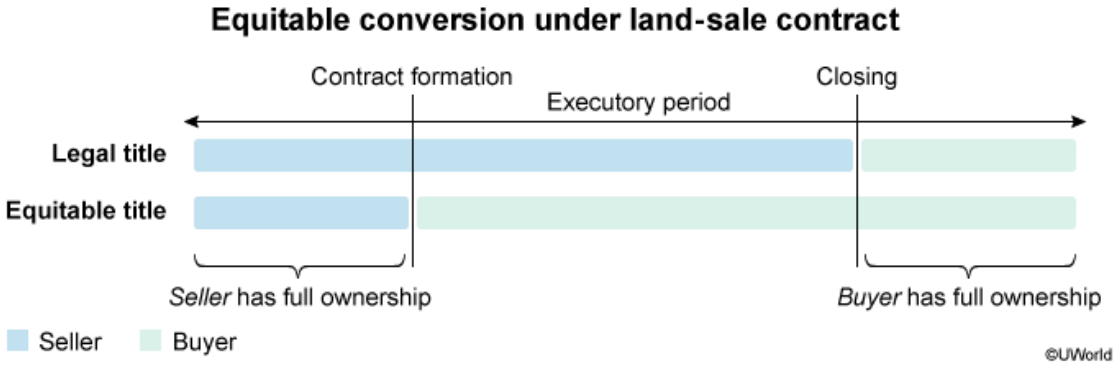
Under the doctrine of equitable conversion, the buyer acquires equitable title to the property (*real* property interest) and the seller acquires an equitable right to the sale proceeds (*personal* property interest). These interests will be distributed accordingly if either party dies before closing.

References

27A Am. Jur. 2d Equitable Conversion § 13 (2020) (equitable conversion of interests under land-sale contract).

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Equitable conversion under land-sale contract
Contract formation
Closing
Executory period
Legal title
Equitable title
Seller has full ownership
Buyer has full ownership
Seller
Buyer
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A man owned 80 acres of land, fronting on a town road. Two years ago, the man sold the back 40 acres to his cousin. The 40 acres sold to the cousin did not adjoin any public road. The man's deed to the cousin expressly granted a right-of-way over a specified strip of the man's retained 40 acres, so the cousin could reach the town road. The deed was promptly and properly recorded.

Last year, the cousin conveyed the back 40 acres to his friend. They had discussed the right-of-way over the man's land to the road, but the cousin's deed to the friend made no mention of it. The friend began to use the right-of-way as the cousin had, but the man sued to enjoin such use by the friend.

For whom should the court decide?

A. The friend, because he has an easement by implication.

B. The friend, because the easement appurtenant passed to him as a result of the cousin's deed to him.

C. The man, because the cousin's deed failed expressly to transfer the right-of-way to the friend.

D. The man, because the cousin's easement in gross was not transferable.

Explanation:

Distinctions between easements

Type	Appurtenant	Benefits easement holder's land Benefit & burden automatically transfer when land is conveyed
	In gross	Benefits easement holder personally Burden (not benefit) automatically transfers when land is conveyed
Purpose	Affirmative	Allows easement holder to do something on servient estate
	Negative	Restricts servient-estate owner's lawful use of servient estate
Creation	Express	Created by parties in writing that satisfies statute of frauds
	Irrevocable license	License becomes irrevocable due to estoppel or coupling with another servitude
	Implied	Implied by law due to necessity (easement by necessity) Implied by fact due to prior use (easement by implication)
	By prescription	Adversely acquired through **OCAN**—**o**pen/notorious, **a**ctual, **c**ontinuous & **n**onpermissive use

An **easement appurtenant** is an easement that **benefits** a parcel of land (**dominant estate**) by allowing the easement holder to use or control another parcel of land (servient estate) in a limited way. One common example is a **right-of-way** over the servient estate that provides access to the dominant estate. This type of easement is **attached to the land**, so **subsequent owners** of both estates are **bound** by the easement.*

Here, the man conveyed the back 40 acres to the cousin, along with an express right-of-way that allowed the cousin to cross the man's land to access the town road. Since that easement appurtenant is attached to the land, it passed to the friend when the cousin conveyed the back 40 acres to the friend—even though the deed did not expressly transfer the easement to the friend **(Choice C)**. Therefore, the court should decide for the friend.

*However, an easement will not bind subsequent owners of the servient estate who take without actual, record, or inquiry notice of the easement.

(Choice A) An easement by implication will be created by law only if it is necessary for the use and enjoyment of property—eg, if the property cannot be accessed from a public road or existing easement. Here, an easement need not be implied because the friend has an easement appurtenant that provides access to the road.

(Choice D) Unlike an easement appurtenant (as seen here), an easement in gross benefits the easement holder *personally* but does not benefit a parcel of land (ie, has no dominant estate).

Educational objective:

An easement appurtenant benefits one parcel of land (dominant estate) by allowing the easement holder to use or control another parcel of land (servient estate) in a limited way. This type of easement is attached to the land, so subsequent owners of both the dominant and servient estates are bound by the easement.

References

Restatement (Third) of Property: Servitudes § 1.5 (Am. Law Inst. 2000) (defining appurtenant and in gross).

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A rancher owned in fee simple two adjoining lots, Lots 1 and 2. He conveyed Lot 1 in fee simple to his cousin. The deed was in usual form of a warranty deed with the following provision inserted in the appropriate place: "Grantor, for himself, his heirs and assigns, does covenant and agree that any reasonable expense incurred by grantee, his heirs and assigns, as the result of having to repair the retaining wall presently situated on Lot 1 at the common boundary with Lot 2, shall be reimbursed one-half the costs of repairs; and by this provision the parties intend a covenant running with the land."

The cousin conveyed Lot 1 in fee simple to a woman by warranty deed in usual and regular form. The deed omitted any reference to the retaining wall or any covenant. Fifty years after the rancher's conveyance to the cousin, the woman conveyed Lot 1 in fee simple to a developer by warranty deed in usual form. This deed omitted any reference to the retaining wall or the covenant.

There is no statute that applies to any aspect of the problems presented except a recording act and a statute providing for acquisition of title after 10 years of adverse possession. The deed from the rancher to the cousin was never recorded. All other deeds were promptly and properly recorded.

Lot 2 is now owned by the rancher's daughter, who took by intestate succession. The developer expended $3,500 on the retaining wall. Then he obtained all the original deeds in the chain of title from the rancher to himself. Shortly thereafter, the developer discovered the covenant in the rancher's deed to the cousin. The developer demanded that the daughter pay $1,750. When she refused, he instituted an appropriate action to recover that sum.

If judgment is for the daughter, what will be the likely reason?

A. The cousin's deed from the rancher was never recorded.
B. The developer did not know about the covenant until after he had incurred the expenses and, hence, could not have relied on it.
C. The developer is barred by adverse possession.
D. The developer's expenditures were not proved to be reasonable and customary.

Explanation:

A **real covenant** is an express promise regarding land that is enforceable by an action for **money damages**. Although the promising parties can enforce the covenant under contract law, the covenant can only bind **successors in interest** if the benefit/burden **runs with the land**. This requires proof of the following elements:

Writing – covenant is in a writing that satisfies the statute of frauds (eg, Lot 1 deed to the cousin)

Intent to run – promising parties intended for the covenant to run to their successors in interest (eg, deed says "heirs and assigns" and "running with the land")

Touch and concern – covenant relates to the use, enjoyment, or occupation of the benefited and burdened lands (eg, shared enjoyment of retaining wall)

Horizontal privity – promising parties simultaneously transferred the land and created the covenant (eg, covenant was created when Lot 1 was deeded to the cousin)

Vertical privity – successor of the *benefited* estate has a possessory interest (eg, developer owns Lot 1) and successor of the *burdened* estate has a promising party's entire estate or ownership interest (eg, daughter has rancher's fee simple in Lot 2)

Notice – person to be bound had notice of the covenant if he/she *purchased* the property (eg, daughter *inherited* Lot 2, so it is irrelevant that the cousin's deed was never recorded) **(Choice A)**

Therefore, the daughter is bound by the covenant to pay reasonable expenses for the repairs. Judgment would likely be entered for the daughter if the developer's expenditures were *not* proved to be reasonable and customary.

(Choice B) Notice is not a requirement for successors in interest of land *benefited* by a real covenant (eg, the developer) to enforce it.

(Choice C) Persons who acquire land subject to a real covenant through adverse possession cannot enforce the covenant. But the developer acquired Lot 1 by deed—not through adverse possession.

Educational objective:

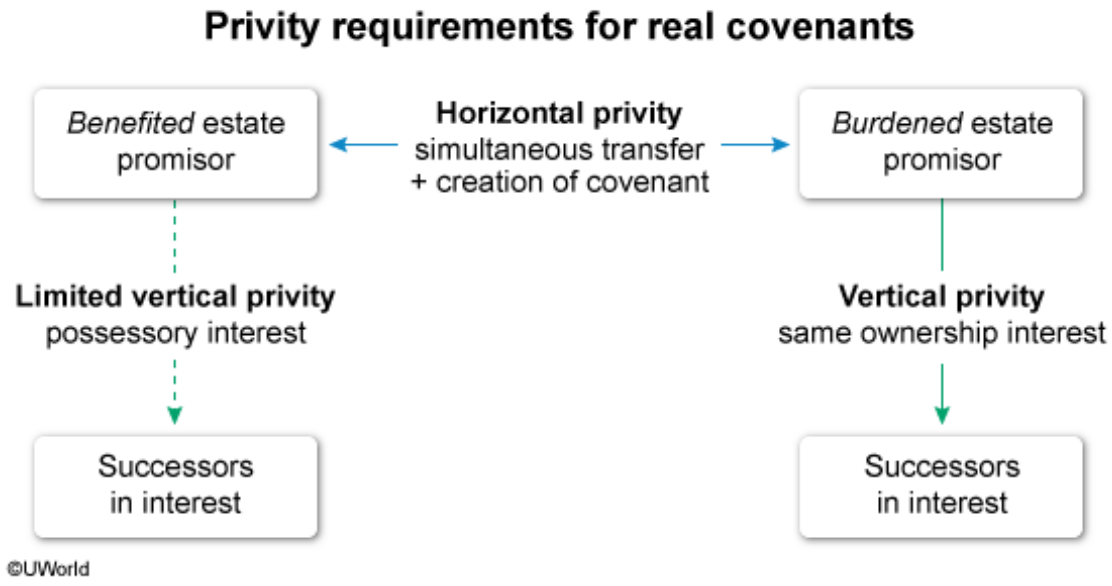
A real covenant will only bind successors in interest if the following elements are met: (1) writing, (2) intent to run, (3) touch and concern, (4) horizontal privity, (5) vertical privity, and (6) notice.

References

Restatement of Property §§ 530–38 (Am. Law Inst. 1944) (elements of real covenants).

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A seller owned a lot improved with an aging four-story warehouse. The warehouse was built to the lot lines on all four sides. On the street side, recessed loading docks permitted semi-trailers to be backed in. After the tractors were unhooked, the trailers extended into the street and occupied most of one lane of the street. Over the years, as the trailers became larger, the blocking of the street became more severe. The municipality advised the seller that the loading docks could not continue to be used because the trailers blocked the street; it gave the seller 90 days to cease and desist.

During the 90 days, the seller sold and conveyed the lot by warranty deed for a substantial consideration to a buyer. The problem of the loading docks was not discussed in the negotiations.

Upon expiration of the 90 days, the municipality required the buyer to stop using the loading docks. This action substantially reduced the value of the lot.

If the buyer seeks cancellation of the deed and return of all monies paid, which claim should the buyer bring against the seller?

A. Breach of the covenant of warranty.

B. Failure of consideration.

C. Misrepresentation.

D. Mutual mistake.

Explanation:

When disclosure is required to avoid misrepresentation

Previous assertion	Disclosure would prevent previous assertion from being a misrepresentation *or* fraudulent or material
Mistake about basic assumption	Disclosure would correct other party's mistake about basic assumption of contract AND Failure to disclose would constitute lack of good faith & fair dealing
Fiduciary relationship	Other party is entitled to know fact because of confidential/fiduciary relationship
Mistake about writing	Disclosure would correct other party's mistake about contents or effect of writing that embodies agreement

A **misrepresentation** is an **untrue assertion of fact** that makes a contract voidable by the adversely affected party when:

the misrepresentation is fraudulent OR material

the misrepresentation induced assent to the contract *and*

the adversely affected party justifiably relied on the misrepresentation.

Nondisclosure of a known fact is tantamount to an assertion that it does not exist if, among other things, the party not disclosing the fact knows that:

disclosure would **correct** the other party's **mistake about a basic assumption** of the contract *and*

the **failure to disclose** would **violate** the **duty of good faith and fair dealing**.

Here, the seller misrepresented that the loading docks could continue to be used (basic assumption of the contract) by failing to disclose to the buyer that this was untrue (lack of good faith and fair dealing). As a result of this misrepresentation, the buyer purchased the lot. And because the misrepresentation was not obviously false or known by the buyer to be false, the buyer justifiably relied on it. Therefore, misrepresentation is the claim the buyer should bring against the seller.

(Choice A) A covenant of warranty is the seller's promise to protect the buyer against claims of superior title brought by another party (not seen here).

(Choice B) The buyer should not claim failure of consideration because the buyer's agreement with the seller *was* supported by consideration (ie, conveyance of the lot in exchange for the purchase price).

(Choice D) There was no mutual mistake that would make the contract voidable here because only one party, the buyer, was mistaken about the use of loading docks.

Educational objective:

Nondisclosure of a known fact is tantamount to an assertion that it does not exist if the party not disclosing the fact knows that (1) disclosure would correct the other party's mistake about a basic assumption of the contract and (2) the failure to disclose would violate the duty of good faith and fair dealing.

References

Restatement (Second) of Contracts § 161 (Am. Law Inst. 1981) (when nondisclosure is a misrepresentation).

Restatement (Second) of Contracts § 164 (Am. Law Inst. 1981) (when misrepresentation makes a contract voidable).

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A landowner granted an exclusive easement to a farmer to grow wheat for commercial use on a portion of the landowner's land for a period of 10 years. The easement made no mention of the transferability of the easement. For five years, the farmer grew wheat on the land. In year six of the easement, the farmer apportioned one-half of the easement to a rancher for grazing his cattle and the other half of the easement to a horticulturist for growing sunflowers. Unhappy with this arrangement, the landowner filed an action in court to invalidate the apportionment of the easement that he originally granted to the farmer.

Which of the following is the landowner's strongest argument that the apportionment of the easement is invalid?

A. Easements that are for commercial use are not transferable.
B. The burden of the easement did not automatically transfer with the land when the easement was transferred by the farmer.
C. The exclusive easement was apportioned without the landowner's consent.
D. The rancher and the horticulturist did not use the land in the same way as the farmer.

Explanation:

Distinctions between easements

Type	Appurtenant	Benefits easement holder's land Benefit & burden automatically transfer when land is conveyed
	In gross	Benefits easement holder personally Burden (not benefit) automatically transfers when land is conveyed
Purpose	Affirmative	Allows easement holder to do something on servient estate
	Negative	Restricts servient-estate owner's lawful use of servient estate
Creation	Express	Created by parties in writing that satisfies statute of frauds
	Irrevocable license	License becomes irrevocable due to estoppel or coupling with another servitude
	Implied	Implied by law due to necessity (easement by necessity) Implied by fact due to prior use (easement by implication)
	By prescription	Adversely acquired through **OCAN**—**o**pen/notorious, **a**ctual, **c**ontinuous & **n**onpermissive use

Easements are either appurtenant (for the benefit of another parcel of land) OR in gross (for the benefit of the easement holder personally—as seen here). Traditionally, the benefit of an **easement in gross** could not be **transferred**, but most courts now allow transfer if the easement is for **commercial use** or if the parties intended it to be transferable. Whether the easement can also be **apportioned** (ie, divided up) turns on whether it is:

nonexclusive – in which case the easement *cannot* be divided among multiple transferees *or*

exclusive – in which case the easement generally *can* be divided among multiple transferees.

However, the apportionment of an **exclusive easement in gross** is subject to the **"one stock" rule**. Under this rule, the collective use that the transferees can make of the easement is **limited to the use** that the **transferor made of the easement** (ie, the transferor's "stock").

Here, the farmer's easement in gross was transferable because it gave him the right to grow wheat for *commercial* use, and it could be apportioned because it was *exclusive* to him **(Choice A)**. Therefore, the landowner's strongest argument that the apportionment is invalid is that the rancher and the horticulturist did not use the land in the same way as the farmer (ie, to grow wheat).

(Choice B) The burden of an easement in gross automatically transfers when the land burdened by the easement (ie, the servient estate) is transferred. But this is irrelevant since the land in question was never transferred.

(Choice C) The servient-estate owner's consent is not required to apportion an exclusive easement.

Educational objective:

When an exclusive easement in gross is apportioned (ie, divided up), the "one stock" rule applies. This rule limits the collective use that the transferees can make of the easement to the use that the transferor made of the easement (ie, the transferor's "stock").

References

Miller v. Lutheran Conference & Camp Ass'n, 200 A. 646, 651–52 (Pa. Super. Ct. 1938) (explaining that the one-stock rule applies to the division of profits or easements in gross).

25 Am. Jur. 2d Easements and Licenses § 79 (transferability of easement in gross).

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A seller owns a 400-acre tract of land with 5,000 feet of frontage on a county highway. The seller and a buyer entered into a written agreement for the sale of a portion of the tract identified only as "a parcel of land, containing not less than 100 acres and having not less than 1,000 feet of frontage on the county highway, whose exact location and dimensions are to be determined by the parties hereto, at a price of $8,000 per acre."

Shortly after the execution of the agreement, the parties met to stake out the parcel of land to be sold, but they could not agree. The disagreement intensified, and the seller repudiated the contract.

The buyer has sued the seller for specific performance. The seller has asserted all available defenses.

Is the buyer entitled to specific performance of the contract?

A. No, because a contract for the sale of real property that requires further agreement on an essential element cannot be specifically enforced.

B. No, because the purchase price was not fixed by, nor determinable under, the contract terms.

C. Yes, because the contract bound the parties to act in good faith and to agree upon the specific land to be conveyed.

D. Yes, because the equity powers of the court enable the court to appoint a master, or to take other appropriate action, to identify the land to be conveyed.

Explanation:

Under the **statute of frauds**, contracts for the **sale of land** (ie, real estate contracts) are enforceable only if they are in writing, are signed by the party against whom enforcement is sought, and **contain all essential terms**. Essential terms include:

the identity of the parties
words of intent to buy or sell
a **description of the property** *and*
the sales price.

Although courts may liberally construe the property-description requirement, the writing must contain some **evidence** of the **specific property to be sold**. Here, the writing expressly stated that the parties had yet to agree on what land was to be conveyed. Therefore, the statute of frauds makes the contract unenforceable.

(Choice B) The sales price is also an essential term. It can be listed in gross (eg, at a set price) *or* determined by the actual quantity of land sold (eg, at a per-acre price). Therefore, the agreement to purchase the land "at a price of $8,000 per acre" satisfies this requirement.

(Choices C & D) The statute of frauds requires that a contract for the sale of land identify the land to be sold. Good faith and equity cannot provide relief for this omission.

Educational objective:

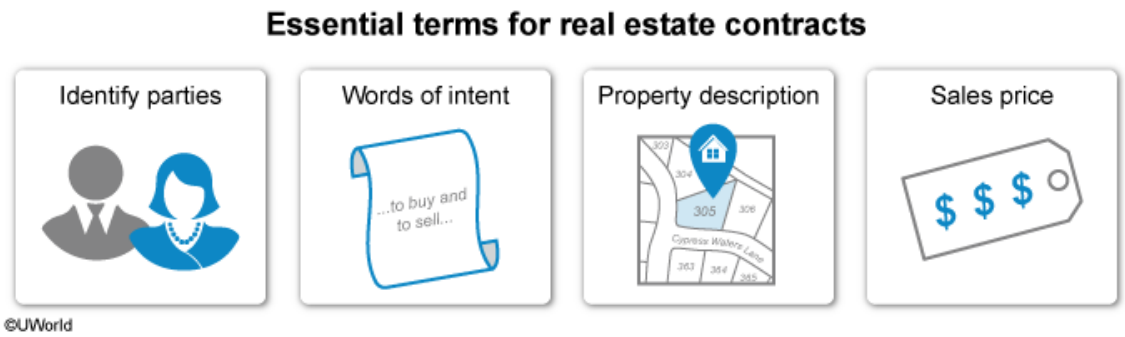
The statute of frauds requires that land-sale contracts contain all essential terms—ie, the identity of the parties, words of intent to buy or sell, a description of the property, and the sales price.

References

73 Am. Jur. 2d Statute of Frauds §§ 289, 305, 325, 329 (2020).

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A contractor retained a tract of 100 acres after he had developed the adjoining 400 acres as a residential subdivision. The contractor had effectively imposed restrictive covenants on each lot in the 400 acres. A buyer offered the contractor a good price for a five-acre tract located in a corner of the retained 100-acre tract far away from the existing 400-acre residential subdivision. The contractor conveyed the five-acre tract to the buyer and imposed the same restrictive covenants on the five-acre tract as he had imposed on the lots in the adjoining 400 acres. The contractor further covenanted that when he sold the remaining 95 acres of the 100-acre tract, he would impose the same restrictive covenants in the deed or deeds for the 95 acres. The contractor's conveyance to the buyer was promptly and properly recorded.

However, shortly thereafter, the contractor conveyed the remaining 95 acres to a real estate developer for $1,000,000 by a deed that made no mention of any restrictive covenants. The real estate developer had no actual knowledge of the restrictive covenants in the buyer's deed. The real estate developer now proposes to build an industrial park that would violate such restrictive covenants if they are applicable.

The recording act of the jurisdiction provides: "No conveyance or mortgage of real property shall be good against subsequent purchasers for value and without notice unless the same be recorded according to law."

The buyer filed an appropriate action to enforce the restrictive covenants against the real estate developer's 95-acre tract. If the real estate developer prevails, what will be the most likely reason?

A. A covenant to impose restrictions is an illegal restraint on alienation.

B. Negative reciprocal covenants are not generally recognized.

C. The deed imposing the restrictions was not in the chain of title for the 95 acres when the real estate developer purchased the land.

D. The disparity in acreage means that the covenant can be personal only to the contractor.

Explanation:

Notice of competing property interests

Actual notice	Buyer has direct knowledge of prior interest in land
Record notice	Document showing prior interest in land is properly recorded & appears in buyer's chain of title
Inquiry notice	Buyer knows, or should know, of circumstances that would prompt reasonable person to investigate (eg, visible use of property, reference to unrecorded transaction in recorded instrument)

A **real covenant** is an *express* promise to do (affirmative) or not do (restrictive) something on the land that is enforceable by an action for money damages. When a real covenant is **not in writing**—as seen with the real estate developer's deed—it can be enforced as an **equitable servitude** that is **implied from a common scheme** if three elements are met:

Intent to create common scheme – the owner intended to impose a covenant on all lots in the subdivision (eg, covenant imposed on each lot in the 400 acres and the buyer's 5-acre tract)

Restrictive servitude – the intended covenant was a promise *not* to do something on the land (explicitly stated here)

Notice – the person to be bound by the covenant had **actual, record, or inquiry notice** of it

Here, the real estate developer had no *actual* notice of the restrictive covenant in the buyer's deed. And since the buyer's 5-acre tract was separate from the 400-acre residential subdivision, the real estate developer lacked *inquiry* notice that his 95-acre lot was meant to be a part of either development. However, the buyer's deed containing the covenant was recorded. Therefore, the real estate developer would lack *record* notice, and therefore prevail, if the buyer's deed was not in the chain of title for the 95 acres when the real estate developer purchased the land.

(Choice A) A covenant is an illegal restraint on alienation if it imposes unreasonable restrictions on the *sale or transfer* of land—not merely on the use of land (as seen here).

(Choice B) Negative reciprocal covenants (ie, implied equitable servitudes) *are* generally recognized when there is a common scheme of development (eg, a residential subdivision).

(Choice D) The disparity in lot acreage is immaterial in determining whether the covenant is personal (ie, enforceable only between the promising parties) or runs with the land (ie, enforceable against successors in interest).

Educational objective:

Equitable servitudes can be implied from a common scheme if three elements are met: (1) intent to create a common scheme, (2) restrictive covenant, and (3) actual, record, or inquiry notice.

References

Restatement (Third) of Property: Servitudes § 2.14 (Am. Law Inst. 2000) (equitable servitude implied from a common scheme in a residential subdivision).

Restatement of Property § 539 (Am. Law Inst. 1944) (elements of equitable servitudes).

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A man owned two adjoining parcels known as Lot 1 and Lot 2. Both parcels fronted a main street and abutted a public alley in the rear. Lot 1 was improved with a commercial building that covered all the main-street frontage of Lot 1. There was a large parking lot on the rear of Lot 1 with access from the alley only.

Fifteen years ago, the man leased Lot 1 to a tenant for 15 years. The tenant has continuously occupied Lot 1 since that time. Thirteen years ago, without the man's permission, the tenant began to use a driveway on Lot 2 as a better access between the main street and the parking lot than the alley.

Eight years ago, the man conveyed Lot 2 to his friend and, five years ago, the man conveyed Lot 1 to the tenant by a deed that recited "together with all the appurtenances."

Until last week, the tenant continuously used the driveway over Lot 2 to reach the parking lot in the rear of Lot 1.

Last week the friend commenced construction of a building on Lot 2 and blocked the driveway over Lot 2 used by the tenant to reach the parking lot in the rear of Lot 1 from the main street. The tenant has commenced an action to enforce an easement by prescription and to restrain the friend from blocking the driveway.

The period of time to acquire rights by prescription in the jurisdiction is 10 years.

If the tenant loses, what will be the most likely reason?

A. No easement was mentioned in the deed from the man to the friend.

B. The man owned both Lot 1 and Lot 2 until eight years ago.

C. The mere use of an easement is not adverse possession.

D. The tenant has access to the parking lot from the alley.

Explanation:

An **easement by prescription** is a presumptive nonpossessory right to use another's land for a limited purpose that is acquired through **OCAN**—ie, use that is:

Open and notorious – apparent or visible to a reasonable owner

Continuous – uninterrupted for the statutory period

Actual – use of the land

Nonpermissive – hostile and **adverse to the owner**

Tenants cannot acquire a prescriptive easement over (1) the leased premises since they have permission to use them or (2) other lands owned by their landlord because tenants are said to stand in their landlord's place during the lease and therefore lack an adverse interest.

Here, the man leased Lot 1 to the tenant, who began to use the driveway on Lot 2 without the man's permission. Since the man owned both lots, the tenant's use did not become adverse until the man conveyed Lot 2 to his friend *eight* years ago. As a result, the tenant has not satisfied the *10*-year statutory period to acquire a prescriptive easement and will likely lose.

(Choice A) Although no easement was mentioned in the friend's deed, an easement transfers automatically with the transfer of the servient (ie, burdened) estate. So had the tenant acquired an easement by prescription over Lot 2, the burden of the easement would have automatically transferred from the man to the friend when Lot 2 was conveyed.

(Choice C) Adverse possession requires that a person *possess* the land, but mere *use* is sufficient to obtain a prescriptive easement so long as the other elements are met (not seen here).

(Choice D) The tenant's access to the Lot 1 parking lot from the alley would *not* prevent him from acquiring an easement by prescription over Lot 2. But it would prevent him from acquiring an easement by necessity since this type of easement only arises when it is strictly necessary for the use and enjoyment of property. This includes when property (eg, Lot 1 parking lot) *cannot* be reached from a public road (eg, public alley).

Educational objective:

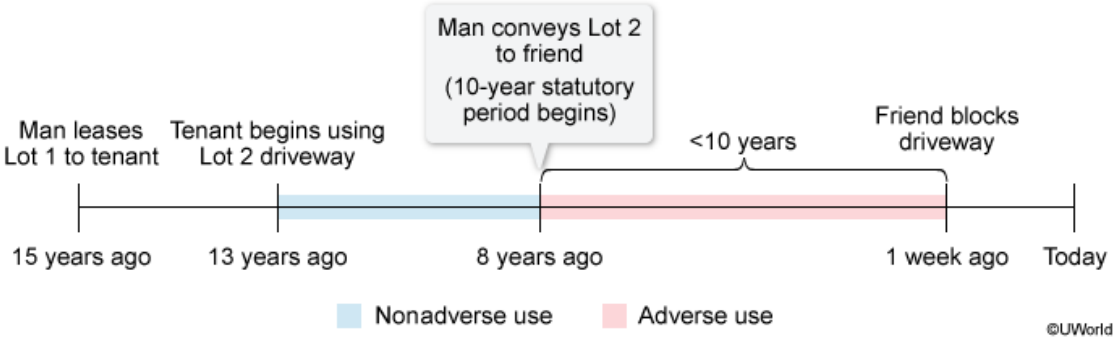
Tenants cannot acquire an easement by prescription (ie, OCAN) over the leased premises or other lands owned by their landlord.

References

Restatement (Third) of Property: Servitudes §§ 2.16–2.17 (Am. Law Inst. 2000) (easement by prescription).

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Man conveys Lot 2 to friend
(10-year statutory period begins)
Man leases Lot 1 to tenant
Tenant begins using Lot 2 driveway
<10 years
Friend blocks driveway
15 years ago
13 years ago
8 years ago
1 week ago
Today
Nonadverse use
Adverse use
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A seller entered into a written contract to sell a tract of land to an investor. The contract made no mention of the quality of title to be conveyed. The seller and the investor later completed the sale, and the seller delivered a warranty deed to the investor.

Soon thereafter, the value of the land increased dramatically. The investor entered into a written contract to sell the land to a buyer. The contract between the investor and the buyer expressly provided that the investor would convey a marketable title. The buyer's attorney discovered that the title to the land was not marketable and had not been marketable when the original seller had conveyed to the investor. The buyer refused to complete the sale.

The investor sued the original seller for breach of contract, claiming damages from the seller's failure to convey marketable title, which resulted in the investor's loss of the sale to the subsequent buyer.

Who is likely to prevail on this count?

A. The investor, because the law implies in such a contract a covenant that the title will be marketable.

B. The investor, because the original seller is liable for all reasonably foreseeable damages.

C. The original seller, because her contract obligations as to title merged into the deed.

D. The original seller, because she did not expressly agree to convey marketable title.

Explanation:

All contracts for the sale of land, unless otherwise stated, *impliedly* warrant that the seller will convey **marketable title** to the buyer upon closing **(Choices A & D)**. However, once a deed is delivered to and accepted by the buyer, the **doctrine of merger** provides that all obligations contained within the land-sale contract **merge into the deed**. Those obligations can **be enforced** thereafter only if they are **incorporated into the deed**.

Here, the investor has sued the original seller for breach of contract, claiming damages from the seller's failure to convey marketable title. Although the investor's allegations appear to be true, he can only seek a remedy that arises from the deed—not the contract that merged with the deed. As a result, the original seller is likely to prevail.*

*The investor likely would have prevailed had he instead sued the original seller for breaching a covenant of title contained within the warranty deed that he received.

(Choice B) A seller may be liable for reasonably foreseeable damages that arise from a breach of a warranty in the deed or from fraudulent assertions in the land-sale contract. But neither ground has been asserted by the investor in this case.

Educational objective:

Under the doctrine of merger, all obligations contained within the land-sale contract merge into the deed and can be enforced thereafter only if they are incorporated into the deed.

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A man conveyed the eastern half of a tract of vacant land to a woman by a warranty deed. The woman promptly recorded the deed. The land conveyed to the woman fronted on a public highway. The land retained by the man was landlocked.

One year later, the man died intestate, leaving a cousin as his only heir. The cousin visited the man's land for the first time and discovered that it had no access to a public highway. A neighbor who owned adjoining land fronting on the public highway offered to sell the cousin a right to cross the neighbor's land for access to the highway. Although the neighbor's price was reasonable, the cousin rejected the offer. The woman has refused to allow the cousin to cross her land for access to the public highway even though the woman's land is still vacant.

The cousin has sued the woman, seeking access across the woman's land to the public highway.

Who is likely to prevail?

A. The cousin, based on necessity.

B. The cousin, because the woman's land is still vacant.

C. The woman, because the cousin could obtain an alternative access to the highway from the neighbor.

D. The woman, because the man failed to reserve an easement in his deed to the woman.

Explanation:

Implied easements

Type	Elements
Necessity	Severance of common ownership
	S*trict* necessity for use & enjoyment of land
Existing prior use	Severance of common ownership
	Prior existing use
	Apparent & continuous
	Reasonable necessity for use & enjoyment of land

An **easement by necessity** will be implied if the following elements are met:

Severance of common ownership – the dominant and servient estates were a single tract of land, and the owner retained part of the tract and conveyed the rest to another

Strict necessity – the easement is *absolutely* necessary for the use and enjoyment of the land (eg, the dominant tract is landlocked and has no access to a public road)

This type of easement **runs with the land**, meaning that **subsequent owners** of the dominant and servient estates are **bound** by the easement.

Here, the man owned the entire tract before he conveyed the eastern half to the woman, thereby severing common ownership. Since the land retained by the man has no access to a public highway or any other road, an easement over the woman's land was absolutely necessary for the man to use and enjoy his land. Therefore, an easement will be implied based on necessity **(Choice D)**. And since the easement runs with the land, the cousin—who inherited the man's land—will likely prevail in his suit against the woman.

(Choice B) The fact that the woman's land is vacant rather than developed has no bearing on whether the cousin has the right to cross her land to reach the public highway.

(Choice C) The cousin's ability to obtain alternative access to the public highway by purchasing an easement over the neighbor's land does not extinguish his easement by necessity over the woman's land.

Educational objective:

An easement by necessity will be implied if (1) the dominant and servient estates were once a single tract of land, and the owner retained part of the tract and conveyed the rest to another, and (2) the easement is absolutely necessary for the use and enjoyment of the land.

References

Restatement (Third) of Property: Servitudes § 2.15 (Am. Law Inst. 2000) (easement by necessity).

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A seller who owned land entered into a valid written agreement to sell the land to a buyer by installment purchase. The contract stipulated that the seller would deliver to the buyer, upon payment of the last installment due, "a warranty deed sufficient to convey a fee simple title." The contract contained no other provision that could be construed as referring to title.

The buyer entered into possession of the land. After making 10 of the 300 installment payments obligated under the contract, the buyer discovered that there was outstanding a valid and enforceable mortgage on the land, securing the payment of a debt in the amount of 25 percent of the purchase price that the buyer had agreed to pay. There was no evidence that the seller had ever been late in payments due under the mortgage, and there was no evidence of any danger of insolvency of the seller. The value of the land was then four times the amount due on the debt secured by the mortgage.

The buyer quit possession of the land, stopped making payments on the contract, and demanded that the seller repay the amounts that the buyer had paid under the contract. After the seller refused the demand, the buyer sued the seller to recover damages for the seller's alleged breach of the contract.

Should damages be awarded to the buyer?

A. No, because an installment purchase contract is treated as a security device.

B. No, because the time for the seller to deliver marketable title has not arrived.

C. Yes, because an installment purchase contract is treated as a mortgage, and the outstanding mortgage impairs the buyer's equity of redemption.

D. Yes, because in the absence of a contrary express agreement, an obligation to convey marketable title is implied.

Explanation:

"Red flags" for marketable title

Covenants
Easements
Leases
Liens
Gaps in chain of title
Boundary disputes
Existing zoning violations
Adverse possession

All land-sale contracts have an **implied warranty** that the seller will convey **marketable title** to the buyer **upon closing** unless otherwise stated. Title does not have to be perfect to be marketable. However, it must be reasonably free from doubt and under no threat of litigation, such that a reasonable person would accept and pay for it. In the case of an **installment land contract**—ie, one in which the buyer takes possession of the property and pays the purchase price over time—the seller need not deliver marketable title until the **price is *fully* paid**.

Here, after making 10 of the 300 installment payments, the buyer discovered that there was an outstanding mortgage on the land. Although an existing mortgage can render title unmarketable, the seller does not need to deliver marketable title until the buyer has made *all* installment payments. Therefore, damages should not be awarded to the buyer because the time for the seller to deliver marketable title has not arrived **(Choice D)**.

(Choice A) The fact that an installment land contract is treated as a security device (namely, a mortgage) does not prevent the buyer from recovering damages if the seller is unable to deliver marketable title when it is due (not seen here).

(Choice C) An installment land contract is often treated as a mortgage, so the seller can bring a foreclosure action to regain possession of the property if the buyer defaults on payments. Although the buyer stopped making payments here, the seller has not yet attempted to enforce the contract. As a result, the buyer's equity of redemption (ie, pre-foreclosure right to cure the default by paying the entire past-due amount) is not at issue.

Educational objective:

Under an installment land contract, the seller does not need to deliver marketable title until the purchase price is fully paid.

References

Restatement (Third) of Property: Mortgages § 3.4 (Am. Law Inst. 1997) (installment land contracts).

77 Am. Jur. 2d Vendor and Purchaser § 93 (2020) (marketable title).

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A seller contracted to sell land to a buyer for $300,000. The contract provided that the closing would be 60 days after the contract was signed and that the seller would convey to the buyer a "marketable title" by a quitclaim deed at closing. The contract contained no other provisions regarding the title to be delivered to the buyer.

A title search revealed that the land was subject to an unsatisfied $50,000 mortgage and a right-of-way easement over a portion of the land.

The buyer now claims that the title is unmarketable and has refused to close.

Is the buyer correct?

A. No, because nothing under these facts renders title unmarketable.

B. No, because the buyer agreed to accept a quitclaim deed.

C. Yes, because the right-of-way easement makes the title unmarketable.

D. Yes, because the unsatisfied mortgage makes the title unmarketable.

Explanation:

All land-sale contracts have an **implied warranty** that the seller will convey **marketable title** to the buyer upon closing unless otherwise stated. For example, the parties can eliminate this warranty by expressly contracting to transfer whatever title the grantor has to the buyer by a quitclaim deed (ie, *without* any warranties). But since the seller here has expressly promised to convey to the buyer a "marketable title" by quitclaim deed, this warranty remains in their land-sale contract **(Choice B)**.

A warranty of marketable title (ie, merchantability) is a promise that **title is reasonably free from doubt** and under **no threat of litigation** such that a reasonable person would accept and pay for it. Title can be rendered unmarketable by encumbrances, existing zoning violations, or defects in the chain of title. Although a mortgage is an encumbrance, the seller has the right to satisfy the mortgage up to the time of closing—and will often use the sale proceeds to do so. As a result, the closing itself often renders title marketable **(Choice D)**.

An easement is another type of encumbrance that will render title unmarketable if it reduces the property's value. Utility easements, for example, *benefit* the property by allowing others to service it, so they often have no effect on marketability. But right-of-way easements often *burden* the property by allowing another to travel over it—thereby reducing its value. Therefore, the buyer's claim that the title is unmarketable is correct, and the buyer can refuse to close **(Choice A)**.

Educational objective:

Marketable title is implied in all land-sale contracts. Title can be rendered unmarketable by easements that reduce the land's value or by existing zoning violations—but not typically by mortgages since sale proceeds are often used to satisfy the mortgage debt.

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Two siblings, a brother and sister, own adjoining lots in the central portion of a city. Each of their lots had an office building. The sister decided to raze the existing building on her lot and erect a building of greater height. No statute or ordinance applies to prevent her from doing so and she has received all governmental approvals required to pursue her project.

After the sister had torn down the existing building, she proceeded to excavate deeper. She used shoring that met all local, state, and federal safety regulations, and the shoring was placed in accordance with those standards.

The brother notified the sister that cracks were developing in the building situated on his lot. The sister took the view that any subsidence suffered by the brother was due to the weight of his building, and correctly asserted that none would have occurred had the brother's soil been in its natural state. The sister continued to excavate.

The building on the brother's lot did suffer extensive damage, requiring the expenditure of $750,000 to remedy the defects.

Which of the following is the best comment concerning the brother's action to recover damages from the sister?

A. Once land is improved with a building, the owner cannot invoke the common law right of lateral support.

B. The sister cannot be held liable simply upon proof that support was removed, but may be held liable if negligence is proved.

C. The sister is liable because she removed necessary support for the brother's lot.

D. The sister's only obligation was to satisfy all local, state, and federal safety regulations.

Explanation:

Withdrawal of lateral & subjacent support

	Natural state	Improved
Lateral	Strictly liable for damage to adjacent land caused by subsidence	If damage to land & improvements would have occurred in land's natural state, strictly liable
Subjacent		If not, liable if negligent

Landowners have a common law duty to provide lateral support to maintain adjacent land in its natural state—even if that land has been improved **(Choice A)**. As a result, a landowner who **withdraws lateral support** from improved land is **strictly liable** for any resulting **subsidence** to the adjacent land if that harm would have occurred had the land been **in its natural state**. If not, the landowner is only liable if the withdrawal was **negligent**.

Here, the brother is only entitled to the amount of lateral support needed to maintain his lot in its *natural* state—ie, without the weight of his building. Since his building would *not* have been damaged had his soil been in its natural state, the sister cannot be held strictly liable for removing support **(Choice C)**. However, she can still be held liable if negligence is proved.

(Choice D) The sister was obligated to satisfy all applicable local, state, and federal safety regulations—but she was *also* obligated to provide lateral support to the brother's adjacent lot. If she failed to use reasonable care to provide such support, then she can be liable for negligence.

Educational objective:

A landowner must provide lateral support to maintain adjacent land in its natural state—even if that land is improved. If the landowner removes lateral support, strict liability is imposed if the resulting harm would have occurred had the land been in its natural state. Otherwise, negligence liability is imposed.

References

Restatement (Second) of Torts §§ 817–18 (Am. Law Inst. 1979) (withdrawal of lateral support).

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Five years ago, a woman acquired a lot improved with a 15-year-old dwelling. This year, the woman listed the property (lot and dwelling) for sale with a licensed real estate broker. The woman informed the broker of several defects in the house that were not readily discoverable by a reasonable inspection, including a leaky basement, an inadequate water supply, and a roof that leaked.

A man responded to the broker's advertisement, was taken by the broker to view the property, and decided to buy it. The broker saw to it that the contract specified the property to be "as is," but neither the broker nor the woman pointed out the defects to the man, who did not ask about the condition of the dwelling. After closing and taking possession, the man discovered the defects, had them repaired, and demanded that the woman reimburse him for the cost of the repairs. The woman refused, and the man brought an appropriate action against the woman for damages.

If the woman wins, what is the likely reason?

A. The "as is" provision in the contract controls the rights of the parties.

B. The broker became the agent of both the man and the woman and thus knowledge of the defects was imputed to the man.

C. The seller of a used dwelling that has been viewed by the buyer has no responsibility toward the buyer.

D. The woman fulfilled the duty to disclose defects by disclosure to the broker.

Explanation:

Seller's duty to disclose

Common law (minority) rule	**Caveat emptor**	No duty to disclose property defects unless otherwise provided
Modern (majority) rule	**Commercial property**	
	Residential property	Must disclose known material defects that buyer could not reasonably discover Exception: "as is" clause or specific disclaimers without seller's fraud

Under the common-law rule of caveat emptor, a seller had no duty to disclose property defects to the buyer. However, the majority of jurisdictions now require **sellers of *residential* property** to **disclose material defects** that are **known to the seller** and **cannot be reasonably discovered** by the buyer. A defect is material if it:

substantially affects the value of the residence

impacts the health or safety of a resident *or*

affects the desirability of the residence to the buyer.

The seller can disclaim the duty to disclose if (1) the disclaimer is clearly and specifically stated in the real estate contract and (2) the seller has not fraudulently misrepresented or concealed the condition of the property.

Here, the broker disclaimed the woman's duty to disclose by ensuring that the contract specified the property to be "as is." Since the man did not ask about the condition of the dwelling, the woman made no misrepresentations regarding its condition. Therefore, the woman will likely prevail because the "as is" provision in the contract controls the rights of the parties.

(Choice B) The real estate broker is the woman's agent since only she contracted with the broker to list the property. The broker would have been a dual agent representing both parties had the man also hired the broker. But dual representation would *not* have imputed knowledge of the defects to the man.

(Choice C) Unless otherwise provided, the seller of a used dwelling that has been viewed by the buyer still has a duty to disclose known material defects that cannot be reasonably discovered by the buyer.

(Choice D) Disclosure to the broker was not sufficient to fulfill this duty. The woman could have been vicariously liable for the broker's failure to disclose the defects had this duty not been disclaimed.

Educational objective:

Sellers of residential property must disclose known material defects that the buyer cannot reasonably discover. However, the seller can disclaim this duty (eg, with an "as is" clause) so long as the seller has not fraudulently misrepresented or concealed the condition of the property.

References

77 Am. Jur. 2d Vendor and Purchaser § 265 (2020) (discussing "as is" sales clauses).

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A seller owned a house situated on a two-acre lot in an area zoned for single-family residential uses only. Although it was not discernible from the outside, the house had been converted by the seller from a single-family house to a structure that contained three separate apartments, in violation of the zoning ordinance. The conversion was also in violation of the building code.

The seller and a buyer entered into a valid written contract for the purchase and sale of the house. The contract provided that the seller was to convey to the buyer marketable title. The contract was silent as to zoning. The buyer then fully inspected the house.

Prior to the closing, the buyer learned that the house did not conform to the zoning ordinance and refused to close although the seller was ready, willing, and able to perform his contract obligations. The seller brought an appropriate action for specific performance against the buyer.

Is the seller likely to prevail?

A. No, because the illegal conversion of the house creates the risk of litigation.

B. No, because the illegal conversion of the house was done by the seller rather than by a predecessor.

C. Yes, because the buyer was charged with knowledge of the zoning ordinance prior to entering the contract.

D. Yes, because the seller was able to convey a marketable title.

Explanation:

"Red flags" for marketable title

Covenants
Easements
Leases
Liens
Gaps in chain of title
Boundary disputes
Existing zoning violations
Adverse possession

The **warranty of marketable title** is implied in all real estate contracts unless otherwise provided. This guarantees that, upon closing, the seller will convey the buyer title that is **reasonably free from doubt** and under **no threat of litigation** such that a **reasonable person would accept** and pay for it. This does not mean that title must be free from any defect, but it should ensure peaceable and quiet enjoyment of the property.

An **existing violation** of a **zoning ordinance** exposes the real estate owner to potential litigation, so such a violation renders title **unmarketable**.* This means that the seller's illegal conversion of the house in violation of the zoning ordinance prevents him from delivering marketable title to the buyer **(Choice D)**. Therefore, his action for specific performance to compel the buyer to purchase the house will likely fail.

*While existing zoning violations render title unmarketable, courts have consistently held that existing building code violations do not.

(Choice B) The illegal conversion of the house renders title unmarketable regardless of whether the seller or a predecessor did the conversion.

(Choice C) Although the buyer was charged with knowledge of the zoning ordinance prior to entering the contract, the buyer was not charged with knowing whether the house *complied* with that ordinance. Instead, the buyer could rely on the implied warranty of marketability in the land-sale contract and inspect the property for noncompliance prior to closing.

Educational objective:

Marketable title exists when title is reasonably free from doubt and under no threat of litigation such that a reasonable person would accept and pay for it. Therefore, an existing zoning violation renders title unmarketable.

References

77 Am. Jur. 2d Vendor and Purchaser § 93 (2020) (defining marketable title).

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For 22 years, the land records have shown a man as the owner of an 80-acre farm. The man has never physically occupied the land.

Nineteen years ago, a woman entered the farm. The character and duration of the woman's possession of the farm caused her to become the owner of the farm under the adverse possession law of the jurisdiction.

Three years ago, when the woman was not present, a neighbor took over possession of the farm. The neighbor repaired fences, put up "no trespassing" signs, and did some plowing. When the woman returned, she found the neighbor in possession of the farm. The neighbor vigorously rejected the woman's claimed right to possession and threatened force. The woman withdrew.

The woman then went to the man and told him of the history of activity on the farm. The woman orally told the man that she had been wrong to try to take his farm. She expressly waived any claim she had to the land. The man thanked her.

Last month, unsure of the effect of her conversation with the man, the woman executed a deed purporting to convey the farm to her son. The son promptly recorded the deed.

The period of time to acquire title by adverse possession in the jurisdiction is 10 years.

Who now owns the farm?

A. The man, because the woman's later words and actions released title to the man.
B. The neighbor, because the neighbor succeeded to the woman's adverse possession title by privity of possession.
C. The son, because he succeeded to the woman's adverse possession title by privity of conveyance.
D. The woman, because she must bring a quiet title action to establish her title to the farm before she can convey the farm to her son.

Explanation:

Contracts subject to statute of frauds

Marriage – promise in consideration of marriage
Year – contract cannot be completed within one year
Land – sale or other transfer of real property
Executor – promise to pay estate's debt from executor's personal funds
Goods – sale of goods for $500 or more
Suretyship – promise to pay another's debt
Mnemonic: **MY LEGS**

The **statute of frauds** requires that a conveyance of real property:

be in **writing**
identify the parties and property *and*
be **signed** by the donor (the person conveying the property).

Here, the woman acquired title to the man's farm by adverse possession. Although the woman later apologized to the man and orally waived her claim to the farm **(Choice A)**, the man did not regain title because the woman's oral statement did not satisfy the statute of frauds since there was *no signed writing*. Therefore, the woman still owned the farm when she conveyed it to her son.

(Choice B) The neighbor did not succeed the woman's adverse possession title because they lacked *privity*—a mutual or successive interest in the same property right. Instead, the neighbor took possession of the farm without the woman's permission and excluded her from the property. But since the neighbor has only possessed the farm for 3 years, he has not acquired title by adverse possession and he has no other ownership interest.

(Choice D) The woman could have brought a quiet title action to establish her title to the farm (acquired by adverse possession) above all others before conveying it, but was not required to do so.

Educational objective:

The statute of frauds requires that a conveyance of real property (1) be in writing, (2) identify the parties and property, and (3) be signed by the donor.

References

Restatement (Third) of Property: Wills & Other Donative Transfers § 6.3 (Am. Law Inst. 2003) (gifts of land subject to statute of frauds).

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A seller had promised a buyer that, if at any time the seller decided to sell his summer cottage property, he would give the buyer the opportunity to purchase the cottage.

At a time when the buyer was serving overseas with the United States Navy, the seller decided to sell the cottage for $200,000 and spoke to the buyer's mother. Before the buyer sailed, he had arranged for the mother to become a joint owner of his various bank accounts so that the mother would be able to pay his bills when he was gone. When she heard from the seller, the mother took the necessary funds from the buyer's account and paid the seller $200,000. Two weeks later, the seller executed and delivered to the mother a deed in the proper form purporting to convey the cottage to the buyer. The mother promptly and properly recorded the deed.

Shortly thereafter, the mother learned that the buyer had been killed in an accident at sea one week before the delivery of the deed. The buyer's last will, which has now been duly probated, leaves his entire estate to his church. The mother is the sole heir-at-law of the buyer.

There is no statute dealing with conveyances to dead persons.

Who has title to the cottage?

A. The church.

B. The mother.

C. The seller.

D. The seller, subject to a lien to secure $200,000 to the buyer's estate.

Explanation:

Although the buyer left his entire estate to the church, the cottage would only be part of that estate if the buyer had an interest in the cottage when he died. He did not have *legal* title upon death since the seller had not yet delivered the deed. But under the **doctrine of equitable conversion**, the buyer did have ***equitable*** **title**—ie, the **right to obtain full ownership** of the property (ie, legal and equitable title) **upon closing**. That is because an enforceable sales contract was formed when the buyer's mother exercised the option to buy the cottage on his behalf.

Since equitable title is a **real property interest**, it passed to the church under the buyer's will. The church then obtained legal title to, and full ownership of, the cottage upon closing—when the seller delivered the deed to the mother **(Choices B & C)**.

(Choice D) If a buyer conveys his/her equitable title before the purchase price has been paid, that title will be subject to the seller's equitable lien. But here, the mother paid the purchase price ($200,000) before the cottage was devised to the church. Therefore, the seller has no lien on the church's title or any other interest in the cottage.

Educational objective:

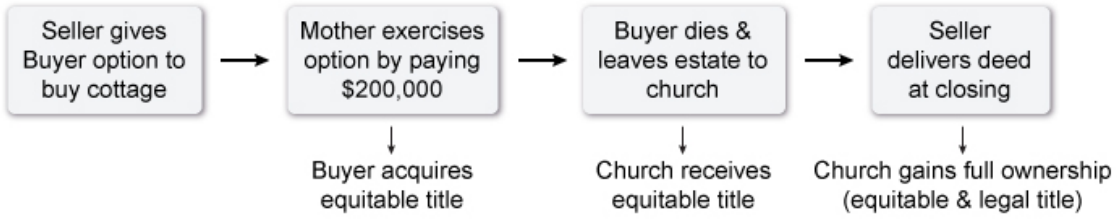
Under the doctrine of equitable conversion, a purchaser receives equitable title to property when he/she enters an enforceable sales contract (eg, by paying the sale price). Equitable title is a real property interest that gives the purchaser the right to obtain full ownership of the property upon closing (eg, when the seller delivers the deed).

References

77 Am. Jur. 2d Vendor and Purchaser § 26 (2018) (option contract).

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A man conveyed his house to his wife for life, remainder to his only child, a son by a previous marriage. Thereafter, the man died, devising his entire estate to his son.

The wife later removed a light fixture in the dining room of the house and replaced it with a chandelier that was one of her family heirlooms. She then informed her nephew and her late husband's son that after her death, the chandelier should be removed from the dining room and replaced with the former light fixture, which she had stored in the basement.

The wife died and under her will bequeathed her entire estate to her nephew. She also named the nephew as the personal representative of her estate. After the nephew, in his capacity as personal representative, removed the chandelier and replaced it with the original light fixture shortly after the wife's death, the son sued to have the chandelier reinstalled.

Who will likely prevail?

A. The nephew, because he had the right to remove the chandelier within a reasonable time after the wife's death.

B. The nephew, because of the doctrine of accession.

C. The son, because a personal representative can remove only trade fixtures from real property.

D. The son, because the chandelier could not be legally removed after the death of the wife.

Explanation:

When a life tenant, the holder of a life estate, **annexes** (ie, attaches) a **chattel** to the property, the life tenant—or his/her personal representative—has the **right to remove** the chattel within a **reasonable time** after the estate ends if:

the life tenant did **not intend** for the annexation to be **permanent** *and*
the chattel can be **removed without substantial damage** to the property or the chattel.

Here, the man conveyed a life estate in the house to his wife (life tenant), who installed a chandelier (chattel) in the dining room. The wife did not intend to permanently annex the chandelier because she said it should be removed after her death. Additionally, there is no evidence that its removal caused any damage. Therefore, the nephew (the wife's personal representative) had the right to remove the chandelier within a reasonable time after her death (the termination of her life estate).

(Choice B) Under the doctrine of accession, ownership of an annexed chattel passes to the real property owner when the chattel cannot be removed without causing substantial damage. This doctrine does not apply here because the chandelier can likely be removed without causing damage. But if this doctrine did apply, then the son—not the nephew—would prevail.

(Choice C) The right to remove a chattel when a life estate ends is not limited to trade fixtures (chattels installed for use in the tenant's trade or business—eg, store display counters, restaurant equipment).

(Choice D) As the wife's personal representative, the nephew *could* legally remove the chandelier within a reasonable time after her death.

Educational objective:

A life tenant (or his/her personal representative) may remove an annexed chattel within a reasonable time after the life estate ends if (1) the life tenant did not intend to permanently annex the chattel and (2) its removal will not cause substantial damage.

References

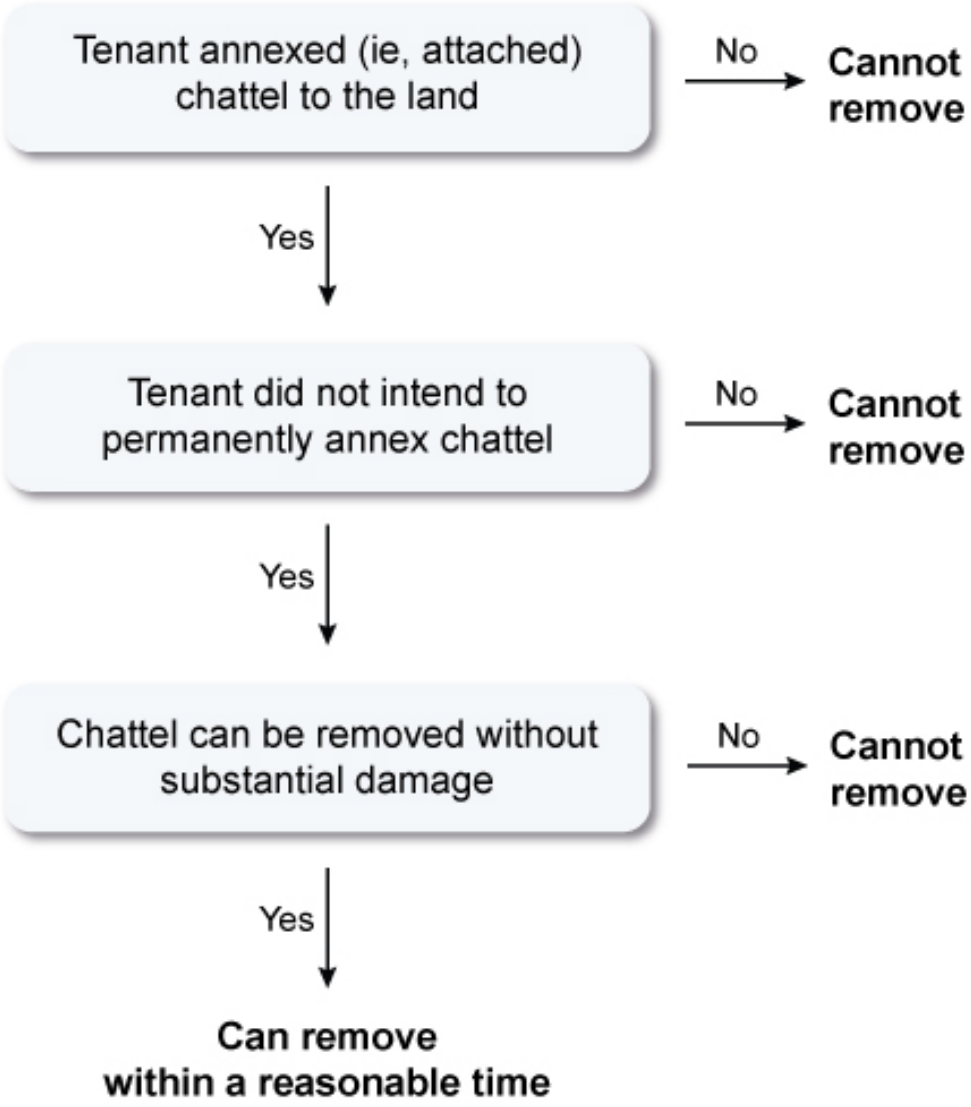
Restatement (First) of Property § 122 (Am. Law Inst. 1936) (life tenant's right to remove fixtures).

Restatement (Second) of Property: Landlord & Tenant § 12.2 (Am. Law Inst. 1977) (tenant's rights and obligations as to physical changes to the property).

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Life tenant's right to remove chattel



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An owner of land contracted to sell it to a buyer for $100,000, its fair market value at that time. After an unanticipated zoning change increased the land's fair market value to $150,000 during the executory period, the owner refused to close.

Wishing to avoid a lawsuit, the buyer assigned the contract (which the contract did not forbid) in an arm's-length transaction to an investor, who is experienced in buying and selling real estate. The investor paid the buyer $25,000. The investor knew of the owner's refusal to close, and the owner continued to refuse to close despite the investor's demand that he do so.

The investor has sued the owner for specific performance.

Who will likely prevail?

A. The investor, because an assignee of the original party purchaser in a real estate contract is entitled to specific performance under these circumstances.
B. The investor, because she has elected to waive the owner's lack of marketable title caused by the zoning change.
C. The owner, because the investor is not a bona fide assignee without notice, and thus does not have clean hands.
D. The owner, because the investor, who is experienced in buying and selling real estate, is entitled to money damages but not to specific performance.

Explanation:

Buyer's remedies

Rescission & restitution	Rescind (ie, cancel) agreement Seek return of paid deposits & other restitution
Specific performance	Seek injunction ordering seller to transfer title with abatement of purchase price Generally available since property is considered unique (ie, money damages would not make buyer whole)
Damages	Loss of bargain = market value at time of breach − contract price Liquidated damages = amount designated in sales contract as compensation for breach Incidental & consequential damages that were contemplated during sales contract or reasonably foreseeable

In a contract for the sale of real property, the buyer promises to pay the agreed purchase price and, in exchange, the seller promises to transfer marketable title. The parties can **assign** (ie, transfer) their respective **contractual rights** to a third party—even without the other party's consent or consideration*—***unless*** the assignment would:

***materially* change or increase** the obligor's **duty or risk** *or*
***materially* impair or reduce** the obligor's chance of obtaining **return performance**.

Here, the buyer assigned his contractual rights to the investor (third party). Since there is no indication that this assignment would impact the owner's contractual duties, it was permissible. As a result, the investor now stands in the buyer's shoes and can **enforce the sales contract** accordingly.

If a seller refuses to perform, the buyer can (1) rescind the contract and seek restitution, (2) seek specific performance, or (3) sue for damages. **Specific performance** is only available when money damages are inadequate. Since land is considered unique and money damages cannot compensate for the loss of unique property, this remedy is **generally available to buyers (Choice D)**. Therefore, the investor will likely prevail.

*Although consideration is not required for an assignment, it is required to make the assignment irrevocable.

(Choice B) Real estate contracts are typically conditioned on the seller's ability to convey marketable title—ie, title that is reasonably free from doubt and under no threat of litigation such that a reasonable person would accept and pay for it. Since the zoning change *increased* the land's fair market value, it did not render title unmarketable. And there is no evidence that the investor waived this condition.

(Choice C) The investor *is* a bona fide assignee since there is no indication that she acted in bad faith. If she had, the owner could raise unclean hands as a defense to preclude her from obtaining specific performance and other equitable remedies.

Educational objective:

A buyer can generally assign a contract for the sale of real property to a third party (same as the seller). The third party can then enforce the contract to the same extent as the buyer—eg, by seeking specific performance.

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A landlord leased a building to a tenant for a term of six years. The lease complied with the statute of frauds and was not recorded. During the lease term, the tenant sent an email to the landlord that stated: "I hereby offer to purchase for $250,000 the building that I am now occupying under a six-year lease with you." The tenant's name was placed below the word "signed" on the message.

In response, the landlord emailed the tenant: "That's fine. We'll close in 60 days." The landlord's name was placed below the word "signed" on the reply message.

Sixty days later, the landlord refused to tender the deed to the building when the tenant tendered the $250,000 purchase price. The tenant has sued for specific performance.

Who is likely to prevail?

A. The landlord, because formation of an enforceable contract to convey the building could not occur until after the lease term expired.

B. The landlord, because the landlord's email response did not contain a sufficient signature under the statute of frauds.

C. The tenant, because the email messages constitute an insufficient attornment of the lease.

D. The tenant, because the email messages constitute a sufficient memorandum under the statute of frauds.

Explanation:

Statute of frauds requirements for real estate contracts

Writing	Physical or electronic document(s) containing reasonable basis to believe contract was formed eg, receipt, check, emails
Signature	Handwritten signature from, or other mark identifying, party to be charged eg, letterhead, electronic signature, initials
Essential terms	Typically includes: identity of parties words of intent to buy or sell property description sales price

Under the **statute of frauds**, contracts for the sale of land must meet three requirements to be enforceable:

Writing – physical *and* electronic document(s) evidencing a contract (eg, the parties' emails)
Signature – an identifying mark from the party against whom enforcement is sought
Essential terms – the parties' identity, words of intent to buy and sell, land description, and price term (all of which appear in the parties' emails)

The **signature** requirement is met so long as the **identifying mark reflects** an **intent to authenticate** the writing. Here, the tenant's and the landlord's names were placed below the word "signed," so their signatures show their desire to be bound **(Choice B)**. And since their emails fulfill the other statute of frauds requirements, they constitute an enforceable memorandum. Therefore, the tenant is likely to prevail in his suit for specific performance.

(Choice A) An enforceable contract to convey a building can be formed during the lease term (as seen here) or thereafter.

(Choice C) Attornment refers to a tenant's agreement to be bound by a lease when there is a new landlord (eg, by sale or foreclosure). Here, the tenant seeks to purchase the property, so attornment is not an issue in this case.

Educational objective:

The signature requirement for the statute of frauds is met if an identifying mark from the party against whom enforcement is sought reflects an intent to authenticate the writing.

References

73 Am. Jur. 2d Statute of Frauds §§ 289, 305, 325, 329 (2020).

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A developer and a commercial real estate investment group own adjoining lots near a city's downtown. The developer decided to raze the existing building on its lot and erect an office building of greater height. The developer received all governmental approvals required to pursue the project and no statute or ordinance applies (other than those dealing with various approvals for zoning, building, etc.).

When the building was completed, the investment group discovered that the substantial shadow cast by the developer's new building diminished its ability to lease apartments, substantially lowered the rent it could charge, and greatly reduced the apartment complex's overall occupancy rate. Assume that these facts are proved in an appropriate action the investment group instituted against the developer for all and any relief available.

Which of the following is the most appropriate comment concerning this lawsuit?

A. Judgment should be for the developer, because the investment group has no cause of action.

B. The investment group is entitled to a mandatory injunction requiring the developer to restore conditions to those existing with the prior building insofar as the shadow is concerned.

C. The court should award damages for losses suffered to the date of trial and leave open recovery of future damages.

D. The court should award permanent damages, in lieu of an injunction, equal to the present value of all rents lost and loss on rents for the reasonable life of the apartment complex.

Explanation:

Available negative easements

Common law	**Modern view**
Light	View
Air	Solar access
Support	Conservation
Water access	

The **Doctrine of Ancient Lights** is an English common law doctrine that enabled landowners to prevent their neighbors from constructing buildings or other structures that blocked their access to sunlight. This doctrine has been **rejected in every jurisdiction**, so landowners can only **restrict another's** blockage of light—or other ***lawful* use** of their own land—through a **negative easement** (ie, restrictive covenant). This type of easement can only be created by **express written agreement**.

Here, the developer's new building casts a substantial shadow over the investment group's apartment complex. But the developer received all necessary governmental approvals to pursue its project and there is no applicable statute. Additionally, there is no indication that the investment group obtained a negative easement or covenant from the developer that would prevent it from blocking the sunlight. Therefore, judgment should be for the developer because the investment group has no cause of action.

(Choices B, C & D) Had the investment group obtained a negative easement, it would have been entitled to an injunction and/or damages. Courts consider several factors in determining the appropriate remedy but tend to issue an injunction for breach of a negative easement. That is because the easement holder is denied the benefit of the easement—ie, the ability to restrict another's lawful use of their own land—if only damages are issued.

Educational objective:

A landowner can only restrict another's lawful use of their own land by obtaining a negative easement (ie, restrictive covenant). And negative easements can only be created by express written agreement.

References

Mohr v. Midas Realty Corp., 431 N.W.2d 380, 382 (Iowa 1988) (explaining that every state has rejected the Doctrine of Ancient Lights).

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A landowner granted a sawmill the exclusive right to remove timber from the landowner's property for 10 years in exchange for a quarterly payment based on the size, type, and number of trees removed. Three years later, the sawmill purchased the landowner's property and built a facility for processing timber on the property. Eight years after purchasing the property, the sawmill sold the timbered portion of the land to a buyer, while retaining the portion of the land on which the processing facility was located. The contract made no specific mention of the prior recorded agreement, but the sawmill had come to rely on the supply of timber from the property. Although there are other sources of timber, timber is a necessary raw material for the sawmill. The buyer has refused to permit the sawmill to continue to remove timber from the property purchased by the buyer.

Which of the following is the sawmill's best argument for the continued existence of a profit?

A. The buyer is estopped from denying the existence of the profit due to the sawmill's reliance on the property as its source for timber.

B. The profit exists by implication.

C. The profit was created by written agreement.

D. Timber is necessary for the sawmill to operate.

Explanation:

A **profit** (ie, profit à prendre) is a nonpossessory right to enter another's land and remove specific natural resources (eg, oil, game, timber—as seen here). Profits are generally created and analyzed similarly to easements. As a result, a profit can be **implied from an existing prior use** if the following elements are met:

Severance of common ownership – the dominant (benefited) and servient (burdened) estates were once a single tract of land, after which the owner retained part of the tract and conveyed the rest to another

Prior existing use – the owner used the servient estate to benefit the dominant estate

Apparent and continuous – prior use was discoverable by a reasonable inspection and continued until the tract was severed

Reasonable necessity – continuance of the prior use is *reasonably* necessary for the use and enjoyment of the land

Here, the sawmill owned the entire property before selling the timbered portion to a buyer. The sawmill had been apparently and continuously removing timber from the land until the sale. And the continued removal of timber is reasonably necessary since the sawmill has come to rely on the supply of timber from the buyer's land to operate. Therefore, the sawmill's best argument is that the profit exists by implication.

(Choice A) A profit can be created by estoppel if the profit holder, in good faith, reasonably and detrimentally relies on *permission* from the owner of the land that serves as the source of the profit (not seen here).

(Choice C) Although the original landowner granted the sawmill a profit by written agreement (ie, an express profit), the profit terminated by merger when the sawmill acquired the property to which the profit was tied.

(Choice D) Profits are usually analyzed in the same manner as easements, but profits *cannot* be created by necessity. Additionally, the availability of other sources of timber would prevent the sawmill from establishing the strict necessity required to create an easement by necessity.

Educational objective:

Profits are generally created and analyzed like easements, so a profit can be implied from an existing prior use.

References

Restatement (Third) of Property: Servitudes § 1.2(2), cmt. e (Am. Law Inst. 2000) (easement and profit defined).

Restatement (Third) of Property: Servitudes § 2.12 (Am. Law Inst. 2000) (servitudes implied from prior use).

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Easements v. Profits
(methods of creation)

	Express grant or reservation	Necessity	Existing prior use	Prescription	Estoppel
Easements	✓	✓	✓	✓	✓
Profits	✓		✓	✓	✓

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A restauranteur's friend owned land that included a lake within its boundaries. In a writing, the friend granted the restauranteur a profit that gave her the right to access the lake for the purpose of taking fish from it. For nine years, the restauranteur took fish from the lake and served them in various dishes at her restaurant. During the tenth year, the restauranteur entered negotiations to sell the restaurant to a chef who planned to continue operating the restaurant. The terms of the profit did not address its transferability.

Which of the following would be most important in determining whether the restauranteur could assign her right to remove fish from the lake to the chef as part of the sale of the restaurant?

A. Whether the friend and the restauranteur intended the right to be personal to the restauranteur.
B. Whether the friend granted others the right to take fish from the lake.
C. Whether the friend retained the right to take fish from the lake for himself.
D. Whether the restauranteur recorded the right.

Explanation:

Profit

(right to enter another's land & remove natural resources)

	Characteristics	Transferability	Apportionability
Exclusive	Unlimited & exclusive right	Can be transferred unless profit is personal or contrary to parties' intent	If transferable, can be divided unless contrary to parties' intent or burden on servient estate unreasonably increased
Nonexclusive	Right limited by quantity, use, or time OR shared with another		

A **profit** (ie, profit à prendre) is a nonpossessory right to enter another's land and remove specific natural resources (eg, oil, gas, minerals, timber, fish). A profit may generally be **transferred (eg, assigned) unless** the profit is **personal or** transfer would be **contrary to** the **intent of the parties** creating the profit. A profit is personal if the relationship of the parties or other circumstances indicate that it was not intended to be transferable.

This means that the restauranteur's ability to assign her right to remove fish from the lake to the chef turns on whether the friend and restauranteur intended the profit to be personal to the restauranteur (eg, because they were friends). If so, then the restauranteur *cannot* assign the profit to the chef. But if the profit was intended to benefit the restauranteur's business, then the restauranteur *can* assign the profit to the chef purchasing her restaurant.

(Choices B & C) When someone else—including the owner of the servient (burdened) estate—enjoys the same right as the profit holder, the profit is nonexclusive. The nonexclusivity of a profit may affect whether the profit holder can divide the profit among other persons, and it may be a factor in determining whether the parties intended the profit to be personal. But it is not itself determinative of whether the profit may be transferred to another.

(Choice D) Recording the profit would protect the restauranteur if the profit is exclusive and the friend subsequently grants a similar right to a third party. However, this would not preclude the profit from being considered personal to the restauranteur and therefore nontransferable.

Educational objective:

A profit—ie, nonpossessory right to enter another's land and remove specific natural resources—may generally be transferred unless the profit is personal or transfer would be contrary to the intent of the parties creating the profit.

References

Restatement (Third) of Property (Servitudes) § 4.6 (Am. Law Inst. 2000) (transferability of servitude benefits).

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A vendor owned a tract of land in fee simple. The vendor entered into a valid written agreement with a purchaser under which the vendor agreed to sell and the purchaser agreed to buy the land by installment purchase. The contract stipulated that the vendor would deliver to the purchaser, upon the payment of the last installment due, "a warranty deed sufficient to convey fee simple." The contract contained no other provision that could be construed as referring to title.

The purchaser entered into possession of the land. After making 10 of the 300 installment payments obligated under the contract, the purchaser discovered that there was outstanding a valid and enforceable mortgage on the land, securing the payment of a debt in the amount of 25% of the purchase price the purchaser had agreed to pay. There was no evidence that the vendor had ever been late in payments due under the mortgage and there was no evidence of any danger of insolvency of the vendor. The value of the land now is four times the amount due on the debt secured by the mortgage.

The purchaser quit possession of the land and demanded that the vendor repay the amounts the purchaser had paid under the contract. After the vendor refused the demand, the purchaser brought an appropriate action against the vendor to recover damages for the vendor's alleged breach of the contract.

In such action, should damages be awarded to the purchaser?

A. No, because the purchaser assumed the risk by taking possession.

B. No, because the time for the vendor to deliver marketable title has not arrived.

C. Yes, because in the absence of a contrary express agreement, an obligation to convey marketable title is implied.

D. Yes, because the risk of loss assumed by the purchaser in taking possession relates only to physical loss.

Explanation:

"Red flags" for marketable title

Covenants
Easements
Leases
Liens
Gaps in chain of title
Boundary disputes
Existing zoning violations
Adverse possession

The warranty of **marketable title** is implied in all land-sale contracts unless otherwise stated. This guarantees that, **upon closing**, the seller will convey the buyer title that is reasonably free from doubt and under no threat of litigation, such that a reasonable person would accept and pay for it. In the case of an **installment land contract**—ie, one in which the buyer takes possession of the property and pays the purchase price over time—the seller need not deliver marketable title until the buyer makes the **final payment**.

Here, the purchaser made 10 of the 300 installment payments before discovering the outstanding mortgage on the land. Although an existing mortgage can render title unmarketable, the vendor does not need to deliver marketable title until the purchaser has made the final installment payment. Therefore, damages should not be awarded to the purchaser because the time for the vendor to deliver marketable title has not arrived **(Choice C)**.

(Choices A & D) Under the doctrine of equitable conversion, the risk of loss is on the buyer during the period between contract formation and closing—regardless of whether the buyer takes possession. The risk of loss assumed by the buyer typically relates to physical loss (eg, from fire), but the doctrine may also apply to legal changes (eg, zoning changes). However, this has no relevance to the seller's obligation to deliver title as promised.

Educational objective:

Under an installment land contract, the time for the seller to deliver marketable title arrives when the buyer makes the final installment payment.

References

Restatement (Third) of Property: Mortgages § 3.4 (Am. Law Inst. 1997) (installment land contracts).

77 Am. Jur. 2d Vendor and Purchaser § 93 (2020) (marketable title).

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A man owned in fee simple a lot in a properly approved subdivision, designed and zoned for industrial use. His friend owned the adjoining lot in the same subdivision. The plat of the subdivision was recorded as authorized by statute.

Twelve years ago, the man erected an industrial building wholly situated on his lot but with one wall along the boundary common with the friend's lot. The construction was done as authorized by a building permit that was validly obtained under applicable statutes, ordinances, and regulations. Further, the construction was regularly inspected and found in compliance with all building code requirements.

The friend's lot remained vacant until six months ago, when she began excavation pursuant to a building permit authorizing the erection of an industrial building situated on her lot but with one wall along the boundary common with the man's lot. The excavation caused subsidence of a portion of the man's lot that resulted in injury to his building. The excavation was not done negligently or with any malicious intent to injure.

In the jurisdiction, the time to acquire title by adverse possession or rights by prescription is 10 years.

The man has brought an appropriate action against the friend to recover damages resulting from the injuries to the building on his lot.

Who is likely to prevail?

A. The friend, because both lots are urban land, as distinguished from rural land, so the man had the duty to protect any improvements on his lot.

B. The friend, because the construction and use of her building were authorized by the applicable law.

C. The man, because a right for support, appurtenant to his lot, had been acquired by adverse possession or prescription.

D. The man, if the subsidence would have occurred without the weight of the building on his lot.

Explanation:

Withdrawal of lateral & subjacent support

	Natural state	**Improved**
Lateral **Subjacent**	Strictly liable for damage to adjacent land caused by subsidence	If damage to land & improvements would have occurred in land's natural state, strictly liable If not, liable if negligent

Landowners have a right to lateral support from all adjoining land. Therefore, an adjoining landowner who withdraws lateral support for land in a **natural state** is **strictly liable** for any **subsidence** (ie, cave-in, slippage) that occurs because of that withdrawal. But if the adjoining landowner withdraws lateral support for **improved land**—as seen with the man's industrial building—the adjoining landowner may be:

strictly liable if the landowner can show that damage to the land and improvements **would have occurred** in the **land's natural state** *or*

liable for negligence if the landowner cannot make such a showing.

Here, the friend's excavation was not done negligently or with any malicious intent to injure the man. This means that the man can only recover damages resulting from the injuries to his improved land if the friend is subject to strict liability. And if the man shows that the subsidence would have occurred without the weight of the building on his lot, he will likely prevail.

(Choice A) A possessor of land in an *urban* area has a duty to exercise reasonable care to prevent an unreasonable risk of harm arising from conditions on his/her land. Here, there is no evidence that the man (or the friend) breached this duty, so this principle would not affect the outcome of the lawsuit.

(Choice B) The fact that the construction and use of the friend's building were authorized by law helps show that the friend was not negligent, but it does not shield her from strict liability since it is imposed regardless of fault.

(Choice C) A landowner cannot acquire a right to lateral support by adverse possession or prescription. That is because there is no actual possession or use of the adjoining land to satisfy the elements of those claims.

Educational objective:

An adjoining landowner who withdraws lateral support for improved land is (1) strictly liable if the landowner can show that damage to the land and improvements would have occurred in the land's natural state or (2) liable for negligence if no such showing is made.

References

Restatement (Second) of Torts §§ 817–18 (Am. Law Inst. 1979) (withdrawal of lateral support).

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By a valid written contract executed in March, a seller agreed to sell land to a buyer. The contract stated, "The parties agree that closing will occur on May 1 at 10 a.m." There was no other reference to closing. The contract was silent as to quality of title.

On April 27, the seller notified the buyer that she had discovered that the land was subject to a long-standing easement in favor of a corporation for a towpath for a canal, should the corporation ever want to build a canal.

The buyer thought it so unlikely that a canal would ever be built that the closing should occur notwithstanding this easement. Therefore, the buyer notified the seller on April 28 that he would expect to close on May 1.

When the seller later refused to close, the buyer sued for specific performance.

Will the buyer be likely to prevail?

A. No, because rights of third parties are unresolved.

B. No, because the easement renders the seller's title unmarketable.

C. Yes, because the decision to terminate the contract for title not being marketable belongs only to the buyer.

D. Yes, because the seller did not give notice of the easement a reasonable time before the closing date.

Explanation:

"Red flags" for marketable title

Covenants
Easements
Leases
Liens
Gaps in chain of title
Boundary disputes
Existing zoning violations
Adverse possession

All contracts for the sale of land have an **implied warranty** that the seller will convey **marketable title** to the buyer **upon closing** unless otherwise stated. To be marketable, title must be reasonably free from doubt and under no threat of litigation such that a reasonable person would accept and pay for it. If the seller cannot convey marketable title at the time of closing, only the *buyer* can rescind (ie, terminate) the sales contract and refuse to close.

Title can be **rendered unmarketable** by **encumbrances** (eg, easements, mortgages, other liens). However, **buyers can waive** encumbrances—as the buyer did here when he notified the seller that he expected to close notwithstanding the corporation's easement. Because the buyer chose to accept the land with the easement instead of terminating the contract, the buyer will be likely to prevail in an action for specific performance **(Choice B)**.

(Choice A) The fact that rights of third parties are unresolved (eg, whether the corporation's easement is valid) is irrelevant to the buyer's suit against the seller for specific performance of the sales contract.

(Choice D) The seller was obligated to disclose the easement to the buyer promptly after learning of it, which she did. The buyer then chose to go through with the deal rather than terminate the contract, so the seller is obligated to complete the sale.

Educational objective:

An easement is an encumbrance that can render title unmarketable. However, the buyer can choose to waive the encumbrance and insist that the sale be completed.

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An individual owned 20 acres of undeveloped land. She gave her son a 12-acre portion of the land. Because the remaining eight-acre parcel lacked any access to a public road, the deed, which was properly recorded, provided that she retained the right to construct a road across the larger parcel to access the public highway that ran adjacent to the larger parcel. Although she lived for another 15 years, neither she nor her son took any action with regard to their parcels, nor was there any change in the surrounding area. When she died, her son inherited all of her property.

Subsequently, the son sold the larger parcel to a buyer and gave the smaller parcel to his daughter. The daughter, intending to build a house on her parcel, has approached the buyer about building an access road across the buyer's property to the house. The buyer, asserting that the daughter has no right to do so, has refused to discuss the matter with her.

Does the daughter have an easement across the buyer's land to access her land?

A. No, because the individual could not reserve an easement for her own benefit.
B. No, because the merger of the two parcels through ownership terminated the individual's easement.
C. Yes, because an express easement is not terminated by nonuse.
D. Yes, because there is an easement by necessity.

Explanation:

The individual gave her son a portion of her land and properly reserved an easement that allowed her to construct a road across his land to access a public highway **(Choice A)**. That easement terminated when the **dominant estate** (individual's 8-acre parcel) and **servient estate** (son's 12-acre parcel) **merged** into the hands of a **single owner** after the son inherited all of the individual's property. And that easement was not revived when the son later sold the 12-acre parcel to a buyer and gave the 8-acre parcel to his daughter.

However, an **easement by necessity** will be implied if all of the following elements are met:

Necessity – the dominant (benefited) estate is virtually useless without an easement across the servient (burdened) estate

Common ownership – the dominant and servient estates were under common ownership in the past (ie, they were once a single tract of land)

Severance – the necessity arose when the land was severed and the dominant and servient estates were created

Here, the daughter's 8-acre parcel is virtually useless without an easement over the 12-acre parcel because the 8-acre parcel is landlocked and has no access to a public road (necessity). The son previously owned both parcels (common ownership), and the 8-acre parcel was landlocked when he sold the 12-acre parcel to the buyer (severance). As a result, the daughter has an easement by necessity across the buyer's land to access the public highway **(Choice B)**.*

*That easement will continue until the necessity ends (eg, when an alternative means of access becomes available).

(Choice C) An express easement is not terminated by mere nonuse, so the individual's easement was not terminated by her failure to create an access road across the 12-acre parcel. Instead, her easement was terminated by merger. Nevertheless, the daughter has an easement by necessity over the 12-acre parcel to reach the public highway.

Educational objective:

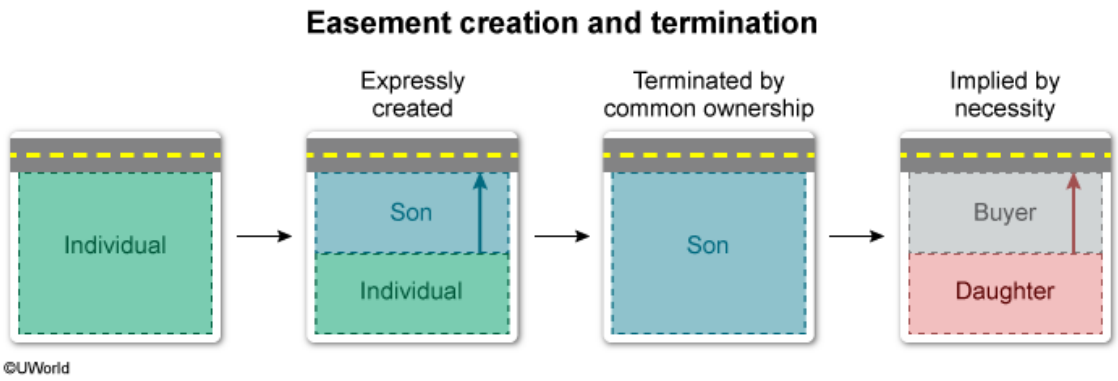
An easement by necessity is created when (1) the dominant estate is virtually useless (eg, landlocked) without the benefit of an easement across the servient estate, (2) the two estates were once a single tract of land, and (3) the necessity arose when the land was severed and the two estates were created.

References

Restatement (Third) of Property: Servitudes § 2.15 (Am. Law Inst. 2000) (easement by necessity).

Restatement (Third) of Property: Servitudes § 7.5 (Am. Law Inst. 2000) (termination of easement by merger).

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A condominium consists of 25 units located within a single building. In order to protect aging electrical and plumbing systems located in the common areas within the building, the board of the condominium association has adopted a reasonable rule that prohibits an owner of a condominium unit from installing or replacing a washer or dryer in the unit. The declaration that created the condominium is silent with regard to the matter.

An owner wants to replace an existing combination washer/dryer appliance in her condominium unit.

Can the association enforce this rule against the owner?

A. No, because the declaration that created the condominium is silent with regard to the installation of a washer or dryer within a condominium unit.

B. No, because the rule seeks to dictate what the owner can do within her own condominium unit.

C. Yes, because the board adopted the rule to protect the building's electrical and plumbing systems.

D. Yes, because the board has the power to adopt rules restricting the use of individually owned property within the condominium.

Explanation:

Main types of common-interest communities

Property owners' association	Property owners must, as consequence of property ownership, belong to association & pay dues to it *or* Property owners in real-estate development must pay for use/maintenance of property held in common by individual owners, but association membership is optional
Condominium	Created by state statutes by filing declaration (or master deed) & plat with recording office in condominium's locality Declaration & bylaws set out rights & obligations of unit owners & fix shares for allocating expenses, taxes, voting rights Each owner is responsible for his/her own mortgage
Cooperative	Typically consists of land & one or more buildings owned by corporation that leases individual residential units to shareholders Resident is tenant who also owns one or more shares of stock in corporation & is prohibited from transferring interest separately from lease Cooperative has blanket mortgage

A **condominium** is a **common-interest community**—ie, a real-estate development in which individually owned lots or units are burdened by a covenant that imposes an obligation to pay dues to an association. These communities, typically acting through a board, have the power reasonably necessary to manage common property and carry out functions set forth in the declaration or granted by statute. This includes the **following powers**:

To **levy assessments** against individually owned property and **charge reasonable fees** for services or use of common property

To **manage and protect common property**, including making substantial alterations, improvements, and additions to such property

To **adopt reasonable rules** to govern the use of common and individually owned property **to protect the common property** (this is an **implied power**)

Here, the board of the association adopted a reasonable rule prohibiting the installation or replacement of a washer or dryer within a condominium unit. The rule seeks to protect the electrical and plumbing systems located within the building's common areas. Since the association has the implied power to adopt such rules, it can enforce this rule against the owner of the condominium unit.

(Choice A) A condominium association has the implied power to adopt reasonable rules governing the use of individually owned property if the rule seeks to protect common property. This is true unless that power is expressly limited by the declaration or a statute. Therefore, the declaration's silence regarding washer/dryer installations will not prevent the association from enforcing this rule.

(Choice B) The owner of a condominium unit generally has the freedom to use the unit as he/she sees fit. However, that use is subject to reasonable restrictions (as seen here).

(Choice D) The board has the implied power to adopt this rule to protect the common property, but it does not have the broader power to adopt *any* rule restricting the use of individually owned property within the condominium.

Educational objective:

Common-interest communities (eg, condominiums) have the implied power to adopt reasonable rules to govern the use of common and individually owned property to protect common property in the community.

References

Restatement (Third) of Property: Servitudes §§ 6.4–6.7 (Am. Law Inst. 2000) (setting forth the powers of common-interest communities).

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A man owned land along the south side of a highway. To the south of the man's land was a lot owned by a woman who lived on it in a house.

Five years ago, the man conveyed a right-of-way easement over his land to the woman because it provided a more direct route between her house and the highway. The easement was evidenced by a clearly marked path. The document granting the easement was promptly recorded.

Three years ago, the woman conveyed the house to the man. The man never took actual possession of the house.

Two years ago, the man conveyed the house to a purchaser by a warranty deed. Two months after the purchaser moved into the house, a neighbor informed him about the easement. He then began using the path that had been marked on the man's land. When the man noticed the purchaser using the path, he erected a barricade on his land that effectively prevented the purchaser from using the path.

The purchaser has sued the man, claiming that he has an easement over the man's land.

Who is likely to prevail?

A. The man, because the easement was extinguished.
B. The man, because the purchaser did not have actual notice of the easement at the time of acquisition.
C. The purchaser, because he purchased the house by warranty deed.
D. The purchaser, because the easement was of public record when he acquired the house.

Explanation:

Ways to terminate easements

Destruction – servient estate condemned or destroyed by natural forces
Abandonment - dominant estate abandons easement
Merger - dominant & servient estates united in common ownership
Prescription - servient owner prevents use for prescriptive period
Estoppel - dominant owner estopped from asserting easement
Release - express release in writing satisfying statute of frauds
Mnemonic: **DAMPER**

An **easement** is **extinguished by merger** when the dominant estate (ie, land *benefited* by the easement) and the servient estate (ie, land *burdened* by the easement) are united in **common ownership**. Once extinguished, the easement is **not revived** simply because the land is **re-severed into two parcels**. Instead, a new easement must be created.

Here, the man conveyed an easement to the woman that allowed her to cross his land to access the highway. The easement was extinguished when the dominant estate (woman's lot) and servient estate (man's land) merged into the hands of one owner after the woman conveyed her house to the man. And it was not revived when the man re-severed the land by conveying the house to the purchaser—regardless of the purchaser's actual or record notice of the prior easement **(Choices B & D)**. Therefore, the purchaser has no easement over the man's land.

(Choice C) The fact that the purchaser acquired the house by warranty deed has no impact on whether the prior easement terminated (or was then revived). But if the man had purported to convey an easement over his land to the purchaser, then the purchaser could have sued the man for breach of warranties under the deed.

Educational objective:

Under the merger doctrine, an easement is terminated if the dominant and servient estates are united in common ownership. The terminated easement is not revived by re-severing the land into two parcels.

References

Restatement (Third) of Property: Servitudes § 7.5 (Am. Law Inst. 2000) (termination by merger).

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A grantor executed an instrument in the proper form of a warranty deed purporting to convey a tract of land to his church. The granting clause of the instrument ran to the church "and its successors forever, so long as the premises are used for church purposes." The church took possession of the land and used it as its site of worship for many years. Subsequently, the church decided to relocate and entered into a valid written contract to sell the land to a buyer for a substantial price. The buyer wanted to use the land as a site for business activities and objected to the church's title. The contract contained no provision relating to the quality of title the church was bound to convey.

There is no applicable statute.

When the buyer refused to close, the church sued the buyer for specific performance and properly joined the grantor as a party.

Is the church likely to prevail?

A. No, because the grantor's interest prevents the church's title from being marketable.

B. No, because the quoted provision is a valid restrictive covenant.

C. Yes, because a charitable trust to support religion will attach to the proceeds of the sale.

D. Yes, because the grantor cannot derogate from his warranty to the church.

Explanation:

Fee simple estates

Type		Language	Future interest
Indefeasible	**Fee simple absolute**	"To A" "To A and his heirs"	None
Defeasible	**Fee simple determinable**	Durational "so long as" "during" "until"	*Grantor's* possibility of reverter *Third party's* executory interest (**fee simple subject to executory limitation**)
	Fee simple subject to condition subsequent	Conditional "but if" "provided that" "unless"	*Grantor's* right of entry

In a land-sale contract, the seller promises to deliver **marketable title** to the buyer upon closing. Title is marketable if it is **reasonably free from doubt** and under **no threat of litigation** such that a **reasonable person would accept** and pay for it. If the seller fails to satisfy this promise, the buyer can rescind the contract and refuse to close.

Here, the church has a defeasible fee because its title will automatically terminate if the specified event or condition occurs—ie, when the land is no longer used for church purposes. If the buyer were to purchase the land and use it for business purposes, the specified event would occur. The buyer's title would then terminate and revert back to the grantor. As a result, the church cannot deliver marketable title and its suit against the buyer will likely fail.

(Choice B) A restrictive covenant is a promise to do or not do something on one's land that has no impact on title. Since the quoted provision will divest the church (or its assigns) of title if the land is no longer used for church purposes, it is *not* a restrictive covenant but a defeasible fee.

(Choice C) Attaching the sale proceeds to a charitable trust will have no impact on the church's ability to convey marketable title. This merely means that a trustee will hold those proceeds at the church's request for some charitable purpose and title will still terminate if the specified condition occurs.

(Choice D) The grantor cannot and has not derogated any warranty (ie, covenant of title) to the church. He had the right to convey the church a defeasible fee and the right to retain a possibility of reverter in that land.

Educational objective:

Marketable title is title that is reasonably free from doubt and under no threat of litigation such that a reasonable person would accept and pay for it. The owner of a defeasible fee cannot convey marketable title since title will automatically terminate upon the happening of a specified event or condition.

References

77 Am. Jur. 2d Vendor and Purchaser § 93 (2020) (marketable title).

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A widow owned a house in fee simple. Three years ago, the widow and her sister agreed to a month-to-month tenancy with the sister paying the widow rent each month. After six months of the sister's occupancy, the widow suggested to the sister that she could buy the house for a monthly payment of no more than her rent. The widow and the sister orally agreed that the sister would pay $25,000 in cash, the annual real estate taxes, the annual fire insurance premiums, the costs of maintaining the house, plus the monthly mortgage payments that the widow owed on the house. They further orally agreed that within six years, the sister could pay whatever mortgage balances were then due and the widow would give the sister a warranty deed to the property.

The sister fully complied with all the obligations she had undertaken. She made structural modifications to the house that increased its value by more than 50% compared to when the widow and the sister made their oral agreement. The sister then made her financing arrangements and was ready to complete the purchase of the house, but the widow refused to close.

The sister brought an appropriate action for specific performance against the widow to enforce the agreement.

Who will likely prevail?

A. The sister, because the doctrine of part performance applies.
B. The sister, because the statute of frauds does not apply to oral purchase and sale agreements between landlords and tenants in possession.
C. The widow, because the agreements were oral and violated the statute of frauds.
D. The widow, subject to the return of the $25,000, because the arrangement was still a tenancy.

Explanation:

Statute of frauds requirements for real estate contracts

Writing	Physical or electronic document(s) containing reasonable basis to believe contract was formed eg, receipt, check, emails
Signature	Handwritten signature from, or other mark identifying, party to be charged eg, letterhead, electronic signature, initials
Essential terms	Typically includes: identity of parties words of intent to buy or sell property description sales price

The statute of frauds applies to *all* real estate contracts—including purchase and sale agreements between landlords and tenants in possession—and requires that the contract (1) be in writing, (2) be signed by the party against whom it is to be enforced, *and* (3) contain all essential terms. Therefore, the widow and the sister's *oral* agreement regarding the sale and purchase of the house violates this statute **(Choice B)**.

However, an oral agreement may still be enforceable if it falls within the **doctrine of part performance**. This exception to the statute of frauds **applies when the buyer** has done the following:

taken **possession** of the property (eg, the sister continued to live in the house)
made **substantial improvements** to the property (eg, the sister's modification increased its value by 50%) *and/or*
paid some or all of the **purchase price*** (eg, the sister's $25,000 cash payment and monthly payments)

The buyer can then enforce the oral agreement in equity, typically by seeking specific performance. As a result, the sister will likely prevail **(Choice C)**.

*Payment of some or all of the purchase price is not independently sufficient to establish part performance.

(Choice D) Although the arrangement started as a tenancy, it transformed into an enforceable real estate contract when the sister fully complied with her contractual obligations and was ready to purchase the home. As a result, the sister has the right to enforce the agreement under the doctrine of part performance.

Educational objective:

Part performance is an exception to the statute of frauds. This exception entitles the buyer to equitable relief (eg, specific performance) if the buyer has (1) taken possession of the property, (2) substantially improved the property, and/or (3) paid any amount of the purchase price.

References

73 Am. Jur. 2d Statute of Frauds §§ 289, 305, 325, 329 (2020).

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The existence of an express right-of-way easement over land was discovered during a title search conducted by an individual who had contracted to buy the land. The seller desired to secure a release of the easement, so he traveled to the easement holder's neighboring property. When the seller arrived, the neighbor's adult daughter informed him that the neighbor had been living in a nursing home for the past year and that she had been taking care of his land. In exchange for a small sum, the neighbor's daughter executed the requested document. The document stated that the neighbor "hereby releases" the easement over the seller's land, which was described in full.

The seller then deeded the land to the buyer, and the neighbor died shortly thereafter. The neighbor's property passed by will to the neighbor's daughter. The daughter claims that she continues to possess a right-of-way easement over the buyer's land.

Is the neighbor's daughter correct?

A. No, because the daughter signed the release of the easement.

B. No, because the release was valid and terminated the easement.

C. Yes, because the property interest was not a license and did not expire upon the neighbor's death.

D. Yes, because the release was not signed by the neighbor and violated the statute of frauds.

Explanation:

Ways to terminate easements

Destruction – servient estate condemned or destroyed by natural forces
Abandonment - dominant estate abandons easement
Merger - dominant & servient estates united in common ownership
Prescription - servient owner prevents use for prescriptive period
Estoppel - dominant owner estopped from asserting easement
Release - express release in writing satisfying statute of frauds
Mnemonic: **DAMPER**

An **easement** is a nonpossessory interest in someone else's land that gives the easement holder the right to enter and use the land for a specific purpose. An easement can be **terminated by a release**—ie, a **writing** that **expressly relinquishes** the easement right—so long as it **complies with the statute of frauds**. To comply with the statute of frauds, the writing must do the following:

Reasonably **identify the parties** (the neighbor and the seller)
Contain **words of transfer** ("hereby releases")
Describe the **nature of the easement** (the easement over the seller's land was described in full)
Be **signed by** the **easement holder** (the neighbor)
Since the neighbor did not sign the release (the daughter did), the document secured by the seller was not a valid release that terminated the easement **(Choices B & D)**. But since the daughter *did* sign the release, she will be estopped from asserting that she inherited the neighbor's right-of-way over the buyer's land.

(Choice C) Although a license typically expires upon the death of the licensee, an easement does not expire upon the death of the easement holder. This means that the neighbor's easement passed by will to his daughter. However, she will be estopped from asserting the easement's validity because she signed the release.

Educational objective:

An easement can be terminated by a written release that complies with the statute of frauds. To do so, the release must (1) reasonably identify the parties, (2) contain words of transfer, (3) describe the nature of the easement, and (4) be signed by the easement holder.

References

Restatement (Third) of Property: Servitudes § 7.3 (Am. Law Inst. 2000) (termination of an easement by release).

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A man purchased a large tract of land that consisted entirely of timberland. In order to take full advantage of the commercial value of his land, the man entered into a written agreement with a timber company. That agreement gave the timber company the right to enter the man's land to harvest as much timber as it wished, at its fair market value, for the next five years. The agreement was promptly and properly recorded.

The timber company's right to harvest timber on the man's land was not exclusive, and the man reserved the right to grant similar rights to others or to harvest timber himself.

The agreement had been in effect for just one year when the state brought a condemnation action to take the man's land for an airport.

In the condemnation action, is the timber company entitled to compensation?

A. No, because the agreement between the man and the timber company created only a license.
B. No, because the timber company's right to harvest timber on the man's land was not exclusive.
C. Yes, because the agreement between the man and the timber company created a profit à prendre.
D. Yes, because the timber company paid value for the right to harvest timber on the man's land.

Explanation:

Licenses, easements & profits

License	Revocable privilege to enter & use another's land for specific purpose
Easement	Nonpossessory interest in land that gives easement holder right to: use another's land for specific purpose (ie, affirmative easement) *or* prohibit other owner from doing something on land that owner would otherwise be allowed to do (ie, negative easement)
Profit	Nonpossessory interest in land that gives profit holder right to enter another's land to remove products of soil (eg, timber, minerals, oil)

A **profit à prendre**—also called simply a profit—is a **nonpossessory interest in land** that gives the profit holder the right to enter another's land to remove specific natural resources (eg, timber). Because a profit is an interest in land, the **profit holder** (eg, timber company) is **entitled to compensation if** the **government condemns** the property under the power of eminent domain. This is true regardless of whether the profit holder paid value or has an exclusive right to remove the resources **(Choices B & D)**.

(Choice A) Unlike easements and profits, licenses do *not* create an interest in the land. As a result, a licensee is not entitled to compensation in a condemnation action. But here, the timber company had a profit—not a license.

Educational objective:

A profit à prendre is a nonpossessory interest in land that allows the profit holder to remove natural resources from another's land. This interest entitles the profit holder to compensation if the government condemns the property.

References

Restatement (Third) of Property: Servitudes § 1.2(2) (Am. Law Inst. 2000) (defining profit à prendre).

Bates Sand & Gravel Co., Inc. v. Commonwealth, 404 N.E.2d 81, 82 (Mass. 1980) (finding that a profit à prendre is an interest in land entitled to compensation in a condemnation action).

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A landowner leased a plot of land to a bamboo farmer on a month-to-month basis, with rent due at the beginning of each month. The farmer planted dwarf bamboo crops on the land. For several years thereafter, the farmer would divide the roots of each bamboo plant and replant them on the land in early spring. Each October, the farmer would harvest some of the plants to sell to local landscapers.

On October 31, the farmer paid rent to the landowner, at which time the landowner notified the farmer that the lease would terminate as of November 30 because the landowner had sold the land to a large farming corporation. Although harvesting season was over, the farmer attempted to reenter the land on December 15 and remove the remaining bamboo plants.

The landowner filed suit against the farmer to prevent the removal of the plants.

In whose favor should the court rule?

A. The farmer, because all emblements remain personal property.
B. The farmer, because the farmer planted the bamboo and the lease was for an indefinite duration.
C. The landowner, because the farmer had already harvested the bamboo plants.
D. The landowner, because the owner of the land is irrebuttably presumed to be the owner of the crops.

Explanation:

Ownership of emblements

Type	**Status**	**Upon transfer of land**
Planted, cultivated crops (*fructus industriales*)	Personal property	Pass with land *except** when: harvested – severed from land ripe – mature (some courts) planted by tenant with indefinite leasehold *or* planted by adverse possessor under claim of right
Wild, uncultivated crops (*fructus naturales*)	Part of real property	Pass automatically with land

*Then prior owner has right to reenter land to remove crops.

There are two types of **emblements** (ie, crops) that are generally conveyed with the land:

Fructus industriales – **produced through cultivation** and considered personal property

Fructus naturales – **occur naturally** (ie, without human assistance) and considered real property

A landowner is presumed to own both types of emblements grown on the land and to **convey them with the land** upon its sale. However, there are certain exceptions to this presumption with respect to *fructus industriales*. One exception, called the **doctrine of emblements**, applies when a **lease of uncertain duration** is **terminated** through **no fault of the tenant**. Under this exception, the tenant has the **right to reenter** the land to **remove, harvest, or cultivate crops** that the tenant **planted during the tenancy**.

Here, the landowner is presumed to own the bamboo crops planted by the farmer (*fructus industriales*). However, the farmer planted the bamboo on land that was leased month-to-month *indefinitely*, and the landlord terminated the lease to sell the land to a farming corporation—not due to any fault of the farmer. This gave the farmer the right to reenter the land and remove the bamboo plants under the doctrine of emblements. Therefore, the court should rule in favor of the farmer.

(Choice A) *Fructus industriales* are considered personal property, but *fructus naturales* are considered real property. As a result, not all emblements remain personal property.

(Choice C) Even though the farmer had already harvested some of the bamboo, the farmer can still reenter and remove the rest of the plants under the doctrine of emblements.

(Choice D) Although a landowner is presumed to be the owner of crops on his/her land, this presumption can be rebutted by evidence of the parties' contrary intent—ie, this presumption is not irrebuttable.

Educational objective:

Under the doctrine of emblements, a tenant has the right to reenter land to remove, harvest, and cultivate crops that the tenant planted before the tenancy terminated if the tenant's lease was for an uncertain duration and terminated through no fault of the tenant.

References

Restatement (Second) of Prop.: Landlord & Tenant § 12.3 cmt. h (Am. Law Inst. 1977) (harvesting agricultural crops from leased property).

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An architect and a developer own adjacent parcels of land. On each of their parcels was a low-rise office building. The two office buildings were of the same height.

Last year the developer decided to demolish the low-rise office building on her parcel and to erect a new high-rise office building of substantially greater height on her parcel as permitted by the zoning and building ordinances. She secured all the governmental approvals necessary to pursue her project.

As the developer's new building was in the course of construction, the architect realized that the shadows it would create would place the architect's building in such deep shade that the rent she could charge for space in her building would be substantially reduced.

The architect brought an appropriate action against the developer to enjoin the construction in order to eliminate the shadow problem and for damages. The architect presented uncontroverted evidence that her evaluation as to the impact of the shadow on the fair rental value of her building was correct. There is no statute or ordinance (other than the building and zoning ordinances) that is applicable to the issues before the court.

How should the court rule?

A. Award the architect damages measured by the loss of rental value, but not an injunction.

B. Grant judgment for the developer, because she had secured all the necessary governmental approvals for the new building.

C. Grant judgment for the developer, because the architect has no legal right to have sunshine continue to reach the windows of her building.

D. Grant the architect the requested injunction.

Explanation:

Remedies for nuisance & easement actions

	Temporary nuisance	**Permanent nuisance**	**Misuse / interference of easement**
Damages	Diminished rental value Reasonable repair costs Incidental loss Loss of use & enjoyment Punitive damages	Diminished land value	Rents received Decreased value of servient estate and/or easement Value of excessive use Cost of restoration Loss of use
Injunction	Available	N/A	Available
Self-help	Available	N/A	Available
Forfeiture	N/A		Unavailable unless injunction will not relieve servient estate

At English common law, a landowner's right to light was protected as a prescriptive negative easement under the **Doctrine of Ancient Lights**. This doctrine has been **rejected in the United States**. Courts also generally decline to recognize blockage of light as a public or private nuisance unless the blockage was motivated by malice. As a result, landowners only have a **right to light if** they are **protected by statute** or enter into an express agreement with the other landowner to create a **negative easement** (ie, restrictive covenant).

Here, the architect sought to prevent the developer from blocking the light to the architect's building. However, there is no indication that the developer is erecting a high-rise building out of malice or that the architect has obtained a negative easement or covenant from the developer. There is also no statute prohibiting interference with the light. Therefore, the court should grant judgment for the developer because the architect has no legal right to the light reaching her windows **(Choices A & D)**.

(Choice B) The fact that the developer had secured all the necessary governmental approvals does not allow her to bar others from exercising their legal rights. Therefore, this fact would not prevent the architect from prevailing in a lawsuit had she had a legal right to continued access to the light.

Educational objective:

A landowner only has a right to light if (1) this right is protected by statute or (2) the landowner enters into an express agreement with the other landowner to create a negative easement or covenant.

References

Mohr v. Midas Realty Corp., 431 N.W.2d 380, 382 (Iowa 1988) (explaining that every state has rejected the Doctrine of Ancient Lights).

Sher v. Leiderman, 226 Cal. Rptr. 698, 701 (Ct. App. 1986) (holding that blockage of light is not an actionable nuisance except in cases of malice).

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A niece inherited vacant land from her uncle. She lived in a distant state and decided to sell the land to a colleague who was interested in purchasing the land as an investment. They orally agreed upon a price, and, at the colleague's insistence, the niece agreed to provide him with a warranty deed without any exceptions. The price was paid, the warranty deed was delivered, and the deed was promptly recorded. Neither the niece nor the colleague had, at that point, ever seen the land.

After recording the deed, the colleague visited the land for the first time and discovered that it had no access to any public right-of-way and that none of the surrounding lands had ever been held in common ownership with any previous owner of the land. The colleague sued the niece for damages.

For whom will the court find?

A. The colleague, because lack of access makes title unmarketable.
B. The colleague, because the covenants of warranty and quiet enjoyment in the deed were breached.
C. The niece, because no title covenants were breached.
D. The niece, because the agreement to sell was oral.

Explanation:

Covenants of title

(warranty & special warranty deeds)

Present covenants	Seisin	Grantor owns interest being conveyed
(breached at time of conveyance)	Right to convey	Grantor has legal right to convey interest
	Against encumbrances	No encumbrances (eg, easements, mortgages) against interest conveyed
Future covenants	Warranty	Grantor will defend & compensate grantee for lawful claims made against grantee's title
(breached upon interference with possession)	Quiet enjoyment	Grantee's possession & enjoyment will not be disturbed by another's lawful claim of title
	Further assurances	Grantor will take any actions reasonably necessary to perfect grantee's title

Unless otherwise stated, contracts for the sale of land impliedly warrant that the seller will convey marketable title to the buyer upon closing. To be marketable, title must be reasonably free from doubt and under no threat of litigation, such that a reasonable person would accept and pay for it. Lack of access to a public road may render title unmarketable.* However, the time for the buyer to object to marketability of title is *prior* to delivery and acceptance of the deed—which have already occurred here **(Choice A)**.

Once a deed is delivered to and accepted by the buyer, the sales **contract merges with the deed** and the seller is no longer liable on the implied warranty of marketable title. If a problem arises with title thereafter, the **buyer's remedy**, if any, would be under an express provision or a **covenant of title in the deed** (listed above).

Lack of access to a public road is *not* a breach of warranty, quiet enjoyment, or any other title covenant. The reason is that the colleague's lack of access does not detract from his ownership rights in the land or create a superior claim to the land by a third party **(Choice B)**. As a result, the court will find in favor of the niece.

*Courts are split as to whether lack of access to a public road is an encumbrance that makes title to property unmarketable.

(Choice D) The statute of frauds requires that land-sale contracts be in writing to be enforceable. But since the oral land-sale contract has been executed and the colleague has accepted the deed, he can seek relief only under the deed.

Educational objective:

Under the merger doctrine, a contract for the sale of land merges with the deed once the deed has been delivered to and accepted by the buyer. If any problems with title arise thereafter, the buyer must rely on the covenants of title or other provisions contained within the deed.

References

77 Am. Jur. 2d Vendor and Purchaser § 227 (2020) (merger doctrine).

77 Am. Jur. 2d Vendor and Purchaser § 143 (2020) (lack of access to land).

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A buyer validly contracted in writing to buy improved land from a seller. The contract had no contingencies and was silent as to risk of loss if there was damage to, or destruction of, property improvements between contract and closing, and as to any duty to carry insurance. As soon as the parties signed the contract, the seller (who had already moved out) canceled her insurance covering the land. The buyer did not know this and did not obtain insurance. A few days later, three weeks before the agreed closing date, the building on the land was struck by lightning and burned to the ground.

There is no applicable statute.

In an appropriate action, the buyer asserted the right to cancel the contract and to recover his earnest money. The seller said that because the risk of fire loss had passed to the buyer before the fire, the buyer must perform.

If the seller prevails, what will be the most likely explanation?

A. Once the parties signed the contract, only the buyer had an insurable interest and so could have protected against this loss.

B. The buyer's constructive possession arising from the contract gave him the affirmative duty of protecting against loss by fire.

C. The seller's cancellation of her casualty insurance caused the risk of loss to transfer to the buyer.

D. Upon execution of the contract, the buyer became the equitable owner of the land under the doctrine of equitable conversion.

Explanation:

A majority of jurisdictions apply the doctrine of **equitable conversion** when a land-sale contract is silent regarding the risk of loss (as seen here). Under this doctrine, the **risk of loss** is placed on the **party with equitable title** at the time the property was destroyed. The **buyer** receives equitable title **once the contract is formed** and **can be specifically enforced**. If no conditions/contingencies appear in the contract (eg, a condition that the buyer secure financing before closing), the contract is specifically enforceable as soon as it is formed. Therefore, the seller likely prevailed because the buyer was the equitable owner of the land when the building was destroyed.

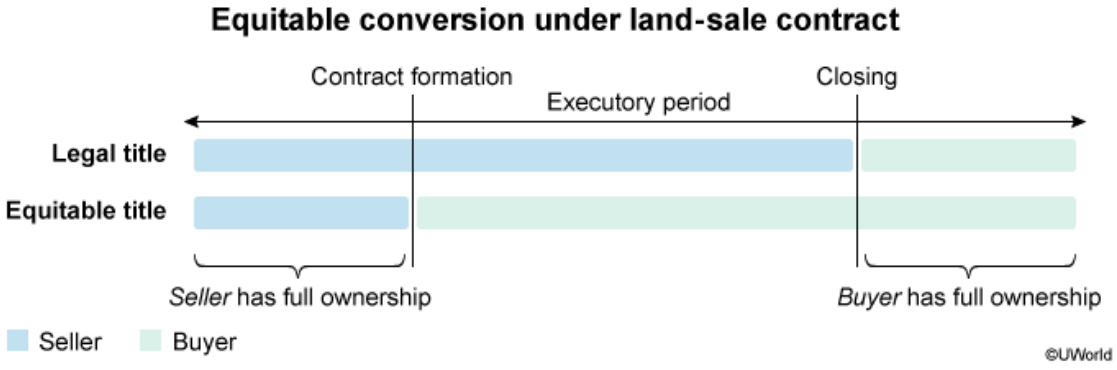
(Choices A, B & C) Unless otherwise provided, a land-sale contract does not impose a duty on either the seller or the buyer to carry property insurance. Therefore, neither the signing of the contract nor the seller's cancellation of the insurance transferred the risk of loss to the buyer.

Educational objective:

Unless otherwise provided, the doctrine of equitable conversion places the risk of loss on the buyer once the land-sale contract is formed and can be specifically enforced.

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A landowner lawfully subdivided his land into 10 large lots. The recorded subdivision plan imposed no restrictions on any of the 10 lots. Within two months after recording the plan, the landowner conveyed Lot 1 to a buyer, by a deed that contained no restrictions on the lot's use. There was then a lull in sales. Two years later, the real estate market in the state had generally improved, and during the next six months the landowner sold and conveyed eight of the remaining nine lots. In each of the eight deeds of conveyance, the landowner included the following language: "It is a term and condition of this conveyance, which shall be a covenant running with the land for the benefit of each of the 10 lots [with an appropriate reference to the recorded subdivision plan], that for 15 years from the date of recording of the plan, no use shall be made of the premises herein conveyed except for single-family residential purposes." The buyer of Lot 1 had actual knowledge of what the landowner had done. The landowner included the quoted language in part because the municipality had amended its zoning ordinance a year earlier to permit professional offices in any residential zone. Shortly after the landowner's most recent sale, when he owned only one unsold lot, the buyer of Lot 1 constructed a one-story house on Lot 1 and then conveyed Lot 1 to a doctor. The deed to the doctor contained no reference to any restriction on the use of Lot 1. The doctor applied for an appropriate certificate of occupancy to enable her to use a part of the house on Lot 1 as a medical office. The landowner, on behalf of himself as the owner of the unsold lot, and on behalf of the other lot owners, sued to enjoin the doctor from carrying out her plans and to impose the quoted restriction on Lot 1.

Who is likely to prevail?

A. The doctor, because Lot 1 was conveyed without the restrictive covenant in the deed to the first buyer and the subsequent deed to the doctor.

B. The doctor, because zoning ordinances override private restrictive covenants as a matter of public policy.

C. The landowner, because the doctor, as a successor in interest to the first buyer, is estopped from denying that Lot 1 remains subject to the zoning ordinance as it existed when the landowner conveyed Lot 1 to the first buyer.

D. The landowner, because with the first buyer's knowledge of the facts, Lot 1 became incorporated into a common scheme.

Explanation:

Elements of real covenants & equitable servitudes

Real covenants		**Equitable servitudes**	
(enforceable by money damages)		(enforceable by equitable relief)	
For *burden* to run	**For *benefit* to run**	**Express**	**Implied**
Writing	Writing	Writing	Intent to create common scheme
Intent to run	Intent to run	Intent to run	Restrictive servitude
Touch & concern	Touch & concern	Touch & concern	Notice
Horizontal & vertical privity	Limited vertical privity	Notice	
Notice	No notice required		

Equitable servitudes are covenants (ie, promises) regarding land that are enforceable in equity (eg, by injunction) against the promising parties and their successors in interest. They are typically created by an *express* written agreement. But one can be ***implied* from a common scheme*** in a planned subdivision if three elements are met:

Intent to create common scheme – the owner intended to impose a servitude on all lots in the subdivision (eg, most of the lot deeds contain common restrictions)

Restrictive servitude – the intended servitude is a promise *not* to do something on land

Notice – the person to be bound by the servitude had actual, record, or inquiry notice of it

If the common scheme arises after some of the lots have already been sold, those previously sold lots will *not* be incorporated into the common scheme or subject to the implied servitude **(Choice D)**.

Here, the landowner subdivided his land into 10 lots. He first conveyed Lot 1 to a buyer by a deed that contained no restrictions on the lot's use. The landowner then conveyed the next eight lots by deeds that contained covenants restricting the lots' use to residential purposes. But since that common scheme did not exist when Lot 1 was first conveyed to the buyer, there is no *implied* servitude on Lot 1. And since the doctor's deed for Lot 1 contained no *express* restrictions on the lot's use, she will likely prevail.

*Equitable servitudes implied from a common scheme of development are also known as implied reciprocal negative easements or implied reciprocal servitudes.

(Choice B) Zoning ordinances override restrictive covenants only if the two are in direct conflict (eg, covenants restricting use to commercial purposes in areas zoned only for residential use).

(Choice C) The doctor's use of Lot 1 is governed by the zoning in existence during her ownership of Lot 1—not the zoning as it existed when the landowner first conveyed Lot 1 to the buyer.

Educational objective:

For an equitable servitude to be implied from a common scheme, (1) the owner must have intended to impose a servitude on all lots in the subdivision, (2) the servitude must be restrictive, and (3) the person to be bound must have had notice of the servitude.

References

Restatement (Third) of Property: Servitudes § 2.14 (Am. Law Inst. 2000) (equitable servitude implied from a common scheme in a residential subdivision).

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A rancher was the owner of a large equestrian facility. The rancher entered into a binding written contract with a company for the sale and purchase of the facility for $500,000. The contract required the rancher to convey marketable record title.

The company decided to protect its interest and promptly and properly recorded the contract.

Thereafter, but before the date scheduled for the closing, a trainer obtained and properly filed a final judgment against the rancher in the amount of $1 million in a personal-injury suit. A statute in the jurisdiction provides: "Any judgment properly filed shall, for ten years from filing, be a lien on the real property then owned or subsequently acquired by any person against whom the judgment is rendered."

The recording act of the jurisdiction authorizes recording of contracts and also provides: "No conveyance or mortgage of real property shall be good against subsequent purchasers for value and without notice unless the same be recorded according to law."

There are no other relevant statutory provisions.

At the closing, the company declined to accept the title of the rancher on the ground that the trainer's judgment lien encumbered the title it would receive and rendered it unmarketable. The rancher brought an appropriate action against the company for specific performance of the contract and joined the trainer as a party.

In this action, for whom will the court render judgment?

A. The company, because the rancher cannot benefit from the company's action in recording the contract.
B. The company, because the statute creating judgment liens takes precedence over the recording act.
C. The rancher, because in equity a purchaser takes free of judgment liens.
D. The rancher, because the contract had been recorded.

Explanation:

Under a **land sales contract**, a buyer must receive **marketable title**—ie, title that is free from substantial defects at the time of closing. Competing property interests render title unmarketable *unless* the buyer's interest has priority over those competing interests. For example, a buyer with a **recorded equitable interest has priority** over a subsequent judgment lien.

Here, the company received equitable title—ie, the right to receive legal title upon the performance of an obligation—when the company and the rancher entered into a land sales contract. The company then recorded that contract *before* the trainer obtained the judgment lien. As a result, the company's property interest has priority over the trainer's competing interest, and the rancher can convey marketable title. The court should therefore render judgment for the rancher and order the company to specifically perform the land sales contract.

(Choice A) The rancher *can* benefit from the company's action in recording the contract since that action ensured that the rancher was able to convey marketable title.

(Choice B) The statute creating judgment liens permits a recorded judgment to be a lien on real property owned by the person liable under that judgment. It does not take precedence over the recording act, which determines the priority of competing property interests (including judgment liens).

(Choice C) Equity does not require that purchasers (eg, the company) *always* take free of judgment liens. But here, the company did take free of the trainer's judgment lien because the company got priority when it recorded the land sales contract before the trainer acquired a competing interest.

Educational objective:

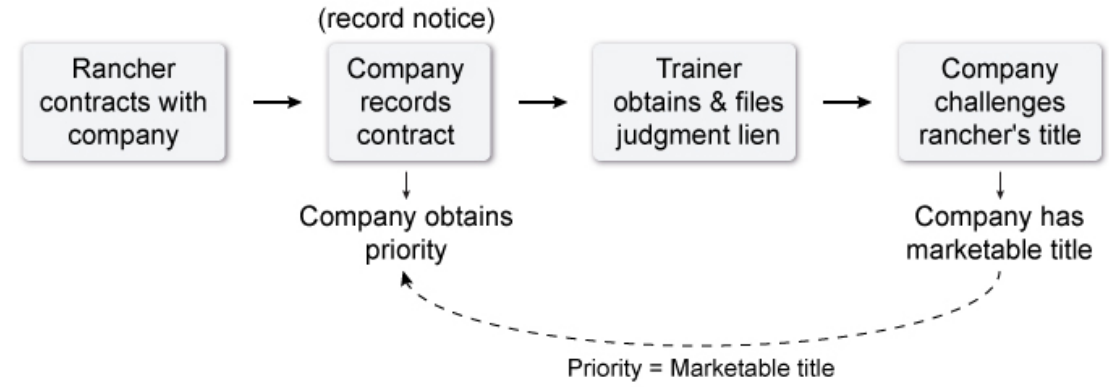
A buyer receives marketable title if the buyer's interest has priority over competing interests in the same property. And a buyer with a recorded equitable interest has priority over a subsequent judgment lien.

References

46 Am. Jur. 2d Judgments § 352 (2018) (priority of judgment liens).

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(record notice)
Rancher contracts with company
Company records contract
Trainer obtains & files judgment lien
Company challenges rancher's title
Company obtains priority
Company has marketable title
Priority = Marketable title

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A man owned a residential lot improved with a dwelling and conveyed it for a valuable consideration to a buyer. The dwelling had been constructed by a prior owner. The buyer had inspected the dwelling prior to the purchase and discovered no defects. After moving in, the buyer became aware that sewage seeped into the basement when the toilets were flushed. The man said that this defect had been present for years and that he had taken no steps to hide this fact from the buyer. The buyer paid for the necessary repairs and brought an appropriate action against the man to recover his cost of repair.

If the buyer wins, what will be the likely reason?

A. The buyer made a proper inspection.

B. The man breached the implied warranty of habitability and fitness for purpose.

C. The man failed to disclose a latent defect.

D. The situation constitutes a health hazard.

Explanation:

Seller's duty to disclose

Common law (minority) rule	**Caveat emptor**	No duty to disclose property defects unless otherwise provided
Modern (majority) rule	**Commercial property**	
	Residential property	Must disclose known material defects that buyer could not reasonably discover Exception: "as is" clause or specific disclaimers without seller's fraud

The majority of jurisdictions impose a duty on **sellers of residential property** to **disclose** any **material defects** that are **known to the seller** and **cannot be reasonably discovered** by the buyer. A defect is material if it:

substantially affects the value of the residence

impacts the health or safety of a resident *or*

affects the desirability of the residence to the buyer.

Here, the man admitted that he had known for years that sewage seeped into the basement when the toilets were flushed. This clearly material defect could not be, and was not, reasonably discovered by the buyer after inspecting the dwelling. Therefore, the buyer will likely win because the man breached his duty to disclose this latent defect.

(Choice A) A proper or reasonable inspection may not unearth every defect with a property. As a result, the duty to disclose defects that are not readily discoverable applies even when a buyer conducts an inspection.

(Choice B) The warranty of habitability and fitness* is implied in almost all jurisdictions in a contract for the sale of a *newly* constructed residence, so it does not apply here.

*This is also referred to as the implied warranty of suitability, quality, or workmanlike construction.

(Choice D) The mere fact that the defect in question poses a health hazard is not enough to impose liability on the seller. For example, the man would not be liable for the hazardous defect if he had been unaware of the defect or if he had included an "as is" clause to disclaim the duty to disclose.

Educational objective:

A seller of residential property has a duty to disclose any known material defects that cannot be reasonably discovered by the buyer.

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A man owned a tract of land improved with a one-family house. His friend orally offered to pay the man $250,000 for the tract and the house, the fair market value, and the man accepted. The friend paid the man $5,000 down in cash and agreed to pay the balance of $245,000 at an agreed closing time and place.

Before the closing, the friend inherited another home and asked the man to return his $5,000. The man refused and, at the time set for the closing, the man tendered a good deed to the friend and declared his intention to vacate the house on the tract the next day. The man demanded that the friend complete the purchase. The friend refused. The fair market value of the tract has remained $250,000.

The man has brought an appropriate action against the friend for specific performance.

If the man loses, what is the most likely reason?

A. Retaining the $5,000 down payment is the owner's exclusive remedy.

B. The friend had a valid reason for not closing.

C. The owner remained in possession on the day set for the closing.

D. There was no written agreement.

Explanation:

Statute of frauds requirements for real estate contracts

Writing	Physical or electronic document(s) containing reasonable basis to believe contract was formed eg, receipt, check, emails
Signature	Handwritten signature from, or other mark identifying, party to be charged eg, letterhead, electronic signature, initials
Essential terms	Typically includes: identity of parties words of intent to buy or sell property description sales price

Real estate contracts are subject to the **statute of frauds**. As a result, such contracts are **enforceable** only if they are **in *writing***, are **signed** by the party against whom enforcement is sought, and contain all **essential terms**. Since the man and the friend's agreement was *oral*, it is unenforceable. Therefore, the lack of a written agreement is the most likely reason the man will lose.

(Choice A) Most states allow sellers to retain the buyer's deposit if the buyer breaches the land-sale contract. However, most jurisdictions *also* allow a seller to seek specific performance to compel the buyer to pay the agreed-upon sales price.* But neither remedy is available here since the contract is unenforceable.

(Choice B) A buyer's failure to close may be excused by a contingency in the agreement (eg, when closing is conditioned on the buyer's ability to obtain a loan). However, inheriting another home is *not* a valid reason for not closing.

(Choice C) A seller must deliver a valid deed to the buyer at the time of closing. Delivery occurs when the deed is in the buyer's possession—even if the seller remains on the property at the time. Therefore, had there been an enforceable contract, the man would have satisfied his duty despite staying in the house until the following day.

*A minority of jurisdiction may deny specific performance to the seller if the land is not unique and monetary damages provide adequate compensation.

Educational objective:

Under the statute of frauds, an oral agreement for the sale of land is unenforceable. Instead, the agreement must be in writing, be signed by the party against whom enforcement is sought, and contain all essential terms.

References

73 Am. Jur. 2d Statute of Frauds §§ 289, 305, 325, 329 (2020).

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A seller and a purchaser signed a contract for the sale of a 60-year-old house. The contract required a warranty deed to be given at closing. The contract was silent regarding the condition of the house, and the purchaser did not ask. The purchaser received a warranty deed with all covenants of title at the closing and promptly recorded the deed. Approximately one month after the closing, the furnace in the house stopped working, the basement flooded, and the roof leaked so badly that the second floor could not be occupied. The seller, when told of the house's condition, was genuinely surprised.

There is no applicable statute.

The purchaser has sued the seller for damages. Will the purchaser likely be successful?

A. No, because of the doctrine of merger.

B. No, because the seller gave no warranty regarding the condition of the house.

C. Yes, based on the covenants of title contained in the deed the purchaser received.

D. Yes, because with a conveyance of residential real property, a warranty of fitness is implied.

Explanation:

Seller's duty to disclose

Common law (minority) rule	**Caveat emptor**	No duty to disclose property defects unless otherwise provided
Modern (majority) rule	**Commercial property**	
	Residential property	Must disclose known material defects that buyer could not reasonably discover Exception: "as is" clause or specific disclaimers without seller's fraud

The majority of jurisdictions have enacted statutes that require sellers of residential property to disclose any *known* material defects that cannot be reasonably discovered by the buyer. But since there is no applicable statute in this jurisdiction, the common-law rule of **caveat emptor** controls. This rule (meaning "let the buyer beware") provides that sellers have **no duty to disclose** property **defects to the buyer** unless otherwise agreed.

Here, the seller gave no warranties and the contract was silent as to the condition of the house, so the seller had no duty to disclose these defects to the buyer. Furthermore, the seller did not know about the defects in the house because she was "genuinely surprised" when she was told of the house's condition. So even if this jurisdiction had enacted a statute that followed the majority rule, the seller would not have breached any duty to disclose.

(Choice A) Under the doctrine of merger, all obligations as to *title* contained within the land-sale contract merge into the deed once it is delivered to and accepted by the buyer. This doctrine does not relate to issues having to do with the *physical condition* of the property.

(Choice C) The covenants in a warranty deed relate to the title of the property, not its physical condition.

(Choice D) A warranty of fitness or suitability* is implied in almost all jurisdictions in a contract for the sale of a *newly* constructed residence, so it does not apply to the sale of this 60-year-old house.

*This is also referred to as the implied warranty of quality, workmanlike construction, and habitability.

Educational objective:

The common-law doctrine of caveat emptor provides that a seller has no duty to disclose property defects to the buyer unless otherwise agreed.

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A seller contracted to sell a vacant lot to a purchaser. The written contract required the seller to provide evidence of marketable title of record, specified a closing date, stated that "time is of the essence," and provided that at closing, the seller would convey by warranty deed. The purchaser paid the seller $7,000 earnest money toward the $140,000 purchase price.

The title evidence showed that an undivided one-eighth interest in the lot was owned by a third party. The purchaser immediately objected to title and said she would not close on the seller's title. The seller responded, accurately, that the third party was his daughter who would be out of the country until two weeks after the specified closing date. He said that she would gladly deed her interest upon her return, and that meanwhile his deed warranting title to all of the lot would fully protect the purchaser. The seller duly tendered his deed on the specified closing date but the purchaser refused to close.

The purchaser brought an appropriate action to recover the $7,000 earnest money promptly after the specified closing date. The seller counterclaimed for specific performance, tendering a deed from himself and his daughter, who had by then returned.

Which party will likely prevail?

A. The purchaser, because the seller's title was not marketable and time was of the essence.

B. The purchaser, because under the circumstances the earnest money amount was excessive.

C. The seller, because his warranty deed would have given the purchaser adequate interim protection.

D. The seller, because the daughter's deed completing the transfer was given within a reasonable time.

Explanation:

A **real estate contract** is executed when the seller promises to deliver marketable title and the buyer promises to pay the purchase price. However, these promises need not be **performed** until **closing or a reasonable time** thereafter—**unless** the parties set a **strict closing deadline**. The closing date will be strictly enforced when the contract includes express language that makes **time of the essence** or the circumstances strongly suggest that the parties intended it to be.

Here, the contract stated that "time is of the essence," so the seller was required to deliver marketable title at the time of closing—no later. Title is marketable if it is reasonably free from doubt and under no threat of litigation such that a reasonable person would accept and pay for it. Since 1/8 of the seller's title was held by his daughter who could not deed her interest to him until two weeks *after* closing, the seller could not timely deliver marketable title with a warranty deed. Therefore, the seller breached the contract **(Choices C & D)**.

When a seller has breached, the buyer's remedies include rescission and restitution. This allows the buyer to cancel the contract and receive the return of any paid deposits and other restitution. As a result, the purchaser will likely prevail in her action to recover the $7,000 earnest-money deposit.

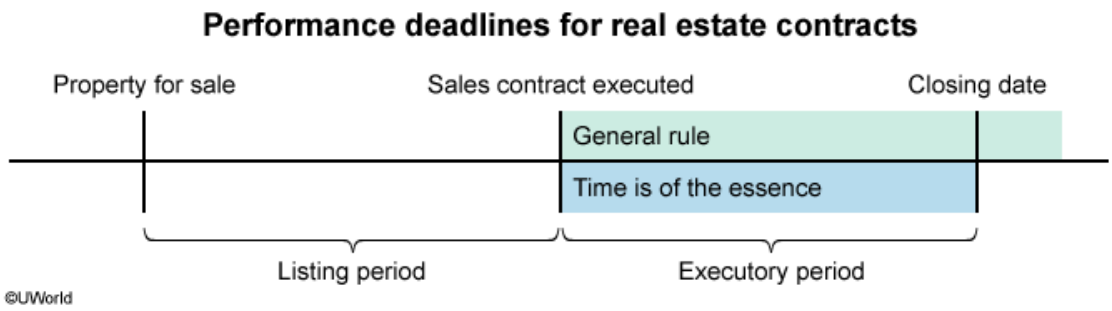
(Choice B) A seller may retain the buyer's earnest-money deposit as liquidated damages so long as the deposit is not so excessive that it constitutes a penalty. An amount exceeding 15% of the purchase price is likely excessive, so the buyer's $7,000 deposit (5% of the purchase price) was not excessive.

Educational objective:

Performance is *strictly* due at the time of closing when the real estate contract includes express language that makes time of the essence or when the circumstances strongly suggest that the parties intended it to be.

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A woman owned five adjoining rectangular lots, numbered 1 through 5, all fronting a main street. All the lots are in a zone limited to one-family and two-family residences under the zoning ordinance. Two years ago, the woman conveyed Lots 1, 3, and 5 to various owners. None of the three deeds contained any restrictions. Each of the new owners built a one-family residence.

One year ago, the woman conveyed Lot 2 to a friend. The deed provided that the friend and the woman, their respective heirs and assigns, would use Lots 2 and 4, respectively, only for one-family residential purposes. The deed was promptly and properly recorded. The friend promptly built a one-family residence on Lot 2.

Last month, the woman conveyed Lot 4 to a banker. The deed contained no restrictions. The deed from the woman to the friend was in the title report examined by the banker's lawyer. The banker obtained a building permit and commenced construction of a two-family residence on Lot 4.

The friend, joined by the owners of Lots 1, 3, and 5, brought an appropriate action against the banker to enjoin the proposed use of Lot 4 or, alternatively, damages caused by the banker's breach of covenant.

Which is the most appropriate comment concerning the outcome of this action?

A. All plaintiffs should be awarded an injunction because there was a common development scheme, but award of damages should be denied to all.

B. All plaintiffs should be denied any recovery or relief because the zoning preempts any private scheme of covenants.

C. An injunction should be denied, but damages should be awarded to all plaintiffs, measured by diminution of market value, if any, caused by the proximity of the banker's two-family residence.

D. The friend should be awarded an appropriate remedy, but recovery by the other plaintiffs is doubtful.

Explanation:

A **real covenant** is an express promise to do or not do something on land that can be enforced by an action for **money damages** and binds **successors in interest**. A real covenant requires the following:

Writing – covenant is in a writing that satisfies the statute of frauds (eg, Lot 2 deed)

Intent to run – promising parties intended for the covenant to run to their successors in interest (eg, deed says "heirs and assigns")

Touch and concern – covenant relates to the use, enjoyment, or occupation of the benefited and burdened lands (eg, limiting Lot 4's use for Lot 2's benefit)

Horizontal privity – promising parties simultaneously transferred the land and created the covenant (eg, covenant created when woman conveyed Lot 2 to the friend)

Vertical privity – successor of the *benefited* estate has a possessory interest (eg, friend owns Lot 2) and successor of the *burdened* estate has a promising party's same ownership interest (eg, banker owns Lot 4)

Notice – person to be bound had notice of the covenant (eg, recorded deed was in the title report examined by banker's lawyer)

An ***express*** **equitable servitude** is essentially a real covenant enforced in **equity** (often by an injunction). Since the promise here has the **same elements** as a real covenant ***except*** **privity**, the friend can receive an injunction or money damages for the bank's breach of covenant—whichever the court deems appropriate **(Choice C)**.

Since the restriction pertains only to Lots 2 and 4, the other plaintiffs can prevail only if an **equitable servitude** can be **implied** from a **common scheme** or development plan. One cannot be implied here because Lots 1, 3, and 5 were conveyed without any restrictions and before the restriction was created in the Lot 2 deed. Therefore, their recovery is doubtful **(Choice A)**.

(Choice B) Zoning ordinances override restrictive covenants only when they are in direct conflict—eg, if Lot 4 had been zoned for *one*-family residences and the covenant restricted use to *two*-family residences.

Educational objective:

A real covenant is an express promise to do or not do something on land that can be enforced by an action for money damages. An *express* equitable servitude is a real covenant enforced in equity. An *implied* equitable servitude may be created by a common scheme.

References

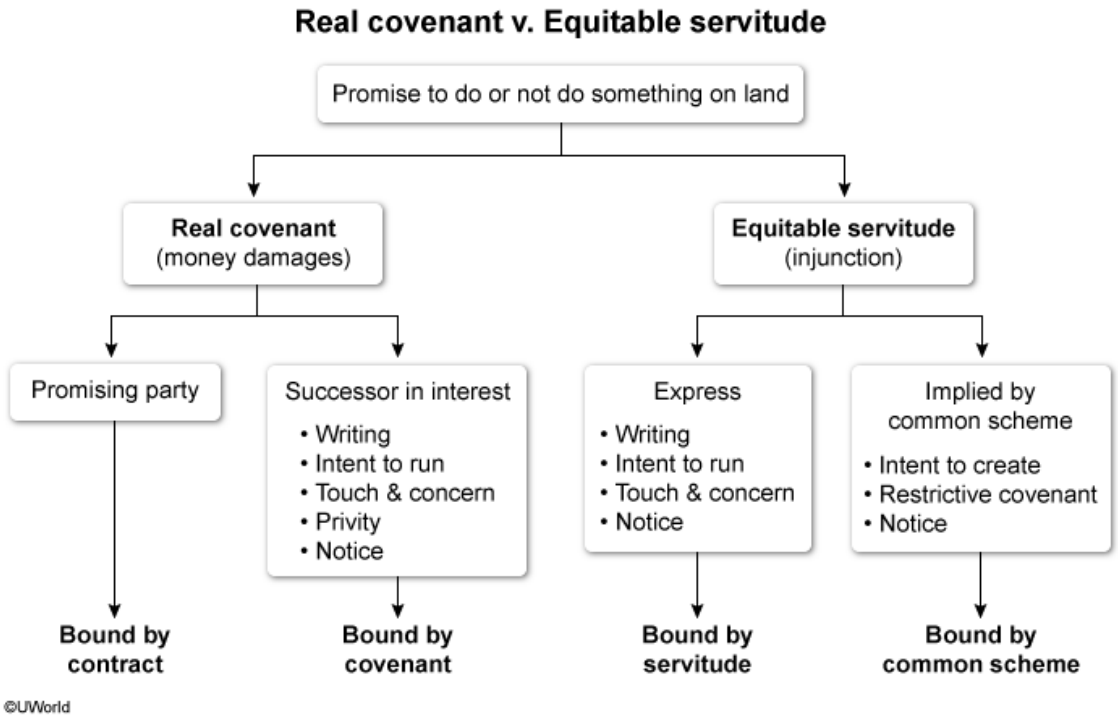
Restatement (Third) of Property: Servitudes § 5.1 (Am. Law Inst. 2000) (automatic passage of the burden and benefit with appurtenant land).

Restatement of Property § 539 (Am. Law Inst. 1944) (elements of equitable servitudes).

Restatement of Property §§ 530–38 (Am. Law Inst. 1944) (elements of real covenants).

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A homeowner listed his home for sale with a real estate broker. The written six-month exclusive-right-to-sell listing agreement provided for the payment of a commission if the home sold.

In accordance with the listing agreement, the broker promptly took reasonable steps to market the home, incurring expenses for her efforts. Five months into the listing period, without involving the broker, the homeowner accepted an offer to purchase from his cousin. The broker learned of the contract only when the sale of the home to the cousin closed, one month after the listing period had expired.

Is the broker entitled to any payment?

A. No, because the broker engaged in no negotiations with the cousin.

B. No, because the closing occurred after the listing period had expired.

C. Yes, but only reimbursement for her expenses.

D. Yes, the full commission, because the homeowner accepted the cousin's offer to purchase during the listing period.

Explanation:

A **real estate broker** is someone employed by a seller to handle the sale of real property. The employment agreement is typically referred to as a **listing agreement**. There are **three types** of listing agreements:

Open – where the seller may use other brokers to sell the listed property and the commission goes to whichever broker finds a buyer during the listing period

Exclusive agency contract – where the seller can find a purchaser and, if the seller does so without the broker's assistance, the broker receives no commission

Exclusive right to sell – where the commission goes to the broker if the property is sold during the listing period, no matter who finds the buyer

Unless the listing agreement states otherwise, the broker is **entitled to commission** if (1) a **ready, willing, and able buyer** is **produced** or (2) the **seller enters into a sales contract** with a buyer during the listing period. This is true even if the buyer backs out of the sale or the sale is not otherwise closed **(Choice B)**.

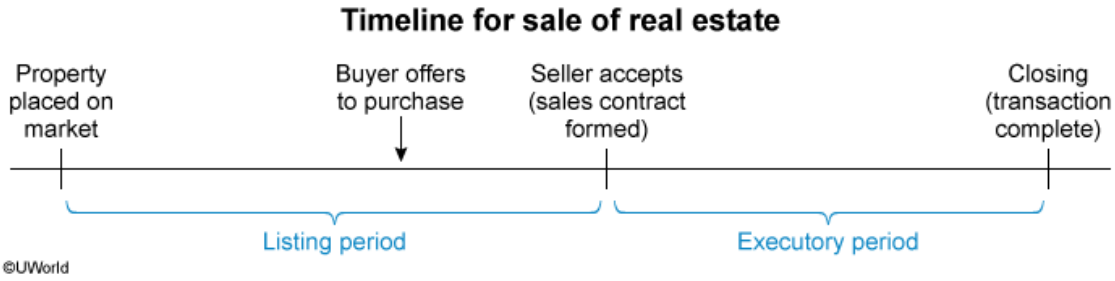
Here, the homeowner and broker entered into an *exclusive-right-to-sell* listing agreement. The homeowner entered into a contract of sale when he accepted the cousin's offer to purchase the home during the listing period. As a result, the broker is entitled to the *full* commission—regardless of whether the broker engaged in negotiations with the cousin **(Choices A & C)**.

Educational objective:

A real estate broker is entitled to commission if (1) a ready, willing, and able buyer is produced or (2) the seller enters into a sales contract with a buyer during the listing period.

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A buyer and a seller entered into a written contract for the sale of an identified parcel of land. The contract expressly provided that the buyer was to pay $150,000 cash for the land at the time of the closing but did not state the closing date. The parties had not agreed on the closing date because the buyer was not sure at the time the contract was signed how she would raise the cash.

Fifteen days after the contract was signed, the seller learned that he could sell the land to a third party for $200,000. The seller asked the buyer if she would agree to rescind the contract. The buyer refused. The seller then told her that he would not complete the transaction, contending that the contract was unenforceable under the statute of frauds because an essential element (time for performance) was not agreed upon by the parties and was not expressly stated in the written agreement. The seller sold the land to the third party.

The buyer brought an appropriate action against the seller for breach of contract.

For which party is the court likely to find?

A. The buyer, because of the doctrine of unjust enrichment.
B. The buyer, because the court will infer that performance within a reasonable time was intended.
C. The seller, because the contract is unenforceable under the statute of frauds.
D. The seller, because time of performance is presumed to be of the essence.

Explanation:

Contracts for the sale of land are enforceable only if they comply with the **statute of frauds**. This statute requires that these contracts be in **writing**, be **signed** by the party against whom enforcement is sought, and contain all **essential terms**. Essential terms often include:

the identity of the parties

words of intent to buy or sell

a description of the property *and*

the sales price.

However, **time for performance** is ***not* an essential term**. Instead, courts will **infer** that performance **within a reasonable time** was intended. And since the contract here satisfies all the aforementioned requirements, it is enforceable under the statute of frauds **(Choice C)**.

(Choice A) Unjust enrichment does not apply when, as here, the claimant has not given anything of value. Therefore, the buyer will not prevail on this basis.

(Choice D) Time is *not* presumed to be of the essence unless it is expressly stated in the contract (not seen here).

Educational objective:

Under the statute of frauds, contracts for the sale of land must be in writing, be signed by the party against whom enforcement is sought, and contain all essential terms. Time for performance is *not* an essential term, and courts will presume that performance with a reasonable time was intended if no time is listed.

References

73 Am. Jur. 2d Statute of Frauds §§ 289, 305, 325, 329 (2020).

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